

BayernLB 2024

Annual Report and Accounts

Consolidated financial statements

BayernLB Group at a glance

Income statement (IFRS)

€ million	1 Jan – 31 Dec 2024	1 Jan – 31 Dec 2023	Change in %
Net interest income	2,720	2,919	(6.8)
Risk provisions	(491)	(180)	>100
Net interest income after risk provisions	2,229	2,740	(18.6)
Net commission income	531	473	12.4
Gains or losses on fair value measurement	360	226	59.7
Gains or losses on hedge accounting	62	(46)	-
Gains or losses on derecognised financial assets ¹	(5)	(102)	(95.5)
Gains or losses on financial investments	(33)	(71)	(53.6)
Administrative expenses	(1,602)	(1,617)	(0.9)
Expenses for the bank levy and deposit guarantee scheme	(51)	(128)	(60.4)
Other income and expenses	134	59	>100
Gains or losses on restructuring	(48)	(92)	(47.7)
Profit/loss before taxes	1,579	1,441	9.6
Income taxes	(351)	(271)	29.5
Profit/loss after taxes	1,228	1,170	4.9
Cost/income ratio (CIR)	42.5%	46.8%	(4.3) pp ²
Return on equity (RoE)	12.8%	12.7%	0.1 pp ²

Balance sheet (IFRS)

€ million	31 Dec 2024	31 Dec 2023	Change in %
Total assets	267,747	273,364	(2.1)
Business volume	313,393	318,939	(1.7)
Credit volume	248,965	253,655	(1.8)
Total deposits	187,548	195,234	(3.9)
Securitised liabilities	52,495	50,195	4.6
Subordinated capital	2,847	2,812	1.2
Equity	15,493	14,633	5.9

Banking supervisory capital and ratios under CRR/CRD IV

€ million	31 Dec 2024	31 Dec 2023	Change in %
Common Equity Tier 1 capital (CET1 capital)	13,089	12,424	5.6
Own funds	15,656	15,124	4.0
Total RWAs	69,962	64,532	8.5
Common Equity Tier 1 (CET1) capital ratio	18.7%	19.3%	(0.6) pp ²
Total capital ratio	22.4%	23.4%	(1.0) pp ²

Employees

	31 Dec 2024	31 Dec 2023	Change in %
Number of employees	7,592	8,241	(7.9)

Current ratings

	Issuer rating	Short term, unsecured	Pfandbriefs ³
Fitch Ratings	A+ (stable)	F1+	–
Moody's Investors Service	Aa2 (stable)	P-1	Aaa

¹ For financial assets measured at amortised cost.

² Percentage points.

³ Applies to public Pfandbriefs (Moody's) and mortgage Pfandbriefs (Moody's).

Contents

1

Board of Management and Supervisory Board.....	4
Foreword by the Board of Management	4
Report by the Supervisory Board	6

2

Combined management report of the BayernLB Group and BayernLB.....	13
Foundations of the BayernLB Group	14
Report on the economic position	26
Risk report	73
Report on expected developments and opportunities	133

3

The BayernLB Group's consolidated financial statements	148
Consolidated income statement	149
Consolidated statement of comprehensive income	150
Consolidated balance sheet	151
Consolidated statement of changes in equity	152
Consolidated cash flow statement	154
Notes to the consolidated financial statements	155
Independent Auditor's Report	280
Responsibility statement by the Board of Management.....	289

4

Further information	290
Country by country reporting	291
Supplementary information.....	292
Combined separate non-financial report of the BayernLB Group for 2024	296
Assurance report of the independent German public auditor on a limited assurance engagement in relation to a combined separate non-financial report	415

Foreword by the Board of Management

Dear customers, business partners and all other readers,

2024 was a financially successful year for the BayernLB Group, with a good profit before taxes of €1,579 million. Like the rest of the sector, we enjoyed tailwinds from the interest rate situation. However, the results also demonstrate the robustness of our balanced business model. Not only did our subsidiary DKB provide another very strong portion of our earnings, but all the other segments also made positive contributions.

In addition to our customer business, we concentrated our efforts predominantly on the Group's financial stability, which is reflected in our very solid capital base. BayernLB reported a CET1 ratio as at 31 December 2024 of 18.7% (FY 2023: 19.3%). We are therefore in a position to share our financial success to a substantial degree with our owners, the Free State of Bavaria and the Bavarian savings banks, and pay them a dividend of €600 million (FY 2023: €350 million).

The persistently weak economy, especially in our domestic German market, and sluggish performance in the real estate markets led us to post risk provisions of €491 million, considerably more than in the previous year. At BayernLB Bank this amount stemmed mostly from the Real Estate business area, largely in connection with individual development projects in Germany and existing office properties in the US. Additions at DKB related both to DKB's retail business and to isolated cases in its corporate clients business.

Especially considering the weak economic climate, a core aspect of our work going forward will be to keep profitability suitably high, in order to lay the foundation for further growth, investment and distributions. We will maintain our policy of strict cost management and push ahead with transforming our IT landscape, while also streamlining and digitalising our processes. In the first half of 2024, we completed the consolidation of the Trading IT landscape at BayernLB Bank. In addition, we pursued the programme to modernise bank management (KOPERNIKUS) with great focus and effort. At the same time, we continued to ramp up our task and process optimisation. At DKB we are concentrating further on profitable growth, while placing greater importance on working more effectively by simplifying and digitalising processes, products and services.

BayernLB conducts transactions and nurtures customer relationships in accordance with its business, risk and sustainability strategies. The periodic review of our vision is the primary – though not the only – driver prompting the units and committees responsible at BayernLB to take a regular and in-depth look at the changing geopolitical and macroeconomic conditions. This sometimes results in adjustments in individual segments or to our strategic guidelines, to take sufficient account of business opportunities, ESG requirements and potential reputational risks. The creation of the new “life science” focus sector as at 1 January 2025 is just one recent example. In this sector, companies from the fields of chemistry, pharmaceuticals, biotechnology, medicine and medical technology are supported in their endeavours to successfully grow and transform their business models.

All of this was and is only possible with a highly motivated and dedicated team. So a key objective of HR activities in 2024, as in previous years, was to further strengthen BayernLB's position as a modern and attractive employer for experienced talent and young professionals, both internally and externally. With the new employer-branding campaign #TräumMalWieder (“dare to dream”), BayernLB has responded pointedly to the changed market conditions and the new demands of applicants so as to meet its staffing needs, such as those arising from regulatory requirements or from new business initiatives.

We set just as much store by retaining and developing staff as we do by gaining new employees. With this in mind, BayernLB launched additional initiatives in 2024 to improve work-life balance. Another major focus last year was the continued evolution of our corporate culture. Our new corporate values, branded under #ProgressDNA,

were progressively rolled out throughout the company, and the related values, such as team spirit, courage and open-mindedness, were actively reinforced through team and departmental workshops.

We would like to thank our employees most sincerely for their great dedication and very fruitful work in the past financial year. Their commitment will be the driving force taking the BayernLB Group forward to a sustainable and successful future.

Our special thanks also goes to you, our customers and business partners, for your trust in the BayernLB Group. We look forward to continuing our working relationship with you in the future.

Sincerely,

Stephan Winkelmeier

Dr Markus Wiegelmann

Sigrid Kozmiensky

Gero Bergmann

Johannes Anschott

Report by the Supervisory Board

Dear Reader,

Over the past year, banks in the eurozone have once again demonstrated their resilience. The banking sector has coped effectively with the preceding cycle of interest rate hikes, while benefiting on the earnings side from an unexpectedly modest rise in rates on overnight deposits. The impact from interest rate cuts instituted by the ECB since the summer of 2024 on net interest income has been manageable.

That said, the macroeconomic environment is still confronted with significant levels of uncertainty. Political upheaval and a further escalation in geopolitical conflicts are the main factors affecting macroeconomic conditions.

Within Germany, the economic situation remained strained over the course of 2024, partly due to high energy prices, subdued domestic demand and the increased cost of labour. The conditions created by Germany's energy policy not only endanger the country's industrial base but also represent an existential threat to numerous businesses. Banks must consider these developments when drawing up their business and risk planning.

Besides sluggish growth, higher long-term interest rates compared with previous years are continuing to weigh on global real estate markets, even though the downturn has recently eased and some segments of the market have shown signs of stabilisation.

In addition to the geopolitical and economic challenges, further increases in regulatory requirements are also weighing on the European banking sector. In particular, the implementation efforts associated with ESG (environmental, social and governance) issues are enormous and are likely to further constrain the competitiveness of European banks, especially relative to their US counterparts, which operate in a more relaxed regulatory environment.

The financial sector is undergoing digitalisation, and this will fundamentally shape individual business models in the future. This trend brings with it higher IT and cyber risks, which will continue to force financial institutions to make large investments going forward.

Against this complex background, we advised the Board of Management in its running of the Bank and continually monitored its activities over the past financial year.

BayernLB's Board of Management kept the Supervisory Board and its committees informed of key developments at the Bank and within the Group at regular intervals, both promptly and comprehensively, in writing and orally, during the course of 2024. This included its supervisory duty to disclose deficiencies detected by BayernLB's internal Audit Division.

We held detailed discussions with the Board of Management on BayernLB's business policy and performance, as well as on fundamental issues relating to corporate planning, especially in its financial, investment and personnel aspects. The Board of Management and Supervisory Board also took a close look at the progress made in the major IT projects being rolled out and the impact of the current geopolitical challenges and interest rate environment on the risk situation of BayernLB and the BayernLB Group. In light of these factors, we also enquired about the Bank and the Group's income and expenses situation, their liquidity, capital status, profitability and legal and business relationships, and material events and business transactions.

Between meetings, as Chairman of the Supervisory Board, I remained in regular and close contact with BayernLB's Board of Management, particularly the CEO. The Supervisory Board was notified in writing of important matters in the interim.

The Supervisory Board was involved in key decisions affecting BayernLB and gave its approval where necessary. Between meetings, decisions were also handed down by way of written circular resolution.

Supervisory Board meetings

In the year under review the Supervisory Board convened in a total of eight meetings and three training seminars, which were also attended by representatives of legal supervisory authorities and, on one occasion, by representatives of banking supervisory authorities.

A major focus of all regular Supervisory Board meetings was the Board of Management's status updates on the current balance sheet and earnings situation of the BayernLB Group, along with information on how the Group's IT landscape is being transformed, in particular in respect of the KOPERNIKUS project, which aims to modernise bank management. Owing to the fundamental importance of this IT project and the specific challenges associated with its complexity, the Supervisory Board held a special session to assess its progress, review the allocation of scarce resources and, most importantly, discuss measures to overcome these challenges. Besides the detailed reports by the respective committee chairs, regulatory – in particular banking supervisory – issues as well as refinements to the deposit guarantee system of the Savings Banks Finance Group were regular subjects of discussion in the Supervisory Board meetings. The Board of Management also informed us regularly about key developments affecting our subsidiaries. One major point of discussion was the report on the Fit4Growth programme at our subsidiary DKB, which is focused on streamlining processes and achieving cost efficiencies. Reflecting the growing importance attached to ESG due not least to regulatory requirements, reports on the latest developments in sustainability-related efforts were addressed once more at every regular Supervisory Board meeting. We subjected the Board of Management's reports to critical scrutiny and requested additional information in some cases, which was always immediately provided in full.

Over several meetings, after prior consultation in the relevant committees, we dealt with Board of Management and Supervisory Board matters. In December, the Supervisory Board and Dr Markus Wiegelmann agreed to terminate the latter's Board of Management contract early. Effective 1 July 2025 Dr Wiegelmann will leave the Board of Management by mutual agreement and on the best of terms to devote his time to a new set of challenges outside the Group. The Board of Management and Supervisory Board issues also included the assessment of both these bodies, required by law and the pertinent regulations, and an evaluation of matters relating to HR, remuneration and business strategy. We also set the targets for the Board of Management for the new year and issued our feedback to the Board of Management members on the degree to which they had met the targets for the previous financial year.

Here are the details of each of the Supervisory Board meetings:

In our meeting in January 2024, the Board of Management of BayernLB informed us of a management board matter at DKB. The Board of Management also provided us with an initial outlook for the financial figures for 2023.

The focus of our meeting in April 2024 was on the Board of Management's report for financial year 2023, the adoption of the annual financial statements and the approval of the consolidated financial statements. The resolution was based on the recommendations of the Audit Committee and an in-depth discussion with the auditor PricewaterhouseCoopers GmbH Wirtschaftsprüfungsgesellschaft (PwC). In accordance with a proposal by the Audit Committee, the Supervisory Board recommended to the Annual General Meeting that the auditing firm PwC be reappointed to audit the 2024 annual financial statements of BayernLB and the Group, which the General Meeting agreed to. We also addressed the combined separate non-financial report of the BayernLB Group for 2023, the content of which had been subjected to a limited assurance engagement by PwC. We followed a further recommendation by the Audit Committee, namely on the appropriation of the distributable profits, and submitted a

proposal to the Annual General Meeting accordingly. We furthermore proposed to the Annual General Meeting that the Board of Management be discharged for 2023. In addition, we looked at issues surrounding the remuneration policy and discussed both Group Audit's annual report and the report on outsourcing, information security and business continuity management.

In another meeting in April, we also discussed a status update on our strategy for the buildings in Munich the Bank uses for its own operations. We discussed with the Board of Management the progress made thus far on the Bank's project portfolio, as well as the status of the BayernLB Group's legally required resolution planning. We also deliberated on the HR report and issues related to Group IT.

The main items on the agenda of our meeting in July 2024 included a further update on key planning parameters and their impact on the medium-term planning. We took note of the report on equity interests and the remuneration monitoring report by the remuneration officers. In addition, the Supervisory Board was updated on various IT matters and on the current status of discussions and coordination involving the banking supervisory authority, the shareholders and the Bank regarding the eligibility of the silent partner contributions of the Free State of Bavaria as Common Equity Tier 1 capital (CET1).

Highlights of our October meeting included governance issues arising from the implementation of a European Banking Authority (EBA) directive and a report on the status of plan and cover assets used for pension obligations. We gave our consent to a matter related to equity interests in connection with our subsidiary DKB.

One key matter at a special meeting in November was regarding an equity interest, which we gave our consent to.

An additional key focus, at the December meeting, was to discuss and approve the Group's medium-term planning for 2025 to 2029. We were also briefed by the Board of Management on the progress with implementing the data strategy, including the underlying regulatory requirements. We also dealt with the updating of the recovery plan pursuant to the German Recovery and Resolution Act (Sanierungs- und Abwicklungsgesetz (SAG)). We agreed to various remuneration and HR policy measures.

Supervisory Board committees – an overview

In a total of five meetings, the **Risk Committee** dealt with all the key issues relating to the Risk Strategy agreed by the Board of Management and all aspects of BayernLB's risk situation at both Group and Bank level. Over the past financial year, particular attention was paid to current geopolitical developments and the challenging economic situation in Germany, along with their impact on BayernLB's customer and business portfolios. Within this context, the Committee dealt with the reports from the Board of Management on risk-bearing capacity and sector portfolios and discussed various stress scenarios relating to the corporate customers and real estate business. The Committee also approved individual loans requiring authorisation, reviewed whether the terms and conditions in the customer business were in line with the Bank's business model and risk structure, and discussed the Group-wide risk strategies, which must be updated at least once a year, and selected risk-relevant individual credit exposures. At every meeting, the Committee also examined developments in the capital markets and, within this frame of reference, discussed the funding situation in the Group with the Board of Management. The Risk Committee acknowledged the audit plan put forward by the internal Audit Division, the annual report on reputational risk management and reports on non-financial risk issues, with developments in cyber security being a focus area.

With the focus on risk data availability, the Risk Committee was updated once more on developments in the KOPERNIKUS project. Also in the past financial year, the Committee again took up ESG-related issues and how they impact the Bank's business policy.

The **Compensation and HR Committee** carried out its legally mandated duties in a total of three meetings. Its discussions included the Board of Management's reports on the structure of the remuneration systems for employees (focusing partly on their alignment to the business and risk strategy) and how to fine-tune it, monitoring these systems' suitability and receiving regular updates on specific issues, including those arising from BaFin's questions and answers on the Remuneration Regulation for Institutions. It evaluated the impact of the remuneration systems on the Bank and the BayernLB Group's risk, capital and liquidity situation and deliberated on how the main bonus pool should be calculated and distributed. The Compensation and HR Committee also monitored the process for identifying risk takers and Group risk takers, discussed the report by the remuneration officers on the appropriateness of the staff remuneration systems and was informed about the Bank's activities to increase the proportion of women in management positions and fair pay issues. Under its area of responsibility, the Compensation and HR Committee also provided advice relating to Board of Management remuneration and submitted data to help inform the Supervisory Board's decisions on this matter.

The Compensation and HR Committee and Risk Committee worked closely together and regularly exchanged information.

The **Executive and Nominating Committee** met ten times in the reporting period. These meetings centred on preparations for Supervisory Board meetings, particularly in connection with our KOPERNIKUS project but also with business, corporate and HR policy deliberations. In the 2024 financial year the Committee also prepared decisions on Board of Management matters for the plenary session in accordance with its legally mandated duties. Another focus of the Committee's work in 2024 was on evaluating the Board of Management and the Supervisory Board in accordance with the German Banking Act and the ESMA/EBA guidelines on assessing the suitability of members of the management body and holders of key positions. The Committee also supported BayernLB's owners on issues relating to the composition of the Supervisory Board.

In a total of four sessions, the **Audit Committee** dealt with the monitoring of the accounting process and the effectiveness of the risk management system, particularly the internal control system and the Audit Division. The Committee also oversaw the implementation of the audit of the annual financial statements and the consolidated financial statements, particularly with regard to the independence of the auditor and the services it provided, including the approvals needed for non-audit services. The Audit Committee also discussed the combined separate non-financial report of the BayernLB Group for 2023 and the findings of the related audit undertaken by PwC. Other issues the Committee looked at in detail were the Board of Management's reports on BayernLB's current financial position and performance and on topics related to Group IT and taxation. Particularly in light of the altered interest rate environment, the Audit Committee also analysed deposit and investment trends across the Group and the related pricing strategy and interest rate management and the associated impact on the income statement. Furthermore, the Audit Division and Group Compliance reported to the Audit Committee on various matters, including their work programmes and their findings in 2024. The Committee conferred with the auditor PwC on the latter's report for financial year 2023 and the Board of Management's regular reports on the Group's financial position and financial performance, and discussed with PwC the focus of the audit of the 2024 accounts, among other things. Furthermore, the Committee carried out the assessment of audit quality required by law from the perspective of the audited company.

In its three meetings, in accordance with its legal duties, the **BayernLabo Committee** addressed all matters in respect of BayernLabo on behalf of the Supervisory Board and passed resolutions concerning BayernLabo's affairs for which the Supervisory Board is responsible. It also discussed the Business and Risk Strategy, the medium-term planning for 2024 to 2028, the internal audits and the planning of personnel with both the Board of Management's segment head and BayernLabo's senior management. The Board of Management's segment head and senior

management of BayernLabo moreover reported to the Committee on BayernLabo's performance and on sustainability issues, internally funded programmes and the impact of the KOPERNIKUS project on BayernLabo.

The Supervisory Board and respective committees carried out the tasks required of them by law, the Statutes and their current Rules of Procedure.

Additional specialist training

Specialists from the Bank, representatives from auditing firms and external experts held three training events for the Supervisory Board. These seminars covered current developments with regard to regulations, IT/cyber security, sustainability and combating money laundering, and the major challenges resulting from all this for banks and their supervisory bodies, with a focus on the BayernLB Group.

The members of the Supervisory Board also completed courses and advanced training required for their tasks and took advantage in particular of the external seminars offered by auditing companies on current topics in the banking sector and in corporate governance.

Corporate governance

The BayernLB Corporate Governance Principles set out the provisions on corporate management and corporate supervision that apply to BayernLB on the basis of binding and in-house regulations. The Supervisory Board discussed compliance with these Corporate Governance Principles in 2024 in its meeting on 10 April 2025. The Board of Management, Supervisory Board and Annual General Meeting agreed that they were aware of no evidence to indicate these principles had not been observed in financial year 2024.

Changes in the composition of the Supervisory Board and Board of Management

Dr Ulrike Wolf-Prexler left the Supervisory Board on 31 January 2024; she was succeeded by Dr Klaus-Peter Potthast. In addition, Prof. Dr Roland Fleck stepped down from the Supervisory Board on 30 April 2024. Mr Burkhard Eckes was appointed as his successor.

Marcus Kramer stepped down from the Board of Management of BayernLB on 30 June 2024. Ms Sigrid Kozmiensky joined the Board of Management, effective 1 July 2024.

We would like to thank the outgoing members of the Supervisory Board and Board of Management most warmly for their constructive contribution and services in what have been challenging times.

Consolidated financial statements and combined separate non-financial report

The Bank and Group auditor PwC conducted the audit of the Bank's annual financial statements, consolidated financial statements and combined management report for financial year 2024 and issued an unqualified audit opinion. PwC also audited the annual financial statements and management report of BayernLabo, a legally dependent institution of the Bank, and also issued an unqualified audit opinion.

The non-financial statement, stipulated in Sections 289b and 315b of the German Commercial Code (HGB), was published by the Bank in the form of a combined separate non-financial report that is included in this annual report. Within the framework of its auditing obligations, the Supervisory Board exercised its option of having the contents of the non-financial declaration externally audited by PwC as a separate mandate.

The Supervisory Board and BayernLB's BayernLabo Committee each verified the independence of PwC. The financial statements documentation and audit reports were duly presented to all Supervisory Board members.

The BayernLabo Committee and the Audit Committee examined each of the documents forming part of the annual and consolidated financial statements in conjunction with the auditor's report and discussed them in detail with the auditor. Each committee chair reported to the Supervisory Board on this matter.

In its meeting on 8 April 2025, the BayernLabo Committee adopted BayernLabo's submitted annual financial statements and approved the management report on BayernLabo's accounts.

On the recommendation of the Audit Committee, and after examining the auditor's reports and the documentation relating to the annual and consolidated financial statements and non-financial reporting, and discussing these in detail with the auditor, the Supervisory Board in its meeting on 10 April 2025 approved the findings of the audit and concluded that it had no reservations following the conclusion of the audits.

In its meeting on 10 April 2025, the Supervisory Board adopted the annual accounts of the Bank as submitted by the Board of Management and also approved the consolidated financial statements and combined management report.

Furthermore, the Supervisory Board proposed to the Annual General Meeting that the Board of Management be discharged and that the reported distributable profits of €600 million be distributed to the shareholders. The Annual General Meeting gave its approval of both proposals in its meeting on 29 April 2025.

A thank you to the customers, the Board of Management and the staff

The Supervisory Board would like to thank all of the BayernLB Group's customers and business partners for their loyalty over this past financial year. It also wishes to thank all the employees in the Group and the members of both DKB's and BayernLB's Board of Management for their hard, very fruitful work and huge personal contribution in the past year.

Munich, 29 April 2025

On behalf of the Supervisory Board,

Dr Wolf Schumacher

Chairman

**Combined management report
of the BayernLB Group
and BayernLB**

Combined management report of the BayernLB Group and BayernLB

Bayerische Landesbank Anstalt des öffentlichen Rechts, Munich (hereinafter also referred to as “BayernLB” or “the Bank”), made use of the option under Section 315 para. 5 of the German Commercial Code (HGB) in conjunction with Section 298 para. 2 HGB and combined the management reports of BayernLB and the BayernLB Group. The information on BayernLB is provided in a separate section within the report on the economic position, which includes disclosures under HGB.

Pursuant to Section 315e HGB, BayernLB’s consolidated financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) as they are required to be applied in the European Union. With the exception of the HGB disclosures in the “Report on BayernLB’s net assets, financial position and results of operations (HGB)” section, all the financial figures in this combined management report, including the comparison figures for the previous year, are reported under IFRS.

The information provided in the combined management report generally relates to the BayernLB Group; if there are material differences with respect to BayernLB, that information is provided separately.

The combined management report includes, in particular in the risk report and the report on expected developments and opportunities sections, specific statements about the future which are based on current assumptions and forecasts and other available information. Various known and unknown risks, uncertainties and other factors may cause the actual results, financial position and the development and performance of the BayernLB Group to deviate significantly from the estimates given here. These risks and opportunities are described in the risk report section, the report on expected developments and opportunities section and elsewhere.

Foundations of the BayernLB Group

Group structure

BayernLB, whose head office is in Brienner Strasse 18, 80333, Munich, is the parent company of the BayernLB Group. It is also the parent company of Deutsche Kreditbank Aktiengesellschaft, Berlin (hereinafter “DKB”), Bayern-Invest Kapitalverwaltungsgesellschaft mbH, Munich (hereinafter “BayernInvest”), Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich (hereinafter “Real I.S.”), and other companies. DKB is also the parent company of a group.

Bayerische Landesbodenkreditanstalt Anstalt des öffentlichen Rechts, Munich (hereinafter “BayernLabo”), is a legally dependent institution established under public law of BayernLB that is, however, organisationally and financially independent.

BayernLB has a nominal capital of €2,800,000,000. As at 31 December 2024, the share capital belonged to BayernLB Holding AG, Munich, the entity entrusted with ownership. The indirect owners (shareholders) are the Free State of Bavaria, which holds around 75%, and the Association of Bavarian Savings Banks, which holds around 25%.

The BayernLB Group’s business activities are focused on Germany, but the Group also operates in selected foreign markets. BayernLB’s registered office is in Munich. The BayernLB Group also has offices in other locations in Germany (Berlin, Düsseldorf, Frankfurt am Main, Hamburg, Leipzig and Stuttgart) as well as a branch (Nuremberg). Outside of Germany, it has several branches (New York, London, Paris, Milan and Amsterdam).

Business model and Group strategy

As a streamlined specialised bank, BayernLB is a major investment lender to the Bavarian and German economies. As a commercial bank, central bank to the regional savings banks, principal bank for the Free State of Bavaria and development bank, it is a reliable partner to its customers – companies, savings banks, financial institutions, retail customers, institutional investors and the public sector.

Strategic focus and objectives

The BayernLB Group’s strategic vision remains the same: to achieve consistently profitable growth by building on its own strengths while focusing on customers it can create real added value for, mainly through financing and advisory services. The strategic objectives for the Bank’s Sales units were twofold: firstly, to reduce dependence on the traditional lending business by expanding specific advisory expertise, increasing customer benefits and maintaining and (further) developing long-term customer relationships; and, secondly, to increase regional earnings and risk diversification while seizing growth opportunities in the sectors of the future in high-margin, high-growth (foreign) markets.

As part of the BayernLB Group’s regular strategy-setting process, and given the uncertainty due to the numerous (geo)political crises and their implications for the macroeconomic environment, BayernLB subjected its strategic vision to a regular review in the first half of 2024.

In July 2024 the Board of Management and Supervisory Board readopted the business strategy for the BayernLB Group and its segments, with only a few isolated adjustments made in some segments, including a shift of weightings among individual business activities and the launch of the life science focus sector on 1 January 2025. In this sector, companies from the fields of chemistry, pharmaceuticals, biotechnology, medicine and medical technology are supported in their endeavour to successfully grow and transform their business models.

The Group also continued its work to transform DKB into a modern tech bank. The goal is to keep the bank on its growth path, with more focus to be placed on efficiency as a basis for achieving further growth through specific and appropriate measures.

In the first half of 2024 BayernLB successfully finished consolidating the IT applications environment in Trading with the conclusion of the hypercare phase for the KITT project. The programme to modernise bank management (KOPERNIKUS) was pursued with great focus and effort throughout the year. This programme encompasses several projects – finance, risk management and reporting – which are managed and coordinated centrally, i.e. that are not run independently. The go-live for the finance project is scheduled for January 2026. Bank management is being modernised sequentially so that, based on the current plan, the risk management and regulatory reporting projects will be completed in stages between 2027 and 2029.

BayernLB continued to pursue the following overarching strategic goals in 2024:

- Focusing business activities squarely on the challenges of tomorrow and optimising the customer experience by building up product and advisory expertise along the value chains
- Achieving targeted growth in the high-margin core business within the existing risk thresholds, especially in asset-based and structured financing and in the real estate business
- Improving profitability by systematically leveraging efficiencies in the operating model, sustainably reducing the cost basis and making targeted investments in the Bank's infrastructure
- Fostering a cooperative and collaborative working environment and selectively digitalising distribution channels, the range of services offered and the operating model

The BayernLB Group, furthermore, is focusing actively on sustainability and has defined a clear vision for the Bank and its subsidiaries for this purpose. To operationalise its Sustainability and Environmental Policy and its Sustainability Strategy, BayernLB implemented a Sustainability Programme, published in its Sustainability Report pursuant to the Standards of the Global Reporting Initiative (GRI), that entails goals and measures for each relevant topic. It is a key tool for making further improvements to the Bank's sustainability performance. In addition, BayernLB has developed a framework, based on its Guiding Principles for Transformation, for integrating, revising and publicly sharing its position on major contemporary challenges, including its corporate values, overarching ethical, environmental and social standards and its stance on controversial issues and sectors. Over the past four years, BayernLB has successfully positioned itself on the market as a “#financierofprogress” and steadily transformed its business model from universal bank to streamlined, specialised lender. At the same time, it achieved its goals to improve profitability and strengthen the Group's capital base.

The BayernLB Group's goals for the next few years will be to continue realising its strategy and financial vision, taking account of technological progress, market developments and the competitive environment.

The BayernLB Group's operating business segments

The BayernLB Group comprises BayernLB and the subsidiaries over which BayernLB can directly or indirectly exercise a controlling influence. In addition, BayernLB is in charge of managing the Group, which comprises the following three key operating business segments:

- Real Estate & Savings Banks/Financial Institutions, including Bayerische Landesbodenkreditanstalt Anstalt des öffentlichen Rechts, Munich (BayernLabo), and the subsidiary Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich (Real I.S.)
- Corporates & Markets
- DKB – the Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB), sub-group

At the beginning of financial year 2024, BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (BayernInvest), which had been part of the Real Estate & Savings Banks/Financial Institutions segment, was assigned to the Central Areas & Others segment, a non-operating segment. BayernInvest handles securities asset management for BayernLB, focusing mainly on advisory services and managing securities investment funds for institutional and private investors.

Real Estate & Savings Banks/Financial Institutions segment

In the real estate business, BayernLB prioritises commercial real estate financing and services, focusing on Germany and established, stable international markets, with branches in Paris, London, Milan, Amsterdam and New York. In commercial real estate, products include financing for existing real estate assets, project development, housing developers and portfolio funding. In terms of asset classes, the focus is on offices, residential property, logistics, retail and managed real estate in the areas of hotels and social care.

To serve customers more comprehensively under one roof, the Bank makes extensive use of its close working relationships with subsidiaries and equity interests, such as Real I.S., LB Immobilienbewertungsgesellschaft mbH, Munich (LBImmoWert), BayernGrund Grundstückbeschaffungs- und -erschließungs GmbH (BayernGrund) and Bayern Facility Management GmbH, Munich (BayernFM). Real I.S.-Group is an asset manager that handles real estate investments for retail and institutional investors, with its focus on Germany, Europe and Australia. Along with its real estate services companies, BayernLB offers a coordinated range of products from advising on energy-efficient upgrades, sustainable valuations, green financing products, including the use of subsidies, right through to institutional investments in green assets.

The Bank is a dependable partner to the savings banks and the central bank to the S-Finanzgruppe (Savings Banks Finance Group) in Bavaria. BayernLB performs key tasks in its Association business for the savings banks (especially those from Bavaria), which are an important group of customers and sales partners. In these times of necessary structural change, the Bank helps the savings banks and their customers become more sustainable by offering them a needs-oriented and growing selection of products and services. This working relationship is centred around complementary products and services for the savings banks' own and end-customer business. These include payment services, capital markets business, international business, syndicated lending, subsidised lending, and foreign notes and coins/precious metals activities. Through its broad range of precious metal products and its expanded centre of expertise for foreign notes and coins and precious metals in Nuremberg, BayernLB has evolved in this segment into one of Germany's market-leading providers. In addition, funding from the savings banks is an important source of refinancing for BayernLB, while also strengthening the common liquidity pool.

BayernLB also acts as a lender and service provider to the public sector, especially in its role as the principal bank for the Free State of Bavaria, as well as to public-law and non-profit institutions.

BayernLB's subsidised loan business for the Free State of Bavaria is assigned to BayernLabo. BayernLabo has a public mandate to provide financial support, as part of housing policy and in conformity with the state aid provisions of the European Union, for measures aimed at improving and strengthening Bavaria's housing and settlement structure. As a municipal bank of the Free State of Bavaria, BayernLabo also provides financing to Bavarian local authorities and public-sector special-purpose associations.

Another focus is on providing services worldwide to insurers, (correspondent) banks, building societies and asset managers. With European insurers, BayernLB has a significant volume of business in letters of credit. An extensive network of institutional customers provides BayernLB with a broad investor pool. The Bank also fosters the development and sales of sustainable financial products and services, and thereby assists customers further in their own sustainable alignment or transformation.

Corporates & Markets segment

Corporates handles business with large German and selected international companies and the Mittelstand corporate customer business. BayernLB focuses here in particular on providing financing to corporate customers in what it sees as the growth sectors of the future – mobility, energy, technology, manufacturing & engineering, construction & basic resources and, since 1 January 2025, life science. The Bank's core competencies include traditional and structured credit financing. Its range of products includes working capital, capex and trade financing, project and export financing, financing of leasing companies and asset finance. The Bank also offers a well-developed ESG advisory service which actively supports sustainable financial solutions. This entails advising customers on environmental, social and governance issues so as to help them develop and implement sustainable, responsible business strategies, while also promoting suitable banking products in this context, e.g. green loans or bonds.

The range of products and services offered by Markets largely comprises money market, interest and foreign currency trading; regulated and voluntary CO₂ trading; and assistance for customers in tapping capital markets for their financing needs, especially through bonds and Schuldschein note loans. The segment's customer base comprises mostly German and international corporate and Mittelstand customers, real estate customers, savings banks and financial institutions, with each category being served by the respective business area. When it comes to sustainability, BayernLB offers the full range of debt capital market products – from green, social and sustainable bonds and Schuldschein note loans to sustainable deposits. It also supports clients in structuring, creating a framework and commissioning a second-party opinion, through to placement.

DKB segment

As before, DKB is an integral part of the BayernLB Group and complements the Group's business model. Its business activities are focused almost exclusively on Germany.

In retail banking, DKB operates as an online bank with a steadily growing customer base and mainly offers account packages, construction financing, personal loans and investment products. By making targeted investments in digitalisation, DKB is laying the foundation for significant growth in its retail customer business.

DKB is also a corporate banking specialist in business with corporate and infrastructure customers, which mainly entails doing business with clients in the sectors of local authorities and social infrastructure, energy and utilities, residential real estate and property management. One of DKB's key areas of expertise is financing and investment products in selected, primarily sustainable sectors in Germany: renewable energy, residential property, agriculture, health, social care and education.

In 2024 DKB continued its work towards successfully implementing its group-wide efficiency programme Fit4Growth. The goal of the transformation programme, which is set to run until the end of 2025, is to sustainably optimise DKB's operating model, create a basis for further growth and thereby secure profitability for the long term.

Sustainability strategy and reporting

The Bank pursues a number of goals in its Sustainability Strategy, which was revised in 2024, such as achieving a climate-neutral portfolio before 2050, increasing the ESG-compliant share of its portfolio and financing its customers' transformations. For this purpose, specific targets and measures, including those pertaining to the individual business areas, are set out in the Sustainability Programme, which operationalises the Sustainability Strategy. The shared understanding of sustainability at the BayernLB Group rests on the 17 global sustainability goals of the UN Agenda 2030, the climate goals of the Paris Agreement, the objectives of the EU Taxonomy, the Bavarian Sustainable Development Strategy, the German federal government's Sustainable Development Strategy and the goals described in Germany's Sustainable Finance Strategy. The BayernLB Group goes into greater detail about the sustainability topics and aspects identified as important for the company in its combined separate non-financial, which does not form part of the combined management report.

BayernLB is subject to the EU Taxonomy Regulation (Delegated Regulation (EU) 2020/852) and the EU Corporate Sustainability Reporting Directive (CSRD). To implement sustainability-related regulatory, strategic and market requirements, BayernLB has launched the ESG project SUSTAINABILITY in 2021, which it continued to work on intensively in 2024. The focus has been on decarbonisation, the Sustainability Strategy and sustainability reporting.

On 24 July 2024, the Federal Ministry of Justice (FMJ) published the draft law to transpose Directive (EU) 2022/2464 of the European Parliament and Council, dated 14 December 2022, amending Regulation (EU) No. 537/2014 and Directives 2004/109/EC, 2006/43/EC and 2013/34/EU regarding corporate sustainability reporting (the Corporate Sustainability Reporting Directive – CSRD).¹ As at the end of 2024, the CSRD has not been transposed into German law. In its combined separate non-financial report for 2024, the BayernLB Group therefore continued to comply with the applicable requirements of the Non-Financial Reporting Directive (NFRD) and its national implementation through the Corporate Social Responsibility Directive Implementation Act (CSR-RUG). As in previous years, the report contains information in line with the EU Taxonomy Regulation. DKB has opted to already voluntarily apply the European Sustainability Reporting Standards (ESRS) as the framework for the DKB Group for the 2024 financial year.

The combined separate non-financial report by the BayernLB Group contains BayernLB's non-financial reporting and the BayernLB Group's non-financial reporting pursuant to Section 315b para. 3 HGB in conjunction with Section 289b para. 3 sentence 2 HGB and disclosures pursuant to Article 8 of the EU Taxonomy Regulation.

The BayernLB Group's combined separate non-financial report, along with its consolidated financial statements and Group management report for financial year 2024, will be submitted to the entity maintaining the company register and published in the German Federal Gazette. BayernLB's annual financial statements and the BayernLB Group's annual report can also be viewed online at www.bayernlb.com.

Changes to the scope of consolidation

Significant changes to the scope of consolidation in the DKB sub-group took place during the reporting year. On 1 January 2024 MVC Unternehmensbeteiligungsgesellschaft mbH merged with DKB Finance GmbH, Berlin. As at 31 December 2023 both companies were fully consolidated in the sub-group financial statements of DKB as wholly-owned subsidiaries. As at 31 December 2023 DKB AG also held 50.1% of Bayern Card-Services GmbH – S-Finanzgruppe, Munich (BCS). In October 2024 BCS was merged with PLUSCARD Service-Gesellschaft für Kreditkarten-Processing mbH, Saarbrücken, with retroactive effect to 1 January 2024. The merger created a new company – qards GmbH, Saarbrücken (qards), of which DKB holds 26.086%. Under its Fit4Growth efficiency programme, DKB conducted a major review of its organisational structures and processes, including the group's internal risk handling process for terminated receivables in the retail banking segment. To improve efficiency, the process is being restructured, with DKB planning to sell its fully consolidated subsidiary FMP Forderungsmanagement Potsdam GmbH (FMP) in financial year 2025. As a result, FMP is classified as at 31 December 2024 as a disposal group under IFRS 5 and the associated assets and liabilities are reported separately under "non-current assets or disposal groups classified as held for sale" and "liabilities of disposal groups". For detailed information on the scope of consolidation as at 31 December 2024, please also refer to the notes to the consolidated financial statements (note 3).

¹ https://www.bmj.de/SharedDocs/Gesetzgebungsverfahren/DE/2024_CS RD_UmsG.html.

Group management

Internal Group management system

The BayernLB Group's internal management system deals with the interrelated variables of profitability, risk, capital and liquidity. One of the main goals of the internal management system is to continuously optimise the resources employed while simultaneously ensuring that the Group's capital and liquidity base is adequate. The monthly Group management report includes a comprehensive analysis of these performance indicators and informs management as to whether the BayernLB Group is within the target bands of its operational and strategic goals.

Operations are managed primarily at segment level as part of the management cycle. This is a continuous process of carrying out annual medium-term planning, producing intra-year detailed target versus actual comparisons and making projections to the end of the year.

Financial performance indicators

The management of the Bank is essentially based on consolidated figures under IFRS and applicable banking supervisory regulations. The key financial performance indicators for managing the BayernLB Group are as follows:²

Indicator	Description
Profit/loss before taxes	Profit or loss before taxes under IFRS
Return on equity (RoE)	Ratio of profit before taxes to capital, as calculated using a regulatory approach. The average Common Equity Tier 1 (CET1) capital available over the financial year is used at Group level to calculate the return on the capital employed. For all management levels below Group level, the average economic capital employed in the financial year is derived from the risk weightings (RWAs) of the underlying individual transactions specified by the regulatory authorities.
Cost/income ratio (CIR)	Ratio of administrative expenses to gross earnings as an indicator of cost efficiency. Gross earnings comprise net interest income, net commission income, gains or losses on fair value measurement, gains or losses on hedge accounting, gains or losses on derecognised financial assets, gains or losses on financial investments and other income and expenses.
Common Equity Tier 1 (CET1) capital ratio	Ratio of Common Equity Tier 1 (CET1) capital to total risk-weighted assets (RWAs). Common Equity Tier 1 capital comprises subscribed capital plus reserves, the capital contribution of BayernLabo and various supervisory adjustments and deductions.
Leverage ratio (LR under CRR II/CRD V)	Ratio of core capital to total exposure (leverage exposure in accordance with CRR) as a non-risk-based metric for indebtedness.
Utilisation of economic capital	Percentage of available capital (economic risk capital) utilised to cover unexpected risks.
Liquidity coverage ratio (LCR under DelReg and CRR/CRD IV)	The LCR measures the ratio of available highly liquid assets to the total net cash outflows for the following 30 days under stress conditions.
Net stable funding ratio (NSFR under CRR/CRD IV)	The ratio of the amount of stable funding available to the amount of stable funding required is calculated to determine the NSFR. The amount of stable funding available is the proportion of own and borrowed funds that can be expected to represent a reliable source of funding over a time horizon of one year under persistent stress conditions. The required amount is calculated by aggregating the value of the assets held and the off-balance sheet liabilities, weighted by one of the factors reflecting the liquidity features.
Non-performing loan ratio (NPL ratio)	NPL ratio in % corresponds to the share of exposure in rating categories 22 to 24 as a proportion of total gross exposure (GEX).

² The BayernLB Group no longer considers non-performing loans one of its key management indicators.

For BayernLB, net profit before taxes under German accounting standards (HGB) before appropriation of profits is also a key financial performance indicator.

The key financial performance indicator trends in 2024 are examined in external reporting through a forecast/actual comparison, including a year-on-year comparison (see the report on the economic position). The trends anticipated for 2025 are described in the report on expected developments and opportunities.

Non-financial indicators

As part of its sustainability management, BayernLB uses non-financial indicators such as ESG compliance of the portfolio, measured through ESG Basic and ESG Plus assessments³ (see “Reputational risk, sustainability and environmental management” section), and decarbonisation paths⁴. These are geared towards the limiting of global warming (based on CO₂ emissions) to 1.5 degrees Celsius by 2050. For this purpose, in financial year 2024 BayernLB implemented a management plan and a decision-making process to identify measures to be taken. Non-financial performance indicators also affect the remuneration of the Board of Management. In financial year 2024 BayernLB added elements relating to decarbonisation management, amongst other things, to the ESG components which have been used since 2022 to set the targets for the Board of Management’s remuneration. One of the focuses in recent years has been on determining the green asset ratio (GAR), published for the first time in the BayernLB Group’s 2023 combined separate non-financial report. In BayernLB’s view, however, the GAR under the EU taxonomy is not sufficiently meaningful in terms of the actual percentage of ecologically sustainable assets, since there are restrictions on eligibility for the taxonomy related to clients’ size and capital market orientation.

The Bank believes that CO₂ reduction across the Group companies will emerge as a key goal, so that the decarbonisation paths will become increasingly important in the future for managing the BayernLB Group. Since the year under review, selected information from the “KPI strategy” (including the percentage of ESG compliance and the decarbonisation paths) has become part of the semi-annual section of the Group management report. Since, in BayernLB’s view, metrics such as GAR are not meaningful at present, coupled with the fact that no comparable market practices have emerged for other metrics and the observation period is still too short for the long-term goal of the decarbonisation paths, this information and these metrics are currently not actively used for BayernLB Group management purposes. Specifically, the non-financial performance indicators implemented are not used to analyse the course of business or performance of BayernLB or the BayernLB Group, so no information is provided pursuant to Sections 289 para. 3 and 289c para. 3. no. 5 of the German Commercial Code (HGB).

Internal control system for financial reporting

In terms of financial reporting, the goal of BayernLB’s internal control and risk management system is to ensure that the annual financial statements and the consolidated financial statements of BayernLB present a true and fair view of the Bank’s net assets, financial position and results of operations pursuant to the applicable accounting standards under HGB, and of its financial position and financial performance pursuant to the applicable accounting standards under IFRS. Since at BayernLB the internal control system and the risk management system are – with regard to financial reporting – interlinked, the term “ICS” (internal control system) is used below to encompass both. BayernLB has implemented the policies established in the Minimum Requirements for Risk Management

³ A classification to the “ESG Basic” category is made when the business purpose of the company in question is predominantly sustainable (>90%), or it is made directly on the basis of the financed measure or financed product (as with e.g. sustainability-linked products), barring any earmarking. Earmarked financing is classified as “ESG Basic” if it contributes to selected overarching environmental or social objectives or sub-goals and thus embodies a qualitative contribution. If a financing additionally meets the criteria of the EU taxonomy (technical standards (EU) alignment), it is classified as “ESG Plus”.

⁴ The disclosure requirements impose a regulatory obligation to set decarbonisation goals for relevant credit portfolios. These were first published in the disclosure report as at 30 June 2024 and are being updated for disclosure as at 31 December 2024. A transition plan for 2025 will be drawn up and published.

(MaRisk) for the institution-specific structuring of an internal control system. Details related specifically to the risk management system can be found in the risk report section of this combined management report.

The objective to provide proper and reliable financial reporting is put in jeopardy if material information in financial reporting is inaccurate. This is the case regardless of whether this arises as a result of a single issue or a combination of several factors. Risks to financial reporting may stem from errors in accounting processes. In addition, fraudulent conduct may lead to the misrepresentation of information. Therefore, the Bank must ensure that the risks of providing an incorrect presentation, evaluation or disclosure of material information in financial reporting are minimised.

When it comes to BayernLB's accounting processes, the purpose of the ICS is to ensure the accounts have been properly prepared and are reliable. BayernLB's Board of Management has full responsibility for operating a proper business organisation.

When the Bank designed the components of the accounting-related ICS, it took account of internationally recognised frameworks for internal control systems. The system comprises:

- Group-wide guidelines on accounting
- Controls integrated into processes and IT systems
- Principles for segregating duties as organisational measures
- Process-independent monitoring measures

The ICS is continually improved and regularly evaluated for its effectiveness using central and local process analyses, analyses of the data in the finance systems and audit activities. The most important features of the ICS in terms of financial reporting are described below.

Under MaRisk, the Board of Management is responsible for implementing, executing, refining and reviewing the Bank-wide ICS. While the Board of Management oversees the structuring of the Group-wide ICS and must ensure that it is demonstrably adequate, the Chief Financial Officer (CFO) is responsible for the structure and effectiveness of the ICS for financial reporting purposes. The latter's role includes structuring the ICS with suitable and effective control steps and integrating them into the respective processes. It is the Board of Management's responsibility to ensure the proper and accurate preparation of the separate and consolidated financial statements.

The consolidated financial statements of the BayernLB Group must be prepared in accordance with International Financial Reporting Standards (IFRS) as they are required to be applied in the European Union, and in accordance with the provisions under commercial law set out in Section 315e para. 1 HGB, which must be observed in addition. The ICS as applied to the accounting processes is also designed to ensure that BayernLB's annual financial statements and the combined management report are prepared in accordance with HGB.

The Finance Division manages the accounting processes and financial reporting processes. Accounting, measurement and account assignment policies can be viewed on the intranet under the written organisational rules (sfO). Laws, accounting standards and other pronouncements are continually analysed to determine whether and to what extent they are relevant and what impact they have on the accounting. The relevant requirements are set out and communicated in the (HGB and IFRS) accounting manuals and used, together with the Group-wide instructions for preparing the annual accounts, as the basis for the preparation process. In addition, supplementary procedural instructions are in place to support the process of preparing the consolidated financial statements in a uniform and true and fair manner. These cover areas such as standardised reporting formats, IT systems and IT-supported reporting and consolidation processes. If necessary, external service providers are brought in, e.g. to value the BayernLB Group's pension obligations. The Finance Division ensures these requirements are complied with Group-wide.

The accounting processes at BayernLB are supported by IT systems which are integrated into the respective workflows. BayernLB's annual financial statements are prepared using a financial architecture consisting of a financial data warehouse as a consistent core data repository, supplemented by proprietary and standardised applications for financial functions. As part of the ongoing KOPERNIKUS bank management project, a standardised SAP software solution will be implemented for both IFRS and HGB financial statements.

Suitable controls have been put in place to minimise the identified risks. For the ICS to be effective, the key factors for risk minimisation are the structuring of the controls with suitable control steps, their integration into the respective process and the operational implementation of the controls. The controls follow the principle that functions must be segregated. Controls are also integrated into the most important IT systems relevant for the accounting process. These perform various functions, including preventing inaccurate transaction entries, ensuring transactions are fully recognised or are measured in line with accounting regulations, and determining whether items have been properly consolidated. In addition to the measures to improve the IT systems for the accounting processes, these controls are being adapted to new requirements and the greater possibilities offered by information technology.

Clear rules have been laid out governing who is responsible for ensuring the effectiveness of the ICS in the accounting and Group accounting processes. These responsibilities have been assigned to designated managers and process owners. The Group units and divisions involved in these processes must monitor and confirm the ICS's effectiveness in their accounting. In addition, the internal Audit Division assesses the effectiveness of the ICS as part of its audit procedures. No significant weaknesses were detected in 2024. No significant modifications to the financial reporting ICS were made after the reporting date.

Human resources

Employee retention and further stabilisation of the workforce; targeted recruitment at BayernLB

Following the workforce reduction implemented under the Fokus 2024 transformation programme at BayernLB, 2024 was dedicated to forward thinking and proactive HR management. As before, the primary goals were to maintain operational stability, enhance employee motivation at BayernLB and continuously enhance the corporate culture. As a result of staff departures within the scope of Fokus 2024 and additional natural turnover – while the overall attrition rate remained at an acceptably low level of under 2% in a peer comparison – as well as emerging personnel needs, e.g. due to regulatory requirements and business initiatives tied to the current business model, targeted external hiring took place in 2024 across different business areas and central areas. In addition, the Bank continued to ramp up its task and process optimisation. Among the contributors to these efforts were a newly established process unit and the AI Competence Center. In 2024 BayernLB once again engaged the entire workforce through the “5th Pulse Check” employee survey. Targeted improvement measures were derived based on the findings. Beginning in 2025, a new annual employee survey, the Culture Check, will replace the previous format. This initiative aims to assess BayernLB’s cultural evolution and provide a foundation for future cultural programmes.

A key objective of HR activities in 2024, as in previous years, was to further strengthen BayernLB’s position as a modern and attractive employer for experienced talent and young professionals, both internally and externally. With the new employer-branding campaign #TräumMalWieder (“dare to dream”), BayernLB has responded specifically to the changed market conditions and the new needs of applicants. To support this, the career page on the company website was redesigned, new imagery was introduced for internal and external branding, a fresh HR marketing campaign was launched – particularly on social media – and internal LinkedIn brand ambassadors were established. A modern application tool enhances BayernLB’s external presence. Employer-branding efforts, including these and more, will continue to expand in 2025.

In addition, in 2024 – just as in the previous year – BayernLB introduced further initiatives to boost its appeal as an employer and support a better work-life balance. These efforts included expanding the Workation programme to include certain additional European countries and maintaining the company’s remote work and desk-sharing agreement.

BayernLB once again provided an inflation compensation and health premium in 2024 to address the challenging economic conditions while also making a positive contribution to employer attractiveness.

Employee retention relies on personal recognition, career growth opportunities and a binding career plan. To enhance individual career planning, the Bank severed the employees’ “career development dialogues” from their “performance dialogues” in 2024. Another major focus in 2024 was the continued enhancement of the corporate culture. The #ProgressDNA initiative was progressively implemented throughout the Bank. The associated values, like team spirit, courage and open-mindedness, along with the corresponding attitudes, were actively reinforced through team and departmental workshops.

Long-term transformation and targeted employee development at DKB

In 2024, DKB's employee development efforts focused on transformation support, further professional training and leadership skills development. This involved DKB refining its structures, processes and competencies through its Fit4Growth transformation project. The transformation process, which involved reducing the number of positions, was closely supported by targeted change management and numerous employee development initiatives. The goal was to effectively guide employees during the change process and lay the foundations for future competency requirements. This involved not only equipping them with the expertise they need to face the new challenges but also empowering them with the necessary skills to proactively and enthusiastically contribute to the transformation. Besides targeted external hiring, DKB concentrated in particular on internally developing and retaining highly qualified specialists (talent) for the DKB Group. Further detailed information can be found in the combined management report on the DKB Group and DKB AG, published in the 2024 annual report.

Changes in the workforce

The personnel measures described in the preceding section impacted headcount at the BayernLB Group and BayernLB⁵ as at 31 December 2024.

Headcount

	BayernLB Group		BayernLB	
	31 Dec 2024	31 Dec 2023	31 Dec 2024	31 Dec 2023
Employees	7,592	8,241	2,771	2,632
Female	3,812	4,155	1,286	1,223
Male	3,780	4,086	1,485	1,409
Part-time employees	1,833	2,087	774	735
Full-time employees	5,759	6,154	1,997	1,897
Trainees, including students on integrated degree programmes	61	58	56	50

Headcount at the BayernLB Group declined due to the implementation of the personnel measures at DKB in connection with the Fit4Growth transformation programme. BayernLB pursued targeted external investments in specialists, resulting in an increase in employee numbers.

⁵ BayernLB comprises the branches and BayernLabo.

Report on the economic position

Macroeconomic environment

Economy, inflation and monetary policy

In 2024 the global economy posted a mixed performance despite changes in monetary policy and a decline in interest rates, especially at the short end of the curve. The wars in Ukraine and Israel were still substantial negative factors and potential sources of risk. Similarly, in Syria the collapse of the Assad regime in December created further uncertainty, albeit while opening a potential pathway towards ending the civil war. Significant political shifts in the industrialised nations, with lasting effects into 2025, came about with the US presidential election and the European Parliament elections. With Donald Trump's return to the White House signalling a shift in US foreign policy and a move towards protectionist trade measures, the newly appointed European Commission, led once again by Ursula von der Leyen, faced both an industrial slowdown and a pivotal moment in defence and security policy. Germany too saw political upheaval. The coalition of the SPD, Greens and FDP collapsed in November following poor polling results, regional election setbacks and disagreements over financial and economic policy – without managing to pass a federal budget for 2025.

Amid these political disruptions it came as little surprise that global growth in 2024 remained sluggish, failing to surpass the weak expansion of the previous year, when inflationary pressures and interest rate hikes in advanced economies dampened economic activity.⁶ Among emerging markets, China's pronounced economic slowdown was a major drag, with the ongoing real estate crisis, weak consumer spending and high debt – especially among local governments – stifling momentum. The government's repeated announcements of support measures for businesses and markets, and even its aggressive expansionary monetary policy, failed to generate a breakthrough or significantly boost private consumption in the past financial year. Official data indicates that China met its growth target of precisely 5% in 2024.⁷ Among advanced economies, the growth rate in the US was well above early-year expectations, as domestic consumption remained surprisingly resilient to rising interest rates and inflation. Real growth was further driven by dynamic investment activity outside the real estate sector, along with increased government and defence spending. This was accompanied by a jump in imports. Overall, real GDP in the US went up by 2.8%.⁸

The eurozone experienced some benefits from US demand, mostly due to the strong expansion in the tourism and services sectors. Real GDP growth accelerated to 0.7%, though it remained well below that of the US.⁹ Southern European nations, with their strong presence in the tertiary sector, achieved above-average growth rates.

⁶ See IWF World Economic Outlook 2025, <https://www.imf.org/en/Publications/WEO/Issues/2025/01/17/world-economic-outlook-update-january-2025>.

⁷ See National Bureau of Statistics of China 2025, https://www.stats.gov.cn/english/PressRelease/202501/t20250117_1958330.html.

⁸ See Bureau of Economic Analysis 2025, <https://www.bea.gov/news/2025/gross-domestic-product-4th-quarter-and-year-2024-advance-estimate>.

⁹ See Eurostat 2025, <https://ec.europa.eu/eurostat/de/web/products-euro-indicators/w/2-14022025-ap>.

Industry and construction struggled due to weak domestic and international demand. Electrification, decarbonisation and structural shifts in the automotive industry remained key challenges, despite the European Commission's mid-year imposition of import tariffs on battery-electric vehicles (BEVs) from China, aimed at boosting the competitiveness of local manufacturers.

Germany recorded a 0.2% fall in real gross domestic product in 2024 compared with the previous year, marking its second consecutive year of decline.¹⁰ The main driver behind this was the manufacturing sector. The structural shift in the automotive industry is becoming increasingly challenging for manufacturers and suppliers, significantly contributing to industrial weakness. Demand for electric vehicles (BEVs) dropped sharply compared with the previous year after the purchase subsidy expired at the end of 2023. Other key sectors along the value chain, such as engineering, also experienced setbacks. By year-end, capacity utilisation in the manufacturing sector was well below the average.¹¹ Despite the interest rate reversal, construction output and investment was down on the previous year's levels. Private consumption provided some support, driven by strong wage growth, easing inflation and real wage gains. However, higher savings rates and subdued consumer sentiment led to it falling somewhat short of expectations. The job market continued to weaken, with unemployment rising to 6.1% by the end of the year¹² – the highest rate since 2016, not accounting for the Covid-19 crisis. The government increased spending on consumption and social benefits, but by mid-2024 it had hardly any capacity to introduce new economic policy measures. Foreign trade, traditionally regarded as Germany's growth driver, failed to provide any positive momentum over the year. Exports of goods and services contracted, with foreign trade making an overall negative contribution of 0.4 percentage points to growth in gross domestic product.¹³

For businesses and private households in Bavaria, 2024 proved to be a difficult year as well, as the anticipated recovery did not materialise. During the first half of the year, Bavaria's real gross domestic product ultimately contracted by 0.6% compared with the previous year,¹⁴ an even more pronounced decline than that for Germany as a whole. This was largely attributed to Bavaria's heavy dependence on the export-driven secondary sector. Industrial production experienced a marked downturn, particularly owing to significant declines in engineering and electrical equipment manufacturing.¹⁵ In this context, the stagnation of production in the automotive industry can be seen as a positive development, despite weak sales by Bavarian manufacturers in China and the discontinuation of the purchase subsidies for electric vehicles in Germany. As was the case nationwide, the main areas of resilience were the services sector and tourism. Encouraging signs were the almost non-existent rise in unemployment (annual average for 2024: 3.7%¹⁶) and the fall in inflation¹⁷ to 2.5% in the Free State of Bavaria in the period ending December 2024.

10 See German Federal Statistical Office 2025, https://www.destatis.de/DE/Presse/Pressemitteilungen/2025/01/PD25_039_811.html.

11 See ifo Geschäftsklimaindex January 2025, <https://www.ifo.de/fakten/2025-01-27/ifo-geschäftsklimaindex-gestiegen-januar-2025>.

12 See Federal Employment Agency 2025, Monthly Report, December 2024, https://statistik.arbeitsagentur.de/SiteGlobals/Forms/Suche/Einzelheftsuche_Formular.html?nn=627730&topic_f=monatsbericht-monatsbericht.

13 See German Federal Statistical Office 2025, https://www.destatis.de/DE/Presse/Pressemitteilungen/2025/01/PD25_019_811.html.

14 See German federal and state statistics offices 2025, <https://www.statistikportal.de/de/vgrdl/ergebnisse-laenderebene/bruttoinlandsprodukt-bruttowertschoepfung/bip#11489>.

15 See Bayerisches Landesamt für Statistik 2025, https://www.statistik.bayern.de/statistik/wirtschaft_handel/verarbeitendes_gewerbe/index.html#link_3.

16 See Federal Employment Agency 2025, <https://statistik.arbeitsagentur.de/Auswahl/raeumlicher-Geltungsbereich/Politische-Gebietsstruktur/Bundeslaender/Bayern.html>.

17 See Bayerisches Landesamt für Statistik 2025, <https://www.statistik.bayern.de/presse/mitteilungen/2025/pm005/index.html>.

In 2024 inflation averaged 2.4%¹⁸ in the eurozone (HICP) and 2.2%¹⁹ in Germany (CPI), falling by more than had been expected at the start of the year and, temporarily, below the ECB's target level of 2%. This drop was largely attributable to decreasing energy, electricity and crude oil prices, while food inflation stabilised at around 2% from March onwards. The primary driver of rising prices then shifted to core inflation, particularly within the services sector, which consistently hovered around double the ECB's target. This trend was largely fuelled by substantial wage growth and a strong labour market across the eurozone.

The ECB remained vigilant in monitoring inflation, wage trends and corporate earnings, maintaining a data-driven approach without providing explicit forward guidance. Overall, the central bank believed it was on course to stabilise inflation at its target level. In response to diminishing price pressures, its Governing Council initiated interest rate cuts in 2024. By January 2025 the key policy deposit rate had been reduced in five 25 basis-point increments to 2.75%.²⁰ Consequently, monetary policy became significantly less restrictive. The interest rate spread over the US Federal Reserve, which lowered its benchmark rate by 100 basis points between September 2024 and January 2025,²¹ widened by 25 basis points over the same period. In terms of liquidity policy, the ECB made minimal changes, ceasing reinvestments in its bond purchase programmes by the end of 2024.

Financial and real estate markets

On bond markets across the eurozone and the US, yields on longer-dated government bonds rose overall in 2024 despite four ECB rate cuts begun in June and three Fed cuts begun in September. However, there were significant fluctuations throughout the year, with yields temporarily correcting downwards, particularly in the third quarter. The increase in yields over the year was due to several factors. First, inflation – especially in the US – remained higher than expected in the first half of the year. Second, priced-in market expectations for rate cuts, which had been particularly strong at the start of the year, were subsequently revised downwards. Interest rate expectations remained highly volatile in the latter part of the year. Third, government bond markets had to absorb high net supply due to persistently large fiscal deficits and the continued balance sheet reduction by central banks. Finally, with Donald Trump's election victory, concerns over inflation and debt risks arising from his policy agenda led to higher risk premiums being priced in. This not only weighed on US Treasuries, but also on German Bunds, which are heavily influenced by US market trends. Yields on 10-year German Bunds climbed from 2.0% at the start of 2024 to just shy of 2.4% at the end.²² Over the course of the year, fluctuations ranged from 2.0% to nearly 2.7% (based on daily closing levels).²³ In the second half of 2024, 2-year Bund yields declined,

18 See Eurostat 2025, https://ec.europa.eu/eurostat/databrowser/view/prc_hicp_aind/default/table?lang=de.

19 See German Federal Statistical Office 2025, https://www.destatis.de/DE/Presse/Pressemitteilungen/2025/01/PD25_020_611.html.

20 See ECB 2025, https://www.ecb.europa.eu/stats/policy_and_exchange_rates/key_ecb_interest_rates/html/index.en.html.

21 See Federal Reserve System 2025, <https://www.federalreserve.gov/monetarypolicy/fomccalendars.htm>.

22 See 10-year Bund yield, taken from Refinitiv Datastream on 13 January 2025.

23 See 10-year Bund yield, taken from Refinitiv Datastream on 13 January 2025.

bringing an end in September to nearly two years of yield curve inversion (2Y/10Y) in the German Bund market. By the end of 2024, 10-year Bunds were yielding 27 basis points more than 2-year notes (Treasury bills), compared with a negative yield spread of -37 basis points at the start of the year.²⁴ In the US, yields on 10-year Treasuries were subject to a high degree of volatility, climbing from nearly 3.9% at the start of 2024 to just under 4.6% at the end of year.²⁵ Trading ranges (based on daily closing levels) fluctuated between 3.6% and 4.7% throughout the year.²⁶

The situation on the German real estate market stabilised over the course of 2024. However, persistently high interest rates and structural challenges, particularly in the office property sector, kept levels of uncertainty on the market high. While private demand for residential real estate properties began to recover, it remained subdued. However, supply remained tight, especially in the top seven cities, and this situation was further exacerbated by the slump in residential construction activity. In total, prices of residential properties fell by just 1.4% across the country in 2024 compared with the previous year, according to the vdp.²⁷ In the top seven cities, prices even rose by 1.2% over the same period.²⁸

During 2024, stabilisation was also observed on the commercial real estate market, though the outlook remained subdued. For example, commercial property prices sank by 5.4% compared with the previous year, according to the vdp. Retail property prices experienced a similar decline of 4.9%.²⁹ Besides high interest rates and a weak economic environment, the German commercial real estate market was especially impacted by uncertainty regarding future demand for office property space and structural changes in the non-food retail sector. Accordingly, vacancies in office properties continued climbing during 2024. According to Property Market Analysis, Frankfurt am Main recorded an office vacancy rate of about 9.8% in the fourth quarter, an increase of slightly over 1 percentage point compared with the fourth quarter of 2023. Similar vacancy increases were observed in other major German cities, though rates remained lower in Munich (7.5%) and Berlin (7.3%), for example.³⁰

BNP Paribas Real Estate reported that in 2024 transactions on the commercial real estate investment market totalled €25.9 billion,³¹ marking a 15% increase on the prior year. Despite this year-on-year recovery, the data underscores the still-elevated uncertainty among investors. For example, in 2022 the commercial transaction volume was about €50 billion, nearly double that of 2024.³²

The outlook for the US real estate market also brightened over the course of the year. Although the housing market continuously posted price increases, the declines in commercial real estate prices merely slowed down over the course of 2024. According to the S&P Case-Shiller Index, residential property prices in the 20 largest US metropolitan areas rose by just under 4.5% in December 2024 compared with the same month in 2023.³³

24 See 2-year Bund yield, taken from Refinitiv Datastream on 13 January 2025.

25 See 10-year Treasury yield, taken from Refinitiv Datastream on 13 January 2025.

26 See 10-year Treasury yield, taken from Refinitiv Datastream on 13 January 2025.

27 https://www.pfandbrief.de/site/de/vdp/immobilie/finanzierung_and_markt/vdp-immobilienpreisindex.html.

28 https://www.pfandbrief.de/site/de/vdp/immobilie/finanzierung_and_markt/vdp-immobilienpreisindex.html.

29 https://www.pfandbrief.de/site/de/vdp/immobilie/finanzierung_and_markt/vdp-immobilienpreisindex.html.

30 See Property Market Analysis LLP 2025, <https://www.pma.co.uk/home/>.

31 See BNP Paribas 2025, <https://www.realestate.bnpparibas.de/marktberichte/investmentmarkt/deutschland-at-a-glance>.

32 See BNP Paribas 2025, <https://www.realestate.bnpparibas.de/marktberichte/investmentmarkt/deutschland-at-a-glance>.

33 See S&P Global 2025, <https://www.spglobal.com/spdji/en/indices/indicators/sp-corelogic-case-shiller-20-city-composite-home-price-nsa-index/#overview>.

In contrast, the US commercial real estate sector experienced a slight decline, with prices slipping 0.7% in December 2024 compared with December 2023, according to Real Capital Analytics (RCA). However, these moderate average figures mask significant variations among different types of commercial real estate. Logistics properties, for example, saw a 2.7% price increase, and retail properties edged up again by 3.2%. Meanwhile, commercial residential real estate and especially prime office spaces in major metropolitan areas remained sluggish despite some recovery. RCA data indicates that multi-family housing prices declined by 4.2% in December 2024 compared with the same month of the previous year, with office properties in core locations experiencing an even steeper drop of 9.3%.³⁴

Risk premiums on Pfandbriefs and covered bonds widened during the year, on average by 16 basis points.³⁵ Although spreads briefly stabilised in the spring, pressure stayed high throughout the rest of the year. This was largely due to the sharp tightening of Bund-swap spreads, which diminished the appeal of Pfandbriefs relative to other bonds, particularly those in the unsecured bank and SSA segments (supranationals, sub-sovereigns and agencies). Even the relatively low volume of new issues – new benchmark issues exceeding €500 million amounted to €156.3 billion,³⁶ marking a 17% or so decline from the previous year – was insufficient to halt the widening of spreads. Besides the challenging spread environment, new issue volumes of covered bonds fell in 2024, influenced by the sluggish performance of the European economy and persistently high interest rates, which dampened demand for mortgage loans.

Spreads on investment-grade bonds widened from 78 to 95 basis points year on year.³⁷ The iBoxx Non-Fin index hit its all-year low, at 71 basis points, as early as on 10 April 2024, driven by expectations of an imminent cycle of interest rate cuts by the ECB. Due to persistent weakness in the eurozone industrial sector and a faster-than-expected decline in inflation, the ECB was able to implement rate cuts earlier than expected. Up to the end of July, the index traded within a narrow band of 70 to 80 basis points, mostly moving sideways. However, starting in early August, spreads began to widen, gaining momentum from mid-October onwards and reaching nearly 100 basis points. This trend was fuelled by a mix of risk aversion following a disappointing US labour market report, weak performance in the automotive sector, a sharp tightening of Bund-swap spreads and elevated issue volumes. With a gross issue volume of €436 billion (FY 2023: €295 billion),³⁸ the primary market was significantly more active than in 2022 and 2023, reaching its second-highest level after 2020 (€492 billion).³⁹ A notable positive development was the widespread return of high-yield companies to the primary market, with high-yield issuances accounting for 21.1% of the total (FY 2023: 12.8%).⁴⁰

34 See Real Capital Analytics (RCA) 2025, <https://www.msci.com/our-solutions/real-assets/real-capital-analytics>.

35 Markit iBoxx Euro Covered, taken from Bloomberg (figures: 31 December 2024 and 31 December 2023).

36 BayernLB Research covered bond database based on Bloomberg.

37 See iBoxx Non-Fin ASW spread, taken from Bloomberg on 10 January 2025.

38 See primary issues of corporate bonds, taken from Bloomberg on 28 February 2025.

39 See primary issues of corporate bonds, taken from Bloomberg on 28 February 2025.

40 See primary issues of corporate bonds, taken from Bloomberg on 28 February 2025.

In 2024 global issue volumes of ESG-related bonds rose marginally after rising slightly in 2023. At around \$1,070 billion,⁴¹ global issue volumes were around 5.0% higher than in the previous year but still well below the level of the record-breaking year 2021. The growth was largely driven by the sustainability bonds segment, which in 2024 reported an increase of nearly 26.0%. Meanwhile, the green bonds segment, the largest in the market, experienced a 4.0% or so rise, while social bonds grew by 6.0%. Overall, these gains more than offset the decline in the sustainability-linked bonds segment, where issuance volumes dropped by around 44.0%.⁴²

Until September 2024, the US dollar moved sideways against the euro overall. However, beginning in October, and following Donald Trump's election victory, US economic data – such as employment figures and leading indicators – pointed to significantly stronger performance compared with Europe. Additionally, growing expectations of US import tariffs further bolstered the dollar. The transatlantic spread between US and German government bonds also widened considerably until mid-December, when the Federal Reserve adopted a more cautious stance on further rate cuts at its meeting. Meanwhile, the ECB was anticipated to implement ongoing rate reductions in the first half of 2025. Consequently, the dollar appreciated by 6.2% overall in 2024, reaching a EUR-USD rate of 1.0353.⁴³

On the stock markets, despite sluggish economic growth, Germany's and the eurozone's benchmark indices delivered positive performances in 2024, though individual indices varied significantly. Several factors contributed to this, including the unexpectedly strong US economy, cautious investor sentiment at the start of the year, and the initiation of interest rate cuts by major central banks. The US stock market, in particular, continued to benefit from the expected growth potential surrounding artificial intelligence, by far outperforming European indices, as it had also done in the previous year. Germany's DAX, which as a performance index factors in dividend payments, was heavily influenced by the strong price gains of several major index heavyweights, climbing 18.8%, more than the European average, to 19,909 points by year-end.⁴⁴ The DAX also gained from the strong global reach of its listed companies. Meanwhile the DAX price index (excluding dividends) climbed by 15.4%.⁴⁵ The EURO STOXX 50, a benchmark index for the eurozone, posted a more moderate 8.3% gain to 4,896, trailing the DAX.⁴⁶ The S&P 500, the primary US stock market index, surged by 23.3% to 5,882, driven by the continued strong performance of the giant technology and platform companies.⁴⁷

⁴¹ Bloomberg BNEF data, in accordance with ICMA standards. Use of proceeds bonds with reporting, project selection and management of proceeds. Including sustainability-linked bonds.

⁴² Bloomberg BNEF data, in accordance with ICMA standards. Use of proceeds bonds with reporting, project selection and management of proceeds. Including sustainability-linked bonds.

⁴³ See EUR-USD exchange rate, taken from Refinitiv Eikon on 7 January 2025.

⁴⁴ See Deutsche Börse: DAX performance index, taken from Refinitiv Datastream on 13 January 2025.

⁴⁵ See Deutsche Börse: DAX price index, taken from Refinitiv Datastream on 13 January 2025.

⁴⁶ See STOXX: EURO STOXX 50, taken from Refinitiv Datastream on 13 January 2025.

⁴⁷ See S&P Dow Jones Indices: S&P 500, taken from Refinitiv on Datastream 13 January 2025.

Sector-related conditions

The banking sector adjusted well to market conditions in 2024. As anticipated in the 2023 annual report, the expected turning point in the interest rate cycle became apparent in the first half of 2024 but did not result in further growth in net interest income relative to overall profits. However, profitability remained high compared with the last few years. Available data indicates a gradual decline in interest margins over the year, though starting levels varied markedly across different eurozone countries.

Stock prices of major listed European banks, as reflected in the EURO STOXX Banks Price Index, continued their upward trajectory after initial gains in the first half of the year, recording an annual rise of around 23%. Credit spreads, as measured by the iTraxx Europe Senior Financial Index, narrowed overall. Although the first half of the year saw a strong upward trend, the summer months brought heightened volatility, followed by sideways movements for the remainder of the year.⁴⁸

Other important key indicators such as liquidity and capitalisation show that the European banking sector is still in solid shape. Although the liquidity coverage ratio and the net stable funding ratio based on the most recently available data were, at 161.4% and 127.2% respectively, almost unchanged on a weighted average on the previous 12-month period, the CET1 ratio was at 16.0% of risk-weighted assets and therefore near its peak since the EBA started calculating this time series.⁴⁹

The repayment process for targeted longer-term refinancing operations (TLTRO) was concluded. Refinancing through capital markets, as indicated by the volume of new bank bond issues, remained strong and was met by high demand. A narrowing of risk spreads on bank bonds across different country segments was observed.

The dynamics of credit growth in the private sector, based on year-on-year monthly data, showed an upward shift, rising from 0.46% in January to 1.95% in December – signalling a trend reversal.⁵⁰

The impact of interest rate hikes over the past three years on asset quality in bank balance sheets was less severe than initially feared. The deterioration in asset quality, as reflected in the non-performing loans (NPL) ratio, was minimal at European level according to the most recently available data, reaching 1.88% (December 2023: 1.84%). Despite elevated quarterly figures in the first half of 2024, risk costs relative to gross loans remained only slightly above the 2023 average at 47 basis points as at the same date.⁵¹

Discussions around cross-border consolidation in the European banking sector gained momentum, especially after Italy's UniCredit SpA took a holding in Germany's Commerzbank AG as part of the process of reducing the German government's stake. However, the final outcome of this situation remains uncertain.

⁴⁸ See EURO STOXX Banks Price Index and iTraxx Europe Senior Financial Index, both taken from Bloomberg on 17 January 2025.

⁴⁹ See EBA Risk Dashboard Q3 2024, https://tools.eba.europa.eu/interactive-tools/2024/powerbi/RDBQ32024/rdb24q3_visualisation_page.html, taken on 27 January 2025.

⁵⁰ See ECB Data Portal 2025, <https://data.ecb.europa.eu/publications/money-credit-and-banking/3031822>, taken on 27 January 2025.

⁵¹ See EBA Risk Dashboard Q3 2024, https://tools.eba.europa.eu/interactive-tools/2024/powerbi/RDBQ32024/rdb24q3_visualisation_page.html, taken on 27 January 2025.

Regulatory environment

Revisions to the Capital Requirements Regulation (CRR)

On 19 June 2024 the Capital Requirements Regulation III (CRR III) was officially published in the EU Official Journal.⁵² CRR III incorporates major parts of the finalisation of Basel III into European law. With the exception of the own funds requirements for market risk, which have been postponed by the EU to 1 January 2026, CRR III became mandatory on 1 January 2025.

The main revisions concern the credit risk standardised approach (CRSA), the internal ratings-based approach (IRBA) for measuring credit risks, and the approaches for market risks and operational risks. An output floor of 72.5% is also being introduced, which will limit the advantages of using the IRBA and link it to the results of the CRSA.

To be able to estimate future capital needs under the new regulations, the European Banking Authority (EBA) again conducted an extensive impact study in the first half of 2024, which expanded the Basel Committee's regular monitoring to include issues specific to the EU.

Digital transformation and information security

At the start of 2024 the ECB conducted its first thematic stress test on cyber resilience, which determined the impact of a major technical disruption on the banks concerned.

Starting 17 January 2025, companies regulated by BaFin must adhere to the standard risk management framework outlined in the Digital Operational Resilience Act (DORA). DORA provides a unified supervisory framework for the increasingly digital and interconnected financial sector, aiming at enhancing the resilience of European financial institutions against cyber and IT risks – a critical concern amid evolving threat landscapes and IT disruptions. At BayernLB, the implementation of DORA is integrated into Project NOVO24, which pools the project activities from Risk and IT, especially in the context of cyber security and related topics. Already in 2024 the Bank took numerous significant steps, establishing a solid foundation for operationalisation in the process. The operational implementation will continue throughout 2025.

Revisions to MaRisk

On 29 May 2024 the German Federal Financial Supervisory Agency (BaFin) published the eighth amendment to its circular on the Minimum Requirements for Risk Management (MaRisk). The focus is on the management of interest rate risks in the banking book (IRRBB) and credit spread risks in the banking book (CSRBB). The latest amendment transposes the EBA Guidelines (EBA/GL/2022/14) into national law and therefore applies to all banks in Germany. In keeping with the supervisory requirements, two new rating-specific credit spread scenarios were implemented throughout the Group in June 2024, both for the present value and the earnings-oriented perspectives, based on relevant historical time series data for all credit spread-sensitive exposures in the banking book.

⁵² https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=OJ:L_202401623.

Deposit protection

The Savings Banks Finance Group has implemented the modifications to the deposit guarantee scheme required by the ECB and BaFin. The relevant amendments to the statutes took effect on 1 January 2024 and include in particular the establishment of an additional guarantee fund for cases requiring support from 2025 to 2032 and improvements to governance in the event of such cases.

Key personnel and business policy developments

Changes in BayernLB's Board of Management

The Supervisory Board of BayernLB appointed Sigrid Kozmiensky to the Bank's Board of Management at its meeting on 13 December 2023. Ms Kozmiensky took up her role as Chief Risk Officer (CRO) on 1 July 2024. She succeeded Marcus Kramer, who had headed the Risk Office from May 2010 during a challenging period. In November of the previous year he agreed with the Supervisory Board not to renew his Board of Management contract, which comes to an end on 30 April 2025. Mr Kramer left BayernLB on 30 June 2024.

Ms Kozmiensky started her professional career in 2002 when she joined the auditing team at PricewaterhouseCoopers in Frankfurt. Her responsibilities there included managing risk and accounting projects for real estate banks and Landesbanks. In 2006 she moved to ING-Diba AG, Frankfurt am Main, where she took up various supervisory roles in risk management. In 2014 she switched to the European Central Bank, serving as Joint Supervisory Team Coordinator in charge of the institution's oversight of global systemically important banks. In 2019 she returned to ING Germany, as Deputy CRO, and was appointed to the Management Board there the following year.

Changes in BayernLB's Supervisory Board

Dr Ulrike Wolf-Prexler stepped down from the Supervisory Board effective 1 February 2024. She was succeeded by Dr Klaus-Peter Potthast.

With effect from 1 May 2024, Prof. Dr Roland Fleck also stepped down from his role. He was succeeded by Burkhard Eckes.

For more detailed information on the Group structure, see the "Foundations of the BayernLB Group" section in this combined management report. For details on the executive bodies, refer to the "Administrative bodies of BayernLB" section in the notes to the consolidated financial statements (note 86).

Changes in the shareholding structure

When investigating CET1 capital instruments issued before the CRR took effect, the European Banking Authority (EBA) raised concerns about the CRR compliance of the capital contributions (silent partner contributions) provided by the Free State of Bavaria. Consequently, BayernLB held discussions with its owners and the ECB to identify solutions which would ensure the full retention of the CET1 capital linked to the silent partner contributions while safeguarding the economic position of the Free State of Bavaria and the Association of Bavarian Savings Banks (SVB). A final understanding was then reached, which was concluded through a binding framework agreement in December 2024.

As a result, BayernLB and the Free State of Bavaria agreed to terminate the silent partner contributions by 31 December 2024, with the Free State of Bavaria immediately reinvesting its compensation claim arising from the termination as an additional payment into BayernLB's capital surplus. The CET1 capital from the former silent partner contributions, totalling around €1.7 billion, has thereby been retained in full. To compensate for the termination of the silent partner contributions while retaining the CET1 capital in full, the SVB transferred a portion of its shares in BayernLB Holding AG to the Free State of Bavaria. Effective 1 January 2025, the SVB's indirect equity interest in the Bank's share capital went down from around 25% to about 19.83%, while the Free State of Bavaria's equity interest went up from roughly 75% to approximately 80.17%.

Proven strategy still running strong

As part of the BayernLB Group's regular strategy-setting process, but also given the uncertainty due to the numerous (geo)political crises and their implications for the macroeconomic environment, BayernLB subjected its strategic vision to a regular review in the first half of 2024. In July 2024 the Board of Management and Supervisory Board readopted the business strategy for the BayernLB Group and its segments, with only a few isolated adjustments made in some segments, including a shift of weightings between individual business activities.

The financial targets for the BayernLB Group for 2026 still include an RWA volume of around €75 billion. The Group is also planning to achieve a return on equity (RoE) of about 11% and a cost/income ratio (CIR) of about 50%. On this basis, it is aiming for a Common Equity Tier 1 ratio (on a consolidated basis) of more than 14.5%.

Further progress in the IT transformation

Even though the Bank-wide Fokus 2024 transformation programme was completed at the end of 2023, BayernLB is still working hard at transforming its IT applications environment through a project to modernise bank management. The KOPERNIKUS programme remains the biggest implementation project that the Bank initiated during Fokus 2024 and is being integrated into bank management through cross-divisional collaboration. By focusing on standard applications, its goal is to future-proof bank management, make it efficient and bring it technologically up to date. The KOPERNIKUS programme is now in its implementation phase. As part of the internal replanning process, an updated timetable was drawn up during the reporting year, resulting in the deferral of the go-live for Finance by one year to the start of 2026. During the detailed planning process, the key fundamental assumptions regarding the project's objectives, target architecture and next steps were confirmed. Adjustments were made to the project organisation to create a programme structure consisting of three integrated projects (finance, risk and regulatory reporting) aligned with the previous project framework. Based on the current timetable, the go-live for the risk management and regulatory reporting projects will be completed in stages between 2027 and 2029. The KITT project to consolidate the applications environment was part of the Fokus 2024 transformation programme and was completed at the end of April 2024 after a four-year term and a subsequent stabilisation phase.

The BayernLB Group's business performance

Statement by the Board of Management on business performance in 2024

BayernLB Group generates profit before taxes of €1,579 million, easily exceeding expectations

The main issues in the macroeconomic environment of 2024, as described above, were falling or stagnant interest rates that were nevertheless high and continued structural challenges affecting real estate markets.

The BayernLB Group made further progress along its path to growing its business and earnings by ending financial year 2024 with a profit before taxes of €1,579 million (FY 2023: €1,144 million), exceeding the previous year's figure. Overall, all operating business segments of the Group made a positive contribution to the profit before taxes. DKB made the highest contribution.

The key factors behind the BayernLB Group's very good earnings in 2024 were strong net interest and net commission income, along with improved gains or losses on fair value measurement and from hedging transactions. Earnings were also boosted by the discontinuation of the contributions for the bank levy in 2024. The high charges from risk provisions were more than offset by a strong earnings performance.

Although interest rates remained high, the BayernLB Group reported a modest 6.8% reduction in net interest income to €2,720 million (FY 2023: €2,919 million). The substantial increase in interest expenses to €9,008 million (FY 2023: €7,755 million) resulting from sustained high interest rates was largely offset by strong new business performance and by a higher interest income of €11,728 million (FY 2023: €10,674 million).

Loans and advances to customers increased by €10.7 billion year on year to €181.8 billion (FY 2023: €171.1 billion). Liabilities to customers, by contrast, decreased by €6.9 billion to €136.4 billion (FY 2023: €143.3 billion). In the retail and corporate customers business receivables went up by €7.9 billion year on year to €154.6 billion while deposits dropped by €6.5 billion to €118.9 billion (FY 2023: €125.5 billion).

Net risk provisions were substantially higher, rising to €491 million, compared with the previous year's figure of €180 million. This mainly stemmed from creditworthiness-related higher additions amid challenging economic conditions, especially in the real estate sector, and was reflected in the Group's portfolio through rating deteriorations and credit defaults. To take adequate account of the potential risks from the fraught geopolitical situation and challenges on the real estate markets, the BayernLB Group set aside additional risk provisions through a post-model adjustment (PMA) in cases where such effects were not or not sufficiently accounted for within the risk provision model and the chosen parameters. As at the reporting date, the PMA amounted to €378 million (FY 2023: €337 million).

The BayernLB Group generated a 12.4% increase in net commission income and improved its earnings to €531 million (FY 2023: €473 million). The key factor behind this was a €66 million increase in net commission income from the credit business. The Group posted higher earnings from the card business, with volumes rising by €5.2 million to €118 million (FY 2023: €113 million), in spite of the fact that the previous year's figure still included a contribution to earnings from Bayern Card-Services – GmbH S-Finanzgruppe, Munich (BCS), which was deconsolidated in financial year 2024.

Gains or losses on fair value measurement came in at €360 million in the reporting period (FY 2023: €226 million), boosted in particular by interest rate-related measurement gains from derivatives positions and structured products. Big earnings contributions included €112 million from the CO₂ certificates business (FY 2023: €83 million) and €86 million from the foreign notes and coins and precious metals business (FY 2023: €60 million).

The gains or losses on derecognised financial assets line item stood at a net loss of €5 million (FY 2023: loss of €102 million). The previous year's figure was mainly impacted by the full winding down of credit exposures that were no longer part of the core business, especially structured loans (Lender Option Borrower Option (LOBO)).

Administrative expenses came to €1,602 million, slightly lower than in the previous year (FY 2023: €1,617 million), reflecting differing trends in staff costs and other administrative expenses. The expenses centred mainly on achieving and sustaining the approved strategic objectives. These included workforce optimisation through targeted restructuring while making planned investments in strategic measures aimed at expanding and transforming the IT applications environment, digitalisation and process optimisation. At DKB, administrative expenses were significantly reduced, mainly through the deconsolidation of BCS (FY 2023: €37 million). In addition, DKB reported initial successes from its Fit4Growth efficiency programme, which greatly offset the cost increases in the previous financial year driven by payscale adjustments and inflation. BayernLB⁵³ continued to prioritise the IT transformation, which resulted in higher costs for IT and consulting services associated with project activities.

Expenses for the bank levy and deposit guarantee scheme fell significantly by €77 million year on year to €51 million (FY 2023: €128 million), as no contribution to the bank levy was made in financial year 2024.

Gains or losses on restructuring came in at €-48 million (FY 2023: €-92 million), mainly as a result of personnel-related costs and consulting associated with DKB's Fit4Growth efficiency programme.

The BayernLB Group posted a consolidated profit of €1,228 million in financial year 2024 (FY 2023: €1,165 million).

⁵³ Unless otherwise stated, "BayernLB", when referred to in this report on the BayernLB Group's financial position and financial performance, comprises BayernLB Bank and its foreign branches and BayernLabo.

As before, the credit and trading business made up a large proportion of the BayernLB Group's net assets. The Group's total assets stood at €267.7 billion as 31 December 2024 and therefore 2.1% lower than at the end of 2023 (FY 2023: €273.4 billion). While in financial year 2024 the BayernLB Group reported overall growth in new business, especially in lending to retail and corporate customers, this was not enough to fully offset the decline in its total assets, owing primarily to a fall in deposit facility balances at DKB. The Group's total assets are also directly reflected in the changing business volumes and credit volumes, both of which recorded a corresponding decrease overall.

€ billion	31 Dec 2024	31 Dec 2023	Change in %
Total assets	267.7	273.4	(2.1)
Business volume ¹	313.4	318.9	(1.7)
Credit volume ²	249.0	253.7	(1.8)

¹ Total assets plus liabilities held in trust, contingent liabilities and other commitments.

² Loans and advances to banks and customers plus contingent liabilities from guarantees and indemnity agreements.

Forecast-actual comparison of the key financial performance indicators

At the time the consolidated financial statements as at 31 December 2023 were being prepared, the ongoing high levels of uncertainty on markets, still-strained geopolitical situation and pronounced economic weaknesses in Germany made it extremely difficult to forecast the duration and extent of their impact on the profitability of the BayernLB Group and its performance indicators. The estimates and assumptions relevant for the financial statements that were made or imputed during the planning were based on the knowledge at hand and best available information at the time.

	2023 results (actual)	Forecast for 2024 (31 Dec 2023)	Adjusted forecast for 2024 (30 Jun 2024)	2024 results (actual)
Profit/loss before taxes	€1,441m	€1,000 - 1,200m	>€1,200m	€1,579m
Return on equity (RoE)	12.7%	>8.0%	>10.0%	12.8%
Cost/income ratio (CIR)	46.8%	<55.0%	<50.0%	42.5%
Common Equity Tier 1 (CET1) capital ratio	19.3%	>17.0%	>17.0%	18.7%
Leverage ratio (LR)	4.7%	>4.0%	>4.0%	5.1%

Key earnings-related management indicators exceed targets

Given that the BayernLB Group's earnings performance was already looking very strong in the first half of 2024, prompting the expectation that it would be in a position to beat the targets set in 2023 for the year, BayernLB raised its outlook for financial year 2024.

Following on from the upwardly revised forecast for 2024 made in the first half of the same year, the BayernLB Group delivered €1,579 million in profit before taxes (FY 2023: €1,441 million), outperforming its expectations despite a drop in net interest income and a substantial increase in net risk provisions.

During the forecast period, the BayernLB Group benefited in particular from the ongoing favourable interest rate environment and the continued, consistent implementation of its strategic vision. A major driver of the very good performance was once again its still very high net interest income. However, this figure was down on the previous year's extraordinary level, owing to such factors as increased interest expenses in DKB's deposit business and refinancing costs from CO₂ and precious metals transactions at BayernLB, which were partially offset by a gain from fair value measurement. Other factors making a positive contribution were improved gains or losses on hedge accounting, high one-off gains from compensation payments in connection with the restructuring of the deposit guarantee scheme, the elimination of mandatory contributions to the bank levy, and lower expenses for the deposit guarantee scheme. Net expenses for risk provisions climbed to €491 million (FY 2023: €180 million), reflecting the ongoing difficulties on the real estate markets, as well as the overall challenging economic environment, and were markedly higher than in the previous-year period, as expected.

Thanks to another round of very strong earnings in 2024, the BayernLB Group posted an RoE of 12.8% (FY 2023: 12.7%), which was above the adjusted forecast of 10%.

The CIR stood at 42.5% (FY 2023: 46.8%) and thereby well below the adjusted expectations. Higher income than forecast, predominantly from net interest income, gains or losses on fair value measurement and other income and expenses, was offset by administrative expenses in the planned amount.

Capital adequacy remains comfortable, with the liquidity position solid and the NPL ratio up as expected

The BayernLB Group's capital base remained solid. For 2024, based on medium-term planning, the Group forecast risk-weighted assets (RWAs) of €70.5 billion and a CET1 ratio of >17%. As at 31 December 2024 the Common Equity Tier 1 ratio (CET1 ratio) stood at 18.7% (FY 2023: 19.3%), despite RWAs rising to €70.0 billion (FY 2023: €64.5 billion). This was well above the minimum regulatory level of 9.5%⁵⁴ and higher than forecast. RWAs stood at €70.0 billion, in line with expectations.

⁵⁴ Including the combined capital buffers and SREP capital requirements (P2R), excluding the SREP capital recommendation (P2G).

As at 31 December 2024, the leverage ratio (LR) stood at 5.1% (FY 2023: 4.7%), aligning with forecasts and easily exceeding the minimum regulatory requirement of 3.0%.

For the end of 2024, the BayernLB Group had forecast a liquidity coverage ratio (LCR) for the Group of around 178.0%. At 31 December 2024, the LCR was 190.2% (FY 2023: 241.4%) and therefore still well above the regulatory minimum of 100.0% and the expected ratio.

As at 31 December 2024, the Group's net stable funding ratio (NSFR) stood at 125.6% (FY 2023: 139.3%), which was within the forecast range for 2024 of between 120.0% and 135.0% and above the regulatory minimum of 100.0%.

For 2024 BayernLB had anticipated that the Group would be able to comfortably bear risks on a steady basis and therefore maintain its solid capital base at all times. As expected, risk-bearing capacity was maintained throughout the 2024 financial year, as the capital base was solid at all times. In addition, the BayernLB Group had a good supply of liquidity on hand. Its economic capital utilisation was 30.0% (FY 2023: 35.0%), which was in line with the expectations for 2024.

The BayernLB Group's non-performing loan (NPL) ratio went up as expected, reaching 1.2% (FY 2023: 0.9%). DKB reported a significant increase of 0.4% to a still-low 0.7% overall, while BayernLB's ratio rose from 1.3% to 1.6%. The main reason for the increase was the Commercial Real Estate sub-portfolio, where the NPL ratio rose from 2.2% to 3.3% during the reporting period.

Report on the BayernLB Group's financial position and financial performance (IFRS)

The BayernLB Group's results of operations

€ million	1 Jan – 31 Dec 2024	1 Jan – 31 Dec 2023	Change in %
Net interest income	2,720	2,919	(6.8)
Risk provisions	(491)	(180)	>100
Net interest income after risk provisions	2,229	2,740	(18.6)
Net commission income	531	473	12.4
Gains or losses on fair value measurement	360	226	59.7
Gains or losses on hedge accounting	62	(46)	–
Gains or losses on derecognised financial assets	(5)	(102)	(95.5)
Gains or losses on financial investments	(33)	(71)	(53.6)
Administrative expenses	(1,602)	(1,617)	(0.9)
Expenses for the bank levy and deposit guarantee scheme	(51)	(128)	(60.4)
Other income and expenses	134	59	>100
Gains or losses on restructuring	(48)	(92)	(47.7)
Profit/loss before taxes	1,579	1,441	9.6
Income taxes	(351)	(271)	29.5
Profit/loss after taxes	1,228	1,170	4.9
Profit/loss attributable to non-controlling interests	–	(4)	–
Consolidated profit/loss	1,228	1,165	5.3

Rounding differences may occur in the tables. More detailed information can be found in the notes.

Net interest income

€ million	1 Jan – 31 Dec 2024	1 Jan – 31 Dec 2023	Change in %
Interest income	11,728	10,674	9.9
Of which from:			
Credit and money market transactions	7,464	6,983	6.9
Financial investments	314	222	41.1
Hedge accounting derivatives and derivatives in economic hedges	3,912	3,418	14.5
Negative interest	25	30	(16.2)
Other interest income	13	21	(38.1)
Interest expenses	(9,008)	(7,755)	16.2
Of which:			
From liabilities to banks and customers	(3,765)	(3,297)	14.2
For securitised liabilities	(1,395)	(1,106)	26.1
For subordinated capital	(98)	(82)	20.0
From hedge accounting derivatives and derivatives in economic hedges	(3,610)	(3,079)	17.3
From negative interest	(8)	(20)	(62.2)
Other interest expenses	(132)	(171)	(22.9)
Net interest income	2,720	2,919	(6.8)

Net interest income was mainly impacted by strong business growth and still-favourable interest rate trends. It fell by €199 million to €2,720 million in the reporting period (FY 2023: €2,919 million), but was still high. Of this amount, €1,848 million (FY 2023: €1,897 million) related to DKB and €868 million (FY 2023: €1,020 million) to BayernLB.

Interest income increased by €1,054 million to €11,728 million overall (FY 2023: €10,674 million). Credit and money market transactions accounted for a €481 million rise to €7,464 million (FY 2023: €6,983 million) thanks to high interest rates and further volume growth in the strategically aligned customer business.

Interest expenses rose by €1,253 million to €9,008 million. The prime reason for the increase was deposits from retail customers. On an annual average basis, these were higher than in the previous year. Customers also opted for higher yielding fixed-term investment products. Interest expenses from liabilities to banks and customers rose by €468 million to €3,765 million, and from securitised liabilities by €289 million to €1,395 million.

The BayernLB Group produced net interest income of €302 million (FY 2023: €339 million) from hedge accounting derivatives and derivatives in economic hedges.

Risk provisions

€ million	1 Jan – 31 Dec 2024	1 Jan – 31 Dec 2023	Change in %
Additions	(1,951)	(1,479)	31.9
Direct writedowns	(28)	(19)	45.4
Releases	1,434	1,207	18.8
Recoveries on written down receivables	36	102	(64.6)
Income from the writeup of purchased or originated credit-impaired financial assets	20	11	93.3
Modification gains or losses on non-significant modifications	(2)	–	–
Risk provisions	(491)	(180)	>100

Compared with the previous year, the BayernLB Group reported a significant increase in risk provisions from on and off-balance sheet credit transactions for financial year 2024, with the amount rising to €491 million (FY 2023: net expenses of €180 million). The challenging conditions on real estate markets was a key factor in the increase, resulting in significant downgrades in borrower credit ratings in some cases. The BayernLB Group made significant additions to Stages 2 and 3 of the risk provisions model and additional post-model adjustments (Stages 1 and 2). Net income in Stage 1 of €20 million (FY 2023: €31 million) was offset by higher net expenses in Stage 2 of €214 million (FY 2023: €126 million) and in Stage 3 of €330 million (FY 2023: €194 million). To take adequate account of the potential risks from the fraught geopolitical situation and challenges on the real estate markets, the BayernLB Group set aside additional risk provisions through a post-model adjustment (PMA) in cases where such effects were not or not sufficiently accounted for in the risk provision model and the chosen parameters.

Following the regular review of macroeconomic scenarios underlying the determination of the PMA, a net addition of €41 million (FY 2023: €25 million) was made for 2024, mainly as a result of changes in scenario weightings, modifications to relevant parameters and the associated deterioration in credit quality given the negative trends in the real estate sector. As at the reporting date, the PMA amounted to €378 million (FY 2023: €337 million).

Recoveries on written down receivables produced a gain for the BayernLB Group of €36 million (FY 2023: €102 million). A significant portion of this came from payments received from HETA Asset Resolution AG, Vienna, in the amount of €12 million (EUR 2023: €78 million), in connection with the HETA liquidation proceedings under the Austrian Stock Corporation Act.

Net commission income

€ million	1 Jan – 31 Dec 2024	1 Jan – 31 Dec 2023	Change in %
Credit business	189	123	53.8
Card business	118	113	4.6
Fund business	105	132	(20.3)
Payments	49	46	7.6
Securities business	38	31	23.3
Trust transactions	19	18	7.4
Documentary business	4	6	(29.1)
Other net commission income	8	4	94.3
Net commission income	531	473	12.4

Net commission income improved by €58 million to €531 million year on year (FY 2023: €473 million), with increases recorded in the credit and card business. Until the previous year, net commission income in the credit business included processing and arrangement fees of a negative €53 million, which from 2024 are being reported in the amount of negative €66 million, as part of the effective interest rate under interest income. From an adjusted previous-year figure of €182 million, net commission income was only slightly higher, rising by €7 million, mainly due to favourable new business growth at DKB. All the commission income from the card business was generated at DKB, originating from proprietary debit and credit cards and co-branded credit cards. DKB increased earnings by €5 million in spite of the fact that the previous year's figure still included a contribution to earnings from Bayern Card-Services GmbH – S-Finanzgruppe, Munich (BCS), which was deconsolidated in financial year 2024. The contribution to earnings from the fund business was largely split between the asset management companies Real I.S. in the amount of €60 million (FY 2023: €83 million) and BayernInvest in the amount of €42 million (FY 2023: €43 million). Real I.S.'s transaction volumes from real estate acquisitions and sales decreased as a result of the continued difficult situation on the real estate markets and the reduced level of investment that accompanied this.

Gains or losses on fair value measurement

€ million	1 Jan – 31 Dec 2024	1 Jan – 31 Dec 2023	Change in %
Net trading income	335	161	>100
Gains or losses on financial assets in the FVPLM category ¹ not held for trading	103	124	(17.2)
Gains or losses on the fair value option category	(78)	(60)	30.4
Gains or losses on fair value measurement	360	226	59.7

¹ FVPLM – financial assets mandatorily measured at fair value through profit or loss.

Due to a still-positive interest rate and stock market environment, gains or losses on fair value measurement rose by a substantial €134 million to €360 million (FY 2023: €226 million). A key driver of this was net trading income, which posted a big improvement of €174 million to €335 million (FY 2023: €161 million). Net trading income was significantly influenced by gains or losses from interest-related transactions, which rose by €161 million to €216 million (FY 2023: €55 million).

Gains or losses on other financial transactions was also markedly better, in particular thanks to very positive net earnings from the CO₂ certificates business of €112 million (FY 2023: €83 million) and from the foreign notes and coins/precious metals business of €86 million (FY 2023: €60 million). In addition, net trading income included measurement losses of €32 million from hedging transactions for one of BayernLB's equity interests (FY 2023: loss of €68 million). The offsetting measurement gain of €31 million from this equity interest (FY 2023: gain of €61 million) was a major contributor to the gains on financial instruments mandatorily measured at fair value of €103 million (FY 2023: gains of €124 million). A positive contribution came from the performance of the DKB sustainability funds in the amount of €56 million (FY 2023: €67 million). The fair value option category produced a loss of €78 million (FY 2023: loss of €60 million). The fall was principally due to a net loss of €30 million (FY 2023: loss of €32 million) from the measurement of liabilities to non-Group holders in the DKB sustainability funds.

Gains or losses on hedge accounting

The gains or losses on hedge accounting line item reflects the interest rate-related changes in the value of the hedged items and the offsetting changes in the value of the interest rate derivatives entered into for hedging purposes. The gain on hedge accounting of €62 million (FY 2023: loss of €46 million) was mainly due to DKB and tied to a much-improved hedging gain resulting from interest rate changes.

Gains or losses on derecognised financial assets

The gains or losses on derecognised financial assets line item experienced an improvement in the reporting period, resulting in a net loss of €5 million (FY 2023: loss of €102 million). The previous year's figure was heavily affected by the winding down of €97 million in specially structured loans (LOBOs) that are no longer part of BayernLB's core business.

Gains or losses on financial investments

Gains or losses on financial investments stood at a negative €33 million in the reporting period (FY 2023: loss of €71 million) and included in particular, besides losses on the sale of securities, measurement gains from equity interests in the “FVPLM” category.

Administrative expenses

€ million	1 Jan – 31 Dec 2024	1 Jan – 31 Dec 2023	Change in %
Staff costs	(813)	(845)	(3.8)
Other administrative expenses	(685)	(663)	3.3
Amortisation and depreciation of property, plant and equipment and intangible assets (not including goodwill)	(104)	(109)	(4.5)
Administrative expenses	(1,602)	(1,617)	(0.9)

The Group’s administrative expenses fell by €15 million to €1,602 million (FY 2023: €1,617 million). Of this total amount, €772 million was attributable to DKB (FY 2023: €801 million) and €723 million to BayernLB (FY 2023: €620 million). The main positive driver at DKB was the deconsolidation of BCS. In addition, the first positive effects from the bank’s Fit4Growth efficiency programme began to emerge. The main factor in the growth of BayernLB’s administrative expenses was the necessary investment in the strategic expansion and transformation of its IT applications environment and in its digitalisation and process optimisation.

Expenses for the bank levy and deposit guarantee scheme

Expenses for the bank levy and deposit guarantee scheme plunged year on year to €51 million (FY 2023: €128 million), with this line item only showing DKB’s mandatory contribution for deposit protection. BayernLB had already achieved its target volume for the “old pot” of the deposit guarantee scheme in financial year 2021. It has not needed to make any more contributions since then. The mandatory contribution to the bank levy was ended in full due to the target volume of the Single Resolution Fund (SRF) having already been reached by the end of 2023. This was confirmed by the Single Resolution Board (SRB) in its press release of 15 February 2024,⁵⁵ in which it stated that no regular annual contributions would be levied on banks for the year 2024. As at the reporting date, the BayernLB Group had a total of €350 million (FY 2023: €327 million) in irrevocable payment commitments which to date have not been carried through profit or loss. Of this amount, €118 million (FY 2023: €118 million) related to the bank levy and €232 million (FY 2023: €209 million) to the deposit guarantee scheme.

Other income and expenses

Other income and expenses came to a net €134 million (FY 2023: €59 million). The higher figure was principally due to the receipt of a one-off compensation payment of €75 million in connection with the restructuring of the institution-specific deposit guarantee scheme.

⁵⁵ See <https://www.srb.europa.eu/en/content/single-resolution-fund-no-expected-contribution-2024-target-level-reached>.

Gains or losses on restructuring

Gains or losses on restructuring came in at a loss of €48 million overall (FY 2023: loss of €92 million), of which a loss of €30 million (FY 2023: loss of €66 million) related to DKB and a loss of €18 million (FY 2023: loss of €26 million) to BayernLB. During financial year 2023, DKB initiated its Fit4Growth efficiency programme with the aim of sustainably optimising DKB's operating model, laying the foundations for further growth and so safeguarding profitability for the long term. In financial year 2024, the reported restructuring and transformation costs mainly arose from the consulting costs incurred under the programme and the additions to provisions for personnel-related measures. BayernLB's restructuring expenses arose from selected personnel and IT transformation measures which had already been addressed in Fokus 2024. Gains or losses on restructuring was impacted by interest rate-related measurement effects and necessary additions to IT restructuring provisions made in the previous years, mainly in connection with onerous contracts from legacy systems (end of life).

Income taxes

For the reporting period, the BayernLB Group posted income tax expenses of €351 million (FY 2023: income tax expenses of €271 million).

Results of operations of the segments

The segment report is based on the monthly internal management reports to the Board of Management and reflects the profitability of the BayernLB Group's segments.

The segment structure of the BayernLB Group was unchanged on the previous year and, as at 31 December 2024, comprised the following three segments under the business strategy:

- Real Estate & Savings Banks/Financial Institutions, including Bayerische Landesbodenkreditanstalt Anstalt des öffentlichen Rechts, Munich (BayernLabo), and the subsidiary Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich (Real I.S.)
- Corporates & Markets
- DKB – comprising the Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB), sub-group

Another component of the BayernLB Group is the Central Areas & Others segment, which includes the results from the Group Treasury Division and the consolidation entries not allocated to the other segments. In addition, following the reallocation of responsibilities on BayernLB's Board of Management in the previous year, the consolidated subsidiary BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (BayernInvest), which was previously part of the Real Estate & Savings Banks/Financial Institutions segment, has belonged to this segment since the start of financial year 2024.

In another change from the previous year, since the start of financial year 2024 income from investments of own funds less the costs of raising the Tier 2 subordinated capital and non-preferred senior bonds required by the BayernLB Group has not been fully reported under Group Treasury and therefore in the Central Areas & Others segment; instead, it is allocated, by use of capital, among the operating business areas of BayernLB core Bank.⁵⁶

Segment data from the previous-year period affected by the changes has been restated accordingly.

The contributions of the individual segments to the profit before taxes of €1,579 million (FY 2023: €1,441 million) are shown below:

	Real Estate & Savings Banks/ Financial Institutions		Corporates & Markets		DKB		Central Areas & Others (including Consolidation)	
	2024	2023	2024	2023	2024	2023	2024	2023
Profit/loss before taxes (€ million)	125	301 ¹	239	279 ¹	1,116	1,003	99	(142) ¹
Cost/income ratio (CIR) in %	45.1	45.2 ¹	49.1	47.3 ¹	35.9	39.6	–	–
Return on equity (RoE) in %	5.9	15.6 ¹	8.2	10.2 ¹	28.1	28.0	–	–
RWAs (€ million)	15,867	13,773 ¹	20,047	19,893	29,512	25,659	4,537	5,207 ¹

¹ Adjusted as per IFRS 8.29.

Real Estate & Savings Banks/Financial Institutions segment

- Segment's profit before taxes much lower than in the previous year, largely as a result of higher risk provisions
- Real Estate business area posts stable operating profit despite challenging market environment; Savings Banks & Financial Institutions business area's earnings largely in line with previous year
- BayernLabo's profits up due to favourable interest rate environment, while Real I.S.'s fall due to market-driven reduction in transactions

The Real Estate business area posted a loss before taxes of €69 million in the reporting year (FY 2023: profit of €31 million). The plunge from the previous year was mainly the result of the net increase in risk provisions of €308 million (FY 2023: net increase of €210 million), which reflected the ongoing turmoil on the commercial real estate market and largely arose from the additions to Stage 3 risk provisions and to the post-model adjustment (PMA). The business area's operating profit of €345 million was on par with the previous year (FY 2023: €345 million). Due to a higher volume of non-performing loans, net interest income fell to €319 million (FY 2023: €324 million), while net commission income rose to €32 million (FY 2023: €26 million) following strong growth in new business. Gains or losses on fair value measurement produced a net gain of €10 million (FY 2023: net loss of €7 million), largely due to measurement gains from the investment portfolio. In contrast, measurement losses in the investment portfolio produced losses on financial investments of €7 million (FY 2023: gains of €1 million).

⁵⁶ BayernLB core Bank comprises BayernLB Bank and its branches (excluding BayernLabo).

Earnings were also dampened by other losses of €6 million (FY 2023: €0 million), mainly in connection with a provision, and losses on derecognised financial assets of €4 million (FY 2023: gains of €1 million), principally due to significant modifications of individual exposures. Administrative expenses in the business area of €105 million were on a par with the previous year (FY 2023: €105 million).

Profit before taxes in the Savings Banks & Financial Institutions business area came in at €100 million (FY 2023: €171 million). This big drop was due to risk provisions in the business area, which once again benefited greatly from recoveries on written down receivables from HETA Resolution AG. The provisions generated a net gain of €12 million, which was, however, much lower than the €84 million in the year before. The net interest and commission income totalling €173 million was slightly below the previous year (FY 2023: €180 million). Besides the reduction in earnings from the deposit business resulting from lower interest rates, a key contributing factor was the decline in commission income from financial market products. Gains or losses on fair value measurement came in at €45 million (FY 2023: €43 million) and benefited from the good performance of the foreign notes and coins/precious metals business.

BayernLabo posted profit before taxes of €83 million (FY 2023: €72 million). The main reason for the increase was the improvement in net interest income to €115 million (FY 2023: €101 million), due particularly to the positive impact of the current interest rate environment on the higher investments in liquid assets at BayernLB compared with the previous year. Earnings were adversely affected by measurement losses (gains or losses on fair value measurement and gains or losses on hedge accounting) of €4 million (FY 2023: loss of €3 million) and a loss in the other income and expenses line item of €4 million (FY 2023: loss of €2 million), which was due in part to lower reimbursements of expenses. Administrative expenses went up to €53 million (FY 2023: €50 million) due to higher project and IT costs.

Profit before taxes at Real I.S. amounted to €7 million, which was markedly below the previous year (FY 2023: €27 million), largely as a result of the difficult situation on the real estate market coupled with falling transaction volumes. The decrease in net commission income to €60 million (FY 2023: €83 million), mainly due to lower sales commission, was only partially offset by the fall in administrative expenses to €59 million (FY 2023: €62 million).

Corporates & Markets segment

- Corporates & Markets segment benefits once again from the streamlining strategy but fails to match the robust earnings from the previous year
- Net interest income and gains or losses on fair value measurement heavily impacted by business with CO₂ and precious metals derivatives
- Risk provisions down owing to good portfolio quality, reduction in the PMA and releases of loan loss provisions for specific exposures

The Corporates & Markets segment generated a profit before taxes of €239 million (FY 2023: €279 million), some €41 million below the previous year's figure, which was boosted by the external market and interest rate environment.

At €222 million (FY 2023: €346 million), net interest income was significantly lower, with a major factor being a jump in refinancing costs in the business with CO₂ and precious metals derivatives in the Markets Division, but with a positive countereffect in gains or losses on fair value measurement. In the corporate customers business, net interest and commission income totalled €438 million (FY 2023: €458 million), which was only marginally below the previous year's solid level.

There was a marked jump in gains or losses on fair value measurement, which came in at €167 million (FY 2023: €84 million), mainly as a result of the positive earnings contributions from CO₂ and precious metals derivatives as a countereffect from the elevated refinancing costs.

The segment also benefited from other income of €8 million (FY 2023: expense of €3 million), including from the release of provisions and a positive effect from derecognised financial assets of €5 million (FY 2023: negative effect of €1 million), mainly associated with major modifications to individual exposures.

Risk provisions amounted to a net €15 million (FY 2023: net €1 million) thanks to high portfolio quality, a reduction in the PMA and releases of risk provisions for individual exposures.

Administrative expenses came in at €245 million (FY 2023: €252 million), a slight fall on the previous level, which included provisioning expenses.

DKB segment

- Net interest income still very high
- Net commission income bolstered especially by growth in the credit, card and securities business
- Earnings climb despite higher risk provisions, aided by e.g. lower restructuring costs and better measurement results

The DKB segment generated a profit before taxes of €1,116 million (FY 2023: €1,003 million), topping again a very good previous-year figure.

A key driver of the net profit for the year was once again net interest income, which, at €1,848 million (FY 2023: €1,937 million), was slightly lower than in the previous year but still at a very high level. High interest expenses from customer deposits and a reporting adjustment for brokering and processing fees of €67 million were largely offset by higher interest income from the growth in receivables in the retail and corporate customers business and the associated interest rate hedging transactions.

The rise in net commission income to €215 million (FY 2023: €130 million) was largely due to growth in the credit business with corporate customers, as well as in the card and securities business, in addition to a change in reporting that resulted in the reclassification of credit-business-related expenses for processing and brokerage fees of €67 million to net interest income. In contrast, the previous year's positive earnings contribution of €47 million from Bayern Card-Services GmbH – S-Finanzgruppe (BCS), which was deconsolidated in financial year 2024, was no longer included.

Gains or losses on fair value measurement went down to €25 million (FY 2023: €31 million), primarily due to the performance of the DKB sustainability funds.

After the sharp jump in interest rates in financial year 2023, which at DKB resulted in temporary measurement losses on interest rate hedging instruments of €54 million, gains or losses on hedging instruments improved by €118 million to €64 million after benefiting from successive ECB rate reductions. The gains or losses on the hedge accounting item must be viewed in conjunction with the interest expenses from the amortisation of these measurement effects of €-42 million (FY 2023: €102 million).

Gains or losses on financial investments, which in the previous year was mainly influenced by sales of securities, improved by €38 million to €20 million, mainly reflecting gains from the measurement of VISA preference shares held by DKB AG.

Other income and expenses came to a negative €16 million (FY 2023: positive €1 million). The higher figure for the previous year was largely due to a positive earnings contribution of €20 million from the sale of real estate.

Due to the tough economic environment, risk provisions in respect of both retail and corporate customers jumped to €181 million (FY 2023: €59 million).

DKB's status as Germany's second-largest online bank was further cemented by an increase in retail customer numbers to around 5.8 million (FY 2023: 5.6 million).

The segment's administrative expenses fell to €772 million (FY 2023: €802 million). This was mainly due to the de-consolidation of BSC, which had negatively impacted administrative expenses by €37 million in the previous year. In addition, initial successes from the Fit4Growth efficiency programme largely offset the cost increases in the previous financial year driven by payscale adjustments and inflation.

Expenses arising in the Fit4Growth efficiency programme had a negative impact of €30 million on gains or losses on restructuring in the reporting year (FY 2023: €66 million).

DKB also recorded a decrease in expenses for the deposit guarantee scheme to €51 million (FY 2023: €58 million). Expenses for the bank levy no longer applied in the financial year (FY 2023: €35 million), as DKB had already paid its share of the contribution in full.

Central Areas & Others segment

- Substantial improvement in earnings due to one-off income; previous year negatively impacted by winding down of LOBO loan exposures no longer forming part of the core business
- Group Treasury's earnings once again benefit from favourable interest rate conditions
- Absence of bank levy positively impacts earnings

The Central Areas & Others segment produced a profit before taxes of €99 million (FY 2023: loss before taxes of €142 million). Whereas a major reason for the previous year's figure was one-off charges of €104 million from the complete winding down of the LOBO credit portfolio, the segment's profit before taxes was driven, among other factors, by one-off compensation payments of €75 million in connection with the restructuring of the institution-specific deposit guarantee scheme, along with €40 million from reversals of provisions and from insurance services. Furthermore, in contrast to the previous year, earnings were unaffected by expenses for the bank levy (FY 2023: €35 million), as the target set for the Single Resolution Fund (SRF) was reached on 31 December 2023 and the Single Resolution Board (SRB) did not levy any regular ex-ante contributions for the SRF in the 2024 contribution period.

The segment's net interest income of €113 million (FY 2023: €106 million) and the net gain from fair value measurement of €115 million (FY 2023: €78 million) were mainly from the earnings contribution by the Group Treasury Division, which continued to benefit from the advantageous interest rate environment. However, the increase in net interest income was not due to Group Treasury but was largely a result of the absence of interest expenses for the refinancing and provision of euro collateral for the LOBO credit portfolio, which was fully wound down in 2023. After adjusting for one-off gains from the termination of LOBO refinancing in the previous year, which were offset by segment-internal expenses in the same amount, Group Treasury's net interest income was largely stable.

The improved gains or losses on fair value measurement figure was mainly related to higher interest income from secured money market transactions and earnings from interest rate risk management at BayernLB, which are reported under this line item.

Gains or losses on financial investments improved to a net loss of €47 million (FY 2023: net loss of €54 million), due to gains on the measurement of equity interests, whereas the previous year's figure was negatively impacted by measurement losses. Losses from securities sales at Group Treasury were higher than in the previous year, amounting to €54 million (FY 2023: losses of €45 million).

The jump in other income and expenses to €148 million (FY 2023: €58 million) was largely the result of compensation payments in connection with the institution-specific guarantee scheme of €75 million, tax and insurance-related income and reversals of provisions. Group Treasury's earnings from the repurchase of its own issues stood at €19 million (FY 2023: €53 million), lower than the previous year's figure.

Gains or losses on derecognised financial assets came in at €0 million (FY 2023: loss of €97 million), a marked improvement on the previous year, which was heavily affected by high one-off charges from the sale of customer receivables from various UK regional authorities in the wake of the full winding down of the LOBO loan portfolio.

At a net €2 million, risk provisions were on a par with the previous year (FY 2023: net €6 million) and comprised, among other things, releases of risk provisions assigned to LOBO loan exposures in Stage 2 following the winding down of these loans.

The segment's administrative expenses came to €238 million (FY 2023: €211 million), which was higher than in the previous year, due partly to the increase in IT and project costs.

Gains or losses on restructuring produced a loss of €18 million (FY 2023: loss of €26 million), largely attributable to the interest-rate effects from the measurement of existing restructuring provisions. The previous year's figure was also influenced by the creation of provisions related to IT transformation measures (replacement of legacy systems).

BayernInvest's profit before taxes stood at €43 million (FY 2023: loss of €350,000). The big jump in earnings was largely the result of one-off gains from the reversal of provisions and insurance services, which boosted the other income and expenses line item to €41 million (FY 2023: €3 million). In addition, the gains or losses on financial investments line item went up to €5 million thanks to gains on the measurement of equity interests, whereas the previous year's figure was negatively impacted by measurement losses of €2 million. Net commission income remained almost unchanged from the previous year at €42 million (FY 2023: €43 million). Administrative expenses went up compared with the previous year to €48 million (FY 2023: €46 million) due to additions to pension and partial retirement provisions.

The BayernLB Group's net assets

Assets

€ million	31 Dec 2024	31 Dec 2023	Change in %
Cash reserves	2,301	1,858	23.9
Loans and advances to banks	52,182	69,312	(24.7)
Loans and advances to customers	181,750	171,069	6.2
Risk provisions	(1,539)	(1,262)	22.0
Portfolio hedge adjustment assets	(2,526)	(3,216)	(21.4)
Assets held for trading	13,381	12,261	9.1
Positive fair values from derivative financial instruments (hedge accounting)	131	168	(22.0)
Financial investments	17,007	18,065	(5.9)
Investment property	19	20	(4.8)
Property, plant and equipment	315	351	(10.1)
Intangible assets	300	266	12.7
Tax assets	816	840	(2.8)
Non-current assets or disposal groups classified as held for sale	65	32	>100
Other assets	3,545	3,600	(1.5)
Total assets	267,747	273,364	(2.1)

Cash reserves and loans and advances to banks

Cash reserves and loans and advances to banks decreased by €16.7 billion compared with the end of 2023 to a total of €54.5 billion (FY 2023: €71.2 billion). The volume of cash reserves expanded to €2.3 billion (FY 2023: €1.9 billion) while loans and advances to banks contracted by €17.1 billion to €52.2 billion (FY 2023: €69.3 billion). In particular DKB saw its portfolio of loans and advances to banks shrink by €13.8 billion to €21.6 billion (FY 2023: €35.4 billion), mostly due to reductions in both the deposit facility and term deposits.

Loans and advances to customers

Loans and advances to customers increased by €10.7 billion on the previous year to €181.8 billion (FY 2023: €171.1 billion). The growth was mainly due to DKB's strong new business with retail and corporate customers. As a result, DKB posted a €7.6 billion increase in loans and advances to customers to €102.4 billion (FY 2023: €94.8 billion). At BayernLB, loans and advances to customers increased by €3.1 billion to €79.4 billion (FY 2023: €76.3 billion).

Risk provisions

Risk provisions climbed sharply by €277 million from the previous year to €1,539 million (FY 2023: €1,262 million). The main reason for the increase was higher impairments of loans in Stages 2 and 3, reflecting in particular deteriorating borrower credit ratings and defaults in the real estate loan portfolio. Accordingly, risk provisions for loans in Stage 1 fell from €177 million to €96 million, with those in Stage 2 rising to €465 million (FY 2023: €308 million). There was a significant jump in the risk provisions for loans in Stage 3, with the figure rising to €955 million (FY 2023: €739 million). The risk provisions for purchased or originated credit-impaired financial assets (POCI) went down to €23 million (FY 2023: €38 million). The figure as at the end of the reporting period included a post-model adjustment (PMA) of €378 million (FY 2023: €337 million) to reflect potential future risks to the credit portfolio under various macroeconomic scenarios. Of this amount, €225 million (FY 2023: €183 million) related to BayernLB and €153 million (FY 2023: €154 million) to DKB. For further information about the calculation of the PMA, refer to the notes to the consolidated financial statements for 2024.

Portfolio hedge adjustment

The portfolio hedge adjustment reflects the interest rate-related changes in the value of fixed-interest hedged items for which fair value hedge accounting in the form of portfolio hedges was used. As at the reporting date, the BayernLB Group's portfolio hedge adjustment was lower, falling by €690 million to a negative €2,566 million (FY 2023: negative €3,216 million). Of this amount, a negative €2,106 million (FY 2023: negative €2,612 million) was attributable to DKB. The recognised interest rate-related changes in the value of the hedged items were offset by changes in the value of the hedges. The netted amount of €62 million (FY 2023: negative €46 million) from both was recognised in gains or losses on hedge accounting.

Assets held for trading

Assets held for trading increased by €1.1 billion to €13.4 billion as at the reporting date (FY 2023: €12.3 billion), with receivables from trading activities increasing by €2.1 billion to €5.6 billion (FY 2023: €3.5 billion), primarily due to an increase in securities repurchase agreement activity. Holdings of bonds, notes and other fixed-income securities remained on par with the previous year at €2.0 billion (FY 2023: €1.9 billion), although there were shifts between holdings of money market securities (€+0.5 billion) and bonds and notes (€-0.5 billion). However, positive fair values of derivatives not serving as hedges fell by €1.0 billion to €5.8 billion (FY 2023: €6.8 billion), primarily due to changes in the fair values of interest-related transactions following interest rate movements and changes in the holdings of currency-related transactions. The trading portfolio of equities and other non-fixed income securities remained at a low €17 million (FY 2023: €16 million).

Intangible assets

Intangible assets rose by €34 million to €300 million as at the end of the year (FY 2023: €266 million). This related to strategically important investments in the IT and process landscape at BayernLB.

Non-current assets or disposal groups classified as held for sale

As at the reporting date, the BayernLB Group held non-current assets or disposal groups classified as held for sale in the amount of €65 million (FY 2023: €32 million). The full amount related to DKB, which, in compliance with IFRS 5, classified FMP Forderungsmanagement Potsdam GmbH (FMP) as a disposal group.

Other assets

Other assets fell by €55 million to €3,545 million (FY 2023: €3,600 million). However, the carrying amount of CO₂ certificates rose by €110 million to €2,223 million (FY 2023: €2,113 million). The primary reason was a rise in the number of certificates, from around 4 million to 31 million, which more than offset the price fall of about €77 per tonne to around €71 per tonne over the course of the year. The net surplus (net assets) from offsetting the present value of defined benefit obligations against earmarked assets, on the other hand, decreased by €108 million to €181 million (FY 2023: €289 million). Of the reported net assets, €174 million (FY 2023: €283 million) was attributable to the CTA. The reduction in the net asset value was due to the higher rise in the present value of pension obligations – caused by necessary changes to the measurement parameters – relative to the offsettable assets.

Liabilities

€ million	31 Dec 2024	31 Dec 2023	Change in %
Liabilities to banks	51,140	51,925	(1.5)
Liabilities to customers	136,408	143,309	(4.8)
Securitised liabilities	52,495	50,195	4.6
Liabilities held for trading	6,895	8,156	(15.5)
Negative fair values from derivative financial instruments (hedge accounting)	240	202	18.9
Provisions	1,351	1,162	16.3
Tax liabilities	92	203	(54.9)
Liabilities of disposal groups	1	–	–
Other liabilities	784	767	2.3
Subordinated capital	2,847	2,812	1.2
Equity	15,493	14,633	5.9
Total liabilities	267,747	273,364	(2.1)

Liabilities to banks

Liabilities to banks stood at €51.1 billion as at the reporting date, a minor €0.8 billion decrease versus the value as at the end of 2023 (FY 2023: €51.9 billion). While the volume of BayernLB's liabilities fell by €0.7 billion to €35.3 billion (FY 2023: €36.0 billion), DKB only posted a very small decrease of €0.1 billion to €15.9 billion (FY 2024: €16.0 billion). Overall, liabilities from pass-through business and subsidised loans, current account liabilities and other liabilities all dropped, by €0.6 billion each. This was offset by a rise in liabilities from call money and term deposits (rise of €1.2 billion).

Liabilities to customers

Liabilities to customers decreased by €6.9 billion to €136.4 billion compared with the end of the previous year (FY 2023: €143.3 billion). DKB had the highest volume of liabilities to customers as at the reporting date, posting €98.2 billion (FY 2023: €102.3 billion), although this amount went down amid expiring overnight money deals for retail customers. BayernLB's volumes also decreased, falling by €2.8 billion to €38.2 billion (FY 2023: €41.0 billion).

Securitised liabilities

Securities liabilities increased by €2.3 billion to €52.5 billion (FY 2023: €50.2 billion). Of this, €47.5 billion (FY 2023: €45.3 billion) related to BayernLB and €5.0 billion (FY 2023: €4.9 billion) to DKB. Holdings of issued bonds and notes stood at €44.9 billion (FY 2023: €42.4 billion). The other securitised liabilities stood at €7.6 billion (FY 2023: €7.8 billion), almost unchanged on the previous year. Within securitised liabilities, the programmes for issuing short-term money market instruments had a volume of €7.5 billion (FY 2023: €7.6 billion).

Liabilities held for trading

Liabilities held for trading dropped by €1.3 billion to €6.9 billion (FY 2023: €8.2 billion). This trend was in line with assets held for trading.

Provisions

Provisions increased by €0.2 billion to €1.4 billion (FY 2023: €1.2 billion). Of the reported amount of provisions, €514 million (FY 2023: €506 million) related to provisions for pensions and €837 million (FY 2023: €656 million) to other provisions.

The BayernLB Group recognises provisions for pensions after offsetting the present value of the pension obligations against qualifying plan assets. As at the reporting date, the present value of the pension obligations was €3,685 million (FY 2023: €3,553 million). The negative change in the present value of pension obligations totalling €132 million arose mainly from the adjustment of experienced-based assumptions – due to a number of reasons including payscale and non-payscale salary adjustments – of a negative €137 million (FY 2023: negative €23 million). Qualifying plan assets were used for offsetting in the amount of the fair value of the underlying assets of €3,366 million (FY 2023: €3,350 million). BayernLB holds the largest volume of offsettable plan assets through a CTA under the fiduciary management of Allianz Treuhand GmbH, Stuttgart, in the amount of €3,105 million (FY 2023: €3,097 million). As at 31 December 2024, these fully funded all of BayernLB's earmarked pension, allowance and death benefit obligations totalling €2,931 million (FY 2023: €2,814 million). As at the reporting date, the offsetting of covered obligations against earmarked plan assets created a surplus (net assets) of €181 million (FY 2023: €289 million), which was reported under the other assets line item. Of this amount, €174 million (FY 2023: €283 million) was attributable to the CTA.

Other provisions rose by €181 million to €837 million (FY 2023: €656 million). This arose mainly from the creation of a provision for ongoing legal disputes in connection with a letter of credit of €281 million. Conversely, restructuring provisions declined by €62 million to €299 million (FY 2023: €361 million) and largely covered liabilities in connection with restructuring and transformation measures at BayernLB of €229 million (FY 2023: €287 million) and, at DKB, of €71 million (FY 2023: €74 million). The decrease at BayernLB was mainly due to pension payments made under the agreements contracted under Fokus 2024. The restructuring provisions at DKB are connected with the measures initiated in the previous year under the Fit4Growth programme.

Liabilities of disposal groups

Liabilities of disposal groups in the amount of €1 million (FY 2023: €0 million) are related to DKB's intended sale of FMP and the resulting classification of the equity interest as an IFRS 5 disposal group.

Subordinated capital

To fulfil the rating requirements of Moody's Loss Given Failure (LGF) methodology, subordinated capital was raised by €35 million year on year to €2,847 million (FY 2023: €2,812 million). The main increase was in subordinated liabilities from bearer bonds, with a rise of €30 million to €2,280 million (FY 2023: €2,250 million).

Equity

€ million	31 Dec 2024	31 Dec 2023	Change in %
Subscribed capital	3,412	3,412	–
Capital surplus	2,182	2,182	–
Retained earnings	9,346	8,792	6.3
Revaluation surplus	(49)	(117)	(58.4)
Foreign currency translation reserve	2	2	–
Distributable profit	600	350	71.4
Non-controlling interests	–	12	–
Equity	15,493	14,633	5.9

The equity recognised on the balance sheet stood at €15.5 billion as at 31 December 2024, €0.9 billion above the previous year's figure. The retained earnings primarily reflected the BayernLB Group's exceptionally good profitability. The revaluation surplus recovered by €68 million to a negative €49 million, mainly due to the positive effect from the measurement of debt securities and other fixed-income securities at fair value through other comprehensive income. More extensive and detailed information on the specific line items of the balance sheet can be found under the notes to the balance sheet and the supplementary disclosures in the notes to the consolidated financial statements for 2024.

Banking supervisory capital and ratios under CRR/CRD IV (as per consolidated financial statements)

The banking supervisory capital under CRR/CRD IV as per the prepared consolidated financial statements as at 31 December 2024 was as follows:

€ billion	1 Jan – 31 Dec 2024	1 Jan – 31 Dec 2023	Change in %
Common Equity Tier 1 capital (CET1 capital)	13.1	12.4	5.6
Own funds	15.7	15.1	4.0
Total RWAs	70.0	64.5	8.5
Common Equity Tier 1 (core tier 1 ratio) (%)	18.7	19.3	(0.6) pp ¹
Total capital ratio (%)	22.4	23.4	(1.0) pp ¹

¹ Percentage points.

The return on capital pursuant to Section 26a para. 1 KWG⁵⁷ was 0.5% (FY 2023: 0.4%). The country by country reporting, which is governed by Section 26a para. 1 sentence 4 KWG, is published as an appendix to the consolidated financial statements of BayernLB.

⁵⁷ Ratio of consolidated net income/loss to consolidated total assets.

The BayernLB Group's financial position

Liquidity

The BayernLB Group ensured it had sufficient liquidity reserves at all times during financial year 2024 (also for stress scenarios). Further information on refinancing and the liquidity situation is provided in the risk report section of this management report.

In %	31 Dec 2024 Submitted financial statements	31 Dec 2023 Submitted financial statements	31 Dec 2023 Adopted financial statements
LCR	190.2	241.4	241.4
NSFR	125.6	139.0	139.3

As at 31 December 2024 the Group's liquidity coverage ratio (LCR) was 190.2%, by far exceeding the minimum regulatory value of 100.0% (LCR surplus of €20.4 billion). This decrease was primarily the result of the dynamic new lending business and a marginal decline in customer deposits at DKB.

As at 31 December 2024 the Group's net stable funding ratio (NSFR) was 125.6%, or a €35.9 billion surplus over the minimum regulatory value of 100.0%, compared with 139.3% as at 31 December 2023.

The BayernLB Group's liquidity management always had the capacity to respond to new market developments in good time. The BayernLB Group has access to the capital market with a broad range of products. Besides unsecured refinancing instruments (preferred and non-preferred senior bonds, Tier 2 subordinated capital and additional Tier 1 capital), the Group can also issue secured funding instruments, in particular mortgage Pfandbriefs and public Pfandbriefs, if it needs to raise financing. Pfandbriefs are an integral part of the mix of refinancing options at its disposal. They provide the BayernLB Group with stable access to long-term funding, and at a lower cost than unsecured sources of funding. The issues take the form of large-volume benchmark bonds right through to private placements. Further information on refinancing and the liquidity situation is provided in the risk report section of this management report.

Ratings

The rating agencies Moody's Investors Service (Moody's) and Fitch Ratings (Fitch) assigned the following ratings to BayernLB:

	Moody's	Fitch
Issuer rating	Aa2 (stable)	A+ (stable)
Long term, preferred senior unsecured	Aa2	AA–
Long term, non-preferred senior unsecured	A1	A+
Short term, unsecured	P– 1	F1+
Public Pfandbriefs	Aaa	–
Mortgage Pfandbriefs	Aaa	–

On 15 March 2024 Moody's upgraded BayernLB's standalone rating (baseline credit assessment, or BCA) one notch to Baa1. This was due to BayernLB's improved financial indicators, in particular profitability and capital base. All the Bank's issuer ratings improved by one notch.

On 8 July 2024 Fitch responded to the restructuring of the deposit guarantee system of the Savings Banks Finance Group and raised the issuer rating by two notches from A- to A+. There was also an improvement in all of BayernLB's other support-driven ratings.

Overall assessment of the BayernLB Group's financial position and financial performance

The results of operations were exceptionally good in 2024. The BayernLB Group's net assets and financial position were stable in financial year 2024. The Group had comfortable levels of liquidity throughout the reporting period.

Report on BayernLB's net assets, financial position and results of operations (HGB)

BayernLB prepares its annual financial statements in accordance with the German Commercial Code (HGB), the Regulation on the Accounting Requirements for Financial Institutions and Financial Service Providers (RechKredV), the provisions of the Pfandbrief Act (PfandBG), the supplementing regulations of the Bayerische Landesbank Act, and the Bank's Statutes.

Statement by the Board of Management on BayernLB's business performance in 2024

BayernLB is an inherent part of the Group, which is managed based on IFRS key figures. The macroeconomic and sector-specific conditions for BayernLB were largely aligned with those of the BayernLB Group and are described in the report on the economic position in the combined management report.

Very successful financial year 2024 for BayernLB with a net profit of €800 million

With its business model of a focused specialised bank, BayernLB was once again well positioned for geopolitical risks and economic challenges in financial year 2024.

BayernLB sustained its strong earnings performance in 2024, delivering an operating profit of €791 million – surpassing the previous year (FY 2023: €331 million). The surge came mainly from a significantly higher measurement gain from equity interests (€+682 million), improved net interest income (€+154 million) and an increase in net income from the trading portfolio (€+116 million). Earnings were weighed down by a marked increase in expenses for risk provisions in the credit business (€547 million) and consistently high administrative expenses, both of which, however, being more than offset by the strong earnings growth.

Net interest income at BayernLB increased to €1,332 million (FY 2023: €1,178 million). The sharp rise in interest expenses to €6,733 million (FY 2023: €6,031 million), due to elevated interest rates, was more than compensated for by an improved interest income of €7,611 million (FY 2023: €6,867 million). A major positive contributor was the jump in current income to €407 million (FY 2023: €309 million), especially from shares in affiliated companies. A key boost to earnings came from the expected distribution of around €400 million from the subsidiary DKB for financial year 2024.

Compared with the previous year, net risk provisions jumped to €974 million (FY 2023: €427 million). Net risk provisions in the credit business stood at €932 million, considerably higher than the previous year's figure of €437 million. This mainly stemmed from creditworthiness-related higher additions amid challenging economic conditions, especially in the real estate sector, and was reflected in the credit portfolio through rating deteriorations and credit defaults. To take adequate account of the potential risks from the fraught geopolitical situation and challenges on the real estate markets, the BayernLB Group set aside additional risk provisions through a post-model adjustment (PMA) for cases where such effects were not or not sufficiently considered in the risk provision model and the chosen parameters. As at the reporting date, the PMA amounted to €225 million (FY 2023: €183 million).

The surge in measurement gains to €589 million (FY 2023: losses of €93 million) was mainly the result of the recovery in the value of subsidiary DKB's carrying amount in financial year 2024.

Net income of the trading portfolio came in at €267 million in the reporting period (FY 2023: €151 million) and was boosted in particular by interest rate-related measurement gains from derivatives positions and structured products. The foreign notes and coins and precious metals business contributed a significant €86 million to earnings (FY 2023: €60 million).

Administrative expenses fell slightly by €33 million to €973 million in the financial year (FY 2023: €1,006 million). The continually high level of costs was primarily the outcome of substantial investments in a modern working environment, along with further improvements to the IT infrastructure and cybersecurity. A significant reduction in expenses in 2024 resulted from the full elimination of charges related to the bank levy and deposit guarantee scheme.

Net profit stood at €800 million (FY 2023: €350 million) and was therefore well above expectations.

The profit for financial year 2024 to be distributed to the shareholders was €600 million (FY 2023: €350 million).

As before, the credit and trading business made up a large proportion of BayernLB's net assets. Total assets stood at €151.8 billion as at 31 December 2024 and were therefore €2.7 billion or 1.7% lower than their level at the end of 2023 (FY 2023: €154.5 billion). In financial year 2024, BayernLB reported growth in short-term repurchase agreements and an expansion of new business with customers in the medium-term maturity range, which is an encouraging development, especially in light of the challenging conditions on real estate markets. This total growth of around €3.8 billion was offset by a fall in loans and advances to banks of around €6.6 billion, which arose from reduced deposits at central banks. Total assets are also directly reflected in the changing business volume and credit volume, both of which recorded a corresponding decrease overall.

€ billion	31 Dec 2024	31 Dec 2023	Change in %
Total assets	151.8	154.5	(1.7)
Business volume ¹	183.8	187.0	(1.7)
Credit volume ²	126.6	129.9	(2.6)

¹ Total assets plus contingent liabilities and loan commitments.

² Loans and advances to banks and customers plus contingent liabilities from guarantees and indemnity agreements.

BayernLB's results of operations

€ million	1 Jan – 31 Dec 2024	1 Jan – 31 Dec 2023	Change in %
Net interest income ¹	1,332	1,178	13.1
Net commission income	209	210	–
Gross profit	1,541	1,387	11.1
Staff costs	(615)	(635)	(3.2)
Operating expenses	(358)	(371)	(3.6)
Administrative expenses	(973)	(1,006)	(3.3)
Net income or net expenses of the trading portfolio	267	151	77.3
Other operating profit/loss ²	340	320	6.1
Risk provisions	(974)	(427)	>100
Gains or losses on measurement	589	(93)	–
Operating profit/loss	791	331	>100
Gains or losses from extraordinary items	(10)	(14)	(24.6)
Income taxes	19	32	(39.5)
Net profit	800	350	>100
Profit brought forward from previous year	–	–	–
Withdrawals from retained earnings	–	–	–
Allocations to retained earnings	(200)	–	–
Distributable profit	600	350	71.4

Rounding differences may occur in the tables.

1 Including the "Current income" and "Income from profit-pooling agreements, profit transfer agreements and partial profit transfer agreements" items.

2 Net of the "Other operating expenses", "Other operating income" and "Other taxes" items.

Net interest income

€ million	1 Jan – 31 Dec 2024	1 Jan – 31 Dec 2023	Change in %
Interest income	7,611	6,867	10.8
Interest expenses	(6,733)	(6,031)	11.6
Current income from equities and other non-fixed income securities, participations/equity interests and shares in affiliated companies	407	309	31.7
Income from profit-pooling agreements, profit transfer agreements and partial profit transfer agreements	47	32	45.0
Net interest income	1,332	1,178	13.1

Net interest income was mainly impacted by interest rate trends and DKB's earnings contribution. Net interest income, the difference between interest income and interest expenses – including current income on equities and other non-fixed income securities, participations/equity interests, shares in affiliated companies and profit transfers – went up by €154 million to €1,332 million in financial year 2024 (FY 2023: €1,178 million). Interest income improved by €744 million to €7,611 million (FY 2023: €6,867 million). The main increases were interest income from loans and advances to banks (up €60 million), loans and advances to customers (up €253 million) and interest rate derivatives in the non-trading portfolio (up €278 million).

On the other hand, interest expenses went rose a slower pace, by €702 million to €6,733 million (FY 2023: €6,031 million), primarily due to interest expenses from liabilities to customers (up €111 million), securitised liabilities (up €214 million), liabilities to banks (up €174 million) and interest rate derivatives in the non-trading portfolio (up €189 million).

Current income from equities and other non-fixed income securities, participations/equity interests and shares in affiliated companies improved by a total of €98 million to €407 million (FY 2023: €309 million), around €400 million of which related to a distribution received from DKB in the same period.

The earnings contributions from profit transfers from subsidiaries rose year on year to €47 million, exceeding the previous year's figure of €32 million, and mostly related to a strategic equity interest.

Net commission income

Net commission income remained virtually unchanged at €209 million compared with the previous year and is broken down as follows:

€ million	1 Jan – 31 Dec 2024	1 Jan – 31 Dec 2023	Change in %
Credit business	140	143	(1.6)
Securities business	30	27	9.3
Payments/account management	18	19	(5.2)
Trustee and administered loans	19	18	7.4
Documentary business	3	3	(12.0)
Gains or losses on diversification	1	1	(32.7)
Other commissions	(1)	(1)	(0.7)
Net commission income	209	210	–

Administrative expenses

Administrative expenses fell by €33 million to €973 million in the financial year (FY 2023: €1,006 million). This line item consisted of staff costs of €615 million (FY 2023: €635 million), other administrative expenses of €326 million (FY 2023: €338 million) and amortisation, depreciation and writedowns on intangible assets and tangible assets of €32 million (FY 2023: €33 million). A range of factors contributed to the fall in staff costs. While the previous year's staff costs were marked by high costs from the necessary adjustments to assumptions about future salary, pension and medical cost trends, the negative impact from payscale and non-payscale adjustments to salaries implemented at the end of financial year 2024 was less pronounced.

The persistently high level of general administrative expenses of €941 million (FY 2023: €973 million) reflected the scale of the investments in a modern working environment and further improvements to the IT infrastructure and cybersecurity. A significant reduction in expenses in 2024 resulted from the full elimination of charges related to the bank levy and deposit guarantee scheme. BayernLB had already reached its required target volume for the "old fund" of the institution-specific deposit guarantee scheme in financial year 2021, so that no further contributions were required.

The mandatory contribution to the bank levy also fully ceased to apply, due to the target volume of the Single Resolution Fund (SRF) having already being reached by the end of 2023 (FY 2023: €35 million). This was confirmed by the Single Resolution Board (SRB) in its press release of 15 February 2024,⁵⁸ in which it stated that no regular annual contributions would be levied on banks for the year 2024.

Depreciation and amortisation amounted to €32 million, on par with the previous year's level. The amortisation of new intangible assets currently in the build-up and implementation phase of the IT transformation – particularly in connection with the future bank management software – will commence only upon their go-live (i.e. start of operational use).

Net income or net expenses of the trading portfolio

The Bank generated a significantly higher net income from the trading portfolio, €267 million, compared with the previous year (FY 2023: €151 million). A key factor was the increase in repurchase activities, coupled with attractive terms for these transactions (€+177 million). The positive contributions to earnings from fixed-income securities, Schuldschein note loans and registered bonds in the trading portfolio of €120 million (FY 2023: €151 million) were offset by losses from currency-related transactions of €28 million (FY 2023: gain of €44 million). The derivatives concluded for economic hedging purposes and other interest-rate transactions went up by €209 million to €144 million (FY 2023: down by €65 million); income from the foreign notes and coins and precious metals business came in at €86 million (FY 2023: €60 million) and was therefore still at a high level. As at 31 December 2024, an allocation of €30 million (FY 2023: €17 million) was made to the fund for general banking risks pursuant to Section 340g HGB.

Other operating profit

Other operating profit⁵⁹ rose to €340 million in the reporting year (FY 2023: €320 million). Other operating income went up by €120 million to €606 million (FY 2023: €486 million). The main factor here was the increase in realised gains and measurement effects, largely driven by CO₂ transactions and other derivatives, with the amount surging by €316 million to €364 million (FY 2023: €48 million). A positive contribution also came from a one-off compensation payment received in connection with the restructuring of the institution-specific deposit guarantee scheme of €75 million. Income from the measurement of cover assets fell by €257 million to €113 million (FY 2023: €370 million). Other operating expenses went up by €110 million to €274 million (FY 2023: €164 million), primarily due to an increase in realised losses from derivatives in the amount of €162 million (FY 2023: €66 million).

⁵⁸ See <https://www.srb.europa.eu/en/content/single-resolution-fund-no-expected-contribution-2024-target-level-reached>.

⁵⁹ Net of other operating expenses, other operating income and other taxes.

Risk provisions and gains or losses on measurement

As at 31 December 2024, risk provisions and gains or losses on measurement broke down as follows:

€ million	1 Jan – 31 Dec 2024	1 Jan – 31 Dec 2023	Change in %
Gains or losses on credit business	(932)	(437)	>100
Gains or losses on liquidity reserve securities	(42)	10	–
Risk provisions	(974)	(427)	>100
Gains or losses on the measurement of fixed-asset securities and hedging derivatives	(47)	(36)	30.5
Gains or losses on participations/equity interests	637	(57)	–
Gains or losses on measurement	589	(93)	–

At €974 million, net risk provisions stood far above the previous year's figure of €427 million, reflecting the still challenging interest rate environment and difficult economic conditions, especially in the real estate sector. The biggest increase took place in the credit business, mainly as a result of the large allocation to the contingency reserves under Section 340f of the German Commercial Code (HGB) and higher specific loan loss provisions.

The risk provisions in the credit business broke down as follows:

€ million	1 Jan – 31 Dec 2024	1 Jan – 31 Dec 2023	Change in %
Taxed reserves	(582)	(297)	95.7
Net gains or losses on specific loan loss provisions	(310)	(258)	20.2
Provisions for off-balance sheet loan losses	1	(9)	–
Direct writedowns	(1)	(1)	–
Other risk provisions in the credit business	(11)	14	–
Net gains or losses on general loan loss provisions	(47)	32	–
Recoveries on written down receivables	18	81	(77.4)
Gains or losses on credit business	(932)	(437)	>100

As expected, net gains or losses on specific loan loss provisions was impacted by the persistently strained conditions on the real estate market. Another high level of additions to specific loan loss provisions of €448 million (FY 2023: €444 million) was offset by smaller releases of €136 million (FY 2023: €185 million). Net gains or losses on general loan loss provisions was significantly worse than in the previous year, with a net addition of €47 million (FY 2023: net release of €32 million). To take adequate account of the risks from the fraught geopolitical situation, high inflation and the challenges in the real estate sector, BayernLB set aside additional risk provisions through a post-model adjustment (PMA), analogously to the risk provision methodology used under IFRS 9. The increasing deterioration in credit quality in the reporting year – particularly in relation to property developers and project financing and the resulting specific loan loss provisions, as well as future expected additional defaults – led to an increase in general loan loss provisions to €259 million as at 31 December 2024 (FY 2023: €216 million). Of this amount, €225 million (FY 2023: €183 million) was attributable to the PMA.

Gains or losses on liquidity reserve securities fell to a net loss of €42 million (FY 2023: net gain of €10 million), mainly due to price losses and measurement effects on fixed-income securities and additions to provisions for contingent losses.

Measurement gains rose sharply year on year to €589 million (FY 2023: loss of €93 million). The measurement losses on fixed-asset securities and hedging derivatives (€47 million) were largely the result of losses on the targeted sales of bonds. The gains on participations/equity interests (€637 million) stemmed mainly from an addition to shares in affiliated companies.

Gains or losses from extraordinary items

The Bank posted net losses from extraordinary items of €10 million for the 2024 financial year (FY 2023: net losses of €14 million). This comprised extraordinary income of €2 million (FY 2023: €7 million) and extraordinary expenses of €12 million (FY 2023: €21 million). The extraordinary income arose from measurement adjustments of HR-related restructuring provisions, which were released following the end of the Fokus 2024 staff reduction programme in September 2023. The extraordinary expenses comprised, besides measurement adjustments of HR-related restructuring provisions recognised on the reporting date, unavoidable costs for the IT transformation programme, which was initiated under Fokus 2024 and has yet to be concluded.

Income taxes

There was a net gain on income taxes of €19 million (FY 2023: €32 million) comprising the tax expense for the current year of €25 million (FY 2023: expense of €3 million) and tax income for previous years of €44 million (FY 2023: €35 million).

Distributable profits

As at 31 December, the Bank had distributable profits of €600 million (FY 2023: €350 million).

BayernLB's net assets

Assets

€ million	31 Dec 2024	31 Dec 2023	Change in %
Cash reserves	100	85	17.5
Debt instruments issued by public entities and bills of exchange eligible for refinancing with central banks	716	673	6.3
Loans and advances to banks	37,016	43,617	(15.1)
Loans and advances to customers	76,572	74,603	2.6
Bonds, notes and other fixed-income securities	11,276	12,317	(8.4)
Equities and other non-fixed income securities	111	112	(0.9)
Trading portfolio	11,329	9,537	18.8
Equity interests	371	340	9.2
Shares in affiliated companies	3,631	2,990	21.5
Assets held in trust	6,632	6,328	4.8
Intangible assets	175	137	27.7
Property, plant and equipment	217	223	(2.7)
Other assets	3,389	3,202	5.8
Prepaid expenses	299	325	(8.2)
Positive difference from asset offsetting	–	11	–
Total assets	151,834	154,500	(1.7)

Cash reserves

As at the end of financial year 2024, BayernLB had a cash reserve of €100 million, above the previous year's figure of €85 million. The increased amount was due to a higher cash balance (€+13 million).

Debt instruments issued by public entities

In the financial year, holdings were increased by purchases of US Treasury bills to €716 million (FY 2023: €673 million).

Loans and advances to banks

As a result of liquidity management, loans and advances to banks decreased by €6.6 billion to €37.0 billion (FY 2023: €43.6 billion). Loans and advances to domestic banks declined by a total of €4.5 billion to €35.8 billion (FY 2023: €40.3 billion). The main reason for this was lower deposits at the Deutsche Bundesbank, with the amount falling by €3.7 billion. Loans and advances to foreign banks dropped by €2.1 billion to €1.2 billion (FY 2023: €3.3 billion). The balance at the Deutsche Bundesbank stood at €54 million, a slight increase on the previous year (FY 2023: €52 million).

Loans and advances to customers

Loans and advances to customers increased by €2.0 billion as at 31 December 2024 to €76.6 billion (FY 2023: €74.6 billion). This was due to a rise in loans and advances to domestic customers of €1.3 billion to €49.0 billion (FY 2023: €47.7 billion). Loans and advances to foreign customers also went up and stood at €27.6 billion as at the reporting date (FY 2023: €26.9 billion).

Bonds, notes and other fixed-income securities

Bonds, notes and other fixed-income securities dropped by €1.0 billion to €11.3 billion (FY 2023: €12.3 billion), mostly due to the redemption of maturing securities. As at the reporting date, securities in the investment portfolio went down by €1.4 billion to €4.5 billion (FY 2023: €5.9 billion), while securities in the liquidity reserve rose by €0.3 billion to €6.6 billion (FY 2023: €6.4 billion).

Equities and other non-fixed income securities

The equities and other non-fixed income securities line item was almost unchanged at €111 million (FY 2023: €112 million). The rise in interests in investment funds (€+27 million) was offset by a fall in equity holdings (€-28 million).

Trading portfolio (assets)

As at the reporting date, the volume of the trading portfolio (assets) rose by €1.8 billion to €11.3 billion (FY 2023: €9.5 billion). The main reason was the €2.1 billion increase in receivables held for trading to €5.8 billion (FY 2023: €3.7 billion) due to the securities repurchase transactions concluded in the trading portfolio. The holdings of Schuldschein note loans in the trading portfolio were on par with the previous year at €2.3 billion (FY 2023: €2.3 billion). Positive fair values of derivative financial instruments decreased slightly by €0.2 billion to €2.8 billion (FY 2023: €3.0 billion). This was mainly due to developments in the interest rate-related business (€-0.2 billion) and the currency-related business (€-0.1 billion).

Participations/equity interests and shares in affiliated companies

The carrying amount of the participations/equity interests rose by €31 million to €371 million (FY 2023: €340 million). This was mainly due to the increase in the carrying amount of the equity interest in Galintis GmbH & Co. KG, Frankfurt/Main, in which BayernLabo holds a partnership share of 15.9% and in which the equity interest in Airbus SE, Leiden, the Netherlands, is pooled. The factor resulting in the increase in the carrying amount of the equity interest was the rise in the share price of Airbus SE as at the reporting date, which was offset by the opposing effect from the related hedging transactions. Shares in affiliated companies increased by a significant €642 million from €2,990 million to €3,631 million, mainly as a result of a writeup in DKB's carrying amount in the financial year.

Assets held in trust

Assets held in trust rose by €304 million to €6,632 million in the financial year (FY 2023: €6,328 million). This was owing to the still-high utilisation of government subsidies, especially from the Free State of Bavaria, which are processed by BayernLabo. As at 31 December 2024, of the assets held in trust €6,381 million (FY 2023: €5,998 million) related to BayernLabo and €251 million (FY 2023: €330 million) to BayernLB.

Intangible assets and tangible assets

Intangible assets rose by €38 million as at the end of the year to €175 million (FY 2023: €137 million), due mainly to strategically important investments within the IT transformation programme to modernise bank management. As at 31 December 2024, the Bank's tangible assets fell year on year by €6 million to €217 million (FY 2023: €223 million) due to scheduled depreciation.

Other assets

Compared with the previous year, other assets rose by €187 million to €3,389 million (FY 2023: €3,202 million). The carrying amount of CO₂ certificates increased by €179 million to €2,223 million (FY 2023: €2,044 million). The primary reason was a rise in the number of certificates, from around 4 million to 31 million, which more than offset the price fall of about €77 per tonne to around €71 per tonne over the course of the year. This was offset by the increase in receivables in connection with earnings from equity interests of €114 million to €440 million (FY 2023: €330 million), in particular related to the profit distribution from DKB of around €400 million (FY 2023: €300 million) received in the same period. In addition, receivables from the tax authorities rose by €12 million to €157 million (FY 2023: €145 million) due to high upfront payments.

Positive difference from asset offsetting

As at 31 December 2024, the offsetting of the fair value of cover assets against allocable pension obligations did not produce a positive difference from surplus assets (FY 2023: €11 million).

Liabilities

€ million	31 Dec 2024	31 Dec 2023	Change in %
Liabilities to banks	39,829	41,220	(3.4)
Liabilities to customers	38,433	41,480	(7.3)
Securitised liabilities	47,754	45,855	4.1
Trading portfolio	4,080	5,392	(24.3)
Liabilities held in trust	6,632	6,328	4.8
Other liabilities	571	370	54.3
Deferred income	353	282	25.0
Provisions	1,290	1,215	6.1
Subordinated liabilities	2,955	2,916	1.3
Fund for general banking risks	1,302	1,253	3.9
Equity	8,637	8,187	5.5
Total liabilities	151,834	154,500	(1.7)

Liabilities to banks

Liabilities to banks decreased by €1.4 billion to €39.8 billion (FY 2023: €41.2 billion). While liabilities to domestic banks contracted by €2.7 billion to €36.7 billion (FY 2023: €39.4 billion), liabilities to foreign banks went up by €1.4 billion to €3.2 billion (FY 2023: €1.8 billion).

Liabilities to customers

Liabilities to customers decreased by €3.1 billion to €38.4 billion (FY 2023: €41.5 billion). With a €2.9 billion decrease to €33.7 billion (FY 2023: €36.6 billion), liabilities to domestic customers accounted for the largest share. Liabilities to customers in the public sector fell by €1.1 billion to €13.1 billion (FY 2023: €14.2 billion). Liabilities to domestic retail customers/companies went down by €1.9 billion to €20.5 billion (FY 2023: €22.4 billion).

Securitised liabilities

Holdings of securitised liabilities went up in the reporting year to €47.8 billion (FY 2023: €45.9 billion). The primary driver was increased demand for green bonds from BayernLB's green commercial paper programme.

Trading portfolio (liabilities)

The value of the trading portfolio (liabilities) stood at €4.1 billion, down from the previous year's figure of €5.4 billion. A large portion of this – €3.2 billion (FY 2023: €4.2 billion) – was attributable to the negative fair values of derivatives in the trading portfolio. The fall in derivatives in the trading portfolio was primarily due to interest-related transactions (€-0.7 billion) and changes in fair values amid the new interest rate environment. Liabilities in the trading portfolio went down to €0.9 billion (FY 2023: €1.2 billion).

Liabilities held in trust

Liabilities held in trust rose in line with the trust assets by €304 million to €6,632 million (FY 2023: €6,328 million).

Other liabilities

There were other liabilities of €571 million as at the reporting date (FY 2023: €370 million). The main cause for the rise was the release of hidden reserves, as well as additions and exchange-rate effects in connection with cross-currency swaps.

Provisions

As at the reporting date, the Bank had provisions of €1,290 million (FY 2023: €1,215 million). Of these, €743 million (FY 2023: €558 million) were provisions for pensions, €15 million (FY 2023: €45 million) provisions for tax and €531 million (FY 2023: €613 million) for other provisions. Liabilities from pensions and other similar obligations amounted to €3,759 million as at the reporting date (FY 2023: €3,558 million). As at 31 December 2024, the earmarked cover assets eligible for offsetting amounted to €3,156 million (FY 2023: €3,146 million), of which €3,105 million (FY 2023: €3,097 million) was attributable to the CTA under the administration of Allianz Treuhand GmbH, Stuttgart. The €81 million fall in other provisions was mainly due to the utilisation of restructuring provisions for staff reductions, bringing the balance down from €304 million to €237 million.

Subordinated liabilities

As at 31 December 2024, the Bank reported a €39 million rise in subordinated liabilities to €2,955 million (FY 2023: €2,916 million). To fulfil the rating requirements of Moody's Loss Given Failure (LGF) methodology, subordinated liabilities from bearer bonds were actively increased (€+39 million).

Fund for general banking risks

The fund for general banking risks rose to €1,302 million (FY 2023: €1,253 million). Of this amount, €1,059 million (FY 2023: €1,040 million) related to BayernLabo and €243 million (FY 2023: €213 million) to BayernLB core Bank. A special item pursuant to Section 340e para. 4 HGB in the amount of €145 million (FY 2023: €115 million) was reported under the fund for general banking risks.

Equity

As at 31 December 2023, the Bank's equity as reported on the balance sheet broke down as follows:

€ million	31 Dec 2024	31 Dec 2023	Change in %
Subscribed capital	3,412	3,412	–
Capital surplus	2,182	2,182	–
Retained earnings	2,443	2,243	8.9
Distributable profit	600	350	71.4
Equity	8,637	8,187	5.5

The distributable profits of financial year 2023 were distributed to the shareholders of BayernLB in the amount of €350 million in the reporting year. The distributable profits of €600 million for financial year 2024 will be paid to the shareholders, subject to approval by the Annual General Meeting.

Banking supervisory capital and ratios under CRR/CRD IV (as per consolidated financial statements)

Banking supervisory capital under CRR/CRD IV as per the consolidated financial statements as at 31 December 2024 broke down as follows:

€ billion	31 Dec 2024	31 Dec 2023	Change in %
Common Equity Tier 1 capital (CET1 capital)	8.8	8.7	1.2
Own funds	11.6	11.5	0.9
Total RWAs	45.7	43.8	4.3
Common Equity Tier 1 (core tier 1 ratio) (%)	19.4	19.8	(0.4) pp ¹
Total capital ratio (%)	25.5	26.3	(0.8) pp ¹

¹ Percentage points.

BayernLB's financial position

During financial year 2024 it was ensured that liquidity reserves at BayernLB were adequate at all times, including for stress situations. The liquidity situation is described in the risk report presented in the combined management report. Therefore, no detailed analysis is provided here and readers are referred to the information in the risk report and the notes to the consolidated financial statements and the cash flow statement of the BayernLB Group.

Overall assessment of BayernLB's net assets, financial position and results of operations

BayernLB's results of operations were very good in 2024 and exceeded expectations. The net assets and financial position of BayernLB were solid in financial year 2024. The Bank's liquidity was good throughout the reporting period.

Risk report

About this report

This risk report sets out the risk situation of the BayernLB Group⁶⁰ and BayernLB as at 31 December 2024. The following refers primarily to risk management in the BayernLB Group. The BayernLB key figures at the individual bank level are shown in addition to those at Group level. A separate explanation is provided where processes and procedures differ.

This risk report was prepared in accordance with the requirements of IFRS 7.31 et seq. on the reporting of risks arising from financial instruments and risks to which the BayernLB Group was exposed as at the end of the reporting period. The presentation of the risks is based principally on information supplied as a basis for risk management and monitoring to the Board of Management and the Risk Committee of the Supervisory Board (management approach).

For information on the inclusion of forbearance exposures in risk-based management, refer to the “Intensive support, restructuring and workout, and forbearance” section of the report. The relevant quantitative data can be found in the “Portfolio overview in accordance with IFRS 7.34 a (management approach)” section.

The risk report contains further information required in accordance with German Accounting Standard GAS 20.

Key developments in 2024

Risk-bearing capacity was maintained throughout the financial year, as the capital base was solid at all times. In addition, the BayernLB Group had a good supply of liquidity on hand. Irrespective of the difficult conditions, the BayernLB Group’s risk situation remained stable overall thanks to its forward-looking risk management. This is evidenced by, among other things, the fact that the portfolio quality stayed high, with an investment grade share of 89.3% (FY 2023: 89.3%).

Gross credit volume fell by €10.4 billion to €335.2 billion. The Countries/Public Sector/Non-Profit Organisations sub-portfolio was the main reason for the decline. In contrast, growth was achieved in the Corporates sub-portfolio, especially in the target sector of energy, and in the Retail/Other and Real Estate sub-portfolios.

The situation on the real estate market deteriorated substantially overall from 2023, and this was reflected in the Group portfolio in the form of rating downgrades and credit defaults in the first half of 2024. Sufficient risk provisions were set aside to cover this. However, not all regions and assets were equally affected. A noticeable impact has so far mainly been observed in office properties (especially in the US) and, in Germany, with residential and commercial project developers.

⁶⁰ The consolidated risk units of the BayernLB Group comprise BayernLB and Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB), on a look-through basis; in addition, the subsidiaries Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich (Real I.S.), and BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (BayernInvest), are quantified in terms of risk associated with equity interests and specifically included in the NFR requirements.

ESG risks

The BayernLB Group has been addressing the topic of sustainability for many years. ESG risks are managed overall through a comprehensive framework, which besides identifying risks also includes the aspects of risk assessment, monitoring and controlling as part of a risk management cycle. This framework is continuously refined.

An internal project was launched at BayernLB and DKB back in 2021 to support and monitor the progress of the implementation measures, especially with regard to the requirements of the EU Taxonomy Regulation and disclosure requirements under the CRR. ESG risks are not regarded as a separate risk type within the BayernLB Group but instead as potential risk drivers affecting existing risk types. The basis for integrating ESG risks into the risk management cycle is the ESG risk taxonomy in combination with the ESG risk inventory, both of which have been steadily expanded and refined over the past few years.

The ESG risk taxonomy establishes a standardised framework for defining ESG risk drivers throughout the Group, classifying them according to the ESG hierarchy. It also defines different time horizons for ESG risks (short, medium and long-term). Building on this and as part of the (ESG) risk inventory, the ESG risk taxonomy is regularly reviewed and updated, including on an ad hoc basis. The Bank then conducts a systematic analysis of the potential impact on the assets and business activities of the BayernLB Group, taking account of various transmission channels relating to climate and environmental risks, social risks and governance risks. Different observation periods are used:

- Short term: up to 1 year
- Medium term: from 1 year up to 5 years
- Long term: from 5 years up to at least 10 years

Further refinements have recently been made to this analysis, particularly in the areas of additional environmental, social and governance risks. Using a differentiated, combined assessment of potential risk impacts over various time horizons, the relevant (sub-)portfolios in question and a probability evaluation of individual ESG risks, the ESG risk inventory identifies the material ESG risk drivers for the different risk types. The findings from the current assessment indicate aggregated levels of materialities in credit risk, due to transitory climate risks in connection with greenhouse gas emissions in the Corporates portfolio and, in general, concerning acute physical risks. Further information can be found in the section on ESG risk in the sub-section on credit risk. Depending on the time horizon, other risk types are affected in different ways by ESG risks, with notable impacts observable within business and strategic risk and reputational risk. However, no materiality at aggregated level outside of credit risk has been identified overall.

The findings of the ESG risk inventory form the basis for further integration into the risk management cycle (e.g. by being considered in operational management, modelling, reporting, planning and stress testing). A distinction is made regarding the relevant time horizon.

In line with the time horizon of operational risk-bearing capacity monitoring, the focus is placed on material ESG risks with a short-term nature or impact. The methods and procedures assigned to the risk types in question take appropriate account of the material risk drivers identified, insofar as this is possible and necessary. This is done either as part of the methods and procedures themselves, through the input parameters of the methods and procedures, or through upstream processes.

The establishment and definition of key risk indicators (KRIs) supplement the existing management mechanisms and are mainly implemented within the BayernLB Group when ESG risks reach materiality and do not solely appear in a long-term time horizon. Within credit risk, KRIs are managed in this context based on exposure to physical risks, financed emissions and energy efficiency classes. In addition, medium and long-term material ESG risks are taken into account through planning and scenario calculations.

For the integration of ESG into ICAAP, since the medium-term planning for 2024-2029 in July 2024 the macroeconomic parameters used by Research have explicitly incorporated quantitatively modelled climate effects (including CO₂ prices and energy efficiency classes). The Bank also continually assesses the political situation. From a methodological perspective, changes in CO₂ prices are reflected in adjustments to ratings and default rates. Furthermore, changes in real estate prices embedded in the premises are reflected in the LGDs.

The premises used by Research, including the aforementioned CO₂ prices, are used as the basis for planning within the individual business areas. Each business area plans the gross earnings, credit volume and RWAs based on these forecasts and taking account of the decarbonisation paths and ESG compliance. The Bank also takes account of the findings of the climate stress tests in the medium-term planning.

Material ESG risk drivers identified in the ESG risk inventory are analysed under a stress assumption in climate stress tests. During stress testing, both the economic and normative ICAAP perspectives (capital policy/capital management framework) are considered. Within this context, potential impacts on the BayernLB Group's business model are simulated. Internal climate stress tests play an important role in risk management and are regularly conducted and refined. All material physical and transitory risks are considered. Most recently, a full-scale physical climate stress test was carried out in 2024. In addition, the BayernLB Group also takes part in climate stress analyses mandated by the ECB (e.g. the climate stress test in 2022) and the EBA (e.g. the Fit-for-55 climate stress test). The results of the stress tests also serve as a basis for refining the internal risk measurement procedures and processes and are factored into the EGS risk inventory.

Internal risk management system

Management structure

The organisation of the boards below the Board of Management reflects the European regulatory structure led by the ECB, involving the Single Supervisory Mechanism (SSM) and Supervisory Review and Evaluation Process (SREP), with the objective of making corporate management more consistent and transparent within the BayernLB Group. On 1 January 2025, the Interest Rate Management Board was reorganised as the ALCO Board. However, as it was not yet exercising its functions as at 31 December 2024, it is not included in the accompanying description.



Supervisory Board and committees

The Supervisory Board monitors and advises BayernLB's Board of Management. It is assisted in its work by the committees described below:

The Audit Committee monitors the accounting processes, the effectiveness of the risk management system, particularly the internal control system and internal audit activities, and also addresses open audit findings.

The Risk Committee mainly deals with issues relating to the risk strategies approved by the Board of Management and the risk situation at BayernLB Group and BayernLB levels, and takes decisions on loans requiring approval by the Supervisory Board under the German Banking Act (KWG) and BayernLB's Competence Regulations.

In addition to the above-mentioned committees, the Supervisory Board is supported by the Executive and Nominating Committee, the Compensation and HR Committee and the BayernLabo Committee.

Board of Management

In managing the business and the organisation, the Board of Management is supported by the following boards in particular.

Senior management (boards)

At senior management level, the boards generally act across the segments, without any direct involvement by the Board of Management.

The Capital Board, chaired by the head of the Finance Division, monitors and manages changes in and allocations of risk-weighted assets (RWAs) at BayernLB.

The Credit Risk Board, chaired by the head of the Credit Risk Management Division, is the highest competence holder on credit matters below the Board of Management and deals with sector portfolio, country and product reports and policy issues regarding credit risk management.

The Product Board, chaired by the head of the Group Risk Control Division, deals with the launch of business activities in new products in compliance with MaRisk requirements. It is mainly responsible for the approval of new products and regularly approving the valuation models used and changes to these models.

Other boards set up by the Board of Management include the Remuneration Board, the Project & Investment Board, the Interest Rate Management Board, the Sustainability Board and the NFR (Non-Financial Risk) Board.

Organisation

Besides segregating the duties of the Sales and Risk Office units and the Trading and Settlement units, a proper business organisation must have adequate internal control procedures and mechanisms to manage and monitor key risks.

The Board of Management is chiefly supported in this task by the Risk Office, Financial Office and Operating Office central areas as well as the Corporate Center unit.

Risk Office

BayernLB's Risk Office (RO) comprises the Group Compliance, Group Risk Control, Credit Risk Management and Research divisions.

The Group Compliance Division monitors the implementation of and adherence to the relevant legal and regulatory requirements. The Division is also responsible for managing compliance throughout the BayernLB Group. It does this by establishing uniform minimum standards.

Group Risk Control independently identifies, evaluates, analyses, communicates, documents and monitors all risk types at an aggregated level. For the purposes of operational management of risk types and risk-bearing capacity, Group Risk Control provides the Board of Management and committees with independent and risk-appropriate reports. It is also responsible for managing non-financial risks (outsourcing risk, information security risk and business continuity management).

In addition to periodic and ad hoc reporting on the BayernLB Group's risk situation to internal decision-makers, communication also includes external risk reports filed in accordance with legal and supervisory requirements. This includes reports on the performance of the indicators selected in accordance with the Minimum Requirements for the Design of Recovery Plans (MaSan) and the German Recovery and Resolution Act (Sanierungs- und Abwicklungsgesetz (SAG)).

Decisions regarding risk management are made in accordance with the Business Strategy and Group Risk Strategy, which are closely aligned. Credit risk management is a joint responsibility of the Sales units and Risk Office units, with segregation of duties being ensured at all times. In this management process, the Credit Risk Management Division is responsible for analysing, evaluating and managing risk and collateral in respect of the risk-relevant exposures in the core business (the Risk Office role). It takes the lead in setting the credit risk strategy for individual customers, sectors, countries and special products such as leasing, project finance and acquisition finance, is responsible for ongoing credit and transaction analysis and votes on behalf of the Risk Office in the credit approval process. This also applies for DKB. The Division also looks after the recovery and resolution exposures and is responsible for BayernLB's credit portfolio management.

The main responsibilities of the Research Division are observing economic and, insofar as they are relevant for the banking and financial markets, political trends, as well as financial market developments worldwide, particularly in Germany, the eurozone and the US, on an ongoing basis. The Division prepares analyses and forecasts on all macroeconomic topics, on real estate, on financial market trends (money, bond and equity markets) and on mega-trends. The Division is also responsible for preparing analyses on the credit market and for issuers, corporate bonds and Schuldschein note loans, for services to support BayernLB's issuing and placing business and for country risk and sector analysis.

Financial Office

Operational implementation of uniform Group-wide accounting standards is the responsibility of the Financial Office Central Area, which ensures that the accounts are properly prepared. It is also responsible for establishing the accounting process and ensuring its effectiveness.

Its key tasks include preparing the annual financial statements, consolidated financial statements and the combined management report of BayernLB and the BayernLB Group, establishing accounting policies, initiating accounting-related projects and providing guidance on national and international developments in accounting.

The Financial Office Central Area also implements the relevant accounting standards and legal requirements on accounting, which are detailed in the directives for preparing the accounts.

In addition, the Financial Office Central Area is responsible for supervisory reporting and the operational implementation of consistent rules across the Group as part of management controlling, and lays down standards for methods and procedures.

Operating Office

The Operating Office Central Area is responsible for BayernLB's operating processes and supporting these in the Operations & Banking Services, Credit Services & Purchasing and Information Technology divisions.

Besides processing payments, Operations & Banking Services deals with the settlement of trading transactions, foreign notes and coins and physical precious metals, and facility management.

The Credit Services & Purchasing Division pools the credit-related tasks, freeing up resources for the Sales and Credit Analysis units. Its standardised, lean processes provide ample scope for achieving the growth targets in the customer business. It is also responsible for central purchasing.

The Information Technology Division is responsible for exercising IT governance functions, providing IT services and strategically managing the IT units in all the foreign branches.

Corporate Center

The Sustainability Department supports the Board of Management in reviewing, setting and/or amending sustainability-centric business policies and advises the business areas, central areas and Group units on integrating sustainability aspects into their respective areas of responsibility.

The Audit Division reports directly to the Chairman of the Board of Management (CEO). Its risk-oriented auditing activities extend to all operations and processes within BayernLB. The Division's tasks also include auditing important processes and activities outsourced to third parties. As Group internal auditor, the Audit Division also supplements the internal auditing units of the subordinate companies.

The Legal Services & BoM Support, Group Development and Human Resources divisions also report directly to the CEO.

Internal control system in risk management

The internal control and risk management system is governed by the internal written organisational rules (schriftlich fixierte Ordnung (sfO)). The potential impacts on control procedures and their intensity in the event of material changes to the organisational structure or to workflows or IT systems is analysed in accordance with a defined process.

Group and institution-level framework instructions on risk management are prepared based on guidelines that apply Group-wide. These rules govern the risk management and controlling processes used for the timely identification, full documentation, measurement and appropriate disclosure of material risks. They are regularly reviewed, updated and published internally.

Risk-oriented management

Group Risk Strategy

Decisions regarding risk management are made in accordance with the Business Strategy and Group Risk Strategy, which are closely aligned.

The Group Risk Strategy, which is based on the Business Strategy and reviewed regularly, is set by the Board of Management and discussed with the Supervisory Board's Risk Committee. Both the overall objectives and guidelines of the Risk Strategy and those laid down for the specific risk types stem from the Business Strategy.

The Group Risk Strategy encompasses the following main objectives:

- Ensure the appropriateness of the amount and quality of the cover funds from a normative and economic perspective (capital adequacy) for the long term
- Ensure solvency and normative and economic liquidity adequacy at all times
- Ensure the BayernLB Group only takes on risks it is able to assess and manage
- Ensure quality takes priority over quantity when it comes to portfolio growth
- Maintain a risk culture that promotes the identification of and a conscious approach to risks and ensures that decision-making processes produce results which are also balanced from a risk perspective
- Sales and Risk units are jointly responsible for earnings after risk provisions
- In managing the material and significant risks, take ever greater and strategic account of the ESG risk drivers
- The BayernLB Group sets high ethical standards for itself in its business activities and actively aligns these activities to ESG criteria and sustainability by adhering to the Sustainability Strategy and guidelines
- The employee incentive schemes (remuneration system) are consistent with the Business and Risk Strategy

The economic capital available for allocation is based on the long-term capital available. The portion of the available economic capital earmarked to be allocated to the individual risk types for risk limitation was determined within the BayernLB Group in the Risk Strategy, taking account of the Board of Management's risk appetite. The risk appetite is reflected in the total amount of the limits allocated to the risk types plus the institution allocation reserves.

The Risk Strategy is set based on the risk inventory, which is carried out at least once a year in accordance with MaRisk, and the risk-bearing capacity calculation. The risk inventory examines not only BayernLB but also the equity interests and special-purpose entities in the BayernLB Group, regardless of whether they are consolidated under German commercial law or supervisory law. The BayernLB Group's overall risk profile is then presented to the Board of Management. The major risks at the BayernLB Group and BayernLB are credit risk, market risk, liquidity risk, operational risk, risk associated with equity interests, pension basis risk, business and strategic risk and reputational risk. The individual risk types and the significant individual risks they include are discussed below.

Capital management

Capital management is based on a planning process that incorporates strategic, risk-based and regulatory factors into a multi-year operational plan. The Business Strategy is an essential element in the preparation of the Group Risk Strategy and the preparation, intra-year review and updating of the capital planning.

Integrated risk and earnings reporting

Trends in performance, capital, liquidity and risk are combined into a monthly Group management report presented to the Board of Management. As a component of the integrated reporting, the Group management report

provides an initial impression of the current situation of the BayernLB Group and the Group units with key figures and ratios. Additional detailed information focused on the four key areas is then presented and commented on (in particular on the Group risk status, which is updated shortly after the end of each month, and the detailed quarterly Group risk report). The Board of Management meetings on the Group management report also include regular reports on specific, current focal topics.

The instruments used to manage and monitor the achievement of Business and Risk Strategy goals are constantly upgraded at Group level.

The processes involved in managing regulatory capital adequacy and economic capital adequacy are described in the sections below.

Regulatory capital adequacy (solvency)

To ensure BayernLB has the proper amount of regulatory capital, the objectives, methods and processes below have been established: The starting point for the allocation of regulatory capital is the BayernLB Group's own funds planning. Own funds are defined as Common Equity Tier 1 capital (CET1), Additional Tier 1 capital and Tier 2 capital. Common Equity Tier 1 capital comprises subscribed capital plus reserves, the capital contribution of BayernLabo and various supervisory adjustments and deductions. No Additional Tier 1 capital has been issued by BayernLB. Tier 2 capital comprises mostly long-term subordinated liabilities.

Own funds planning is based largely on the internal target Common Equity Tier 1 ratio of 14.5% (ratio of Common Equity Tier 1 capital to RWAs) and the total capital ratio of 17% (ratio of own funds to RWAs) for the BayernLB Group.

This includes establishing upper limits for credit risks, market risks, credit valuation adjustments (CVAs) and operational risks arising from the business activities in the planning period.

In the planning process, regulatory capital is distributed to each planning unit based on the RWA component. The planning units (Group units) are the defined business areas and divisions of BayernLB, as well as BayernLabo and DKB.

RWAs are allocated to the Group units through a top-down distribution approved by the Board of Management, combined with an internally determined capital ratio. Compliance with the RWA budgets available to each Group unit is continuously monitored. The Board of Management receives monthly reports on current RWA utilisations.

In addition to the CRR, BayernLB is subject to the European Central Bank's Supervisory Review and Evaluation Process (SREP). Following the outcome of the SREP process, BayernLB was assigned a CET1 ratio of 5.625% and a total capital ratio of 10%, both on a consolidated and on an individual institution basis.

With a CET1 ratio of 18.71% and total capital ratio of 22.38% as at 31 December 2024, the BayernLB Group had a very large capital base. The individual institution was also highly capitalised, with a CET1 ratio of 19.37% and a total capital ratio of 25.47% as at 31 December 2024. Details on increases or decreases in the Group's supervisory ratios are provided in the report on the economic position in the combined management report. BayernLB publishes additional information in the disclosure report in accordance with Section 26a German Banking Act (KWG). The disclosure report can be found on BayernLB's website under "About us/Investor Relations/Publications/Financial Reports".

Economic capital adequacy (risk-bearing capacity)

The Internal Capital Adequacy Assessment Process (ICAAP) is monitored for both BayernLB and the BayernLB Group. For risk management purposes at Group level, the scope of consolidation includes both BayernLB and DBK, the latter being factored into the risk-bearing capacity calculation using a look-through approach. Risks associated with other subsidiaries are shown under risk associated with equity interests. The aim of ICAAP is to ensure that there is sufficient economic capital at all times to fully cover the risks assumed.

The normative and economic perspectives are closely coordinated in keeping with the ECB's guidelines on the design of internal bank processes to ensure that banks maintain an adequate capital base and sufficient liquidity. The capital and the capital components are the starting point for the normative and economic perspectives. Economic capital is based on the normative capital and economically adjusted (e.g. by deducting deferred tax assets).

The planning of economic risks for the risk-bearing capacity calculation and the planning over the next five years are integral parts of the Group planning process described in the regulatory capital adequacy section. The risk assessment is based on the risks that, from an economic perspective, could have a significant impact on the capital position. These are identified and reviewed as part of the risk inventory, which ensures that both the normative and economic perspectives of risks are monitored uniformly and consistently.

Stress testing

To produce an in-depth, forward-looking analysis of normative and economic capital adequacy in unexpected scenarios, risk-bearing capacity is supplemented by stress tests. Both scenario and sensitivity analyses are carried out for this purpose. The integration of different divisions in the overarching stress testing core team makes it possible to analyse varying perspectives of the BayernLB Group's risk and earnings situation simultaneously and integrate them into the stress testing in a consistent manner.

The BayernLB Group's stress-testing programme includes both a severe economic downturn (global economic crisis) and other market-wide and idiosyncratic scenarios. Even under the assumption of a global real estate crisis triggered by plunging prices, with contagion effects on other sectors, risk-bearing capacity would be maintained at all times despite a significant increase in economic capital requirements.

The stress tests are performed consistently for both the normative and the economic perspective. Given the increasing relevance of ESG risks, climate stress tests now incorporate analysis of physical and transitory risks. For example, in 2024 a comprehensive climate stress test was conducted specifically to assess physical risks. Leveraging the latest estimates and models, the test analysed acute and chronic risks linked to the most relevant risk drivers for BayernLB: tornadoes, drought, river flooding, chronic heat (rising average temperatures) and rising sea levels. It compared short and medium-term impacts with projections for the long term. Due to highly conservative assumptions (such as the exclusion of mitigating factors) the overall findings showed noticeable effects, particularly on credit risk, while other risk types were found (upon closer examination) to be minimally or barely impacted. Although portfolios less sensitive to economic cycles, such as project and aircraft financing, were on average more affected in the physical climate stress test than in a macroeconomic stress scenario, the overall impact across all portfolios remained lower than that of a broad economic downturn. The risk-bearing capacity was met at all times in this stress test.

The impact of adverse changes in risk factors both on specific risk types and across risk types is analysed using hypothetical scenarios. These have a major role in the analysis of ad hoc scenarios. They also take into account potential threat scenarios for the BayernLB Group that are triggered by external situations. For instance, in the "Heightened competition in the deposit market" scenario, which centres on liquidity risk, a simulation was conducted to model an increase in interest rates for deposit products among multiple competitors. Following implementation of the defined countermeasures (on a net basis), all relevant key metrics such as LCR stayed with the green range.

Sensitivity analysis too plays a part in the comprehensive evaluation of risk-bearing capacity by increasing transparency with regard to the impact of potential changes in individual risk factors.

In addition, inverse stress tests are conducted at BayernLB Group level as an integral component of the stress-testing programme. Contrary to the logic of conventional stress tests, scenarios that could potentially jeopardise the continued existence of the BayernLB Group's current business model are identified using a retrograde procedure. Inverse stress tests are conducted for both individual risk types and across all risk types.

Current situation

The tables below show year-on-year changes in risk capital requirements in the BayernLB Group and at BayernLB (confidence level 99.90%).

Risk capital requirements in the BayernLB Group

€ million	31 Dec 2024	31 Dec 2023
Credit risk	1,865	1,771
Market risk	1,016	1,782
Pension basis risk	311	278
Operational risk	446	480
Risk associated with equity interests	126	106
Business and strategic risk (includes reputational risk)	263	93
Liquidity cost risk	85	25
Total	4,112	4,535

Risk capital requirements at BayernLB

€ million	31 Dec 2024	31 Dec 2023
Credit risk	1,343	1,256
Market risk	495	500
Pension basis risk	308	276
Operational risk	282	302
Risk associated with equity interests	435	54
Business and strategic risk (includes reputational risk)	421	375
Liquidity cost risk	72	25
From capital provided within the BayernLB Group	0	610
Total	3,356	3,398

The BayernLB Group and BayernLB had adequate risk-bearing capacity at all times, as the provision of economic capital was solid.

In market risk, there was a significant year-on-year decrease in the risk capital requirements at DKB. In particular, in the first quarter of 2024, outflows of customer deposits and shifts into time deposits – when the overnight deposit interest rate promotion came to an end – led to a reduction in risk.

The inclusion of the collective wage agreement in the public banking sector resulted in an increase in pension basis risk at Group and BayernLB level.

The increase in business risk at Group and BayernLB level was due to the incorporation of two additional income statement line items relevant to business risk (“gains or losses on restructuring” and “expenses for the bank levy and deposit guarantee scheme”) into the existing model for determining risk capital requirements.

On 31 January 2024, a methodological adjustment was made regarding the consideration of risks arising from capital allocation within the BayernLB Group. Previously reported separately, risks from capital allocation within the Group are now reported under the respective risk type. This was also the main factor accounting for the increase in risk associated with equity interests at BayernLB.

The BayernLB Group's economic capital was €13.6 billion (FY 2023: €12.7 billion), while BayernLB's was €9.3 billion (FY 2023: €9.2 billion).

Of this economic capital, €10.9 billion (FY 2023: €10.1 billion) was set as the maximum risk appetite as at 31 December 2024 for the BayernLB Group, inclusive of allocation reserves. The increase was largely due to higher available economic capital driven by the net profit for the year. By year-end, €7.2 billion (FY 2023: €8.0 billion) of the maximum risk appetite had been allocated as limits across the various risk types. The main reason for the fall was the reduction in the market risk limit. At BayernLB the maximum risk appetite was €5.2 billion (FY 2023: €5.6 billion), of which €5.1 billion (FY 2023: €5.4 billion) was allocated to the individual risk types.

Recovery plan

The BayernLB Group has a recovery plan in place, in accordance with the German Recovery and Resolution Act (Sanierungs- und Abwicklungsgesetz (SAG)) and the Minimum Requirements for the Design of Recovery Plans (Mindestanforderungen an die Ausgestaltung von Sanierungsplänen (MaSan)), and as required by the supervisory authorities. This sets out the options open to the BayernLB Group to ensure it has sufficient capital and liquidity even in situations of financial stress. Thresholds for one and two-stage indicators are continuously monitored so that early action can be taken to ensure solvency. The status of these indicators is reported to the Board of Management monthly and to the Risk Committee of the Supervisory Board quarterly in the internal risk reporting.

As with the previous year, the 2024 recovery plan simulated four stress scenarios. Besides an idiosyncratic and global scenario, the Bank included a combination scenario of idiosyncratic and market-wide events and a market-wide scenario relating to the current crisis on the real estate market. It also revised the indicator system, especially with regard to adjusting threshold values. The thresholds for the one and two-stage recovery indicators in the recovery plan, which are set mainly at Group level and are based on the German Recovery and Resolution Act (SAG) and Minimum Requirements for the Design of Recovery Plans (MaSan), all have the status green.

Resolution plan

In EU Regulation No. 806/2014 on a uniform Single Resolution Mechanism (SRM Regulation) and the German Recovery and Resolution Act (Sanierungs- und Abwicklungsgesetz (SAG)), lawmakers directed resolution authorities at European and national level to maintain resolution plans for banks that can be activated in an emergency to avert threats to the financial system, where possible without the need for public money.

Since 2016 the Single Resolution Board (SRB) in Brussels, which works closely together with the national resolution authorities (in Germany's case the Federal Financial Supervisory Authority (BaFin)), has been responsible for the preparation of resolution plans and decisions in connection with the resolution of all institutions directly supervised by the ECB. A group resolution plan is being drawn up for institutions which, like BayernLB, are subject to supervision at consolidated level.

In accordance with its statutory obligations under Section 42 para. 1 SAG, BayernLB once again assisted the responsible resolution authority in the financial year in making further improvements to a resolution plan for the BayernLB Group and taking precautions to ensure its resolvability in compliance with the preferred resolution strategies determined by the authorities. Aligned with the new regulatory focus introduced in 2024 (SRB Vision 2028), authorities are placing greater emphasis on demonstrating resolvability through tests and dry runs.

The MREL requirements associated with the preferred resolution strategies established by the authorities for the BayernLB Group (BayernLB: external MREL; DKB: iMREL) were consistently met and continue to be maintained.

Credit risk

Definition

BayernLB defines credit risk as the risk of losses (in value) from any transaction giving rise to an actual, possible or contingent claim by the Bank against a borrower, counterparty, obligor or issuer (hereinafter referred to as “borrower” for simplicity’s sake), provided that these losses (in value) result from a default or change in the borrower’s credit rating (migration risks) and/or from a change in the value of collateral provided.

In particular, credit risk also encompasses the country risk borne of country-specific circumstances (e.g. political or economic crises, or currency restrictions). A distinction is made between transfer risk and country risk in the sense of a credit event caused by the country itself. Transfer risk is the risk of a loss occurring if, due to government transfer restrictions, a borrower is unable to meet its obligations in a foreign currency or the institution is unable to access an amount paid. Country risk as a credit event risk is the risk of a loss resulting from macroeconomic or (socio)political events in a country, in particular as the result of a crisis arising from parallel changes in credit ratings (including a default) of those borrowers that are attributable to that country from a risk perspective.

Organisation

The credit approval process at BayernLB consists of several stages. The Competence Regulations define the authority of the different competence holders based on the loan volume to be approved, the business area it is allocated to and the rating classification.

The decision-making process at DKB is similarly organised. In addition, members of BayernLB’s Board of Management sit on DKB’s supervisory board and its committees.

The Group Risk Control Division is responsible for measuring and monitoring credit risks.

Strategy

The Credit Risk Strategy – which forms part of the comprehensive Risk Strategy – is set by the Board of Management for BayernLB and the BayernLB Group, taking account of risk-bearing capacity considerations.

Measurement

Classification procedure

In accordance with the Internal Ratings-Based approach (IRBA), the BayernLB Group mainly uses rating procedures that are approved by the supervisory authorities. To maintain and refine the rating procedures, BayernLB works chiefly with RSU GmbH & Co. KG, Munich, and Sparkassen Rating und Risikosysteme GmbH, Berlin. In 2024, after the ECB's decision was obtained, the savings banks real estate rating and the savings banks standard rating modules were transitioned to models that meet the EBA Guidelines. All rating procedures are subject to regular validation. Validation includes both quantitative and qualitative analyses of the rating factors and the overall models. The accuracy and calibration of the procedures, and the data quality and the design of the models, are examined using statistical and qualitative analyses and user feedback from daily application. The procedures are regularly modified where necessary.

Exposure at default

Exposure at default is the expected claim amount taking account of a potential (partial) drawdown of unutilised lines and contingent liabilities that would negatively impact risk-bearing capacity in the event of a default. For trading transactions, the current fair value is taken as the basis. Any replacement risks are taken account of by means of a premium for future increases in value.

Collateral valuation and loss ratios

The fair value is taken as the starting point for collateral valuation. It is reviewed on both a scheduled and ad hoc basis and adjusted whenever there is a change in valuation-relevant parameters. Based on this individual collateral valuation, the Bank estimates the size of the loss given default for the collateralised portion of a receivable based on the liquidation value determined using models for realisation ratios (average expected proceeds from the realisation of collateral). The Bank calculates the size of the loss for the unsecured portion of the receivable (unsecured loss given default) using the customer segment-specific models. These models are likewise updated and refined mainly in partnership with RSU GmbH & Co. KG, Munich, and using pooled data and internal loss data. All models are regularly validated and checked for their representativeness.

Expected loss

Expected loss per transaction/borrower is a (risk) ratio which not only takes account of the expected amount of the receivable at the time of default but also the customer's credit rating/assigned probability of default and the estimate of losses upon default. The expected loss can be evaluated over a one-year period as well as across the full remaining terms of the respective financial instruments. When reviewing a portfolio this can be used as an indicator of its expected level of risk.

Furthermore, expected losses are used as a basis for determining loss allowances for transactions on and off the balance sheet under IFRS 9 and HGB.

Risk capital requirements

The BayernLB Group calculates risk capital requirements for credit risks using a simulated credit portfolio model which quantifies default and migration risks as well as the uncertainty in determining loss ratios on a one-year horizon with a confidence level of 99.90%. Dependencies among borrowers in the portfolio and risk concentrations are quantified using a country and sector-specific model and through idiosyncratic dependencies (e.g. Group interdependencies). Settlement risks and defaulted positions are additionally taken into account. The risk contributions by individual business partners to the risk capital requirements of the whole portfolio are calculated for risk analysis purposes.

BayernLB manages risk capital requirements using appropriate limits at Group and individual institution levels. This also includes the credit risks of the positions that are built up in connection with the contractual trust arrangement (CTA) to secure risks from pension obligations in the BayernLB Group. In addition, the Bank regularly calculates risk sensitivities with regard to relevant input parameters (especially default probabilities, loss ratios and dependencies) and supplements them with various stress tests.

Monitoring

The following instruments are used for monitoring and limiting credit risks at the BayernLB Group:

Early risk identification

The aim of the early warning system is to identify negative changes in the risk profile of a business partner at an early stage so as to be able to undertake suitable measures in good time to reduce the risk. To achieve this objective, a list of various risk signals has been established to give an early indication of a deterioration in the risk situation.

The risk signals in the early warning system fall under quantitative signals (e.g. based on market price information about business partners or exposure data from feeder systems) or qualitative signals, which are based on the expert opinion of relationship managers and analysts.

Under the defined, system-driven early warning process the analysts responsible react promptly and appropriately to indications of deteriorations in the risk situation and, if necessary, take measures and input them in the early warning system. As part of this process, the business partner's form of support is reviewed and modified if necessary.

Credit risk limits for borrowers and borrower units

In keeping with MaRisk, credit risks at borrower and borrower unit level are monitored daily using a limit system. Monitoring is carried out independently in the Group units. The monitoring takes account of various transaction features using different credit limit types (e.g. issuer risk limit). Where the limits within the BayernLB Group add up to at least €400 million per economic borrower unit, a Group-wide limit (Group limit) is required. BayernLB's Group Risk Control Division monitors the Group limit centrally. To limit risk concentrations, the maximum gross credit volume for each economic borrower unit is limited to €400 million Group-wide. The Board of Management or the Risk Committee of BayernLB's Supervisory Board may approve exceptions to this limit in well-founded individual cases (e.g. for reasons having to do with good credit rating, profitability or strategy). These customers are listed individually in the quarterly internal risk report, along with their Group limit and gross credit volume.

Sector and country limits

To manage risk concentrations, limits are set for sectors and countries. Sector and country limits apply Group-wide. Limits are set on gross credit volumes and, in some cases, also on the net credit volume for specific countries. Limits are set by BayernLB's Board of Management or can be delegated by it, based in part on an analysis of the sector, country and portfolio structure – and prepared with a vote taken under the lead of the Credit Risk Management Division. In addition to sector and country limits, additional specific portfolio thresholds and individual transaction terms and conditions can be set to safeguard portfolio quality; these are approved by the Board of Management or according to applicable delegation regulations. Sector and country limits and portfolio thresholds are monitored centrally by BayernLB's Group Risk Control Division. Compliance with the individual transaction terms and conditions is reviewed in the course of the approval process. Sector and country strategies are reviewed annually. Irrespective of this, strategies can be changed as events arise.

Collateral

Another key way in which risks are limited is by accepting the customary types of bank collateral and valuing them on an ongoing basis. When deciding what collateral is needed, particular account is taken of the type of financing, the borrower's available assets, their value and liquidity and whether the relative costs are reasonable (costs of acceptance and ongoing valuation).

Collateral is processed and valued in accordance with directives which also set out any discounts to be applied, along with the valuation intervals. Net exposures are calculated on the basis of the liquidation value of the collateral.

The value of guarantees, cash and securities collateral is calculated daily in an automated process run by the Bank's collateral tool. Assignments and transfers of title for collateral purposes are assessed each year, provided that they have a valuation. Aircraft are valued every six months based on external market values.

Real estate valuations are based on external appraisals and regularly updated, at least once every three years. Real estate business valuations are reviewed every year. Among the measures taken, BayernLB conducts ad hoc reviews or revaluations if the prices for domestic commercial real estate fall by more than 10% and, for domestic residential real estate, by more than 20% within a three-year period. Following the reviews carried out in 2023 and 2024 in the wake of the real estate crisis, a significant proportion of property valuations were updated and/or reassessed (85% of market valuations/appraisals are less than 18 months old).

As part of its IRBA approval, the supervisory authority has granted BayernLB approval to lower its regulatory capital requirements through the use of real estate liens, ship mortgages, registered liens on aircraft, guarantees, financial collateral in the form of securities, cash deposits and credit derivatives.

In derivatives trading, the practice is often to conclude master agreements for the purposes of close-out netting. Furthermore, in many cases there are collateral agreements restricting the current default risk to an agreed maximum and authorising a call for additional collateral should this limit be exceeded. Limits are imposed as part of the generally applicable limitation process for credit risk.

Intensive support, restructuring and workout, and forbearance

Problem exposures are any exposures that require special attention due to their elevated risk situation, i.e. categorised as requiring intensive support or restructuring and workout.

By initiating suitable measures at an early stage as part of an intensive support or restructuring and workout, BayernLB aims to prevent or minimise potential losses.

Within the Credit Risk Management Division at BayernLB, two Credit Consulting departments are responsible for handling problem loans and therefore act as an independent workout unit as defined in the regulatory requirements. At DKB this function is performed by the institution's own Credit Consulting Division.

Forbearance measures are approved as part of restructuring and workout. All exposures where forbearance measures have been agreed are designated as forborne exposures. Such measures aim to enable the borrower to regain the ability to repay their loan or to minimise potential losses. Forbearance measures exist in all cases where concessions have been granted to a borrower in financial difficulty in the form of refinancing/restructuring and/or a modification of the original terms and conditions of the loan agreement (e.g. through a deferral, waiver or standstill agreement).

Exposures cease to be reported as forborne if all of the relevant supervisory criteria are met.

Quantitative data on forborne exposures is shown as renegotiated credits in the "Portfolio overview in accordance with IFRS 7.34 a (management approach)" section.

Risk provisions

Where necessary, due account has been taken of the risks in the credit business through risk provisions. Refer to the default risk section of the notes for details on how risk provisions are calculated.

ESG risks

In the risk inventory, the Bank also intensively analysed and evaluated the transmission channels for the climate and environmental risks (E), social factors (S) and governance aspects (G). Over 150 transmission channels were observed for various risks and sub-portfolios, with primarily minor impacts being ascertained. Most of the risks deemed transitory related to political measures. For example, legal requirements or a tightening of CO₂ targets and CO₂ prices might result in increased risks for the Corporates sub-portfolio. Or the Real Estate sub-portfolio may be affected by energy efficiency guidelines. Risks from changes in consumer and/or investor behaviour may also become relevant. By contrast, technological progress would be considered more of an opportunity rather than a risk driver. Physical risks are mainly assessed in relation to natural disasters impacting the Corporates and Real Estate portfolios. This means that transitory climate risks and acute physical risks were assessed as material. Chronic risks were, however, not. Environmental risks, along with social and governance risks, were not classified as material either.

Besides classifying the ESG risk drivers for the short, medium, and long-term horizons within the risk inventory, based on qualitative and quantitative analyses, the Bank conducts a business partner-specific risk assessment as part of an ESG assessment. Since 2024, this assessment has been gradually replaced by ESG risk scores issued by the company Rating Service Unit (RSU) (further details below). The different risks and potential transmission pathways can each thereby be evaluated when considering the specific situation of the business partner/asset or portfolio. Depending on the severity of the ESG risks identified through the ESG assessment and/or ESG score, the rating analyst must consider a manual ratings override. ESG aspects are also already partially factored into the credit rating within the internal rating procedure through various qualitative (e.g. business environment, planning etc.) and quantitative (e.g. Merton PD) factors. ESG risks are therefore taken into account by the downstream steering committees via the rating. In addition, factors such as the location (and therefore vulnerability to physical risks) and the energy efficiency of real estate are considered in the valuation of collateral, which, in turn, is reflected in the LGD risk parameter.

Scenario analyses and stress tests are used to evaluate the impact and effects of relevant ESG risks over different observation periods. After BayernLB conducted a stress test for transitory risks in 2023, a physical stress test was performed. This assessment considered both short and long-term perspectives and encompassed multiple pillars and risk types (see the section on stress testing for more details). All tools used to identify and assess risks are incorporated into the monitoring and reporting processes.

The credit approval process includes an analysis of ESG risks in the internal ESG assessment (ESGA) and in the business-segment and financing structure-specific modules of the ESG score introduced by Rating Service Unit in 2024. RSU's ESG score must generally be used to evaluate ESG risk. Each RSU module is used as soon as it becomes technically available. Until the ESG score has been introduced for all individual financing structures or the respective module becomes available, exposures will continue to be assessed based on the ESGA in the runup to the credit approval decision. The evaluation of ESG risks via the ESGA and/or RSU ESG score is carried out for all business partners – that is, all natural persons or legal entities that are party to a credit transaction. These rules do not apply, however, to customers with a default rating of 24.⁶¹

The ESGA consists of three modules: the ESG risk module, the ESG impact module and the ESG reputational risk (RepRisk) module. In addition, the ESG score modules finalised by Rating Service Unit were phased in during 2024 (Corporates: in August, Project Finance and Financial Institutions/Banks: in October, Real Estate: in December). These modules will replace the ESGA (risk module) in the relevant asset classes over the course of 2025. The ESGA risk module/RSU ESG score supports Sales and Risk Office units in their detailed assessment of ESG risks at business partner level. The first step here is to analyse the exposure of the borrower and its business model. The ESG risk module/RSU ESG score distinguishes between three categories that can have an impact on a customer's default risk, creditworthiness and ability to service their debt:

- Environmental/climate risks, which can be broken down further into physical and transitory risks of climate change
- Social risks arising from a disregard for employees or suppliers, as perceived in particular by stakeholders, e.g. violations of human or labour-law rights
- Governance risks arising from deficiencies in a company's structures, policies or processes relating to management functions and their monitoring; these include, for example, corruption and bribery, antitrust violations and balance sheet manipulation

The analysis findings provide the basis for assessing the customer's ESG risk management and for determining mitigating measures and their effectiveness. The ESGA/RSU ESG score thereby enables sustainability risks and a financing's contribution towards achieving a portfolio's climate and sustainability goals to be identified at a broader level.

⁶¹ The ESG risk assessment is typically carried out at limit entity level ("LimE") – a prudent approach, as business strategy and risk management tend to be homogeneous within a given group. This means that the ESG risk assessment will, as a rule, apply to all business partners subsumed in the LimE. Should the estimated ESG score for the LimE and that for one of its LimE members (i.e. as an individual borrower) differ drastically, or should the group's structure not lend itself to being assessed at this level (e.g. because the transaction involves non-recourse financing or project financing), then the LimE member must be ESG-rated in and of itself.

BayernLabo uses the ESG impact module in BayernLB's ESGA to assess sustainability opportunities in individual programmes. This ties both environmental sustainability and social equity through the creation of affordable housing for low to moderate-income households to public services of general interest. As regards the ESG Basic and ESG Plus categories, BayernLabo uses the criteria defined by BayernLB analogously. For an appropriate and risk-adjusted representation of the ESG risks arising from BayernLabo's lending business, a process was created to assess the exposures classified as risk-relevant in BayernLabo's own liabilities, based on a procedure established at BayernLB which uses the ESG risk module of the ESG assessment. The findings obtained from this are then incorporated into the relevant reporting to the respective decision-makers.

DKB takes a portfolio approach when assessing ESG risks. The portfolio is assessed in the categories of low, medium and high ESG risk.

The basis for managing current and future business activities designed for a sustainable economy is the ESG assessment and the RSU ESG score. Since September 2022, ESG-specific information has been an integral part of the internal Group risk report, which is submitted to the Board of Management and the Risk Committee of the Supervisory Board each quarter. The focus is on the ESG risk assessment of BayernLB and DKB borrowers (ESG risk module/RSU ESG score) and their future performance.

Both the risk assessments (ESG risk module/RSU ESG score) and the sustainability benefits of the financing (ESG impact module) are integrated in the sector portfolio reports as well. With all ESG tools now available (ESG risk module/RSU ESG score and ESG impact module), qualitative and quantitative statements on ESG criteria are now included in all sector portfolio reports.

The assessment of reputational risks in the context of ESG is now a firm part of the ESG assessment (RepRisk module). Each business transaction is reviewed for ecological risks (e.g. high levels of air pollution, high levels of waste generation, CO₂ emissions and high levels of water consumption, the destruction of biodiversity) and negative societal and/or social risks posed by the business activities of a customer or project (e.g. due to inadequate product safety, poor working conditions, human rights violations or adverse impacts on the local population). These risks are documented in the RepRisk module as an overall assessment of eco-social risks, before the transaction undergoes a final reputational risk evaluation. ESG risks therefore play a crucial role in the final reputational risk assessment within the RepRisk module.

Reputational risks (including ESG risks) are initially evaluated in a decentralised manner within the individual business areas and central areas of BayernLB. Central Reputational Risk Management (CRRM) is involved whenever a reputational risk is classed as at least medium. For reputational risk issues of high severity, the Board of Management of BayernLB is engaged as a decision-making body on an ad hoc basis.

Since 2023, existing transactions with elevated reputational risks linked to significant climate and environmental risks have also undergone an annual reassessment, along with a review of mitigating measures.

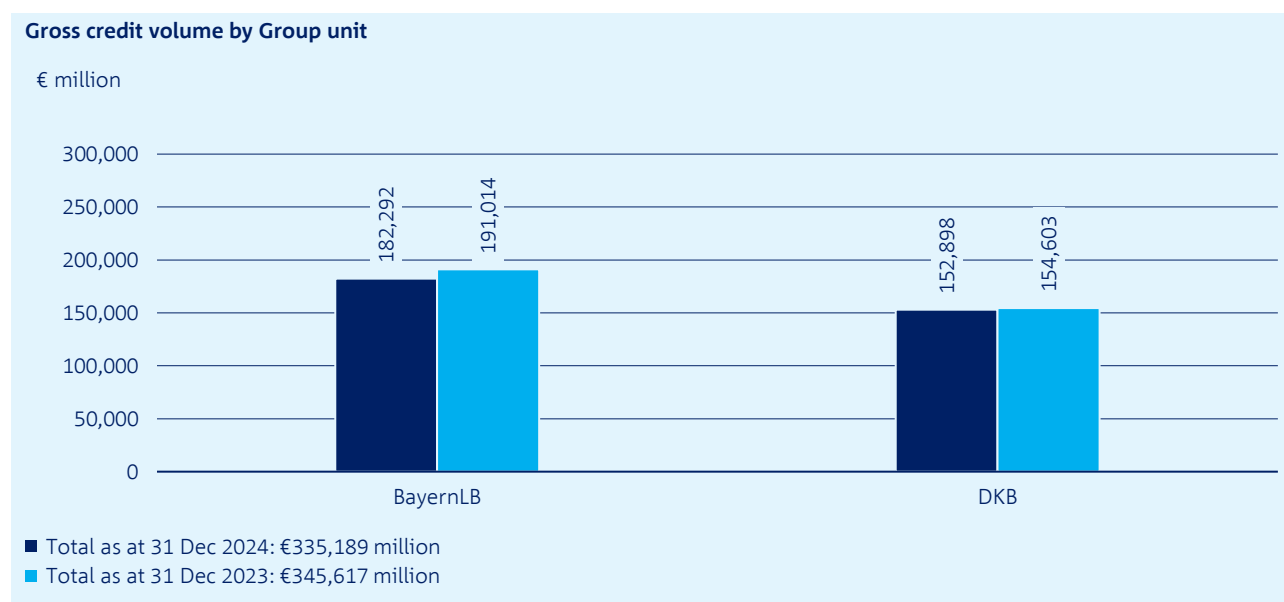
Current situation

The credit risk as described below is based on the figures used for internal reporting to the Board of Management and the Risk Committee of the Supervisory Board (management approach). The figures are, in turn, based on an economic perspective and therefore deviate in some aspects from the rules applicable for accounting purposes (e.g. undrawn overdraft facilities that are considered in internal risk management but not recognised in the balance sheet are taken into account).

Portfolio overview in accordance with IFRS 7.34 a (management approach)

The figures shown under the management approach comprise the data for BayernLB and DKB.

Compared with 31 December 2023, the BayernLB Group's gross credit volume (GEX)⁶² fell by €10.4 billion or 3.0% to €335.2 billion. BayernLB and DKB each accounted for the difference as follows:



The primary factors contributing to the decline in gross credit volume are the Countries/Public Sector/Non-Profit Organisations (down €16.6 billion) and Financial Institutions (down €2.5 billion) sub-portfolios. In the former, there was a significant decline in liquidity investments at the Deutsche Bundesbank, of which €9.8 billion related to BayernLB and €5.2 billion to DKB. Excluding the decrease in liquidity investments at the Deutsche Bundesbank, the gross credit volume in the Group rose by €4.6 billion.

⁶² Gross credit volume for credit transactions comprises the gross lending volume – drawdowns plus unutilised commitments – and undrawn overdraft facilities. The gross volume is calculated from fair values, in the case of trading transactions, and, in the case of derivatives transactions, from potential future exposure, with a confidence level of 95%.

There was an increase in gross credit volume due to business expansion during the reporting period in the Retail/Other (by €3.8 billion), Corporates (by €3.5 billion) and Commercial Real Estate (by €1.4 billion) sub-portfolios.

The gross credit volume was accounted for by the sub-portfolios as follows:

Gross credit volume at the BayernLB Group, BayernLB and DKB by sub-portfolio

€ million	BayernLB Group			BayernLB		DKB	
	31 Dec 2024	31 Dec 2023	Change (in %)	31 Dec 2024	31 Dec 2023	31 Dec 2024	31 Dec 2023
Countries/Public Sector/Non-Profit Organisations	89,598	106,240	(15.7)%	44,025	50,723	45,574	55,517
Corporates	81,978	78,448	4.5%	51,041	51,347	30,937	27,101
Commercial Real Estate	67,749	66,374	2.1%	32,360	32,080	35,388	34,294
Financial Institutions	53,429	55,907	(4.4)%	51,299	53,630	2,130	2,277
Retail/Other	42,435	38,649	9.8%	3,567	3,235	38,869	35,414
Of which Retail	42,346	38,545	9.9%	3,478	3,131	38,869	35,414
Total	335,189	345,617	(3.0)%	182,292	191,014	152,898	154,603

Owing to the fact that most of the credit business is collateralised, there are differences between gross and net credit volumes.⁶³ This can be seen in the following table, which shows net credit volumes by sub-portfolio:

Net credit volume at the BayernLB Group, BayernLB and DKB by sub-portfolio

€ million	BayernLB Group			BayernLB		DKB	
	31 Dec 2024	31 Dec 2023	Change (in %)	31 Dec 2024	31 Dec 2023	31 Dec 2024	31 Dec 2023
Countries/Public Sector/Non-Profit Organisations	86,637	103,149	(16.0)%	41,837	48,356	44,799	54,793
Corporates	70,490	66,112	6.6%	43,770	42,856	26,721	23,256
Commercial Real Estate	15,519	14,246	8.9%	7,683	7,801	7,835	6,445
Financial Institutions	51,186	53,368	(4.1)%	49,150	51,188	2,036	2,180
Retail/Other	26,829	23,849	12.5%	248	259	26,581	23,590
Of which Retail	26,740	23,750	12.6%	159	160	26,581	23,590
Total	250,661	260,725	(3.9)%	142,688	150,461	107,972	110,264

The significant drop in the Countries/Public Sector/Non-Profit Organisations and Financial Institutions sub-portfolios was largely the result of liquidity management effects.

The increase in business volume at Retail/Other was largely the result of residential construction financing (up €2.5 billion) and private loans (up €1.1 billion) at DKB, while most of the increase in the Corporates sub-portfolio came from the important target sector of energy (up €3.9 billion).

⁶³ Net credit volume is calculated as gross credit volume less the value of collateral.

The Commercial Real Estate sub-portfolio includes all the BayernLB Group's business with commercial real estate customers, which mainly comprises financing in the residential sector (GEX: €39.8 billion or 58.8% (FY 2023: €40.0 billion or 60.2%)) and in the commercial sector (GEX: €27.9 billion or 41.2% (FY 2023: €26.4 billion or 39.8%)). In contrast, residential real estate financing for retail customers was allocated to the Retail/Other sub-portfolio as residential construction financing in the amount of €22.5 billion (FY 2023: €20.0 billion). Recovery trends in the German real estate markets were varied across different asset classes. While residential property, logistics and hotels gained positive momentum, office space and certain segments of the retail sector are likely to face prolonged recovery periods. Consequently, the growth strategy from previous years for the Commercial Real Estate sub-portfolio was adjusted to align with economic conditions and the interest rate environment, for example by moderating logistics growth and slightly reducing the office space share. Gross credit volume therefore increased only modestly in the reporting period, to €67.7 billion (FY 2023: €66.4 billion).

The recognised collateral volume in the Group fell back by €0.4 billion to €84.5 billion. The change was largely the result of a lower volume of debt undertakings (down €0.8 billion) and credit derivatives (down €0.3 billion). On the other hand, for real estate liens, which mostly relate to the traditionally highly secured Commercial Real Estate sub-portfolio and residential construction financing in the Retail/Other sub-portfolio, the collateral volume grew by €0.7 billion. For the other types of collateral, there was only a minor change in volume over the reporting period.

As gross credit volume declined disproportionately compared with the collateral volume in the reporting period, the collateral ratio in the BayernLB Group rose to 25.2% (FY 2023: 24.6%).

Breakdown by rating

The following tables show the gross credit volume at the BayernLB Group by rating category and sub-portfolio.

Gross credit volume by rating category

31 Dec 2024

Rating category € million	MR 0-7	MR 8-11	MR 12-14	MR 15-18	MR 19-21	MR 22-24	Total
Countries/Public Sector/ Non-Profit Organisations	87,222	993	694	656	1	32	89,598
Corporates	28,748	34,511	12,192	4,552	682	1,293	81,978
Commercial Real Estate	35,383	23,004	5,888	1,066	162	2,246	67,749
Financial Institutions	50,673	2,353	332	57	–	13	53,429
Retail/Other	20,849	15,432	3,979	1,575	350	250	42,435
BayernLB Group	222,874	76,292	23,085	7,907	1,196	3,835	335,189
Of which BayernLB	120,514	43,361	10,890	4,081	610	2,835	182,292
Of which DKB	102,359	32,931	12,195	3,826	586	1,000	152,898

31 Dec 2023

Rating category

€ million

	MR 0-7	MR 8-11	MR 12-14	MR 15-18	MR 19-21	MR 22-24	Total
Countries/Public Sector/ Non-Profit Organisations	103,597	1,116	907	572	31	16	106,240
Corporates	26,587	33,129	12,493	4,460	369	1,410	78,448
Commercial Real Estate	35,006	22,679	5,758	1,313	165	1,454	66,374
Financial Institutions	52,932	2,595	304	61	1	15	55,907
Retail/Other	19,399	11,473	6,189	1,040	334	214	38,649
BayernLB Group	237,520	70,993	25,650	7,447	900	3,108	345,617
Of which BayernLB	129,507	40,525	14,163	4,024	358	2,437	191,014
Of which DKB	108,012	30,468	11,488	3,423	542	670	154,603

Gross credit volume at the BayernLB Group in the master rating (MR) category 0-7 fell by a significant €14.6 billion to €222.9 billion in the reporting period; the percentage share in this rating category changed accordingly, moving from 68.7% to 66.5%. This decrease was primarily attributable to the following: The Countries/Public Sector/Non-Profit Organisations sub-portfolio went down by €16.4 billion in these rating categories, largely as a result of the reduction in gross credit volume at the Deutsche Bundesbank (by €15.0 billion). There was also a big fall in the Financial Institutions sub-portfolio (by €2.3 billion). This was offset by an increase in the Corporates (by €2.2 billion), Retail/Other (by €1.5 billion) and Commercial Real Estate (by €0.4 billion) sub-portfolios in MR category 0-7. The increase in the Retail/Other sub-portfolio was mainly the result of new business. In Corporates, an excess of rating improvements in existing business also had an impact on these rating categories. In the Commercial Real Estate sub-portfolio, the expansion of business with housing companies with excellent creditworthiness and a municipal background was partly offset by a negative net migration of existing business within these rating categories.

In MR category 8-11, gross credit volume rose markedly, by €5.3 billion to €76.3 billion, increasing the portfolio share from 20.5% to 22.8%. Most of this was due to the Retail/Other (up €4.0 billion), Corporates (up €1.4 billion) and Commercial Real Estate (up €0.3 billion) sub-portfolios. In the case of Retail/Other, this was mainly the result of a one-off effect: a rating (procedure) maintenance move led to a shift in this sub-portfolio of €3.1 billion to rating 11 from rating 12. The principal cause of the higher gross credit volume in the Corporates sub-portfolio was business expansion in these rating categories, especially in the target sector of energy. In the reporting period, there was a slight decline in MR category 8-11 in the Financial Institutions (down €0.2 billion) and Countries/Public Sector/Non-Profit Organisations (down €0.1 billion) sub-portfolios.

Overall, business volume in the investment-grade range (MR 0-11) went down due to the marked fall in deposits at the Deutsche Bundesbank of €9.3 billion. However, owing to the proportional decrease in gross credit volume in the lower credit rating categories, the investment-grade share of the Group portfolio remained stable at 89.3%.

In the non-investment grade segment, gross credit volume in MR category 12-14 fell significantly during the reporting period, by €2.6 billion to €23.1 billion, mainly due to the one-off effect from the aforementioned maintenance move. In MR category 15-18, gross credit volume rose slightly by €0.5 billion to €7.9 billion, the main reason being a deterioration in the ratings in the Retail/Other sub-portfolio (€0.5 billion). In the master rating category MR 19-21, gross credit volume went up and stood at €1.2 billion as at the reporting date (FY 2023: €0.9 billion). The percentage share in these rating categories changed accordingly, moving from 7.4% to 6.9% (MR 12-14), from 2.2% to 2.4% (MR 15-18) and from 0.3% to 0.4% (MR 19-21).

Key drivers of the changes in these rating categories were rating deteriorations in the Commercial Real Estate sub-portfolio, where the significantly gloomier picture on real estate markets since 2023 resulted in rating downgrades of existing customers, especially in the office (particularly in the US) and residential and commercial project developer asset classes.

The BayernLB Group's non-performing loan (NPL) ratio rose during the reporting period from 0.9% to 1.2%. DKB reported a significant increase of 0.4% to a still-low 0.7% overall, while BayernLB's ratio rose from 1.3% to 1.6%. At both banks, this increase was mostly due to the Commercial Real Estate sub-portfolio. The NPL ratio in this sub-portfolio rose accordingly during the reporting period, from 2.2% to 3.3%.

Despite challenging macroeconomic conditions the BayernLB Group and BayernLB as a separate entity maintained good portfolio quality overall in the reporting period thanks to the very selective and risk-oriented management of new business with a focus on existing customers with good credit ratings, which was reflected in the still very good investment grade share and a still-low NPL ratio in the portfolio. But overarching macroeconomic developments, such as the major correction on global real estate markets in the wake of the new period of higher interest rates, were clearly reflected in rating downgrades and new defaults in some sub-portfolios. Due to the aforementioned overall economic conditions and the situation on the real estate market, the outlook for 2025 is still highly uncertain.

The following table shows the BayernLB Group's expected loss⁶⁴ in basis points. This is the EL ratio of performing loans (rating 0-21) or all loans to the gross exposure, expressed in basis points.

⁶⁴ The economic EL shown here describes the expected loss over the next 12 months based on the economic risk parameters GEX, CCF, LGD and PD.

Expected loss of the BayernLB Group

In bp	31 Dec 2024	31 Dec 2023
BayernLB Group: performing loans	4.5	4.5
BayernLB Group: all loans	32.5	23.4

During the reporting period the EL ratio for performing loans decreased by €3.3 million to €152.4 million, largely accounted for by the Corporates (down €1.3 million to €64.2 million), Commercial Real Estate (down €1.2 million to €22.4 million) and Financial Institutions (down €0.8 million to €5.1 million) sub-portfolios.

Total EL jumped by €280.8 million to €1,090.8 million, which was principally due to counterparty defaults in the Commercial Real Estate sub-portfolio. Accordingly, there was a sharp rise in the total EL by €225.0 million to €469.7 million in this sub-portfolio.

Renegotiated credits

The definition of renegotiated credits (forbearance pursuant to Art. 47b CRR) remained unchanged from the previous financial year.

Current situation

Financial year 2024 saw another increase in renegotiated loans. The rise came both from the Commercial Real Estate sub-portfolio and the Corporates sub-portfolio. The Commercial Real Estate sub-portfolio and the Corporates sub-portfolio contributed around two-thirds and one-third respectively to this increase. This was partly due to the still-strained overall economic situation.

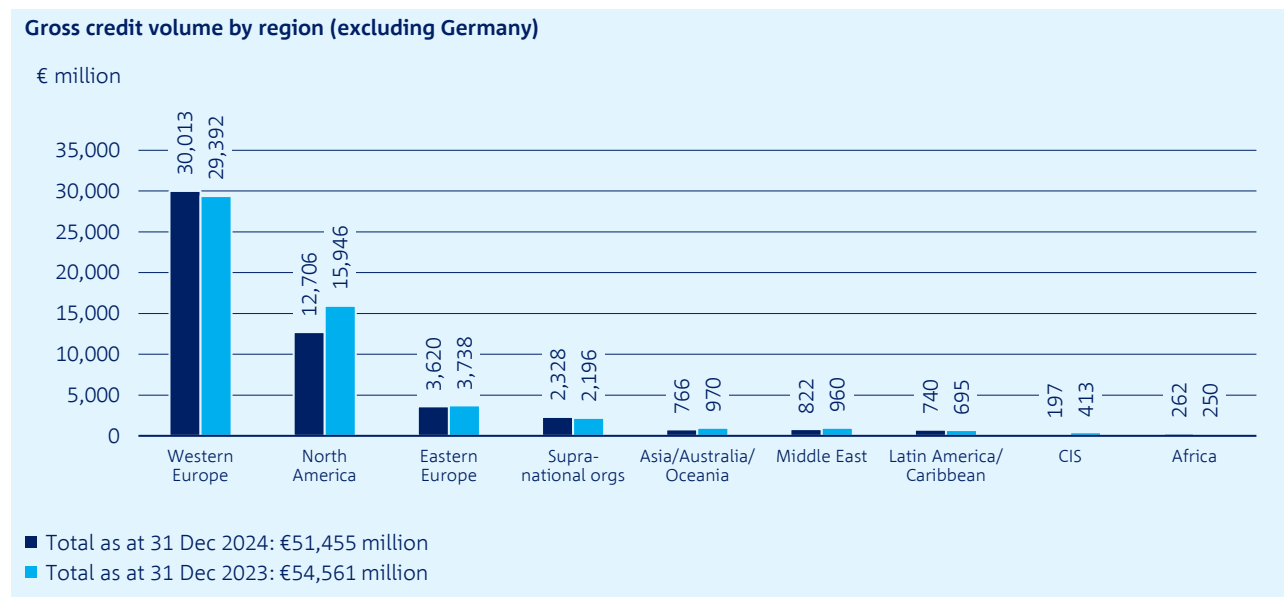
Furthermore, the definition of renegotiated loans (forbearance) has broadened since 2024 so that, in cases where financial difficulties in the sense of the supervisory definition arise, forbore loans too may now be classed as being in “intensive support”. This expansion thus contributed to the increase in renegotiated loans.

Forbearance exposures

€ million	Renegotiated credits/deferrals		Impairments		Collateral/financial guarantees received	
	31 Dec 2024	31 Dec 2023	31 Dec 2024	31 Dec 2023	31 Dec 2024	31 Dec 2023
Loans and advances to banks	–	–	–	–	–	–
Loans and advances to customers	2,890.7	1,793.3	(618.0)	(409.4)	932.6	507.9
Financial investments	–	–	–	–	–	–
Credit commitments	227.8	121.1	(45.9)	(23.3)	15.0	3.6
BayernLB Group	3,118.6	1,914.3	(663.9)	(432.6)	947.6	511.4

Breakdown by region

The following table shows gross credit volume by region.

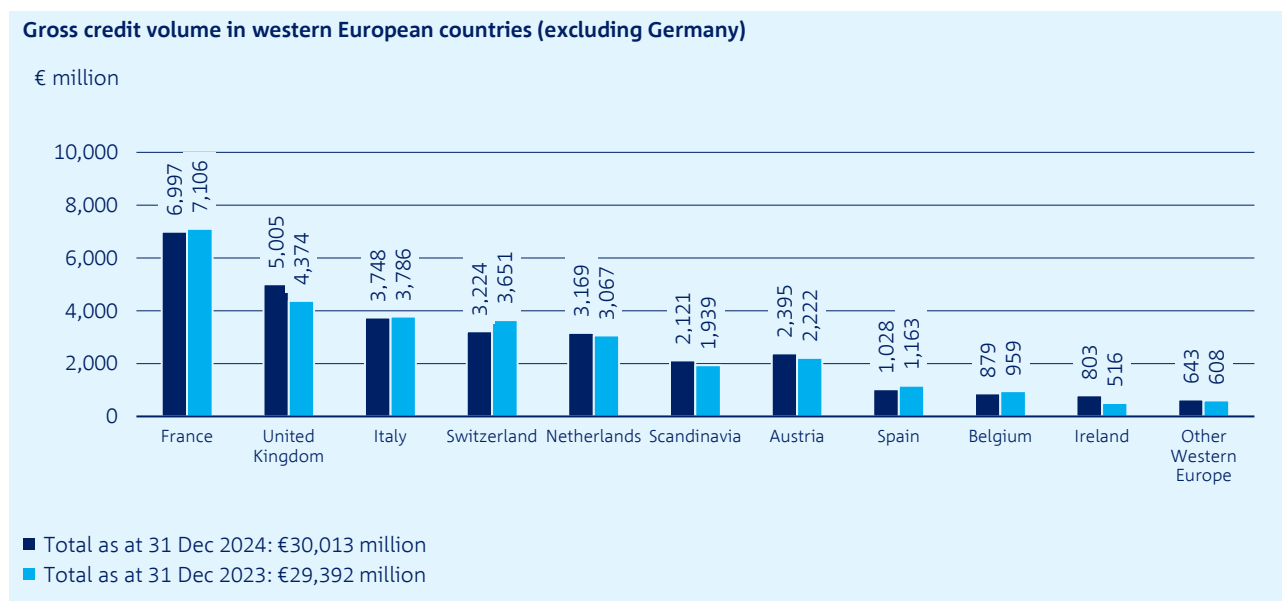


In line with the Business Strategy and the Risk Strategy, Germany accounted for a dominant share of the BayernLB Group's lending at 84.6% (FY 2023: 84.2%). BayernLB is responsible for the bulk of the Group's foreign business. Only a very small proportion of DKB's business is conducted abroad.

Gross credit volume in Germany fell in the Group by a slower 2.5%, or €7.3 billion, to €283.7 billion (FY 2023: €291.1 billion). This was due to the Countries/Public Sector/Non-Profit Organisations (€14.2 billion) and Financial Institutions (€0.8 billion) sub-portfolios, with the decrease in the former strongly impacted by the reduced deposits at the Deutsche Bundesbank. This was offset in Germany by an increase in the Retail/Other (up €3.8 billion), Corporates (up €2.8 billion) and Commercial Real Estate (up €1.1 billion) sub-portfolios.

Outside Germany, the most significant changes in gross credit volume were in the North America and Western Europe (excluding Germany) regions. In North America, business volumes contracted by €3.2 billion or 20.3%. This was largely related to liquidity management effects, which caused gross credit volumes at US government entities and banks to fall. But in Western Europe (outside Germany), volumes went up by €0.6 billion or 2.1%. In the other regions, the changes in exposure were minor during the reporting period.

The following table shows the BayernLB Group's gross credit volume in western European countries (excluding Germany).



Gross credit volume in Western Europe (excluding Germany) rose in the reporting period by around €0.6 billion to €30.0 billion (FY 2023: €29.4 billion), with contributions from the United Kingdom (up €0.6 billion), Ireland (up €0.3 billion) and Austria (up €0.2 billion). In these countries, business expansion was mainly focused on the mobility, energy and banking sectors. However, gross credit volume fell back in Switzerland (down €0.4 billion), mainly due to the banking sector (down €0.4 billion).

Gross and net credit volume in the former CIS region

€ million	Gross		Net	
	31 Dec 2024	31 Dec 2023	31 Dec 2024	31 Dec 2023
Russia	81.5	273.7	22.4	50.7
Ukraine	68.9	66.5	4.3	7.9
Azerbaijan	40.9	56.2	2.1	2.8
Uzbekistan	4.5	8.5	0.4	0.7
Kazakhstan	1.4	1.9	1.4	1.9
Turkmenistan	–	6.3	–	0.3
Belarus	–	–	–	–
BayernLB Group	197.1	413.1	30.5	64.4

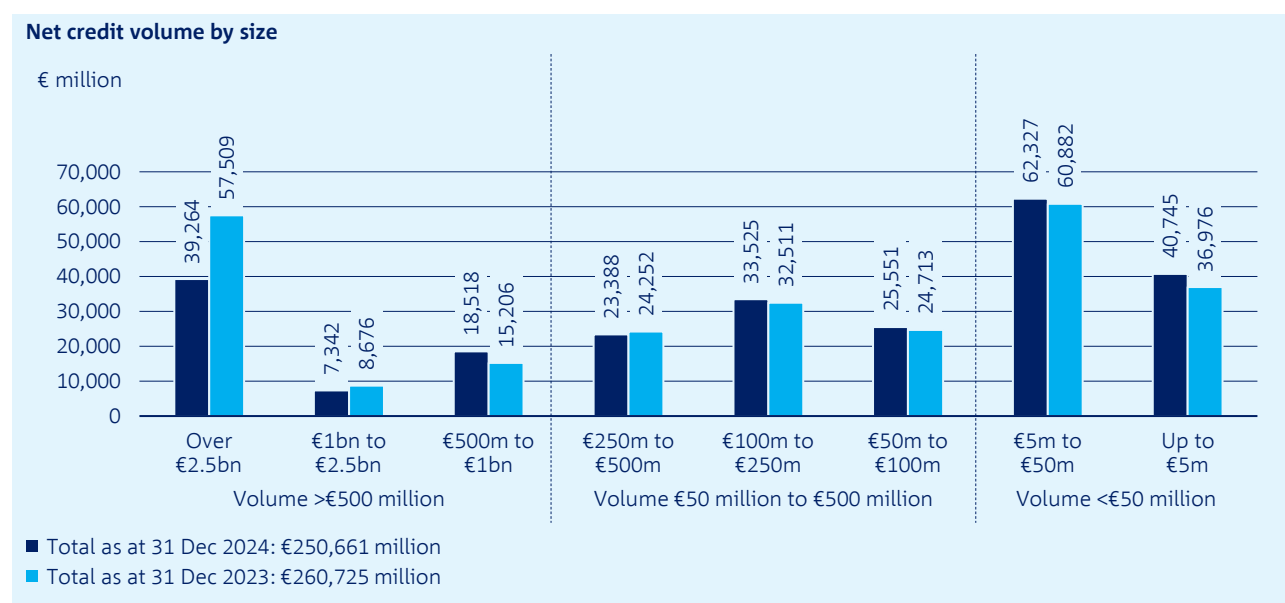
Most of the remaining business volume in Russia and Ukraine is protected inter alia by German Euler Hermes export insurance. The marked drop in gross credit volume in Russia during the reporting period was related to compensation payments by Euler Hermes. The modest increase in credit volumes in Ukraine during the reporting period was the result of accumulated arrears from borrowers already classified as in default.

A significant proportion of business volumes in the Middle East region as well is backed by collateral cover. Gross credit volume in Israel (€7 million) was largely restricted to the necessary volume for executing payment transactions.

Country risks and risk/return ratios in lending abroad continued to be closely managed and monitored given the economic and political uncertainties in various countries.

Breakdown by size category

The following table shows net credit volume by size.



The net credit volume with customers in the more than €2.5 billion category plunged by €18.2 billion to €39.3 billion (FY 2023: €57.5 billion), mainly as a result of the reduction in deposits at the Deutsche Bundesbank (€15.0 billion). This size category only contains loans and advances to German and US government entities with a first-class credit score.

Net credit volume in the €500 million to €2.5 billion category went up by around €2.0 billion to €25.9 billion (FY 2023: €23.9 billion). This was due to a big rise in the Countries/Public Sector/Non-Profit Organisations (up €1.9 billion) and Financial Institutions (up €0.6 billion) sub-portfolios, with the Corporates sub-portfolio (down €0.5 billion) partially offsetting this. These size categories predominantly include savings banks, German and international banks and insurers, large DAX companies and government entities.

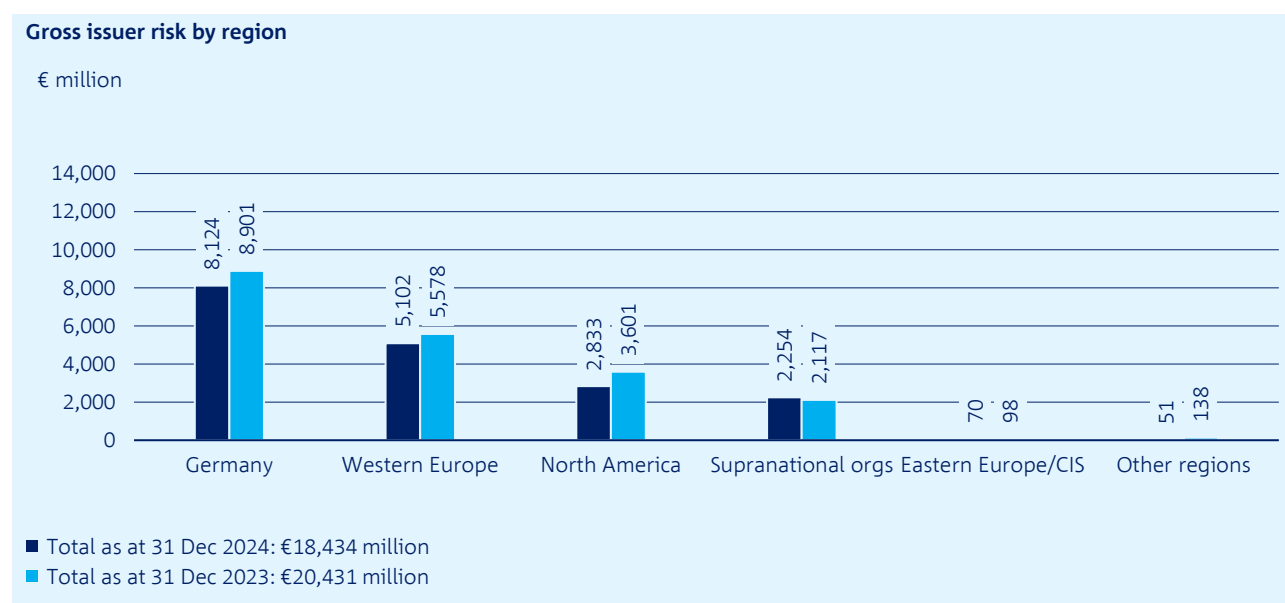
The individual credit ratings fell solely in the investment-grade range, mainly in the master rating (MR) category 0-7 (€25.3 billion) and, to a lesser extent, the category MR 8-11 (€0.6 billion). The net credit volume in these size categories over the reporting period was entirely attributable to BayernLB customers.

The size category with a net credit volume of €250 million to €500 million posted a decrease of €0.9 billion to €23.4 billion (FY 2023: €24.3 billion) in the reporting period, due not least to changes in business volumes with existing customers and a corresponding shift from higher and lower size categories. The Corporates (down €0.4 billion), Financial Institutions (down €0.3 billion) and Countries/Public Sector/Non-Profit Organisations (down €0.1 billion) sub-portfolios contributed to the decrease in net credit volume in this size category.

The granularity of the portfolio increased during the reporting period. The net credit volume in the under €250 million categories rose disproportionately to €162.1 billion as at the reporting date (FY 2023: €155.1 billion), as a result of which the percentage share in these size categories in the overall portfolio jumped to 64.7% (FY 2023: 59.5%). Both institutions retained a significant share of their net credit volume in these size categories, ensuring portfolio granularity was adequate. Owing to business-related factors, the share in these rating categories was lower at BayernLB, amounting to 54.4% (FY 2023: 51.8%), compared with DKB, where it was at 78.3% (FY 2023: 70.0%).

Issuer risk

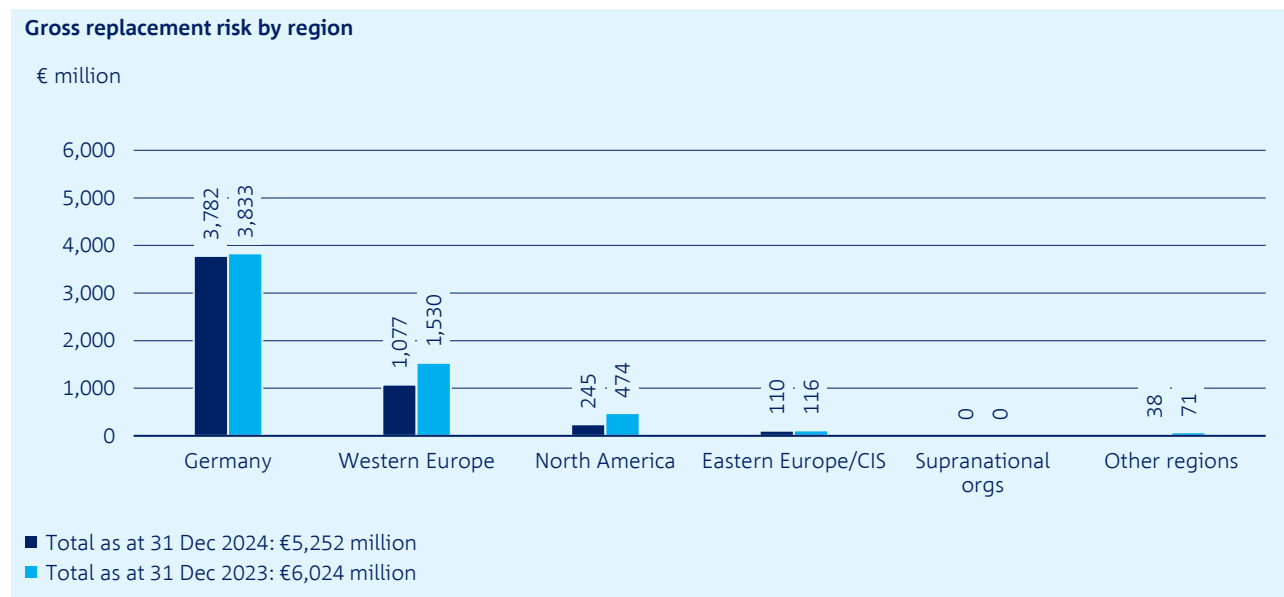
The following table shows gross issuer risk by region within the BayernLB Group.



Gross issuer risk fell by around €2.0 billion to €18.4 billion (FY 2023: €20.4 billion) during the reporting period, which was largely attributable to Western Europe (down €1.3 billion) and North America (down €0.8 billion). In Western Europe, besides Germany (down €0.8 billion), France (down €0.3 billion) and Italy (down €0.2 billion) also contributed to this development. This decrease in gross issuer risk was in line with the normal management of the portfolio. As at the reporting date, 73.0% of issuer risk related to BayernLB (FY 2023: €73.5%).

Replacement risk

The following table shows the BayernLB Group's gross replacement risk by region.



Gross replacement risk fell by €0.8 billion to €5.3 billion (FY 2023: €6.0 billion) during the reporting period, which was largely attributable to Western Europe (down €0.5 billion) and North America (down €0.2 billion). In Western Europe, the main impact was a significant fall in gross replacement risk in the United Kingdom (down €0.5 billion). Owing to business-related risks, gross replacement risk stood at 91.9% at BayernLB (FY 2023: 94.3%).

Countries/Public Sector/Non-Profit Organisations sub-portfolio

Gross credit volume in the Countries/Public Sector/Non-Profit Organisations sub-portfolio plunged by €16.6 billion or 15.7% to €89.6 billion during the reporting period (FY 2023: €106.2 billion). Gross credit volume at BayernLB fell by €6.7 billion to €44.0 billion in the reporting period and declined at DKB by €9.9 billion to €45.6 billion. At both banks, the position held at the Deutsche Bundesbank is an important factor in the change during the reporting period. The central bank positions held by BayernLB and DKB are primarily for the purpose of managing liquidity and are therefore subject to considerable fluctuations in value between reporting dates.

The change in the gross credit volume at BayernLB was largely the result of the following: Business volume with the Deutsche Bundesbank contracted by €5.2 billion to €14.7 billion. In addition, the credit volume with foreign central banks (down €1.4 billion), foreign countries (down €0.8 billion) and German state governments (down €0.8 billion) also shrunk. This was offset in the reporting period by business expansion with municipalities and public-sector special-purpose associations (up €1.2 billion).

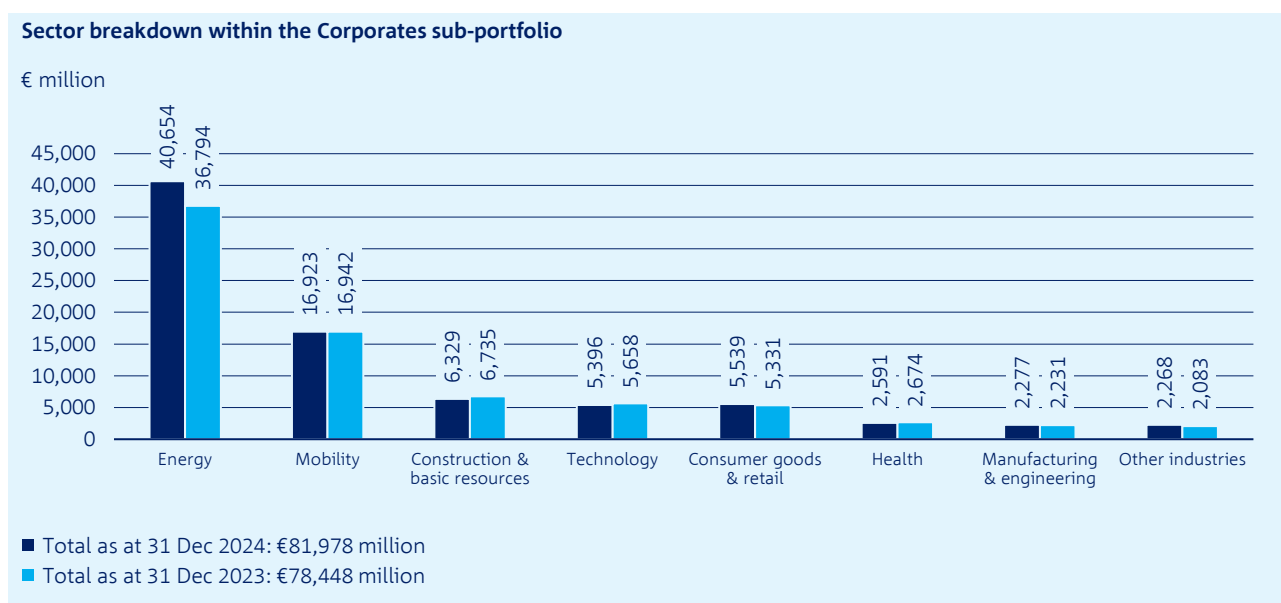
The investment-grade share in the Countries/Public Sector/Non-Profit Organisations sub-portfolio was very high at 98.5% as at the reporting date (FY 2023: 98.6%).

Corporates sub-portfolio

In 2024, companies faced numerous challenges influenced in large part by global and regional developments. Ongoing conflicts in Ukraine and the Middle East, along with political upheavals in the US and Europe, had a major impact on the economic environment. In Germany, structural shifts in the automotive industry produced considerable strains, especially due to softening demand for electric vehicles. Moreover, industrial production was hit by

weak demand for goods and a decline in investment activity. Although inflation eased, it remained a headline issue, especially for the services sector. Overall, 2024 was marked by sluggish economic growth and considerable uncertainty.

However, the risk profile of the Corporates sub-portfolio was kept at a good level, especially thanks to a highly selective and risk-focused new-business management, with priority given to existing customers with good creditworthiness. The business volume in the Corporates sub-portfolio grew to €82.0 billion (FY 2023: €78.4 billion) through expansion of business, particularly in the target sector of energy.



The three sectors discussed below accounted for the largest changes in the business volume.

Gross credit volume in energy, the largest and most important sector strategically, rose by €3.9 billion or 10.5% to €40.7 billion. Financing for grid operators and utilities (up €0.8 billion) and, to a much greater extent, for renewable energy (up €3.0 billion) contributed to this growth. In line with strategy, renewable energies, such as solar and wind farms, continue to form the main focus of the portfolio, accounting for a proportion of 57.8% (FY 2023: 55.6%). At 63.5% (FY 2023: 60.5%), DKB's share of the energy sector remained above average, especially due to a high share of German wind and PV financing in the renewable energy sub-sector. The majority of these transactions are structured as project financings that benefit to a large degree from long-term, legally guaranteed feed-in tariffs under German law.

In addition to renewable energy, traditional corporate financing for grid operators and energy utilities remains a key component within the sector. The portfolio is distributed in a granular fashion across customers from all stages of the sector's value chain, from the generation, transmission and distribution of electricity to integrated energy utilities and municipal utilities, with DKB accounting for a significant share.

At 87.7% (FY 2023: 87.4%), the lion's share of the financing volume in the energy sector was still in Western Europe, with Germany accounting for 76.1% (FY 2023: 75.2%). During the reporting period, business in the North America region also experienced substantial growth (up €0.6 billion), with the North America share in the energy sector rising to 7.2% (FY 2023: 6.3%). Driven by new business with customers with good creditworthiness and improvements in ratings, the share of investment-grade loans also grew during the same period to stand at 79.6% (FY 2023: 77.4%).

A decline in gross credit volume was registered in the target sector of construction & basic resources, which includes the two sub-sectors of construction & infrastructure and steel, metal & basic resources. Due to very selective new-business management in this highly cyclical sector, business volumes dropped by €0.4 billion to €6.3 billion. The decline was recorded by BayernLB, which continued to account for the vast majority (98.6%) of the portfolio (FY 2023: 98.5%). This came almost entirely from the construction & infrastructure sub-sector (down €0.4 billion), contributing to a reduction in its share to 37.0% (FY 2023: 40.7%). Largely as a result of rating downgrades, the investment-grade share went down during the reporting period to 64.3% (FY 2023: 68.1%).

Similarly, in the innovation-driven technology sector, with its high-end technology, IT and telecommunications sub-sectors, gross business volume went down slightly, falling by €0.3 billion to €5.4 billion in the reporting year. The primary reason for the contraction was a corporate demerger, which led to a partial transfer of a customer's credit volume to the energy sector. Business volumes at DKB were virtually unchanged during the reporting period, so that BayernLB's share in the technology sector eased to 94.8% (FY 2023: 95.1%).

Overall, the investment-grade share in the Corporates sub-portfolio rose to 77.2% (FY 2023: 76.1%) as a result of rating improvements and customers with good credit standing. The German domestic market, which is key for the BayernLB Group, continued to drive the Corporates sub-portfolio, with a high share of 74.8% (FY 2023: 74.5%). However, the overall economic environment remained gloomy, which led to rating downgrades in the automotive & logistics and in the steel, metal & basic resources sub-sectors.

The sub-portfolio's granularity was still very high, although the share of customers with a gross credit volume of lower than €50 million ticked down to 47.0% (FY 2023: 48.0%).

At individual institution level, the investment-grade share of the Corporates sub-portfolio stood at 77.0% (FY 2023: 76.8%), on par with the Group's. Due to business-related factors, the Germany share at individual institution level was lower at 59.7% (FY 2023: 63.3%).

ESG risks related to new and existing customers are assessed using the Bank's internally created ESG assessment tool in conjunction with Rating Service Unit's ESG score, which will eventually replace the ESG assessment. In the case of corporate customers, most customers have low ESG risks. Material ESG risks were mainly identified in the manufacturing & engineering, mobility and consumer goods & retail sectors of the Corporates sub-portfolio; but they were at a low level overall.

Commercial Real Estate sub-portfolio

Overall, the situation on the real estate markets continued to deteriorate to a marked degree in the reporting period. But not all regions and asset classes were equally affected, so it is necessary to differentiate.

Over the course of 2024, the situation on the German real estate market stabilised. However, the persistently elevated interest rates and structural challenges, especially the high level of uncertainty concerning future demand for office space, continued to cause strong market volatility. Accordingly, vacancies in office properties continued climbing during 2024. Despite a modest rebound, private demand for residential real estate remained subdued.

As a result of this market situation, the planned growth was not fully realised. In the reporting period, the gross credit volume in the Commercial Real Estate sub-portfolio rose by €1.4 billion or 2.1%. As a result, business volume as at the end of the year was €67.7 billion (FY 2023: €66.4 billion). At BayernLB there was a moderate increase in gross credit volume to €32.4 billion (FY 2023: €32.1 billion), while DKB succeeded in significantly expanding business to €35.4 billion (FY 2023: €34.3 billion).

The following table shows the gross credit volumes for the Commercial Real Estate sub-portfolio, broken down by sector and asset class.

Gross credit volume in the Commercial Real Estate sub-portfolio by sector and asset class¹

€ billion	BayernLB Group		BayernLB		DKB	
	31 Dec 2024	31 Dec 2023	31 Dec 2024	31 Dec 2023	31 Dec 2024	31 Dec 2023
Residential	39.8	40.0	8.5	9.2	31.3	30.8
Of which residential property developers	1.9	2.3	1.1	1.4	0.8	0.9
Of which residential	30.5	29.9	–	–	30.5	29.9
Commercial	27.9	26.4	23.8	22.9	4.1	3.5
Of which office	12.7	12.3	12.7	12.3	–	–
Of which retail	4.3	4.2	4.3	4.2	–	–
Of which managed real estate	9.4	8.5	5.7	5.3	3.7	3.2
Of which other	1.5	1.4	1.1	1.0	0.3	0.3
Total	67.7	66.4	32.4	32.1	35.4	34.3

¹ The asset classes itemised in this table are “of which” positions. As not all asset classes have a limit, the ones shown here cannot be fully aggregated to the total figure.

€23.8 billion (FY 2023: €22.9 billion) of the gross credit volume at BayernLB was accounted for by the commercial sector, while €8.5 billion (FY 2023: €9.2 billion) was attributable to the residential sector. The significant rise in the commercial sector (up €1.0 billion) was mainly due to the office (up €0.4 billion), managed real estate (up €0.4 billion) and retail (up €0.1 billion) asset classes. The fall in the residential sector (down €0.7 billion) was principally due to the scaling down of the portfolio with residential property developers, whose gross credit volume stood at €1.1 billion as at the reporting date (FY 2023: €1.4 billion). High construction and refinancing costs and high land acquisition prices, all coupled with a continued sharp decline in transaction volumes and the resulting falling property prices in the sales market, impacted the profitability of many residential and commercial construction projects, leading some of them to fail.

During the reporting period, DKB managed to expand business in both the residential and the commercial sectors. As at the reporting date, the residential sector achieved a business volume of €31.3 billion (FY 2023: €30.8 billion), while the commercial sector recorded an increase to €4.1 billion (FY 2023: €3.5 billion). At DKB, most of the reason for the growth in the commercial sector was attributable to a substantial expansion of business relating to social/public housing (up €0.4 billion). The impact of conditions on the property market and transaction market on credit risk in DKB's portfolio was of less significance, with the portfolio structure having a high share of residential real estate and low-risk business due to local authority/government ownership or guarantees and housing associations helping to mitigate risk. For the comparatively small portfolio of DKB's property development business the outlook stabilised, taking into account a modest increase in demand in the real estate market and improved construction cost levels. The gross credit volume with residential property developers declined slightly and stood at €0.8 billion as at the reporting date (FY 2023: €0.9 billion).

The following table shows the gross credit volume for the Commercial Real Estate sub-portfolio, broken down by region and risk country.

Gross credit volume in the Commercial Real Estate sub-portfolio by region and risk country

€ million	31 Dec 2024	31 Dec 2023
Western Europe	64,706	63,186
Germany	57,640	56,553
France	2,732	2,718
Italy	1,601	1,339
UK	915	949
Netherlands	885	819
Other	934	807
North America	2,271	2,416
Eastern Europe	764	772
Asia/Australia/Oceania	8	–
Total	67,749	66,374

A significant portion of the expanded business within the Group took place in the German home market (up €1.1 billion). Due to the overall slightly disproportional growth abroad, however, the Germany share contracted marginally to 85.1%, though it was still at a high level (FY 2023: 85.2%). Within the Group, it is almost exclusively BayernLB which conducts business abroad in the real estate market. The granularity of the sub-portfolio stayed almost constant during the reporting period: the proportion of customers with a gross credit volume of less than €50 million was 49.5% as at the reporting date (FY 2023: 49.8%).

The challenging situation on the US real estate market remained a key focus of public attention, especially regarding the substantial fall in office property prices due to the plunge in demand for space. The gross credit volume for US real estate totalled €2.3 billion as at the reporting date (FY 2023: €2.4 billion), with the share of commercial real estate financing amounting to €1.3 billion (FY 2023: €1.3 billion) and residential real estate financing at €0.9 billion (FY 2023: €1.1 billion). This corresponds to just 3.4% of the real estate portfolio (FY 2023: 3.6%) or 0.7% of the BayernLB Group's entire portfolio (FY 2023: 0.7%).

Residential real estate financing in the US exclusively comprises multi-family properties/apartment buildings. Of the financing in the commercial portfolio as at the reporting date €1.0 billion related to the office asset class (FY 2023: €1.0 billion), €0.2 billion to retail (FY 2023: €0.3 billion) and €0.1 billion to logistics properties (FY 2023: €0.1 billion). The focus for office properties is central locations like New York, Chicago or Washington, DC/Arlington, Virginia.

The situation on the real estate market has deteriorated substantially overall since the beginning of 2023, and this was reflected in the Group portfolio in the form of rating downgrades and credit defaults in 2024. Sufficient risk provisions were set aside to cover this. However, as set out above, not all regions and assets were equally affected, meaning that a noticeable impact has so far been observed mainly in office properties (especially in the US) and, in Germany, with residential and commercial project developers.

The rating downgrades are reflected in a slight decline in the investment grade share of the entire Commercial Real Estate sub-portfolio to a still good level of 86.2% (FY 2023: 86.9%). However, the NPL ratio in the Commercial Real Estate sub-portfolio rose to 3.3% (FY 2023: 2.2%) in the reporting period as a result of new defaults, particularly in the case of office and residential properties. The collateral volume grew marginally by around €0.1 billion to €52.2 billion. Due to the growth in gross credit volume, the collateral ratio accordingly fell to 77.1% (FY 2023: 78.5%).

Financial Institutions sub-portfolio

At Group level, the gross credit volume in the Financial Institutions sub-portfolio went down to €53.4 billion (FY 2023: €55.9 billion), with BayernLB accounting for €51.3 billion (FY 2023: €53.6 billion) and DKB for around €2.1 billion (FY 2023: €2.3 billion).

Gross credit volume in the savings banks sector, the largest sector by volume, fell by a significant €1.7 billion to €27.6 billion. There was also a downwards trend in the banking sector, with volumes declining by €1.1 billion to €19.4 billion, with both BayernLB and DKB contributing to this development. As at the reporting date, BayernLB accounted for a gross credit volume of €17.3 billion (FY 2023: €18.3 billion), while DKB's was €2.1 billion (FY 2023: €2.3 billion). At BayernLB, the decrease in gross credit volume mainly occurred with global credit banks (down €1.0 billion) and independent fund management companies (down €0.2 billion). There was a modest increase in the case of investment banks, leasing companies and building societies (each up €0.2 billion). The changes in the banking and savings banks sectors were largely due to reporting date-related fluctuations related to liquidity management.

Business volumes in the insurance sector increased by €0.4 billion to €6.4 billion as at the reporting date, with most of this due to reinsurers (up €0.4 billion). In line with strategy, GEX to insurers was primarily attributable to the letter of credit product, with the largest increase relating to Switzerland and the US.

The quality of the sub-portfolio remained almost unchanged and very high, with an investment-grade share of 99.2% (FY 2023: 99.3%). The Germany share rose and stood at 73.9% as at the reporting date (FY 2023: 72.0%). Owing to BayernLB's high portfolio share, the statements are accordingly also valid at the institution level.

Retail/Other sub-portfolio

Gross credit volume in the Retail/Other sub-portfolio climbed by a significant €3.8 billion to €42.4 billion.

At BayernLB, business volumes fell marginally at BayernLB core Bank (excluding BayernLabo) during the reporting period, while at BayernLabo gross credit volume increased by €0.4 billion to €3.3 billion. The retail customer business ceased to be part of the core business of BayernLB core Bank several years ago and is therefore being wound down as planned. Its volume stood at €0.2 billion as at the reporting date. Within the BayernLB Group, the retail business is operated by the Group subsidiary DKB.

At DKB, the gross credit volume increased markedly by €3.5 billion to € 38.9 billion, owing to a rise in particular in residential construction end financing (by €2.1 billion to €19.1 billion), retail lending (by €1.1 billion to € 4.9 billion) and the credit card segment (by €0.2 billion to €6.6 billion).

The Germany share of the sub-portfolio remained unchanged at nearly 100% throughout the Group.

Summary

In 2024 BayernLB managed to hold its ground in spite of an overall challenging economic environment that was marked by a weak performance in Europe and a persistent real estate market crisis.

Despite these difficult circumstances, the BayernLB Group largely kept the quality of its portfolio at a still-strong level, due not least to its selective, risk-oriented management of new business opportunities. One noteworthy example is its expanded business in the strategically important Corporates sub-portfolio, in particular the target sector of energy. In the Commercial Real Estate sub-portfolio, the ongoing gloomy environment led, however, to a marked deterioration in credit quality and defaults.

In a persistently volatile geopolitical environment, economic growth in the years ahead will depend heavily on political decisions and pivotal actions, especially those taken by the new Trump administration. Given also that multiple geopolitical regions such as Ukraine and the Middle East are mired in crisis, global economic risks will remain elevated. Owing to the uncertainties over the future direction of the risk factors described above, there remains an elevated risk of a deterioration in the economic situation, with potential negative effects on creditworthiness and portfolio quality.

Risk associated with equity interests

Definition

Risk associated with equity interests at the BayernLB Group is defined as the risk incurred through acquiring equity interests.

These risks can result in potential financial losses, for example from the provision of equity or equity-like financing (as with silent partner contributions); the suspension of dividends; partial writedowns; losses on disposals or reductions in hidden reserves; liability risks (i.e. profit and loss transfer agreements, for example for assumption of losses (under letters of comfort or company agreements)); or contribution commitments.

Risk associated with equity interests may impact other risk types and therefore affect the BayernLB Group's risk profile.

Strategy

The Group strategy for risks associated with equity interests, derived from the overarching BayernLB Group Risk Strategy, forms the framework for dealing with this type of risk.

BayernLB has classified the equity interests in this investment portfolio as either equity interests relevant to the business model, equity interests under public mandate or equity interests not relevant to the business model (with or without exit status). DKB, BayernInvest and Real I.S. are the equity interests that form an integral part of the Group business model. The BayernLB Group would like to dispose of the equity interests that have been assigned the exit status.

Organisation

Group Risk Control is responsible for setting standards and for internal risk reporting at portfolio level. The BayernLB Group has an independent central unit with the authority to issue guidelines for all methods relating to monitoring risk associated with equity interests. Operational implementation of the risk management instruments is the responsibility of the business units concerned.

Measuring, managing and monitoring

A classification procedure for identifying and measuring risk, with clear guidelines on early risk detection, has been implemented for all direct equity interests held by BayernLB. Key factors in this regard are risk-based early warning indicators and the assessment of the maximum potential loss. Where BayernLB also provides debt capital, it examines any additional risks, particularly those arising from its status as a lender. None arose during the past financial year.

Risk capital requirements for risk associated with equity interests are measured in ICAAP using the PD/LGD method in accordance with CRR/CRD IV. For CRR/CRD IV reporting, risks associated with equity interests are measured using the simple risk weighting method.

The risks from direct equity interests are identified using the relevant procedures (classification and early warning) and reported to the Board of Management as part of the risk reporting process.

Similar processes apply at DKB. The bank is also closely involved in the entire Group strategy, planning, management and monitoring process.

ESG risks

ESG risks are becoming increasingly important in risk management and can potentially have an impact on risk associated with equity interests. Therefore, the investment portfolio was examined for the impact of ESG risks on risk associated with equity interests and potential effects on risk-bearing capacity. Based on the findings, no significant negative effects on risk capital requirements from equity interests are expected.

Current situation

As at 31 December 2024, the economic risk capital requirement for risk associated with equity interests within the BayernLB Group increased to €126 million (FY 2023: €106 million). The economic risk capital requirement for risk associated with equity interests at BayernLB rose to €435 million (FY 2023: €54 million). The increase in risk associated with equity interests at BayernLB resulted from the implementation of a methodological change concerning the consideration of risk from internal capital allocation. Previously reported separately, risks from capital allocation within the Group are now reported under the respective risk type.

The main reason for the changes in the Group was DKB, in particular the changes in the carrying amount of DKB's equity investment in VISA Inc. due to an increase in the share price.

Summary

Risk associated with equity interests in the BayernLB Group increased in 2024 but remained within the economic capital coverage provided for this purpose (risk appetite) during the reporting period.

Business and strategic risk

Definition

Business and strategic risk (or simply “business risk”) is defined as the risk of an unexpected change in the economic, political, social, ecological, legal, technical or regulatory business environment that has not already been taken account of, either explicitly or implicitly, by other risk types covered by the risk-bearing capacity calculation.

Strategic risk refers to the risk of a financial loss as a result of business policy decisions, poor and insufficient implementation of decisions or a lag in the adjustment of the Business Strategy to changes in the economic, political, social, ecological, legal, technological or regulatory environment.

Organisation

The Group Risk Control Division quantifies the business risk for purposes of calculating the risk-bearing capacity and analyses changes in these risks.

Strategy

The management of business risk is set out under the strategy for non-financial risks, which is part of BayernLB's Risk Strategy. The parameters relevant for business risk are managed and monitored as part of the BayernLB Group's management cycle.

Measuring and monitoring

Business risk is quantified based on historical target/actual deviations in the income statement items identified as pertinent to business risk, using an analytical value-at-risk approach. In the financial year, the model used was expanded to include the income statement line items "expenses for the bank levy and deposit guarantee scheme" and "gains or losses on restructuring". The utilisation of the limits for business risk is subject to a monthly Group-wide monitoring process. Through Group risk reporting the Board of Management is informed monthly, and the Risk Committee of the Supervisory Board quarterly, about the risk situation.

ESG risks

In the case of business and strategic risk, the Bank considers mainly medium-term transitory risks (political measures and investor and consumer sentiment) which could drive interest and commission income down and push up administrative expenses and capital requirements in the medium and long term. They are taken account of in the overarching stress testing.

Current situation

As at 31 December 2024 the BayernLB Group's risk capital requirement stood at €263 million (FY 2023: €93 million), with BayernLB Bank posting €421 million (FY 2023: €375 million). The main reason for the increase was the expansion of the model described above. The Group figure reflects the diversification effects from the different business strategies of BayernLB and DKB. Therefore, the figure for the Group is lower than the one for BayernLB.

Summary

The risk capital requirement for business risk remained within the defined limits during the reporting period.

Market risk

Definition

Market risk is the risk of financial losses due to changes in prices on money, currency, capital or commodity markets. The potential losses arise through the financial transactions conducted in the course of the Bank's business activities (in both the trading and banking books) whose performance varies according to changes in market risk factors/market prices. Accordingly, the BayernLB Group breaks down its market risks into interest rate risks (further broken down into present-value general, present-value specific and earnings-related interest rate risks), currency risks, equity price risks, commodity risks and volatility risks. The market risk factors also include the valuation interest rate for pension obligations.

Organisation

The Group institutions are responsible for the operational monitoring of their market risks; this is performed internally by their own risk-monitoring units. The market risks at BayernLB and DKB are included in a daily Group-wide risk report. Group Risk Control is responsible for setting Group-wide methodological standards and for the overall, Group-wide monitoring of market risk.

Strategy

The Risk Strategy sets out the strategic policies for handling market risks and prescribes the amount of economic capital to be made available for them. Market risks are measured and monitored, and may be assumed only within approved limits.

The amount of economic capital provided as backing for market risks is broken down by risk unit and in some cases market risk type, and is implemented in the form of value-at-risk (VaR) limits. In accordance with the current Business Strategy and Risk Strategy, market risks are assumed primarily for the purposes of liquidity and asset/liability management. In addition, market risks arise from customer-driven trading positions, which are managed based on the portfolio situation, and from non-core business. As plan assets have been gradually accruing over the past few years via a contractual trust arrangement (CTA), the impact of interest rate risks arising from BayernLB's pension obligations has been reduced considerably.

Measurement

For operational monitoring and management, the calculation of market risk normally uses a VaR procedure based on a one-day holding period and a confidence level of 99%. BayernLB and DKB both use the historical simulation approach.

Customer deposits at DKB are modelled using the dynamic replication method.

Both contractual and legal termination rights on loan transactions are represented as options and incorporated into the risk calculation. When considering the interest rate risk from external credit margins, BayernLB takes a premium in the risk capital requirement into account. At DKB the interest rate risk in external credit margins is shown in the daily VaR.

Market risks that cannot be covered by the VaR limit calculation are taken into account in the risk capital requirements through the use of alternative risk assessment methods (e.g. stress test estimates). Market risk measurement methods are continuously checked for their forecasting quality. In the backtesting process, the risk forecasts are compared with actual outcomes (gains or losses). Up until May 2024, BayernLB's backtesting results were just within the amber zone of the Basel traffic light, which is why a premium was included when reporting the risk capital requirements. From June 2024, BayernLB was again in the green zone of the Basel traffic light with no premium. For DKB, no premium was necessary throughout 2024.

For reporting the risk capital requirement as part of the economic risk-bearing capacity, one-day VaR is scaled to a one-year horizon, i.e. it is assumed that exposures are closed or hedged over a one-year time horizon. This takes particular account of market liquidity risk – the risk of having to close out exposures on financial terms that are less favourable than had been expected.

Valuation discounts for market liquidity-relevant factors (e.g. bid-ask spreads) which are relevant for accounting and reporting are also modelled.

The outcomes of risk measurement for market risks must always be looked at in the context of the assumptions used in the model (primarily the confidence level, the holding period, and the use of historical data over a period of around one year to forecast future events). For this reason, stress tests simulating extraordinary changes in market prices are conducted monthly on the exposures, and the potential risks are analysed accordingly. Additional stress tests are carried out for each institution separately. Stress tests take into account all relevant types of market risk and are regularly reviewed, with their parameters modified where necessary.

Besides the present value risk measurement methods, the potential negative impact on the income statement and balance sheet capital in the banking book from changes in the general interest rate level and margins is calculated as part of earnings-oriented interest rate risk. The components of earnings-oriented interest rate risk are net interest income risk (risk in terms of net interest income in the period) and fair value risk (risk in terms of the fair values of instruments recognised at fair value in the period).

The standard approach is used at BayernLB and DKB to calculate the regulatory capital backing for market risks.

Monitoring

At the BayernLB Group, several tools are used to monitor and limit market risks. In addition to the institution-specific risk capital requirement limits, these include in particular VaR and corresponding VaR limits, risk sensitivities (including related sensitivity limits for trading units engaged in a high number of transactions and high-risk transactions) and stress tests, each contributing in their own way to the risk-bearing capacity assessment. The individual limit units are monitored for market risk separately for the trading and the banking books. In this way, both underlying discretionary purposes are served while achieving a close interlinking of economic and supervisory capital adequacy. DKB does not execute any trading book transactions.

Market risks are monitored, agreed with officers responsible for the trading position and reported daily at BayernLB independently of Trading. At DKB the A custody account is monitored daily and the remaining banking book monitored weekly. If a VaR limit is breached, appropriate measures are initiated as part of an escalation procedure.

Interest rate risk in the banking book forms part of the risk calculation and monitoring processes in the risk-controlling units. In particular, the effects of interest rate scenarios both on a present value and an earnings-based approach are monitored monthly at both Group and Bank level for interest rate risks in the banking book, in compliance with EBA standards, and compared against the corresponding (supervisory) limits and warning thresholds. The new criteria for the regulatory outlier tests have applied as of the reporting date of 30 July 2024. Within the present value perspective, losses in excess of 15% of Tier 1 capital are classified as noteworthy in the six interest rate scenarios specified by the regulator. In the earnings-oriented perspective, a regulatory threshold of 5% of Tier 1 capital applies for net interest income risk in both specified parallel scenarios. Besides the regulatory requirements, the Bank defines management-relevant internal limits for the earnings-oriented loss potential.

Through Group risk reporting the Board of Management is informed monthly, and the Risk Committee of the Supervisory Board quarterly, about the market risk situation.

ESG risks

Climate and environmental risks can arise in market risks, especially indirectly through second-round effects (e.g. if the credit spreads of certain types of issuers widen). Especially in the context of the risk inventory and stress assessments, the potential influencing factors of physical and transitory climate and environmental issues are examined in greater detail in terms of their impact on market risks and the downstream effects. Overall, the impact of ESG risks on market risk is classified as not material.

At the BayernLB Group, financing and capital market transactions are always executed in compliance with the Sustainability Strategy and with environmental, social and ethical criteria. Sustainability bonds which the BayernLB Group has issued or lead managed are prime examples. In addition, ESG aspects are considered in the context of securities investments for managing both own funds and liquidity, as well as for the trust plan assets within the portfolio thresholds.

Current situation

Given BayernLB's and DKB's business models and the importance of the pension obligations, the BayernLB Group's market risks were mainly concentrated on general and specific interest rate risks. The extent of the loan termination options at DKB permitted by the German Civil Code means that volatility risk at Group level plays a significant role. The equity risks at BayernLB arose from the plan assets of the CTA and the exposure of retail investment funds at DKB. Currency and commodity risks play a much smaller role by comparison. The risks in the banking book are of considerably greater significance than those in the trading book.

Total VaR at Group level fell by nearly one half compared with 31 December 2023. In particular, DKB's interest rate position significantly changed in the first quarter of 2024 when the overnight deposit interest rate promotion ended. Outflows of customer deposits and shifts into time deposits in the wake of the reduced interest rate on overnight money led to a very strong decline in general interest rate risk and also overall risk.

At BayernLB, there was only a marginal decrease in overall VaR compared with the previous year. However, in the case of individual risk types, some VaR figures point to more substantial reductions, indicating that comparatively strong diversification effects across individual risk types, which were observed as at the end of 2023, eased back slightly over the course of 2024.

In contrast to the end of 2023, both BayernLB and DKB were risk-sensitive to interest rate increases in the present-value risk indicators as at the reporting date of 31 December 2024. This is evident, for example, from the corresponding PVBP interest rate sensitivities (PVBP on 31 December 2024: BayernLB, €-359,000; DKB, €-1,373,000), which indicate the present value economic potential loss in the event of a rise in interest rates of 1 basis point.

Market risk VaR contribution, by risk type and book type (banking vs trading), at the BayernLB Group (99% confidence level, one-day holding period)

€ million	31 Dec 2024	31 Dec 2023	31 Dec 2024		1 Jan – 31 Dec 2024		
			Of which banking book	Of which trading book	Average	Maximum	Minimum
General interest rate VaR	30.4	90.5	29.4	1.3	38.9	91.1	28.2
Specific interest rate VaR (credit spreads)	15.6	19.7	15.7	0.5	16.3	23.7	14.5
Currency VaR	1.7	1.8	1.6	0.2	2.2	5.2	1.5
Equities VaR	15.8	14.4	15.8	–	14.8	17.7	12.1
Commodities VaR	1.5	2.1	–	1.5	2.0	3.0	1.1
Volatility VaR	13.2	16.0	13.2	0.1	13.4	16.2	8.8
Total VaR¹	45.8	82.5	44.4	2.0	48.8	82.7	38.4

Market risk VaR contribution, by risk type and book type (banking vs trading), at BayernLB (99% confidence level, one-day holding period)

€ million	31 Dec 2024	31 Dec 2023	31 Dec 2024		1 Jan – 31 Dec 2024		
			Of which banking book	Of which trading book	Average	Maximum	Minimum
General interest rate VaR	15.3	20.6	14.4	1.3	17.1	23.2	12.5
Specific interest rate VaR (credit spreads)	14.2	17.4	14.3	0.5	14.7	22.1	13.0
Currency VaR	0.6	1.1	0.4	0.2	1.3	4.6	0.5
Equities VaR	10.9	10.9	10.9	–	10.6	12.7	8.4
Commodities VaR	1.5	2.1	–	1.5	2.0	3.0	1.1
Volatility VaR	0.7	1.3	0.7	0.1	0.8	1.9	0.6
Total VaR¹	21.0	21.5	19.6	2.0	22.0	27.6	18.0

¹ When calculating the risk capital requirement for BayernLB, in addition to these VaR contributions, risk-bearing capacity takes into account monthly risk premiums for risks from external credit margins, for credit risks from money market transactions, for some downstream risk aspects in the case of XVA risk and, if applicable, for back testing results.

As at 31 December 2024, the calculated change in present value in the supervisory interest rate scenarios in the banking book was below the thresholds at the BayernLB Group and at BayernLB. The maximum scenario losses stood at 4.5% of Tier 1 capital (relevant interest rate scenario: parallel up) at the BayernLB Group and 2.7% at BayernLB (relevant interest rate scenario: short rate up).

The regulatory and internal thresholds and limits pertaining to the earnings-oriented interest-rate risk were also adhered to in the BayernLB Group and BayernLB as at the reporting date of 31 December 2024.

In keeping with the supervisory requirements, two new rating-specific credit spread scenarios were implemented throughout the Group as at June 2024, both for the present value and for the earnings-oriented perspectives. Based on relevant historical time series data, ratings-specific shifts (depending on credit rating/probability of default range) were calculated for all credit spread-sensitive exposures in the banking book. In this context, stress scenarios play only a subordinate role in net interest income compared with a present value perspective. Overall, the findings from the credit spread scenarios were stable in the second half of 2024.

Summary

The fall in risk in 2024 was primarily due to outflows of customer deposits and shifts into time deposits when the overnight deposit interest rate promotion at DKB came to an end. As a fixed crisis period is considered when determining market risk, the risk for the Group and BayernLB will increase in 2025 for methodological reasons. However, the correlated risk assessment launched simultaneously for BayernLB and DKB will partly offset this development at Group level. Mainly due to the inclusion of the fixed crisis period, risk levels are expected to remain relatively stable and subject to less volatility. Owing to the persistently challenging macroeconomic environment and potential fluctuations on the interest rate market, however, changes in the indicators used for measuring market risk cannot be ruled out.

Pension basis risk

Definition

Pension basis risk is defined as the potential loss, with an immediate impact on core capital, resulting from an adverse impact for BayernLB on the present values of its pension obligations. This may arise from changes in e.g. mortality tables, the salary payscale, healthcare costs or other factors (except for risks from the discount rate – see market risk). There are pension obligations for those entitled to and those who are recipients of benefits of the BayernLB Group's civil service-style pension (direct and indirect).

Organisation

Group Risk Control monitors pension basis risk for the BayernLB Group. DKB's pension basis risk is classified as non-material from a stand-alone perspective in the risk inventory, but is also taken into account in order to ensure the consistency of the Group-level analysis.

Strategy

The risk capital requirement for pension basis risk is limited and monitored.

Measurement

The risk capital requirement for pension basis risk is calculated using a scenario-based approach. The parameters for the recognition of adverse changes in trend factors are derived from a historical time series and past experience. A stress maximum is also calculated from the trend factors.

Monitoring

The risk capital limits of the pension basis risk are monitored monthly on a Group-wide basis. Through Group risk reporting, the Board of Management is informed monthly, and the Risk Committee of the Supervisory Board quarterly, about the pension basis risk situation.

ESG risks

Pension basis risk considers ESG risks, which can result in changes to trend factors, mortality tables and other factors (e.g. healthcare costs).

Current situation

In financial year 2024, a biometric factor was integrated into the model for determining the risk capital requirements for pension basis risk. Despite the slight fall in inflation observed during the reporting period, the collective wage agreement in the public banking sector was the main factor affecting the change in pension basis risk, leading to an increase in risk capital requirements.

As at 31 December 2024, the risk capital requirement was around €311 million (FY 2023: €278 million) in the BayernLB Group and about €308 million (FY 2023: €276 million) at BayernLB.

Summary

The risk capital requirement for pension basis risk rose significantly, particularly in the last quarter of 2024, as a result of adjustments arising from the collective wage agreement for the public banking sector.

Liquidity risk

Definition

Liquidity risk is defined as the risk that payment obligations falling due cannot be met in full or as due (insolvency risk) or that funding is only procurable at above-market rates (liquidity cost risk) in the event of a liquidity crunch. This section looks first at insolvency risk. The liquidity cost risk, which is also taken into account in the risk-bearing capacity calculation, is dependent in part on the refinancing structure (funding mix), which is subsequently presented.

Organisation

As at 31 December 2024, the responsibility for strategic and operational liquidity management in the BayernLB Group was vested in the Group Treasury Central Area. Liquidity management entails ensuring adequate liquidity reserves at all times and operational liquidity on the market. Group-wide controlling of liquidity risks is conducted by the Group Risk Control Division. This Division also prepares liquidity overviews, such as liquidity gap analyses and limiting ratios, as a basis for controlling and monitoring liquidity risks. The Board of Management decides on the necessary liquidity management and funding measures and lays these down in the respective strategies. The Board of Management has delegated liquidity risk management tasks and competencies to Group Treasury and Group Risk Control.

Strategy

The strategic policies for dealing with liquidity risk within the BayernLB Group are set out in the Group Risk Strategy. The overarching objective of liquidity risk management and monitoring is to ensure that the BayernLB Group can meet its payment obligations and obtain funding at all times. In addition to stringently maintaining solvency, the primary goal of BayernLB's liquidity management is to ensure sustained access to the market.

These strategic targets are detailed in the Group-wide guidelines, framework instructions and instruments. There is a business continuity plan to safeguard liquidity in emergencies. This sets out the processes, management tools and hedging instruments needed to avert or address acute crises. It also contains an escalation mechanism, which comes into operation when early warning signals are triggered.

In the BayernLB Group, daily limits are placed on liquidity risks at the operating unit level based on defined scenarios. This ensures that liquidity risks taken are managed and escalated in a consistent and effective manner at all times.

The BayernLB Group actively manages its liquidity reserves in accordance with the regulatory requirements of pillars 1 and 2 (Basel III). The active management of liquidity reserves also includes complying with the net stable funding ratio (NSFR) and the liquidity coverage ratio (LCR) requirements contained in the CRR and its subsequent regulations pursuant to the Delegated Regulation (DelReg). In line with regulatory requirements, the BayernLB Group's figures for these ratios are regularly reported.

The additional liquidity monitoring metrics (ALMM) for the BayernLB Group were also reported regularly to the supervisory authorities in the year under review. Other regulatory changes relating to liquidity risk, such as CRR amendments or new implementing regulations, are continuously monitored in order to ensure they are implemented as scheduled in close cooperation with all units affected. This ensures reporting requirements can be met in the future and that liquidity is efficiently managed.

Measurement

The BayernLB Group compiles daily liquidity overviews to measure, analyse, monitor and report its liquidity risk. These overviews project and compare the liquidity gaps, i.e. the net deterministic and non-deterministic future payment inflows and outflows, and the realisable liquidity counterbalancing capacity on a daily basis.

In terms of volume and timing, the liquidity counterbalancing capacity quantifies the ability of the Group to obtain cash at the earliest opportunity at market rates and in accordance with supervisory restrictions. It indicates the ability to cover liquidity gaps and therefore all cash flow-based liquidity risks. The most important components of liquidity counterbalancing capacity are deposits with central banks, holdings of highly liquid securities and other available assets that are eligible as collateral at the central banks.

Liquidity risks from an off-balance sheet conduit (Corelux S.A.) are fully incorporated. Model assumptions are regularly validated using backtesting and are adjusted.

To be adequately prepared for various risk situations, the BayernLB Group calculates and limits its liquidity on the basis both of its management scenario and several different stress scenarios (systemic and idiosyncratic stress scenarios, and a combination of both).

BayernLB regularly analyses the sensitivity of the liquidity risk profile in a series of extreme hypothetical stress scenarios. It also checks for coinciding conditions that constitute inverse scenarios which could jeopardise normal operations at the BayernLB Group.

Potential concentrations in the liquidity situation and funding structure are constantly analysed and monitored. There were no significant concentrations during the year under review.

At BayernLB level, a net cash flow figure for the next 180 days is calculated daily for the public Pfandbrief register and the mortgage register. In accordance with Section 27 of the Pfandbrief Act (Pfandbriefgesetz), the results and other indicators with respect to the register of cover are reported internally every quarter to the Board of Management. The balance of cumulative cash flows and available liquidity indicated there was surplus liquidity throughout 2024.

Management

To safeguard solvency even in times of crisis, the BayernLB Group has a suitable portfolio of liquidity reserves comprising highly liquid securities, central bank facilities and available assets in the registers of cover. The liquid funds that these can generate serve to cover unplanned cash outflows, even in a stress scenario.

The medium to long-term structure of the liquidity is managed over all maturities, while limits are placed only on terms of up to five years. To safeguard the solvency of the BayernLB Group and its funding capacity, suitable means are used to create a funding structure that is balanced in terms of maturity, instruments and currencies. The key management tool is the Group-wide funding planning, which is regularly adjusted in line with the current liquidity situation.

The liquidity transfer price system set up at BayernLB is another means used for managing liquidity risks efficiently. This ensures that all relevant liquidity risks, costs and benefits are matched up internally to avoid misallocations in liquidity management.

The quality of the assets in the Pfandbrief cover register is set by law. This level of quality, combined with matching currencies and maturities, ensures that Pfandbriefs are of a high standard and broadly accepted on the market. BayernLB's cover registers are currently over-collateralised in various maturities and therefore have issuance potential. This ensures that BayernLB has an ongoing ability to issue bonds in the Pfandbrief segment.

The minimum supervisory liquidity coverage ratio (LCR) of 100.0% was met at all times in the reporting year through the integrated management of the operational liquidity. The LCR in the BayernLB Group amounted to 190.2% as at 31 December 2024 (FY 2023: 241.4%) and 175.2% at BayernLB (FY 2023: 219.7%). LCR is calculated by comparing the highly liquid assets available against the net cash outflows for the following 30 days.

According to the prepared financial statements, the net stable funding ratio (NSFR) for the BayernLB Group, which CRR II requires to be published, was 125.6% as at 31 December 2024 (FY 2023: 139.0%), far higher than the minimum ratio of 100.0% required under regulatory law.

DKB has its own measures in place to ensure it complies with its specific liquidity requirements. The relevant requirements were met during the period under review.

Monitoring

Group Risk Control monitors liquidity risks independently of Trading; it derives ratios from the daily scenario-based liquidity overviews and sets limits on them.

The risk appetite set by the BayernLB Group limits operational and structural liquidity surpluses, both separately, by currency and across all currencies. The available liquidity thus calculated is a key parameter for the amount the managing units can use each day. To support the limiting of liquidity risks, BayernLB has established uniform escalation thresholds in the Group which are likewise monitored daily.

In addition to observing the maximum utilisation of available liquidity, ensuring that the time-to-wall figures in the defined stress scenarios are sufficient is key to complying with the liquidity risk limits. Time to wall shows the earliest point in time at which the forecast liquidity needs cease to be met by the liquidity counterbalancing capacity. The time-to-wall figures to be observed every day, and the scenario-dependent minimum liquidity surplus limits to be observed in euros and other currencies, are set out in the BayernLB Group's strategy for liquidity risk.

In 2024, limiting liquidity risks once again helped to ensure that the BayernLB Group was solvent and able to fund itself at all times, making a valuable contribution towards optimising the management of short-term and structural liquidity.

BayernLB's intraday liquidity risks continued to be appropriately managed, monitored and reported in 2024. Its intraday liquidity risk management works with intraday cash flows in US dollars – the only material foreign currency for BayernLB in this area – along with euro cash flows.

The BayernLB Group will continue to adapt its monitoring of liquidity risk as market circumstances and regulatory requirements change so as to optimise liquidity management. To this end, BayernLB has set up an early warning system for risks and regularly conducts backtesting and validation processes within the Group.

The liquidity overviews, minimum available unutilised limits and other relevant ratios are included in the risk reports submitted regularly to the Board of Management and the responsible managing units.

ESG risks

In the case of liquidity risk, the main transmission channels of physical and transitory risks are liquidity outflows from deposits (by natural persons and institutional investors) and commitments. Relevant sectors were identified and the potential volumes determined. It was revealed that each individual climate and environmental risk has its own characteristic impact on the liquidity risk. Transitory risks prevail at both BayernLB and DKB. A physical climate stress test carried out in 2024 showed only a low impact on liquidity risk.

Current situation

The liquidity situation as at 31 December 2024 is shown below based on the maturity structures in accordance with IFRS 7.39 and IFRS 16.58 and, separately, based on an economic approach.

Financial liabilities, broken down by contractual maturity structure in accordance with IFRS 7.39, were as follows:

Contractual maturities of financial liabilities at the BayernLB Group¹

31 Dec 2024 € million	Up to 1 month	Up to 3 months	Up to 1 year	Up to 5 years
Financial liabilities	110,981	127,616	149,570	192,963
Liabilities from derivatives	(665)	(1,242)	(802)	1,068
Total	110,316	126,374	148,768	194,031

31 Dec 2023 € million	Up to 1 month	Up to 3 months	Up to 1 year	Up to 5 years
Financial liabilities	123,380	137,772	156,636	195,231
Liabilities from derivatives	(1,160)	(1,713)	(1,777)	(586)
Total	122,220	136,059	154,859	194,645

¹ The contractual cash flows reported are not discounted and include interest payments. Thus they may differ from the carrying amounts on the balance sheet.

The BayernLB Group's open irrevocable commitments stood at €24.0 billion (FY 2023: €25.9 billion). The volume of contingent liabilities from guarantees and indemnity agreements rose to €15.0 billion (FY 2023: €13.3 billion). In contrast to the economic liquidity situation shown below, call probabilities have not been factored into these volumes.

The maturities of lease liabilities in accordance with IFRS 16.58 were structured as follows as at 31 December 2024:

Contractual maturities of financial lease liabilities

31 Dec 2024 € million	Up to 1 month	Up to 3 months	Up to 1 year	Up to 5 years
Lease liabilities	77.8	32.6	12.3	24.8

31 Dec 2023 € million	Up to 1 month	Up to 3 months	Up to 1 year	Up to 5 years
Lease liabilities	31.5	3.9	18.8	55.1

Liquidity overviews are compiled for the purpose of managing and monitoring liquidity risks. This involves calculating the liquidity surplus by subtracting the cumulative liquidity gaps from the realisable liquidity counterbalancing capacity in each maturity band. Expected economic cash flows from non-deterministic products are based partly on modelling assumptions.

The BayernLB Group management scenario showed the following results as at 31 December 2024 compared with 31 December 2023:

Economic liquidity situation in the BayernLB Group and at BayernLB

31 Dec 2024 Cumulative figures in € million	Up to 1 month	Up to 3 months	Up to 1 year	Up to 5 years
BayernLB Group				
Liquidity counterbalancing capacity	68,653	66,902	59,394	47,019
Liquidity gap	21,664	35,313	39,432	27,086
Total liquidity surplus	46,990	31,589	19,963	19,934
BayernLB				
Liquidity counterbalancing capacity	27,129	25,698	21,129	11,849
Liquidity gap	11,362	18,674	17,999	3,817
Total liquidity surplus	15,767	7,023	3,130	8,032

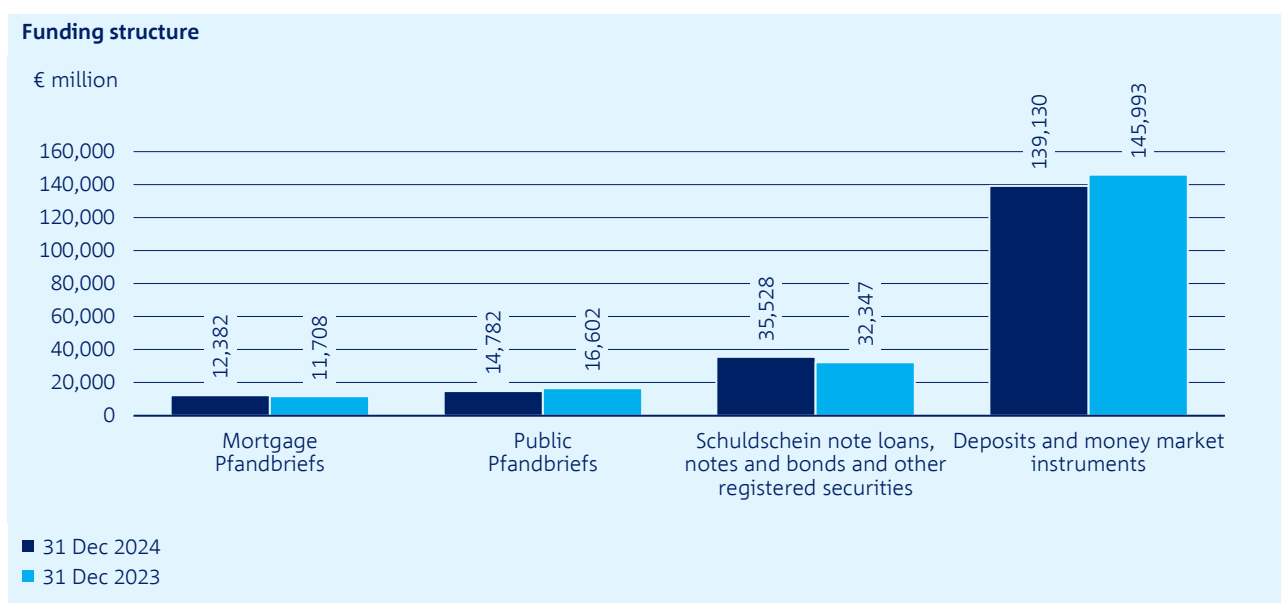
31 Dec 2023 Cumulative figures in € million	Up to 1 month	Up to 3 months	Up to 1 year	Up to 5 years
BayernLB Group				
Liquidity counterbalancing capacity	83,902	83,112	75,716	60,405
Liquidity gap	23,708	43,738	43,149	31,272
Total liquidity surplus	60,195	39,374	32,567	29,134
BayernLB				
Liquidity counterbalancing capacity	32,652	32,011	29,024	16,594
Liquidity gap	12,193	24,306	23,013	9,151
Total liquidity surplus	20,460	7,705	6,011	7,443

The liquidity position of the BayernLB Group and BayernLB was comfortable at all times during the period under review.

BayernLB's good liquidity situation was partly due to big central bank deposits resulting from customer deposits and regular issuance activity across all funding classes, including sustainable bonds. DKB cemented its strong market position once again in 2024 despite the competitive market environment. As a result, the total volume of customer deposits fell only slightly (down €4.1 billion) to €98.2 billion (FY 2023: €102.3 billion).

The liquidity surpluses as at 31 December 2024 indicate that the BayernLB Group and BayernLB's liquidity was good.

The BayernLB Group's funding structure for financial year 2024 compares with that for the previous year as follows:



The volume of structural issues increased slightly in 2024. Nearly €2.0 billion (gross) in secured issues was placed. In total BayernLB issued two Pfandbriefs, a senior preferred bond and three senior non-preferred bonds in benchmark format. BayernLB has continued to significantly exceed the regulatory MREL requirements through issues in non-preferred format. In 2024, the (gross)⁶⁵ funding volume of structural unsecured liquidity realised at BayernLB amounted to €6.2 billion (of which €4.0 billion was in non-preferred format). Deposits fell slightly.

The liabilities of BayernLabo, the municipal and development bank of the Free State of Bavaria, are covered by a 100% state guarantee. In line with its mandate, BayernLabo is publicly funded via KfW and Landwirtschaftliche Rentenbank. The capital market is a further source of funding. BayernLabo meets operational liquidity requirements by drawing time deposits at BayernLB. In financial year 2024 BayernLabo placed around €1.5 billion (gross)⁶⁶ in new issues, including two bonds in benchmark format.

⁶⁵ Gross sales with no reduction for repurchases, excluding intra-Group transactions.

⁶⁶ Gross sales with no reduction for repurchases, excluding intra-Group transactions.

Customer deposits represented the largest source of funds in the DKB funding mix. In addition, much of the lending business is funded in the form of pass-through loans from development banks. The bank's funding activities also include capital market issues. As earnings were optimised, the volume of deposits went down as planned over the course of the year, falling by €4.1 billion. In capital market issues, DKB placed three benchmark issues via Pfandbriefs, two of which being social housing Pfandbriefs.

BayernLB's issuer rating, which is very good compared with European benchmarks, was Aa2 (Moody's) and A+ (Fitch). Both agencies rated the outlook as stable.

Economic and regulatory ratios and management limits, such as the internal limits, LCR and NSFR, were comfortably complied with throughout the reporting period.

In the coming financial years, liquidity management and monitoring at the BayernLB Group will continue to revolve around the funding options available. The focus will continue to be on ensuring liquidity reserves at the BayernLB Group and at BayernLB are always adequate, even in stress situations.

Alongside this pro-active managing of liquidity reserves, liquidity risk management under supervisory and economic aspects will continue to be built around a broadly diversified funding structure. This is supported by a reliable investor base and by retail customer deposits at the subsidiary DKB.

Summary

Thanks to a forward-looking liquidity management, the BayernLB Group and BayernLB had good liquidity throughout the period under review.

Reporting of products as defined in Section 46f KWG

The following tables show the debt instruments and structured financial products as defined in Section 46f KWG, i.e. according to their seniority of payment under bankruptcy law:

Debt instruments as defined in Section 46f para. 6 KWG (non-preferred senior) at the BayernLB Group

€ million	31 Dec 2024	31 Dec 2023
Liabilities to banks	3,268	3,508
Of which Schuldschein note loans	1,917	2,085
Of which other registered securities	1,351	1,424
Liabilities to customers	5,411	5,552
Of which Schuldschein note loans	730	798
Of which other registered securities	4,681	4,754
Securitised liabilities	18,347	17,170
Liabilities held for trading	190	245
Total	27,216	26,475

Debt instruments as defined in Section 46f paras. 5 and 7 KWG (preferred senior) at the BayernLB Group

€ million	31 Dec 2024	31 Dec 2023
Liabilities to banks	412	336
Of which Schuldschein note loans	184	125
Of which other registered securities	229	210
Liabilities to customers	1,277	836
Of which Schuldschein note loans	428	242
Of which other registered securities	849	594
Securitised liabilities	14,444	12,717
Of which debt securities	6,813	4,945
Of which money market instruments	7,632	7,772
Liabilities held for trading	10	117
Total	16,143	14,006

Operational risk**Definition**

In line with the regulatory definition pursuant to the CRR, the BayernLB Group defines operational risk as the risk of loss resulting from inadequate or failed internal processes or systems, human error or external events. This includes legal risks.

In 2024, the following non-financial risks were identified as significant operational risks during the risk inventory carried out pursuant to MaRisk: general legal risk, compliance risk and tax law risk, fraud risk, information security risk (including cyber risk), HR risk, project risk, outsourcing risk, model risk and other operational risks.

General legal risk is the risk that the Bank will incur losses as a result of (actual or alleged) non-compliance with applicable legal regulations. This includes breaches of contractual arrangements and erroneous contractual provisions. Legal risk arises from errors in the application of the law, amongst other things, especially when entering into contracts.

Compliance risk is a component of legal risk and includes the risk that the Bank will incur losses as a result of non-compliance with applicable legal regulations.

Tax law risk, part of legal risk, is the risk arising from BayernLB breaching applicable tax law.

Fraud risk covers the risk of a loss being incurred for the BayernLB Group due to punishable actions, whether carried out internally or externally.

Information security risk describes the risk relating to the availability, integrity (including the authenticity) or confidentiality of information. It is derived from the individual data protection requirements.

HR risk includes unforeseeable costs arising from the acquisition and employment, training and retraining and permanent retention of employees who are critical to the success of the business and for compliance with legal and regulatory requirements at all times.

Project risk is the risk of additional costs being incurred under a project without an increase in the countervalue. A distinction is made between project risk associated with inadequate project structures, poor performance of employees, risk arising from contracts with external service providers – all of which fall under operational risk – and risk arising from planning uncertainties (such as those created by strategic decisions taken erroneously or late). These risks form part of business and strategic risk.

Outsourcing risk arises when performance is poor or the outsourcing company defaults.

Model risk is the risk of loss that may arise when using results or basing decisions on results from models that are inaccurate or incorrectly used.

OpRisk events that cannot be allocated to other OpRisk sub-types due to their nature, particularly those caused by external events or actions of employees (e.g. processing errors), are allocated to other operational risks. This risk sub-type acts as a “miscellaneous” category of OpRisk sub-types.

Organisation

Operational risks are managed and monitored both centrally in the Group Risk Control Division and, for non-financial risks, decentrally in the responsible divisions (e.g. the Legal Services & BoM Support Division for general legal risks).

The Group Risk Control Division has the authority to establish guidelines for all methods, processes and systems used to estimate operational risks. DKB is involved in the BayernLB Group’s loss event reporting procedure.

Strategy

The treatment of operational risks is set out in the Risk Strategy and related sub-risk strategies and guidelines for non-financial risks. The strategic objective is to minimise or avoid risk based on a cost-benefit analysis. This requires operational risks to be identified and assessed as completely as possible.

Moreover, as part of ensuring risk-bearing capacity, the risk appetite and limits are set for operational risks, and compliance with these is monitored on an ongoing basis.

Measurement

Operational risks are estimated for the calculation of risk-bearing capacity using the operational value-at-risk (OpVaR) calculation. The calculation is based on the losses incurred at BayernLB and DKB, the external losses collected via a data consortium and the potential losses identified BayernLB and DKB as part of the operational risk self-assessment (OSA) and scenario analyses. The calculation applies a loss distribution approach, using a confidence level of 99.90%. The key model assumptions and parameters used in the model are reviewed once a year.

In addition to recording losses, the OSA, which was repeated in 2024, serves as an important database for OpRisk management activities. As part of the assessment, the risks that had already been identified were updated where necessary. The assessment also took into consideration the results of Group-internal risk analyses (e.g. project analysis). The OSA also specifically addressed and dealt with current issues (e.g. OpRisk-relevant consequences of the Kopernikus project, or sustainability risks rooted in OpRisk).

The standard regulatory approach is used to calculate the regulatory capital backing for operational risks.

Management and monitoring

Operational risks at the BayernLB Group are reported to the Board of Management monthly as part of the regular reporting on risk and on an ad hoc basis if material loss events occur. Transpired loss events, changes in the risk profile (risks and scenarios) and the resulting capital charges form a major part of the regular reporting.

Operational risks are addressed in the stress analyses and in risk-bearing capacity monitoring, both of which are carried out across all risk types, and integrated into the overall risk management and the Risk Strategy.

ESG risks

An analysis of actual historical loss events found that the potential for losses when it comes to operational risk was almost negligible in the case of physical risks. In addition, the recorded loss events could not be clearly linked to climate change. In respect of potential risks, the BayernLB Group's locations were nevertheless analysed for physical risks (e.g. flooding, storms, hail, tornadoes, etc.), as were the locations of critical outsourced services (e.g. data centres). Even if the BayernLB Group is not aware of any transitory loss events, the second line (e.g. the Legal Services & BoM Support Division) monitors legal and potential liability risks. This includes in particular the monitoring of case law.

Business continuity management

Business continuity management (BCM) is practised at the BayernLB Group to manage risks to the continuation of business operations and to deal with emergencies and crisis situations. BCM establishes core procedures for continuing/restoring operations, including an integrated emergency/crisis management procedure for handling events that could have a sustained impact on activities and resources.

In financial year 2024, the effectiveness of the process-specific business continuity plans was verified through emergency exercises in the departments. By way of a Bank-wide alert tool, it is possible to respond promptly to potential disruptions which could put the Bank's ability to continue as a going concern at risk, and to implement appropriate emergency and crisis-management measures. Despite the major incidents that occurred in the financial year, BayernLB was able to continue as a going concern.

BCM is anchored in the framework instruction on BCM for BayernLB and the BayernLB Group and in the BCM strategy and Group management directive. These requirements include identifying (time)-critical activities and processes and specifying business continuity plans and restarting procedures to protect them. They also cover regular testing of the effectiveness and suitability of the emergency measures defined. Care is taken to ensure that the interfaces between disruption, emergency and crisis management are clearly defined and that clear escalation and de-escalation processes are in place. As part of the BayernLB Group's NFR reporting (fourth quarter), compliance with the standards by the Group companies is regularly reported to the member of the Board of Management responsible for BCM.

Current situation

Owing to the reassessment of risk scenarios, the BayernLB Group's risk capital requirements decreased to €446 million as at 31 December 2024 (FY 2023: €480 million), while those for BayernLB went down to €282 million (FY 2023: €302 million).

Compared with the previous year, the losses incurred at the BayernLB Group as the result of operational risks, adjusted for the loss minimisation measures taken, increased to €86.1 million (restated FY 2023: €39.9 million).

Losses reported at BayernLB increased year on year to €72.2 million (FY 2023: €7.1 million). Most of the losses were accounted for by the event category "execution, delivery and process management". The reason for the surge is the loss incident relating to the Kopernikus project. During the project's replanning, an operational risk-related loss of €65 million was identified. As for the Bank as a whole, the risk situation for projects is currently elevated, mainly due to the Kopernikus project, which is also placing a strain on human resources. However, this negative impact is being mitigated through external support. In addition, the largely implemented countermeasures, which are based on external reviews, are having a positive impact on the risk situation.

At DKB, the total losses resulting from operational risks, adjusted for the loss minimisation measures taken, fell year on year to €13.9 million (restated FY 2023: €32.8 million). Most of this amount was accounted for by the event category "external fraud".

There were no loss events associated with climate and environmental risks during the reporting period.

Owing to its business model, the Bank is also exposed to information security risks, including cyber risks. It is closely monitoring the global geopolitical situation for any emerging threats to the security of banking transactions and databases. The Bank's security data protection function is also keeping an eye on relevant trends and developments in the sector.

Summary

In the reporting year, the total losses resulting from operational risks incurred at the BayernLB Group, adjusted for the loss minimisation measures taken, rose. The increase was the result of a substantial surge at BayernLB, while the total losses at DKB fell significantly.

General statements

The risk situation remained stable overall, despite the challenging geopolitical and macroeconomic environment in 2024. For 2025, the BayernLB Group anticipates that the level of uncertainty and volatility on the markets will remain high. However, thanks to its proven, active risk management, it believes it is well prepared to successfully meet the challenges ahead.

The BayernLB Group had adequate risk-bearing capacity at all times during the reporting period. The stress scenarios conducted also confirmed that adequate capital is held. The liquidity situation remained good. Where necessary, due account was taken of the risks in the credit business through risk provisions.

The regulatory solvency requirements were met. Own funds amounted to €15.656 billion at the BayernLB Group and €11.637 billion at BayernLB (figures as per the financial statements as at 31 December 2024; further details are reported in the notes under capital management).

The risk management and controlling system at the BayernLB Group had appropriate processes to ensure compliance with regulatory requirements while managing risks from an economic viewpoint.

Report on expected developments and opportunities

The following outlook is for a horizon of one year, which corresponds to the management timeframe used in the Group. The report on expected developments and opportunities is based on the expectations and estimates of the BayernLB Group and may be affected by unforeseeable events. This means that the actual business performance may deviate, positively or negatively, from the expectations described below due to political or economic conditions or other factors.

The Bank conducts its planning on a rolling basis, which allows it to seize even fleeting opportunities both swiftly and systematically, and to respond appropriately to unexpected risks. Its material risks are described in the risk report.

Macroeconomic forecast

The forecasts on economic growth, inflation, emissions, interest rates and exchange rates are sourced from BayernLB Research. Unless otherwise stated, all other statements on the macroeconomic environment are also based on estimates by BayernLB Research, in some cases with data gathered from external sources such as the European Commission or the International Monetary Fund.

Economy, inflation and monetary policy

Following the super election year of 2024, global economic risks remain elevated.⁶⁷ Economic trends will largely be dictated by political decisions and strategic shifts – particularly under the new Trump administration – along with developments in geopolitical crisis zones like Ukraine and the Middle East. A likely shift in US policy on Ukraine aid will place greater defence responsibilities on Europe, while newly announced tariffs on imports from China, the EU and other nations could spark a global trade war. In this context, the power struggle between the US and China is expected to escalate further. The new European Commission, led by Ursula von der Leyen, will need to respond to shifts in US policy and Europe's sluggish investment climate. A move towards increased EU spending programmes and expanded debt mutualisation is already becoming apparent. However, these initiatives will require support from the next German government, anticipated to take over in the second quarter of 2025. Given this environment, an adjustment to Germany's debt brake to facilitate targeted investment support appears inevitable. If another negative economic shock arises, it could have serious consequences, as the room for manoeuvre for monetary and fiscal policy in industrialised countries is severely constrained.

The change in the Oval Office will compel key economic and political actors worldwide to make adaptations. In spite of some signs of cooling, the US economy is entering the first year of Trump's second term on a sound footing. However, by the second quarter, the impact of tariffs and immigration policies is expected to be felt, adding to inflationary pressures.

⁶⁷ See BayernLB Research, *Perspektiven 10/2024*, updated in *Perspektiven January 1/2025 and 2/2025*.

Weaker consumer purchasing power and declining corporate profit margins are likely to slow economic growth, while labour shortages may impede the hoped-for expansion of domestic production. Given the already observable front-loading effects from anticipated import tariffs and the associated increase in pricing pressure at the start of 2025, the Fed is likely to pause its interest rate reduction cycle and keep rates at the 4.25-4.5% level reached in December 2024.

In China, the government is attempting to bolster the faltering economy – marked by an ongoing real estate crisis, weak consumer confidence and the risk of deflation – through a series of monetary and regulatory easing interventions. These are expected to be supplemented by broader fiscal initiatives this year, although the scope and structure remain mostly vague and are contingent on US tariff decisions. Unlike with programmes in the past, we are anticipating only minor positive impacts on other countries this time round.

Europe is heavily affected by Trump's decisions. After a brief period marked by front-loading effects, higher US tariffs are expected to weigh on EU exports from the second quarter of 2025 onwards. While retaliatory EU tariffs could reduce the influx of Chinese goods into the European market, they would also contribute to rising inflationary pressures, limiting the ECB's room for manoeuvre. After two interest rate cuts of 25 basis points each in January and March, we expect the deposit rate to stabilise at a neutral rate of 2.25% in April 2025. Increased defence spending – aimed at supporting Ukraine and meeting NATO expenditure targets – will likely provide only a very minor boost to growth, as much of the military equipment will need to be imported (from the US). However, in alignment with the Draghi report,⁶⁸ additional funding – potentially supported by EU-issued joint bonds – could boost innovation, decarbonisation and advancements in the capital market union, supporting investment over the course of the year. BayernLB Research is also expecting private consumption to revive, supported by rising real incomes. All in all, in 2025 economic growth in the eurozone is projected once again to be 0.7%, well below potential growth.

Germany will probably remain at the tail end of the major European economies, with real GDP growth of -0.2%. A new federal government will be able to change little in the short term. Although exports are likely to shrink due to the US tariff policies – the US being Germany's largest export market – there may be an uptick in investment in construction and equipment, mainly due to falling interest rates. However, structural barriers to invest such as excessive red tape and insufficient support for innovation will not be addressed by the new government before the second half of the year, meaning that any significant stimulus will arrive only late in the year, if at all. Expansive fiscal policies (including changes to the debt brake) and support measures for industry would at least partially cushion some of the negative effects from US tariffs. Ultimately, private consumption is set to become the main economic driver. Despite higher inflation, real wages are expected to rise significantly, while savings rates will probably decline gradually. Even a further weakening labour market and the anticipated increase in short-time work are unlikely to alter this trend substantially.

⁶⁸ See European Commission 2025, https://commission.europa.eu/topics/strengthening-european-competitiveness/eu-competitiveness-looking-ahead_en.

Bavaria faces challenges similar to Germany as a whole, given its strong industrial and export-driven economy. In particular, its heavy reliance on the automotive and supplier industries acts as a constraint. But in the Free State, which is home to Germany's strongest labour market, real wage growth is expected to support private consumption. In Bavaria's construction sector, the sluggish economic climate, combined with weak demand for the of residential housing construction and a low number of building permits, points to a difficult outlook – despite recent modest interest rate cuts and a slight recovery in property prices. Mirroring the trend in Germany, prices for residential property in Bavaria are projected to stagnate in 2025, while rents will probably jump due to the ongoing housing shortage.

Financial and real estate markets

Against the backdrop of foreseeable trade conflicts arising from the Trump administration's expected tariff policies and other price-driving factors, government bond markets will probably face persistently high inflation and consequently limited room for further monetary easing by central banks. In addition, concerns about stubbornly high budget deficits and further rising government debt – already at elevated levels in some cases, particularly in the US – are mounting. The latter is leading to a high supply of bonds and increasing risk premiums for long-term bonds, favouring a further steepening of yield curves. The US Treasury market increasingly anticipated these developments at the turn of the year and in early 2025. We expect the yield on 10-year Treasuries to stand at 4.7% by the end of the year. In 2025, German government bonds will remain strongly affected by the US Treasury market, while the prospect of a significant, partly debt-financed increase in defence spending should support higher real yields and a steeper Bund yield curve. A correction of what we consider overly pronounced rate cut expectations in the eurozone will probably weigh on Bunds across the entire yield curve. We expect the yield on 10-year German Bunds to be 2.65% by the end of 2025. Volatility is anticipated to remain high throughout the year.

For 2025, a slight increase in gross issue volumes of benchmark covered bonds to around €164 billion is expected. Key drivers are likely to be credit and deposit growth. After a period of stagnation in previous years due to high interest rates and weak economic growth, credit volumes in particular are expected to grow. Anticipated interest rate cuts could further support the issue of mortgage loans, which the more optimistic results from the ECB bank lending survey also indicate. At the same time, the increase in customer deposits is likely to slow down, leading to a moderate rise in banks' financing needs. Additionally, high maturities of €134 billion⁶⁹ (up 21% on 2024) will fall due, as many short-term bonds were issued in the past few challenging years marked by rising interest rates. Overall, this should result in a lower net supply of new issues than in 2024.

⁶⁹ Based on Markit data.

The financing and fundamental environment for companies should be generally supportive in 2025. A combination of key rate cuts, significantly lower swap rates and positive corporate earnings expectations will provide a foundation for solid primary market activity and, over the course of the year, a gradual tightening of spreads. The iBoxx Non-Financials is forecast to stand at 80 basis points by the end of 2025. The first half of the year is expected to be characterised by uncertainty surrounding US politics and a recalibration of ECB rate cut expectations, suggesting that the spread-tightening trend will stabilise in the second half of year. However, this tightening trend will probably be volatile rather than linear.

Based on last year's global ECB bond issue volume of \$1.07 trillion, the Bank anticipates moderate growth in the low single-digit percentage range for 2025. The launch of the EU green bond standard (EUGBS) is bringing stricter rules on fund allocation and reporting, which may initially dampen issuance in the large green bond segment. In particular, industries with low taxonomy alignment will probably face challenges, whereas the energy sector – especially utilities – should remain highly active. Furthermore, the planned revision of the EU Sustainable Finance Disclosure Regulation (SFDR), aimed at introducing a market-orientated labelling system, has the potential to enhance long-term trust and transparency in the market. However, short-term delays and uncertainty surrounding its implementation could temporarily hold back both investors and issuers.

Regional differences are likely to play a role too: although Europe will probably maintain its leadership in the ESG bond market, the US is moving in the opposite direction. The decision by major US banks to withdraw from ESG initiatives such as the Net Zero Banking Alliance (NZBA) underscores the contrasting regulatory approaches to sustainability, potentially giving Europe a competitive edge. Overall, the ESG bond market in 2025 will continue to be shaped primarily by regulatory developments, economic conditions and industry-specific factors.

On the exchange-rate front, BayernLB is expecting the US dollar to again lose some value overall in 2025. After a period of very strong economic performance at the start of the year, we expect Trump's tariffs and retaliatory measures to slow US economic growth as well by mid-year, putting downwards pressure on the dollar. Meanwhile, in the eurozone, core inflation – remaining well above the 2% target and partly sustained by tariffs – will probably prevent the ECB from implementing the rate cuts the market currently anticipates from April onwards, leading to the euro's appreciation. From an annual perspective, we also predict growing concerns about the US's high and expanding fiscal deficit, as well as the likely appointment of a dovish Fed chair aligned with President Trump after Powell's term ends, to weigh on the greenback. Overall, we forecast a depreciation of USD to EUR-USD 1.07 by the end of 2025.

For equities markets, we anticipate temporary setbacks due to the high valuation of US stock indices, particularly if doubts emerge about the "Goldilocks" scenario – a soft landing for the US economy with sustained disinflation and continued rate cuts by central banks. The outlook will mainly depend on Trump's early policy decisions in his second term. The negative impact of the planned tariffs on growth and inflation could well weigh on equities, while risk factors might also arise through interest rates triggered by fiscal measures seen as overly expansive (by markets), which may lead to turbulence on the bond market.

However, corporate earnings are expected to provide some support for stock markets, with the bottom-up consensus estimates forecasting 12% earnings growth for US companies (S&P 500) in 2025, nearly twice the rate projected for the eurozone (EURO STOXX 50). Overall, we expect moderate gains in stock indices with high volatility, but US market returns will be significantly lower than in 2024. The rally in European equity markets at the start of the year, fuelled in part by expectations of an end to the Ukraine war and a reassessment of the previous strong underweighting of European stocks by global investors, will probably fade as the year progresses. Our year-end 2025 forecast for the German DAX index is 23,000.

The German real estate market will continue to face headwinds in 2025. Persistently high interest rates and a subdued economic environment will hinder a strong market rebound. However, no further corrections in the prices of residential and commercial real estate are expected. According to BayernLB Research, residential property prices are even projected to rise slightly by 2.5% compared with the previous year. The housing shortage – aggravated by the downturn in construction activity in recent years – will counteract the somewhat eased but still persistent, interest rate-driven decline in homebuyer demand.

Conversely, the situation for the commercial real estate sector, particularly office properties, remains uncertain. The ongoing debate about future office space demand amid the shift to remote working, coupled with the expected economic weakness, is fuelling uncertainty among market participants. However, the logistics sector continues to exhibit fundamentally strong demand and limited supply. The hotel and retail segments should remain stable in 2025. Overall, BayernLB Research forecasts a modest 1.0% rise in German commercial real estate prices.

The increased planning certainty relating to future interest rates already resulted in a modest recovery in transaction activity in the German commercial real estate market in 2024. A further recovery in transaction volumes is anticipated in 2025. However, sluggish macroeconomic conditions, particularly in Germany, are hindering a stronger recovery, meaning that achievable transaction volumes will probably stay well below the long-term average in 2025 as well.

After the price declines in US commercial real estate in the past two years, prices are expected to stagnate (0.0% change) in 2025. Similar to developments in Germany, there remains significant uncertainty regarding the specific impact of the trend towards mobile working on demand for office space in the US as well. In particular, office buildings in prime locations in US metropolitan areas such as New York, Chicago and San Francisco have experienced plunging prices over the past two years. In contrast, prices have risen for logistics properties and, more recently, retail properties, a trend expected to continue in 2025.

In 2024, the transaction market for US commercial real estate remained subdued. According to RCA, the transaction volume in 2024 amounted to about \$420 billion, 9% above the previous year's level. A somewhat stronger uptick in transaction markets is expected in 2025. However, as in Germany, a strong recovery is not anticipated in the US.

Sector forecasts

In light of the loosening of monetary policy with further reductions in interest rates, banks' interest income and profitability could weaken in the future, with the pace and number of upcoming rate cuts being decisive factors. This should be mitigated by the end of the yield curve inversion in the second half of 2024, which will facilitate asset-liability management. Interest margins will probably continue their slow descent, although a collapse in profitability is unlikely. This will ensure financial flexibility for optimising business models.

As in the previous year, escalating geopolitical tensions with Russia or China or in the Middle East could lead to adverse impacts on banks and increased volatility on the capital markets at any time. In addition, the unpredictability of US politics under President Donald Trump remains a factor. The latter could have direct implications for banks' refinancing activities, which have become more market-based following the expiration of the ECB's long-term refinancing operations.

Regarding product design opportunities in the current interest rate environment, banks will seek to further improve commission income. Given the fierce competition they face in Europe, it is important they become more efficient. This should mitigate the impact of higher costs but would initially require investment. In particular, the integration of artificial intelligence and new assistance systems should, in the medium term, lead to further automation and productivity gains, resulting in staff reductions. As advances in these systems are made, new cyber risks will arise, which will increase the relevance of operational risk within the banking sector. Fighting fraud and safeguarding data security will therefore become top priorities in order to prevent banks from coming to harm.

Unless new stimuli emerge to boost credit demand, credit growth could stagnate at a low level. This must also be viewed in the context of weak consensus forecasts for economic growth in Europe. Uncertainty over geopolitical developments and political divergences could further dampen growth. This could also impact credit risk costs and the asset quality of banks as a consequence of sectoral or overall economic weaknesses, which are expected to be particularly pronounced in Germany compared with other economic hubs. Given the potentially ongoing revaluation, the commercial real estate sector remains in focus, with high refinancing volumes still pending. Inflation will also remain an issue, pushing up administrative costs.

Regulators and the banks' stakeholders will continue to focus on environmental and climate risks. Of particular importance is that the expectations of supervisory authorities on the modelling and quantification of risk are increasing, which will translate into additional costs. But this should also make a key contribution to future financial stability.

A potential acquisition of Commerzbank AG by UniCredit SpA, followed by a merger with the latter's German subsidiary, would reshape the competitive landscape in Germany. Whether further consolidation efforts in Italy and Banco Bilbao Vizcaya Argentaria SA's attempted takeover of Banco de Sabadell SA mark the start of a new era of mergers and acquisitions in the European banking sector remains to be seen.

However, mounting earnings pressures, surplus capital and sluggish organic growth will create favourable conditions for such activity. European banks have slipped further behind their global counterparts in terms of size and market capitalisation – none of the world's 25 largest banks are based in the eurozone, whereas five of the ten biggest banks are in the US. Consequently, the debate around mergers has also taken on a political dimension in order to safeguard competitiveness.

On the regulatory side, the introduction of CRR III has initiated the final stage of Basel III's implementation in Europe. However, given the US government's recent decision to reassess banking regulations, ongoing regulatory initiatives in the EU may face delays or potential adjustments.

The banking sector's resilience will be put to the test again in early 2025 in a stress test by the banking supervisory authority. Along with the ECB, the EBA will conduct its recurring stress test, which will examine the performance of institutions in a hypothetical negative scenario for the period of 2025-2027. This scenario envisions heightened geopolitical tensions and a growing shift towards protectionist global trade policies, leading to surging energy and commodity prices, supply chain disruptions and negative impacts on consumer spending and investment. This is expected to result in a sharp contraction in global GDP (broken down into 16 different economic sectors), accompanied by rising inflation and interest rates, and high unemployment. The results are expected in August 2025.

Regulatory environment

In the future, as has unerringly been the case in previous years, the banking supervisory authorities will continue to account for a large proportion of new regulatory requirements issued.

Capital Requirements Regulation (CRR)

In the coming years, the European adoption of the finalised Basel III framework through the Capital Requirements Regulation III (CRR III) will continue to shape the regulatory landscape. Significant portions of CRR III will take effect on 1 January 2025 and must be reflected for the first time in the supervisory COREP and disclosure reports as at 31 March 2025. To ensure compliance with these reporting requirements, banks are collaborating closely with software providers on comprehensive IT implementations. These efforts must also consider the capital requirements for market risk, which will apply from 1 January 2026 after being postponed by the EU, as well as the standards yet to be published by the EBA. Besides the reporting processes, capital planning and capital management processes – for example in relation to the output floor and CRR III transitional arrangements – are also affected to ensure immediate and lasting compliance with regulatory capital requirements under the new regulatory framework.

The BayernLB Group has already fully incorporated CRR III into its medium-term planning and therefore complied with all regulatory capital requirements as at 1 January 2025, as well as in its outlook.

EBA stress test in 2025

In the coming year, the EBA will once again conduct an EU-wide bank stress to provide supervisory authorities and market participants with transparency and standardised findings on banks' resilience during crises, particularly in terms of capital adequacy. The final methodology and macroeconomic scenarios will be published in early 2025, with the results expected by August 2025. One key challenge for banks participating in the EBA stress test in 2025 will be incorporating the CRR III-adjusted RWA calculation, including the output floor.

Digital transformation and information security

As one of its supervisory priorities, the ECB announced it would continue devoting greater attention to the risks posed by the digital transformation of banks. Among its objectives, it will drive forward banks' digital transformation to strengthen their business models and competitiveness against other actors outside the banking sector. It will also pay special attention to banks' operational resilience to IT security risks and cyber attacks, in particular in the light of the geopolitical situation. The supervisory authority primarily assesses whether banks identify the potential of cyber and IT risks, keep an eye out for possible concentrations of multi-client service providers and implement the requirements of DORA (Digital Operational Resilience Act).

Sustainability reporting

2024 was marked by considerable change and uncertainty in sustainability reporting regulations, with 2025 anticipated to bring yet more adjustments and updates. Following the implosion of the "traffic light coalition" and subsequent early elections, it became evident that the legislative process for transposing the CSRD into German law would not be completed by the end of 2024. As a result, the existing legal framework under HGB continued to apply as at the end of 2024. In February 2025, the European Commission launched a consultation on its proposal for the Omnibus Regulation, originally announced at the end of 2024. The aim of the Regulation is to cut red tape for companies. It will also mean conducting the external audit of sustainability reporting on a permanent basis with limited assurance. Contrary to initial plans, a transition to an audit with reasonable assurance will no longer take place. As part of its ongoing project to implement the CSRD, BayernLB will evaluate and examine the proposals from the Omnibus process.

Deposit protection

A key provision of the regulatory requirements implemented by the deposit guarantee scheme of the Savings Banks Finance Group is the establishment of an additional guarantee fund to provide banks with support (on top of the guarantee fund already required by law). This additional fund will be filled from 2025 to 2032. The annual contributions to this additional fund are anticipated to cost BayernLB a figure in the neighbourhood of €50 million per year over this period.

Company forecasts

Expectations regarding the BayernLB Group

Key forecast assumptions

In its forecast for financial year 2025, the BayernLB Group has made the following key assumptions:

- Market uncertainty will remain high due to multiple (geo)political crises and their implications for macroeconomic conditions
- An increasingly protectionist environment with tariff and trade constraints under Donald Trump's second presidency in the US will prolong the sluggish growth of Germany's export-driven economy, pushing up unemployment and inflationary pressures; after an expected additional interest rate cut of 25 basis points in April 2025, the ECB is not anticipated to continue with its cycle of rate cuts
- The German economy's ongoing weaknesses will raise the risk of more credit defaults, increasing banks' need for risk provisions to a level higher than the long-term average
- There will be persistent reluctance to invest in the real estate markets due to still-elevated financing costs
- Competition will remain fierce with the financial sector under heavy pressure to digitalise and cut costs
- There will be continued systematic implementation of target strategic investments at BayernLB and DKB while maintaining strict cost discipline

In a still highly volatile macroeconomic and (geo)political environment, the following key performance indicators are expected for the BayernLB Group during the 2025 forecast period:

	Results for 2024	Forecast for 2025
Profit/loss before taxes	€1,579m	€1,000 – 1,300 m
Return on equity (RoE)	12.8%	7.5% – 10.0%
Cost/income ratio (CIR)	42.5%	48.0% – 54.0%
Common Equity Tier 1 (CET1) capital ratio	18.7%	18.0% – 20.0%
Leverage ratio (LR)	5.1%	4.5% – 5.0%

For 2025, BayernLB is forecasting a consolidated net profit before taxes of between €1,000 million and €1,300 million. Besides the expected increase in administrative expenses, particularly at BayernLB due to inflation-driven cost increases, additional headcount requirements, investments in building inventory and project costs, a key reason for the forecast decline in net income is likely to be a significantly smaller earnings base. This is due not only to the absence of the non-recurring, high positive one-off gains posted for financial year 2024, but also to a range of other factors, including a slightly lower net interest income expected from interest-rate trends and a drop in net commission income following the expiry of co-branding credit card partnerships at DKB.

Return on equity (RoE) is projected to fall within a range of 7.5% to 10.0%, depending on pre-tax profits, with a strengthened capital base through retained earnings, and will be much lower than in financial year 2024.

The cost/income ratio (CIR) is anticipated to be considerably higher than in financial year 2024 owing to higher administrative expenses alongside reduced earnings. Depending on how both income components perform, BayernLB is predicting a ratio of between 48.0% and 54.0%.

Given the BayernLB Group's very solid capital position, repeatedly high earnings outlook and relatively stable risk-weighted assets, the Common Equity Tier 1 ratio (CET1 ratio) is expected to stand at between 18.0% and 20.0% in 2025.

The leverage ratio (LR), which must be maintained at all times despite intra-year fluctuations, is predicted to stay consistently above the required threshold in 2025, settling, in our view, within a range of between 4.5% and 5.0%.

Under supervisory rules, a liquidity coverage ratio (LCR) of at least 100% is mandatory. For 2025, the BayernLB Group anticipates that the LCR will continue to easily exceed the minimum ratio and will stay at a high level, though with a slight downward trend compared with the end of 2024. For the end of 2025, the BayernLB Group is forecasting an LCR in the region of 150.0%.

The BayernLB Group expects the NSFR to remain significantly above the minimum statutory threshold in 2025, within a range of 115.0% to 125.0%.

BayernLB expects economic capital utilisation in 2025 to be comparable to the level as at 31 December 2024. The conservatively determined target value for 2025 is around 35.0%.

For 2025, BayernLB foresees charges from risk provisions to be lower than in 2024 but still elevated due to the macroeconomic environment, and anticipates that the NPL ratio for the BayernLB Group will remain stable or rise moderately.

In 2025, BayernLB's net profit for the year after taxes (HGB) is expected to be considerably lower than the very high level recorded in financial year 2024.

Expectations regarding the operating business segments

Real Estate & Savings Banks/Financial Institutions segment

For the Real Estate & Savings Banks/Financial Institutions segment, BayernLB is forecasting an improved earnings situation in 2025 compared with the previous year, mainly driven by expected substantially lower charges from risk provisions. In light of the still-difficult market conditions in the real estate business, an elevated level of additions to risk provisions is expected once again, albeit much lower than in 2024 owing to another increase in the post-model adjustment for the commercial real estate portfolio that year. As the notable restraint in the real estate financing business is expected to continue into 2025, and given that the transaction volumes and the assets under management by Real I.S. will be markedly lower due to market conditions, BayernLB forecasts the segment's earnings will fall slightly overall, despite expected earnings growth from business initiatives. Earnings will also be hit by a projected jump in administrative expenses triggered by inflationary pressures, a planned workforce expansion and high project and building costs. Even though charges from risk provisions are anticipated to decline significantly, the Bank is expecting only a slight overall increase in earnings in the segment and marginally higher return on equity (RoE) than in the previous year. By contrast, the CIR is expected to be much higher than it was in 2024.

Corporates & Markets segment

Within the Corporates & Markets segment, BayernLB is predicting a major increase in credit volumes as part of its planned business initiatives and therefore a significant uplift in earnings. However, the expected rise in risk provisions and administrative expenses will exert substantial pressure on earnings. Following planned business growth and a higher expected loss, the segment's risk provisions are forecast to be well above the very low levels of 2024. Similar to the Real Estate & Savings Banks/Financial Institutions segment, administrative expenses are projected to be considerably higher than in the previous year. Overall, the Bank is anticipating markedly lower earnings, a reduced return on equity (RoE) and a higher CIR than in 2024.

DKB segment

For the DKB segment, BayernLB is still anticipating very solid earnings, albeit noticeably lower than in 2024. The factors behind the expected drop in earnings include a slight fall in net interest income due to the interest rate environment and a significant contraction in net commission income due to the expiry of the co-branding credit card partnerships. Given the prevailing uncertain conditions, risk provisions are set to be far above the long-term average, but below the previous year's level. In the wake of this, return on equity (RoE) is still expected to be at a very pleasing level, but markedly lower than in the previous year. The CIR is expected to stay at a very solid level, but will probably be higher than in 2024 owing to a smaller earnings base and moderate increase in administrative expenses.

Strategic course of the BayernLB Group

Readopted in 2024, the envisioned strategy will continue to form the strategic framework within which the BayernLB Group operates. In view of this, in 2025 the Bank will continue to pursue its goals and objectives outlined in the sub-section on the business model and Group strategy in the “Foundations of the BayernLB Group” section in the combined management report for financial year 2024.

BayernLB’s objective for the upcoming years is to continuously adjust its envisioned strategy to take account of technological progress, market developments and the competition at large.

The fundamental indicators for the successful implementation of the BayernLB Group’s business strategy are a solid capital base, a stable core business and the successful completion of ongoing IT transformation programmes, with BayernLB’s cost targets being met.

The Group will also continue transforming DKB into a modern tech bank. The goal is to continue along the growth path while ensuring that the efficiency programme remains focused on optimising the operating model as a foundation for further growth, with detailed elaboration and implementation of appropriate measures.

The financial targets for the BayernLB Group for 2026 still include an RWA volume of around €75 billion. The Bank also plans to achieve a pre-tax return on equity (RoE) of about 11.0% and a cost/income ratio (CIR) of about 50.0%. Building on this, it is aiming for a Common Equity Tier 1 ratio (on a consolidated basis) of more than 14.5%.

Based on this systematic and sustainable strategy, the Bank will be working over the next few years to further increase the share of its portfolio that is ESG-compliant and impactful. To this end, BayernLB has systematically driven forward all relevant topics as part of its Sustainability Strategy. Among other things, the Bank aims to significantly increase once again the share of ESG-compliant financing in its portfolio and make the portfolio climate-neutral before 2050.

Our expectations for the operating business segments and the strategic course of the BayernLB Group are dependent on various external and internal factors. The timely and complete implementation of the strategic objectives may be adversely affected by the reduced earnings capacity of some core business areas, especially given the challenging geopolitical and macroeconomic environment (in particular increased inflationary pressures, lower economic growth – especially in the core market of Germany – the second Trump presidency and the resulting future trade policy), and by changes in the Group’s regulatory requirements. The BayernLB Group could be adversely affected by a prolonged downturn or significant changes in economic conditions at a regional or global level.

Opportunities and risks

The term “opportunities” is defined as the prospect of potential future developments or the occurrence of events which could lead to a positive forecast for the company or a positive deviation from a target. By contrast, risks are negative deviations from the forecasts made. In this respect, opportunities should be understood as the opposite of risks.

The BayernLB Group’s efforts are subject to various external and internal factors, some of which it cannot control. Such positive or negative developments can arise for a variety of reasons. These include entrepreneurial initiatives, which may actively improve the competitive position. Furthermore, steady increases in efficiency through process optimisations and cost-cutting measures could result in improved business performance. Favourable or unfavourable market conditions could also arise through changes to micro and/or macroeconomic conditions and the related industry trends.

Geopolitical and macroeconomic opportunities and risks

Geopolitical tensions and natural disasters could continue to take a serious toll on the financial system and cause major damage. In particular, rating downgrades and credit defaults could drive up risk costs, depending on how economic and political developments unfold, including the conflicts between Israel and Hamas and between Russia and Ukraine.

The ongoing macroeconomic risks and geopolitical uncertainties have prompted the ECB to continue giving high priority to the resilience of the European banking sector. It is anticipated that the usual supervisory activities concerning lending and monitoring processes, model checks and on-site inspections will increasingly focus on the portfolios potentially affected by the crisis. In addition, the ECB has cited banks’ asset/liability management as a supervisory priority to ensure that funding, interest rate and credit spread risks are adequately managed, and that banks have sufficient sources of funding even during a crisis and are resilient to rises in funding costs.

Company-specific opportunities and risks

The BayernLB Group is exposed to the risk of business developments subsequently turning out to be less favourable than originally expected. This could be caused by a changed competitive environment, for example as a result of an inadequate product portfolio and the resulting decline in demand. If growth prospects become gloomier, this could be detrimental to the BayernLB Group’s strategic plans or business activities. In addition, dynamic changes in interest rates could squeeze margins and therefore heap further pressure on the cost side.

Developments in the interest rate environment may also affect DKB's business activities, in turn leading to a decline in demand for credit.

As part of the IT transformation measures, the BayernLB Group is involved in strategically important project activities under long-term contracts which are awarded in highly competitive tender processes. The contracts generally come with inherent risk, as they may involve taking on virtually all risks associated with the completion of the project, including warranty obligations after accepting the project. If the planned measures are not implemented as envisaged, this may give rise to operational and regulatory risks and may negatively impact the BayernLB Group's profits and key performance indicators.

Also, while the targeted efficiency and digitalisation measures have earnings and cost-cutting potential, it will be some time before this positively impacts the bottom line.

Regulatory opportunities and risks

The Group is extensively regulated at European level. In particular, short deadlines for implementing new regulatory requirements frequently necessitate the use of external resources, driving up implementation costs in the short to medium term. Moreover, meeting capital and other regulatory requirements may become increasingly challenging over time due to modifications to banking regulations.

Regulatory reforms, coupled with increased supervisory oversight, have had and will have an impact on the operating environment and the business model, as well as on the BayernLB Group's strategic course. For instance, the banking supervisory authorities may stipulate higher regulatory capital and liquidity ratios and restrict the payment of distributable dividends.

Measures taken by the ECB through new and amended monetary policy instruments could also have a negative impact on the BayernLB Group. Furthermore, a macroeconomic downturn might trigger a decline in deposit and credit volumes.

The growing number of requirements in the regulatory environment, but also from the Group's commitment to its own sustainability and climate-protection goals, harbour further risks. Additional costs could come from ever more ESG requirements imposed or demanded by governments, investors and customers, as well as from restrictions on financing greenhouse gas-intensive technology. The scarcity of (taxonomy-eligible) ESG assets could restrict the BayernLB Group's ability to issue ESG financing instruments.

One particular challenge from the EU regulations is the complexity of implementing them. Preparing the data warehouse and safeguarding data quality are critical conditions which must be met in order to promote lasting and inclusive growth and prevent greenwashing. The BayernLB Group is working hard to address and implement these regulatory requirements in order to meet the resulting mandatory reporting standards from next year forward. If the planned measures are not implemented as envisaged, this may give rise to regulatory and operational risks and may negatively impact the BayernLB Group's profits and key performance indicators.

But a favourable political and regulatory environment, including the transition to a low-carbon economy, could build more positive sentiment for investing in industry, which would support the growth of our markets. Furthermore, government initiatives and subsidies (including tax reforms, green and digital promotion programmes, research and development and similar measures) could mean more government spending, for example, on infrastructure, health, mobility and digitalisation investments, and ultimately provide opportunities to participate in them.

BayernLB will also pay special attention to the Group's operational resilience to IT security risks and cyber-attacks, especially in the light of the current geopolitical situation. In connection with this, the ECB is planning to carry out further on-site inspections and follow-ups. At the start of 2024, the ECB conducted its first thematic stress test on cyber resilience, which determined the impact of a major technical disruption on the banks concerned.

In addition, because of its membership in the institutional deposit guarantee scheme of the Landesbanks, and due to the European bank levy, BayernLB may be called upon to make special payments if conditions deteriorate to the extent that a package of compensation and support measures is required, and this could have unforeseeable effects on the BayernLB Group's financial position and financial performance.

Furthermore, a shadow could also be cast if regulatory requirements are introduced that are stricter than currently anticipated.

Other risks and opportunities that are currently not known or which are currently assessed to be immaterial may also impact business activities. At present, no risks have been identified that could jeopardise, either individually or in combination with other risks, BayernLB's future as a going concern.

**The BayernLB Group's
consolidated
financial statements**

Consolidated income statement

€ million	Notes	2024	2023
Interest income		11,728	10,674
Interest income from financial instruments determined using the effective interest method		7,678	7,115
Interest income – other		4,050	3,559
Interest expenses		(9,008)	(7,755)
Interest expenses from financial instruments determined using the effective interest method		(5,206)	(4,491)
Interest expenses – other		(3,802)	(3,264)
Net interest income	(27)	2,720	2,919
Risk provisions	(28)	(491)	(180)
Net interest income after risk provisions		2,229	2,740
Commission income		955	933
Commission expenses		(424)	(461)
Net commission income	(29)	531	473
Gains or losses on fair value measurement	(30)	360	226
Gains or losses on hedge accounting	(31)	62	(46)
Gains or losses on derecognised financial assets	(32)	(5)	(102)
Gains or losses on financial investments	(33)	(33)	(71)
Administrative expenses	(34)	(1,602)	(1,617)
Expenses for the bank levy and deposit guarantee scheme	(35)	(51)	(128)
Other income and expenses	(36)	134	59
Gains or losses on restructuring	(37)	(48)	(92)
Profit/loss before taxes		1,579	1,441
Income taxes	(38)	(351)	(271)
Profit/loss after taxes		1,228	1,170
Profit/loss attributable to non-controlling interests		–	(4)
Consolidated profit/loss		1,228	1,165

Rounding differences may occur in the tables.

Consolidated statement of comprehensive income

€ million	Notes	2024	2023
Profit/loss after taxes as per the income statement		1,228	1,170
Components of other comprehensive income temporarily not recognised in profit or loss			
Changes in the revaluation surplus containing gains or losses on fair value measurement of financial assets in the "financial assets mandatorily measured at fair value through other comprehensive income" category	(61)	87	260
Change, not including deferred taxes		110	337
Change in measurement		207	577
Reclassification adjustment due to realised gains and losses		(97)	(240)
Change in deferred taxes		(22)	(77)
Changes in the revaluation surplus containing changes in the fair value of currency swaps arising from currency basis spread fluctuations	(61)	(2)	1
Change, not including deferred taxes		(5)	1
Change in measurement		(5)	(4)
Reclassification adjustment due to realised gains and losses		–	5
Change in deferred taxes		3	–
Currency-related change	(61)	(1)	1
Change, not including deferred taxes		(1)	1
Change in measurement		(1)	1
Reclassification adjustment due to realised gains and losses		–	–
Change in deferred taxes		–	–
Components of other comprehensive income permanently not recognised in profit or loss			
Rating-related changes in the fair value of financial liabilities from the "fair value option" category recognised through other comprehensive income	(61)	(16)	15
Change, not including deferred taxes		(26)	22
Change in the revaluation surplus for rating-related changes in the fair value of financial liabilities from the "fair value option" category		(27)	21
Change in retained earnings for realised rating-related changes in the fair value of financial liabilities from the "fair value option" category		1	1
Change in deferred taxes		11	(7)
Change due to remeasurement of defined benefit plans	(61)	(95)	(121)
Change, not including deferred taxes		(111)	(169)
Change in measurement		(111)	(169)
Change in deferred taxes		16	48
Other comprehensive income after taxes		(27)	156
Total reported comprehensive income recognised and not recognised in profit or loss		1,201	1,326
Attributable:			
To BayernLB shareholders		1,201	1,322
To non-controlling interests		–	4

Rounding differences may occur in the tables.

Consolidated balance sheet

Assets

€ million	Notes	31 Dec 2024	31 Dec 2023
Cash reserves	(7, 39)	2,301	1,858
Loans and advances to banks	(8, 40)	52,182	69,312
Loans and advances to customers	(8, 41)	181,750	171,069
Risk provisions	(9, 42)	(1,539)	(1,262)
Portfolio hedge adjustment assets	(10)	(2,526)	(3,216)
Assets held for trading	(11, 43)	13,381	12,261
Positive fair values from derivative financial instruments (hedge accounting)	(12, 44)	131	168
Financial investments	(13, 45)	17,007	18,065
Investment property	(14, 46)	19	20
Property, plant and equipment	(14, 47)	315	351
Intangible assets	(15, 48)	300	266
Current tax assets	(15, 49)	184	135
Deferred tax assets	(15, 49)	633	705
Non-current assets or disposal groups classified as held for sale	(16)	65	32
Other assets	(17, 51)	3,545	3,600
Total assets		267,747	273,364

Rounding differences may occur in the tables.

Liabilities

€ million	Notes	31 Dec 2024	31 Dec 2023
Liabilities to banks	(18, 52)	51,140	51,925
Liabilities to customers	(18, 53)	136,408	143,309
Securitised liabilities	(18, 54)	52,495	50,195
Liabilities held for trading	(19, 55)	6,895	8,156
Negative fair values from derivative financial instruments (hedge accounting)	(20, 56)	240	202
Provisions	(21, 57)	1,351	1,162
Current tax liabilities	(25, 58)	92	203
Liabilities of disposal groups	(22)	1	–
Other liabilities	(23, 59)	784	767
Subordinated capital	(60)	2,847	2,812
Equity	(61)	15,493	14,633
Equity excluding non-controlling interests		15,493	14,621
Subscribed capital		3,412	3,412
Capital surplus		2,182	2,182
Retained earnings		9,346	8,792
Revaluation surplus		(49)	(117)
Foreign currency translation reserve		2	2
Distributable profit		600	350
Non-controlling interests		–	12
Total liabilities		267,747	273,364

Rounding differences may occur in the tables.

Consolidated statement of changes in equity

	Parent							Non- control- ling interests	
€ million	Subscribed capital	Capital surplus	Retained earnings	Revaluation surplus	Currency translation reserve	Consolidated profit/loss	Equity before non-controlling interests		Consolidated equity
As at 31 Dec 2022	3,412	2,182	8,101	(392)	1	225	13,529	11	13,540
Adjusted as per IAS 8	–	–	–	–	–	–	–	–	–
As at 1 Jan 2023	3,412	2,182	8,101	(392)	1	225	13,529	11	13,540
Changes in the revaluation surplus									
Changes in the fair value of debt instruments – FVOCIM ¹	–	–	–	260	–	–	260	–	260
Rating-related changes in the fair value of financial liabilities – FVPLD (FVO) ²	–	–	1	14	–	–	15	–	15
Changes in the fair value of currency swaps from currency basis spread fluctuations	–	–	–	1	–	–	1	–	1
Currency-related changes	–	–	–	–	1	–	1	–	1
Changes due to remeasurement of defined benefit plans	–	–	(121)	–	–	–	(121)	–	(121)
Other comprehensive income	–	–	(120)	275	1	–	156	–	156
Consolidated profit/loss	–	–	–	–	–	1,165	1,165	4	1,170
Total comprehensive income	–	–	(120)	275	1	1,165	1,322	4	1,326
Capital increase/ capital decrease	–	–	–	–	–	–	–	–	–
Changes in the scope of consolidation and other	–	–	(5)	–	–	–	(5)	–	(5)
Allocations to/withdrawals from reserves	–	–	815	–	–	(815)	–	–	–
Distribution of profits	–	–	–	–	–	(225)	(225)	(3)	(228)
As at 31 Dec 2023	3,412	2,182	8,792	(117)	2	350	14,621	12	14,633

	Parent							Non- control- ling interests	
€ million	Subscribed capital	Capital surplus	Retained earnings	Revaluation surplus	Currency translation reserve	Consolidated profit/loss	Equity before non-controlling interests		Consolidated equity
As at 31 Dec 2023	3,412	2,182	8,792	(117)	2	350	14,621	12	14,633
Adjusted as per IAS 8									
As at 1 Jan 2024	3,412	2,182	8,792	(117)	2	350	14,621	12	14,633
Changes in the revaluation surplus									
Changes in the fair value of debt instruments – FVOCIM ¹	–	–	–	87	–	–	87	–	87
Rating-related changes in the fair value of financial liabilities – FVPLD (FVO) ²	–	–	1	(17)	–	–	(16)	–	(16)
Changes in the fair value of currency swaps from currency basis spread fluctuations	–	–	–	(2)	–	–	(2)	–	(2)
Currency-related changes	–	–	–	–	(1)	–	(1)	–	(1)
Changes due to remeasurement of defined benefit plans	–	–	(95)	–	–	–	(95)	–	(95)
Other comprehensive income	–	–	(94)	68	(1)	–	(27)	–	(27)
Consolidated profit/loss	–	–	–	–	–	1,228	1,228	–	1,228
Total comprehensive income	–	–	(94)	68	(1)	1,228	1,201	–	1,201
Capital increase/ capital decrease	–	–	–	–	–	–	–	–	–
Changes in the scope of consolidation and other	–	–	21	–	–	–	21	(12)	9
Allocations to/withdrawals from reserves	–	–	1,328	–	–	(1,328)	–	–	–
Distribution of profits	–	–	–	–	–	(350)	(350)	–	(350)
As at 31 Dec 2024	3,412	2,182	10,047	(49)	2	(101)	15,493	–	15,493

Rounding differences may occur in the tables.

Details on equity can be found in note 61.

1 Revaluation surplus – gains or losses on fair value measurement of financial assets in the "financial assets mandatorily measured at fair value through other comprehensive income" category.

2 Revaluation surplus – rating-related changes in the fair value of financial liabilities from the "fair value option" category recognised through other comprehensive income, and reclassification of the realised rating-related changes in the fair value of these financial liabilities to retained earnings.

Consolidated cash flow statement

€ million	1 Jan – 31 Dec 2024	1 Jan – 31 Dec 2023
Profit/loss after taxes	1,228	1,170
Items in consolidated profit/loss not affecting the cash flow and carryforwards to cash flow from operating activities		
Amortisation, depreciation, writedowns, loss allowances and writeups on receivables and fixed assets	676	405
Changes to provisions	367	183
Changes to other items not affecting cash flow	(367)	(266)
Gains or losses on the sale of assets	(21)	3
Other adjustments (net)	(2,618)	(2,834)
Sub-total	(736)	(1,339)
Changes to assets and liabilities from operating activities		
Loans and advances		
To banks	17,236	(7,942)
To customers	(11,171)	(6,688)
Risk provisions	(289)	(270)
Securities (unless financial investments) and derivatives	(943)	(3,102)
Other assets from operating activities	46	852
Liabilities		
To banks	(811)	(9,029)
To customers	(6,950)	20,045
Securitised liabilities	1,872	4,645
Other liabilities from operating activities	(127)	(1)
Cash flows from hedging derivatives	138	(264)
Interest and dividends received	22,062	19,681
Interest paid	(19,211)	(16,849)
Income tax payments	(233)	2
Cash flow from operating activities	884	(259)
Proceeds from the sale of		
Financial investments	55	3
Property, plant and equipment	2	5
Payments for the acquisition of		
Financial investments	(1)	(6)
Property, plant and equipment	(24)	(18)
Intangible assets	(100)	(110)
Cash flow from investing activities	(68)	(126)
Disbursements to company owners and minority shareholders	(350)	(228)
Inflows from the issue of subordinated capital	1	819
Outflows from the repayment of subordinated capital	(3)	(481)
Cash flow from financing activities	(352)	110
Cash and cash equivalents at end of previous period	1,858	2,151
+/- cash flow from operating activities	884	(259)
+/- cash flow from investing activities	(68)	(126)
+/- cash flow from financing activities	(352)	110
+/- exchange-rate, consolidation-scope and measurement-related changes in cash and cash equivalents	(21)	(18)
Cash and cash equivalents at end of period	2,301	1,858

Rounding differences may occur in the tables.

Details on the cash flow statement can be found in note 72.

Notes to the consolidated financial statements

About the notes to the consolidated financial statements	157
Accounting policies	158
(1) Principles	158
(2) Changes on the previous year	160
(3) Scope of consolidation	160
(4) Consolidation principles	161
(5) Currency translation	163
(6) Financial instruments	164
(7) Cash reserves	172
(8) Loans and advances	172
(9) Risk provisions	172
(10) Portfolio hedge adjustment assets	172
(11) Assets held for trading	172
(12) Positive fair values from derivative financial instruments (hedge accounting)	173
(13) Financial investments	173
(14) Investment property and property, plant and equipment	173
(15) Intangible assets	174
(16) Non-current assets or disposal groups classified as held for sale	174
(17) Other assets	175
(18) Liabilities	175
(19) Liabilities held for trading	175
(20) Negative fair values from derivative financial instruments (hedge accounting)	175
(21) Provisions	175
(22) Liabilities of disposal groups	177
(23) Other liabilities	177
(24) Leasing	177
(25) Tax	178
Segment reporting	179
(26) Notes to the segment report	179
Notes to the consolidated income statement	183
(27) Net interest income	183
(28) Risk provisions	184
(29) Net commission income	184
(30) Gains or losses on fair value measurement	185
(31) Gains or losses on hedge accounting	186
(32) Gains or losses on derecognised financial assets	186
(33) Gains or losses on financial investments	186
(34) Administrative expenses	187
(35) Expenses for the bank levy and deposit guarantee scheme	187
(36) Other income and expenses	188
(37) Gains or losses on restructuring	188
(38) Income taxes	188
Notes to the consolidated balance sheet	190
(39) Cash reserves	190
(40) Loans and advances to banks	190
(41) Loans and advances to customers	190
(42) Risk provisions	191
(43) Assets held for trading	197

(44) Positive fair values from derivative financial instruments (hedge accounting)	197
(45) Financial investments	198
(46) Investment property	199
(47) Property, plant and equipment	199
(48) Intangible assets	200
(49) Current and deferred tax assets	201
(50) Non-current assets or disposal groups classified as held for sale	203
(51) Other assets	204
(52) Liabilities to banks	204
(53) Liabilities to customers	205
(54) Securitised liabilities	206
(55) Liabilities held for trading	206
(56) Negative fair values from derivative financial instruments (hedge accounting)	207
(57) Provisions	207
(58) Current and deferred tax liabilities	217
(59) Other liabilities	217
(60) Subordinated capital	217
(61) Equity	218
Notes to financial instruments	222
(62) Fair value of financial instruments	222
(64) Fair value hierarchy of financial instruments	224
(65) Financial instruments designated at fair value through profit or loss	228
(66) Hedging relationships (hedge accounting)	229
(67) Net profit or loss from financial instruments	233
(68) Offsetting of financial instruments	234
(69) Derivatives transactions	237
(70) Transfer of financial assets	239
(71) IBOR reform	240
Notes to the consolidated cash flow statement	241
(72) Notes on items in the cash flow statement	241
Supplementary disclosures	242
(73) Subordinated assets	242
(74) Assets and liabilities in foreign currency	242
(75) Default risk	242
(76) Collateral received	256
(77) Revenue from contracts with customers	256
(78) Leasing	259
(79) Trust transactions	260
(80) Contingent assets, contingent liabilities and other commitments	260
(81) Other financial obligations	261
(82) Letters of comfort	261
(83) Shareholdings	262
(84) Unconsolidated structured entities	267
(85) Capital management	269
(86) Administrative bodies of BayernLB	272
(87) Related party disclosures	274
(88) External auditor's fees	277
(89) Human resources	277
(90) Events after the reporting period	278

About the notes to the consolidated financial statements

The consolidated financial statements for Bayerische Landesbank, an institution established under public law, Munich, Germany (BayernLB), entered in the Commercial Register at Munich District Court (HRA 76030), for financial year 2024 were prepared in accordance with International Financial Reporting Standards (IFRS) pursuant to Commission Regulation 1606/2002 of the European Parliament and Council of 19 July 2002 (including all addenda), as well as supplementary provisions applicable under Section 315e para. 1 of the German Commercial Code (HGB). In addition to the IFRS standards, IFRSs also comprise the International Accounting Standards (IAS) and the interpretations of the IFRS Interpretations Committee (IFRIC) and the Standing Interpretations Committee (SIC). All standards and interpretations that are mandatory within the EU for financial year 2024 have been applied.

The consolidated financial statements contain the consolidated income statement, the consolidated statement of comprehensive income, the consolidated balance sheet, the statement of changes in consolidated equity, the consolidated cash flow statement and the notes, including the segment report.

The information on the nature and extent of risks arising from financial instruments (IFRS 7.31 to IFRS 7.42) is provided in the combined management report (see the credit risk, risk associated with equity interests, market risk and liquidity risk sections of the risk report), with the exception of the information on default risk as per IFRS 7.35A to IFRS 7.38, which is disclosed in the notes.

The reporting currency is the euro. Unless otherwise stated, all amounts are given in € million and rounded up or down to the nearest whole figure. Rounding differences may occur in the tables.

Accounting policies

(1) Principles

Pursuant to IFRS 10.19, the BayernLB Group's accounts are prepared in accordance with Group-wide accounting and valuation policies. Items are recognised and measured on the assumption of a going concern.

Income and expenses are treated on an accruals basis and recognised through profit or loss in the period to which they are economically attributable.

Estimates and assessments required for recognition and measurement pursuant to IFRS are made in accordance with the relevant IFRS accounting standard. They are regularly checked and are based on past experience and other factors such as expectations of future events. No assurance as to the reliability of estimates can be given, particularly when calculating the value of risk provisions, other types of provisions, deferred taxes or the fair value of financial instruments.

An asset is recognised when it is probable that the economic benefits will flow to the BayernLB Group in the future and its cost can be measured reliably.

A liability is recognised when it is probable that an outflow of resources embodying economic benefits will result from its settlement and the settlement amount can be measured reliably.

Impact of amended and new International Financial Reporting Standards

In the year under review the following amended or newly issued IFRS accounting standards had to be applied for the first time:

- **IFRS 16**

The amendments to IFRS 16 Leases involve rules for the subsequent measurement of a lease liability in the case of a sale and leaseback transaction. The change to IFRS 16 requires the lease liability to be measured in such a way that no gain or loss arises on the retained right-of-use asset on subsequent measurement. This did not materially impact the financial statements of the BayernLB Group as at 31 December 2024.

- **IAS 1**

The amendments to IAS 1 Presentation of Financial Statements alter the criteria for classifying liabilities as current or non-current. There was no impact on the financial statements of the BayernLB Group as at 31 December 2024.

- **IAS 7 and IFRS 7**

The amendments to IAS 7 Statement of Cash Flows and IFRS 7 Financial Instruments: Disclosures extend the disclosures in the notes relating to supplier financing arrangements. The changes had no impact on the financial statements of the BayernLB Group as at 31 December 2024.

As permitted in the reporting year, BayernLB elected not to engage in voluntary, early application of the following amended IFRS accounting standards incorporated into European law by the European Commission, whose application becomes mandatory in financial year 2025:

- **IAS 21**

In August 2023 the International Accounting Standards Board (IASB) published amendments to IAS 21 The Effects of Changes in Foreign Exchange Rates, adding guidance to specify when a currency is not exchangeable. The

amendments take effect for the financial years beginning on or after 1 January 2025. No impact on BayernLB's consolidated financial statements is expected from these amendments.

The IASB has also issued the following amended IFRS accounting standards which have not yet been incorporated into European law:

- **IFRS 18**

In April 2024 the IASB published IFRS 18 Presentation and Disclosure in Financial Statements, replacing the previous IAS 1. The standard brings in a newly defined structure for the income statement by dividing all income and expenses into five categories: operating, investing, financing, income taxes and discontinued operations. There are also new requirements governing disclosures of management-defined performance measures (MPMs), which have to be explained in the notes. IFRS 18 seeks to improve the comparability and transparency of financial reporting and takes effect for financial years beginning on or after 1 January 2027. The impact on BayernLB's consolidated financial statements is being analysed.

- **IFRS 19**

In May 2024 the IASB published IFRS 19 Subsidiaries Without Public Accountability: Disclosures. This standard allows subsidiaries that are not obliged to provide public financial statements to apply IFRS accounting with a reduced disclosure burden provided that their parent company produces consolidated financial statements that meet IFRS. IFRS 19 takes effect in financial years beginning on or after 1 January 2027. No impact on BayernLB's consolidated financial statements is expected from these changes.

- **IFRS 9 and IFRS 7**

In May 2024 the IASB published amendments to IFRS 9 and IFRS 7 that affect the classification and measurement of financial instruments. The amendments clarify the derecognition of financial liabilities when using electronic payments, the classification of financial investments with ESG-related characteristics and the treatment of non-recourse financing and contractually-linked instruments. Increased disclosure requirements have also been brought in for some financial instruments. The changes take effect for financial years beginning on or after 1 January 2026. The impact on BayernLB's consolidated financial statements is being analysed.

- **IFRS 9 and IFRS 7**

In December 2024 the IASB published amendments to IFRS 9 and IFRS 7 relating to nature-dependent electricity contracts such as power purchase agreements (PPAs). The aim of the amendments is to improve the accounting treatment of such contracts, particularly by providing clarification on the own-use exception and simplifying hedge accounting. Further disclosure requirements were also brought in to increase transparency over the impact these agreements have on companies' financial positions. The amendments take effect for the financial years beginning on or after 1 January 2026. No or only an immaterial impact on BayernLB's consolidated financial statements is expected from these amendments.

- **Improvements to IFRS – Volume 11**

In July 2024, in its Annual Improvement Cycle, the IASB made minor amendments to standards IFRS 1 First-time Adoption of International Financial Reporting Standards, IFRS 7 Financial Instruments: Disclosures, IFRS 9 Financial Instruments, IFRS 10 Consolidated Financial Statements, and IAS 7 Statement of Cash Flows. No impact on BayernLB's consolidated financial statements is expected as a result.

(2) Changes on the previous year

Adjustments in accordance with IAS 8.32 et seq.

In the first half of 2024, the criteria for determining a significant increase in default risk were further refined. First, moving financial instruments from normal support (on recognition) to intensive support is now sufficient to trigger a transfer to Stage 2. Second, a corresponding stage transfer is defined if the probability of default (PD) has increased by at least a factor of two, taking it to three times that expected at the time of recognition. During the period under review, the changes had an impact of roughly €–18 million on income. The impact on future periods cannot be reliably estimated at present.

The loss given default (LGD) model for project financing was also adapted by Group Risk Control to bring it into line with the LGD core models and reduce model complexity. These changes reduced LGDs and brought down risk provisions by an amount that was not material. The modifications to this accounting-related estimate will also have an impact on future periods which currently cannot be reliably estimated.

The LGD model in the Deutsche Kreditbank Aktiengesellschaft (DKB) sub-group also underwent a refinement as regards the treatment of overcollateralisation. As a result, the amount of the loss now depends not just on the expected realisation proceeds, but also on the degree of collateralisation or overcollateralisation. A reduction factor is calculated for each type of property, reflecting the degree of overcollateralisation, and applied to the value of the collateral. The adjustment mainly affected loans that are almost fully secured, and caused a reduction in the value of the collateral that can be deducted during the year under review. The modifications to this accounting-related estimate will also have an impact on future periods which currently cannot be reliably estimated.

In addition, the rating model for international real estate was revised as part of a full model review, based on analyses, user feedback and regular model updates. The result was a slight increase in risk provisions in the single-digit millions. The impact these changes will have on future periods cannot be reliably estimated at present.

As part of implementing the EBA Guidelines the rating procedure for domestic real estate (SIR) was amended during the year, as was that for smaller corporates (the STR standard rating). The changes mainly related to harmonising the definition of default by restricting the calculation of default rates to customers with exposure and explicitly stating the best estimate of PD. Recalibration also took place based on the long-term default rate. The two changes reduced the risk provisions by an immaterial amount. The impact on future periods cannot be reliably estimated at present.

(3) Scope of consolidation

Besides the parent company, the group of companies consolidated within BayernLB comprises 13 (FY 2023: 15) subsidiaries that are consolidated in accordance with IFRS 10.

As before, it does not include any companies within the scope of consolidation that are measured at equity.

Changes in the consolidated sub-group of Deutsche Kreditbank Aktiengesellschaft (DKB)

On 1 January 2024 MVC Unternehmensbeteiligungsgesellschaft mbH merged with DKB Finance GmbH, Berlin. As at 31 December 2023 both companies were fully consolidated in the sub-group financial statements of DKB as wholly owned subsidiaries.

As at 31 December 2023 DKB AG also held 50.1% of Bayern Card-Services GmbH - S-Finanzgruppe, Munich (BCS). During the year under review BCS was merged with PLUSCARD Service-Gesellschaft für Kreditkarten-Processing mbH, Saarbrücken (PLUSCARD) with retroactive effect to 1 January 2024. The merger created a new company –

qards GmbH, Saarbrücken (qards), in which DKB hold 26.086%. Because it is not material for the consolidated financial statements of BayernLB, in accordance with the accounting policies of IFRS 9 the holding in qards is measured at fair value through profit or loss and reported under financial investments. The remaining shares are held by companies in the savings bank sector; the BayernLB Group is not able to exercise any further influence on qards through these.

As a consequence of the retrospective merger of BCS and PLUSCARD to form qards, BCS was deconsolidated from the sub-group financial statements of DKB as from 1 January 2024. The effects on the consolidated financial statements of BayernLB were as follows:

€ million	1 Jan 2024
Financial investments	34
Property, plant and equipment	(17)
Intangible assets	(3)
Other assets	(9)
Total assets	5
Liabilities to customers	24
Provisions	(4)
Current tax liabilities	(3)
Other liabilities	(24)
Equity	12
Total liabilities	5

Determining the scope of consolidation

BayernLB's scope of consolidation is determined by materiality criteria. Ninety-two (FY 2023: 95) companies were neither consolidated nor measured at equity due to their negligible importance, both individually and collectively, to the financial position and financial performance of the Group. The impact on the balance sheet of the contractual relationships between Group entities and these unconsolidated entities is recognised in the consolidated financial statements.

The list of shareholdings shows all the subsidiaries included in the consolidated financial statements (see note 83).

(4) Consolidation principles

BayernLB, the parent company, and the subsidiaries within the scope of consolidation are presented in the consolidated financial statements as an economic unit. The subsidiaries comprise all entities controlled by the BayernLB Group, regardless of their legal structure. Also included are structured entities where voting or similar rights are not the dominant factor in deciding who controls the entity. This includes entities whose relevant activities are predetermined by a narrowly defined purpose in the articles of association or in other contractual arrangements or where the decision-making power of the governing body is permanently limited.

A subsidiary is controlled if the BayernLB Group is exposed to variable returns as a result of its involvement with this entity or has rights to them and the ability to influence these returns through its power over decisions affecting the entity. The BayernLB Group has control over an entity if it has rights that give it the current ability to direct the relevant activities of the entity. Relevant activities are those that, depending on the nature and the purpose of the entity, significantly affect its returns. Variable returns are all returns that have the potential to vary as a result of the entity's performance. Returns from involvement with an entity may therefore be positive or negative. Variable returns include dividends, fixed and variable interest, remuneration and fees, changes in the value of the investment and other economic benefits.

When assessing whether control exists, all facts and circumstances must be considered. These include voting rights and other contractual rights to direct relevant activities if no economic or other obstacles to the exercise of existing rights exist. Control is exercised on the basis of voting rights if the BayernLB Group holds more than 50% of the voting rights based on equity instruments or contractual arrangements and its share of these voting rights gives it substantive decision-making authority over the relevant activities. Other contractual rights that may give it controlling influence are primarily rights of appointment to or removal from corporate bodies, rights of liquidation and other decision-making rights. Contractual arrangements designed to protect only the interests of the BayernLB Group as creditor or minority shareholder (protective rights) do not constitute control.

The BayernLB Group also controls a subsidiary if control is exercised by a third party in the interest of and for the benefit of the BayernLB Group (principal-agent relationship). In such cases, if another party with decision-making rights acts as an agent for the BayernLB Group, it does not control the subsidiary as it is only exercising decision-making rights delegated by the BayernLB Group (the principal). To determine whether such delegated decision-making powers exist, an assessment is carried out based on the scope of its decision-making authority, the rights of other parties, the remuneration and the agent's exposure to risk.

In some cases, due to ongoing insolvency proceedings, the BayernLB Group holds more than 50% of the voting rights in the company, but without the corresponding controlling influence. Conversely, in certain other cases, the BayernLB Group has contractual rights giving it controlling influence, but holds less than 50% of the voting rights.

Subsidiaries are included in the consolidated financial statements of the BayernLB Group through full consolidation. A subsidiary is consolidated from the date on which the BayernLB Group gains control over it.

When consolidating an acquisition, the cost of acquiring the subsidiary is eliminated against the Group's share of the equity on the date of acquisition. Where there is an acquisition within the definition of IFRS 3, this equity is the balance of the assets and liabilities of the acquired company measured at their fair value at initial consolidation, adjusted for deferred taxes. If any differences between the higher cost of acquisition and the Group's share of the remeasured equity remain on the assets side, they are recognised in the consolidated balance sheet as goodwill under intangible assets.

Equity interests in subsidiaries not owned by the parent company are disclosed under the equity item as non-controlling interests. If an entity deemed to be controlled under IFRS 10 is incorporated as a subsidiary into the consolidated financial statements and the interests in it are not considered equity pursuant to IAS 32, as is the case with an investment fund for example, the interests in the net assets of this debt instrument not belonging to the parent company are recognised under other liabilities and not in equity.

If further equity interests are acquired in a company that is already fully consolidated, the transaction is not classified as a corporate acquisition as defined in IFRS 3, as a controlling relationship was already in existence. The acquisition of an interest is reported instead as a transaction with the minority shareholders. The positive or negative differences remaining after eliminating the additional interests acquired against equity are therefore offset against retained earnings within other comprehensive income.

If first-time consolidation takes place at a later date on materiality grounds, it is not classified as an acquisition as defined in IFRS 3 if control already existed. Where this is the case, the positive or negative differences remaining after eliminating against equity are offset against retained earnings within other comprehensive income.

In the event of a restructuring within the Group, the BayernLB Group uses predecessor accounting if the criteria set out in IFRS 3 are met. In such cases, the acquiring subsidiary carries forward the carrying amounts of the parent company.

Joint arrangements are based on contractual arrangements on the basis of which two or more partners have joint control. Joint control exists if the partners must cooperate to direct the relevant activities of the joint arrangement and decisions require the unanimous consent of the partners sharing control. A joint venture is a joint arrangement whereby the partners that have joint control have rights to the net assets of the arrangement. If, however, the partners have direct rights to the assets and obligations for the liabilities relating to the joint arrangement, then the arrangement is a joint operation. A joint venture in principle exists if a joint arrangement is embodied in the form of a legally independent partnership or a corporation with its own assets, so that the BayernLB Group, based on its share of interests in the entity, only has a proportional claim to the net assets of the entity. If a joint arrangement is conducted in the form of a civil law partnership (e.g. a consortium) whose legal form does not confer separation of the vehicle's assets and financial structure from the partners, an assessment must be carried out to determine whether it is a joint venture or a joint operation based on the contractual arrangements and the purpose of the joint arrangement. If neither the legal form nor the contractual provisions or other facts and circumstances give any indication as to whether the BayernLB Group has direct rights to the assets or obligations for the liabilities of the joint arrangement, it is deemed to be a joint venture.

Associates are entities over which the BayernLB Group exercises significant but not controlling influence either directly or indirectly through subsidiaries. Significant influence is the power to participate in the financial and operating policy decisions of another entity without exercising control. Significant influence is generally presumed to exist if the BayernLB Group holds, as an investor, 20% or more of the voting rights either directly or indirectly through subsidiaries. An entity can also be an associate if the BayernLB Group holds less than 20% of the voting rights, but, on the basis of other factors, has the power to participate in the financial and operating policy decisions of the entity. This particularly applies to cases where the BayernLB Group is represented on the entity's governing body and has contractual rights to manage or realise assets, including making investment decisions.

In certain cases, the BayernLB Group holds at least 20% of the voting rights in the company but cannot exercise significant influence due to contractual or legal restrictions.

Subsidiaries cease to be consolidated on the date the BayernLB Group loses control over the subsidiary.

The financial statements of the entities included in the consolidated financial statements are prepared as at the parent company's reporting date. If the financial year differs in a specific case, the respective subsidiary will prepare for consolidation purposes additional financial disclosures with the same reporting date used by the parent company.

When consolidating debt and earnings and eliminating intra-Group earnings from subsidiaries, all receivables and liabilities, income and expenses and intra-Group earnings from transactions within the Group are eliminated provided their importance is not negligible.

Interests in subsidiaries, joint ventures and associates not consolidated or measured at equity due to their negligible importance and other ownership interests are reported in the balance sheet under financial investments and measured at fair value.

(5) Currency translation

Upon first-time recognition, assets and liabilities denominated in a foreign currency are translated into the functional currency at the spot rate applicable on the date of the business transaction. When translating currency in subsequent periods, a distinction is made between monetary and non-monetary items. Monetary assets and liabilities denominated in a foreign currency are translated at the exchange rate at the end of the reporting period. Non-monetary items measured at historical cost are translated using the exchange rate on the date of the transaction. Non-monetary items measured at fair value are translated at the exchange rate on the date the fair value was

calculated. Income and expenses in a foreign currency are translated into the functional currency at the end of the month using the ECB average exchange rate. Gains or losses on currency translation are recognised through profit or loss in gains or losses on fair value measurement.

The balance sheet items of the subsidiaries and foreign branches included in the consolidated financial statements are, if their functional currency is not the euro, translated into euros at the exchange rate of the respective currency on the reporting date, while the expenses and income are translated into euros at the ECB's annual average rate. Currency exchange rate differences arising from this translation are reported through other comprehensive income in the foreign currency translation reserve within equity.

(6) Financial instruments

Recognition and measurement

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. Financial instruments are recognised in the balance sheet from the date on which the entity drawing up the balance sheet becomes a contractual party and entitled to receive or obliged to make the agreed payments. Purchases or sales of financial assets (regular-way contracts) are normally recognised on the date of the trade.

All financial instruments, including derivative financial instruments as defined under IFRS 9, are recognised in the balance sheet and assigned to measurement categories. Financial instruments are initially recognised at fair value, which, as a rule, is the cost of acquisition.

The classification of financial instruments is dependent on the business model in which the financial asset is held (business model criterion) and on the contractually agreed cash flow characteristics of the respective financial asset (cash flow criterion).

The business model is determined on the basis of the objective set by management for how groups of financial assets are managed together:

- Financial assets held to collect contractually agreed cash flows are assigned to the “hold to collect” business model
- Financial assets held to collect contractually agreed cash flows and with a view to being sold are assigned to the “hold to collect and sell” business model
- Financial assets held for trading or that do not meet the criteria of the “hold to collect” or “hold to collect and sell” business model are assigned to the “residual” business model

When analysing the cash flow criterion, the Bank must examine each financial asset to determine if the contractually agreed cash flows are solely payments of principal and interest. Contractually agreed cash flows that are solely payments of principal and interest have the characteristics of a typical credit agreement. Interest is normally compensation for the time value of money and default risk, but can also incorporate compensation for other underlying credit risks (e.g. liquidity risk), costs (e.g. administrative costs) in connection with the holding of a financial asset over a certain period of time, and a profit margin. Repayments are repayments of the outstanding capital amount. In the BayernLB Group, the analysis of the cash flow criterion includes in particular an evaluation of the following contractual features: repayment, termination, interest rate, currency, renewal agreement, credit agreement clause and quasi-equity. If an investment is made in certain assets (especially in non-recourse financing), the Bank checks compliance with internal ratios (e.g. loan to value) relating to these financing transactions in addition to the general cash flow criterion. If the internal indicators are not complied with, the cash flow criterion is not met.

Financial assets are measured in accordance with the measurement category to which they have been assigned. These categories are defined as follows:

Financial assets measured at fair value through profit or loss

These include financial assets mandatorily measured at fair value through profit or loss (including derivatives in accordance with IFRS 9) and financial assets for which the fair value option was applied (financial assets designated at fair value through profit or loss). Derivative financial instruments which are used as hedges and meet hedge accounting criteria do not come under this category.

- Financial assets mandatorily measured at fair value through profit or loss:

These include debt instruments that are assigned to the “residual” business model, derivative financial instruments with positive fair values that are recognised in accordance with IFRS 9 and are not designated as hedging instruments as part of hedge accounting, and equity instruments that are held for trading or are not classified as “investments in equity instruments designated at fair value through other comprehensive income”. In addition, the “financial assets mandatorily measured at fair value through profit or loss” category also includes debt instruments that are assigned to the “hold to collect” or “hold to collect and sell” business models but do not meet the cash flow criterion.

These instruments are measured at fair value. The measurement gains or losses are booked to gains or losses on fair value measurement unless they are measurement gains or losses from equity instruments not held for trading and which are measured at fair value through profit or loss; in this case they are shown in gains or losses on financial investments. Gains or losses on fair value measurement also includes realised and current income. Current income from financial instruments not held for trading or from derivatives in economic hedges is recognised in net interest income (see the section on hedge accounting).

If debt instruments are allocated to the “residual” business model, they are reported in the balance sheet line item assets held for trading in the same way as derivatives and equity instruments held for trading. Debt instruments that must be measured at fair value through profit or loss based on the analysis of the cash flow criterion must be shown under the balance sheet line items cash reserves, loans and advances to banks, loans and advances to customers and financial investments. Equity instruments not held for trading and which are measured at fair value through profit or loss are reported under financial investments. As at the reporting date, the holdings of the BayernLB Group for the most part consisted of assets held for trading and financial investments.

- Financial assets designated at fair value through profit or loss (fair value option):

The fair value option is applied to reduce or eliminate measurement or recognition inconsistencies. These designated fair assets are measured at fair value. Measurement gains or losses are recognised under gains or losses on fair value measurement. Current income is reported under net interest income.

The financial assets designated to the fair value option must be shown in the balance sheet line items of cash reserves, loans and advances to banks, loans and advances to customers and financial investments. As at the reporting date, the BayernLB Group only had financial investments (fixed-income securities).

Financial assets measured at amortised cost

These include debt instruments that are assigned to the “hold to collect” business model and meet the cash flow criterion and for which the fair value option is not applied. For the most part, these comprise loans and deposits with central banks.

These instruments are measured at amortised cost. Current income is recognised in net interest income. Realised gains or losses are reported in gains or losses on derecognised financial assets. For the reporting of gains or losses in connection with modifications, refer to the Modifications section, and for the specific details regarding the measurement of hedged items qualifying for hedge accounting, see the section on hedge accounting.

The financial assets falling within this category must be shown in the balance sheet line items cash reserves, loans and advances to banks, loans and advances to customers and financial investments. The BayernLB Group had holdings in all these balance sheet line items as at the reporting date.

Loss allowances for the financial assets reported in the balance sheet items cash reserves, loans and advances to banks, loans and advances to customers and other assets are shown separately in the asset item risk provisions. In the case of securities included in the balance sheet item financial investments, any necessary loss allowances are deducted from the carrying amount of the financial asset. As at the reporting date, the BayernLB Group only had loss allowances for loans and advances to banks and loans and advances to customers. Income and expenses from the release or addition to risk provisions are taken to the income statement in the line item risk provisions. Income above the original cost of acquisition from the writeup of the carrying amount of purchased or originated credit-impaired financial assets is also shown here. The method for determining loss allowances is described in note 75.

Financial assets measured at fair value through other comprehensive income

This includes the financial assets mandatorily measured at fair value through other comprehensive income and equity instruments designated at fair value through other comprehensive income.

- Financial assets mandatorily measured at fair value through other comprehensive income:

These include debt instruments that are assigned to the “hold to collect and sell” business model and meet the cash flow criterion and for which the fair value option is not applied. For the most part, these comprise fixed-income securities.

These instruments are measured at fair value. Measurement gains and losses are reported in the revaluation surplus within other comprehensive income. Current income is reported under net interest income. If financial assets in the “financial assets mandatorily measured at fair value through other comprehensive income” category are derecognised, the amounts booked in the revaluation surplus are reclassified to the income statement. These released gains or losses are shown in gains or losses on financial investments or other income and expenses. For the reporting of gains or losses in connection with modifications, refer to the Modifications section, and for the specific details regarding the measurement of hedged items qualifying for hedge accounting, see the section on hedge accounting.

The financial assets falling within this category must be shown in the balance sheet line items cash reserves, loans and advances to banks, loans and advances to customers and financial investments. As at the reporting date, the BayernLB Group had holdings mostly in cash reserves and financial investments.

Loss allowances are shown in the revaluation surplus within other comprehensive income. Income and expenses from the release or addition to risk provisions are taken to the income statement in the line item risk provisions. Income above the original cost of acquisition from the writeup of the carrying amount of purchased or originated credit-impaired financial assets is also shown here. The method for determining loss allowances is described in note 75.

- Investments in equity instruments designated at fair value through other comprehensive income:

This includes equity instruments not held for trading and for which the option has been used to assign them to the “investments in equity instruments designated at fair value through other comprehensive income” category.

This category has not been used in the BayernLB Group to date.

Financial liabilities are also measured according to the related measurement category. The categories are differentiated as follows:

Financial liabilities measured at fair value through profit or loss

These include financial liabilities held for trading (including derivatives in accordance with IFRS 9) and financial liabilities for which the fair value option is applied (financial liabilities designated at fair value through profit or loss). Derivative financial instruments which are used as hedges and meet hedge accounting criteria do not come under this category.

- **Held-for-trading financial liabilities:**

Besides financial liabilities used for trading purposes, this category includes derivative financial instruments with negative fair values reported on the balance sheet in accordance with IFRS 9 and not designated as hedging instruments in accordance with hedge accounting criteria.

These instruments are measured at fair value. Measurement gains or losses are reported under gains or losses on fair value measurement. Realised and current income is also normally reported under this item. Current income from derivatives in economic hedges is recognised in net interest income (see the section on hedge accounting).

Financial liabilities in the “held for trading” category (including derivatives) are shown in the balance sheet line item liabilities held for trading.

- **Fair value option:**

The fair value option is applied to reduce or eliminate measurement or recognition inconsistencies or to avoid bifurcating embedded derivatives which must be separated, or if a group of financial assets or financial liabilities is managed in accordance with a documented risk management or investment strategy and the change in value is assessed through the fair value and the information on this group calculated on this basis is forwarded to the management in key positions. These designated financial liabilities are measured at fair value. Measurement gains or losses must be recognised under gains or losses on fair value measurement. Current income is reported under net interest income. Changes in value resulting from the Bank’s own default risk (rating-related changes in the fair value) are not recognised through profit or loss but are recognised in the revaluation surplus within other comprehensive income, unless this would lead to or exacerbate a mismatch in recognition or measurement. There are no such recognition or measurement inconsistencies in the BayernLB Group at present. When financial liabilities in the “fair value option” category are derecognised, the amounts derecognised in the revaluation surplus are reclassified to retained earnings within equity.

Financial liabilities (mainly structured issues and liabilities with embedded derivatives) designated to the fair value option must be reported in the balance sheet line items liabilities to banks, liabilities to customers, securitised liabilities and subordinated capital. In the BayernLB Group, primarily liabilities to customers and securitised liabilities were held as at the reporting date.

Financial liabilities measured at amortised cost

These include financial liabilities not used for trading purposes and for which the fair value option is not applied.

These instruments are measured at amortised cost. Current income is recognised in net interest income. Realised gains or losses are reported in net interest income or other income and expenses. For the reporting of gains or losses in connection with modifications, refer to the Modifications section, and for the specific details regarding the measurement of hedged items qualifying for hedge accounting, see the section on hedge accounting.

The financial liabilities falling within this category are generally shown in the balance sheet line items liabilities to banks, liabilities to customers, securitised liabilities and subordinated capital. The BayernLB Group had holdings in all these balance sheet line items as at the reporting date.

Derecognition

Financial assets are derecognised if the contractual rights to cash flows from the assets have lapsed or the BayernLB Group has for the most part transferred all risks and rewards of ownership. Financial liabilities are derecognised if the contractual liabilities are discharged, cancelled or have expired.

Modification

In the case of contractual amendments to financial assets and financial liabilities that lead to a change in contractual cash flows but are not so significant that they result in derecognition, the gross carrying amount of the financial instrument is remeasured by discounting the modified contractual payments at the original or credit risk-adjusted effective interest rate (non-significant modification). Any resulting modification gain or loss is recognised through profit or loss. In subsequent accounting, the amortised cost of non-significantly modified financial instruments is amortised over their remaining term.

If the contractual rights to cash flows are modified so that they are deemed de facto to have been extinguished or expired, the financial instrument is derecognised and the modified financial instrument booked (significant modification). Any resulting income or expense is recognised through profit or loss. Subsequent accounting is based on the category to which the modified financial instrument is assigned.

Gains or losses on non-significant modifications of contractually agreed cash flows of financial assets whose loss allowances are measured in the amount of the 12-month expected credit loss are recognised in net interest income, while those of financial assets whose loss allowances are measured in the amount of the lifetime expected credit loss are reported in the risk provisions. Gains or losses on non-significant modifications of contractually agreed cash flows of financial liabilities are shown in net interest income. Gains or losses on significant modifications of financial assets in the “financial assets measured at amortised cost” category are booked to the “gains or losses on derecognised financial assets” category, while financial assets in the “financial assets mandatorily measured at fair value through other comprehensive income” category are carried to gains or losses on financial investments or other income and expenses; in the case of financial liabilities, the gains or losses are reported in net interest income or other income and expenses. Income and expenses from the amortisation of the amortised costs of significantly and non-significantly modified financial assets are presented under net interest income.

When distinguishing between significant and non-significant modifications, the BayernLB Group applies both qualitative criteria (e.g. changes in borrower, currency or type of financial instrument) and quantitative criteria (e.g. adjustment of interest rates or maturities).

Offsetting

Financial assets and financial liabilities are offset against each other in accordance with IAS 32.42 if a legally enforceable right to set off the recognised amounts currently exists and an intention exists to settle on a net basis or to realise the asset and settle the liability simultaneously.

Fair value

The fair value of a financial instrument is the price that would be received for the sale of an asset or paid for the transfer of a liability in an orderly transaction between market participants at the measurement date. Market participants are knowledgeable, willing partners that are independent of each other and able to enter into a transaction for the asset or liability. The relevant market for measuring fair value is the most active market that the BayernLB Group has access to (principal market). If no principal market exists, the most advantageous market is used.

Fair value is calculated where possible by reference to a quoted (unadjusted) price on an active market for an identical financial instrument. A market is considered active for a financial instrument if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. This means that pricing is regular, bid-ask spreads are small and several price contributors exist with only slightly different prices.

If no active market exists, fair value is calculated using a range of measurement methods including valuation models based on discounted cash flow methods and indicative valuation prices. The objective is to estimate the price at which an orderly transaction to sell the asset or transfer the liability would take place between market participants at the measurement date under current market conditions. The valuation techniques applied maximise the use of relevant observable inputs and minimise the use of non-observable inputs.

In the case of financial instruments, differences may arise between the transaction price and the fair value upon recognition determined through a valuation model (day one profit or loss). If the market used to determine the fair value differs from the market in which the transaction was concluded and the valuation model uses unobservable inputs to a significant extent, this difference must be recognised uniformly as a day one profit or loss reserve in the assets held for trading and reversed through profit or loss over the term.

Valuation models

The methods used to calculate fair values include recognised valuation models based mainly on observable market data. The discounted cash flow method and option pricing models are among the valuation models used.

If a quoted price is not available for an identical financial instrument, the discounted cash flow method is used for interest-bearing financial instruments. This method calculates the instrument's value based on its cash flow structure, taking account of its nominal value, residual maturity and the agreed day-count convention. If the financial instrument has a contractually agreed cash flow, the cash flow structure is calculated using the agreed cash flow. In the case of variable rate instruments, cash flows are determined using forward curves. Cash flows are discounted using matching currency and maturity, secured and unsecured yield curves, and a risk-adjusted spread. Market data is used where spreads are publicly available. Bid-ask valuations are used for fair value measurement.

To determine the fair values of credit transactions whose loss allowances are measured in the amount of the 12-month expected credit losses (Stage 1 of the general approach for determining loss allowances), in the amount of the lifetime expected credit losses (Stage 2 of the general approach for determining loss allowances) or in the amount of the lifetime expected credit losses and that are credit-impaired (Stage 3 of the general approach for determining loss allowances and purchased or originated credit-impaired financial assets (POCI)) for which, however, the creation of a risk provision was not necessary despite credit impairment, the contractually agreed cash flows are discounted using the cost curve plus transaction-specific measurement spreads. This also applies to POCI that were no longer credit-impaired on the reporting date. The cost curve corresponds to the risk-free yield curve and a liquidity spread curve, which differs depending on the currency and cover status of the transaction. In addition to a constant margin over the term of the transaction, which is determined at the time the transaction is concluded, the transaction-specific valuation spread includes an updated risk component that reflects the

creditworthiness of the business partner over time. Optional components included in credit agreements (e.g. termination options) are measured using common assessment methods. When determining the fair values of credit transactions whose loss allowances are measured in the amount of the lifetime expected credit losses and that are credit-impaired (Stage 3 of the general approach for determining loss allowances and POCI), and for which a risk provision was necessary due to the credit impairment, the expected losses are taken into account by adjusting the cash flows for the risk costs and consequently not including them in the discounting in the form of a credit spread. The fair values of credit transactions measured at fair value through profit or loss are determined using the same approach on the basis of credit spreads observable on the market.

In the case of liabilities, cash flows are discounted using the risk-free yield curve plus a liquidity spread curve which reflects BayernLB's current credit rating and differs depending on the currency and the cover status (secured, unsecured, subordinated etc.) of the transaction.

The liquidity spreads are based on the internal pricing curves of Asset Liability Management and tested for plausibility independently of Trading using the external market interest rate.

As mid-rate inputs are usually used when theoretically measuring fair values of derivatives, an accounting fair-value discount is determined on the basis of bid-ask spreads. In the case of OTC derivatives, discounting takes account of the collateral status and currency. In addition, the Bank takes account of counterparty risk and own default risk using credit valuation adjustments (CVAs) and debit valuation adjustments (DVAs). These values are calculated by conducting a Monte Carlo simulation of future fair values, taking account of any netting or collateral agreements and weighting default probabilities based on credit spreads. The Bank also factors in bank-specific financing conditions using a funding valuation adjustment (FVA). Any allocations to individual transactions are made on the basis of the relative credit adjustment approach.

Options and other derivative financial instruments with option characteristics are measured largely using the Black-Scholes option pricing model. The Bachelier model has been used since financial year 2022 to measure interest rate options at negative interest rates. This is an analytical model based on the assumption of normally distributed interest rates. The following inputs are used when measuring: cumulative probability distribution function for standard normal distribution, option strike prices, continuously compounding risk-free interest rates (for different currencies and maturities), volatility, time to option expiry, estimated dividends, interest rate and pricing barriers, discounts, increments and probability of occurrence.

For interest rate options with multiple exercise dates, the one-factor Hull-White model is used. Publicly accessible market data is also used in the measurement.

Credit derivatives are measured using the hazard rate model based on the latest credit spreads.

Summary of the principal valuation models by derivative product group

Product group	Principal valuation model
Interest rate swaps	Discounted cash flow method
Forward rate agreements	Discounted cash flow method
Interest rate options	Bachelier model
Forward exchange deals	Discounted cash flow method
Currency swaps/cross-currency swaps	Discounted cash flow method
Foreign exchange options	Black 76
Credit derivatives	Hazard rate model

Structured products are concluded within structured issues. These structures are each hedged with mirror swaps. Besides using the above methods, these structures are measured largely using short-rate and BGM models (Libor market model) and Monte Carlo simulations.

In the case of equity instruments not traded on an active market, fair value is calculated using recognised valuation methods, particularly the German income method (Ertragswertverfahren), in which the expected and valuation-relevant cash flows are based on budgeted values of the companies in question, which are discounted to the valuation date using a risk-adjusted capitalisation rate based on a capital asset pricing model.

The valuation models presented above are therefore used to calculate the fair values of financial instruments in the “financial assets measured at fair value through profit or loss”, “financial assets measured at amortised cost”, “financial assets measured at fair value through other comprehensive income”, “financial liabilities measured at fair value through profit or loss” and “financial liabilities measured at amortised cost” categories. The balance sheet items most affected are cash reserves, loans and advances to banks, loans and advances to customers, assets held for trading, positive fair values from derivative financial instruments (hedge accounting), financial investments, liabilities to banks, liabilities to customers, securitised liabilities, liabilities held for trading, negative fair values from derivative financial instruments (hedge accounting) and subordinated capital.

Embedded derivatives

Derivative financial instruments embedded in financial liabilities are recognised as independent derivatives and measured at fair value if they have to be separated from the host contract. If this is the case, the host contract is recognised and measured according to its measurement category. In the case of compound (structured) products, no separation is made if the fair value option has been applied.

Hedge accounting

For risk management purposes, derivative financial instruments are used to hedge recognised financial assets and recognised financial liabilities. These hedged items are accounted for and measured on the basis of whether they meet hedge accounting criteria.

The BayernLB Group conducts hedge accounting in the form of micro fair value hedges in accordance with IFRS 9 and portfolio fair value hedges in accordance with IAS 39 to hedge interest-rate risk, and in the form of group fair value hedges in accordance with IFRS 9 to hedge currency risks (see note 66).

Derivatives used to hedge the fluctuations in the fair value of financial assets and financial liabilities in the balance sheet are measured at fair value and changes in their value are recognised through profit or loss. If the currency basis spread of a financial instrument is separate from a financial instrument and exempt from being designated as a hedging instrument, fair value changes arising from currency basis spread fluctuations are booked as hedging costs to other comprehensive income. The carrying amounts of hedged items in a micro hedge are adjusted in line with gains or losses on measurements attributable to the hedged risk and are recognised in the income statement. Where the fluctuations in the fair value are hedged in a portfolio hedge, the cumulative gains or losses on measurement attributable to the hedged risk for financial assets are recognised under portfolio hedge adjustment assets, and the carrying amounts of the hedged items are left at amortised cost.

Changes in the fair value of hedging instruments carried to profit or loss and changes in the fair value of hedged items arising from the hedged risk are reported under gains or losses on hedge accounting. Changes in the fair value from currency basis spread fluctuations are shown in the revaluation surplus in other comprehensive income. Interest income and expenses from hedging derivatives are recognised as net interest income. Derivative

financial instruments (hedge accounting) are reported under positive fair values from derivative financial instruments (hedge accounting) or negative fair values from derivative financial instruments (hedge accounting).

Derivative financial instruments in economic hedges (derivatives for hedging fair value option transactions and derivatives in other economic hedges) that do not meet hedge accounting criteria are recognised and measured in accordance with their categorisation as financial assets measured at fair value through profit or loss or financial liabilities measured at fair value through profit or loss. The amounts are reported under assets held for trading or liabilities held for trading. Measurement gains or losses are reported under gains or losses on fair value measurement. Unlike current income and expenses of held-for-trading derivative financial instruments, the current income and expenses arising from these derivatives are reported under net interest income.

(7) Cash reserves

Cash reserves comprise cash, demand deposits at central banks, debt certificates issued by public entities and bills of exchange eligible for refinancing with central banks. Cash and balances at central banks are recognised at nominal value. Debt certificates issued by public entities and bills of exchange eligible for refinancing with central banks are financial assets assigned to the “hold to collect and sell” business model. These are measured at fair value and not carried to the income statement (see the comments on financial assets mandatorily measured at fair value through other comprehensive income in note 6).

(8) Loans and advances

Loans and advances to banks and to customers are non-derivative financial assets, which are allocated to the “hold to collect” or “hold to collect and sell” business models, regardless of whether they meet the cash flow criterion. These items are measured according to the related measurement category (refer to note 6).

(9) Risk provisions

Risk provisions comprise loss allowances for financial assets in the “financial assets measured at amortised cost” category which are recognised in the balance sheet line items cash reserves, loans and advances to banks, loans and advances to customers and other assets. For the calculation of loss allowances, including a breakdown of loss allowances and adjustments as a result of post-model adjustments, refer to note 75.

Income and expenses from the release or addition to risk provisions are taken to the income statement in the line item risk provisions.

(10) Portfolio hedge adjustment assets

This balance sheet item shows the changes in value of the hedged items for which fair value hedge accounting in the form of portfolio hedges was used.

(11) Assets held for trading

Assets held for trading include debt instruments that are assigned to the “residual” business model, derivative financial instruments with positive fair values that are recognised in accordance with IFRS 9 and are not designated as hedging instruments as part of hedge accounting, and equity instruments that are held for trading. Refer to note 6 for information on financial assets mandatorily measured at fair value through profit or loss (including derivatives).

If the requirements for netting financial assets against financial liabilities are met, receivables and liabilities from securities repurchase agreements with central and bilateral counterparties and the market values of derivative financial instruments are recognised at the net value together with the variation margin received or paid.

(12) Positive fair values from derivative financial instruments (hedge accounting)

This item on the balance sheet includes derivative financial instruments with positive fair values which are used as hedges and meet hedge accounting criteria. The derivative instruments are measured at fair value. Changes in the fair value of hedging instruments recognised through profit or loss and changes in the fair value of hedged items arising from the hedged risk are reported under gains or losses on hedge accounting. Changes in the fair value from currency basis spread fluctuations are shown in the revaluation surplus in other comprehensive income. Interest income and expenses from hedging derivatives are recognised as net interest income.

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(13) Financial investments

Financial investments comprise bonds, notes and other fixed-income securities, equities and other non-fixed income securities, equity interests and other financial investments. Debt instruments allocated to the “hold to collect” or “hold to collect and sell” business models, regardless of whether they meet the cash flow criterion, and equity instruments not held for trading are recorded. These items are measured according to the related measurement category (refer to note 6).

(14) Investment property and property, plant and equipment

Land or buildings held for the purposes of earning rental income or capital appreciation is reported on the balance sheet under investment property.

Property, plant and equipment comprises owner-occupied property, furniture and office equipment (including equipment leased under operating leases). These balance sheet line items comprise, besides own assets, capitalised rights as a lessee to use the underlying assets.

Mixed-use property that can be disposed of separately is allocated proportionately to the investment property and the property, plant and equipment items. If a theoretical division in kind of the property is not possible, the entire property is reported as an investment asset if only a non-material proportion (less than 10%) is held for internal operations.

Upon first-time recognition, property, plant and equipment is recognised at cost. Subsequent costs are capitalised if they lead to a significant improvement in the asset and thus add to the future economic benefit of the asset. Depreciable property, plant and equipment is subsequently reported on the balance sheet after deducting for straight-line depreciation corresponding to the useful life. BayernLB applies the option under IAS 40 to measure investment property at amortised cost.

Useful life is determined by considering the expected physical wear and tear, technical obsolescence and legal and contractual restrictions. In the case of buildings, the components are depreciated over their specific useful life (component approach).

All property, plant and equipment and investment property is depreciated on a straight-line basis over the following periods:

- Buildings 5-90 years
- Furniture and office equipment 1-60 years

Impairments are recognised in the amount by which the carrying amount exceeds the greater of the fair value less cost to sell and the value in use (impairment test). If the reasons for impairment cease to apply, an impairment reversal (writeup) is made up to no more than the value of the amortised cost.

Depreciation and impairment of investment property is reported under other income and expenses, while depreciation and impairment of property, plant and equipment is shown under administrative expenses. Writeups are reported in other income and expenses.

For materiality reasons acquisitions of low-value property, plant and equipment are recognised directly in administrative expenses. Profits and losses from the sale of property, plant and equipment and investment property are reported under other income and expenses.

(15) Intangible assets

Intangible assets comprise internally generated intangible assets and other intangible assets (purchased software).

The development costs of internally generated intangible assets are capitalised where their production is likely to result in an inflow of economic benefits and costs can be determined reliably. Expenditure on research is not capitalised but recognised through profit or loss.

Intangible assets are reported on the balance sheet at amortised cost. They are amortised on a straight-line basis over an expected useful life of usually four or five years or up to ten years in certain cases. Useful life is determined by considering the expected technical obsolescence and legal and contractual restrictions.

Impairments are recognised in the amount by which the carrying amount exceeds the greater of the fair value less cost to sell and of the value in use (impairment test). If the reasons for impairment cease to apply, an impairment reversal (writeup) is made up to no more than the value of the amortised cost.

Amortisation and impairment of intangible assets is reported under administrative expenses. Writeups are reported in other income and expenses.

(16) Non-current assets or disposal groups classified as held for sale

This item comprises both non-current assets in the “held for sale” category and the assets of disposal groups in the “held for sale” category.

The conditions for designation as held for sale are met if their carrying amount is to be recovered principally through a sale transaction rather than through continuing use and the non-current asset or disposal group can be sold immediately in its present condition and the sale is highly probable. For this, a decision must be taken by management to carry out the sale, with the expectation it will be completed within the next 12 months.

Non-current assets or disposal groups classified as held for sale are recognised at the end of the reporting period at the lower of carrying amount or fair value less costs of sale if there are no measurement exceptions in accordance with IFRS 5. Depreciation ceases from the time they are classified as held for sale.

(17) Other assets

Other assets comprise assets not allocated to one of the other items on the assets side. This item includes emissions certificates, precious metals and claims from reinsurance. The measurement depends on the regulations for the respective asset.

(18) Liabilities

Liabilities to banks and customers and securitised liabilities are non-derivative financial liabilities not used for trading purposes. These items are measured according to the related measurement category (refer to note 6).

(19) Liabilities held for trading

Liabilities held for trading includes, besides financial liabilities used for trading purposes, derivative financial instruments with negative fair values reported on the balance sheet in accordance with IFRS 9 and not designated as hedging instruments in accordance with hedge accounting criteria. For measurement of financial liabilities in the “held for trading” category (including derivatives), refer to note 6.

If the requirements for netting financial assets against financial liabilities are met, receivables and liabilities from securities repurchase agreements with central and bilateral counterparties and the fair values of derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(20) Negative fair values from derivative financial instruments (hedge accounting)

This item on the balance sheet includes derivative financial instruments with negative fair values which are used as hedges and meet hedge accounting criteria. The derivative instruments are measured at fair value. Changes in the fair value of hedging instruments recognised through profit or loss and changes in the fair value of hedged items arising from the hedged risk are reported under gains or losses on hedge accounting. Changes in the fair value from currency basis spread fluctuations are shown in the revaluation surplus in other comprehensive income. Interest income and expenses from hedging derivatives are recognised as net interest income.

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(21) Provisions

Provisions for pensions and similar obligations and other provisions are recognised under this item.

Provisions for pensions and similar obligations

Provisions are made for pensions and similar obligations as a result of pension plans covering commitments regarding retirement pensions and disability and surviving dependants’ benefits. The benefits provided by the BayernLB Group vary according to the legal and economic circumstances prevailing in the country concerned and generally depend on the length of service and salary of the individual employee. For a description of the main defined benefit plans in the BayernLB Group, refer to the explanations in note 57.

Some of the defined benefit plans are financed by asset contributions in the form of a Contractual Trust Arrangement (CTA) and by qualifying insurance policies.

The defined benefit obligations are measured by independent actuaries using the projected unit credit method. This takes into account the current pension payments and vested retirement benefits as at the reporting date and

also the expected changes in certain parameters such as salary and pension trends. The discount rates used to calculate the present value of pension obligations are based on yields on high-quality, fixed-rate corporate bonds – at maturities and currencies that match the pension payments – on the respective markets as at the reporting date. No high-quality, fixed-rate corporate bonds are available as a benchmark for very long terms. The relevant discount rates are determined by extrapolation from the observable market yields along the yield curve.

The following actuarial assumptions were used for the main pension plans:

In %	2024	2023
Discount rate for retirement benefits	3.4	3.2
Discount rate for medical costs and death benefits	3.5	3.1
Changes in salaries ¹	3.0	2.7
Changes in benefits ²	2.7	2.5
Changes in medical costs	5.8	5.8

¹ In the case of non-payscale employees, a different assumption of a 3.25% change (FY 2023: 3.0%) in estimated future salaries was used as a basis.

² Eligible social insurance pensions at BayernLB in Germany were dynamised at a rate of 2.5% (FY 2023: 2.5%).

The rates are measured in Germany on the basis of the biometric probabilities according to the “Heubeck Richttafeln 2018G” actuarial tables and in other countries on the basis of country-specific mortality tables.

The plan assets used to cover pension obligations are measured at fair value as at the reporting date and set off against the corresponding commitments. If plan assets exceed pension obligations, the resulting asset is reported under other assets. The asset is recognised mainly on the basis of the future economic benefits it will provide, taking account of future charges from a reduction in contributions due to existing minimum funding requirements. Depending on the regulatory or contractual provisions, the plan assets are accounted for under the asset ceiling rules.

The service cost is classified as staff costs. Past service cost arises when a defined benefit plan is introduced or changes are made to the benefits payable under an existing defined benefit plan. It is recognised immediately as an expense.

The impact from the remeasurement of defined benefit plans, such as actuarial gains and losses arising from the difference between expected and actual values or changed assumptions, is recognised in retained earnings directly in the period it arises.

Expected income from plan assets and interest expenses from the compounding of pension obligations are reported under net interest income.

In addition, some Group companies provide their employees with defined contribution plans due to statutory or contractual provisions. These defined contribution plans involve no commitments on the part of the company beyond paying contributions to an external pension provider. The payments are recognised as an expense and reported under administrative expenses at the time of the payment obligation. No pension provisions need to be made.

Other provisions

Other provisions include provisions for off-balance sheet transactions, restructuring provisions and miscellaneous provisions.

Provisions for off-balance sheet transactions are made for contingent liabilities and other liabilities where there is a risk of default. They include loss allowances for financial guarantees, irrevocable and revocable credit

commitments and other contingent liabilities to which the impairment rules in accordance with IFRS 9 are applied (for calculation of loss allowances, including a breakdown of loss allowances, refer to note 75).

Restructuring provisions are recognised for termination benefits in accordance with IAS 19 and obligations under contracts in accordance with IAS 37. These are recognised if the BayernLB Group has a detailed formal plan for the restructuring measures and has already begun to carry it out, or if the major details of the restructuring have been announced.

Miscellaneous provisions are made in accordance with IAS 37 for present legal or de facto obligations if it is probable that an outflow of resources embodying economic benefits will be required to settle the obligations.

The size of the provision corresponds to the best estimate of the amount that would be required to settle the liability as at the reporting date. The risks and uncertainties associated with the liability are factored into the calculation.

Where the effect of the time value of money is material, provisions are discounted and the present value of the expenditures required to settle the liability is reported. To this end a pre-tax discount rate is used that reflects the current market assessments of the time value of money and the risks specific to the liability.

(22) Liabilities of disposal groups

This item comprises the debts of disposal groups in the held-for-sale category.

(23) Other liabilities

Other liabilities comprise liabilities not allocated to one of the other items on the liabilities side. This item includes deferred income and accruals. The measurement depends on the regulations for the respective liability.

The line item also includes financial liabilities to non-controlling interests holding shares in DKB sustainability funds that are part of the DKB sub-group and to which the fair value option is applied.

(24) Leasing

Leases are agreements whereby the lessor conveys to the lessee the right to use an asset for an agreed period of time in return for a fee. They are recognised and measured on the basis of whether the BayernLB Group acts as a lessee or lessor.

The BayernLB Group as lessee

As at the date of preparation, lease liabilities are recognised at the net present value of the lease payments not yet made at the time. At the same time, the Bank capitalises a right to use the underlying asset that corresponds to the net present value of future lease payments plus initial direct costs, upfront payments and dismantling costs, less any incentive payments received. The BayernLB Group elects to use the option under IFRS 16 to apply the exemption from recognising in the balance sheet short-term leases or leases where the underlying asset is of low value. The rules in IFRS 16 do not apply to leases of intangible assets. Except for real estate leases, the BayernLB Group does not separate non-lease and lease components from each other.

Right-of-use assets are capitalised in subsequent measurements less straight-line depreciation or amortisation based on the useful life of the underlying assets or the term of the lease. In doing so the Bank also takes account of any impairments or remeasurements of lease liabilities. The carrying amount of the lease liability is adjusted for

the accrued interest, the lease payments made and any remeasurements. The right-of-use asset is recognised under property, plant and equipment. Lease liabilities are shown under other liabilities.

Depreciation and impairments of right-of-use assets are reported in administrative expenses. Interest expenses for lease liabilities are reported under net interest income. Lease payments associated with short-term leases and leases where the underlying asset is of low value are recognised in administrative expenses or in other income and expenses.

The BayernLB Group as lessor

Leases are recognised and measured on the basis of whether they are classified as finance or operating leases. Since effectively all risks and rewards associated with ownership of the underlying assets remain with the BayernLB Group as lessor, all leases are operating leases.

In the case of operating leases, the leased asset is recognised at amortised cost (see note 14). The lease payments received by the lessee are recognised in other income and expenses. Depreciation and impairments are reported in administrative expenses and other income and expenses.

(25) Tax

Current tax assets and liabilities are measured by applying the currently applicable tax rates and netting against expected tax refunds or tax liabilities.

Deferred tax assets and liabilities result from the temporary differences between the carrying amount of an asset or a liability and the tax base and from unused loss carryforwards and tax credits. This creates tax liabilities or assets expected in the future. Deferred taxes are recognised where permitted. They are measured for each of the companies consolidated within the Group, at the specific relevant income tax rate expected to be applicable for the period of the reversal of the temporary differences based on tax laws that have been enacted or passed by the end of the reporting period.

Deferred tax assets are only reported if it is probable that taxable profit in future periods will be sufficiently high to offset the as yet unused tax losses carried forward and deductible temporary differences. The amount of deferred tax assets recognised is calculated on the basis of the tax planning for the company in question or – if a tax group exists – for the consolidated tax group in question. When recognising deferred tax assets from interest carryforwards, the same accounting policies as used for deferred tax assets from tax loss carryforwards are applied.

Deferred taxes are not discounted. Deferred tax assets and liabilities are created and carried through profit or loss if the underlying item is recognised in the income statement, or are created and carried in other comprehensive income if the underlying item is recognised through other comprehensive income.

Income tax expenses and income calculated on profit before taxes are reported in the consolidated income statement as income taxes. Other taxes not based on income are reported under other income and expenses.

Segment reporting

(26) Notes to the segment report

The segment report reflects the business structure of the BayernLB Group. A total of four segments are shown in the report, which, as in the previous year, comprise the three business segments Real Estate & Savings Banks/Financial Institutions, Corporates & Markets and Deutsche Kreditbank (DKB), supplemented by the Central Areas & Others (including Consolidation) segment. The earnings of the consolidated subsidiaries and units are also allocated to the segment to which they have been assigned. For segment reporting purposes, the Central Areas & Others (including Consolidation) segment is not aggregated but is instead split into the Central Areas & Others and the Consolidation columns, the latter of which containing entries not allocated to any segment.

Segment reporting is based on IFRS 8 and thus on the monthly management reports submitted to the Board of Management, which serves as the chief operating decision maker as defined in IFRS 8.7. The management reports – and hence the segmentation – are based on the accounting policies used in the consolidated financial statements under IFRS. Segment reporting does not therefore need to be reconciled with the IFRS accounting policies used in the consolidated financial statements. The earnings contributions reported under the segments are generated largely from banking transactions and financial services. Net interest income and net commission income are shown respectively as net figures comprising interest income and interest expenses and commission income and commission expenses. The additional information about products and services required under IFRS 8.32 is not available because the cost of producing the information would be excessively high.

The risk-weighted assets (RWAs) shown include the figures as at the reporting date for credit risk, market risk, credit value adjustments and operational risk arising from the business activities. For the Group, the average regulatory capital available over the reporting period is reported as equity. For this, Common Equity Tier 1 (CET1) capital is calculated using the supervisory regulations in force at the time. For the purposes of internal management, economic capital is allocated to the segments in the amount of 14.5% of their average risk-weighted assets. Economic capital is reconciled to regulatory capital in the column headed “Consolidation”.

The return on equity (RoE) shown is calculated on the basis of internal management information from the ratio of annualised profit before taxes to the average regulatory capital (Group)/the average allocated economic capital (at segment level). The cost/income ratio (CIR) is the ratio of administrative expenses to gross profit comprising net interest income, net commission income, gains or losses on fair value measurement, gains or losses on hedge accounting, gains or losses on derecognised financial assets, gains or losses on financial investments and other income and expenses.

Notes on delimitation of segments

The Real Estate & Savings Banks/Financial Institutions segment incorporates the business of BayernLB (excluding the DKB sub-group) with commercial and residential real estate customers, the savings banks, the public sector, insurers, credit institutions and institutional customers. In addition, the legally dependent institution Bayerische Landesbodenkreditanstalt, Munich (BayernLabo) and consolidated subsidiary Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich are allocated to this segment. The Real Estate Division focuses on long-term commercial real estate financing in Germany and selected foreign markets and business with residential construction companies and residential property developers. BayernLB offers commercial real estate customers a comprehensive range of services related to real estate financing. The Savings Banks & Financial Institutions Division functions as the central hub for the Bank's working relationship with the savings banks and public sector in Germany and the services it provides to insurers, credit institutions, pension funds and asset managers at national and international level. Its activities include BayernLB's business with savings banks in Germany, particularly Bavaria, and the state-subsidised loan business. The savings banks are a fundamental part of BayernLB's business model as both customers and sales partners. The Division also serves state and municipal customers and public agencies, as well as credit institutions, insurers and institutional customers worldwide, which BayernLB, as a partner, provides with a wide range of products and tailor-made solutions. In addition, an extensive network of institutional customers provides BayernLB with a broad investor pool. The Savings Banks & Financial Institutions Division also offers a broad range of products and services in an expanding foreign notes and coins and precious metals business as a market leader in the Savings Banks Finance Group. BayernLabo is responsible for the non-competitive residential construction and urban development business under public mandate on behalf of BayernLB. It also provides financing for local authorities in Bavaria, special-purpose associations, school associations and the Free State of Bavaria.

The Corporates & Markets segment comprises the business area of the same name in which BayernLB's financing and capital market activities (excluding the DKB sub-group) for corporate customers and institutional investors are bundled. In the Corporates business, BayernLB serves Mittelstand and large corporate customers focused on forward-looking sectors (energy, mobility, technology, manufacturing & engineering, and construction & basic resources), with the sector team taking an integrative approach. Besides DAX, MDAX, family-owned and international companies in selected markets worldwide, it also has on its books corporate customers of the Bavarian savings banks, which are supported in the syndicated loan business. The products and services on offer in the Corporates business are varied and include traditional loan financing, structured financial products for project finance, leasing, asset financing, securitisations, and export and trade financing for customers active outside of Germany. The Markets Division is a central provider of financial market products for all of BayernLB's customers. Its strategic activities include a focused range of securities, issuance rights and interest-rate and currency products. The Division also provides market access for BayernLB's own treasury activities.

The DKB segment comprises the business of the Deutsche Kreditbank Aktiengesellschaft (DKB), Berlin, sub-group within the BayernLB Group, which encompasses business with retail and corporate customers. DKB serves as an online bank for retail customers. It also specialises in financial and investment solutions for corporate customers in selected sectors with long-term growth potential, such as housing, communal infrastructure, renewable energy, agriculture and nutrition.

The Central Areas & Others segment incorporates the earnings contributions from the central areas Group Treasury, Corporate Center, Financial Office, Operating Office, Risk Office (including Credit Risk Management) and Others. In addition, following the reallocation of responsibilities on the Board of Management of BayernLB in 2023, since the start of 2024 the consolidated subsidiary BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (BayernInvest), which was previously part of the Real Estate & Savings Banks/Financial Institutions segment now comes under this segment. The activities of the Group Treasury Division include asset/liability management and the

related money market activities and liquidity management, also centrally investing own funds. Contrary to the previous year, since the start of 2024 income from investments of own funds less the costs of raising the Tier 2 subordinated capital and non-preferred senior bonds required by the BayernLB Group is no longer fully reported under Group Treasury; instead, it is allocated to the operating business areas of the BayernLB core Bank based on the planned capital allocation. Earnings contributions from money market transactions for customers are shown in the respective customer segment. The segment includes transactions that cannot be allocated to either a business area or a central area. The Consolidation column, allocated to the segment but disclosed separately below, includes consolidation entries not allocated to any segment. These mainly arise from differences in the way intra-Group transactions are measured and the application of hedge accounting to cross-segment derivatives transactions.

Segment data from the previous-year period affected by the changes was restated accordingly.

Segment reporting as at 31 December 2024

€ million	Real Estate & Savings Banks/Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidation	Group
Net interest income	537	222	1,848	122	(9)	2,720
Risk provisions	(297)	(15)	(181)	2	–	(491)
Net commission income	191	102	215	23	–	531
Gains or losses on fair value measurement	53	167	25	106	9	360
Gains or losses on hedge accounting	(2)	–	64	1	–	62
Gains or losses on derecognised financial assets	(4)	5	(6)	–	–	(5)
Gains or losses on financial investments	(2)	(4)	20	(47)	–	(33)
Administrative expenses	(346)	(245)	(772)	(238)	1	(1,602)
Expenses for the bank levy and deposit guarantee scheme	–	–	(51)	–	–	(51)
Other income and expenses	(5)	8	(16)	148	(1)	134
Gains or losses on restructuring	–	–	(30)	(18)	–	(48)
Profit/loss before taxes	125	239	1,116	99	–	1,579
Risk-weighted assets (RWAs)	15,867	20,047	29,512	4,537	–	69,962
Average economic/regulatory capital	2,130	2,905	3,968	747	2,562	12,312
Return on equity (RoE) (%)	5.9	8.2	28.1			12.8
Cost/income ratio (CIR) (%)	45.1	49.1	35.9			42.5

Segment reporting as at 31 December 2023

€ million	Real Estate & Savings Banks/Financial Institutions ¹	Corporates & Markets ¹	DKB	Central Areas & Others ¹	Consolidation	Group
Net interest income	530	346	1,937	109	(4)	2,919
Risk provisions	(126)	(1)	(59)	6	–	(180)
Net commission income	210	106	130	27	–	473
Gains or losses on fair value measurement	32	84	31	74	4	226
Gains or losses on hedge accounting	1	1	(54)	6	–	(46)
Gains or losses on derecognised financial assets	1	(1)	(4)	(97)	–	(102)
Gains or losses on financial investments	2	(1)	(18)	(56)	1	(71)
Administrative expenses	(353)	(252)	(802)	(211)	1	(1,617)
Expenses for the bank levy and deposit guarantee scheme	–	–	(93)	(35)	–	(128)
Other income and expenses	4	(3)	1	60	(2)	59
Gains or losses on restructuring	–	–	(66)	(26)	–	(92)
Profit/loss before taxes	301	279	1,003	(142)	–	1,441
Risk-weighted assets (RWAs)	13,773	19,893	25,659	5,207	–	64,532
Average economic/regulatory capital	1,933	2,750	3,583	810	2,312	11,389
Return on equity (RoE) (%)	15.6	10.2	28.0			12.7
Cost/income ratio (CIR) (%)	45.2	47.3	39.6			46.8

¹ Adjusted as per IFRS 8.29.

A breakdown of BayernLB's earnings from typical banking operations after risk provisions (net interest income, net commission income, gains or losses on fair value measurement, gains or losses on hedge accounting, gains or losses on derecognised financial assets, and gains or losses on financial investments) and RWAs by geographical region is provided as follows:

Information by geographical region as at 31 December 2024¹

€ million	Germany	Europe (excluding Germany)	America	Group
Banking operations after risk provisions	3,149	14	(18)	3,145
Risk-weighted assets (RWAs)	67,019	4	2,939	69,962

¹ The regional allocation is based on how the transactions were grouped together for booking purposes.

Information by geographical region as at 31 December 2023¹

€ million	Germany	Europe (excluding Germany)	America	Group
Banking operations after risk provisions	3,178	16	25	3,219
Risk-weighted assets (RWAs)	61,880	4	2,648	64,532

¹ The regional allocation is based on how the transactions were grouped together for booking purposes.

Notes to the consolidated income statement

(27) Net interest income

€ million	2024	2023
Interest income	11,728	10,674
Interest income from financial instruments determined using the effective interest method	7,678	7,115
From lending and money market transactions	7,382	6,911
From financial investments	289	197
From the amortisation of significant and non-significant modifications of financial assets	3	2
From negative interest	4	5
Interest income – other	4,050	3,559
From lending and money market transactions	82	72
From financial investments	25	25
From hedge accounting derivatives	1,846	1,595
From derivatives in economic hedges	2,067	1,822
From negative interest	21	25
Other interest income	10	18
Interest expenses	(9,008)	(7,755)
Interest expenses from financial instruments determined using the effective interest method	(5,206)	(4,491)
For liabilities to banks and customers	(3,690)	(3,219)
For securitised liabilities	(1,298)	(1,032)
For subordinated capital	(98)	(82)
From the amortisation of significant and non-significant modifications of financial assets	–	(2)
From negative interest	(5)	(6)
Other interest expenses	(114)	(149)
Interest expenses – other	(3,802)	(3,264)
For liabilities to banks and customers	(75)	(77)
For securitised liabilities	(97)	(74)
For hedge accounting derivatives	(1,545)	(1,270)
For derivatives in economic hedges	(2,065)	(1,809)
From negative interest	(3)	(14)
Other interest expenses	(17)	(20)
Total	2,720	2,919

Total interest income amounted to €7,342 million (FY 2023: €6,874 million) for financial assets measured at amortised cost and €327 million (FY 2023: €228 million) for financial assets mandatorily measured at fair value through other comprehensive income. Total interest expenses for financial liabilities not measured at fair value through profit or loss were €5,196 million (FY 2023: €4,477 million).

(28) Risk provisions

€ million	2024	2023
Income from risk provisions	1,491	1,319
From the release of risk provisions for on and off-balance sheet transactions	1,434	1,207
Income from the writeup of purchased or originated credit-impaired financial assets	20	11
Modification gains on non-significant modifications ¹	1	–
From recoveries on written down receivables	36	102
Expenses for risk provisions	(1,981)	(1,499)
From additions to risk provisions for on and off-balance sheet transactions	(1,978)	(1,498)
Modification losses on non-significant modifications ¹	(3)	–
Total	(491)	(180)

¹ Not including modification gains or losses from modifications of contractually agreed cash flows of financial assets, the loss allowances for which are measured in the amount of the 12-month expected credit losses. The modification gain or loss for these financial assets is recognised in net interest income.

Refer to note 75 for details about the post-model adjustment shown as at 31 December 2024.

(29) Net commission income

€ million	2024	2023
Commission income	955	933
Securities business	97	86
Credit business	215	212
Payments	111	99
Documentary business	5	6
Card business	270	275
Fund business	223	225
Trust transactions	19	18
Other	15	11
Commission expenses	(424)	(461)
Securities business	(59)	(55)
Broker fees	(5)	(5)
Credit business	(27)	(89)
Payments	(61)	(53)
Documentary business	(1)	–
Card business	(152)	(162)
Fund business	(118)	(94)
Other	(2)	(2)
Total	531	473

Until the previous year, net commission income in the lending business included, in addition to revenue from contracts with customers recognised as fees, processing and arrangement fees directly related to the issuing or acquisition of financial instruments and which form an integral part of the effective interest rate (FY 2023: €-65 million net). This amounted to €-67 million net in the year under review and was reported under interest income from lending and money market transactions.

Fees on financial instruments not measured at fair value through profit or loss recognised as expenses in net commission income came to a total of €-10 million (FY 2023: €-76 million).

In the previous year the card business included a contribution to earnings of €47 million from Bayern Card-Services GmbH - S-Finanzgruppe, which was deconsolidated during the year under review.

(30) Gains or losses on fair value measurement

€ million	2024	2023
Net trading income	335	161
Interest-related transactions	216	55
Currency-related transactions	(21)	49
Equity-related and index-related transactions and transactions with other risks	(31)	(61)
Credit derivatives	(3)	(9)
Other financial transactions	198	142
Trading-related commission	(24)	(16)
Fair value gains or losses on debt instruments in the “financial assets mandatorily measured at fair value through profit or loss” category that are not held for trading	103	124
Fair value gains or losses on financial instruments in the “fair value option” category	(78)	(60)
Total	360	226

Net trading income includes realised and unrealised gains or losses attributable to these trading activities, the interest and dividend income related to these transactions, and gains or losses on foreign currency translation.

Current income and expenses from derivatives in economic hedges, from debt instruments in the “financial assets mandatorily measured at fair value through profit or loss” category that are not held for trading, and from financial instruments in the “fair value option” category are reported under net interest income.

(31) Gains or losses on hedge accounting

€ million	2024	2023
Gains or losses on micro fair value hedges	–	8
Gains or losses on the measurement of hedged items	(31)	(175)
Gains or losses on the measurement of hedging instruments	32	183
Gains or losses on portfolio fair value hedges	63	(49)
Gains or losses on the measurement of hedged items	402	1,120
Gains or losses on the measurement of hedging instruments	(340)	(1,169)
Gains or losses on group fair value hedges	(1)	(5)
Gains or losses on the measurement of hedged items	118	7
Gains or losses on the measurement of hedging instruments	(119)	(12)
Total	62	(46)

(32) Gains or losses on derecognised financial assets

€ million	2024	2023
Gains on derecognised financial assets	47	169
Gains on disposals	43	167
Gains on significant modifications	4	2
Losses on derecognised financial assets	(52)	(271)
Losses on disposals	(38)	(263)
Losses on significant modifications	(13)	(8)
Total	(5)	(102)

The amounts relate to financial assets in the “financial assets measured at amortised cost” category.

(33) Gains or losses on financial investments

€ million	2024	2023
Gains or losses on financial investments in the “financial assets mandatorily measured at fair value through other comprehensive income” category	(54)	(69)
Income from financial investments	30	8
Gains on disposals	30	8
Expenses from financial investments	(84)	(76)
Losses on disposals	(84)	(76)
Fair value gains or losses on equity instruments in the “financial assets mandatorily measured at fair value through profit or loss” category that are not held for trading	23	(2)
Gains or losses on deconsolidation	(2)	–
Total	(33)	(71)

(34) Administrative expenses

€ million	2024	2023
Staff costs	(813)	(845)
Salaries and wages	(667)	(696)
Social security contributions	(98)	(99)
Of which:		
Employer contributions to statutory pension scheme	(49)	(52)
Expenses for pensions and other employee benefits	(48)	(50)
Of which:		
Expenses for defined contribution plans	(12)	(12)
Other administrative expenses	(685)	(663)
Expenses for real estate ¹	(33)	(36)
Data processing costs	(346)	(318)
Office costs	(1)	(1)
Advertising	(35)	(37)
Communication and other selling costs	(80)	(81)
Membership, legal and consulting fees	(142)	(131)
Miscellaneous administrative costs	(49)	(59)
Expenses from the amortisation, depreciation, loss allowances and writedowns of property, plant and equipment and intangible assets	(104)	(109)
Total	(1,602)	(1,617)

¹ Not including investment property.

In the previous year administrative expenses included €37 million relating to Bayern Card-Services GmbH- S-Finanzgruppe (BCS), which was deconsolidated during the year under review.

(35) Expenses for the bank levy and deposit guarantee scheme

€ million	2024	2023
Expenses for the bank levy	–	(70)
Expenses for the deposit guarantee scheme	(51)	(58)
Total	(51)	(128)

(36) Other income and expenses

€ million	2024	2023
Other income	207	149
Rental income from investment property	2	2
Gains on the sale of property held as inventory	–	20
Income from the release of provisions	34	10
Gains on repurchases of own issues	22	52
Interest income from tax refunds due	14	30
Sundry other income	135	35
Other expenses	(72)	(90)
Current expenses from leased investment property	(2)	(6)
Expenses from the depreciation of investment property	(1)	(1)
Expenses from losses	(28)	(23)
Interest expenses from tax arrears	(4)	(7)
Losses on repurchases of own issues	(3)	(3)
Expenses from loss transfers	(3)	(2)
Other taxes	(2)	(2)
Expenses from establishing provisions	–	(16)
Sundry other expenses	(29)	(31)
Total	134	59

Sundry other income and sundry other expenses principally includes income and expenses that are not typical for banks.

(37) Gains or losses on restructuring

€ million	2024	2023
Income from restructuring measures	3	26
Expenses for restructuring measures	(52)	(118)
Total	(48)	(92)

Gains or losses on restructuring should not be regarded as gains or losses from extraordinary items.

Gains or losses on restructuring of €-30 million (FY 2023: €-66 million) related to Deutsche Kreditbank Aktiengesellschaft (DKB) in connection with the Fit4Growth efficiency programme launched in 2023 to sustainably optimise the DKB operating model. Gains or losses on restructuring at BayernLB of €-18 million (FY 2023: €-26 million) largely comprised interest rate-related measurement effects in connection with existing restructuring provisions.

(38) Income taxes

€ million	2024	2023
Current income taxes	(264)	(301)
Domestic and foreign corporation tax including solidarity surcharge	(137)	(156)
Municipal trade tax/foreign local taxes	(127)	(144)
Deferred taxes	(88)	29
Domestic and foreign corporation tax including solidarity surcharge	(43)	15
Municipal trade tax/foreign local taxes	(45)	14
Total	(351)	(271)

Tax expenses totalled €351 million in the reporting year (FY 2023: €271 million).

Current tax expenses of €264 million (FY 2023: €301 million) arose largely from the current income taxes in the reporting year of the consolidated tax group of Deutsche Kreditbank Aktiengesellschaft (DKB) in the amount of €305 million. The current tax expenses line item included tax income of €62 million for previous years (FY 2023: €2 million) largely arising from the consolidated tax group of BayernLB.

The deferred tax expense of €88 million (FY 2023: tax income of €29 million) was primarily caused by the change in the value of the loss carryforwards of BayernLB and the New York branch.

The effective tax expenses recognised in the reporting year were €165 million lower (FY 2023: €200 million) than the estimated tax expenses. The factors responsible for this difference are shown in the table below.

€ million	2024	2023
Profit/loss before taxes	1,579	1,441
Group tax rate (in %)	32.7	32.7
Estimated tax expenses (-)/income (+)	(516)	(471)
Effects from differing local tax rates	57	58
Effects from taxes from previous years recognised in the reporting year	37	(4)
Effects from changes in tax rates	–	(1)
Effects from other non-deductible operating expenses	(16)	(28)
Effects from tax-free income	9	5
Effects from permanent accounting differences	9	(27)
Effects from revaluations and corrections	83	211
Other	(14)	(14)
Effective tax expenses (-)/income (+)	(351)	(271)
Effective tax rate (in %)	22.2	18.8

In the reporting year, based on the applicable tax rates for corporation tax, the solidarity surcharge and municipal trade tax, the Group tax rate was 32.7% as at the reporting date (FY 2023: 32.7%).

The impact from differing local tax rates of €57 million (FY 2023: €58 million) was largely related to the tax-exempted foreign funds of DKB and BayernLabo's tax exemption.

The taxes recognised for previous years were largely due to BayernLB's tax assets for previous years.

The tax effect from other non-deductible operating expenses primarily arose from additions from off the balance sheet, especially interest expenses that are not tax deductible. Offsetting tax-free income arose primarily from tax-exempt dividends from companies outside the Group.

Tax effects of impairments and recognition corrections amounting to €83 million (FY 2023: €211 million) were generated largely from the increase in the value of deductible temporary differences arising from the consolidated tax group of BayernLB compared with the previous year.

As a result of the introduction of the Minimum Tax Act, BayernLB is required to review whether it meets a minimum tax rate of at least 15% under the new rules in each of the eleven tax jurisdictions in which it is domiciled. The current tax expense/income for financial year 2024 in connection with global minimum taxation was €0.

BayernLB applies the mandatory exception on recognising deferred taxes arising from the introduction of global minimum taxation. Hence no deferred taxes relating to income tax under the Pillar 2 rules are recognised, nor is any information provided.

Notes to the consolidated balance sheet

(39) Cash reserves

€ million	2024	2023
Cash	48	34
Deposits with central banks	1,537	1,150
Debt instruments issued by public entities and bills of exchange eligible for refinancing with central banks	716	674
Total	2,301	1,858

(40) Loans and advances to banks

€ million	2024	2023
Loans and advances to domestic banks	50,499	65,746
Loans and advances to foreign banks	1,683	3,566
Total	52,182	69,312

Loans and advances to banks by maturity

€ million	2024	2023
Payable on demand	32,183	46,858
With residual maturity of	19,999	22,454
Up to 3 months	1,301	1,948
Between 3 months and 1 year	2,854	3,966
Between 1 year and 5 years	6,226	6,606
More than 5 years	9,618	9,933
Total	52,182	69,312

(41) Loans and advances to customers

€ million	2024	2023
Loans and advances to domestic customers	152,344	142,700
Government entities/companies under public law	26,426	23,498
Private companies/private individuals	125,918	119,202
Loans and advances to foreign customers	29,406	28,369
Government entities/companies under public law	757	861
Private companies/private individuals	28,649	27,508
Total	181,750	171,069

Loans and advances to customers by maturity

€ million	2024	2023
With residual maturity of	180,591	169,981
Up to 3 months	14,557	12,548
Between 3 months and 1 year	15,783	16,860
Between 1 year and 5 years	61,056	56,657
More than 5 years	89,194	83,916
Perpetual maturities	1,159	1,088
Total	181,750	171,069

(42) Risk provisions

€ million	2024	2023
Loss allowances – Stage 1	96	177
Loss allowances – Stage 2	465	308
Loss allowances – Stage 3	955	739
Loss allowances – POCI	23	38
Total	1,539	1,262

Loss allowances for financial assets measured at amortised cost recognised in the balance sheet items cash reserves, loans and advances to banks, loans and advances to customers and other assets are shown separately in the balance sheet line item risk provisions. In the case of securities in the “financial assets measured at amortised cost” category included in the balance sheet item financial investments, any necessary loss allowances are deducted from the carrying amount of the financial asset. As at the reporting date and the same as for the previous year, the BayernLB Group only had loss allowances for loans and advances to banks and loans and advances to customers (see note 45).

The loss allowances are broken down in the BayernLB Group as follows:

- Loss allowances measured in the amount of the expected 12-month credit loss for financial assets whose credit risk has not significantly increased since first-time recognition and are not in default (Stage 1)
- Loss allowances measured in the amount of the lifetime expected credit losses for financial assets for which the default risk has increased significantly since first-time recognition but which are not credit-impaired financial assets (Stage 2)
- Loss allowances measured in the amount of the lifetime expected credit losses for financial assets that were credit-impaired as at the reporting date but which were not at the time of purchase or origination (Stage 3)
- Loss allowances for purchased or originated credit-impaired financial assets (POCI)
- Loss allowances for trade receivables where the loss allowances are always measured in the amount of the lifetime expected credit losses (simplified approach)

Whereas reclassifications to Stage 3 from Stage 1 or Stage 2 are shown separately in the changes in loss allowances, reclassifications from Stage 3 to Stage 1 or Stage 2 result in the release of loss allowances at Stage 3 and additions to loss allowances at Stage 1 or Stage 2.

Changes in loss allowances – Stage 1

€ million	Loans and advances to banks		Loans and advances to customers		Total	
	2024	2023	2024	2023	2024	2023
As at 1 Jan	3	9	174	220	177	229
Changes in the expected credit loss due to changes in the risk parameters	–	–	(51)	(47)	(51)	(48)
Additions due to lending/purchases	1	2	91	66	92	69
Releases due to disposals/redemptions/sales	(1)	(2)	(52)	(47)	(54)	(49)
Reclassifications to Stage 1 from Stage 2	–	1	42	37	43	37
Reclassifications from Stage 1 to Stage 2	–	(6)	(100)	(45)	(100)	(52)
Reclassifications from Stage 1 to Stage 3	–	–	(10)	(10)	(10)	(10)
As at 31 Dec	2	3	94	174	96	177

Changes in loss allowances – Stage 2

€ million	Loans and advances to banks		Loans and advances to customers		Total	
	2024	2023	2024	2023	2024	2023
As at 1 Jan	2	19	306	236	308	255
Currency-related changes	–	–	4	(4)	4	(4)
Changes in the expected credit loss due to changes in the risk parameters	–	(11)	323	213	323	202
Additions due to lending/purchases ¹	1	1	59	46	60	47
Releases due to disposals/redemptions/sales	(1)	(1)	(199)	(121)	(200)	(121)
Reclassifications to Stage 2 from Stage 1	–	6	100	45	100	52
Reclassifications from Stage 2 to Stage 1	–	(1)	(42)	(37)	(43)	(37)
Reclassifications from Stage 2 to Stage 3	–	(12)	(87)	(73)	(87)	(85)
As at 31 Dec	2	2	463	306	465	308

¹ Additions due to lending/purchases result in particular from drawings under credit commitments where the default risk at the time of drawing was significantly higher than at first-time recognition.

Changes in loss allowances – Stage 3

€ million	Loans and advances to banks		Loans and advances to customers		Total	
	2024	2023	2024	2023	2024	2023
As at 1 Jan	12	28	727	628	739	657
Currency-related changes	–	–	(33)	(1)	(33)	(1)
Changes in the expected credit loss due to changes in the risk parameters	1	(19)	416	293	416	274
Additions due to lending/purchases ¹	–	–	134	36	134	36
Releases due to disposals/redemptions/sales	–	–	(80)	(44)	(80)	(44)
Utilisations/writedowns	–	(9)	(258)	(239)	(258)	(248)
Unwinding	–	–	(67)	(32)	(67)	(32)
Changes due to non-significant modifications	–	–	(2)	–	(2)	–
Reclassifications to Stage 3 from Stage 1	–	–	10	10	10	10
Reclassifications to Stage 3 from Stage 2	–	12	87	73	87	85
Transfers/other changes	–	–	8	3	8	3
As at 31 Dec	13	12	942	727	955	739

¹ Additions due to lending/purchases result in particular from drawings under credit commitments where the borrower was credit-impaired as defined by default criteria as at the time of drawing, but not at the time of purchase or origination.

Changes in loss allowances – POCI

€ million	Loans and advances to customers	
	2024	2023
As at 1 Jan	38	60
Currency-related changes	(9)	(4)
Changes in the expected credit loss due to changes in the risk parameters	25	6
Additions due to lending/purchases	3	1
Releases due to disposals/redemptions/sales	(2)	(1)
Utilisations/writedowns	(31)	(22)
As at 31 Dec	23	38

The total volume of non-discounted expected credit losses as at first-time recognition of financial assets whose creditworthiness was impaired when they were purchased or originated was €10 million in the reporting year (FY 2023: €48 million). All of these related to loans and advances to customers.

The gross carrying amount of financial assets in the “financial assets measured at amortised cost” category, which are recognised in the balance sheet line items cash reserves, loans and advances to banks, loans and advances to customers and other assets stood at €235,639 million (FY 2023: €241,855 million) as at the reporting date and was as follows:

€ million	2024	2023
Financial assets – Stage 1	206,408	216,367
Financial assets – Stage 2	25,725	22,517
Financial assets – Stage 3	3,081	2,802
Financial assets – POCI	387	121
Trade receivables – simplified approach	39	48
Total	235,639	241,855

The table below shows the extent to which changes in the gross carrying amount of financial assets contributed to changes in the loss allowance.

Changes in gross carrying amounts – Stage 1

€ million	Cash reserves		Loans and advances to banks		Loans and advances to customers		Other assets		Total	
	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
As at 1 Jan	1,132	1,561	67,264	57,796	147,933	149,927	38	36	216,367	209,320
Currency-related changes	1	(1)	127	(55)	443	(54)	–	–	571	(110)
Changes in the scope of consolidation	–	–	–	–	–	–	–	–	–	–
Lending/purchases	2,654	6,962	230,983	287,719	63,408	55,109	39	34	297,083	349,824
Disposals/redemptions/sales	(2,806)	(4,308)	247,255	(277,890)	(52,431)	(49,705)	(38)	(32)	302,529	(331,934)
Non-significant modifications	–	–	–	–	(4)	(4)	–	–	(4)	(4)
Reclassifications to Stage 1 from Stage 2	604	–	624	932	15,348	8,245	–	–	16,576	9,177
Reclassifications to Stage 1 from Stage 3	–	–	–	–	11	39	–	–	11	39
Reclassifications from Stage 1 to Stage 2	–	(3,082)	(1,422)	(1,292)	(20,142)	(15,385)	–	–	(21,564)	(19,759)
Reclassifications from Stage 1 to Stage 3	–	–	–	–	(274)	(280)	–	–	(274)	(280)
Transfers/other changes	–	–	247	54	(75)	40	–	–	172	94
As at 31 Dec	1,585	1,132	50,566	67,264	154,217	147,933	39	38	206,408	216,367

Changes in gross carrying amounts – Stage 2

€ million	Cash reserves		Loans and advances to banks		Loans and advances to customers		Total	
	2024	2023	2024	2023	2024	2023	2024	2023
As at 1 Jan	52	–	2,044	3,619	20,420	14,715	22,517	18,333
Currency-related changes	–	–	1	28	290	11	290	39
Lending/purchases ¹	988	4,542	4,079	9,445	7,700	10,922	12,767	24,909
Disposals/redemptions/sales	(437)	(7,572)	(5,308)	(11,390)	(8,015)	(10,709)	(13,760)	(29,671)
Reclassifications to Stage 2 from Stage 1	–	3,082	1,422	1,292	20,142	15,385	21,564	19,759
Reclassifications to Stage 2 from Stage 3	–	–	–	–	89	76	89	76
Reclassifications from Stage 2 to Stage 1	(604)	–	(624)	(932)	(15,348)	(8,245)	(16,576)	(9,177)
Reclassifications from Stage 2 to Stage 3	–	–	–	(15)	(1,171)	(1,497)	(1,171)	(1,512)
Transfers/other changes	–	–	(6)	(3)	11	(236)	5	(239)
As at 31 Dec	–	52	1,609	2,044	24,117	20,420	25,725	22,517

¹ Lending/purchases result in particular from drawings under credit commitments where the default risk at the time of drawing was significantly higher than at first-time recognition.

Changes in gross carrying amounts – Stage 3

€ million	Loans and advances to banks		Loans and advances to customers		Total	
	2024	2023	2024	2023	2024	2023
As at 1 Jan	13	39	2,789	1,603	2,802	1,641
Currency-related changes	–	–	22	(5)	22	(5)
Lending/purchases ¹	–	–	471	369	471	369
Disposals/redemptions/sales	–	(40)	(1,536)	(853)	(1,536)	(893)
Utilisations/writedowns	–	–	(16)	(7)	(16)	(7)
Non-significant modifications	–	–	(3)	–	(3)	–
Reclassifications to Stage 3 from Stage 1	–	–	274	280	274	280
Reclassifications to Stage 3 from Stage 2	–	15	1,171	1,497	1,171	1,512
Reclassifications from Stage 3 to Stage 1	–	–	(11)	(39)	(11)	(39)
Reclassifications from Stage 3 to Stage 2	–	–	(89)	(76)	(89)	(76)
Transfers/other changes	–	–	(4)	19	(4)	19
As at 31 Dec	13	13	3,067	2,789	3,081	2,802

¹ Lending/purchases result in particular from drawings under credit commitments where the borrower was credit-impaired as defined by default criteria as at the time of drawing, but not at the time of purchase or origination.

Changes in gross carrying amounts – POCI

€ million	Loans and advances to customers	
	2024	2023
As at 1 Jan	121	151
Lending/purchases	391	118
Disposals/redemptions/sales	(149)	(108)
Utilisations/writedowns	–	(1)
Non-significant modifications	–	(1)
Transfers/other changes	23	(39)
As at 31 Dec	387	121

Changes in gross carrying amounts – simplified approach

€ million	Other assets	
	2024	2023
As at 1 Jan	48	45
Lending/purchases	21	17
Disposals/redemptions/sales	(23)	(14)
As at 31 Dec	39	48

(43) Assets held for trading

€ million	2024	2023
Bonds, notes and other fixed-income securities	1,991	1,943
Money market instruments	1,164	627
Bonds and notes	827	1,316
Equities and other non-fixed income securities	17	16
Equities	17	16
Loans and advances	5,561	3,466
Schuldschein note loans	282	346
Loan syndications	170	170
Securities repurchase transactions	5,078	2,949
Other receivables	30	–
Positive fair values from derivative financial instruments (not hedge accounting)	5,812	6,837
Total	13,381	12,261

Assets held for trading by maturity

€ million	2024	2023
With residual maturity of	13,363	12,246
Up to 3 months	4,028	3,316
Between 3 months and 1 year	3,629	2,217
Between 1 year and 5 years	2,676	3,227
More than 5 years	3,030	3,486
Perpetual maturities	17	16
Total	13,381	12,261

(44) Positive fair values from derivative financial instruments (hedge accounting)

€ million	2024	2023
Positive fair values from micro fair value hedges	91	118
Positive fair values from portfolio fair value hedges	39	25
Positive fair values from group fair value hedges	2	25
Total	131	168

Positive fair values from derivative financial instruments (hedge accounting) by maturity

€ million	2024	2023
With residual maturity of		
Up to 3 months	2	1
Between 3 months and 1 year	1	13
Between 1 year and 5 years	12	44
More than 5 years	117	110
Total	131	168

(45) Financial investments

€ million	2024	2023
Bonds, notes and other fixed-income securities	15,784	17,018
Money market instruments	102	–
Bonds and notes	15,683	17,018
Equities and other non-fixed income securities	567	466
Equities	429	351
Investment units	138	108
Other non-fixed income securities	–	7
Equity interests	635	559
Interests in unconsolidated subsidiaries	134	151
Interests in joint ventures not measured at equity	–	1
Interests in associates not measured at equity	37	3
Other equity interests	464	405
Other financial investments	21	21
Total	17,007	18,065

Financial investments by maturity

€ million	2024	2023
With residual maturity of	15,805	17,039
Up to 3 months	936	1,014
Between 3 months and 1 year	1,381	2,294
Between 1 year and 5 years	8,492	8,795
More than 5 years	4,996	4,937
Perpetual maturities	1,202	1,025
Total	17,007	18,065

For the presentation of the loss allowances for financial investments in the “financial assets mandatorily measured at fair value through other comprehensive income” category refer to note 61.

The gross carrying amount of financial assets in the “financial assets in the measured at amortised cost” category amounted to €6 million (FY 2023: €8 million), all of which comprised bonds and notes in Stage 1.

Changes in gross carrying amounts

€ million	Stage 1	
	2024	2023
As at 1 Jan	8	9
Disposals/redemptions/sales	(2)	(2)
As at 31 Dec	6	8

(46) Investment property

€ million	2024	2023
Leased property	19	20
Total	19	20

Changes in investment property

€ million	2024	2023
Cost		
As at 1 Jan	47	48
As at 31 Dec	47	47
Depreciation, writedowns and writeups		
As at 1 Jan	(27)	(27)
Depreciation	(1)	(1)
As at 31 Dec	(28)	(27)
Carrying amount		
As at 1 Jan	20	21
As at 31 Dec	19	20

As at the reporting date, the fair value of investment property was €21 million (FY 2023: €21 million). The fair value was calculated by independent experts and based on the German income method (Ertragswertverfahren) using market and geodata. The main inputs are unobservable (Level 3 in the fair value hierarchy).

As at the reporting date, there was a restriction on the realisability of an investment property in the amount of €19 million (FY 2023: €20 million).

(47) Property, plant and equipment

€ million	2024	2023
Property	187	193
Owner-occupied property	182	189
Assets leased under operating leases	5	5
Furniture and office equipment	35	39
Right-of-use assets from leases	93	119
Total	315	351

Changes in property, plant and equipment

€ million	Property ¹		Furniture and office equipment		Right-of-use assets from leases		Total	
	2024	2023	2024	2023	2024	2023	2024	2023
Cost								
As at 1 Jan	286	325	143	146	225	224	654	696
Currency-related changes	–	–	–	–	2	(1)	2	(1)
Changes in the scope of consolidation	–	–	(4)	–	(16)	–	(21)	–
Additions	–	–	10	10	14	10	24	18
Transfers	–	(37)	–	1	–	–	–	(37)
Disposals	–	(2)	(39)	(13)	(7)	(8)	(46)	(22)
As at 31 Dec	286	286	110	143	218	225	614	654
Depreciation, writedowns and writeups								
As at 1 Jan	(92)	(96)	(105)	(99)	(106)	(85)	(303)	(280)
Currency-related changes	–	–	–	–	(1)	–	(1)	1
Changes in the scope of consolidation	–	–	2	–	2	–	4	–
Depreciation	(7)	(8)	(10)	(15)	(25)	(27)	(41)	(49)
Impairments	–	–	–	(2)	–	–	–	(2)
Transfers	–	11	–	–	–	–	–	11
Disposals	–	–	38	11	6	6	44	17
As at 31 Dec	99	(92)	(75)	(105)	(125)	(106)	(298)	(303)
Carrying amount								
As at 1 Jan	193	230	39	47	119	139	351	415
As at 31 Dec	187	193	35	39	93	119	315	351

¹ Including assets leased under operating leases.

During the reporting year no property, plant and equipment was reallocated to the non-current assets or disposal groups classified as held for sale line item of the balance sheet (FY 2023: €26 million).

(48) Intangible assets

€ million	2024	2023
Internally generated intangible assets	113	111
Other intangible assets	187	155
Total	300	266

Intangible assets largely comprise internally generated and purchased software.

Changes in intangible assets

€ million	Internally generated intangible assets		Other intangible assets		Total	
	2024	2023	2024	2023	2024	2023
Cost						
As at 1 Jan	253	205	415	358	668	562
Changes in the scope of consolidation	(5)	–	(2)	–	(7)	–
Additions	39	48	61	62	100	110
Transfers	–	–	(1)	–	(1)	–
Disposals	(4)	–	(52)	(5)	(56)	(5)
As at 31 Dec	283	253	421	415	704	668
Depreciation, writedowns and writeups						
As at 1 Jan	(142)	(112)	(260)	(237)	(402)	(349)
Changes in the scope of consolidation	2	–	2	–	4	–
Depreciation	(34)	(28)	(29)	(27)	(63)	(56)
Impairments	–	(1)	–	(1)	–	(2)
Transfers	–	–	1	–	1	–
Disposals	4	–	52	5	56	5
As at 31 Dec	(170)	(142)	(235)	(260)	(404)	(402)
Carrying amount						
As at 1 Jan	111	93	155	121	266	214
As at 31 Dec	113	111	187	155	300	266

(49) Current and deferred tax assets

€ million	2024	2023
Current tax assets	184	135
Germany	183	135
Abroad	–	–
Deferred tax assets	633	705
Germany	562	633
Abroad	71	72
Total	816	840

Current tax assets arose predominantly from reimbursement claims in the consolidated tax group of BayernLB and amounted to €175 million (FY 2023: €126 million). This included income tax receivables of €44 million (FY 2023: €22 million), which were capitalised in accordance with IFRIC 23.

The following deferred taxes under assets and liabilities relate to recognition and measurement differences in individual balance sheet items, and to tax loss carryforwards:

	Deferred tax assets	Deferred tax liabilities	Deferred tax assets	Deferred tax liabilities
€ million	2024	2024	2023	2023
Loans and advances to banks and customers including risk provisions	453	107	521	173
Assets held for trading	–	488	–	411
Positive fair values from derivative financial instruments (hedge accounting) and portfolio hedge adjustment assets	741	726	930	856
Financial investments	89	4	117	3
Property, plant and equipment	1	34	1	45
Other assets	4	182	4	239
Liabilities to banks and customers	4	321	5	398
Securitised liabilities	16	5	8	70
Liabilities held for trading	545	–	519	–
Negative fair values from derivative financial instruments (hedge accounting)	146	–	90	–
Provisions	185	–	322	–
Other liabilities	135	14	124	13
Subordinated capital	–	27	3	28
Loss carryforwards and other	245	23	307	10
Sub-total	2,564	1,931	2,951	2,246
Less netting	1,931	1,931	2,246	2,246
Total deferred taxes less loss allowances and netting	633		705	

The deferred tax assets and liabilities of each reporting unit subject to taxation and of the consolidated tax group of BayernLB were fully netted, as the applicable tax laws permit current tax liabilities to be offset against current tax assets.

The €72 million reduction (FY 2023: €9 million) in net deferred tax assets and liabilities does not correspond to deferred tax expenses of €88 million (FY 2023: deferred tax income of €29 million).

The change was due to the €16 million increase in deferred taxes recognised in other comprehensive income (FY 2023: reduction of €36 million). The increase reflected, firstly, the increase in deferred taxes recognised through other comprehensive income relating to the remeasurement of defined benefit pension plans of €16 million (FY 2023: €48 million) and secondly the fall of €10 million (FY 2023: €84 million) in deferred taxes recognised through other comprehensive income relating to the revaluation surplus for gains or losses on fair value measurement of financial assets in the “financial assets mandatorily measured at fair value through other comprehensive income” category and rating-related changes in the fair value of financial liabilities from the “fair value option” category. The remaining amount of the increase of €10 million (FY 2023: reduction of €2 million) reflected the inclusion of tax effects in the retained earnings, especially from exchange rate differences.

Tax loss carryforwards and instalments for which a deferred tax asset has been recognised or not recognised are listed separately in the table below for all types of loss relevant to the BayernLB Group. The tax loss carryforwards for the consolidated tax group of BayernLB were calculated based on the findings of the tax audit of the units. The period of time in which unrecognised loss carryforwards may still be used according to the tax law applicable in each case is also shown. Tax loss carryforwards of companies subject to taxation in Germany may be used indefinitely.

€ million	2024	2023
Corporation tax		
Loss carryforwards	3,714	3,347
Loss carryforwards for which a deferred tax asset has been recognised	769	978
Loss carryforwards for which no deferred tax asset has been recognised	2,945	2,369
Expire within 10 years	1,866	605
Expire after 10 years	–	1,091
May be used indefinitely	1,079	673
Municipal trade tax		
Loss carryforwards	2,016	1,648
Loss carryforwards for which a deferred tax asset has been recognised	877	1,024
Loss carryforwards for which no deferred tax asset has been recognised	1,139	624
Expire within 10 years	368	–
Expire after 10 years	–	330
May be used indefinitely	771	294

The deferred tax assets recognised on loss carryforwards related to the tax planning for the relevant company/consolidated tax group of BayernLB.

No deferred tax assets were recognised for deductible temporary differences of €1,215 million (FY 2023: €1,404 million).

The sum of the temporary differences associated with equity interests in subsidiaries, branches, joint ventures and associates, for which, as per IAS 12.39, no deferred tax liability was recognised, amounted to €94 million (FY 2023: €134 million).

Due to tax losses not previously recognised at BayernLB level, the Group's current tax expense was reduced by €57 million (FY 2023: deferred tax expense by €33 million).

(50) Non-current assets or disposal groups classified as held for sale

€ million	2024	2023
Loans and advances to customers	38	6
Risk provisions	(1)	–
Financial investments	1	–
Investment property	13	10
Property, plant and equipment	13	16
Intangible assets	1	–
Total	65	32

The amount shown under non-current assets or disposal groups held for sale mainly related to the planned sale of FMP Forderungsmanagement Potsdam GmbH by Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB). As part of the Fit4Growth efficiency programme launched the previous year to sustainably optimise its operating model, DKB conducted a major review of its organisational structures and processes, including the Group's internal risk handling process for terminated receivables in the retail banking segment. The result is that FMP, which has been fully consolidated to date, should be sold in 2025. In view of this, FMP and the assets affected were measured as a disposal group in accordance with IFRS 5 as at 31 December 2024. They also included €1 million (FY 2023: €0 million) of debts shown in the balance sheet as liabilities of disposal groups.

(51) Other assets

€ million	2024	2023
Emissions certificates	2,223	2,113
Precious metals	436	524
Claims from reinsurance	236	234
Assets from defined benefit plans	181	289
Other assets	470	439
Total	3,545	3,600

€496 million (FY 2023: €593 million) of other assets was due after more than 12 months.

The fair value of emissions certificates was calculated using prices quoted on active markets for similar financial instruments (Level 2 of the fair value hierarchy) and was €2,223 million (FY 2023: €2,113 million) as at the reporting date.

(52) Liabilities to banks

€ million	2024	2023
Liabilities to domestic banks	46,761	48,901
Liabilities to foreign banks	4,380	3,024
Total	51,140	51,925

Liabilities to banks by maturity

€ million	2024	2023
Payable on demand	3,969	4,833
With residual maturity of	47,172	47,092
Up to 3 months	3,266	2,543
Between 3 months and 1 year	4,161	4,178
Between 1 year and 5 years	13,951	14,765
More than 5 years	25,793	25,606
Total	51,140	51,925

Liabilities to banks by product

€ million	2024	2023
Schuldschein note loans/issues	4,439	4,667
Schuldschein note loans	2,101	2,210
Registered public Pfandbriefs issued	421	446
Mortgage Pfandbriefs issued	338	377
Other registered securities	1,580	1,634
Book-entry liabilities	46,701	47,258
On-lending business/subsidised loans	38,221	38,780
Overnight and time deposits	4,503	3,350
Current account liabilities	3,464	4,023
Other liabilities	513	1,104
Total	51,140	51,925

(53) Liabilities to customers

€ million	2024	2023
Liabilities to domestic customers	129,531	136,431
Government entities/companies under public law	15,843	16,371
Private companies/private individuals	113,688	120,060
Liabilities to foreign customers	6,877	6,878
Government entities/companies under public law	1,626	1,469
Private companies/private individuals	5,251	5,409
Total	136,408	143,309

Liabilities to customers by maturity

€ million	2024	2023
With residual maturity of		
Up to 3 months ¹	111,201	121,010
Between 3 months and 1 year	11,473	7,747
Between 1 year and 5 years	4,567	5,535
More than 5 years	9,168	9,017
Total	136,408	143,309

¹ Including liabilities to customers due on demand in the amount of €92,745 million (FY 2023: €103,895 million).

Liabilities to customers by product

€ million	2024	2023
Schuldschein note loans/issues	13,389	13,566
Schuldschein note loans	1,158	1,040
Registered public Pfandbriefs issued	5,104	5,513
Mortgage Pfandbriefs issued	1,598	1,665
Other registered securities	5,530	5,348
Book-entry liabilities	123,018	129,743
Overnight and time deposits	70,777	76,546
Current account liabilities	51,356	52,554
Other liabilities	885	643
Total	136,408	143,309

(54) Securitised liabilities

€ million	2024	2023
Bonds and notes issued	44,864	42,423
Mortgage Pfandbriefs	10,447	9,665
Public Pfandbriefs	9,257	10,643
Other bonds and notes	25,160	22,115
Other securitised liabilities	7,632	7,772
Money market instruments	7,504	7,640
Miscellaneous securitised liabilities	127	132
Total	52,495	50,195

Securitised liabilities by maturity

€ million	2024	2023
With residual maturity of		
Up to 3 months	7,890	7,380
Between 3 months and 1 year	6,617	7,837
Between 1 year and 5 years	23,123	21,825
More than 5 years	14,866	13,154
Total	52,495	50,195

(55) Liabilities held for trading

€ million	2024	2023
Commitments	475	699
Liabilities from short sales	176	201
Securities repurchase transactions	99	137
Other liabilities	200	361
Negative fair values from derivative financial instruments (not hedge accounting)	6,420	7,457
Total	6,895	8,156

Liabilities held for trading by maturity

€ million	2024	2023
With residual maturity of		
Up to 3 months	915	1,043
Between 3 months and 1 year	847	1,019
Between 1 year and 5 years	1,787	2,135
More than 5 years	3,346	3,958
Total	6,895	8,156

(56) Negative fair values from derivative financial instruments (hedge accounting)

€ million	2024	2023
Negative fair values from micro fair value hedges	123	161
Negative fair values from portfolio fair value hedges	–	3
Negative fair values from group fair value hedges	117	38
Total	240	202

**Negative fair values from derivative financial instruments (hedge accounting)
by maturity**

€ million	2024	2023
With residual maturity of		
Up to 3 months	3	19
Between 3 months and 1 year	10	11
Between 1 year and 5 years	95	68
More than 5 years	132	103
Total	240	202

(57) Provisions

€ million	2024	2023
Provisions for pensions and similar obligations	514	506
Other provisions	837	656
Provisions for off-balance sheet transactions	113	109
Restructuring provisions	299	361
Miscellaneous provisions	424	186
Total	1,351	1,162

€355 million (FY 2023: €389 million) of other provisions is due after more than 12 months.

Provisions for pensions and similar obligations

The majority of the pension obligations in the BayernLB Group relate to direct or indirect pension commitments at BayernLB and are explained below in more detail.

BayernLB has both employer and employee-funded pension plans. In addition to retirement pensions, the pension benefits include disability and surviving dependants' benefits. The current pension payments are adjusted for inflation in accordance with the payscale-based increases for employees of public-sector banks, with any other relevant pension payments also factored in. For some recipients this adjustment is carried out in accordance with Section 16 of the Occupational Pensions Act (Betriebsrentengesetz).

At BayernLB, the core element of the promised defined benefit obligations provided directly by the employer to employees in Germany is the full benefits package (Gesamtversorgungszusage), modelled on the pension system for civil servants ("pension eligibility"). No more employees are being added to the number of employees eligible for civil-servant style pension benefits as BayernLB closed the scheme to new entrants at the end of the first quarter of 2009. The size of the pension commitments for defined benefit plans is based largely on each employee's salary and length of service. Civil-servant style pension benefits are agreed in individual employment contracts. Only employees with at least 20 years of eligible service who also meet other criteria such as positive performance evaluations and no negative health issues were eligible for these pension benefits. The full benefits package also

includes entitlements to allowances in the event of illness and an entitlement to payments of death benefits. Both the allowance payments and death benefits are recognised in accordance with the rules for defined benefit plans.

Pension, allowance and death benefit obligations under retirement provision law for active and former employees and their surviving dependants who fall under the guarantee obligation are covered by assets via a contractual trust arrangement (CTA with Allianz Treuhand GmbH, Stuttgart (a multi-employer trust). The assets held by the multi-employer trust qualify as plan assets. The contractual trust agreement concluded between BayernLB and the multi-employer trust also establishes insolvency protection for the immediate commitments of the company retirement fund based on the underlying plan assets. The trust association agreements place no funding obligations on the trustor. The Board of Management of BayernLB is responsible for the investment strategy for the trust's assets, decides on the investment guidelines and monitors their implementation.

BayernLB has two legally independent support funds, Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich (Versorgungskasse I) and Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich (Versorgungskasse II). Versorgungskasse I is a lump-sum endowed provident fund that manages defined benefit obligations to former employees entitled to or in receipt of vested benefits. Versorgungskasse II is likewise a lump-sum endowed provident fund that manages the portion of the benefits package that had already been earned when the arrangements were changed in respect of some occupational retirement benefits in financial year 2010. BayernLB made an individually determined one-off contribution in the form of a capital component for those employees who agreed to switch their occupational retirement benefits to the new pension system. This contribution was converted into benefit credits and took the form of a one-off payment when the life insurance contract was concluded. Versorgungskasse II is responsible for paying the pension benefits and has reinsurance cover from Allianz Lebensversicherungs AG, Stuttgart (Allianz Leben), with BayernLB as the beneficiary of the life insurance contracts. A contractual trust agreement was concluded between BayernLB (trustor) and Willis Towers Watson Gruppen-CTA (WTW; trustee) to safeguard the entitlements from the life insurance policies. As assets held in trust, BayernLB incorporated the reinsurance policies covering its pension commitments into the WTW CTA. The assets managed under the WTW CTA do not qualify as offsettable plan assets. As the beneficial owner, BayernLB reports the reimbursement rights from reinsurance as an asset on the balance sheet under other assets. Their amounts and maturities correspond to the pension benefits. BayernLB makes regular contributions to Versorgungskassen I and II in accordance with thresholds defined by fiscal law.

Under the 2005 and 2010 pension schemes, BayernLB employees in Germany acquire rights to benefit entitlements based on indirect pension commitments. To fund these pension commitments, BayernLB and current employees pay defined contributions to two external benefit providers not part of the Group (ÖBAV Unterstützungskasse e. V., Munich, and BVV Versorgungskasse des Bankgewerbes e. V., Berlin). These providers conclude reinsurance contracts to fund occupational retirement benefits. As far as the basic provision is concerned, the contributions to the pension institutions comprise employer-funded (and where relevant employee-funded) allowances based on a defined percentage of annual remuneration. In addition to the basic provision, employees can also pay supplementary contributions into the pension institution through deferred compensation via the employer. The benefits promised by BayernLB are essentially the same as the ones the external benefit providers have agreed to provide. However, the external benefit providers are not under an explicit obligation to provide annual pension rises. As an annual pension rise is not explicitly ruled out in the contract, BayernLB still has a de facto obligation to provide the benefits. Consequently these indirect pension obligations are treated formally in the net amount like defined benefit plans in accordance with IAS 19, but accounted for under the accounting regulations as defined contribution plans due to their economic substance. This means that the contribution payments made to the external benefit providers are recognised as pension costs and therefore in administrative expenses, while the present value of the pension obligations and the plan assets used to cover them are of the same size so that no pension provisions for

these pension schemes are reported on the BayernLB Group's balance sheet. Based on the current outlook, it is unlikely that the annual pension rise guarantee will be utilised in a financially significant amount.

The branch office in London in the United Kingdom (Bayerische Landesbank, London branch) has commitments under a pension fund financed by the employer and a separate, independent contribution plan. The pension fund consists of a defined benefit section and a defined contribution section and has been closed to new contributions since 2011. The risks from the defined benefit section are borne by the Bank. These are mainly investment risk and biometric risk.

Pension entitlements accrued in the fund up to the date of closure are retained. All active employees at the time of the switch were transferred to a new (solely defined contribution) plan for their future contributions for occupational retirement benefits. People joining the company can secure occupational retirement benefits only through the new contribution plan.

The trustees are responsible for implementing, adapting and complying with the regulations and the fund investment strategy. The Trustee Board consists of a member-nominated trustee and two trustees appointed by BayernLB.

UK law requires the Bank and the trustees to review the fund every three years and adapt if it necessary. The Bank is obliged under UK legislation to draw up a recovery plan for the pension fund to make up the deficit. In legal terms, both a one-off full payment into the fund and a series of payments over several years are possible.

Risks from defined benefit plans and plan assets

Both the defined benefit obligations and the plan assets are subject to fluctuations over the course of time, which can have a negative or positive impact on the financing status.

Risks arise from defined benefit obligations in the BayernLB Group in particular from changes in discount rates (affected by the change in underlying interest rates), changes in expected collective wage agreements and increases in life expectancy. The significant influence of the discount rates on the amount of pension obligations is primarily due to the long-term nature of the obligations. Significant risks in connection with commitments to provide allowances are related to rising costs for medical care.

The fair value of the plan assets is materially affected by the performance of the capital markets. The main driver of results is the level of interest rates. Unfavourable trends can not only place a burden on pension obligations, they can also affect the market value of plan assets. In terms of size, the tied equity and bond funds in the BayernLB CTA were among the most significant assets held by the BayernLB Group as at the reporting date. The investment strategy of the CTA is set, reviewed and, if necessary, adjusted by the BayernLB Investment Committee at regular intervals. Among those sitting on the Investment Committee are members of the Board of Management of BayernLB and representatives of Group Treasury, Group Risk Control, Human Resources, Research and BayernLabo. As part of the investment strategy, the maturity structure of the assets (especially the bond funds) is defined to match the future cash flows of the pension obligations. There is broad diversification across sectors and countries, with corresponding limits, to avoid any concentration of risk within the equity and bond funds. The majority of the assets are invested in the currency of the respective plan to reduce the currency risk. The performance of assets, income and risk are monitored on an ongoing basis. The investment strategies are reviewed regularly and adjusted if required. Where necessary, additional capital can be injected into the plan assets to cover future obligations from defined benefit pension plans.

The risks arising from pension plan obligations and plan assets form part of the Bank's Group-wide risk strategy.

Provisions for pensions and similar obligations recognised in the balance sheet

The figure shown in the balance sheet for pension provisions is derived as follows from the options the individual pension plans have to offset the present value of pension obligations against the fair value of plan assets and the rules governing the asset ceiling:

€ million	2024	2023
Present value of pension obligations	3,685	3,553
Fair value of plan assets	(3,366)	(3,350)
Effects of the asset ceiling	14	14
Assets from defined benefit plans	181	289
Pension provisions recognised	514	506

Reimbursement rights of €236 million (FY 2023: €234 million) were also recognised in the BayernLB Group as assets and reported under other assets. These are rights from insurance contracts (reinsurance) which correspond in terms of their size and maturity to the benefits from the related pension obligations to be paid.

Changes in provisions for pensions

€ million	Present value of pension obligations		Fair value of plan assets		Effects of the asset ceiling		Assets from defined benefit plans		Pension provisions recognised	
	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
As at 1 Jan	3,553	3,097	(3,350)	(3,065)	14	19	289	426	506	477
Currency-related changes	3	1	(4)	(1)	1	–	–	–	–	–
Current service cost	29	27	–	–	–	–	(15)	(16)	13	11
Interest income/expenses	110	109	(106)	(114)	1	1	9	17	13	14
Changes due to remeasurement	115	438	(2)	(263)	(1)	(6)	(102)	(139)	9	30
Employer contributions	–	–	(12)	(12)	–	–	–	1	(12)	(11)
Benefits paid	(124)	(120)	109	105	–	–	–	–	(14)	(15)
As at 31 Dec	3,685	3,553	(3,366)	(3,350)	14	14	181	289	514	506

Present value of pension obligations

As at the reporting date, the present value of the BayernLB Group's pension obligations was €3,685 million (FY 2023: €3,553 million). Of this, €2,519 million (FY 2023: €2,395 million) was attributable to salary-related direct commitments, €635 million (FY 2023: €641 million) to allowances in the event of illness, and €531 million (FY 2023: €517 million) to other defined benefit plans, which are determined largely on the basis of contributions to legally independent benefit providers.

The current pension obligations had an average term (capital tie-up period) of 15 years (FY 2023: 16 years).

The changes arising from the remeasurement of the present value of pension obligations are due to changes in actuarial assumptions. Of these, €-22 million (FY 2023: €462 million) related to changes in financial assumptions and €137 million (FY 2023: €-23 million) to experience-based changes (including salary and pension trends).

To calculate the impact of changes in assumptions on the present value of pension obligations, a sensitivity analysis is conducted by the external actuaries for each major measurement parameter in the same way as for the original measurement of the present value of pension obligations using the projected unit credit method. Potential correlations between the individual assumptions were not taken into account here.

A change in the assumptions used to calculate the present value of pension obligations (see note 21) of 0.5 percentage points in each case would, as at the reporting date, impact the present value of the pension obligations as follows:

€ million	0.5 percentage point increase		0.5 percentage point decrease	
	2024	2023	2024	2023
Discount rate	(249)	(413)	240	472
Changes in salaries and benefits ¹	183	169	(170)	(153)
Changes in medical costs	56	111	(45)	(96)

¹ In the sensitivity calculations, changes in estimated future salaries and benefits are shown together. These incorporate the offsetting effect from a change in the social insurance pension trend by +/-0.25 percentage points.

An increase in life expectancy (biometrics) by one year increased the pension provisions by €124 million (FY 2023: €338 million).

Fair value of plan assets

The BayernLB Group's plan assets broke down as follows:

€ million	Prices not quoted on active markets	
	2024	2023
Cash and cash equivalents	11	7
Equity instruments	487	470
Fund units	487	470
Debt instruments	2,867	2,873
Corporate bonds	4	9
Government bonds	58	58
Fund units	2,433	2,448
Reinsurance	187	174
Other debt instruments	185	186
Total	3,366	3,350

The plan assets may only be used to fulfil the pension, allowance and death benefit obligations and cover the expenses incurred in the administration of the assets.

Effects of the asset ceiling

As at 31 December 2024, the pension plan of the London branch reported plan assets in excess of pension obligations.

Change in the fair value of the reimbursement rights reported as an asset

€ million	2024	2023
As at 1 Jan	234	233
Interest income	5	5
Benefits paid	(4)	(4)
As at 31 Dec	236	234

In the BayernLB Group, rights from insurance contracts were capitalised as reimbursement claims. These were acquired by BayernLB in Germany in its role as an employer to provide funding that matches employees' entitlements in Versorgungskasse II.

The pension expenses recognised in the income statement broke down as follows:

€ million	2024	2023
Current service cost	(29)	(27)
Interest income/expenses	1	9
Total	(28)	(18)

The pension expenses in the reporting year totalling €-28 million (FY 2023: €-18 million) were recognised under net interest income in the amount of €1 million (FY 2023: €9 million) and under administrative expenses in the amount of €-29 million (FY 2023: €-27 million).

Expected contribution payments for the pension plans in the BayernLB Group for financial year 2025 are estimated to be €141 million.

The defined contribution plans involve defined contributions made to external insurers or funds. These pension plans involve no benefits obligations or risks for the BayernLB Group beyond payment of the defined contributions.

Other provisions

Provisions as per IAS 37

Changes in provisions

€ million	Restructuring provisions		Other provisions		Total	
	2024	2023	2024	2023	2024	2023
As at 1 Jan	361	357	186	158	547	515
Changes in the scope of consolidation	–	–	(3)	–	(3)	–
Utilisation	(93)	(75)	(60)	(31)	(153)	(106)
Releases	(3)	(26)	(32)	(8)	(35)	(34)
Additions	33	104	330	62	363	166
Interest	–	–	1	2	2	2
Changes in discount rate	2	3	1	2	3	6
Transfers/other changes	(1)	(2)	2	–	1	(2)
As at 31 Dec	299	361	424	186	723	547

The restructuring provisions recognised mainly related to BayernLB in the amount of €229 million (FY 2023: €287 million) for commitments in connection with restructuring and transformation measures and to Deutsche Kreditbank Aktiengesellschaft (DKB) in the amount of €71 million (FY 2023: €74 million) for the Fit4Growth efficiency programme.

Other provisions included in particular a provision relating to a legal dispute with a Russian company. BayernLB was called on to make a payment under a granted advance guarantee bond, but declined to do so due to the EU sanctions in place. BayernLB recognised a provision of €281 million for a potential payment, depending on the outcome of the legal dispute. An equal amount for the associated refund claim BayernLB has under the compensation agreement against the guarantee principal was capitalised through profit or loss in the balance sheet under “loans and advances to customers”. The expense of recognising the provision and the income from capitalisation through profit or loss are offset against each other under other income and expenses.

This item also includes provisions for human resources, the costs of storing business documents and equity interests.

The size of each provision corresponds to the best, i.e. uncertain, estimate of the amount of the liability which is likely to be utilised. In the case of litigation, neither the length of the proceedings nor the amount can be reliably predicted when the provision is created.

Loss allowances for off-balance sheet transactions

The loss allowances for financial guarantees and for revocable and irrevocable credit commitments and other contingent liabilities to which the impairment rules under IFRS 9 apply amounted to €113 million (FY 2023: €109 million) as at the reporting date and were as follows (for the breakdown of the loss allowances see note 42):

€ million	2024	2023
Loss allowances – Stage 1	16	22
Loss allowances – Stage 2	60	37
Loss allowances – Stage 3	19	42
Loss allowances – POCI	18	8
Total	113	109

Changes in loss allowances

€ million	Stage 1		Stage 2		Stage 3		POCI		Total	
	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
As at 1 Jan	22	36	37	30	42	24	8	1	109	90
Currency-related changes	–	–	–	–	(24)	(1)	25	1	1	–
Changes in the expected credit loss due to changes in the risk parameters	(7)	(6)	41	17	(11)	(7)	(1)	6	23	9
Additions due to lending/purchases ¹	17	24	28	15	4	2	12	–	62	41
Releases due to disposals/redemptions/sales	(16)	(21)	(38)	(32)	(25)	(4)	–	–	(80)	(57)
Unwinding	–	–	–	–	25	1	(24)	(1)	1	–
Reclassifications to Stage 1 from Stage 2	7	6	(7)	(6)	–	–	–	–	–	–
Reclassifications to Stage 2 from Stage 1	(7)	(17)	7	17	–	–	–	–	–	–
Reclassifications to Stage 3 from Stage 1	(1)	(1)	–	–	1	1	–	–	–	–
Reclassifications to Stage 3 from Stage 2	–	–	(9)	(4)	9	4	–	–	–	–
Transfers/other changes	–	1	–	2	(1)	22	(1)	1	(2)	25
As at 31 Dec	16	22	60	37	19	42	18	8	113	109

¹ Additions due to lending/purchases in Stages 2 and 3 mainly relate to revolving credit commitments where the default risk at the time the commitment was revived had risen significantly compared with first-time recognition and/or the borrower was credit-impaired as defined by the default criteria, but this was not the case at the time of purchase or origination.

The total volume of non-discounted expected credit losses as at first-time recognition of purchased or originated credit-impaired financial assets in the reporting year was €15 million (FY 2023: €5 million). BayernLB does not apply the rules for purchased or originated credit-impaired assets to financial guarantees or other contingent liabilities.

The exposure to financial guarantees, revocable and irrevocable credit commitments and other contingent liabilities stood at €60,938 million as at the reporting date (FY 2023: €60,897 million) and was as follows:

€ million	2024	2023
Off-balance sheet transactions – Stage 1	50,063	48,773
Off-balance sheet transactions – Stage 2	10,627	11,850
Off-balance sheet transactions – Stage 3	189	258
Off-balance sheet transactions – POCI	59	15
Total	60,938	60,897

The table below shows the extent to which changes in the exposure to financial guarantees, credit commitments and other contingent liabilities contributed to changes in the loss allowance.

Change in exposure as at 31 December 2024

	Stage 1	Stage 2	Stage 3	POCI	Total
€ million	2024	2024	2024	2024	2024
As at 1 Jan	48,773	11,850	258	15	60,897
Currency-related changes	348	195	2	1	545
Changes in the scope of consolidation	(1)	–	–	–	(1)
Lending/purchases ¹	44,008	9,947	190	156	54,300
Disposals/redemptions/sales	(44,018)	(10,221)	(452)	(113)	(54,803)
Reclassifications to Stage 1 from Stage 2	7,424	(7,424)	–	–	–
Reclassifications to Stage 1 from Stage 3	15	–	(15)	–	–
Reclassifications to Stage 2 from Stage 1	(6,399)	6,399	–	–	–
Reclassifications to Stage 2 from Stage 3	–	8	(8)	–	–
Reclassifications to Stage 3 from Stage 1	(86)	–	86	–	–
Reclassifications to Stage 3 from Stage 2	–	(127)	127	–	–
As at 31 Dec	50,063	10,627	189	59	60,938

¹ Lending/purchases in Stages 2 and 3 result in particular from revolving credit commitments where the where the default risk at the time the commitment was revived was significantly higher than at first-time recognition and/or the borrower was credit-impaired as defined by default criteria as at the time of drawing, but not at the time of purchase or origination.

Change in exposure as at 31 December 2023

	Stage 1	Stage 2	Stage 3	POCI	Total
€ million	2023	2023	2023	2023	2023
As at 1 Jan	50,865	4,816	100	4	55,785
Currency-related changes	(207)	(52)	(1)	–	(260)
Lending/purchases ¹	35,588	8,186	124	30	43,928
Disposals/redemptions/sales	(38,702)	(5,897)	(218)	(19)	(44,836)
Reclassifications to Stage 1 from Stage 2	4,960	(4,960)	–	–	–
Reclassifications to Stage 1 from Stage 3	3	–	(3)	–	–
Reclassifications to Stage 2 from Stage 1	(7,649)	7,649	–	–	–
Reclassifications to Stage 3 from Stage 1	(99)	–	99	–	–
Reclassifications to Stage 3 from Stage 2	–	(44)	44	–	–
Transfers/other changes	4,012	2,153	114	–	6,279
As at 31 Dec	48,773	11,850	258	15	60,897

¹ Lending/purchases in Stages 2 and 3 result in particular from revolving credit commitments where the where the default risk at the time the commitment was revived was significantly higher than at first-time recognition and/or the borrower was credit-impaired as defined by default criteria as at the time of drawing, but not at the time of purchase or origination.

Refer to note 75 for details about the post-model adjustment shown as at 31 December 2024.

(58) Current and deferred tax liabilities

€ million	2024	2023
Current tax liabilities	92	203
Germany	92	203
Total	92	203

The current income tax liabilities largely resulted from the consolidated tax group of Deutsche Kreditbank Aktiengesellschaft (DKB) (€77 million) and the consolidated tax group of BayernLB (€15 million).

A breakdown of deferred tax liabilities is given in note 49, alongside the breakdown for deferred tax assets.

(59) Other liabilities

€ million	2024	2023
Accruals	329	358
Non-controlling interests (debt instruments)	219	160
Lease liability from right-of-use assets	96	122
Other liabilities	140	127
Total	784	767

€103 million (FY 2023: €116 million) of other liabilities is due after more than 12 months.

(60) Subordinated capital

€ million	2024	2023
Subordinated liabilities	2,847	2,812
Total	2,847	2,812

Subordinated capital by maturity

€ million	2024	2023
With residual maturity of	2,847	2,812
Up to 3 months	49	33
Between 3 months and 1 year	71	–
Between 1 year and 5 years	351	335
More than 5 years	2,375	2,444
Total	2,847	2,812

(61) Equity

€ million	2024	2023
Equity excluding non-controlling interests	15,493	14,621
Subscribed capital	3,412	3,412
Statutory nominal capital	2,800	2,800
Capital contribution	612	612
Capital surplus	2,182	2,182
Retained earnings	9,346	8,792
Statutory reserve	1,268	1,268
Other retained earnings	8,079	7,524
Revaluation surplus	(49)	(117)
Foreign currency translation reserve	2	2
Distributable profit	600	350
Non-controlling interests	–	12
Total	15,493	14,633

Subscribed capital

BayernLB Holding AG, Munich, holds 100% of BayernLB's nominal capital. As at 31 December 2024, the Free State of Bavaria's equity interest in BayernLB Holding AG was about 75% and the equity interest of the Association of Bavarian Savings Banks, Munich, was around 25%.

The capital contribution, reported as specific-purpose capital up to 31 December 2012, was created by a contribution in kind by the Free State of Bavaria in the form of subsidised loans in 1994/1995. Its basis was the law on the formation of special-purpose assets through the transfer of receivables held in trust belonging to the Free State of Bavaria to the liable equity capital of Bayerische Landesbank Girozentrale of 23 July 1994, as most recently amended by the law of 9 May 2006, and the contribution agreements of 15 December 1994 and 28 December 1995, each as most recently amended by agreement of 23 December 2005. The special-purpose assets transferred are used to construct social housing. To ensure various equity components are recognised as Common Equity Tier 1 capital under the CRR/CRD IV requirements applicable since 1 January 2014, specific-purpose capital was modified and transferred to the capital contribution reported in subscribed capital with effect from 1 January 2013.

Capital surplus

The capital surplus is derived mainly from additional contributions to the parent company's equity.

Retained earnings

Allocations to the reserves from earnings generated in previous years and the reporting year are reported in retained earnings.

In addition, retained earnings included the effects from the remeasurement of defined benefit pension plans of €831 million (FY 2023: €736 million).

Revaluation surplus

€ million	2024	2023
Gains or losses on fair value measurement of financial assets in the “financial assets mandatorily measured at fair value through other comprehensive income” category	(162)	(273)
Loss allowances for financial assets in the “financial assets mandatorily measured at fair value through other comprehensive income” category	4	6
Rating-related changes in the fair value of financial liabilities from the “fair value option” category recognised through other comprehensive income	119	147
Gains or losses on changes in the fair value of currency swaps arising from currency basis spread fluctuations	(11)	(7)
Deferred taxes recognised through other comprehensive income	2	11
Total	(49)	(117)

The loss allowances for financial assets in the “financial assets mandatorily measured at fair value through other comprehensive income” category were as follows (for the breakdown of the loss allowances see note 42):

€ million	2024	2023
Loss allowances – Stage 1	2	2
Loss allowances – Stage 2	1	3
Loss allowances – POCI	1	1
Total	4	6

Changes in loss allowances – Stage 1

€ million	Financial investments	
	2024	2023
As at 1 Jan	2	3
Changes in the expected credit loss due to changes in the risk parameters	(2)	(1)
Reclassifications to Stage 1 from Stage 2	3	2
Reclassifications from Stage 1 to Stage 2	(1)	(2)
As at 31 Dec	2	2

Changes in loss allowances – Stage 2

€ million	Financial investments	
	2024	2023
As at 1 Jan	3	5
Changes in the expected credit loss due to changes in the risk parameters	–	(2)
Reclassifications to Stage 2 from Stage 1	1	2
Reclassifications from Stage 2 to Stage 1	(3)	(2)
As at 31 Dec	1	3

Loss allowances for purchased or originated credit-impaired financial assets (POCI) remained unchanged at €1 million as at the reporting date (FY 2023: €1 million) and, as in the previous year, all of them related to loans and advances to customers.

The gross carrying amount of financial assets in the “financial assets mandatorily measured at fair value through other comprehensive income” category was €16,781 million (FY 2023: €18,284 million) as at the reporting date and was as follows:

€ million	2024	2023
Financial assets – Stage 1	14,684	12,396
Financial assets – Stage 2	2,095	5,887
Financial assets – POCI	2	2
Total	16,781	18,284

The table below shows the extent to which changes in the gross carrying amount of financial assets contributed to changes in the loss allowance.

Changes in gross carrying amounts – Stage 1

€ million	Cash reserves		Financial investments		Total	
	2024	2023	2024	2023	2024	2023
As at 1 Jan	674	590	11,722	16,228	12,396	16,818
Currency-related changes	74	(30)	115	(79)	188	(109)
Lending/purchases	686	683	2,381	2,511	3,067	3,194
Disposals/redemptions/sales	(716)	(569)	(3,945)	(3,552)	(4,661)	(4,122)
Reclassifications to Stage 1 from Stage 2	–	–	5,096	1,650	5,096	1,650
Reclassifications from Stage 1 to Stage 2	–	–	(1,417)	(5,000)	(1,417)	(5,000)
Transfers/other changes	–	–	17	(36)	17	(36)
As at 31 Dec	716	674	13,968	11,722	14,684	12,396

Changes in gross carrying amounts – Stage 2

€ million	Financial investments	
	2024	2023
As at 1 Jan	5,887	2,171
Lending/purchases ¹	639	516
Disposals/redemptions/sales	(769)	(161)
Reclassifications to Stage 2 from Stage 1	1,417	5,000
Reclassifications from Stage 2 to Stage 1	(5,096)	(1,650)
Transfers/other changes	15	11
As at 31 Dec	2,095	5,887

¹ Lending/purchases result in particular from bonds, notes and other fixed-income securities, which were added in the reporting year and for which the default risk has significantly increased in the reporting year compared to first-time recognition.

The gross carrying amount for purchased or originated credit-impaired financial assets (POCI) stood at €2 million as at the reporting date (FY 2023: €2 million), and as in the previous year related entirely to customers reclassified during the year to non-current assets or disposal groups held for sale.

Distributable profits

The distributable profits of the BayernLB Group correspond to the consolidated profit after changes in reserves.

Notes to financial instruments

(62) Fair value of financial instruments

	Fair value ¹	Carrying amount	Fair value ¹	Carrying amount
€ million	2024	2024	2023	2023
Assets				
Cash reserves	2,301	2,301	1,858	1,858
Loans and advances to banks ^{2,3}	52,158	52,182	69,262	69,312
Loans and advances to customers ^{2,3}	173,744	181,750	160,739	171,069
Assets held for trading	13,417	13,381	12,291	12,261
Positive fair values from derivative financial instruments (hedge accounting)	131	131	168	168
Financial investments	17,007	17,007	18,065	18,065
Non-current assets or disposal groups classified as held for sale	40	38	6	6
Liabilities				
Liabilities to banks	50,598	51,140	50,926	51,925
Liabilities to customers	135,946	136,408	142,645	143,309
Securitised liabilities	51,516	52,495	48,584	50,195
Liabilities held for trading	6,895	6,895	8,156	8,156
Negative fair values from derivative financial instruments (hedge accounting)	240	240	202	202
Other liabilities	219	219	160	160
Subordinated capital	2,769	2,847	2,507	2,812

¹ The carrying amounts for each current financial instrument of other assets and liabilities are a reasonable approximation of fair value. In accordance with IFRS 7.29 (a), these are therefore not disclosed. Furthermore, in accordance with IFRS 7.29 (d), no disclosure is made on these lease liabilities.

² Carrying amounts not including a deduction of loss allowances for loans and advances to banks in the amount of €17 million (FY 2023: €17 million) and loans and advances to customers in the amount of €1,523 million (FY 2023: €1,245 million) in the "financial assets measured at amortised cost" category.

³ Carrying amounts not including a portfolio hedge adjustment asset of a negative €2,526 million (FY 2023: negative €3,216 million) for hedged items recognised in loans and advances to banks and loans and advances to customers for which fair value hedge accounting in the form of portfolio hedges was used.

For details on the fair value calculation, refer to note 6.

Day one profit or loss

Changes in the day one profit or loss reserve

	Assets held for trading	
€ million	2024	2023
As at 1 Jan	29	19
Allocations through other comprehensive income	15	19
Releases through profit and loss	(9)	(8)
As at 31 Dec	36	29

The day one profit or loss reserve comprises solely derivative financial instruments.

(63) Financial instrument measurement categories**Assets**

€ million	2024	2023
Financial assets measured at fair value through profit or loss	14,784	13,402
Financial assets mandatorily measured at fair value through profit or loss	14,711	13,327
Loans and advances to customers	98	11
Assets held for trading	13,381	12,261
Financial investments	1,232	1,055
Non-current assets or disposal groups classified as held for sale	1	-
Fair value option	73	75
Financial investments	73	75
Financial assets measured at amortised cost	235,536	241,652
Cash reserves	1,585	1,184
Loans and advances to banks ¹	52,182	69,312
Loans and advances to customers ¹	181,652	171,056
Financial investments	6	8
Non-current assets or disposal groups classified as held for sale	34	6
Other assets	78	86
Financial assets measured at fair value through other comprehensive income	16,416	17,603
Financial assets mandatorily measured at fair value through other comprehensive income	16,416	17,603
Cash reserves	716	674
Loans and advances to customers	-	2
Financial investments	15,697	16,927
Non-current assets or disposal groups classified as held for sale	3	-
Derivative financial instruments in hedges (hedge accounting)	131	168
Positive fair values from derivative financial instruments (hedge accounting)	131	168

¹ Not including deduction of loss allowances.

Liabilities

€ million	2024	2023
Financial liabilities measured at fair value through profit or loss	14,164	14,856
Held-for-trading financial liabilities	6,895	8,156
Liabilities held for trading	6,895	8,156
Fair value option	7,269	6,700
Liabilities to banks	160	164
Liabilities to customers	2,580	2,391
Securitised liabilities	4,311	3,985
Other liabilities	219	160
Financial liabilities measured at amortised cost	235,895	241,753
Liabilities to banks	50,981	51,761
Liabilities to customers	133,828	140,918
Securitised liabilities	48,184	46,210
Other liabilities	54	52
Subordinated capital	2,847	2,812
Derivative financial instruments in hedges (hedge accounting)	240	202
Negative fair values from derivative financial instruments (hedge accounting)	240	202
Lease liabilities	96	122

In addition, as at the reporting date there was a portfolio hedge adjustment asset of a negative €2,526 million (FY 2023: negative €3,216 million) for hedged items for which fair value hedge accounting in the form of portfolio hedges was used. This is assigned to the “financial assets measured at amortised cost” category.

(64) Fair value hierarchy of financial instruments

The fair value hierarchy divides the inputs used to measure the fair value of financial instruments into three levels:

- Level 1: Unadjusted quoted prices for identical financial instruments in active markets that the BayernLB Group can access at the measurement date
- Level 2: Inputs not included within Level 1 that are observable either directly or indirectly, i.e. quoted prices for similar financial instruments in active markets, quoted prices in markets that are not active, other observable inputs that are not quoted prices, and market-corroborated inputs
- Level 3: Unobservable inputs

Financial instruments measured at fair value

In the overviews below, financial instruments recognised at fair value in the balance sheet are classified as: being measured with prices quoted on active markets (Level 1); having their fair value calculated using measurement methods whose key inputs can be directly or indirectly observed (Level 2); or not being based on observable market data (Level 3).

€ million	Level 1		Level 2		Level 3		Total	
	2024	2023	2024	2023	2024	2023	2024	2023
Assets								
Cash reserves	716	674	–	–	–	–	716	674
Loans and advances to customers	–	–	–	–	98	13	98	13
Assets held for trading	163	380	13,060	11,712	194	199	13,417	12,291
Positive fair values from derivative financial instruments (hedge accounting)	–	–	131	159	–	8	131	168
Financial investments	9,092	11,299	7,561	6,454	348	304	17,002	18,057
Non-current assets or disposal groups classified as held for sale	–	–	–	–	4	–	4	–
Total	9,972	12,353	20,752	18,326	644	524	31,368	31,202
Liabilities								
Liabilities to banks	–	–	160	164	–	–	160	164
Liabilities to customers	–	–	2,580	2,391	–	–	2,580	2,391
Securitised liabilities	1,584	1,556	2,727	2,429	–	–	4,311	3,985
Liabilities held for trading	49	65	6,836	8,044	10	47	6,895	8,156
Negative fair values from derivative financial instruments (hedge accounting)	–	–	240	202	–	–	240	202
Other liabilities	–	–	219	160	–	–	219	160
Total	1,632	1,621	12,761	13,390	10	47	14,404	15,058

Fair values calculated on the basis of unobservable market data (Level 3) by risk type

€ million	Interest rate risks		Currency risks		Equity and other price risks		Total	
	2024	2023	2024	2023	2024	2023	2024	2023
Assets								
Loans and advances to customers	98	13	–	–	–	–	98	13
Assets held for trading	192	197	2	2	–	–	194	199
Positive fair values from derivative financial instruments (hedge accounting)	–	8	–	–	–	–	–	8
Financial investments	21	21	–	–	327	283	348	304
Non-current assets or disposal groups classified as held for sale	–	–	–	–	4	–	4	–
Total	311	239	2	2	331	283	644	524
Liabilities								
Liabilities held for trading	7	45	2	2	–	–	10	47
Total	7	45	2	2	–	–	10	47

Reclassifications between Level 1 and 2

€ million	Reclassifications			
	to Level 1 from Level 2		to Level 2 from Level 1	
	1 Jan – 31 Dec 2024	1 Jan – 31 Dec 2023	1 Jan – 31 Dec 2024	1 Jan – 31 Dec 2023
Assets				
Assets held for trading	14	106	27	–
Financial investments	1,199	2,531	2,542	872
Total	1,213	2,637	2,569	872
Liabilities				
Securitised liabilities	531	513	512	–
Liabilities held for trading	–	10	14	–
Total	531	522	525	–

In the reporting year, financial instruments were reclassified between Level 1 and Level 2, as they again or no longer met the respective cumulative criteria for the definition of active markets (see the comments in note 6). The level transfers mainly related to bonds and notes. The amounts reclassified were calculated on the basis of the fair value as at the end of the reporting year.

Changes in fair values calculated on the basis of unobservable market data (Level 3) – assets

€ million	Loans and advances to customers		Assets held for trading		Positive fair values from derivative financial instruments (hedge accounting)		Financial investments		Total	
	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
As at 1 Jan	13	13	199	156	8	–	304	316	524	484
Currency-related changes	–	–	–	(2)	–	–	1	(1)	2	(3)
Income and expenses recognised in the income statement	9	(1)	9	1	(3)	8	41	(11)	56	(2)
Purchases	80	1	196	166	–	–	34	6	310	173
Sales	–	–	(186)	(70)	–	–	(32)	(6)	(219)	(76)
Settlements (repayments/redemptions)	–	–	(13)	(48)	–	–	–	–	(14)	(48)
Reclassifications to Level 3 from Levels 1 and 2	–	–	4	1	–	–	–	–	4	1
Reclassifications from Level 3 to Levels 1 and 2	–	–	(50)	(14)	(5)	–	–	–	(55)	(14)
Transfers/other changes	(3)	–	35	9	–	–	(1)	–	35 ¹	9
As at 31 Dec	98	13	194	199	–	8	348	304	644	524
Income and expenses recognised in the income statement during the financial year for financial instruments held at 31 Dec	9	(1)	11	23	(1)	8	41	(11)	60	19

¹ Including €4 million (FY 2023: €0 million) from non-current assets or disposal groups classified as held for sale.

Changes in fair values calculated on the basis of unobservable market data (Level 3) – liabilities

€ million	Liabilities held for trading	
	2024	2023
As at 1 Jan	47	15
Currency-related changes	(9)	(3)
Income and expenses recognised in the income statement	(33)	(2)
Purchases	–	43
Sales	(1)	–
Reclassifications to Level 3 from Levels 1 and 2	3	–
Reclassifications from Level 3 to Levels 1 and 2	(33)	(16)
Transfers/other changes	35	9
As at 31 Dec	10	47
Income and expenses recognised in the income statement during the financial year for financial instruments held at 31 Dec	(28)	2

The income and expenses recognised in the income statement are shown under net interest income, risk provisions, gains or losses on fair value measurement, gains or losses on hedge accounting and gains or losses on financial investments.

Non-observable inputs were assessed for materiality at the end of the reporting year based on their fair value. As a result financial instruments were reclassified to Level 3 from Levels 1 and 2 and from Level 3 to Levels 1 and 2, as counterparty and own default risk again had or no longer had a significant influence on the fair value measurement as at the reporting date.

The measurement models used to calculate fair value must conform with accepted financial measurement methods and take account of all factors market participants would consider reasonable when setting a price. Within the BayernLB Group, the models used, including any major changes, are reported to the Board of Management for approval mainly by Group Risk Control and Group Development in the form of a separate resolution or as part of their regular reporting. All calculated fair values are subject to internal controls and are independently checked or validated by a second officer from the risk-control units and the divisions with responsibility for equity interests (dual control principle). The procedures used for this are contained in the guidelines approved by the Board of Management for the BayernLB Group. Significant changes in fair values calculated on the basis of unobservable market data (Level 3) are communicated to the respective division managers and Board of Management separately as at the reporting dates.

Significant unobservable parameters and their sensitivities

Product	Significant, non-observable parameters	Range		Change in parameter	Potential fair value change recognised through profit or loss in € million	
		31 Dec 2024	31 Dec 2023		31 Dec 2024	31 Dec 2023
Credit transactions	Measurement spread	–2.8% to 22.2%	–2.5% to 10.8%	+10 basis points	–1.1	–2.0
				–10 basis points	+1.1	+2.0
Derivative financial instruments	Loss given default	8.9% to 100.0%	12.2% to 77.4%	+10 percentage points	–0.9	–1.0
				–10 percentage points	+1.0	+1.0
	Rating	0 to 16	0 to 16	+1 notch	–0.7	–0.6
				–1 notch	+0.6	+0.4
Preferred stock in Visa Inc., San Francisco	Conversion ratios for Visa Inc. common stock	N/A	N/A	+10 percentage points	+2.4	+3.5
				–10 percentage points	–2.4	–3.5
Equity interests ¹	Basic interest rate	2.0% to 3.0%	2.25% to 2.75%	+50 basis points	–6.0	–3.9
				–50 basis points	+6.6	+4.3
	Market risk premium	6.5% to 7.5%	6.75% to 7.25%	+50 basis points	–5.8	–3.5
				–50 basis points	+6.5	+3.9

¹ Calculation of the fair value of equity interests based on the German income method.

Financial instruments measured at amortised cost

In the overview below, the fair values of the financial instruments recognised at amortised cost in the balance sheet are classified according to whether they are measured with prices quoted on active markets (Level 1); calculated using measurement methods whose key inputs can be directly or indirectly observed (Level 2); or not based on observable market data (Level 3).

€ million	Level 1		Level 2		Level 3		Total	
	2024	2023	2024	2023	2024	2023	2024	2023
Assets								
Cash reserves	–	–	–	–	1,585	1,184	1,585	1,184
Loans and advances to banks	–	–	10,778	16,062	41,381	53,200	52,158	69,262
Loans and advances to customers	–	–	4,609	3,806	169,037	156,920	173,646	160,726
Financial investments	–	–	–	–	6	8	6	8
Non-current assets or disposal groups classified as held for sale	–	–	–	–	36	6	36	6
Total		–	15,387	19,868	212,044	211,317	227,431	231,185
Liabilities								
Liabilities to banks	–	–	7,883	6,918	42,555	43,843	50,438	50,762
Liabilities to customers	–	–	29,213	31,610	104,153	108,644	133,366	140,254
Securitised liabilities	6,676	6,958	40,529	37,641	–	–	47,205	44,599
Subordinated capital	–	–	2,769	2,507	–	–	2,769	2,507
Total	6,676	6,958	80,394	78,676	146,709	152,487	233,779	238,122

(65) Financial instruments designated at fair value through profit or loss

The maximum default risk for financial assets in the “fair value option” category was €96 million as at the reporting date (FY 2023: €90 million). The rating-related change in the fair value of these financial assets was €2 million in the reporting year (FY 2023: €1 million), and €0 million (FY 2023: €1 million) since designation.

The rating-related changes in fair value are calculated as the difference between the changes in the fair value of financial assets and the changes in the fair value of financial instruments measured on the basis of a risk-free yield curve. Only parameters observable on the market (prices of high-quality bonds) are used when determining rating-related changes in the fair value.

For financial liabilities in the “fair value option” category, there was €119 million in rating-related changes in fair value booked to the revaluation surplus within other comprehensive income (FY 2023: €147 million). Due to the derecognition of financial liabilities in the reporting year, a reclassification was made within equity from the revaluation surplus to the retained earnings in the amount of €1 million (FY 2023: €1 million). The difference between the carrying amount of the financial liabilities in the “fair value option” category and the redemption amount at maturity was €-132 million as at the reporting date (FY 2023: €-294 million) during the year under review.

The rating-related changes in the fair value of the financial liabilities are calculated as the sum of the monthly changes in the fair value in the reporting period or from designation, taking into account the residual maturities of the liabilities and adjusted for portfolio changes. The monthly changes are calculated as the difference between the fair values, which – while retaining all other market parameters – are calculated on the one hand with the credit spread at the end of each month and on the other with the credit spread at the end of the previous month. Only parameters observable on the market are used when calculating rating-related changes in the fair value; estimates are not employed.

The BayernLB Group held financial liabilities designated to the “fair value option” category primarily in connection with structured issues and liabilities with embedded derivatives. The BayernLB Group recognises credit rating-related changes in the fair value in other comprehensive income rather than through profit or loss, as there are currently no reporting or measurement inconsistencies (see note 6 for more details). The determination as to whether this would give rise to or exacerbate a reporting or measurement inconsistency is to be made in the new product process, i.e. upon initial recognition of the financial instrument, and the choice maintained in subsequent periods. The determination is based on an analysis of whether the change in the fair value of a financial liability resulting from a change in its credit risk will be offset by the change in the fair value of another financial instrument (based on the change in its default risk). Such offsetting must be based on an economic relationship between the two financial instruments, including but not limited to contractual linkage.

(66) Hedging relationships (hedge accounting)

Derivative financial instruments are used for risk management purposes to hedge recognised financial assets and recognised financial liabilities to which hedge accounting can be applied under certain circumstances. Hedge accounting in the BayernLB Group is based on the decisions by Treasury (interest rate risk management). Further information on the risk strategy and the management and monitoring of risks can be found in the risk report (see the credit risk and market risk sections) in the combined management report.

At present, only fair value hedges come under hedge accounting. This involves financial assets or financial liabilities (or a portion of them) recognised on the balance sheet, or a portfolio or group of financial instruments, being hedged against changes in fair value resulting from interest rate or currency risk, which could affect the earnings for the period. Hedges must be proven to have a high prospective and, in the case of a portfolio fair value hedge in accordance with IAS 39, a high retrospective effectiveness. If this is not the case, the hedge must be terminated. The BayernLB Group measures effectiveness largely using a regression analysis and the critical term match method.

Hedging interest rate risks

Hedge accounting for interest rate risks is conducted in the BayernLB Group in the form of micro fair value hedges in accordance with IFRS 9 and portfolio fair value hedges in accordance with IAS 39. In its portfolio hedge accounting, BayernLB uses the percentage method and the bottom-layer method.

This involves the use of hedged items subject to interest rate risk. The entire interest rate risk is generally hedged. This means that most of the changes in fair value are covered by hedges. Interest rate derivatives are used as hedging instruments.

The changes in the value of the hedged items and the hedging instruments cancel each other out. Possible reasons for ineffective hedges during the term of the hedge include:

- The factors determining the value between a hedged item and a hedging instrument not being perfectly matched
- A multi-curve effect arising from the measurement of a hedged item and hedging instrument with different yield curves

As part of a portfolio fair value hedge based on the percentage method, interest rate risk is managed using interest rate swaps and a dynamic hedging strategy is employed. The pre-defined hedging period is one month. After this period ends, the respective hedges are recombined or adjusted, which in the latter case is primarily based on the variations on the hedged-items side. To determine the hedge ratio, the terms of the hedged items and hedging instruments are taken into account so that interest rate sensitivities are calculated for both sides and placed in relation to each other. The interest rate swaps are designated in full as hedging instruments.

Under the bottom-layer method, a portfolio fair value hedge is a dynamic hedging strategy in which a bottom layer is determined as a hedged item for each portfolio, corresponding to the amount to be hedged. Interest rate swaps are used as hedging instruments. The pre-defined hedging period is one month. An adjustment is made when the bottom layer has to be adjusted.

Hedging instruments for foreign currency risks

The BayernLB Group hedges currency risks using group fair value hedges in accordance with IFRS 9, where the bottom layer of a whole population of hedged items is designated. Currency swaps are used as hedging instruments. They are designated as group hedges per currency. The currency basis spread is separated from the currency swap and exempted from being designated as a hedging instrument. The entire spot rate-related change in the value of the bottom layer is hedged per currency.

The changes in the value of the hedged items and the hedging instruments cancel each other out. A hedge can become ineffective during its term if the gains or losses from the measurement of the interest rate from both variable legs of the currency swap do not offset the corresponding measurement gains or losses of the hedged items measured only at the spot rate.

Hedging instruments

€ million	Nominal value		Carrying amount			
	2024	2023	Assets		Liabilities	
			2024	2023	2024	2023
Interest rate risks	48,069	44,478	130	143	123	164
Currency risks	2,213	2,324	2	25	117	38
Total	50,282	46,802	131	168	240	202

The hedging instruments are shown in the balance sheet under positive fair values of derivative financial instruments (hedge accounting) and negative fair values of derivative financial instruments (hedge accounting).

Hedging instruments by maturity

€ million	Nominal value			
	Interest rate risks		Currency risks	
	2024	2023	2024	2023
Residual maturities				
Up to 3 months	1,424	1,759	120	91
Between 3 months and 1 year	1,911	2,006	232	175
Between 1 year and 5 years	14,485	13,545	1,362	1,592
More than 5 years	30,250	27,169	500	466
Total	48,069	44,478	2,213	2,324

The average price or rate of the instruments used to hedge interest rate risks was 1.69% (FY 2023: 1.50%). This does not include hedging instruments in dynamic hedges. The average price of instruments used to hedge GBP currency risks was EUR/GBP 0.85 (FY 2023: EUR/GBP 0.85) and for USD currency risks it was EUR/USD 1.14 (FY 2023: EUR/USD 1.14).

Hedged items

€ million	Carrying amount ¹		Fair value hedge adjustments in the carrying amount ²	
	2024	2023	2024	2023
Assets				
Interest rate risks	37,165	33,867	(345)	(625)
Loans and advances to banks	97	95	(6)	(10)
Loans and advances to customers	24,775	21,144	(136)	(207)
Financial investments	6,680	7,118	(203)	(409)
Various ³	5,613	5,511	–	–
Total	37,165	33,867	(345)	(625)
Liabilities				
Interest rate risks	19,363	17,422	(405)	(728)
Liabilities to banks	1,258	1,018	5	(9)
Liabilities to customers	2,799	2,891	(331)	(403)
Securitised liabilities	14,695	12,922	(21)	(216)
Subordinated capital	611	591	(58)	(100)
Total	19,363	17,422	(405)	(728)

¹ Not including deductions of loss allowances for loans and advances to banks and/or loans and advances to customers in the “financial assets measured at amortised cost” category.

² Not including fair value hedge adjustments for hedged items for which fair value hedge accounting in the form of portfolio hedges was used.

³ Bottom layer designated in the portfolio fair value hedge (bottom layer method) which covers the financial instruments in the loans and advances to banks and loans and advances to customers line items in the balance sheet.

Currency risks are also hedged using group fair value hedges, where the bottom layer of a population of hedged items recognised in loans and advances to banks, loans and advances to customers and financial investments is designated. Their nominal value was €2,213 million as at the reporting date (FY 2023: €2,324 million).

The fair value hedge adjustment¹ remaining on the balance sheet from terminated hedges broke down as follows:

€ million	2024	2023
Assets		
Interest rate risks	(1)	2
Loans and advances to customers	(1)	2
Total	(1)	2
Liabilities		
Interest rate risks	78	92
Liabilities to banks	21	22
Liabilities to customers	54	65
Securitised liabilities	2	4
Total	78	92

¹ Not including fair value hedge adjustments for hedged items for which fair value hedge accounting in the form of portfolio hedges was used.

In addition, as at the reporting date there was a portfolio hedge adjustment asset of a negative €2,526 million (FY 2023: negative €3,216 million) for hedged items for which fair value hedge accounting in the form of portfolio hedges was used. Of this, a negative €2,176 million (FY 2023: negative €2,827 million) related to hedges still existing as at the reporting date and a negative €350 million (FY 2023: negative €389 million) to hedges that had been terminated.

Hedge ineffectiveness

€ million	Change in value of hedging instruments		Change in value of hedged items		Hedge ineffectiveness	
	2024	2023	2024	2023	2024	2023
Interest rate risks	(308)	(986)	371	945	63	(41)
Gains or losses on hedge accounting	(308)	(986)	371	945	63	(41)
Micro fair value hedges	32	183	(31)	(175)	–	8
Portfolio fair value hedges	(340)	(1,169)	402	1,120	63	(49)
Currency risks	(119)	(12)	118	7	(1)	(5)
Gains or losses on hedge accounting	(119)	(12)	118	7	(1)	(5)
Group fair value hedges	(119)	(12)	118	7	(1)	(5)
Total	(427)	(998)	489	952	62	(46)

Hedging costs

The following table shows the changes in the fair value of currency swaps arising from currency basis spread fluctuations booked as hedging costs in the revaluation surplus. In the case of these group fair value hedges only period-related hedged items are hedged against changes in fair value arising from currency risk.

€ million	2024	2023
As at 1 Jan	(7)	(8)
Hedging costs recognised through other comprehensive income	(5)	(4)
Changes in deferred taxes recognised through other comprehensive income	3	–
Reclassifications of hedging costs recognised through profit or loss	–	5
As at 31 Dec	(9)	(7)

Refer to the statement of comprehensive income for a breakdown of other comprehensive income in accordance with IAS 1.

(67) Net profit or loss from financial instruments

The net profit or loss on financial instruments in each category incorporates the gains or losses from measurement and realisation.

€ million	2024	2023
Financial assets and financial liabilities measured at fair value through profit or loss	357	246
Financial assets mandatorily measured at fair value through profit or loss/held-for-trading financial liabilities ¹	461	283
Gains or losses on fair value measurement	438	285
Gains or losses on financial investments	23	(2)
Fair value option	(105)	(38)
Gains or losses on fair value measurement	(78)	(60)
Change in the revaluation surplus ²	(26)	22
Financial assets measured at amortised cost	(11)	908
Risk provisions	(481)	(184)
Gains or losses on hedge accounting ³	475	1,194
Gains or losses on derecognised financial assets	(5)	(102)
Financial assets measured at fair value through other comprehensive income	337	855
Financial assets mandatorily measured at fair value through other comprehensive income	337	855
Risk provisions	2	3
Gains or losses on hedge accounting ³	178	347
Gains or losses on financial investments	(54)	(69)
Change in the revaluation surplus ⁴	211	574
Financial liabilities measured at amortised cost	(262)	(546)
Gains or losses on hedge accounting ³	(281)	(596)
Other income and expenses	19	51
Derivative financial instruments in hedges (hedge accounting)	(308)	(986)
Gains or losses on hedge accounting ³	(308)	(986)

1 Includes current income from financial instruments held for trading purposes (except for derivatives in economic hedges) and gains or losses on foreign currency translation.

2 Rating-related changes in the fair value of financial liabilities recognised through other comprehensive income.

3 Not including group fair value hedges.

4 Gains or losses on fair value measurement recognised through other comprehensive income.

The net gains or losses on financial liabilities in the “fair value option” category stood at a negative €177 million (FY 2023: negative €297 million) in the reporting year. They included rating-related changes in fair value of a negative €26 million (FY 2023: €22 million) that were booked to the revaluation surplus within other comprehensive income and gains or losses on fair value measurement booked through profit or loss in the amount of a negative €150 million (FY 2023: negative €319 million).

For financial assets in the “financial assets mandatorily measured at fair value through other comprehensive income” category, fair value changes and loss allowances amounting to €213 million were booked to the revaluation surplus within other comprehensive income in the reporting year (FY 2023: €577 million). Due to the derecognition of financial assets in the reporting year, a reclassification was made from the revaluation surplus through profit or loss in the amount of €113 million (FY 2023: €83 million).

The BayernLB Group also hedges currency risks using group fair value hedges, where the bottom layer of a whole population of hedged items in the “financial assets measured at amortised cost” and “financial assets mandatorily measured at fair value through other comprehensive income” categories is designated. The measurement gains or losses on these hedged items recognised in gains or losses on hedge accounting stood at €118 million in the reporting year (FY 2023: €7 million). The measurement gains or losses on hedging instruments in group fair value

hedges that are shown in gains or losses on hedge accounting stood at €-119 million in the year under review (FY 2023: €-12 million). Refer to note 66 for information on the fair value changes from currency basis spread fluctuations recognised in the revaluation surplus.

(68) Offsetting of financial instruments

When conducting derivatives transactions and securities repurchase transactions, the BayernLB Group regularly concludes bilateral netting agreements in the form of master agreements with business partners. Among the standard master agreements used are the ISDA Master Agreement for Financial Derivatives, the German Master Agreement for Financial Derivatives Transactions and the Global Master Repurchase Agreement for securities repurchase transactions. Agreements granting netting rights also encompass the clearing terms and conditions of Eurex Clearing AG, LCH.Clearnet Limited, European Commodity Clearing AG, the clearing master agreement with Deutsche Bank AG for OTC derivatives clearing through LCH.Clearnet Limited and LCH SA, the FIA/FOA Professional Client Agreement with UBS AG for clearing exchange-traded derivatives on foreign futures and options exchanges as well as the client clearing agreements for indirect clearing. The netting agreements provide for conditional rights of set-off in the form of close-out netting for receivables and liabilities covered by these agreements, i.e. only if previously defined conditions, e.g. cancellation of the master agreement, default or insolvency, occur can the legal right of set-off be enforced.

Besides the master agreements for financial derivatives, collateral agreements are concluded with business partners to safeguard the net claim or liability left after offsetting. The main ones used are the Credit Support Annex to the ISDA Master Agreement and the collateral addendum to the German Master Agreement for Financial Derivatives Transactions. The master agreements for securities repurchase transactions and the derivatives clearing agreements contain similar collateral rules. Collateral agreements usually grant the protection buyer a position of ownership in the form of a title transfer collateral arrangement with an unrestricted right of disposal over the collateral, which is normally cash or securities collateral. Collateral agreements with no or a limited right of disposal are rare. Bilateral master agreements therefore largely provide for the realisation of collateral through offsetting, in that the fair value of the transferred security takes account of the calculation of the settlement payments at the termination of the contract.

The tables below give information on recognised financial instruments offset in accordance with IAS 32.42 and recognised financial instruments with a legally enforceable right of set-off or which are subject to a similar agreement. The “Set-off amount” column shows the amounts offset in accordance with IAS 32.42. These relate to transactions with central counterparties and bilateral repurchase agreements. The Effect of netting agreements column shows the amounts relating to financial instruments subject to a netting agreement, but not offset on the balance sheet as the criteria under IAS 32.42 were not met. The Collateral column shows the fair value of received or pledged financial collateral.

Offsetting of financial assets and financial liabilities as at 31 December 2024 – assets

€ million	Gross carrying amount	Set-off amount	Net carrying amount recognised	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	19,165	(13,192)	5,973	(3,495)	(1,481)	996
Assets held for trading/positive fair values from derivative financial instruments (hedge accounting)	19,165	(13,192)	5,973	(3,495)	(1,481)	996
Securities repurchase transactions	5,525	(447)	5,078	(98)	(4,013)	967
Assets held for trading	5,525	(447)	5,078	(98)	(4,013)	967
Total	24,689	(13,639)	11,051	(3,594)	(5,494)	1,963

Offsetting of financial assets and financial liabilities as at 31 December 2024 – liabilities

€ million	Gross carrying amount	Set-off amount	Net carrying amount recognised	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	16,485	(9,894)	6,591	(3,495)	(946)	2,150
Liabilities held for trading/negative fair values from derivative financial instruments (hedge accounting)	16,485	(9,894)	6,591	(3,495)	(946)	2,150
Securities repurchase transactions	546	(447)	99	(98)	(1)	–
Liabilities held for trading	546	(447)	99	(98)	(1)	–
Total	17,031	(10,340)	6,691	(3,594)	(946)	2,151

Offsetting of financial assets and financial liabilities as at 31 December 2023 – assets

€ million	Gross carrying amount	Set-off amount	Net carrying amount recognised	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	22,046	(15,020)	7,025	(4,352)	(1,746)	928
Assets held for trading/positive fair values from derivative financial instruments (hedge accounting)	22,046	(15,020)	7,025	(4,352)	(1,746)	928
Securities repurchase transactions	3,389	(440)	2,949	(137)	(2,800)	13
Assets held for trading	3,389	(440)	2,949	(137)	(2,800)	13
Total	25,435	(15,460)	9,975	(4,489)	(4,545)	941

Offsetting of financial assets and financial liabilities as at 31 December 2023 – liabilities

€ million	Gross carrying amount	Set-off amount	Net carrying amount recognised	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	18,462	(10,794)	7,668	(4,352)	(846)	2,470
Liabilities held for trading/negative fair values from derivative financial instruments (hedge accounting)	18,462	(10,794)	7,668	(4,352)	(846)	2,470
Securities repurchase transactions	577	(440)	137	(137)	-	-
Liabilities held for trading	577	(440)	137	(137)	-	-
Total	19,039	(11,234)	7,805	(4,489)	(846)	2,470

(69) Derivatives transactions

The tables below show interest rate and foreign currency-related derivatives still open at the end of the reporting period and other forward transactions and credit derivatives. Most were concluded to hedge fluctuations in interest rates, exchange rates or market prices or were trades for the account of customers.

€ million	Nominal value		Positive fair value		Negative fair value	
	2024	2023	2024	2023	2024	2023
Interest rate risks	580,447	547,673	16,629	19,320	13,665	15,802
Interest rate swaps	483,460	458,466	16,140	18,762	13,091	15,139
Forward rate agreements	61,080	53,993	30	39	25	41
Interest rate options	18,696	18,901	370	411	476	520
Purchases	8,519	8,471	199	281	135	91
Sales	10,177	10,430	170	130	341	428
Caps, floors	12,737	10,752	70	93	68	92
Exchange-traded contracts	4,281	5,337	–	–	–	–
Other interest-based forward transactions	193	224	20	16	5	10
Currency risks	103,259	123,854	2,482	2,504	2,631	2,498
Forward exchange deals	86,748	106,454	1,703	1,862	1,656	1,812
Currency swaps/cross-currency swaps	12,979	13,894	748	607	906	639
Foreign exchange options	445	414	12	12	12	11
Purchases	226	212	12	12	–	–
Sales	219	202	–	–	12	11
Other currency-based forward transactions	3,087	3,092	19	22	58	36
Equity and other price risks	2,895	4,294	47	203	164	64
Equity/index options	47	134	–	5	–	–
Purchases	47	134	–	5	–	–
Exchange-traded contracts	826	1,452	–	–	–	–
Other forward transactions	2,023	2,708	47	198	164	64
Credit derivative risks	126	230	–	–	2	2
Protection buyer	126	230	–	–	2	2
Total	686,727	676,052	19,158	22,027	16,462	18,366

Derivatives transactions by maturity

€ million	Nominal value							
	Interest rate risks		Currency risks		Equity and other price risks		Credit derivative risks	
	2024	2023	2024	2023	2024	2023	2024	2023
Residual maturities								
Up to 3 months	29,993	39,475	35,078	39,861	2,060	2,120	–	–
Between 3 months and 1 year	110,099	110,851	26,213	36,399	702	1,741	–	–
Between 1 year and 5 years	219,334	190,476	33,679	39,489	133	433	–	–
More than 5 years	221,021	206,872	8,289	8,105	–	–	126	230
Total	580,447	547,673	103,259	123,854	2,895	4,294	126	230

Derivatives transactions by counterparty

€ million	Nominal value		Positive fair value		Negative fair value	
	2024	2023	2024	2023	2024	2023
OECD banks	585,205	484,051	17,578	18,295	14,806	14,368
Non-OECD banks	9	9	–	–	–	–
Public-sector entities within the OECD	4,546	4,978	143	172	131	168
Other counterparties ¹	96,968	187,014	1,436	3,559	1,525	3,831
Total	686,727	676,052	19,158	22,027	16,462	18,366

¹ Includes exchange-traded contracts.

Derivatives for trading purposes

€ million	Nominal value		Positive fair value		Negative fair value	
	2024	2023	2024	2023	2024	2023
Interest rate derivatives	462,057	434,637	10,836	12,524	10,504	12,249
Currency derivatives	96,803	117,218	1,958	2,144	2,497	2,432
Credit derivatives	126	230	–	–	2	2
Total	558,987	552,085	12,794	14,667	13,003	14,684

(70) Transfer of financial assets

The following transactions were executed at standard market terms and conditions.

Transferred financial assets that are not derecognised in their entirety

As at the reporting date the volume of financial assets transferred as collateral that are not derecognised was €65,366 million (FY 2023: €65,005 million).

These include genuine securities repurchase agreements where the BayernLB Group sold securities with a repurchase obligation. As the risks (interest rate, currency, equity and other price risks and credit risks) and rewards (particularly capital gains and current income) are largely retained by the BayernLB Group, the financial assets are not derecognised. The obligation of the lender to return the payment received as collateral for the transferred security is recognised as a financial liability. The lender has an unrestricted right of disposal over the securities once they are delivered.

The BayernLB Group also lends on funds received from development institutions for specific purposes on their own terms through savings banks or directly to end-borrowers. The loans and advances to savings banks and end-borrowers are recognised as assets and the liabilities to development institutions as liabilities. The loans and advances to savings banks and end-borrowers and any pledged collateral are assigned as collateral to the development institutions and may be realised by them in the event of loss. The BayernLB Group retains default risk in respect of the loans and advances to the savings banks and end-borrowers.

The BayernLB Group has also pledged collateral for funding, mainly for tender operations with the European Central Bank. Collateral has also been pledged to the European Investment Bank and for transactions on other exchanges and clearing systems. The financial assets transferred as collateral for the corresponding (contingent) liabilities are not derecognised, as the risks and rewards are largely retained by the BayernLB Group.

The carrying amount of transferred financial collateral related to the following items:

€ million	2024	2023
Loans and advances to banks	17,945	18,001
Loans and advances to customers	36,269	33,220
Of which:		
Collateral received which may be sold or pledged on	1,153	129
Assets held for trading	485	888
Of which:		
Collateral received which may be sold or pledged on	485	888
Financial investments	10,666	12,896
Of which:		
Collateral received which may be sold or pledged on	5,835	7,782
Total	65,366	65,005

The transferred financial assets are matched against liabilities of €21,268 million (FY 2023: €21,373 million).

The assets in the cover pool are managed in accordance with the German Pfandbrief Act (Pfandbriefgesetz). As at the reporting date, the volume of the cover funds was €48,671 million (FY 2023: €49,797 million) for an outstanding volume of mortgage-backed Pfandbriefs and public Pfandbriefs of €27,159 million (FY 2023: €28,438 million).

The BayernLB Group also pledged collateral of €350 million (FY 2023: €327 million) for the utilisation of irrevocable payment commitments in connection with the bank levy and deposit guarantee scheme. Of this amount, cash collateral of €118 million (FY 2023: €118 million) was deposited for the bank levy and €6 million (FY 2023: € 91

million) for the deposit guarantee scheme to which Deutsche Kreditbank Aktiengesellschaft (DKB), Berlin, belongs. These are shown under other assets. Securities collateral of €226 million (FY 2023: €118 million) was transferred for the bank-specific guarantee scheme which BayernLB and DKB belong to (see note 81).

Transferred financial assets that are derecognised in their entirety

As at the reporting date there was no material continuing involvement in transferred financial assets that are derecognised in their entirety.

(71) IBOR reform

The BayernLB Group had implemented the IBOR transition by 31 December 2024. With the discontinuation of synthetic LIBORS, all lending transactions were switched.

Interbank offered rates (IBORs) were used as benchmarks to price and determine the cash flows of a variety of financial instruments. As part of the IBOR reform (IBOR transition), IBOR reference rates and the euro overnight index average (EONIA) have been replaced by other, risk-neutral reference interest rates known as risk-free rates (RFRs).

Overview of variable reference rates in selected currencies

Currency	Previous reference rate	New alternative reference interest rate	Status
EUR	EONIA	Overnight rate: Euro Short-Term Rate (€STR)	Publication from 2 October 2019; final transition as at 3 January 2022
	EURIBOR	EURIBOR	A change was made to the accounting policy that henceforth ensures compliance with the benchmark.
CHF	CHF LIBOR	Overnight rate: Swiss Average Rate Overnight (SARON) Term structure: Compounded in arrears	Final transition as at 31 December 2021
GBP	GBP LIBOR	Overnight rate: Sterling Overnight Index Average (SONIA) Term structure: Compounded in arrears	Final transition as at 31 December 2021
JPY	JPY LIBOR	Overnight rate: Tokyo Overnight Average Rate (TONAR) Term structure: Compounded in arrears	Final transition as at 31 December 2021
USD	USD LIBOR	Overnight rate: Secured Overnight Financing Rate (SOFR) Term structure: CME Term SOFR introduced	Final transition as at 30 June 2023
CAD	CAD CDOR	Overnight rate: Canadian Overnight Repo Rate Average (CORRA) Term structure: Term CORRA introduced	Final transition as at 31 December 2024

In the BayernLB Group, the IBOR transition affected a number of products and contracts whose interest rate calculations and/or interest payments were based on an IBOR. These included interest rate swaps, interest rate options, securities, issues and loans. In addition, numerous valuation models used IBOR-based yield curves for discounting and for determining forward rates.

No risks have emerged as a result of the switchovers made in the period ending 31 December 2024 in connection with the IBOR transition. The transition was implemented without disruption or negative consequences for the

financial performance and financial position. With regard to the EURIBOR, following the reforms that have taken place no specific transition to a potential successor rate is currently foreseeable.

To mitigate the risks from the switchover of interest rates at the BayernLB Group, which include process, accounting, tax and operational risks, a dedicated IBOR project was launched to manage the process of switching over to the RFR benchmark interest rates and ensure as smooth a transition as possible in the interests of the customers and the Bank. This involved identifying the main risks and determining suitable measures for replacing the IBORs by RFRs with minimal disruption. For example, the Bank centrally managed via the IBOR project the work to coordinate external customer communications on the changes to the reference rate and to issue instructions on how to use and structure the relevant contractual documentation. Because of the low volumes, the CAD switch was carried out outside of the business line organisation.

As at 31 December 2024, all financial instruments affected by the IBOR reform had been switched over to an alternative reference interest rate.

Notes to the consolidated cash flow statement

(72) Notes on items in the cash flow statement

The cash flow statement shows the cash flows of the financial year classified into operating activities, investing activities and financing activities.

The reported cash and cash equivalents balance corresponds to the cash reserves item in the balance sheet and comprises the cash balance, deposits with central banks, debt instruments issued by public-sector entities and bills of exchange eligible as collateral with central banks, including corresponding exchange-rate changes of €-43 million (FY 2023: €20 million). Cash and cash equivalents are not subject to any drawing restrictions.

Cash flows from operating activities comprise payments from loans and advances to banks and to customers, from securities (not including financial investments), derivatives, and other assets. Payments from liabilities to banks and customers, securitised liabilities, and from other liabilities also fall under this category. Likewise included are interest and dividend payments from operating activities.

Cash flows from investing activities include payments for financial investments, property, plant and equipment and intangible assets.

Distributions to company owners and minority shareholders, changes in non-controlling interests and changes in subordinated capital are part of cash flow from financing activities.

Changes in subordinated capital

€ million	2024	2023
As at 1 Jan	2,812	2,451
Changes in cash flow from financing activities	(2)	338
Non-cash changes:		
Fair value changes	–	22
Other changes	37	1
As at 31 Dec	2,847	2,812

For the changes in equity due to payments to company owners and minority shareholders, refer to the statement of changes in equity.

Supplementary disclosures

(73) Subordinated assets

Subordinated assets are recognised in the following line items on the balance sheet:

€ million	2024	2023
Loans and advances to customers	41	27
Financial investments	–	5
Total	41	32

(74) Assets and liabilities in foreign currency

€ million	2024	2023
Foreign currency assets	16,550	17,622
CAD	288	379
CHF	368	700
GBP	2,386	2,305
HKD	2	1
JPY	11	9
USD	12,264	12,897
Other currencies	1,231	1,330
Foreign currency liabilities	13,835	13,409
CAD	39	43
CHF	254	533
GBP	1,140	1,607
HKD	5	1
JPY	66	31
USD	11,939	10,898
Other currencies	391	297

(75) Default risk

The impairment provisions of IFRS 9 follow an approach in which not just incurred losses but also expected losses must be accounted for using the expected credit loss model.

The impairment rules apply to all debt instruments in the “financial assets measured at amortised cost” and “financial assets mandatorily measured at fair value through other comprehensive income” categories and to financial guarantees and irrevocable and revocable credit commitments where the committor cannot unilaterally and unconditionally withdraw from its commitment at any time and which are not measured at fair value through profit or loss, and to other contingent liabilities.

The following approaches are used to determine the loss allowances:

- General approach
- Approach for purchased or originated credit-impaired financial assets
- Simplified approach

General approach

Under the general approach, loss allowances are determined by a deterioration in creditworthiness under the stage model. In essence, this is a relative credit risk model according to which a significant increase in the default risk as at the reporting date compared with first-time recognition requires higher risk provisions to be made. The loss allowances are broken down accordingly as follows:

- Loss allowances measured in the amount of the expected 12-month credit loss for financial instruments whose credit risk has not significantly increased since first-time recognition and which are not in default (Stage 1)
- Loss allowances measured in the amount of the lifetime expected credit losses for financial instruments for which the default risk has increased significantly since first-time recognition on the balance sheet but which are not credit-impaired financial assets as defined by the default criteria (Stage 2)
- Loss allowances measured in the amount of the lifetime expected credit losses for financial assets that were credit-impaired as defined by default criteria as at the reporting date, but not at the time of purchase or origination (Stage 3)

Determining a significant increase in the default risk

On initial recognition, the respective financial instrument is assigned to Stage 1. A significant increase in default risk in the BayernLB Group is determined on the basis of qualitative and quantitative criteria - for the latter the change in the rating, which is calculated based on the Bank's credit risk processes, is significant. The rating takes account here of the creditworthiness-relevant information for both the next 12 months and the full remaining term of the financial instrument. As at the respective reporting date, the financial instrument's rating is compared with the rating expected for the current reporting date upon first-time recognition. If the (negative) deviation exceeds the statistically expected value of the change in default risk (expected downgrade) determined for the respective reporting date at the time of addition, the change in default risk is classified as significant.

The deviation is also classified as significant if the probability of default (PD) has increased by at least a factor of two, taking it to three times that expected at the time of recognition. The statistically expected change in default risk (rating significance threshold) is calculated as a function of the current term of the financial instrument.

The main inputs for determining a significant increase in default risk are the customer-specific expected change in default risk (probability of default profile (PD profile) per rating module), calculated using the rating, and the associated rating migration matrix. The rating migration matrix indicates the probability of a change in the rating. The PD profile gives information on the probability that a business partner will not meet its financial obligations at a specific point in the future, and on the probability of a financial instrument defaulting, over the course of the entire term. Various forward-looking information, including in particular macroeconomic developments, is considered when determining the rating (see the Determining the loss allowance section).

Similarly, environmental, social and governance risks (ESG risks) can be implicitly considered via the qualitative and quantitative factors stored in the rating systems. ESG risk drivers are also analysed using a separate tool when issuing new loans and generally when monitoring existing loans. If this provides additional indications of risk-increasing (ESG) issues previously not included in the rating, e.g. from climate and environmental risks, these can also be considered in the rating preparation process and in the assessment of a significant increase in credit risk.

In addition to the relative criterion for determining a significant increase in the default risk, the BayernLB Group also applies the qualitative criteria of 30-day payment arrears and a deterioration in the form of support, from first-time recognition up to intensive support and restructuring and workout. The BayernLB Group does not apply the rebuttal of the assumption that there is a significant increase in the default risk in the event of 30-day payment arrears.

The option of always assigning a financial instrument with a low default risk to Stage 1 applies in the BayernLB Group for a selected securities portfolio. The default risk of a financial instrument is considered low if it has an investment-grade rating.

A financial instrument is reclassified from Stage 2 to Stage 1 if the default risk as at the reporting date is no longer significantly higher than on initial recognition. The procedure for a stage transfer is the same for a non-significantly modified financial instrument.

If a financial asset is credit-impaired as defined by the default criteria as at the reporting date, it is reclassified to Stage 3. To determine whether a financial asset is credit-impaired, the BayernLB Group implemented the following quantitative and qualitative default criteria in particular:

- Payment arrears/overdraft of >90 days: 90-day payment arrears by the borrower in respect of a substantial amount of the contractually agreed payments
- Improbable repayment: significant doubt as to the creditworthiness of the borrower
- Retail banking: improbable repayment from a transfer
- Restructuring: inevitable restructuring as a result of a crisis resulting in losses
- Loan allowance: a loss allowance or partial writedown due to a significant deterioration in credit quality
- (Full) writedown: direct writedown for rating reasons and utilisation of a loss allowance on irrecoverable receivables
- Sale of receivables: sale of receivables at a considerable, credit-related economic loss
- Insolvency: application for the insolvency of the borrower or comparable protective measures
- Termination/maturity: termination of the credit agreement or settlement of a maturing loan due to creditworthiness
- Default due to a transfer event

If at least one criterion is met, the credit analysts determine if there is an adverse effect on expected future cash flows by assessing the documents evidencing the credit quality of the respective financial instrument or business partner.

These criteria apply to all transactions in the BayernLB Group and are also used for internal credit risk management. They correspond to the supervisory definition of a loan default according to Article 178 para. 1 of the Capital Requirements Regulation (CRR).

As soon as the default criterion is no longer met, the financial instrument is no longer recognised at Stage 3, taking into account a good conduct period. The minimum term for a good conduct period is based on the default criterion. It is namely 366 days if the reason for default is a restructuring and 92 days in the case of all other default criteria.

Determining the loss allowance

When determining the expected credit losses of a financial instrument in Stage 1 or Stage 2, the following parameters are multiplicatively linked:

- Probability of default (PD): This represents the probability that a business partner can no longer meet its financial obligations, either with respect to the next 12 months (12-month PD; for EL/Stage 1 risk provisions) or over the contractual term of the obligation (lifetime PD; for ELL/Stage 2 risk provisions). Multi-year PD is determined on the basis of historical observations, which are based on cross-institutional data histories of the rating procedures used, and forward-looking information. In particular, macroeconomic developments based on BayernLB's economic forecasts are also included.

- **Exposure at default (EAD):** This estimates the outstanding exposure at the time of default and is modelled on the basis of product-specific subsidiary agreements (e.g. rights of termination and their probability of exercise, which is determined on the basis of historical practice). In addition to the current drawings, expected future drawings are also taken into account for commitments. The drawings in the year prior to default are recognised via the credit conversion factor (CCF) calculated on the basis of historical drawings and the remaining open line. Forward-looking information is also considered here.
- **Loss given default (LGD):** This shows the expected loss in the event of default, distinguishing between an LGD for the secured and for the unsecured parts of the EAD. In the case of the secured part of the EAD, the maturity component is modelled on the basis of the forecast change in the collateral's fair value (collateral value over time). The estimate is based on observed historical values over time and forward-looking information (especially economic forecasts).

The expected credit loss is discounted using the effective interest rate at the time of first-time recognition or an approximation thereof.

To calculate the expected credit loss, forward-looking information over a two-stage process is taken into account. In a first step, provided that it has a relevant influence on the associated business partner or the respective financial instrument, forward-looking information for each individual financial instrument is used to determine the various credit risk parameters (in particular probability of default, collateral values and recovery rates). This applies to both relevant macroeconomic variables and potential ESG risks (e.g. implicitly, via the probability of default (see above) or the corresponding valuation of collateral). In a second step, the credit risk parameters calculated at the level of the financial instruments and aggregated at (sub-)portfolio level with corresponding credit risk parameters, which can be expected largely on the basis of various macroeconomic scenarios for the following years, are compared in a quantitative and qualitative expert-based analysis prior to the reporting date. The effects of deviations in parameters on the expected credit loss are reflected in a post-model adjustment. This allows forward-looking information on the individual characteristics of a particular financial instrument and enhanced forecasting quality at a higher aggregation level to be incorporated in the best possible way in a combined form.

In the case of Stage 3 financial instruments, the loss allowance is recognised as the difference between amortised cost and the present value of expected cash flows. When determining expected cash flows, various scenarios (i.e. at least two realistic ones) normally need to be defined and weighted with the expected probability of occurrence (always totalling 100%). The expected cash flow is discounted using the effective interest rate at the time of first-time recognition or an approximation thereof.

For financial instruments still allocated to Stage 3 due to a regulatory recovery/good conduct period but for which individual case-based Stage 3 risk provisions are no longer being recognised, a parameter-based Stage 3 risk provision is calculated based on lifetime expected losses (minimum risk provisioning).

Utilisations/writedowns

A financial instrument is derecognised if, based on current information, the Bank is confident that all economically reasonable measures to limit losses have been exhausted. This must be assumed if all measured collateral is realised and there is no prospect of other payments (e.g. concluded insolvency proceedings, insolvency rejected for lack of assets). When an instrument is derecognised, a loss allowance that has already been recognised is utilised or a direct writedown (equivalent to an addition to the loss allowance with simultaneous utilisation) recognised if no or insufficient loss allowances were recognised.

The Bank will also continue its efforts to recover derecognised financial instruments for which an external claim still exists.

Procedure for purchased or originated credit-impaired financial assets

This method is used for purchased or originated credit-impaired financial assets (POCI) (exclusively financial guarantees and other contingent liabilities). The BayernLB Group assumes that creditworthiness is impaired if the counterparty is assigned to a default category (non-performing). In these cases, the cumulative changes in the lifetime expected credit losses since first-time recognition must be recorded. To determine the expected credit losses, the risk-adjusted effective interest rate is used as the discount rate for calculating present value.

Simplified approach

The simplified approach is used in the BayernLB Group for trade receivables, regardless of whether they contain a significant financing component. The loss allowances are always measured in the amount of the lifetime expected credit losses.

Loss allowances and gross carrying amounts/exposure

The following tables show the loss allowances and gross carrying amounts/exposure of financial instruments and other contingent liabilities.

Loss allowances as at 31 December 2024

	Stage 1	Stage 2	Stage 3	POCI	Simplified approach	Total
€ million	2024	2024	2024	2024	2024	2024
Loans and advances to banks	2	2	13	–	–	17
Loans and advances to customers	94	463	942	23	–	1,523
Financial investments	2	1	–	–	–	3
Non-current assets or disposal groups classified as held for sale	–	–	1	1	–	2
Off-balance sheet transactions	16	60	19	18	–	113
Total	115	527	974	42	–	1,657

Loss allowances as at 31 December 2023

	Stage 1	Stage 2	Stage 3	POCI	Simplified approach	Total
€ million	2023	2023	2023	2023	2023	2023
Loans and advances to banks	3	2	12	–	–	17
Loans and advances to customers	174	306	727	39	–	1,246
Financial investments	2	3	–	–	–	5
Off-balance sheet transactions	22	37	42	8	–	109
Total	201	349	781	47	–	1,377

The total volume of non-discounted expected credit losses as at first-time recognition of purchased or originated credit-impaired financial assets in the reporting year was €25 million (FY 2023: €53 million).

For information on the changes in loss allowances, refer to notes 42, 57 and 61.

Gross carrying amount/exposure as at 31 December 2024

	Stage 1	Stage 2	Stage 3	POCI	Simplified approach	Total
€ million	2024	2024	2024	2024	2024	2024
Cash reserves	2,301	–	–	–	–	2,301
Loans and advances to banks	50,566	1,609	13	–	–	52,188
Loans and advances to customers	154,217	24,117	3,067	387	–	181,788
Financial investments	13,974	2,095	–	–	–	16,068
Non-current assets or disposal groups classified as held for sale	7	–	27	2	–	37
Other assets	39	–	–	–	39	78
Off-balance sheet transactions	50,063	10,627	189	59	–	60,938
Total	271,168	38,446	3,296	449	39	313,398

Gross carrying amount/exposure as at 31 December 2023

	Stage 1	Stage 2	Stage 3	POCI	Simplified approach	Total
€ million	2023	2023	2023	2023	2023	2023
Cash reserves	1,806	52	–	–	–	1,858
Loans and advances to banks	67,264	2,044	13	–	–	69,321
Loans and advances to customers	147,933	20,420	2,789	123	–	171,265
Financial investments	11,729	5,887	–	–	–	17,617
Non-current assets or disposal groups classified as held for sale	–	6	–	–	–	6
Other assets	38	–	–	–	48	86
Off-balance sheet transactions	48,773	11,850	258	15	–	60,897
Total	277,543	40,260	3,060	138	48	321,050

For information on the changes in the gross carrying amounts and exposure, refer to notes 42, 45, 57 and 61.

Gross carrying amount/exposure by rating category as at 31 December 2024

	Stage 1	Stage 2	Stage 3	POCI	Simplified approach	Total
€ million	2024	2024	2024	2024	2024	2024
Rating categories 0–7	190,881	13,395	–	21	–	204,297
Rating categories 8–11	59,501	10,803	–	10	–	70,313
Rating categories 12–17	17,519	12,093	10	7	–	29,629
Rating categories 18–21	234	1,823	–	9	–	2,066
Rating categories 22–24	14	–	3,287	402	–	3,703
Unrated	3,020	332	–	–	39	3,390
Total	271,168	38,446	3,296	449	39	313,398

Gross carrying amount/exposure by rating category as at 31 December 2023

	Stage 1	Stage 2	Stage 3	POCI	Simplified approach	Total
€ million	2023	2023	2023	2023	2023	2023
Rating categories 0–7	192,468	19,703	–	16	–	212,187
Rating categories 8–11	63,990	9,468	–	7	–	73,466
Rating categories 12–17	17,597	9,234	9	6	–	26,846
Rating categories 18–21	266	1,849	–	4	–	2,120
Rating categories 22–24	–	–	3,051	104	–	3,156
Unrated	3,223	6	–	–	48	3,277
Total	277,543	40,260	3,060	138	48	321,050

Change to the post-model adjustment

Due to the changes in the macroeconomic environment, the regular review of the macroeconomic scenarios for the next few years showed a need for adjustments in the determination of the risk provisions in relation to the post-model adjustment which had been considered in the previous financial statements. The baseline, global economic crisis and real estate crisis scenarios used since the consolidated half-yearly financial statements for 2023 are used. These have been updated accordingly for the consolidated financial statements as at 31 December 2024 (see tables below).

The baseline scenario for the period to 2029 assumes significant political changes that have far-reaching economic and financial consequences. In addition to Donald Trump's second term as president, increasing polarisation is expected in Europe, resulting in a further boost to fringe political groups. These geopolitical shifts lead to a protectionist global environment that constrains economic growth and raises inflationary pressures. At the same time, central banks are compelled to end their monetary easing sooner than expected by the market.

The “four Ds” of digitalisation, decarbonisation, deglobalisation and demographic change become increasingly important for economic performance. Hopes of productivity leaps thanks to AI are slow to materialise in the next few years. Prices for carbon emissions rise sharply in the EU, but scarcely at all in the US and China. Protectionism and punitive US tariffs cause a global inflationary spiral and have a negative effect on economic growth, especially in Germany. Debt ratios rise further in the major economic blocs, accompanied by high deficits. The shortage of skilled workers is aggravated by a more restrictive policy on immigration.

The global economic crisis scenario depicts a weak economic starting point deteriorating into a major recession. The scenario assumes an escalating confrontation between the superpowers of the US and China, with the emergence of blocs.

The prolonged economic slump triggered by this shock lasts more than two years and results in heavy losses in gross domestic product (GDP) that are only slowly made good in subsequent years. Unemployment shoots up and stays high over the entire forecast horizon. Due to the very limited scope for monetary and fiscal policy measures in many regions, the crisis persists for an unusually long time. Taken together with a steep decline in business and consumer confidence, the result is turmoil on the financial markets.

In view of the higher level of inflation and structurally higher inflationary pressure, central banks take fewer supportive measures by historical standards. Policy rates are cut, but not into negative territory. There is a moderate amount of resumed, additional quantitative easing. Fiscal policy is expansive, contributing to an increase in deficits and debt ratios.

The real estate crisis scenario assumes a broad and major fall in real estate prices as inflation and interest rates move upwards. Losses on real estate lending put banks under pressure and lending conditions tighten. The economy falls into a steep recession, unemployment climbs and equity markets tumble. Apart from financials, the sectors worst affected are construction & basic resources, real estate services and interest rate-sensitive and cyclical/consumer-orientated sectors such as some auto manufacturers and consumer goods producers. From 2027 onwards, the economy stabilises and inflation heads back down.

Prices for commercial real estate fall 30% on average in both Germany and the US in 2025. The office segment is particularly hard hit because many companies are in a difficult economic situation and more people are working from home. German residential real estate prices see a decline of 25% because of higher interest rates and unemployment. Working from home supports the trend towards buying residential apartments and houses outside the expensive central metropolitan areas. The high rent increases that had originally been expected are no longer plausible, with a negative effect on valuations being felt as early as 2025.

The following significant parameters were used for the baseline, global economic crisis, and real estate crisis scenarios as at 31 December 2024: the changes in GDP, consumer prices, the unemployment rate and the leading stock market indices in Germany, Europe and the US. A time horizon of five years (2025 to 2029) was observed. It was found that, based on the above assumptions, the largest impact for the calculation of the post-model adjustment is felt in the first two years. This is mainly due to the BayernLB Group's portfolio structure and the increasing difficulty attached to forecasting future years with certainty. The following table shows the parameters assumed as at 31 December 2024.

Assumptions used in the consolidated financial statements for 2024

Annual average (baseline scenario/ global economic crisis/real estate crisis)		2025	2026	2027	2028	2029
Real GDP growth (%)	Germany	0.5/–3.7/–2.7	0.7/–1.8/–0.7	0.7/–0.3/0.2	0.9/0.4/0.5	1.2/1.2/1
Price rise (consumer prices) (%)		2.5/1/3.5	2.2/0.2/3	2.1/0.6/2.6	2.3/1/2.4	2.3/1.6/2.4
Unemployment rate (%)		6.1/7.2/6.4	5.9/7.7/6.6	5.8/7.8/6.5	5.6/7.7/6.5	5.4/7.5/6.4
Leading stock market index (%) – year-end price index		0.8/–30.3/–25.7	3.3/–8.5/2.1	2.4/10/10.6	2.1/8.4/7	2.2/3.5/4.3
Real GDP growth (%)	Eurozone	1/–3.5/–2.4	1.1/–1.4/–0.6	1/0/0.6	1.1/0.6/1	1.2/1.2/1.4
Price rise (consumer prices) (%)		2.5/1/3.5	2.3/0.3/3.1	2.2/0.7/2.7	2.3/1/2.5	2.3/1.6/2.4
Unemployment rate (%)		6.6/8.2/7.6	6.7/9.2/8.3	6.7/9.5/8.4	6.6/9.6/8.4	6.6/9.6/8.3
Leading stock market index (%) – year-end price index		3/–28.8/–23.9	3.4/–7.6/1.7	2.4/9.4/10.9	2.2/8.1/7.5	2.3/3.6/4.6
Real GDP growth (%)	US	1.4/–3/–1.2	1.7/–0.8/–0.1	1.8/0.8/1.3	1.8/1.3/1.5	1.8/1.8/1.8
Price rise (consumer prices) (%)		2.7/1.2/3.6	2.5/0.5/3.3	2.3/0.8/2.8	2.2/0.9/2.5	2.2/1.5/2.2
Unemployment rate (%)		4.2/6.8/5.9	3.8/7.8/7	3.6/8.2/7	3.6/8.4/7	3.6/8.4/7
Leading stock market index (%) – year-end price index		2.6/–24.5/–18.9	3.4/–7/3.4	2.5/9.9/12.5	2.4/8.3/8.4	2.5/3.9/5.1
Capital market interest rates (as at year end)						
Capital market interest rates (as at year end) – yields on government bonds (10Y) (%)	Germany/ Eurozone	2.5/–0.2/3.3	2.7/0.15/3.2	2.8/0.4/3.1	3.0/0.6/3	3.0/0.8/3

Assumptions used in the consolidated half-yearly financial statements for 2024

Annual average (baseline scenario/ global economic crisis/real estate crisis)		2024	2025	2026	2027	2028
Real GDP growth (%)	Germany	0.3/–4.2/–2.7	1.3/–1.2/–0.7	0.9/–0.1/0.2	0.8/0.3/0.5	1/1/1
Price rise (consumer prices) (%)		2.7/1.2/3.5	2.2/0.2/3	2.1/0.6/2.6	2.1/0.8/2.4	2.3/1.6/2.4
Unemployment rate (%)		5.6/6.7/6.4	5.3/7.1/6.6	5.1/7.1/6.5	5/7.1/6.5	4.9/7/6.4
Leading stock market index (%) – year-end price index		4.2/–31.7/–25.7	3.4/–5/2.1	3/10.3/10.6	2.1/8.6/7	2.3/3.4/4.3
Real GDP growth (%)	Eurozone	0.6/–3.9/–2.4	1.4/–1.1/–0.6	1.3/0.3/0.6	1.3/0.8/1	1.4/1.4/1.4
Price rise (consumer prices) (%)		2.7/1.2/3.5	2.3/0.3/3.1	2.2/0.7/2.7	2.2/0.9/2.5	2.3/1.6/2.4
Unemployment rate (%)		6.5/8.1/7.6	6.5/9/8.3	6.4/9.2/8.4	6.3/9.3/8.4	6.2/9.2/8.3
Leading stock market index (%) – year-end price index		10.1/–31/–23.9	2.6/–4.3/1.7	3.1/9.8/10.9	2.1/8.2/7.5	2.6/3.4/4.6
Real GDP growth (%)	US	2.1/–2.7/–1.2	1.7/–0.6/–0.1	2/1/1.3	1.8/1.3/1.5	1.8/1.8/1.8
Price rise (consumer prices) (%)		3.1/1.3/3.6	2.5/0.5/3.3	2.3/0.8/2.8	2.2/0.9/2.5	2.1/1.4/2.2
Unemployment rate (%)		4.2/6.8/5.9	4.1/8.1/7	3.8/8.4/7	3.6/8.4/7	3.6/8.4/7
Leading stock market index (%) – year-end price index		7.3/–26/–18.9	4.3/–3.5/3.4	3.7/10/12.5	2.5/8.4/8.4	2.8/3.6/5.1
Capital market interest rates (as at year end)						
Capital market interest rates (as at year end) – yields on government bonds (10Y) (%)	Germany/ Eurozone	2.2/–0.2/3.3	2.4/0.15/3.2	2.6/0.4/3.1	2.7/0.6/3	2.7/0.8/3

Assumptions used in the consolidated financial statements for 2023**Annual average (baseline scenario/
global economic crisis/ corresponds to
real estate crisis)**

		2024	2025	2026	2027	2028
Real GDP growth (%)	Germany	0.3/–3.7	1.3/–1.2	0.8/–0.2	0.8/0.3	1/1
Price rise (consumer prices) (%)		2.7/1.5	2.2/0.2	2.1/0.6	2.1/0.8	2.3/1.6
Unemployment rate (%)		5.6/6.5	5.2/6.7	4.8/6.8	4.7/6.8	4.6/6.7
Leading stock market index (%) – year-end price index		6.4/–28.5	3.8/–4.2	2.2/10.6	5/8.2	3.4/2.9
Real GDP growth (%)	Eurozone	0.6/–3.5	1.4/–1.1	1/0	1/0.5	1.1/1.1
Price rise (consumer prices) (%)		2.9/1.8	2.3/0.3	2.2/0.7	2.2/0.9	2.3/1.6
Unemployment rate (%)		6.6/8.2	6.5/9	6.4/9.2	6.3/9.3	6.2/9.2
Leading stock market index (%) – year-end price index		5.9/–28	4/–3.5	2.4/10	5.2/7.7	3.6/3
Real GDP growth (%)	US	1.2/–3.6	2.2/–0.3	2/1	1.8/1.3	1.8/1.8
Price rise (consumer prices) (%)		2.8/1.5	2.5/0.5	2.3/0.8	2.2/0.9	2.1/1.4
Unemployment rate (%)		4.6/7.2	4.2/8.2	3.8/8.4	3.6/8.4	3.6/8.4
Leading stock market index (%) – year-end price index		7.9/–27.5	4.9/–3	2.4/10	5.3/8	3.6/3.2
Capital market interest rates (as at year end)						
Capital market interest rates (as at year end) – yields on government bonds (10Y) (%)	Germany/ Eurozone	2.5/–0.2	2.5/0.15	2.6/0.4	2.7/0.6	2.7/0.8

Compared with the consolidated financial statements for 2023 and the consolidated half-yearly financial statements for 2024, the economic performance under the baseline scenario deteriorates, especially for Germany. As a result of the increasing polarisation and protectionist measures, over the entire forecast period growth is expected to be only low and not exceed 1%. By contrast, expectations for real estate prices improve.

The assumptions under the global economic crisis and real estate crisis scenarios are largely the same as they were in the consolidated half-yearly financial statements for 2024. In the real estate crisis scenario benchmark rates in the eurozone rise to 4.75% by the end of 2025 and to 5.875% in the US, before declining again in the second half of 2026. The performance of GDP, consumer prices, unemployment and leading equity indices in Germany, Europe and the US are marked down. However, these markdowns are less than under the global economic crisis scenario. For commercial and residential real estate, though, they are higher.

Changes in the market value of real estate

Consolidated financial statements for 2024

Baseline scenario/global economic crisis/real estate crisis

		2025	2026	2027	2028	2029
Residential real estate (%)	Germany	2.5/-8/-25	0.5/-2/-5	0.5/2.5/2.5	0.5/2/4	1.5/2/5
Commercial real estate (%)		1/-18/-30	-1/-9.5/-10	-2.5/0.5/1.5	0/1/5	0.5/2/6
Commercial real estate (%)	France	-0.5/-13/-25	-1.5/-9/-5	-3/0/2	0.5/1/4	0.5/2/5
			-0.5/-13.5/-			
Commercial real estate (%)	US	-1.5/-14.5/-30	12.5	0/5.5/4	1/2/5	2/2.5/5
Residential real estate (%)	World	2.5/-8/-25	0.5/-2/-5	0.5/2.5/2.5	0.5/2/4	1.5/2/5
			-0.5/-12.5/-			
Commercial real estate (%)		-1/-15/-30	11	-0.5/4/3.5	1/1.5/5	1.5/2.5/5

Changes in the market value of real estate

Consolidated half-yearly financial statements for 2024

Baseline scenario/global economic crisis/real estate crisis

		2024	2025	2026	2027	2028
Residential real estate (%)	Germany	-4.5/-7/-25	1/-0.5/-5	2/2.5/2.5	0.5/2/4	0.5/2/5
Commercial real estate (%)		-13/-17/-30	-5/-7/-10	0.5/1.5/1.5	1/2/5	1/2/6
Commercial real estate (%)	France	-8/-12/-25	-4/-6/-5	1/2/2	1/2/4	1/2/5
Commercial real estate (%)	US	-7.5/-12.5/-30	-6/-9/-12.5	4.5/5.5/4	2.5/2/5	1/2.5/5
Residential real estate (%)	World	-4.5/-7/-25	1/-0.5/-5	2/2.5/2.5	0.5/2/4	0.5/2/5
Commercial real estate (%)		-9/-14/-30	-6/-8.5/-11	3.5/4.5/3.5	2/2/5	1/2.5/5

Changes in the value of real estate

Consolidated financial statements for 2023

Baseline scenario/global economic crisis

		2024	2025	2026	2027	2028
Residential real estate (%)	Germany	-3.5/-6/-20	-1.5/-1.5/2.5	0/1/2.5	0/1.5/5	0/1.5/5
Commercial real estate (%)		-9/-13/-30	0.5/-1.5/1.5	0/1/2.5	0.5/1.5/5	0.5/1.5/5
Commercial real estate (%)	UK	-5/-9.5/-40	0/-2/0	0.5/1/3.5	0.5/2/4	1/3/4
Commercial real estate (%)	US	-7.5/-13/-40	2/-1/0	1.5/2.5/5	0.5/4/6	0/4/7
Residential real estate (%)	World	-3.5/-6/-20	-1.5/-1.5/2.5	0/1/2.5	0/1.5/5	0/1.5/5
Commercial real estate (%)		-7.5/-12.7/-38.7	1.5/-1/0.2	1/2/4.5	0.5/3/5.7	0/3.5/6.5

Depending on the scenario and sub-portfolio and based on the assumptions shown, it is anticipated that the impacts on the key parameters, such as rating, loss ratio/loss given default (LGD) and collateral values, will vary in strength. The effects are initially calculated largely in the form of a model and then subjected to a qualitative review. For the automotive and logistics, steel, metal & basic resources, construction and infrastructure sub-portfolios, expert-based adjustments were made to the probability of default (PD) in the consolidated financial statements for 2024 in the global economic crisis and real estate crisis scenarios. The scale of the adjustments matched the expert-based adjustments made in the consolidated financial statements for 2023 and the consolidated half-yearly financial statements for 2024.

Portfolio	Average rating deterioration in the crisis scenarios
Automotive and logistics	6 notches
Construction and infrastructure	5 notches
Steel, metal & basic resources	5 notches

In addition, the LGD figures were doubled for the national and international real estate portfolios in both stress scenarios, to allow for the higher expected losses in the event of a crisis.

Compared with the consolidated financial statements for 2023, the “grid operators & utilities” and “renewable energy” portfolios are no longer subject to expert-based adjustment because the situation on the energy markets has returned to normal. In the consolidated financial statements for 2024 the automotive and logistics portfolio also underwent an expert-based adjustment in the real estate crisis scenario.

Consequently, the BayernLB Group took account as at 31 December 2024 of the impact of the expected credit losses by setting up risk provisions of €378 million (31 December 2023: €337 million) in the form of a post-model adjustment. As at 31 December 2024, around 17% of this risk provision related to the Corporates & Markets segment (31 December 2023: around 32%), 41% to the Real Estate & Savings Banks/Financial Institutions segment (31 December 2023: 21%) and around 40% to the DKB segment (31 December 2023: around 46%).

Assuming a 100% probability of default, as at 31 December 2024 this would result in a post-model adjustment of around €137 million under the baseline scenario, around €709 million under the global economic crisis scenario and around €831 million under the real estate crisis scenario.

The baseline scenario was given a weighting of 60% as at 31 December 2024 (31 December 2023: 55%), the global economic crisis scenario 30% (31 December 2023: 30%) and the real estate crisis scenario 10% (31 December 2023: 15%). The real estate crisis was given a lower weighting due to the improved market outlook for the real estate sector.

A ten percentage point change to these weightings either way in these scenarios would have the following impact on the portfolio in € millions:

Group			
		Global economic crisis	Real estate crisis
+10%	Baseline scenario		
		(57.2)	(69.4)
	Global economic crisis	57.2	(12.2)
	Real estate crisis	69.4	12.2

Non-significant modifications

For financial instruments for which the contractually agreed cash flows were modified in the reporting year and whose loss allowance was measured in the amount of the lifetime expected credit losses, the amortised cost before modification amounted to €758 million (FY 2023: €455 million).

The gross carrying amount of financial instruments that were modified when the loss allowance was measured in the amount of the lifetime expected credit losses, and for which the loss allowance was adjusted in the amount of the 12-month expected credit losses in the reporting year, was €26 million (FY 2023: €41 million) as at the reporting date.

The calculation methods for certain benchmark interest rates were also adjusted in the reporting year, under the IBOR reform (see note 71). These adjustments did not produce any modification gain or loss.

Maximum default risk

The following table shows the maximum default risk as at the reporting date for all financial instruments to which the impairment rules pursuant to IFRS 9 are applied. Collateral received or other loan collateral is not taken into account.

€ million	2024	2023
Cash reserves	2,301	1,858
Loans and advances to banks	52,166	69,312
Loans and advances to customers	180,129	171,059
Financial investments	15,702	16,934
Non-current assets or disposal groups classified as held for sale	37	6
Other assets	78	86
Off-balance sheet transactions	60,938	60,897
Total	311,351	320,152

The BayernLB Group holds collateral to mitigate default risks. The principles for accepting and valuing collateral are embedded in the Bank's collateral policy.

The main forms of collateral are real estate liens and guarantees. Real estate liens are taken on both domestic and foreign properties, but mainly domestic ones; outside Germany the focus is on real estate lending in western Europe, especially France, Italy, the Netherlands, the United Kingdom of Great Britain and Northern Ireland and North America (the United States). Guarantees include in particular standby letters of credit, directly enforceable guarantees and export guarantees and liability waivers. The main guarantors are monolines, the public sector and financial institutions, most of which have an investment-grade credit rating. Other types of lien are also accepted as collateral, in particular financial collateral and mortgages on aircraft, but also transfers of title for collateral purposes and assignments. Financial collateral is valued daily; for aircraft the quality of the collateral assets is updated every six months. Assignments and transfers of title are generally not valued.

Collateral is recognised on the basis of the liquidation value, which corresponds to the expected proceeds of collateral within an orderly realisation. The liquidation value is calculated by taking into account the fair value of the collateral and an expected recovery rate specific to each type of collateral. For guarantees, the liquidation value is calculated on the basis of the recovery rate derived from the credit rating of the respective collateral provider and the size of the guaranteed loan amount.

In addition, the BayernLB Group holds securities as collateral in genuine repurchase agreements (reverse repo transactions). Only liquid marketable securities in commonly traded currencies are accepted. The securities are measured at their fair value. Discounts for potential fluctuations in value are taken into account. Both concentration and correlation risk limits have been put in place and are regularly monitored.

In the case of credit-impaired financial assets, the default risk was reduced by collateral received and other loan collateral amounting to €1,258 million (FY 2023: €1,356 million). The collateral is broken down as follows:

€ million	2024	2023
Loans and advances to customers	1,210	1,288
Non-current assets or disposal groups classified as held for sale	9	–
Off-balance sheet transactions	39	68
Total	1,258	1,356

As at the reporting date, BayernLB had financial instruments for which no loss allowances were made, as they were covered by collateral. Their gross carrying amount related to the following balance sheet line items:

€ million	2024	2023
Loans and advances to banks	21	24
Loans and advances to customers	8,176 ¹	41,742
Off-balance sheet transactions	786	1,882
Total	8,982	43,637

¹ The change in the LGD model in the reporting year resulted in a considerable reduction in the value of collateral that can be deducted (see note 2).

The following table shows the maximum default risk as at the reporting date for all financial instruments to which the impairment rules pursuant to IFRS 9 are not applied. Collateral received or other loan collateral is not taken into account.

€ million	2024	2023
Loans and advances to customers	98	11
Assets held for trading	13,363	12,246
Positive fair values from derivative financial instruments (hedge accounting)	131	168
Financial investments	604	539
Total	14,196	12,963

Derivatives transactions are often hedged. Collateral is principally in the form of cash in euros. In the case of cash collateral in foreign currencies and collateral in the form of securities, discounts are made to take account of fluctuations in value.

Foreclosure proceedings on written down financial instruments

In the case of financial instruments that were written down in the reporting year but still subject to foreclosure proceedings, the contractual amount outstanding stood at €8 million (FY 2023: €1 million) as at the reporting date.

(76) Collateral received

Certain assets that have been pledged as collateral through securities repurchase transactions may be sold on or repledged even if the collateral provider has not defaulted. As at the reporting date, their fair value was €7,401 million (FY 2023: €6,865 million).

€5,241 million (FY 2023: €5,055 million) of this collateral was either sold on or repledged. An obligation to return this collateral exists.

These transactions were executed at standard market terms and conditions.

As part of its Pfandbrief business, BayernLB purchases municipal claims that are legally eligible as cover funds from the Savings Banks Association. In accordance with the terms, the economic ownership remains with the transferring bank, which continues to recognise the receivable from the respective municipalities in its balance sheet. BayernLB had no obligations to be recognised in the balance sheet as at the reporting date.

(77) Revenue from contracts with customers

The BayernLB Group recognises revenue from contracts with customers in the form of commissions and fees from a wide range of services. As a rule, commissions and fees from one-off services are collected at specific points in time and, from recurring services, over time. Revenue from performance obligations fulfilled at specific points in time is recognised at the time of the transfer of control over the asset (essentially when the service is rendered), and revenue from performance obligations settled over time is recognised in accordance with the progress made. This is determined on the basis of the contract, according to which progress is generally even throughout the performance period. The amount of revenue recognised corresponds to the promised consideration contractually agreed by the customer for the transfer of the services. As a rule, the promised consideration can be clearly allocated to the individual performance obligations contained in the contract.

Depending on the contract, payment in advance or in arrears for the services is agreed with the customer.

In the BayernLB Group, commissions and fees are mainly recognised for the following services:

- **Securities business**

In the securities business, revenue is generated in particular from securities custody and custody management, execution and settlement of spot and forward transactions, and the placement of Schuldschein note loans. As a

rule, revenue from one-off services, such as the settlement of securities transactions, is recognised at a point in time and, from recurring services, such as securities custody, over time.

- ***Credit business***

In the credit business, revenue is primarily received from the processing and administration of (syndicated) loans and the provision of guarantee loans. As a rule, one-off processing and syndicate fees are booked at a specific point in time, while revenues from recurring services, such as acting as an agent in a banking syndicate (e.g. as a collateral manager) and the provision of guarantee facilities, are booked over time. The BayernLB Group primarily acts as an agent for subsidised loans.

- ***Payments***

In the case of payments, revenue is mainly produced from account management, the processing of transfers, and the collection and redemption of direct debits. As a rule, one-off revenue, such as fees for bank transfers and direct debits, is booked at a point in time, while revenue from recurring services, such as account management, is booked over time.

- ***Documentary business***

In the documentary business, revenue is primarily generated from the settlement of payments in international trade using letters of credit. As a rule, revenue from one-off services, such as the opening and processing of letters of credit, is recognised at a point in time, while revenue from recurring services, such as credit confirmations, is recognised over time.

- ***Card business***

In the card business, revenue is mainly generated from the issue of credit and debit cards and associated services, in particular settlement. As a rule, one-off fees, such as foreign usage fees and cash service fees, are booked at a point in time, while recurring charges, such as cardholder fees, are booked over time. The BayernLB Group primarily acts as an agent when brokering insurance services and other ancillary services, and revenue is recognised on a net basis in such cases.

- ***Fund business***

In the fund business, revenue is primarily received from fund structuring and management, portfolio and asset management, and investor support. As a rule, one-off revenue, such as transaction fees, is recognised at a point in time, while revenue from recurring services, such as fund management, is recognised over time.

- ***Trust transactions***

In the trust transactions business, revenue is mainly generated from the granting and administration of trust loans. As a rule, revenue from one-off administrative cost contributions is recognised at a point in time and, from recurring administrative cost contributions, over time. In the trust transactions business, the BayernLB Group primarily acts as an agent, and revenue is recognised on a net basis in such cases.

The BayernLB Group makes use of the practical expedient under IFRS 15.63 and refrains from adjusting the promised amount of consideration for the effects of a significant financing component if it expects, at contract inception, that the period between when the entity transfers a promised service to the customer and when the customer pays for that service will be one year or less.

Breakdown of revenues

Revenue from contracts with customers booked to net commission income is broken down as follows:

€ million	2024	2023
Securities business	97	86
Credit business	215	207
Payments	111	99
Documentary business	5	6
Card business	270	275
Fund business	223	225
Trust transactions	19	18
Other	13	11
Total	953	927

The segment report (see note 26) shows net commission income and other income and expenses for each business segment of the BayernLB Group. This is presented in each case as a net figure consisting of commission income, commission expenses, other income and other expenses, and includes the revenue recognised from contracts with customers in accordance with IFRS 15.

Contract balances

The following table shows the opening and closing balances of receivables and contract liabilities from contracts with customers.

€ million	31 Dec 2024	31 Dec 2023	31 Dec 2022
Loans and advances	49	59	54
Contract liabilities	1	2	2

A receivable is recognised when invoiced by the BayernLB Group. Contract liabilities are shown in the case of payments received in advance and recognised in instalments over the period during which the service is rendered.

In the reporting year revenue of €2 million (FY 2023: €2 million) which was included in the contract liability balance at the beginning of the period was recognised.

Transaction price allocated to remaining performance obligations

The BayernLB Group makes use of the practical expedient under IFRS 15.121 and refrains from disclosing the transaction price allocated to the remaining performance obligations for contracts with an original expected duration of no more than one year and for contracts from which revenue can be recognised for simplification purposes in accordance with IFRS 15.B16 in the amount to which the entity has a right to invoice.

Capitalised costs

The BayernLB Group makes use of the practical expedient under IFRS 15.94 and recognises the incremental costs of obtaining a contract with a customer as an expense when incurred if the amortisation period will be one year or less.

(78) Leasing**The BayernLB Group as lessee**

The BayernLB Group's existing leasing activities mainly involve the leasing of office and parking spaces, vehicles, IT end devices and other assets. The leases provide the Bank with flexibility it would not have if it had purchased the underlying assets, including the option to extend or terminate and, where applicable, to replace leased assets on a regular basis.

In financial year 2021, one Group company concluded a lease of over 15 years for an office building complex in Berlin. This company will set up its future head office there. The lease is expected to begin in 2025. Future lease payments from this non-cancellable lease will amount to €4 million in 2025 and then €15 million for each of the following years.

Right-of-use assets

€ million	2024	2023
Property, plant and equipment	93	119
Total	93	119

Breakdown of the carrying amount of the right-of-use assets recognised under property, plant and equipment by class of underlying assets

€ million	2024	2023
Property	90	116
Furniture and office equipment	3	2
Other assets	1	1
Total	93	119

Additions to right-of-use assets stood at €14 million in the reporting year (FY 2023: €10 million).

Breakdown of the depreciation amount of the right-of-use assets by class of underlying assets

€ million	2024	2023
Property ¹	(23)	(25)
Furniture and office equipment	(1)	(1)
Other assets	–	(1)
Total	(25)	(27)

¹ Not including investment property.

Lease liabilities

€ million	2024	2023
Other liabilities	96	122
Total	96	122

Interest expenses for lease liabilities amounted to €1 million in the reporting year (FY 2023: €1 million).

No lease liabilities were recognised for short-term leases or for leases where the underlying asset is of low value. Instead, lease payments associated with these leases were recognised as expenses. In the reporting year, the costs

for short-term leases stood at €0 million (FY 2023: €2 million), while for leases where the underlying asset is of low value the costs were €1 million (FY 2023: €2 million).

The total cash outflow for leases amounted to €27 million in the reporting year (FY 2023: €30 million).

The BayernLB Group as lessor

The BayernLB Group is a lessor in respect of operating leases. The leased property is real estate.

Breakdown of lease payments by maturity

€ million	2024	2023
Residual maturities		
Up to 1 year	1	1
Between 1 year and 2 years	1	1
Between 2 years and 3 years	1	1
Between 3 years and 4 years	1	1
Between 4 years and 5 years	1	1
More than 5 years	1	1
Total	6	6

Income from operating leases in the reporting year was €1 million (FY 2023: €1 million).

(79) Trust transactions

€ million	2024	2023
Assets held in trust	6,651	6,351
Loans and advances to banks	256	336
Loans and advances to customers	6,395	6,015
Liabilities held in trust	6,651	6,351
Liabilities to banks	270	353
Liabilities to customers	6,381	5,998

(80) Contingent assets, contingent liabilities and other commitments

€ million	2024	2023
Contingent liabilities	15,033	13,276
Liabilities from guarantees and indemnity agreements	15,033	13,275
Contingent liabilities from litigation	1	2
Other commitments	23,961	25,948
Irrevocable credit commitments	23,961	25,948
Total	38,994	39,224

Liabilities from guarantees and indemnity agreements include financial guarantees and other contingent liabilities to which the impairment rules under IFRS 9 apply (see note 57).

Contingent liabilities and other commitments are for the most part potential liabilities arising from the occurrence of an uncertain future event whose settlement amount and date cannot be reliably estimated.

€10,432 million (FY 2023: €9,561 million) of contingent liabilities and €12,675 million (FY 2023: €12,663 million) of other commitments is due after more than 12 months.

In December 2021, the resolution of HETA Asset Resolution AG (HETA) was finalised under the Austrian Federal Act on the Resolution and Recovery of Banks (BaSAG) and a process to liquidate HETA under the Austrian Stock Corporation Act initiated. BayernLB is expecting liquidation proceeds up to 2027 from this process based on the planned winding up of HETA.

(81) Other financial obligations

Other financial obligations arise principally from agency, rental, leasing, usage, service, maintenance, consulting and marketing agreements.

As at the end of the reporting period, there were call commitments for capital not fully paid up of €5 million (FY 2023: €5 million) and uncalled liabilities from German limited partnership (Kommanditgesellschaft) interests of €0 million (FY 2023: €15 million). Liabilities to subsidiaries not incorporated in the consolidated financial statements totalled €5 million (FY 2023: €20 million).

As at the reporting date, the BayernLB Group had a total of €350 million (FY 2023: €327 million) of irrevocable payment commitments in connection with the bank levy and deposit guarantee scheme that had not yet been taken to income. Of this amount, €118 million (FY 2023: €118 million) related to the bank levy and €232 million (FY 2023: €209 million) to the deposit guarantee scheme. Cash collateral of €118 million (FY 2023: €118 million) was provided for the bank levy and in the amount of €6 million (FY 2023: €91 million) for the deposit guarantee scheme. Securities collateral of €226 million (FY 2023: €118 million) was transferred for the deposit guarantee scheme (see note 70).

The annually calculated target volume of funds for the deposit guarantee scheme must be achieved by 3 July 2024 under the German Deposit Guarantee Act. But due to BayernLB's decoupling from Deutsche Kreditbank Aktiengesellschaft (DKB) with respect to contributions in financial year 2021 (rescission of letter of comfort, termination of control and profit and loss transfer agreement), BayernLB already achieved its target volume. It is therefore currently expected that BayernLB will not need to make any further contributions up to 2024.

BayernLB had indicated that it would reimburse the deposit insurance fund run by the Association of German Public Banks, VÖB e.V., for all payments made pursuant to the statutes on behalf of DKB to cover proven defaults, as the fund is unable to enforce its rights of recourse set out in the statutes against DKB. As a result of the aforementioned decoupling, this declaration was revoked with immediate effect in financial year 2021, resulting in the extinguishing of the associated obligations.

In line with standard banking practice, BayernLB has released the natural persons acting as general partners or managing limited partners for the closed-end fund structures of Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich, and its predecessor company Bayernfonds Immobiliengesellschaft mbH, Munich, from liability.

(82) Letters of comfort

Expiry of the letter of comfort for Deutsche Kreditbank Aktiengesellschaft on 30 November 2021 and 19 August 2021

There was formerly a letter of comfort issued by BayernLB in favour of Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB). BayernLB rescinded and cancelled this letter of comfort in full with effect from 1 December 2021. BayernLB rescinded the letter of comfort to the creditors of DKB with whom no contractual relationship with DKB had yet existed as at the end of 19 August 2021, with effect from 20 August 2021. As of 20 August 2021, new customers of DKB are unable to call on the letter of comfort. BayernLB also accordingly rescinded and cancelled all letters of

comfort in favour of DKB that were published in the past in its annual reports or communicated through a different channel.

Expiry of the letter of comfort for Banque LBLux S.A. (since renamed Banque LBLux S.A. in Liquidation), Luxembourg, on 30 April 2015

BayernLB previously issued a letter of comfort for Banque LBLux S.A. (since renamed Banque LBLux S.A. in Liquidation), Luxembourg. This letter of comfort was rescinded with effect from 1 May 2015. As a result, the letter of comfort will in particular no longer cover liabilities of Banque LBLux S.A. (since renamed Banque LBLux S.A. in Liquidation) that were created after 30 April 2015. All previously issued letters were also rescinded accordingly.

(83) Shareholdings

Name and location of the investee	Equity interest	Percentage held	Equity/fund assets in € k	Earnings in € k
Consolidated subsidiaries				
BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich ¹	Direct	100.0	24,754	–
Deutsche Kreditbank Aktiengesellschaft, Berlin	Direct	100.0	4,134,056	400,635
Subsidiaries included in the Deutsche Kreditbank Aktiengesellschaft sub-group:				
DKB Finance GmbH, Berlin ¹	Indirect	100.0	18,069	–
DKB Grund GmbH, Berlin ¹	Indirect	100.0	102	–
DKB Immobilien GmbH, Berlin ¹	Indirect	100.0	3,728	–
DKB Service GmbH, Potsdam ¹	Indirect	100.0	7,100	–
FMP Forderungsmanagement Potsdam GmbH, Potsdam ¹	Indirect	100.0	12,150	–
PROGES EINS GmbH, Berlin	Indirect	100.0	9,852	13,778
Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich ¹	Direct	100.0	45,455	–
Subsidiaries included in the Real I.S. AG Gesellschaft für Immobilien Assetmanagement sub-group:				
Real I.S. Investment GmbH, Munich ¹	Indirect	100.0	4,500	–
Consolidated structured entities				
DKB Nachhaltigkeitsfonds European Green Deal, L-Luxembourg	Indirect	73.7	126,073	14,775
DKB Nachhaltigkeitsfonds Klimaschutz, L-Luxembourg	Indirect	35.8	180,842	43,661
DKB Nachhaltigkeitsfonds SDG, L-Luxembourg	Indirect	59.2	87,784	18,180
Unconsolidated subsidiaries				
12Tree BI GP S.à.r.l., L - Munsbach	Indirect	100.0	5	(7)
Banque LBLux S.A. i.L., L - Luxembourg	Direct	100.0	35,546	(299)
Bauland GmbH, Baulandbeschaffungs-, Erschließungs- und Wohnbaugesellschaft, Munich ¹	Indirect	94.5	25	–
Bavaria Immobilien-Beteiligungs-Gesellschaft mbH, Munich	Indirect	100.0	28	2
Bayerische Landesbank Europa-Immobilien-Beteiligungs-GmbH, Munich ¹	Indirect	100.0	109	–
Bayerische Landesbank Immobilien-Beteiligungs-Gesellschaft mbH & Co. KG, Munich	Direct	100.0	47,921	(1,625)
Bayerische Landesbank Immobilien-Beteiligungs-Verwaltungsgesellschaft mbH, Munich	Direct	100.0	78	2
Bayern Bankett Gastronomie GmbH, Munich ¹	Direct	100.0	514	–
Bayern Corporate Services GmbH, Munich	Indirect	100.0	205	–
Bayern Facility Management GmbH, Munich ¹	Direct	100.0	2,560	–
BayernFM Objektmanagementgesellschaft mbH, Munich	Indirect	100.0	31	2
	Direct + indirect			
Bayernfonds Immobiliengesellschaft mbH, Munich		100.0	11,219	3,637

Name and location of the investee	Equity interest	Percentage held	Equity/fund assets in € k	Earnings in € k
Bayernfonds Kambera GmbH, Munich	Indirect	100.0	25	–
Bayernfonds Opalus GmbH, Munich	Indirect	100.0	25	–
BayernImmo 2019 Joint Venture Verwaltungs GmbH, Munich	Indirect	100.0	21	(1)
BayernImmo 2. Joint Venture Verwaltungs GmbH, Munich	Indirect	100.0	8	(1)
BayernInvest Luxembourg S.A., L - Munsbach	Indirect	100.0	4,990	802
BayernLB Capital Partner GmbH, Munich	Direct	100.0	1,480	24
BayernLB Capital Partner Verwaltungs-GmbH, Munich	Direct	100.0	57	2
BayernLB DP GmbH i.L., Munich	Direct	100.0	43	(3)
BayernLB Mittelstandsfonds GmbH & Co. Unternehmensbeteiligungs KG i.L., Munich	Direct + indirect	100.0	11,990	6,288
BayernLB Private Equity GmbH i.L., Munich	Direct	100.0	18,806	10,920
Berchtesgaden International Resort Betriebs GmbH, Munich ¹	Direct	100.0	9,368	–
BGV IV Verwaltungs GmbH, Munich	Indirect	100.0	44	2
BGV V Verwaltungs GmbH, Munich	Indirect	100.0	62	4
BGV VI Verwaltungs GmbH, Munich	Indirect	100.0	72	9
BGV VII Europa Verwaltungs GmbH, Munich	Indirect	100.0	50	4
BI Infrastruktur Beteiligungen S.à.r.l., L - Munsbach	Indirect		(2)	(9)
BLB-Beteiligungsgesellschaft Sigma mbH, Munich	Direct	100.0	985	14
BLB-VG22-Beteiligungsgesellschaft mbH, Munich	Direct	100.0	539	9
DKB Campus GmbH, Berlin ¹	Indirect	100.0	450	–
DKB Code Factory GmbH, Berlin ¹	Indirect	100.0	800	–
DKB Immobilien Beteiligungs GmbH, Potsdam	Indirect	100.0	2,194	186
DKB STIFTUNG Jugenddörfer gemeinnützige GmbH, Fürth ²		100.0	274	(228)
DKB Stiftung Liebenberg gGmbH, Löwenberger Land OT Liebenberg ²		100.0	371	165
DKB Wohnen GmbH, Berlin ¹	Indirect	100.0	25	–
GbR Olympisches Dorf, Potsdam	Indirect	100.0	18	18
German Centre for Industry and Trade Shanghai Co. Ltd., PRC - Shanghai	Indirect	100.0	35,654	1,226
German Centre for Industry and Trade Taicang Co. Ltd., PRC - Taicang	Indirect	100.0	2,977	(9)
German Centre Limited, BVI - Tortola	Direct	100.0	28,647	1,159
gewerbegründ Bauträger GmbH & Co. Objekt IGG KG, Munich	Indirect	100.0	257	135
gewerbegründ Projektentwicklungsgesellschaft (gpe) mbH, Munich	Direct	100.0	2,764	(690)
Global Format GmbH & Co. KG, Munich	Direct	52.4	2,083	97
Global Format Verwaltungsgesellschaft mbH, Munich	Indirect	100.0	36	1
LB Immobilienbewertungsgesellschaft mbH, Munich ¹	Direct	100.0	827	–
Oberhachinger Bauland GmbH, Wohnbau- und Erschließungsgesellschaft, Munich	Indirect	100.0	(3)	2
Potsdamer Immobiliengesellschaft mbH, Potsdam	Indirect	100.0	41	(54)
PROGES ENERGY GmbH, Berlin	Indirect	100.0	1,449	256
PROGES Sparingberg GmbH, Berlin	Indirect	100.0	533	(28)
PROGES VIER GmbH, Berlin	Indirect	100.0	199	(24)
PROGES ZWEI GmbH, Berlin	Indirect	100.0	4,566	76
Real I.S. Australia Pty. Ltd., AUS - Sydney	Indirect	100.0	1,424	36
Real I.S. Beteiligungs GmbH, Munich	Indirect	100.0	120	8
Real I.S. Finanz GmbH i.L., Munich ¹	Direct	100.0	25	–
Real I.S. Fonds Service GmbH i.L., Munich ¹	Direct	100.0	149	(9)
Real I.S. France SAS, F - Paris	Indirect	100.0	6,924	1,690
Real I.S. Fund Management GmbH, Munich	Indirect	100.0	89	3
Real I.S. Gesellschaft für Immobilienmanagement mbH & Co. KG, Munich	Indirect	100.0	6,057	115
Real I.S. Gesellschaft für Immobilienmanagement und Verwaltung mbH, Munich	Indirect	100.0	205	3

Name and location of the investee	Equity interest	Percentage held	Equity/fund assets in € k	Earnings in € k
Real I.S. GREF Verwaltungs GmbH, Munich	Indirect	100.0	22	(1)
Real I.S. Management Hamburg GmbH, Munich	Indirect	100.0	28	(2)
Real I.S. Management SA, L - Munsbach	Indirect	100.0	587	89
Real I.S. Property Management GmbH, Munich	Indirect	100.0	702	(924)
Real I.S. SMART Verwaltungs GmbH, Munich	Indirect	100.0	11	(4)
TEGES Grundstücks-Vermietungsgesellschaft mbH, Berlin	Indirect	100.0	21	(2)
TEGES Grundstücks-Vermietungsgesellschaft mbH & Co. Objekt Berlin KG, Berlin	Indirect	94.0	(5,098)	300
TFD und BGV VI Verwaltungs GmbH, Munich	Indirect	100.0	11	(2)
TFD und RFS Verwaltungs GmbH, Munich	Indirect	100.0	11	(3)
TFD Verwaltungs GmbH, Munich	Indirect	100.0	14	(2)
Joint ventures not measured at equity				
AKG ImmoPlus GmbH, Berlin	Indirect	50.0	1,484	340
BayernImmo 1. Joint Venture Verwaltungs GmbH i.L., Munich	Indirect	50.0	2	(3)
BayernImmo 2019 Joint Venture GmbH & Co. KG, Munich	Indirect	50.0	17,521	947
DKB Stiftung Schloss Liebenberg GmbH, Fürth ¹	Indirect	97.0	78	–
Einkaufs-Center Győr Verwaltungs G.m.b.H., Hamburg	Indirect	50.0	33	2
GHM MPP Reserve GmbH, Regensburg	Indirect	50.0	959	(24)
GHM MPP Verwaltungs GmbH, Regensburg	Indirect	50.0	245	(19)
MTI Main-Taunus Immobilien GmbH i.L., Bad Homburg v.d.H.	Indirect	50.0	42	(8)
Associates not measured at equity				
Bayerngrund Grundstücksbeschaffungs- und -erschließungs-Gesellschaft mit beschränkter Haftung, Munich	Direct	50.0	7,577	411
Bayern Mezzaninekapital Fonds II GmbH & Co. KG Unternehmensbeteiligungsgesellschaft, Munich	Direct	40.0	2,208	(745)
Bayern Mezzaninekapital Verwaltungs GmbH, Munich	Direct	49.0	56	1
GbR VÖB-ImmobilienAnalyse, Bonn ³	Indirect	20.0	–	–
qards GmbH, Saarbrücken	Indirect	26.1	17,500	4,954
RSU GmbH & Co. KG, Munich	Direct	20.0	10,861	(59)
Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich	Direct	100.0	6,759	(1,529)
Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich	Direct	100.0	31,316	(516)
Unconsolidated structured entities				
Baserepo No. 1 S.A., L - Luxembourg ⁴	–	–	31	–
BayernInvest ESG Global Bond Opportunities, Munich	Direct	55.6	32,030	640
BayernInvest Real I.S. 3-Fonds, Munich	Indirect	26.9	64,421	2,473
DKB Stiftung für gesellschaftliches Engagement, Löwenberger Land OT Liebenberg ⁴	–	–	15,529	(912)
BayernInvest Reserve EUR Bond Fonds InstAL, Luxembourg	Indirect	37.2	48,179	641
EK-Fonds der BayernInvest, Munich	Indirect	100.0	20,880	1,045
ASS 17 GmbH, Grünwald ⁴	–	–	–	(1,497)
Other investees				
AKA Ausfuhrkredit-Gesellschaft mbH, Frankfurt am Main	Direct	7.2	291,821	8,025
BayBG Bayerische Beteiligungsgesellschaft mbH, Munich	Direct	12.9	269,260	5,132
Bayerische Garantiesgesellschaft mbH für mittelständische Beteiligungen, Munich	Direct	8.2	62,971	429
Bayernfonds Asia-Pacific Growth GmbH & Co. KG, Munich	Indirect	0.1	–	(315)
Bayernfonds Immobilien City-Investitionen Objekte Erfurt und Jena KG, Munich	Indirect	5.2	18,505	852

Name and location of the investee	Equity interest	Percentage held	Equity/fund assets in € k	Earnings in € k
Bayernfonds Immobilien Dresden Bürozentrum Falkenbrunnen KG, Munich	Indirect	0.1	17,300	997
Bayernfonds Immobilien Fachmarktzentrum Erfurt, Leipziger Straße KG, Munich	Indirect	0.8	2,750	823
Bayernfonds Immobilien Jena Gewerbepark KG i.L., Munich	Indirect	0.2	–	(64)
Bayernfonds Immobilienverwaltung GmbH & Co. Australien 8 KG, Munich	Indirect	<0.1	86,445	1,323
Bayernfonds Immobilienverwaltung GmbH & Co. Australien 9 KG, Munich	Indirect	<0.1	67,255	1,324
Bayernfonds Immobilienverwaltung GmbH & Co. Hamburg Steindamm KG, Munich	Indirect	0.4	14,873	1,022
Bayernfonds Immobilienverwaltung GmbH & Co. Kamberra KG, Munich	Indirect	<0.1	4,308	48,786
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt Hamburg 3 KG, Munich	Indirect	0.3	31,933	12,294
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt München KG, Munich	Indirect	0.3	5,573	(4,414)
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt München Landsberger Straße KG, Munich	Indirect	0.3	24,028	1,313
Bayernfonds Immobilienverwaltung GmbH & Co. Objekt München Ungerer Straße KG, Munich	Indirect	0.3	12,855	573
Bayernfonds Immobilienverwaltung GmbH & Co. Opalus KG, Munich	Indirect	<0.1	110,695	8,393
Bayernfonds Immobilienverwaltung GmbH & Co. Regensburg KG, Munich	Indirect	0.3	4,074	45,833
Bayernfonds Immobilienverwaltung GmbH & Co. Ungarn Objekt Győr KG, Munich	Indirect	0.2	12,272	3,503
Bayernfonds Immobilienverwaltung Objekt Berlin Schönhauser Allee Arcaden KG, Munich	Indirect	5.7	(422)	1,861
Bayernfonds Immobilienverwaltung Objekt Düsseldorf Bonneshof GmbH & Co. KG, Munich	Indirect	0.4	22,661	2,191
Bayernfonds Immobilienverwaltung Objekte München, Berlin, Wiesbaden KG, Munich	Indirect	0.3	12,632	(55)
Bayernfonds Immobilienverwaltung Objekt Wiesbaden, Hagenauer Straße 42, 44 und 46 KG, Munich	Indirect	5.1	12,273	613
Bayernfonds Pacific Growth GmbH & Co. KG, Munich	Indirect	<0.1	2,440	53
BGV Bayerische Grundvermögen III SICAV-FIS, L - Luxembourg	Indirect	<0.1	96,373	9,953
BGV III Feeder 1 S.C.S. SICAV-FIS, L - Luxembourg	Indirect	0.1	60,736	6,616
BGV IV PARIS 1 SCI, F - Paris	Indirect	<0.1	5,618	(171)
BGV V LYON 1 SCI, F - Paris	Indirect	<0.1	4,208	(4,258)
BGV V Paris 1 SCI, F - Paris	Indirect	<0.1	1,106	(498)
BGV V PARIS 2 SCI, F - Paris	Indirect	<0.1	15,191	(1,408)
BGV V ST GENEVIEVE 1 SCI, F - Paris	Indirect	<0.1	443	(427)
BGV VI FAUBOURG SCI, F - Paris	Indirect	<0.1	18,855	(641)
BGV VI Servon SCI, F - Paris	Indirect	<0.1	10,184	(1,177)
CLS Group Holdings AG, CH - Zurich	Direct	0.7	616,802	1,732
Deutsche WertpapierService Bank AG, Frankfurt am Main	Direct	3.7	335,224	50,338
DKB Wohnimmobilien Beteiligungs GmbH & Co. KG, Potsdam	Indirect	5.1	36,746	2,380
Fondsbörse Deutschland Beteiligungsmakler AG, Hamburg	Indirect	6.2	6,162	1,124
Galintis GmbH & Co. KG, Frankfurt am Main	Direct	15.9	533,830	17,486
GbR Datenkonsortium OpRisk, Bonn ^{3,5}	Direct	–	–	–
GESO Gesellschaft für Sensorik, geotechnischen Umweltschutz und mathematische Modellierung mbH i.L., Jena	Indirect	41.7	(353)	–
GLB GmbH & Co. OHG, Frankfurt am Main	Direct	6.3	2,750	(42)
GLB-Verwaltungs-GmbH, Frankfurt am Main	Direct	6.2	66	2
JFA Verwaltung GmbH, Leipzig	Indirect	10.7	(13,852)	305

Name and location of the investee	Equity interest	Percentage held	Equity/fund assets in € k	Earnings in € k
Kreditgarantiegemeinschaft des bayerischen Gartenbaus GmbH, Munich	Direct	6.1	649	–
Kreditgarantiegemeinschaft des bayerischen Handwerks GmbH, Munich	Direct	9.9	4,846	–
Kreditgarantiegemeinschaft des Hotel- und Gaststättengewerbes in Bayern GmbH, Munich	Direct	6.9	4,359	–
Kreditgarantiegemeinschaft für den Handel in Bayern GmbH, Munich	Direct	5.8	6,317	–
MVP Fund II GmbH & Co. KG, Munich	Direct	10.0	12,014	(4,443)
Neue Novel Ferm Verwaltungs GmbH i.L., Berlin	Indirect	49.0	5	(5)
Novel Ferm Brennerei Dettmannsdorf GmbH & Co. KG i.L., Berlin	Indirect	49.0	(2,705)	–
PARIS EDEN MONCEAU SCI, F - Paris	Indirect	<0.1	41,479	(462)
RAC 2 N.V., B - Woluwe-Saint-Pierre	Indirect	<0.1	1,727	335
Real I.S. Australien 10 GmbH & Co. KG, Munich	Indirect	<0.1	22,805	4
Real I.S. Grundvermögen GmbH & Co. geschlossene Investment-KG, Munich	Indirect	5.4	89,887	1,775
Real I.S. Hotel Stuttgart GmbH & Co. geschlossene Investment-KG, Munich	Indirect	<0.1	34,133	1,535
Real I.S. Institutional Real Estate 1 GmbH & Co. geschlossene Investment-KG, Munich	Indirect	<0.1	67,719	2,434
Real I.S. Westbahnhof Wien GmbH & Co. geschlossene Investment-KG, Munich	Indirect	<0.1	67,410	2,427
SIZ GmbH, Bonn	Direct	5.0	6,929	733
SOUTH CITY OFFICE FONSNY S.A., B - Watermael-Boitsfort	Indirect	<0.1	25,636	943
Swiss Fintech AG, CH - Zurich	Indirect	11.9	3,622	(1,468)
TAG Wohnungsgesellschaft Berlin-Brandenburg mbH, Potsdam	Indirect	5.2	25,062	(1,420)
THE GREEN CORNER S.A., B - Woluwe-Saint-Pierre	Indirect	<0.1	5,741	310
True Sale International GmbH, Frankfurt am Main	Direct	7.7	4,536	(136)
vc trade GmbH, Frankfurt am Main	Direct	9.5	5,781	(1,600)
Visa Inc., USA - San Francisco	Direct + indirect	<0.1	34,956,234	16,304,512

1 A profit and loss transfer agreement has been concluded with the company (or the sub-group parent company, in the case of indirect holdings).

2 Control through a structured entity of the BayernLB Group.

3 Adopted annual accounts not yet available.

4 Structured entity under IFRS 10 with no equity interests held by the BayernLB Group.

5 Share of voting rights: BayernLB Group: 10.0 percent; third parties: 90.0 percent.

The information is based on the most recent annual accounts of the investees.

Foreign currency amounts were converted into euros at the respective spot exchange rate at the end of the year.

Unless otherwise stated, the BayernLB Group's share of the voting rights corresponds to the share of equity.

Unless otherwise stated, third parties hold a share of the voting rights in the amount not held by the BayernLB Group.

Equity interests in large limited companies (including credit institutions and investment companies) exceeding 5% of the voting rights

Name and location of the investee

AKA Ausfuhrkredit Gesellschaft mbH, Frankfurt am Main
Bayerische Garantiegesellschaft mbH für mittelständische Beteiligungen, Munich
Bayern Facility Management GmbH, Munich
Bayerngrund Grundstücksbeschaffungs- und -erschließungs-Gesellschaft mit beschränkter Haftung, Munich
BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich
BayernInvest Luxembourg S.A., L - Munsbach
Deutsche Kreditbank Aktiengesellschaft, Berlin
DKB Service GmbH, Potsdam
qards GmbH, Saarbrücken
Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich
Real I.S. Investment GmbH, Munich

Companies for which BayernLB or a consolidated subsidiary acts as a partner with unlimited liability

Name and domicile of the company

Bankenkooperation, Hanover
GbR Datenkonsortium OpRisk, Bonn
GLB GmbH & Co. OHG, Frankfurt am Main

(84) Unconsolidated structured entities

IFRS 12 stipulates that an entity must be treated as structured if it has been designed in such a way that the voting rights or similar rights are not the dominant factor in deciding who controls the entity.

The BayernLB Group has business relations with structured entities in the normal course of business. Structured entities tend to have limited activities and a narrowly drawn and precisely defined business purpose. One potentially identifying feature for them is that they hold insufficient capital to finance their own activities without subordinated financial support.

If a BayernLB Group company is exposed to variable returns from the activity of a structured entity due to contractual and non-contractual relationships, and according to IFRS 10 the structured entity does not have to be consolidated, this counts as an interest in an unconsolidated structured entity. The holding may consist of debt and equity instruments, liquidity facilities, guarantees or various financial derivatives with which the BayernLB Group absorbs fluctuations from structured units. If the relationship between the BayernLB Group company and a structured entity is purely that between a buyer and provider of services, this is not normally an interest in an unconsolidated structured entity for the purposes of IFRS 12.

Within the BayernLB Group there are relationships with entities which have been classified as unconsolidated structured entities based on the definition in IFRS 12 and internal criteria. Unconsolidated structured entities engaged in the following business activities have been identified:

Securitisation vehicles

The BayernLB Group's business activities with securitisation vehicles is mainly in the form of securitisations structured for customers (customer transactions) with the ABCP programme Corelux S.A., Luxembourg, that was set up exclusively for this purpose. The securitisation vehicle Corelux S.A. purchases trade and leasing receivables from the BayernLB Group's core customers and funds them by issuing asset-backed securities and through credit

facilities from BayernLB. The value of the unconsolidated securitisation vehicles with which the BayernLB Group has business relationships is based on the sum of their assets and was €10,471 million (FY 2023: €1,655 million).

Investment funds

Investment funds count as structured entities if they are not managed by voting or similar rights. They invest in a range of assets and may finance themselves with debt according to their investment principles, as well as with the money provided by investors. Investment funds are intended to achieve particular investment objectives. The BayernLB Group offers its customers own and third-party investment funds and also itself invests in funds. The BayernLB Group also holds investment fund units in custody on behalf of and for the account of customers.

Interests in the BayernLB Group's own investment funds mainly comprise special funds issued and managed by its in-house investment companies Real I.S. and BayernInvest as part of their normal operations. The investment companies also perform functions all along the standard value chain for the funds business. Investment funds finance themselves by issuing units (equity). To a limited extent they can also take on borrowings (debt); these are generally secured by assets held by the investment funds. The investment funds generate income (commissions) in the form of management fees and performance fees based on assets under management. The assets under management represent the size of an investment fund. The assets managed by the Group's own investment management companies totalled €77,011 million (FY 2023: €79,887 million), which broke down into €3,183 million in retail funds (FY 2023: €3,212 million) and €73,828 million in special funds (FY 2023: €76,675 million).

Interests in investment funds managed by other companies principally include special funds and/or parts of special funds launched by companies outside of the Group, the volume of which was €279,185 million (FY 2023: €274,358 million). The BayernLB Group also extends loans to special funds to generate interest income.

Other financing

By definition, the BayernLB Group has a structured entity when a company is founded specifically to finance or operate an asset and is designed in such a way that it is not controlled through voting or similar rights. Rights under a credit agreement that convert into rights to have a say in the business if the credit rating is downgraded may also count as an interest in a structured entity. For example, an operating company may become a structured entity because relevant business activities are now controlled under the provisions of a credit agreement. Under the IFRS 12 classification, structured entities were identified predominantly in the transport (aviation and rail transport) and real estate risk segments. The loans in question are essentially secured by the underlying assets. The size of the structured entities in the form of other financing is based on the sum of their assets and was €6,426 million (FY 2023: €8,660 million).

Assets and liabilities from interests in unconsolidated structured entities recognised on the balance sheet

	Securitisation vehicles		Investment funds		Other financing		Total	
€ million	2024	2023	2024	2023	2024	2023	2024	2023
Assets								
Loans and advances to customers	709	509	7,146	4,148	2,028	1,989	9,883	6,645
Risk provisions	–	–	16	9	5	5	21	14
Assets held for trading	620	42	98	97	3	1	721	140
Financial investments	6	8	132	108	330	300	468	415
Other assets	–	–	37	39	–	–	37	39
Liabilities								
Liabilities to customers	24	19	2,274	2,895	62	75	2,360	2,988
Liabilities held for trading	1	9	8	34	13	18	21	61

Contingent liabilities and other liabilities from interests in unconsolidated structured entities

	Securitisation vehicles		Investment funds		Other financing		Total	
€ million	2024	2023	2024	2023	2024	2023	2024	2023
Contingent liabilities	–	–	80	67	–	–	80	67
Other commitments	1,208	1,290	156	67	244	77	1,608	1,435

The maximum risk of loss the BayernLB Group is exposed to from its business activities with structured entities depends on the carrying amount of receivables from the credit business, assets held for trading and financial investments on their balance sheets. These carrying amounts do not reflect the BayernLB Group's economic risk as they do not take account of collateral or hedges.

The maximum risk of loss of off-balance sheet transactions is reflected by their nominal value. The nominal values do not represent the economic risk as they do not take account of the impact of collateralisation or securitisation, or the probability of losses that could arise.

Gains or losses on interests in unconsolidated structured entities

	Securitisation vehicles		Investment funds		Other financing		Total	
€ million	2024	2023	2024	2023	2024	2023	2024	2023
Net interest income	45	48	62	2	86	74	194	123
Risk provisions	–	–	2	–	6	26	8	26
Net commission income	7	4	223	219	4	2	233	225
Gains or losses on fair value measurement	12	2	42	35	23	65	77	102
Gains or losses on hedge accounting	–	–	14	21	–	–	14	21
Gains or losses on financial investments	–	–	–	1	–	–	–	1

(85) Capital management

The aim of capital management is to preserve capital over the long term.

Capital management is based on a Group-wide planning process that incorporates strategic, risk-based and regulatory factors into a multi-year operational plan (economic and normative perspective of the ICAAP). In the Group

planning process, regulatory capital is distributed to each planning unit based on the risk-weighted assets (RWAs) component. The planning units (Group units) are the defined business areas and divisions of BayernLB, as well as BayernLabo and Deutsche Kreditbank Aktiengesellschaft (DKB). RWAs are allocated to the Group units through a top-down distribution approved by the Board of Management of BayernLB, combined with an internally assumed capital ratio.

Capital management deals with, among other things, the planning and development of regulatory capital ratios, the type and amount of the capital base and the allocation of RWAs, and entails ongoing monitoring of changes.

In addition to the Capital Requirements Regulation (CRR), BayernLB is subject to the European Central Bank's Supervisory Review and Evaluation Process (SREP). Following the outcome of the SREP process, BayernLB was assigned a CET1 ratio of 5.625% and a total capital ratio of 10.0%, both on a consolidated and individual basis.

The SREP capital ratio is used in BayernLB's capital management. It is used to determine the target capital ratio set in the planning process. Its adherence is monitored on an ongoing basis and regularly reported to management.

Management structure

The Board of Management of BayernLB is updated monthly in a Group management report covering a range of issues. This report includes information on performance, capital, liquidity and risk trends. As a component of the integrated reporting, the Group management report provides an initial impression of the current situation with key figures and ratios. Additional detailed information focused on the four key areas is then presented and commented on. Decisions and recommended capital management actions are also prepared for approval by the Board of Management taking account of framework conditions such as directives from the Bank's owners and regulatory requirements.

The Capital Board also provides detailed information on the performance of RWAs. The Capital Board comprises senior management from the risk control, financial controlling and Group strategy units as well as key business areas. It monitors and manages RWA trends across the Group, particularly RWA plan utilisation at segment level.

Key banking regulatory data

The BayernLB Group's supervisory capital is calculated on the basis of the CRR and CRD in their current versions.

Pursuant to Article 72 of the CRR, own funds comprise Common Equity Tier 1 and Tier 2 capital. BayernLB currently does not have any additional Tier 1 capital. Common Equity Tier 1 capital comprises subscribed capital plus reserves, the capital contribution of BayernLabo and various supervisory adjustments and deductions. The Tier 2 capital consists primarily of subordinated liabilities.

Banking supervisory capital of the BayernLB Group (as per consolidated financial statements)

€ million	2024	2023
Total RWAs	69,962	64,532
Own funds	15,656	15,124
Of which:		
Tier 1 capital	13,089	12,424
Common Equity Tier 1 capital (CET1 capital)	13,089	12,424

Banking supervisory ratios of the BayernLB Group (as per consolidated financial statements)

In %	2024	2023
Total capital ratio	22.4	23.4
Common Equity Tier 1 (CET1) capital ratio	18.7	19.3

The BayernLB Group complied at all times with the external capital requirements under Article 92 para. 1 CRR, sections 10c to 10i KWG and the minimum requirements under SREP in the reporting year.

(86) Administrative bodies of BayernLB

Supervisory Board

Dr Wolf Schumacher

Chairman of the BayernLB Supervisory Board
Munich

Walter Strohmaier

Deputy Chairman of the BayernLB Supervisory Board
Chairman of the Board of Directors
Sparkasse Niederbayern-Mitte
Straubing

Jan-Christian Dreesen

Chairman of the Board of Directors
FC Bayern München AG
Munich

Burkhard Eckes

since 1 May 2024
Member of the BayernLB Supervisory Board
Auditor
Berlin

Harald Hübner

Deputy Secretary
Bavarian State Ministry of Finance
and Regional Identity
Munich

Dr Klaus-Peter Potthast

since 1 February 2024
Member of the BayernLB Supervisory Board
Under Secretary
Bavarian State Ministry of Economic Affairs,
Regional Development and Energy

Erwin Schneider

Chief District Administrator
Altötting

Dr Jörg Schneider

Member of the BayernLB Supervisory Board
Munich

Henning Sohn

Chairman of the BayernLB General Staff Council
Munich

Judith Steiner

Under Secretary
Bavarian State Ministry of Finance
and Regional Identity
Munich

Sylvia Steinmann

Member of the BayernLB Supervisory Board
Meilen (Switzerland)

Prof. Dr Roland Fleck

until 30 April 2024
Member of the BayernLB Supervisory Board

Dr Ulrike Wolf-Prexler

until 31 January 2024
Member of the BayernLB Supervisory Board

Board of Management

Stephan Winkelmeier

CEO

Corporate Center (excluding Group Compliance)

Financial Office

Group Treasury

Deutsche Kreditbank Aktiengesellschaft

BayernInvest Kapitalverwaltungs-
gesellschaft mbH

Dr Markus Wiegmann

COO

Operating Office

IT

Gero Bergmann

Real Estate & Savings Banks/Financial Institutions

Bayerische Landesbodenkreditanstalt⁷⁰

Real I.S. AG Gesellschaft für Immobilien

Assetmanagement

Johannes Anschott

Corporates & Markets

Sigrid Kozmiensky

since 1 July 2024

CRO

Risk Office (including Group Compliance)

Marcus Kramer

until 30 June 2024

⁷⁰ Dependent institution of the Bank.

(87) Related party disclosures

The BayernLB Group maintains business relationships with related parties. These include the Free State of Bavaria and the Association of Bavarian Savings Banks, Munich (SVB) (indirect equity interests in BayernLB of roughly 75% and 25% respectively), plus subsidiaries, joint ventures and associates, Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich, Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich, and the Contractual Trust Arrangement (CTA) with Allianz Treuhand GmbH, Stuttgart. The members of BayernLB's Board of Management and Supervisory Board and their close family members, and companies controlled by these parties or jointly controlled if these parties are members of their management bodies, are also deemed related parties.

The list of shareholdings gives an overview of BayernLB's investees (see note 83).

Relationships with the Free State of Bavaria

€ million	2024	2023
Loans and advances	172	558
Assets held for trading	103	83
Financial investments	55	28
Commitments	19	269
Securitised liabilities	21	33
Liabilities held in trust	6,220	5,830
Contingent liabilities	6	6
Other commitments	1,066	1,066

The following were material relationships with companies controlled by the Free State of Bavaria, or which it jointly controls or has significant influence over:

€ million	2024	2023
Loans and advances to customers	787	638
Assets held for trading	28	25
Financial investments	–	10
Liabilities to banks	3,919	3,902
Liabilities to customers	392	498
Securitised liabilities	52	34
Liabilities held for trading	–	3
Assets held in trust	775	634
Contingent liabilities	8	6
Other commitments	63	166

Relationships with the Association of Bavarian Savings Banks

€ million	2024	2023
Commitments	67	76
Other liabilities	7	7

Relationships with investees

€ million	2024	2023
Loans and advances to customers	104	99
Unconsolidated subsidiaries	79	69
Joint ventures	–	6
Associates	25	24
Risk provisions	(8)	(11)
Unconsolidated subsidiaries	(8)	(11)
Financial investments	243	219
Unconsolidated subsidiaries	207	216
Joint ventures	–	1
Associates	37	3
Non-current assets or disposal groups classified as held for sale	8	–
Joint ventures	8	–
Other assets	7	4
Unconsolidated subsidiaries	7	4
Liabilities to customers	236	239
Unconsolidated subsidiaries	146	170
Joint ventures	3	6
Associates	87	63
Provisions	1	2
Unconsolidated subsidiaries	1	1
Associates	–	1
Other liabilities	4	–
Unconsolidated subsidiaries	2	–
Associates	2	–
Contingent liabilities	1	2
Unconsolidated subsidiaries	1	1
Joint ventures	–	1
Other commitments	–	1
Joint ventures	–	1

In the reporting year, no capital contributions were made to unconsolidated entities, joint ventures and associates (FY 2023: €6 million). These investees repaid capital in the amount of €32 million (FY 2023: €161 million).

Relationships with other related parties

Post-employment benefit plans count as related parties. The BayernLB Group has business relations with Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich, Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich, and the Contractual Trust Arrangement (CTA) with Allianz Treuhand GmbH, Stuttgart. The CTA is managed as a trust and qualifies as plan assets; to that extent there was an offsetting against the earmarked pension obligations.

Relationships with related pension institutions

€ million	2024	2023
Reimbursement of pension payments made to the CTA	105	101
Contribution to plan assets of Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung	2	1
Contribution to plan assets of Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung	7	–

Relationships with members of the BayernLB Board of Management and Supervisory Board and their close family members

€ million	2024	2023
Members of the BayernLB Board of Management		
Deposits	2	2
Securities	2	2
Loans	1	1

The loans were granted at interest rates of between 0.50% and 3.31%.

Remuneration of members of the BayernLB Board of Management and Supervisory Board

€ k	2024	2023
Members of the BayernLB Board of Management	7,803	6,506
Short-term benefits ¹	6,034	5,211
Post-employment benefits	1,769	1,295
Defined benefit plan costs	850	518
Defined contribution plan costs	919	777
Members of the BayernLB Supervisory Board	1,151	982
Short-term benefits	1,151	982
Former members of the BayernLB Board of Management and their surviving dependants	6,193	5,941
Pension provisions established for members of the BayernLB Board of Management²	12,054	11,541
Pension provisions established for former members of the BayernLB Board of Management and their surviving dependants³	107,496	105,050

¹ Short-term benefits amounting to €1,342,000 (FY 2023: €1,094,000) will be paid out in the following year, subject to a resolution to this effect by the Supervisory Board and commensurate with individual performance.

² Pension obligations of €11,999,000 (FY 2023: €11,487,000) were offset in the balance sheet against claims from reinsurance of €11,116,000 (FY 2023: €10,241,000).

³ Pension obligations of €22,560,000 (FY 2023: €21,658,000) were offset in the balance sheet against claims from reinsurance of €20,667,000 (FY 2023: €20,746,000).

The short-term benefits due to the members of the Board of Management include the annual base salary (fixed remuneration), performance-based (variable) remuneration geared towards the BayernLB Group's Business Strategy and Risk Strategy and the respective multi-year planning and ancillary benefits (mainly non-cash benefits from use of a company car).

The remuneration of the Board of Management also includes expenses for defined benefit and defined contribution plans. For details, refer to note 57.

Employee representatives appointed to the Supervisory Board are also entitled to a regular salary in line with their employment contract.

(88) External auditor's fees

PricewaterhouseCoopers GmbH Wirtschaftsprüfungsgesellschaft (PwC) audited BayernLB's consolidated financial statements as at 31 December 2024 and also audited its consolidated subsidiaries' annual financial statements.

The external auditor's fees recognised as an expense in the year under review broke down as follows:

€ k	2024	2023
Financial statements audit services	(8,433)	(8,421)
Other assurance services	(2,173)	(915)
Other services	(321)	(608)
Total	(10,927)	(9,944)

The audit services included in particular the auditing of BayernLB's annual financial statements and consolidated financial statements and the annual financial statements of the consolidated Group companies, including statutory amendments and key audit areas agreed with the Supervisory Board. The review of the half-yearly financial statements was also included in the auditing mandate. Other assurance services included reviewing the combined separate non-financial report, audit support for the KOPERNIKUS IT project, the auditing process pursuant to Section 89 of the German Securities Trading Act (WpHG), issuing the comfort letter pursuant to IDW PS 910 and other audits of certifications as required under supervisory law. The other services mainly related to carrying out quality controls and agreed investigative activities

No expense was recognised for German companies affiliated with PwC and other PwC network companies in the reporting year (FY 2023: €45,000 expense for audit services and €50,000 for other services).

(89) Human resources

Average headcounts for the reporting year were:

	2024	2023
Full-time employees (not including trainees)	5,914	6,110
Female	2,501	2,569
Male	3,413	3,541
Part-time employees (not including trainees)¹	1,952	2,109
Female	1,490	1,609
Male	462	500
Trainees²	55	55
Female	20	19
Male	35	35
Total	7,921	8,274

¹ Part-time headcount equated to 1,366 full-time employees (FY 2023: 1,456).

² Includes students on a work/study programme.

The average number of employees (FTEs) at Bayern Card-Services GmbH - S-Finanzgruppe (BCS) in 2023 was 265.

(90) Events after the reporting period

When investigating CET1 capital instruments issued before the CRR took effect, the European Banking Authority (EBA) raised concerns about the CRR compliance of the capital contributions (silent partner contributions) provided by the Free State of Bavaria. Consequently, BayernLB held discussions with its owners and the ECB to identify solutions which would ensure the full retention of the CET 1 capital linked to the silent partner contributions while safeguarding the economic position of the Free State of Bavaria and the Association of Bavarian Savings Banks (SVB). A final understanding was then reached, which was concluded through a binding framework agreement in December 2024. As a result, BayernLB and the Free State of Bavaria agreed to terminate the silent partner contributions by 31 December 2024, with the Free State of Bavaria immediately reinvesting its compensation claim arising from the termination as an additional payment into BayernLB's capital surplus. Accordingly, the CET 1 capital from the former silent partner contributions totalling around €1.7 billion, has been retained in full. To compensate for the termination of the silent partner contributions while retaining the CET1 capital in full, the SVB transferred a portion of its shares in BayernLB Holding AG to the Free State of Bavaria. Effective 1 January 2025, SVB's indirect equity interest in the Bank's share capital went down from around 25% to about 19.83%, while the Free State of Bavaria's equity interest went up from roughly 75% to approximately 80.17%.

Munich, 25 March 2025

Bayerische Landesbank
Board of Management

Stephan Winkelmeier

Dr Markus Wiegmann

Gero Bergmann

Johannes Anschott

Sigrid Kozmiensky

INDEPENDENT AUDITOR'S REPORT

To Bayerische Landesbank, Anstalt des öffentlichen Rechts, Munich

Audit Opinions

We have audited the consolidated financial statements of Bayerische Landesbank, Anstalt des öffentlichen Rechts, Munich, and its subsidiaries (the Group), which comprise the consolidated balance sheet as at 31 December 2024, and the consolidated statement of comprehensive income, consolidated income statement, consolidated statement of changes in equity and consolidated cash flow statement for the financial year from 1 January to 31 December 2024, and notes to the consolidated financial statements, including material accounting policy information. In addition, we have audited the Group Management Report of Bayerische Landesbank, Anstalt des öffentlichen Rechts, which is combined with the Company's management report, for the financial year from 1 January to 31 December 2024.

In our opinion, on the basis of the knowledge obtained in the audit,

- the accompanying consolidated financial statements comply, in all material respects, with the IFRS Accounting Standards issued by the International Accounting Standards Board (IASB) (the IFRS Accounting Standards) as adopted by the EU and the additional requirements of German commercial law pursuant to § [Article] 315e Abs. [paragraph] 1 HGB [Handelsgesetzbuch: German Commercial Code] and, in compliance with these requirements, give a true and fair view of the assets, liabilities, and financial position of the Group as at 31 December 2024, and of its financial performance for the financial year from 1 January to 31 December 2024, and
- the accompanying Group Management Report as a whole provides an appropriate view of the Group's position. In all material respects, this Group Management Report is consistent with the consolidated financial statements, complies with German legal requirements and appropriately presents the opportunities and risks of future development.

Pursuant to § 322 Abs. 3 Satz [sentence] 1 HGB, we declare that our audit has not led to any reservations relating to the legal compliance of the consolidated financial statements and of the Group Management Report.

Basis for the Audit Opinions

We conducted our audit of the consolidated financial statements and of the Group Management Report in accordance with § 317 HGB and the EU Audit Regulation (No. 537/2014, referred to subsequently as "EU Audit Regulation") in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer [Institute of Public Auditors in Germany] (IDW). Our responsibilities under those requirements and principles are further described in the "Auditor's Responsibilities for the Audit of the Consolidated Financial Statements and of the Group Management Report" section of our auditor's report. We are independent of the Group entities in accordance with the requirements of European law and German commercial and professional law, and we have fulfilled our other German professional responsibilities in accordance with these requirements. In addition, in accordance with Article 10 (2) point (f) of the EU Audit Regulation, we declare that we have not provided non-audit services prohibited under Article 5 (1) of the EU Audit Regulation. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions on the consolidated financial statements and on the Group Management Report.

Key Audit Matters in the Audit of the Consolidated Financial Statements

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements for the financial year from 1 January to 31 December 2024. These matters

were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our audit opinion thereon; we do not provide a separate audit opinion on these matters.

In our view, the matters of most significance in our audit were as follows:

- ❶ Risk provisions in the lending business
- ❷ Pension provisions

Our presentation of these key audit matters has been structured in each case as follows:

- ❶ Matter and issue
- ❷ Audit approach and findings
- ❸ Reference to further information

Hereinafter we present the key audit matters:

- ❶ Risk provisions in the lending business

- ❶ In the Company's consolidated financial statements, loans and advances to customers amount to €181.8 billion and loans and advances to banks amount to €52.2 billion. The risk provisions for loans and advances are shown in a separate balance sheet item and amount to €1,539 million. In addition, there are financial guarantees, irrevocable and revocable credit commitments and other contingent liabilities amounting to €60.9 billion, for which risk provisions amounting to €113 million are recognized as provisions.

The measurement of risk provisions in the lending business is particularly influenced by the structure and quality of the loan portfolio, macroeconomic factors and management's estimates with regard to future credit defaults. The Group determines risk provisions in accordance with the applicable requirements of IFRS 9 using a three-stage model based on the expected credit loss system. To some extent, mathematical-statistical methods are used for this purpose. The measurement of the expected credit loss is determined in particular by the estimates of the executive directors with regard to the stage allocation and certain parameters, such as the probability of default and the loss given default at the time of default, and - in the case of stage 3 - by estimates of future cash flows, taking into account existing collateral. When calculating the risk provisions, risk factors were taken into account using a post-model adjustment insofar as they were not already included in the calculation parameters of the valuation models. The post model adjustment is used for non-impaired loans as well as for financial guarantees and loan commitments and other contingent liabilities, primarily with respect to borrowers in certain industry sectors, and serves to take into account the existing increased uncertainties resulting from the current overall economic conditions.

The risk provisions in the lending business are, on the one hand, of great importance for the Group's assets, liabilities and financial performance in terms of amount and, on the other hand, involve considerable judgment from the executive directors. Furthermore, the valuation parameters applied, which are subject to material uncertainties, have a significant influence on the recognition and amount of any risk provisions that may be required. Against this background, this matter was of particular importance in the context of our audit.

- ❷ As part of our audit, we initially assessed the appropriateness of the design of the controls in the relevant internal control system of the Group and tested the operating effectiveness of the controls, taking into account our understanding of the business organization, the IT systems in place and the valuation models used. In addition, we have assessed the calculation methods used by the Group and the underlying assumptions and parameters to evaluate the risk provisions recognized. Furthermore, we have assessed the valuation of the

receivables, including the appropriateness of estimated values, on the basis of samples of credit exposures. In doing so, we placed particular emphasis on commercial real estate financing. For this purpose, we assessed, among other things, the Group's available documentation regarding the economic circumstances and the recoverability of the corresponding collateral. In the case of property collateral for which the Group provided us with valuation reports, we obtained an understanding of the underlying input data, the valuation parameters applied and the assumptions made, critically assessed these and evaluated whether they were within an acceptable range. We examined the models used to determine the risk provisions in terms of suitability and functionality and evaluated the underlying assumptions and parameters. We questioned the necessity of recognising post-model adjustments and assessed the consideration of uncertainties due to the overall economic conditions in the determination of the post-model adjustments. In addition, we have mathematically verified the calculation of the risk provisions (including the post-model adjustments). On the basis of the audit procedures we performed by testing the recoverability of the credit portfolio, we were able to satisfy ourselves overall that the assumptions made by the executive directors were reasonable and that the controls implemented by the Group were appropriate and effective.

- ③ The disclosures provided by the executive directors of the Company on the risk provisions recognized can be found in the consolidated financial statements, in particular in sections (6), (9), (28), (42), (57) and (75) of the notes to the consolidated financial statements.

② Pension provisions

- ① There are various benefit plans with active, former and retired employees of the Group, which are recognized under the provisions in the consolidated balance sheet item totaling €0.5 billion as of the balance sheet date. The pension provisions consist of the obligations under defined benefit plans in the amount of €3.7 billion and the plan assets in the amount of €3.4 billion. In addition, an asset of €0.2 billion is recognized from defined benefit plans. The obligations under defined benefit plans are measured on the basis of actuarial reports commissioned by the Group using the projected unit credit method. In doing so, assumptions must be made in particular regarding the long-term salary and pension trend, fluctuation, the development of pensions in the statutory pension insurance scheme, inflation and biometric probability. The discount rate is derived from the yield on high-quality corporate bonds with matching currencies and comparable maturities. In this context, extrapolations must be made because sufficient long-term corporate bonds do not exist. Plan assets are measured at fair value, which in turn is subject to estimation uncertainties. The respective assumptions are determined by the executive directors.

In our view, these matters were of particular significance in the context of our audit, since the recognition and measurement of this item, which is significant in terms of amount, are based to a large extent on estimates and assumptions made by the Company's executive directors.

- ② As part of our audit, we assessed, among other things, the actuarial reports obtained and the professional qualifications of the external experts. We also examined the specific features of the actuarial calculations and assessed the quantity structure, the actuarial parameters and the valuation method on which the valuations are based for their appropriateness. We assessed the interest rate derivation procedure and the procedures for deriving the rate trend, the career trend and the pension trend. In addition, we analyzed and verified the development of the obligation and the expense components in accordance with the actuarial reports in light of the changes in the valuation parameters and in the quantity structure. We have assessed whether the assets held by Allianz Treuhand GmbH, Stuttgart, meet the requirements for recognition as plan assets. To audit the fair value of the plan assets, we inspected and evaluated asset statements. In particular, we verified the existence of the special funds in the plan assets by obtaining portfolio statements and reconciling the holdings. On

this basis, we verified, among other things, the calculation of the provision and its presentation in the consolidated balance sheet and the notes to the consolidated financial statements. On the basis of our audit procedures, we were able to satisfy ourselves that the estimates and assumptions made by the executive directors are substantiated.

- ③ The disclosures of the Company's executive directors on the pension provisions recognized can be found in the consolidated financial statements, in particular in sections (21) and (57) of the notes to the consolidated financial statements.

Other Information

The executive directors are responsible for the other information.

The other information comprises

- the separate non-financial report to comply with §§ 289b to 289e HGB and with §§ 315b to 315c HGB
- all remaining parts of the annual report – excluding cross-references to external information – with the exception of the audited consolidated financial statements, the audited Group Management Report and our auditor's report

Our audit opinions on the consolidated financial statements and on the Group Management Report do not cover the other information, and consequently we do not express an audit opinion or any other form of assurance conclusion thereon.

In connection with our audit, our responsibility is to read the other information mentioned above and, in so doing, to consider whether the other information

- is materially inconsistent with the consolidated financial statements, with the Group Management Report disclosures audited in terms of content or with our knowledge obtained in the audit, or
- otherwise appears to be materially misstated.

Responsibilities of the Executive Directors and the Supervisory Board for the Consolidated Financial Statements and the Group Management Report

The executive directors are responsible for the preparation of the consolidated financial statements that comply, in all material respects, with IFRS Accounting Standards as adopted by the EU and the additional requirements of German commercial law pursuant to § 315e Abs. 1 HGB and that the consolidated financial statements, in compliance with these requirements, give a true and fair view of the assets, liabilities, financial position, and financial performance of the Group. In addition, the executive directors are responsible for such internal control as they have determined necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud (i.e., fraudulent financial reporting and misappropriation of assets) or error.

In preparing the consolidated financial statements, the executive directors are responsible for assessing the Group's ability to continue as a going concern. They also have the responsibility for disclosing, as applicable, matters related to going concern. In addition, they are responsible for financial reporting based on the going concern basis of accounting unless there is an intention to liquidate the Group or to cease operations, or there is no realistic alternative but to do so.

Furthermore, the executive directors are responsible for the preparation of the Group Management Report that, as a whole, provides an appropriate view of the Group's position and is, in all material respects, consistent with the consolidated financial statements, complies with German legal requirements, and appropriately presents the

opportunities and risks of future development. In addition, the executive directors are responsible for such arrangements and measures (systems) as they have considered necessary to enable the preparation of a Group Management Report that is in accordance with the applicable German legal requirements, and to be able to provide sufficient appropriate evidence for the assertions in the Group Management Report.

The supervisory board is responsible for overseeing the Group's financial reporting process for the preparation of the consolidated financial statements and of the Group Management Report.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements and of the Group Management Report

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and whether the Group Management Report as a whole provides an appropriate view of the Group's position and, in all material respects, is consistent with the consolidated financial statements and the knowledge obtained in the audit, complies with the German legal requirements and appropriately presents the opportunities and risks of future development, as well as to issue an auditor's report that includes our audit opinions on the consolidated financial statements and on the Group Management Report.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with § 317 HGB and the EU Audit Regulation and in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer (IDW) will always detect a material misstatement. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements and this Group Management Report.

We exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements and of the Group Management Report, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our audit opinions. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.
- Obtain an understanding of internal control relevant to the audit of the consolidated financial statements and of arrangements and measures (systems) relevant to the audit of the Group Management Report in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an audit opinion on the effectiveness of the internal control and these arrangements and measures (systems), respectively.
- Evaluate the appropriateness of accounting policies used by the executive directors and the reasonableness of estimates made by the executive directors and related disclosures.
- Conclude on the appropriateness of the executive directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in the auditor's report to the related disclosures in the consolidated financial statements and in the Group Management Report or, if such disclosures are inadequate, to modify our respective audit opinions. Our conclusions are based on

the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to be able to continue as a going concern

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements present the underlying transactions and events in a manner that the consolidated financial statements give a true and fair view of the assets, liabilities, financial position and financial performance of the Group in compliance with IFRS Accounting Standards as adopted by the EU and the additional requirements of German commercial law pursuant to § 315e Abs. 1 HGB.
- Plan and perform the Group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming audit opinions on the consolidated financial statements and on the Group Management Report. We are responsible for the direction, supervision and review of the audit work performed for purposes of the Group audit. We remain solely responsible for our audit opinions.
- Evaluate the consistency of the Group Management Report with the consolidated financial statements, its conformity with German law, and the view of the Group's position it provides
- Perform audit procedures on the prospective information presented by the executive directors in the Group Management Report. On the basis of sufficient appropriate audit evidence we evaluate, in particular, the significant assumptions used by the executive directors as a basis for the prospective information, and evaluate the proper derivation of the prospective information from these assumptions. We do not express a separate audit opinion on the prospective information and on the assumptions used as a basis. There is a substantial unavoidable risk that future events will differ materially from the prospective information.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with the relevant independence requirements, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter.

OTHER LEGAL AND REGULATORY REQUIREMENTS

Report on the Assurance on the Electronic Rendering of the Consolidated Financial Statements and the Group Management Report Prepared for Publication Purposes in Accordance with § 317 Abs. 3a HGB

Assurance Opinion

We have performed assurance work in accordance with § 317 Abs. 3a HGB to obtain reasonable assurance as to whether the rendering of the consolidated financial statements and the Group Management Report (hereinafter the "ESEF documents") contained in the electronic file Bay-ernLB_KA+LB_ESEF-2024-12-31.zip and prepared for publication purposes complies in all material respects with the requirements of § 328 Abs. 1 HGB for the electronic reporting format ("ESEF format"). In accordance with German legal requirements, this assurance work extends only to the conversion of the information contained in the consolidated financial statements and the Group Management Report into the ESEF format and therefore relates neither to the information contained within these renderings nor to any other information contained in the electronic file identified above.

In our opinion, the rendering of the consolidated financial statements and the Group Management Report contained in the electronic file identified above and prepared for publication purposes complies in all material respects with the requirements of § 328 Abs. 1 HGB for the electronic reporting format. Beyond this assurance opinion and our audit opinion on the accompanying consolidated financial statements and the accompanying Group Management Report for the financial year from 1 January to 31 December 2024 contained in the "Report on the Audit of the Consolidated Financial Statements and on the Group Management Report" above, we do not express any assurance opinion on the information contained within these renderings or on the other information contained in the electronic file identified above.

Basis for the Assurance Opinion

We conducted our assurance work on the rendering of the consolidated financial statements and the Group Management Report contained in the electronic file identified above in accordance with § 317 Abs. 3a HGB and the IDW Assurance Standard: Assurance Work on the Electronic Rendering of Financial Statements and Management Reports, Prepared for Publication Purposes in Accordance with § 317 Abs. 3a HGB (IDW AsS 410 (06.2022)) and the International Standard on Assurance Engagements 3000 (Revised). Our responsibility in accordance therewith is further described in the "Group Auditor's Responsibilities for the Assurance Work on the ESEF Documents" section. Our audit firm applies the IDW Standard on Quality Management: Requirements for Quality Management in the Audit Firm (IDW QMS 1 (09.2022)).

Responsibilities of the Executive Directors and the Supervisory Board for the ESEF Documents

The executive directors of the Company are responsible for the preparation of the ESEF documents including the electronic rendering of the consolidated financial statements and the Group Management Report in accordance with § 328 Abs. 1 Satz 4 Nr. [number] 1 HGB and for the tagging of the consolidated financial statements in accordance with § 328 Abs. 1 Satz 4 Nr. 2 HGB.

In addition, the executive directors of the Company are responsible for such internal control as they have considered necessary to enable the preparation of ESEF documents that are free from material non-compliance with the requirements of § 328 Abs. 1 HGB for the electronic reporting format, whether due to fraud or error.

The supervisory board is responsible for overseeing the process for preparing the ESEF documents as part of the financial reporting process.

Group Auditor's Responsibilities for the Assurance Work on the ESEF Documents

- Our objective is to obtain reasonable assurance about whether the ESEF documents are free from material non-compliance with the requirements of § 328 Abs. 1 HGB, whether due to fraud or error. We exercise professional judgment and maintain professional skepticism throughout the assurance work. We also:
- Identify and assess the risks of material non-compliance with the requirements of § 328 Abs. 1 HGB, whether due to fraud or error, design and perform assurance procedures responsive to those risks, and obtain assurance evidence that is sufficient and appropriate to provide a basis for our assurance opinion.
- Obtain an understanding of internal control relevant to the assurance work on the ESEF documents in order to design assurance procedures that are appropriate in the circumstances, but not for the purpose of expressing an assurance opinion on the effectiveness of these controls.
- Evaluate the technical validity of the ESEF documents, i.e., whether the electronic file containing the ESEF documents meets the requirements of the Delegated Regulation (EU) 2019/815 in the version in force at the date of the consolidated financial statements on the technical specification for this electronic file.
- Evaluate whether the ESEF documents provide an XHTML rendering with content equivalent to the audited consolidated financial statements and to the audited Group Management Report.
- Evaluate whether the tagging of the ESEF documents with Inline XBRL technology (iXBRL) in accordance with the requirements of Articles 4 and 6 of the Delegated Regulation (EU) 2019/815, in the version in force at the date of the consolidated financial statements, enables an appropriate and complete machine-readable XBRL copy of the XHTML rendering.

Further Information pursuant to Article 10 of the EU Audit Regulation

We were elected as Group auditor by the annual general meeting on 11 April 2024. We were engaged by the Supervisory Board on 15 May 2024. We have been the Group auditor of the Bayerische Landesbank, Anstalt des öffentlichen Rechts, Munich, without interruption since the financial year 2019.

We declare that the audit opinions expressed in this auditor's report are consistent with the additional report to the audit committee pursuant to Article 11 of the EU Audit Regulation (long-form audit report).

REFERENCE TO AN OTHER MATTER– USE OF THE AUDITOR'S REPORT

Our auditor's report must always be read together with the audited consolidated financial statements and the audited Group Management Report as well as the assured ESEF documents. The consolidated financial statements and the Group Management Report converted to the ESEF format – including the versions to be filed in the company register – are merely electronic renderings of the audited consolidated financial statements and the audited Group Management Report and do not take their place. In particular, the "Report on the Assurance on the Electronic Rendering of the Consolidated Financial Statements and the Group Management Report Prepared for Publication Purposes in Accordance with § 317 Abs. 3a HGB" and our assurance opinion contained therein are to be used solely together with the assured ESEF documents made available in electronic form.

GERMAN PUBLIC AUDITOR RESPONSIBLE FOR THE ENGAGEMENT

The German Public Auditor responsible for the engagement is Axel Menge.

Munich, 26 March 2025

PricewaterhouseCoopers GmbH
Wirtschaftsprüfungsgesellschaft

Axel Menge
Wirtschaftsprüfer
[German Public Auditor]

Daniel Benzing
Wirtschaftsprüfer
[German Public Auditor]

This is a non-binding translation of the German Independent Auditor's Report.

Responsibility statement by the Board of Management

To the best of our knowledge, and in accordance with the applicable reporting principles for the preparation of the annual financial statements, these financial statements give a true and fair view of the net assets, financial position and results of operations of Bayerische Landesbank, Munich, and the management report, which is combined with the Group management report, includes a fair view of the development and performance of the business operations and the position of the company, together with a description of the principal opportunities and risks associated with the expected performance of Bayerische Landesbank.

Munich, 25 March 2025

Bayerische Landesbank
Board of Management

Stephan Winkelmeier

Dr Markus Wiegmann

Gero Bergmann

Johannes Anschott

Sigrid Kozmiensky

**Further
information**

Country by country reporting pursuant to Section 26a para. 1 sentence 2 of the German Banking Act (KWG) as at 31 Dec 2024

This report shows revenues, number of employees, profit/loss before taxes, taxes on profit/loss and state aid received for the reporting year by country on an unconsolidated basis. It covers the companies fully included in the IFRS consolidated financial statements.

The revenue shown is profit/loss before taxes, without accounting for risk provisions, administrative expenses, expenses for the bank levy and deposit guarantee scheme and gains or losses on restructuring as reported in the consolidated financial statements. Taxes on profit/loss include current income taxes reported in the consolidated financial statements. The number of employees is shown in full-time equivalent positions.

Country	Revenue € million	Number of employees	Profit or loss before taxes € million	Taxes on profit or loss € million	State aid received € million
Germany	5,253	6,890	3,189	(263)	–
United Kingdom	14	50	(1)	–	–
Italy	–	17	–	–	–
France	–	17	1	–	–
Spain	–	2	–	–	–
Netherlands	1	8	–	–	–
Ireland	–	2	–	–	–
US	57	75	(55)	–	–

Name of foreign branch/investee	Type of business	Location	Country
Foreign branch offices of Bayerische Landesbank			
BayernLB London	Financial institution	London	United Kingdom
BayernLB Milan	Financial institution	Milan	Italy
BayernLB Paris	Financial institution	Paris	France
BayernLB Amsterdam	Financial institution	Amsterdam	Netherlands
BayernLB New York	Financial institution	New York	US
Foreign branches of Real I.S. AG			
Real I.S. France	Asset management company	Paris	France
Real I.S. Spain	Asset management company	Madrid	Spain
Real I.S. Netherlands	Asset management company	Amsterdam	Netherlands
Real I.S. Ireland	Asset management company	Dublin	Ireland

Supplementary information

Financial measures not calculated in accordance with IFRS

For its entire financial reporting and other published documents, the BayernLB Group uses financial measures not calculated in accordance with IFRS. These measures indicate historical or future financial performance, financial position and cash flows derived from the financial statements, which are prepared in accordance with the relevant accounting framework, or from internal management information, and then adjusted.

They should be seen as a supplement to and not a replacement of the figures calculated in accordance with IFRS. Readers of the financial reports and other documents containing these measures should be aware that similarly named financial measures published by other companies may have been calculated differently.

The BayernLB Group uses the following financial measures not calculated in accordance with IFRS:

- Return on equity (RoE)
- Cost/income ratio (CIR)
- Other earnings components

The RoE and CIR are important financial performance indicators. They provide information about profitability and are used by BayernLB to manage it.

Return on equity (RoE)

The RoE is calculated on the basis of internal management information from the ratio of annualised profit before taxes to the average regulatory capital (Group)/the average allocated economic capital (at segment level). At Group level, the average Common Equity Tier 1/CET1 capital available over the financial year has been used for this purpose. For all management levels below this, the average economic capital employed in the financial year is derived from the average risk-weighted assets (RWAs) of the underlying individual transactions as specified by the regulatory authorities. The allocated amount corresponds to 14.5% (31 December 2023: 14.0%) of the average risk-weighted assets specified by the regulatory authorities arising from the individual transactions entered into by the respective segment in the reporting period concerned. Economic capital is reconciled to regulatory capital in the column headed Consolidation.

RoE reconciliation calculation (as at 31 December 2024)

€ million	Real Estate & Savings Banks/ Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidation	Group
Profit/loss before taxes	125	239	1,116	99	–	1,579
Average risk-weighted assets (RWAs)	14,692	20,032	27,363	5,153	–	67,240
Target CET1 ratio (%)	14.5	14.5	14.5	14.5	–	
Average economic/regulatory capital	2,130	2,905	3,968	747	2,562	12,312
Return on equity (RoE) (%)	5.9	8.2	28.1	–	–	12.8

RoE reconciliation calculation (as at 31 December 2023)

€ million	Real Estate & Savings Banks/ Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidation	Group
Profit/loss before taxes	301¹	279¹	1,003	(142)¹	–	1,441
Average risk-weighted assets (RWAs)	13,807 ¹	19,640	25,594	5,789 ¹	–	64,830
Target CET1 ratio (%)	14.0	14.0	14.0	14.0	–	
Average economic/regulatory capital	1,933¹	2,750	3,583	810¹	2,312	11,389
Return on equity (RoE) (%)	15.6¹	10.2¹	28.0	–	–	12.7

¹ Adjusted as per IFRS 8.29.

Cost/income ratio (CIR)

The CIR is the ratio of administrative expenses and gross profit comprising net interest income, net commission income, gains or losses on fair value measurement, gains or losses on hedge accounting, gains or losses on derecognised financial assets, gains or losses on financial investments and other income and expenses. The CIR is calculated using the figures reported in the respective consolidated financial statements.

CIR reconciliation calculation (as at 31 December 2024)

€ million	Real Estate & Savings Banks/ Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidation	Group
Administrative expenses	(346)	(245)	(772)	(238)	1	(1,602)
Net interest income	537	222	1,848	122	(9)	2,720
Net commission income	191	102	215	23	–	531
Gains or losses on fair value measurement	53	167	25	106	9	360
Gains or losses on hedge accounting	(2)	0	64	1	–	62
Gains or losses on derecognised financial assets	(4)	5	(6)	–	–	(5)
Gains or losses on financial investments	(2)	(4)	20	(47)	–	(33)
Other income and expenses	(5)	8	(16)	148	(1)	134
Gross earnings	768	499	2,150	353	(1)	3,770
Cost/income ratio (CIR) (%)	45.1	49.1	35.9	–	–	42.5

CIR reconciliation calculation (as at 31 December 2023)

€ million	Real Estate & Savings Banks/ Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidation	Group
Administrative expenses	(353)¹	(252)	(802)	(211)¹	1	(1,617)
Net interest income	530 ¹	346 ¹	1,937	109 ¹	(4)	2,919
Net commission income	210 ¹	106	130	27 ¹	–	473
Gains or losses on fair value measurement	32 ¹	84	31	74 ¹	4	226
Gains or losses on hedge accounting	1	1	(54)	6	–	(46)
Gains or losses on derecognised financial assets	1	(1)	(4)	(97)	–	(102)
Gains or losses on financial investments	2 ¹	(1)	(18)	(56) ¹	1	(71)
Other income and expenses	4 ¹	(3)	1	60 ¹	(2)	59
Gross earnings	780¹	532¹	2,022	124¹	(1)	3,458
Cost/income ratio (CIR) (%)	45.2¹	47.3¹	39.6	–	–	46.8

¹ Adjusted as per IFRS 8.29.

Other earnings components

Other earnings components comprise the total of gains or losses on hedge accounting, gains or losses on derecognised financial assets, gains or losses on financial investments and other income and expenses.

Other earnings components reconciliation calculation (as at 31 December 2024)

€ million	Real Estate & Savings Banks/ Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidation	Group
Gains or losses on hedge accounting	(2)	0	64	1	–	62
Gains or losses on derecognised financial assets	(4)	5	(6)	–	–	(5)
Gains or losses on financial investments	(2)	(4)	20	(47)	–	(33)
Other income and expenses	(5)	8	(16)	148	(1)	134
Other earnings components	(13)	9	62	102	(1)	159

Other earnings components reconciliation calculation (as at 31 December 2023)

€ million	Real Estate & Savings Banks/ Financial Institutions	Corporates & Markets	DKB	Central Areas & Others	Consolidation	Group
Gains or losses on hedge accounting	1	1	(54)	6	–	(46)
Gains or losses on derecognised financial assets	1	(1)	(4)	(97)	–	(102)
Gains or losses on financial investments	2 ¹	(1)	(18)	(56) ¹	1	(71)
Other income and expenses	4 ¹	(3)	1	60 ¹	(2)	59
Other earnings components	8¹	(4)	(76)	(87)¹	(1)	(159)

¹ Adjusted as per IFRS 8.29.

Combined separate non-financial report of the BayernLB Group for 2024

Preliminary note

For information on regulatory developments with respect to sustainability, refer to the section entitled “Regulatory environment” (Report on the economic position) and the identically worded section “Regulatory environment” (Report on expected developments and opportunities) in the combined management report of the BayernLB Group.

The following content (insofar as it relates to BayernLB Bank) is set out in further detail in the Sustainability Report according to GRI.⁷¹ These and other publications referred to below can be viewed on BayernLB’s website under [Publications](#). Similarly, information from the main subsidiaries [DKB](#), [BayernInvest](#) and [Real I.S.](#) is also available.

Pursuant to Article 5 para. 1 of Directive (EU) 2022/2464 (CSRD), the EU member states must implement the requisite legal and regulatory provisions to comply with Articles 1 to 3 of the CSRD (amendment to Directive 2013/34/EU (Accounting Directive), amendment to Directive 2004/109/EC (Transparency Directive), amendment to Directive 2006/43/EC (Audit Directive) by no later than 6 July 2024. The above amendments had not been transposed into German law by the time this report was published. The current legal framework for (consolidated) non-financial reporting obligations established by the CSR-RUG from 2017 therefore remains in force for 2024 and BayernLB continues to apply this legal framework accordingly.

Bayerische Landesbank Anstalt des öffentlichen Rechts, Munich (hereinafter also referred to as “BayernLB”⁷², “BayernLB Bank” or “the Bank”), made use of the option under Sections 315b and 315c in conjunction with Sections 289b to 289e of the German Commercial Code (HGB) and the EU Taxonomy Regulation (EU) 2020/852 and combines the separate non-financial report of BayernLB with that of the BayernLB Group⁷³ (the “combined separate non-financial report” or “NFR”). The information in the report relates to both BayernLB and the BayernLB Group, unless expressly stated otherwise. The scope of the NFR is the same as the scope of consolidation under IFRS. BayernLB also comprises the branches and operating units which have to be included under the Commercial Code.

This NFR covers the following:

- Description of the business model⁷⁴
- A description of the material content of BayernLB’s NFR
- BayernLB’s various systems to manage non-financial aspects:
 - Sustainability, environmental and reputational risk management system and internal guidelines/solutions for a sustainable banking business
 - Human resources management system
 - Compliance management system
- The disclosure of relevant figures pursuant to the EU Taxonomy Regulation

⁷¹ Not audited by PwC.

⁷² BayernLB includes the branches and Bayerische Landesbodenkreditanstalt Anstalt des öffentlichen Rechts, Munich (hereinafter “BayernLabo”). BayernLabo is a legally dependent institution established under public law of BayernLB that is, however, organisationally and financially independent.

⁷³ Besides the parent company, the BayernLB Group comprises 13 subsidiaries fully consolidated in accordance with IFRS 10. It is therefore the parent company of Deutsche Kreditbank Aktiengesellschaft, Berlin (hereinafter “DKB”), BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (hereinafter “BayernInvest”), Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich (hereinafter “Real I.S.”), and other companies. DKB is also the parent company of a group (a “sub-group”).

⁷⁴ The description of the business model here is identical to the “Foundations of the BayernLB Group – Business model and Group strategy” section as far as the “Sustainability and combined separate non-financial report” sub-section in the combined management report of the BayernLB Group.

BayernLB does not make use of any framework when preparing its NFR. The NFR's content is based on the specific materiality approach taken under Section 289c para. 3 HGB, which is not equivalent to the understanding of materiality under the Global Reporting Initiative (GRI) or other frameworks. Section 289c para. 3 HGB requires information to be provided which is necessary to gain an understanding of a company's business development, performance and position and the impact of its activities, especially on the non-financial aspects of environmental matters, employee-related matters and social matters, respect for human rights and combating corruption and bribery.

BayernLB uses the net method (residual risk after measures) when calculating risks that must be reported under Section 289c para. 3 nos. 3 and 4 HGB. Having considered mitigation measures, the Bank did not identify any risks that are highly likely to cause, now or in the future, seriously adverse impacts on the aspects that must be reported. The respective risks of the individual aspects are addressed, where relevant, in the separate sections of the report. References to related figures in the consolidated annual financial statements of the BayernLB Group pursuant to Section 289c para. 3 no. 6 HGB are stated in the text of the non-financial report under the relevant topic.

Business model and Group strategy

As a streamlined specialised bank, BayernLB is a major investment lender to the Bavarian and German economies. As a commercial bank, central bank to the regional savings banks, principal bank for the Free State of Bavaria and development bank, it is a reliable partner to its customers – companies, savings banks, financial institutions, retail customers, institutional investors and the public sector.

Strategic focus and objectives

The BayernLB Group's strategic vision remains the same: to achieve consistently profitable growth by building on its own strengths while focusing on customers it can create real added value for, mainly through financing and advisory services. The strategic objectives for the Bank's Sales units were twofold: firstly, to reduce dependence on the traditional lending business by expanding specific advisory expertise, increasing customer benefits and maintaining and (further) developing long-term customer relationships; and, secondly, to increase regional earnings and risk diversification while seizing growth opportunities in the sectors of the future in high-margin, high-growth (foreign) markets.

As part of the BayernLB Group's regular strategy-setting process, and given the uncertainty due to the numerous (geo)political crises and their implications for the macroeconomic environment, BayernLB subjected its strategic vision to a regular review in the first half of 2024.

In July 2024 the Board of Management and Supervisory Board readopted the business strategy for the BayernLB Group and its segments, with only a few isolated adjustments made in some segments, including a shift of weightings among individual business activities and the launch of the life science focus sector on 1 January 2025. In this sector, companies from the fields of chemistry, pharmaceuticals, biotechnology, medicine and medical technology are supported in their endeavour to successfully grow and transform their business models.

The Group also continued its work to transform DKB into a modern tech bank. The goal is to keep the bank on its growth path, with more focus to be placed on efficiency as a basis for achieving further growth through specific and appropriate measures.

In the first half of 2024 BayernLB successfully finished consolidating the IT applications environment in Trading with the conclusion of the hypercare phase for the KITT project. The programme to modernise bank management (KOPERNIKUS) was pursued with great focus and effort throughout the year. This programme encompasses several projects – finance, risk management and reporting – which are managed and coordinated centrally, i.e. that are not run independently. The go-live for the finance project is scheduled for January 2026. Bank management is being modernised sequentially so that, based on the current plan, the risk management and regulatory reporting projects will be completed in stages between 2027 and 2029.

BayernLB continued to pursue the following overarching strategic goals in 2024:

- Focusing business activities squarely on the challenges of tomorrow and optimising the customer experience by building up product and advisory expertise along the value chains
- Achieving targeted growth in the high-margin core business within the existing risk thresholds, especially in asset-based and structured financing and in the real estate business
- Improving profitability by systematically leveraging efficiencies in the operating model, sustainably reducing the cost basis and making targeted investments in the Bank's infrastructure
- Fostering a cooperative and collaborative working environment and selectively digitalising distribution channels, the range of services offered and the operating model

The BayernLB Group, furthermore, is focusing actively on sustainability and has defined a clear vision for the Bank and its subsidiaries for this purpose. To operationalise its Sustainability and Environmental Policy and its Sustainability Strategy, BayernLB implemented a Sustainability Programme, published in its Sustainability Report⁷⁵ pursuant to the Standards of the Global Reporting Initiative (GRI), that entails goals and measures for each relevant topic. It is a key tool for making further improvements to the Bank's sustainability performance. In addition, BayernLB has developed a framework, based on its Guiding Principles for Transformation, for integrating, revising and publicly sharing its position on major contemporary challenges, including its corporate values, overarching ethical, environmental and social standards and its stance on controversial issues and sectors. Over the past four years, BayernLB has successfully positioned itself on the market as a “#financierofprogress” and steadily transformed its business model from universal bank to streamlined, specialised lender. At the same time, it achieved its goals to improve profitability and strengthen the Group's capital base.

The BayernLB Group's goals for the next few years will be to continue realising its strategy and financial vision, taking account of technological progress, market developments and the competitive environment.

⁷⁵ Not audited by PwC.

The BayernLB Group's operating business segments

The BayernLB Group comprises BayernLB and the subsidiaries over which BayernLB can directly or indirectly exercise a controlling influence. In addition, BayernLB is in charge of managing the Group, which comprises the following three key operating business segments:

- Real Estate & Savings Banks/Financial Institutions, including Bayerische Landesbodenkreditanstalt Anstalt des öffentlichen Rechts, Munich (BayernLabo), and the subsidiary Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich (Real I.S.)
- Corporates & Markets
- DKB – the Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB), sub-group

At the beginning of financial year 2024, BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (BayernInvest), which had been part of the Real Estate & Savings Banks/Financial Institutions segment, was assigned to the Central Areas & Others segment, a non-operating segment. BayernInvest handles securities asset management for BayernLB, focusing mainly on advisory services and managing securities investment funds for institutional and private investors.

Real Estate & Savings Banks/Financial Institutions segment

In the real estate business, BayernLB prioritises commercial real estate financing and services, focusing on Germany and established, stable international markets, with branches in Paris, London, Milan, Amsterdam and New York. In commercial real estate, products include financing for existing real estate assets, project development, housing developers and portfolio funding. In terms of asset classes, the focus is on offices, residential property, logistics, retail and managed real estate in the areas of hotels and social care.

To serve customers more comprehensively under one roof, the Bank makes extensive use of its close working relationships with subsidiaries and equity interests, such as Real I.S., LB Immobilienbewertungsgesellschaft mbH, Munich (LBImmoWert), BayernGrund Grundstückbeschaffungs- und -erschließungs GmbH (BayernGrund) and Bayern Facility Management GmbH, Munich (BayernFM). Real I.S.-Group is an asset manager that handles real estate investments for retail and institutional investors, with its focus on Germany, Europe and Australia. Along with its real estate services companies, BayernLB offers a coordinated range of products from advising on energy-efficient upgrades, sustainable valuations, green financing products, including the use of subsidies, right through to institutional investments in green assets.

The Bank is a dependable partner to the savings banks and the central bank to the S-Finanzgruppe (Savings Banks Finance Group) in Bavaria. BayernLB performs key tasks in its Association business for the savings banks (especially those from Bavaria), which are an important group of customers and sales partners. In these times of necessary structural change, the Bank helps the savings banks and their customers become more sustainable by offering them a needs-oriented and growing selection of products and services. This working relationship is centred around complementary products and services for the savings banks' own and end-customer business. These include payment services, capital markets business, international business, syndicated lending, subsidised lending, and foreign notes and coins/precious metals activities. Through its broad range of precious metal products and its expanded centre of expertise for foreign notes and coins and precious metals in Nuremberg, BayernLB has evolved in this segment into one of Germany's market-leading providers. In addition, funding from the savings banks is an important source of refinancing for BayernLB, while also strengthening the common liquidity pool.

BayernLB also acts as a lender and service provider to the public sector, especially in its role as the principal bank for the Free State of Bavaria, as well as to public-law and non-profit institutions.

BayernLB's subsidised loan business for the Free State of Bavaria is assigned to BayernLabo. BayernLabo has a public mandate to provide financial support, as part of housing policy and in conformity with the state aid provisions of the European Union, for measures aimed at improving and strengthening Bavaria's housing and settlement structure. As a municipal bank of the Free State of Bavaria, BayernLabo also provides financing to Bavarian local authorities and public-sector special-purpose associations.

Another focus is on providing services worldwide to insurers, (correspondent) banks, building societies and asset managers. With European insurers, BayernLB has a significant volume of business in letters of credit. An extensive network of institutional customers provides BayernLB with a broad investor pool. The Bank also fosters the development and sales of sustainable financial products and services, and thereby assists customers further in their own sustainable alignment or transformation.

Corporates & Markets segment

Corporates handles business with large German and selected international companies and the Mittelstand corporate customer business. BayernLB focuses here in particular on providing financing to corporate customers in what it sees as the growth sectors of the future – mobility, energy, technology, manufacturing & engineering, construction & basic resources and, since 1 January 2025, life science. The Bank's core competencies include traditional and structured credit financing. Its range of products includes working capital, capex and trade financing, project and export financing, financing of leasing companies and asset finance. The Bank also offers a well-developed ESG advisory service which actively supports sustainable financial solutions. This entails advising customers on environmental, social and governance issues so as to help them develop and implement sustainable, responsible business strategies, while also promoting suitable banking products in this context, e.g. green loans or bonds.

The range of products and services offered by Markets largely comprises money market, interest and foreign currency trading; regulated and voluntary CO₂ trading; and assistance for customers in tapping capital markets for their financing needs, especially through bonds and Schuldschein note loans. The segment's customer base comprises mostly German and international corporate and Mittelstand customers, real estate customers, savings banks and financial institutions, with each category being served by the respective business area. When it comes to sustainability, BayernLB offers the full range of debt capital market products – from green, social and sustainable bonds and Schuldschein note loans to sustainable deposits. It also supports clients in structuring, creating a framework and commissioning a second-party opinion, through to placement.

DKB segment

As before, DKB is an integral part of the BayernLB Group and complements the Group's business model. Its business activities are focused almost exclusively on Germany.

In retail banking, DKB operates as an online bank with a steadily growing customer base and mainly offers account packages, construction financing, personal loans and investment products. By making targeted investments in digitalisation, DKB is laying the foundation for significant growth in its retail customer business.

DKB is also a corporate banking specialist in business with corporate and infrastructure customers, which mainly entails doing business with clients in the sectors of local authorities and social infrastructure, energy and utilities, residential real estate and property management. One of DKB's key areas of expertise is financing and investment products in selected, primarily sustainable sectors in Germany: renewable energy, residential property, agriculture, health, social care and education.

In 2024 DKB continued its work towards successfully implementing its group-wide efficiency programme Fit4Growth. The goal of the transformation programme, which is set to run until the end of 2025, is to sustainably optimise DKB's operating model, create a basis for further growth and thereby secure profitability for the long term.

Materiality analysis

To establish the information required to gain an understanding of a company's business development, performance and position and the impact of its activities on the minimum aspects in accordance with Section 289c para. 2 HGB (see below), BayernLB determined material content relevant for its NFR for the first time in 2017, and has reviewed and updated this as necessary for every reporting year since. As part of this process, it has especially considered current regulations, planned content in the management report/annual financial statements, internal management discussions and management reviews that have been conducted, the analysis of internal (risk) reports, internal and external communications content from the BayernLB Group (including intranet announcements and press releases) and publications of third parties (e.g. analyses by reprisk.com).⁷⁶

Materiality analysis

Internal (risk) reports, e.g.

- › HR report
- › Annual report on reputational risk
- › Integrated Compliance annual report incl. risk analyses, e.g. on prevention of money laundering, financial crime, MaRisk

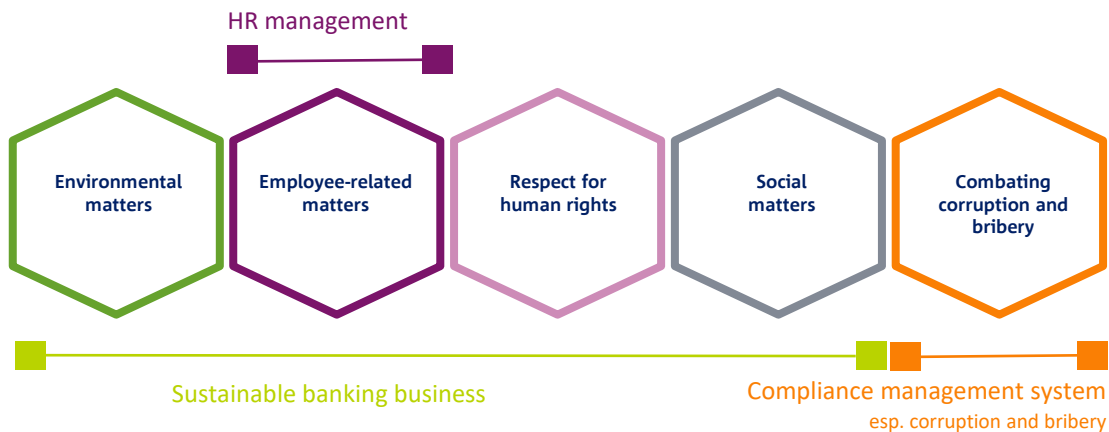
Management discussions and consideration of planned content of the consolidated financial statements



⁷⁶ Not audited by PwC.

The analysis described above found that the topics that were material for BayernLB in 2024, as in previous years, were “sustainable banking business”, “combating corruption and bribery” and “human resources management”. The graphic below assigns these topics to each of the non-financial aspects. The aspect “combating corruption and bribery” (Section 289c para. 2 no. 5 HGB) is largely covered by the compliance management system. The aspect “employee-related matters” (Section 289c para. 2 no. 2 HGB) falls partly under human resources management. The BayernLB Group’s sustainable banking business deals with the aspects “environmental matters” (Section 289c para. 2 no. 1 HGB), “employee-related matters” (Section 289c para. 2 no. 2 HGB), “respect for human rights” (Section 289c para. 2 no. 3 HGB) and “social matters” (Section 289c para. 2 no. 4 HGB). In addition, BayernLB determined through the analysis, for example by examining the probability of occurrence and the severity of potential negative impacts, that (after considering any mitigating measures) it did not identify any risks pursuant to Section 289c para. 3 nos. 3 and 4 HGB that very likely have or will have a severe negative impact on these aspects (see above under “Preliminary note”).

Mapping of the minimum aspects in accordance with Section 289c para. 2 HGB to material BayernLB topics



BayernLB has fleshed out and formulated for itself the matters provided in Section 289c para. 2 HGB for the five aspects. The following overview once again lists the matters which are assigned to the non-financial aspects and described in greater detail later on in this report. It also shows which matters are not material from BayernLB’s perspective in terms of reporting under HGB. BayernLB’s Sustainability Management deals with and publishes these matters in other contexts (in some cases applying other materiality analyses).⁷⁷

⁷⁷ Not audited by PwC.

Assignment of matters and their concepts that are (not) material for BayernLB under HGB to non-financial aspects

	Matters relating to the aspect: Environmental matters	Reference to the section of this NFR, concepts and other sources of information
Material for BayernLB pursuant to Section 289c HGB	Effects from products and services	Section: “Sustainable banking business”
	Avoidance of (reputational) risks and negative impact on the environment, through compliance with all the ESG standards cited in the “Guiding Principles for Transformation”	Concepts, e.g.: Codes of Conduct (Group), Sustainability and Environmental Policy (Group), Sustainability Guidelines (Group), Group Sustainability Strategy incl. Mission Statement (Group), sustainability strategies (separate for BayernLB Bank + DKB), Guiding Principles for Transformation (Group), Investment and Financing Principles (DKB), Guidelines on sustainable and responsible investing (BayernInvest), internal policy document on sustainability (Real I.S.), reputational risk management system (Group)
Non-material for BayernLB pursuant to Section 289c HGB	Impact of a company’s activities on the environment (e.g. through water & energy consumption)	BayernLB Bank's Environmental Statement ⁷⁸ (integrated into the Sustainability Report according to GRI)
	Guarantee of high (environmental) standards on the part of suppliers and external service providers by focusing on regional purchasing wherever possible, concluding sustainability agreements and implementing and complying with the German Supply Chain Act (LkSG)	BayernLB Bank’s Sustainability Report according to GRI ⁷⁹ , DKB’s Annual Report

⁷⁸ Not audited by PwC.

⁷⁹ Not audited by PwC.

	Matters relating to the aspect: Employee-related matters	Reference to the section of this NFR, concepts and other sources of information
Material for BayernLB pursuant to Section 289c HGB	Qualitative and quantitative development of human resources	Section: “Human resources management”, Concepts, e.g.: Codes of Conduct (Group), sustainability strategies (separate for BayernLB Bank + DKB), diversity strategies (separate for BayernLB Bank + DKB), policy on cooperative conduct, protection against sexual harassment, bullying and discrimination (BayernLB Bank), development and performance dialogue (BayernLB Bank), health management systems (separate), occupational safety committee (BayernLB Bank)
	Attracting and retaining qualified talent	
	Providing staff with the necessary skills and qualifications	
	Equal opportunities	
Material for BayernLB pursuant to Section 289c HGB	Health management	BayernLB does not follow a specific concept in accordance with Section 289c para. 3 no. 1 HGB for the matters of “Occupational health and safety on the Bank’s premises” and “Granting of employees’ right of assembly”, as these matters are covered by existing legislation. For more information see “Challenges and opportunities” in the “Human resources management” section
	Occupational health and safety on the Bank’s premises	
	Granting of employees’ right of assembly	
	Protection of fundamental labour rights in financing through compliance with all the ESG standards mentioned in the “Guiding Principles for Transformation” and ILO core labour standards	
Non-material for BayernLB pursuant to Section 289c HGB	Protection of fundamental labour rights in financing through compliance with all the ESG standards mentioned in the “Guiding Principles for Transformation” and ILO core labour standards	Section: “Sustainable banking business” Concepts: BayernLB does not follow a specific concept in accordance with Section 289c para. 3 no. 1 HGB for this matter, but the matter is dealt with in other concepts/documents, e.g. in the Guiding Principles for Transformation (Group), Investment and Financing Principles (DKB), Guidelines on sustainable and responsible investing (BayernInvest), internal policy document on sustainability (Real I.S.)
	Guarantee of high (labour) standards on the part of suppliers and external service providers by focusing on regional purchasing wherever possible, concluding sustainability agreements and implementing and complying with the German Supply Chain Act (LkSG)	BayernLB Bank’s Sustainability Report according to GRI ⁸⁰ , DKB’s Annual Report

	Matters relating to the aspect: Social matters	Reference to the section of this NFR, concepts and other sources of information
Material for BayernLB pursuant to Section 289c HGB	Protection of local communities/indigenous peoples in financing, through compliance with all the ESG standards cited in the “Guiding Principles for Transformation”	Section: “Sustainable banking business” BayernLB does not follow a specific concept in accordance with Section 289c para. 3 no. 1 HGB for this matter, but the matter is dealt with in other concepts/documents, e.g. in the Guiding Principles for Transformation (Group), Investment and Financing Principles (DKB), Guidelines on sustainable and responsible investing (BayernInvest), internal policy document on sustainability (Real I.S.)
	Contribution to safeguarding and improving living conditions, including at municipal and regional levels, through financing, particularly in the areas of municipal housing and development; social affairs and health; and the energy supply	Section: “Sustainable banking business” Concepts, e.g.: subsidy programmes by the Free State of Bavaria (BayernLabo)
Non-material for BayernLB pursuant to Section 289c HGB	Social commitment and corporate citizenship	BayernLB Bank’s Sustainability Report according to GRI ⁸¹ , homepage of BayernLB and DKB
	Guarantee of high (social) standards on the part of suppliers and external service providers by focusing on regional purchasing wherever possible, concluding sustainability agreements and implementing and complying with the German Supply Chain Act (LkSG)	BayernLB Bank’s Sustainability Report according to GRI ⁸² , DKB’s Annual Report

	Matters relating to the aspect: Respect for human rights	Reference to the section of this NFR, concepts and other sources of information
Material for BayernLB pursuant to Section 289c HGB	Protection of local communities/indigenous peoples in financing (in emerging and developing countries in particular), through compliance with all the ESG standards cited in the “Guiding Principles for Transformation”	Section: “Sustainable banking business” Concepts: BayernLB does not follow a specific concept in accordance with Section 289c para. 3 no. 1 HGB with regard to “Respect for human rights”, but the aspect is dealt with in other concepts/documents, e.g. in the Guiding Principles for Transformation (Group), Investment and Financing Principles (DKB), Guidelines on sustainable and responsible investing (BayernInvest), internal policy document on sustainability (Real I.S.)
Non-material for BayernLB pursuant to Section 289c HGB	Guarantee of high (human rights) standards on the part of suppliers and external service providers by focusing on regional purchasing wherever possible, concluding sustainability agreements and implementing and complying with the German Supply Chain Act (LkSG)	BayernLB Bank’s Sustainability Report according to GRI ⁸³ , DKB’s Annual Report

81 Not audited by PwC.

82 Not audited by PwC.

83 Not audited by PwC.

	Matters relating to the aspect: Combating corruption and bribery	Reference to the section of this NFR, concepts and other sources of information
Material for BayernLB pursuant to Section 289c HGB	Compliance with legal and supervisory requirements with regard to the combating of corruption and bribery to avoid sanctions and loss of reputation	Section on “Compliance management system”, esp. “corruption and bribery” Concepts, e.g. Codes of Conduct (Group), compliance management system (Group), conflict of interest management (Group), instruction on managing conflicts of interest (that are not regulated under the German Securities Trading Act (WpHG)) (BayernLB Bank), guidelines for personal transactions (Group)
Non-material for BayernLB pursuant to Section 289c HGB	N/A	N/A

The BayernLB Group’s ratings

The success of efforts to achieve sustainable banking activities and the corresponding range of financial solutions is regularly analysed and evaluated by independent sustainability rating agencies. These sustainability ratings are based on comprehensive lists of criteria relating to environmental, social and governance – i.e. responsible corporate management – (ESG) aspects, which largely cover the aspects referred to in Section 289c para. 2 HGB.⁸⁴ The rating results are an indication that the BayernLB’s concepts are being successfully put into practice.

As at 31 December 2024, both the BayernLB Group (rating: C+) and DKB (rating: B-) continued to hold the Prime rating from ISS ESG. DKB’s B- rating in the “Financials/Public & Regional Banks” sector corresponds to the top decile ranking and a classification as an “Industry Leader”. All (other) sustainability ratings are published and constantly updated on the homepages of BayernLB, BayernLabo and DKB.

Managing non-financial aspects

As part of its sustainability management, BayernLB uses non-financial indicators such as the ESG alignment of the portfolio using ESG Basic and ESG Plus assessments⁸⁵ (see also the information on the ESG assessment below in the section “Reputational risk, sustainability and environmental management”) and decarbonisation pathways.⁸⁶

These (measured in terms of CO₂ emissions) are geared towards limiting global warming to 1.5 degrees Celsius by 2050. To do this, in financial year 2024 BayernLB implemented a management concept and a decision-making process to identify measures to be taken. Non-financial performance indicators also affect the remuneration of the Board of Management. In financial year 2024 BayernLB added elements relating to decarbonisation management, amongst other things, to the ESG components which have been used since 2022 to determine the Board of Management’s remuneration.

The focus in recent years has included determining the green asset ratio (GAR), published for the first time in the 2023 combined separate non-financial report of the BayernLB Group. In BayernLB’s view, however, the GAR under

⁸⁴ Not audited by PwC.

⁸⁵ Classification in the “ESG Basic” category is made when the business purpose of the company in question is predominantly sustainable (>90%), or is made directly on the basis of the financed measure or financed product (e.g. sustainability-linked products), providing the use of proceeds is unknown. Financing with use of proceeds known is classified as “ESG Basic” if it contributes to selected overarching environmental or social objectives or sub-goals and thus embodies a qualitative contribution. If a financing additionally meets the criteria of the EU taxonomy (technical standards (EU) alignment), it is to be classified as “ESG Plus”.

⁸⁶ The disclosure requirements impose a regulatory obligation to set decarbonisation goals for relevant portfolios in the loan book. These were first published in the disclosure report as at 30 June 2024 and will be updated to 31 December 2024. A transition plan for 2025 will be drawn up and published.

the EU Taxonomy is not sufficiently meaningful in terms of the actual percentage of ecologically sustainable assets, since there are restrictions on eligibility for the taxonomy related to customers' size and capital market orientation.

The Bank takes the view that CO₂ reduction will emerge as a key goal across the company, so decarbonisation paths will become increasingly important in the future for managing the BayernLB Group. Since the year under review, selected information from the "KPI concept" (including the percentage of ESG alignment and decarbonisation pathways) have been included in the Group management report every six months.

Since, in BayernLB's view, metrics such as GAR are not meaningful at present, no comparable market practices have emerged for other metrics and the observation period available is still too short for the long-term goal of the decarbonisation pathways, BayernLB Group does not actively use this information and these metrics for management purposes at present. Specifically, the non-financial performance indicators implemented are not used to analyse the business development or position of BayernLB or the BayernLB Group, so no information is provided pursuant to Section 289c para. 3 no. 5 HGB (listing the key non-financial performance indicators).

The Sustainability Board set up at the beginning of January 2024 and the Sustainability project that has been ongoing since 2021 play a key role in developing and monitoring the non-financial indicators mentioned.

Sustainable banking business

A sustainable banking business and the corresponding financial solutions at BayernLB cover the following areas:

- Financing companies and projects to address societal challenges such as climate change and the energy transition
- Offering sustainable investment products for retail and institutional investors
- Complying with environmental, social and ethical standards in financing and capital market transactions

The goal of creating sustainable banking products has been defined in both the Code of Conduct⁸⁷ and the Sustainability and Environmental Policy adopted by the Board of Management for the BayernLB Group, along with the Group Sustainability Strategy (including the Mission Statement) for the BayernLB Group (see the "Sustainable products and services" section). BayernLB considers the impact its products and services have at all times.

Code of Conduct

"We are actively and thoroughly committed to the challenges of sustainable development and heed our responsibility by taking ecological, economical and social aspects into account along the entire value chain. [...]"

We also consider sustainability issues when looking at (business) transactions. Our actions, as well as our business relationships and transactions, are always guided by ethical principles and sustainability aspects. We ensure that these are compatible with the relevant international environmental, ethical and social standards we have signed up to."

Sustainability and Environmental Policy

"We actively align our business model with sustainability and support our customers in achieving their goals. The integration of ESG requirements into our products and services offers our customers and us the opportunity to comprehensively consider the risks and opportunities of global challenges and thus make an active contribution to sustainable development. We cultivate fair dealings with our customers. In doing so, we conscientiously implement consumer protection regulations and responsible sales practices."

⁸⁷ The Code of Conduct has been rolled out to the subsidiaries in the Compliance scope of consolidation (including DKB, Real I.S., and BayernInvest) as part of Compliance Group management. The Code serves as a template for the subsidiaries which have introduced their own Code tailored to their business model.

In September 2024 BayernLB Bank updated its Sustainability Strategy as part of its regular review and, along with other changes, added strategic statements on topics such as climate change mitigation and adaptation. Furthermore the qualitative decarbonisation goals were integrated and sustainability opportunities specified. In general the Bank pursues a number of goals in its Sustainability Strategy, such as achieving a climate neutral portfolio before 2050, increasing the ESG-aligned share of its portfolio (with no specific deadline set) and financing its customers' transformation (with no specific deadline set). The Sustainability Programme of BayernLB Bank (which in turn operationalises the Sustainability Strategy) will be updated for the BayernLB Sustainability Report according to GRI⁸⁸ for financial year 2024. The current Sustainability Programme (see the 2023 Sustainability Report according to GRI)⁸⁹ contains the following measures and goals:⁹⁰ Refining and developing the product range on an ongoing basis to include selected sustainable products with ESG-aligned components (among them investment products), steadily expanding ESG advisory (also on an ongoing basis) and ensuring fairer sales practices (not least by avoiding greenwashing) (also on an ongoing basis). BayernLabo has the specific, ongoing goal of consistently supporting energy measures in rental homes through suitable promotion schemes in its municipal housing subsidy programme (along with action to protect the climate by (urban) planning and construction measures), and to further improve the quality of energy data by the end of 2025 by collecting energy certificates when granting subsidised loans. The status of the goals and measures listed here can be found in the 2024 Sustainability Report, and in some instances in the table on BayernLB Bank under "Sustainable products and services".

In its "Guiding Principles for Transformation", which apply throughout the Group, BayernLB sets out its position on important current challenges and formulates its corporate values, overarching ethical, environmental and social standards. This includes taking a clear position on respect for human rights.⁹¹ At the core of the Principles are eight policies on sensitive topics and sectors (armaments, coal, nuclear power, oil & gas, forestry, food, gambling and offshore), which, for example, stipulate exclusion criteria for business activities in the BayernLB Group. Along with the ESG assessment (see below in the chapter "Sustainability, environmental and reputational risk management system"), the Principles are one of the instruments (and due diligence processes pursuant to Section 289c para. 3 no. 1 HGB) at the BayernLB Group for identifying, preventing and mitigating existing or potential negative impacts associated with the Group's business activity. The Principles were updated in May 2024 in light of the security and geopolitical situation in Ukraine and the Middle East. Under the objective of ensuring defence capabilities and securing peace, the possibilities for cooperating with arms companies have been relaxed.

DKB also updated its Sustainability Strategy in 2024, as well as publishing Investment and Financing Principles. BayernInvest too has publicly available Guidelines on sustainable and responsible investing, while Real I. S. has an internal policy document on sustainability.

These concepts and guidelines described above ensure that BayernLB takes sufficient account of the non-financial aspects (especially environmental matters, employee-related matters, respect for human rights, and social matters) that are material for it in its banking products and services. The concepts and guidelines listed also reduce the risk under Section 289c para. 3 nos. 3 and 4 HGB mainly relating to material non-financial aspects affecting the business relationships, products and services of BayernLB.

⁸⁸ The 2024 sustainability report is due to be released in the third quarter of 2025.

⁸⁹ Not audited by PwC.

⁹⁰ Only goals and measures relevant for the NFR are listed here.

⁹¹ In the Guiding Principles for Transformation BayernLB commits to complying with the performance standards of the World Bank/IFC. The standards include criteria for the observance of human and employee rights, the protection of indigenous peoples, the inclusion and protection of the population (such as local communities) affected by the projects as well as the protection of biotopes and habitats.

Sustainable products and services

BayernLB strives to actively promote environmentally responsible developments such as the climate-friendly re-structuring of the energy supply or social projects by means of suitable products and services, thereby opening up business potential. Each Group unit-specific contribution in this regard is based on its own business model (see the “Business model and Group strategy” section above for details).

The following overview shows the BayernLB Group’s Mission Statement and the goals derived from it pursued by the units at BayernLB Bank, DKB, BayernInvest and Real I.S., as well as selected initiatives and examples of products from the reporting year.

BayernLB Bank – “Financing progress”

Committed to sustainability

Goals	• Further increase the ESG-aligned share of the portfolio • Continue to pursue the climate protection strategy and long-term climate neutralisation in business operations (by purchasing compensation certificates) • Climate neutral portfolio before 2050
Initiatives (2024)	• Organised and carried out the ESG Deep Dive hybrid customer event for the third time for Corporates and real estate customers • Published the Green ABCP Framework incl. a second party opinion; this enables customers to issue green ABCP (green securitisation) • Launched sustainable deposit product on the market • Updated the Sustainable Lending Framework • Held “Climate Fresk” workshops to raise employees’ awareness of climate change and sustainability • Trained relationship managers on how to use the newly introduced ESG risk scoring tool • Continued certification of Corporates & Markets employees by the Frankfurt School of Finance as “Certified Expert in Sustainable Finance” • Had Real Estate employees certified as “Sustainable Real Estate Managers” by completing the Sustainable Real Estate Management module of the International Real Estate Business School of the University of Regensburg • Continued the interdisciplinary ESG project Sustainability to implement the regulatory and market requirements in the Group • Expanded sales of ESG products in the Sales units by means of the Sustainable Finance Initiative - Supported (potential) customers by providing funding for the transformation of their business models, processes and products - Refined the sustainable product and service range, including under the 360° Real Estate approach • Collaborated further in various working groups and initiatives, such as the vdp Green Finance and Zentrale Immobilien Ausschuss (ZIA) • BayernLabo: Collaborated in the VÖB’s Sustainability (development banks) working group and initiatives such as the “Climate Neutral Buildings and Sustainable Real Estate Finance CREATE” research project, joined “Bauen im Bestand” (Association for Building in Existing Structures), request energy certificates in new subsidies business

Examples of products ¹ (from 2024)	• Schuldschein note loans (SSD), e.g.: - Sole arranger for the first green Schuldschein note loan by the City of Cologne and support in establishing the Green Financing Framework - Joint lead arranger for green Schuldschein note loan by Hamburger Energiewerke GmbH • Corporate loans, e.g.: - ESG coordinator, mandated lead arranger and bookrunner for the taxonomy-linked syndicated loan to Vossloh AG - Coordinator/bookrunner, mandated lead arranger, facility & swingline agent for sustainability-linked syndicated loan to EnBW AG • Project finance green loans, e.g.: - Original lender for a green loan to H2 Green Steel (Now Stegra) of €4.2 billion to finance the first green steel works in Sweden • Real estate green loans, e.g.: - Sole lead arranger and original lender for a green loan of €67.8 million with a 4.25-year tenor to Sol Estate PropCo IE Dublin Landings S.á r.l. to fund an office building in Dublin - Lender for the renewal of a green loan of €11.5 million with a 2.5-year tenor to BGV VI Amsterdam 1 GmbH & Co. KG to finance a retail property in Amsterdam - Mandated lead arranger and original lender in a club deal for a green loan of €456 million with the First Abu Dhabi Bank, Berlin Hyp, Deutsche Hypo-NORD/LB Real Estate Finance and DekaBank to refinance the Duo Towers in Paris for a joint venture between Ivanhoé Cambridge, the real estate group of CDPQ and BPCE - Mandated lead arranger and lender in a club deal for a green loan of €240 million (BayernLB share €80 million) to ABG Allgemeine Beteiligungs- und Gewerbeimmobilien-Verwaltungs-GmbH & Co. Objekt Deutschlandhaus KG to fund an office building in Hamburg • Green & social bonds, e.g.: - Green bond covered issue by NORDLB (€500 million, tenor: 3.75 years) - Green bond covered issue by UniCredit Bank Austria (€750 million, tenor: 4.83 years) - Green bond senior non-preferred issue by Bayerische Landesbank (€500 million, tenor: 6.91 years) - Green bond senior unsecured issue by the City of Munich (€300 million, tenor: 7 years) - Social bond covered issue by DKB (€500 million, tenor: 10 years) - Social bond covered issue by DKB (€500 million, tenor: 12 years) - Social bond senior unsecured issue by BayernLabo (€500 million, tenor: 7 years) • BayernLabo: Subsidised housing in the Free State of Bavaria also using subsidy modules focused on environmental sustainability; municipal loans and own development programmes in areas such as barrier-free access and energy-efficiency improvements for buildings
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¹ When financing green loans, social loans and sustainability-linked loans, BayernLB works within its Sustainable Lending Framework, while the Bank's issuing activities are governed by its Sustainable Financing Framework. BayernLabo acts in accordance with its Social Loan Framework.

DKB – “Das kann Bank” – #geldverbesserer **“Blue sustainability” for financial strength and ethical conduct**

Goals	• Continue to expand its position as one of the most sustainable banks among the top 20 banks in Germany • Align the portfolio with the net zero and 1.5 degree-compatible transformation scenarios under the Paris Agreement • Increase business in accordance with the sustainability criteria of the Sustainable Lending Framework • By 2027 significantly grow the proportion of women in the first two management levels
Initiatives (2024)	• Revised the Sustainable Lending Framework • Refined ESG portfolio management • Joined the Partnership for Biodiversity Accounting Financials (PBAF) • Produce the first TCFD report
Examples of products (from 2024)	• Granting of the first Social Loan Label to a Berlin-based municipal housing company • Issue of the third and fourth Social Housing Bond

BayernInvest – "We make sustainability profitable. And profitability sustainable."
Integrating ESG into the investment process and developing the product landscape (funds/reporting)

Goals	• Achieve operational climate neutrality by offsetting unavoidable emissions • Bring the management/administration of all retail funds, which are subject to the ESMA guidelines on ESG or sustainability-related fund names and invest solely in equities or corporate bonds, in line with the Paris Agreement climate targets (will be pursued from 2025) • Prepare annual reporting in accordance with UN GC, TCFD and as part of PRI membership • Improve data quality and quantity for sustainability-related publications • Continuously refine the ESG investment strategy • Be actively involved in investments in listed companies • Take account of the principal adverse indicators (PAI) for sustainability factors
Initiatives (2024)	• Set up the "Sustainability Office" department • Introduced regular internal ESG training • Member of UN Global Compact Netzwerk Deutschland e.V.
Examples of products (from 2024)	• Sustainability advisory services aimed at improving the portfolio quality and aligning it with regulatory requirements • Various sustainability awards for BayernInvest and for retail funds managed by BayernInvest (FNG Siegel, Euro Eco-Rating, Deutscher Fondspreis für Sustainable Investments, Capital) • Expansion of the product range in the area of sustainable alternative investments (launch of joint renewable energy credit funds by Berenberg, BayernLB und BayernInvest)

Real I.S. – "Where real estate meets the future"
We want to create added value for society and the environment

Goals	• Achieve operational climate neutrality of Real I.S. (as a company excluding the real estate portfolio) by 2030 partly by offsetting unavoidable emissions • Achieve climate neutrality of the real estate portfolio by 2050 (in accordance with the Paris climate pathway) by offsetting unavoidable emissions
Initiatives (2024)	• Bolstered ESG as its guiding principle by finalising a new customer-focused ESG strategy for portfolio and product • Refined the central platform for recording and analysing consumption data • Started portfolio-wide screening for taxonomy eligibility and alignment • Adopted the strategy for dealing with PV plants in the German real estate portfolio • Rolled out smart technology to monitor and reduce GHG emissions (e.g. smart meters, AI-controlled technical systems) in real estate in the Real I.S. portfolio • Participated in developing standardised ESG KPIs for the real estate sector in cooperation with the Zentrale Immobilien Ausschuss (ZIA)
Examples of products (from 2024)	• Update the green leases clause and introduce a green lease 2.0 • Increase the minimum investment ratios within the meaning of the Taxonomy Regulation in the open-ended retail fund REALISINVEST EUROPA from 10% to 30% • Verify the taxonomy alignment for two new acquisitions (real estate) for the open-ended retail fund REALISINVEST EUROPA

Sustainability, environmental and reputational risk management system

BayernLB has grouped together reputational risk management (including the functions of central reputational risk management) and sustainability/environmental management organisationally in the Sustainability Department under the direct responsibility of the CEO. The Chief Sustainability Officer reports directly to him.

The topic of sustainability has an important place in the transformation of the BayernLB Group's business model. In 2020, the Bank's committees and boards adopted a Mission Statement and Group Strategy and also issued a new set of sustainability guidelines which, in accordance with the uniform Group management requirements, govern the cross-institutional collaboration between the sustainability units in the institutions within the Group (and form part of the Group-wide internal control system).

The following documents and concepts, which have already been mentioned in the section on sustainable banking business, are important amongst others for sustainability management: the Code of Conduct, the Group-wide Sustainability and Environmental Policy also adopted/published by DKB, BayernInvest and Real I.S., the Guiding Principles for Transformation that also apply across the Group and the sustainability strategies of both BayernLB Bank and DKB. To operationalise its Sustainability and Environmental Policy and Sustainability Strategy, BayernLB Bank has implemented a Sustainability Programme which details all goals and measures (including deadlines for fulfilment), also above and beyond the materiality analysis of the NFR, and is a key tool for making further improvements to BayernLB's sustainability performance. The Sustainability Programme does not have an end-date as such. It is updated every year as part of the Sustainability Report according to GRI⁹² (which at the same time provides information on its status) and new goals and measures are added in consultation with the specialist departments and based on the Sustainability Strategy.

The Sustainability Department is also responsible for the design of the environmental management system validated in line with the Eco Management and Audit Scheme (EMAS) and certified to international standard ISO 14001, which covers large parts of BayernLB Bank.

Sustainability and environmental management help to reduce risk as defined in Section 289c para. 3 nos. 3 and 4 HGB. These are classed as low in the case of social and environmental matters with a bearing on the BayernLB Group's business operations.

Reputational risk within the BayernLB Group is managed through a dedicated management system comprising, among other things, a framework instruction, processes, various topic-specific policies (see Guiding Principles for Transformation), and the definition of tasks and competencies for employees, managers and other reputational risk-specific roles.

Definition of reputational risk within the BayernLB Group

"Protecting BayernLB's good reputation and thus its management is a joint responsibility of all BayernLB Group employees. BayernLB's reputation can be affected and possibly impaired by almost everything we do, whether by concluding a transaction or signing an agreement on behalf of BayernLB or by making an ill-considered comment in the social networks."

"Active reputational risk management covers all processes relating to the identification, assessment/classification, reporting and management of reputational risks, and, if necessary, initiating or supporting any measures or legally required actions aimed at eliminating or reducing the causes of reputational risks, the monitoring of the implementation of measures and reporting."

92 Not audited by PwC.

The Sustainability Department, in particular through its role as Central Reputational Risk Management for the Group, is always involved in assessing and managing event and transaction-based issues so as to manage any given situation under sustainability and reputational risk aspects. Issues/transactions include all types of business activities and relationships along the Group's value chain (set out in an internal Group-wide framework instruction), and Central Reputational Risk Management is also part of the new product process and examines reputational risk at that stage. This department must be consulted in matters that potentially fall within the scope of current ESG standards and policies related to environmental and social topics (including respect for human rights) and/or which potentially could give rise to social or environmental risks, as well as all operations that pose a medium or high reputational risk. To carry out its duties, the Board of Management has delegated the department the right to prohibit activities or to grant approval subject to defined conditions. Central Reputational Risk Management granted approval for issues/transactions once again in 2024, in some instances subject to certain conditions; some, on the other hand, were rejected.

Central Reputational Risk Management also conducts a reputational risk inventory every year, both at BayernLB and the relevant Group companies. The results can be used for assessing risks pursuant to Section 289c para. 3 nos. 3 and 4 HGB for the non-financial report.

The ESG assessment acts as a tool for assessing sustainability risks and benefits for customers and transactions at BayernLB Bank and should be applied to examine every borrower and every transaction when engaging in new business. Furthermore, a new ESG scoring tool (ESG Score) was developed in conjunction with Rating Service Unit (RSU) and the modules were launched gradually in 2024. In the asset classes in which the new RSU ESG scoring module is (technically) available, it must be used for new business and renewals. These IT-supported tools form the basis for portfolio management from a sustainability perspective and are being successively expanded, partly on the basis of current regulatory requirements (including the EU Taxonomy Regulation) and business strategy aspects. The new RSU ESG scoring tool should eventually replace the previous ESG risk module (see below) in the asset classes for which such a module technically exists.

The ESG assessment consists of three modules addressing different underlying questions:

- ESG risk: Do environmental, social or governance issues arise that have a negative impact on a customer's ability to service its debts, probability of default or creditworthiness?
- ESG impact: What are the demonstrable sustainability benefits of the financing transaction?
- RepRisk: Does the transaction give rise to a potential reputational risk, taking ESG risks into account?

The RepRisk module also considers sustainability risks⁹³; compliance with the Guiding Principles for Transformation and the policies it contains are also investigated and monitored. This makes the ESG assessment (especially the RepRisk module, which operationalises the reputational risk management system), along with the Principles, one of the key instruments (and due diligence processes pursuant to Section 289c para. 3 no. 1 HGB) for identifying, preventing and mitigating existing or potential negative effects associated with the Group's business activities.

⁹³ Sustainability risks in the RepRisk module are addressed by evaluating the environmental and social risks of an issue/transaction. The module must record the overall assessment of environmental and social risks along with an explanation or reason (if applicable, with mitigating measures). It must be noted here that environmental or social aspects may, but do not necessarily give rise to a reputational risk.

HR management

Human resources development and policy

Employees play a key role in BayernLB's strategic direction. The foundations of human resources (HR) policy and employee management are defined in various principles and guidelines, such as the Code of Conduct and at BayernLB Bank the internal policy on cooperative conduct, protection against sexual harassment, bullying and discrimination; the German General Non-discrimination Act (Allgemeine Gleichbehandlungsgesetz – AGG) applies to all employees.

The BayernLB Group's headcount changed over the year as follows:

Workforce

	BayernLB Group	Of which BayernLB	Of which DKB	BayernLB Group	Of which BayernLB	Of which DKB
	2024	2024	2024	2023	2023	2023
Headcount						
Number of active employees	7,592	2,771	4,377	8,241	2,632	5,163
Of which women	3,812	1,286	2,346	4,161	1,223	2,747
Of which men	3,780	1,485	2,031	4,080	1,409	2,416
Of which in Germany	7,420	2,609	4,377	8,080	2,481	5,163
Of which abroad	172	162	–	161	151	–
Of which full-time	5,759	1,997	3,430	6,155	1,897	3,918
Of which part-time	1,833	774	947	2,086	735	1,245
Average age (in years)	44.66	45.15	44.5	43.68	45.13	43.1

¹ BayernLB Card-Services (now known as qards) ceased to be part of the DKB Group's scope of consolidation on 31 October 2024, a move which cut the Group's workforce by 289.59 full-time employees.

In 2024 BayernLB Bank published its Diversity Strategy (dating from 2023) externally as part of its HR strategy (this was also set out in the Sustainability Programme of BayernLB Bank, and hence implemented), as a way of emphasising once again its efforts to promote diversity, inclusion and equal opportunities. Although the workforce contains almost equal numbers of men and women (see the "Workforce" table above), the same is not yet true of management roles (see the "Management positions" table below). BayernLB Bank had the target of raising the share of women in management positions (management levels two to four) to 30% by the end of 2024 (see the Diversity Strategy and the Sustainability Programme). This target was missed by a small fraction, with a figure of 28.9%, and so has been moved out one year. At the same time, new targets were set for BayernLB Bank: by the end of 2030 the share of women managers in management levels two to four should be at least 35%. BayernLB Bank is also aiming for equal opportunities in specialist careers: again by the end of 2030 at least 40% of senior specialists and chief specialists should be female. For the Bank's Board of Management (management level one) a target of at least one female member by the middle of 2025 has been set. This target was achieved on 1 July 2024 when Sigrid Kozmiensky was appointed Chief Risk Officer.

To promote a more balanced management structure, BayernLB Bank has initiated a number of targeted measures that are reported on in detail in the Sustainability Report according to GRI.⁹⁴ This includes regular participation in the cross-mentoring programme (which was also set as an ongoing target in the Sustainability Programme), support for balancing a management career with one's private life (e.g. by filling management positions with tandems with individual rates of employment; the first tandem, which was included in the Sustainability Programme as a goal by the end of 2024 has already started), the #Fortschrittsfrauen network with a variety of formats (e.g.

⁹⁴ Not audited by PwC.

dialogue with the Board of Management, professional exchange and role model formats, and mentoring within the network and holding four networking events in the women's network were achieved for 2024) and balanced representation in the talent generations. The 2024/2025 talent generation consists of ten men and ten women, plus one man from Real I.S.

DKB is also taking steps to further equalise the ratio of women and men in its management positions. The measures agreed in the DKB Diversity Strategy have largely been implemented, especially in recruiting and staff development. The established DKB network for women in management helped the personal development of participants again in 2024 by providing opportunities for dialogue, disseminating knowledge and arranging motivational talks. In addition, a further ten female employees from DKB AG and DKB Service GmbH were given targeted support in their career planning and professional development in 2024 under a cross-company mentoring programme called MentorMe. The systematic approach to talent management at DKB also helps identify and encourage potential candidates for first-level management positions in a more balanced gender ratio. At the same time, the measures stated contribute to one of the core goals of the Diversity Strategy: to reduce and – in the long term – eliminate the gender pay gap. The goal is to cut both the adjusted and the unadjusted gender pay gap further. Progress will be monitored by regularly analysing the remuneration structure and additional measures will be developed if necessary. DKB will continue to specifically modify and expand its structures in terms of diversity, equal opportunities and freedom from prejudice. For more details, see the Annual Report of DKB.

Management positions

Management positions: female headcount	BayernLB Group	Of which BayernLB	Of which DKB	BayernLB Group	Of which BayernLB	Of which DKB
In %	2024	2024	2024	2023	2023	2023
1 st management level ¹	20.0%	20.0%	21.4%	17.2%	–	21.1%
All other management levels	36.0%	28.9%	40.3%	33.9%	27.5%	37.9%

¹ First management level = Board of Management/company management; the "BayernLB Group" and "DKB" columns generally contain disclosures relating to the total of all Group companies.

BayernLB's Supervisory Board comprises eleven members (DKB: 16), two of whom are women (DKB: four). This means that women account for a share of 18.2% (DKB: 25.0%).

The key tool of staff management and development at BayernLB Bank is the development and performance dialogue. This concept aims to promote an open and constructive development dialogue between managers and employees and ensures they have a common focus. It governs the systematic transformation of the objectives derived from the Bank's business strategy and risk culture to employee level. Based on the objectives agreement reached at the beginning of the year, all employees at BayernLB Bank are given annual feedback in their appraisal on the degree to which they achieved their targets as well as guidance to enable them to determine where they currently stand in terms of their personal development and to reconcile their career and personal development objectives. Individual development planning highlights prospects and areas for development. More work was done in 2024 on further refining both the personal development dialogue and the performance dialogue and on decoupling the two. Following a pilot phase, the refinement of the development dialogue was set down in a service agreement that has been available to employees and managers since January 2025. In addition to structured feedback based on the BayernLB competency model, the development dialogue provides scope for further career planning and drawing up a binding development plan. This decoupling is mentioned in the BayernLB Bank Sustainability Programme as being due to be implemented by the end of 2025; it was implemented ahead of schedule.

With the help of a budget set aside for professional development, a range of training and qualification programmes is available for this purpose at BayernLB Bank. This helps employees achieve and implement the individually tailored objectives agreed in the development and performance dialogue. When it comes to employee training and gaining qualifications, the Bank focuses on needs-based planning of internal and external seminars in person, virtual formats and platform offerings (e.g. Bookboon, Employers for Equality and goFluent). The budget for further employee training at BayernLB Bank rose considerably in 2024.

Further training budget

	BayernLB Group	Of which BayernLB	Of which DKB	BayernLB Group	Of which BayernLB	Of which DKB
Professional development € million	2024	2024	2024	2023	2023	2023
Training budget ¹	6.2	2.0	4.0	5.8	1.1	4.5

¹ BayernLB's further training budget also includes the budget for the foreign branches. DKB's further training budget also includes the budget for DKB Service GmbH and Bayern Card-Services GmbH.

Health management

As in previous years, the BayernLB Group continues to strive to successfully maintain and promote its employees' health.

Code of Conduct

"It is essential that occupational health and safety regulations are observed by all employees. It is one of the management duties of BayernLB to provide a healthy and hazard-free working environment. [...] In turn, we expect that our employees take a responsible approach to their health and fitness."

BayernLB Bank has an integrated health management system. This includes company doctors, nurses and human resources managers specialised in health management. They work closely with the Staff Council, the occupational health and safety expert, BayernLB's sports club and the nutritional specialists of the company canteen. There is also an occupational safety committee in accordance with occupational safety law, which supports the monitoring of occupational health and safety programmes and also has an advisory role. Representatives from the Staff Council and therefore the workforce sit on the committee. There are no indications of relevant (mainly health-related) risks in the area of occupational health and safety. Continuing focused healthcare management and achieving a health rate of at 95% each year are also listed in the Sustainability Programme of BayernLB Bank – both were achieved in 2024.

Health rates

	BayernLB Group	Of which BayernLB	Of which DKB	BayernLB Group	Of which BayernLB	Of which DKB
In %	2024	2024	2024	2023	2023	2023
Health rate ¹	95.9%	96.2%	95.7%	95.6%	96.0%	95.2%

¹ 100% less ratio of absences due to illness (with and without continued payment of salary, regardless of insurance status) to planned working days.

To prevent “typical” health problems associated with activities performed mainly while sitting at computer workstations, the health and safety officers pay attention to the ergonomic design of workstations. As part of its healthcare management BayernLB Bank also offers its employees opportunities for sports activities and holds regular Health Days, focusing on topics such as exercise and mental health.

In addition, BayernLB Bank has implemented an operational integration management programme (Betriebliches Eingliederungsmanagement (BEM)) pursuant to Section 84 para. 2 of the Social Security Code (Sozialgesetzbuch (SGB)) IX, in which its employees can request professional support when reintegrating after a long illness.

DKB is also conscious of its social responsibility to its employees and so attaches great importance to staff satisfaction, general wellbeing and boosting long-term employee motivation. Among these are measures and offerings such as flexible working, further developing the corporate culture and access to health programmes and regular training on health and safety at work.

BayernInvest and Real I.S. give their staff the opportunity to take part in BayernLB Bank’s preventative health measures such as the Health Days. In addition, targeted health-promoting measures, such as conducting eye tests and flu vaccinations, are arranged.

Challenges and opportunities

The notes to the BayernLB Group’s 2024 consolidated financial statements also provide information (including figures) on restructuring provisions at DKB. In other words, the information here relates to the consolidated financial statements pursuant to Section 289c para. 3 no. 6 HGB.

For more information on transformation and restructuring provisions at DKB, refer to DKB’s 2024 annual report.

Having successfully completed the Fokus 2024 programme (see the extensive reporting in previous years), BayernLB Bank is continuing to concentrate on making itself a more attractive employer and improving work/life balance. For full details see the Sustainability Report according to GRI⁹⁵. A strong employer brand is key to standing out from the competition on the labour market as an attractive employer and bringing in top talent. After a successful rollout amongst young professionals, 2024 saw the TraumMalWieder (“dare to dream”) employer branding campaign extended to professionals. The number of active employees at BayernLB Bank rose again in 2024 (see “Workforce” table above) – a first sign of the success of the campaign. Even greater attention was paid in 2024 to employee retention – from welcome events to targeted development planning and a learning pathway on “employee integration, retention and development” for managers as part of the Leadership Academy.

⁹⁵ Not audited by PwC.

Work was also done on further developing a corporate culture that promotes identity. In line with the external claim “Financing progress”, internally the #ProgressDNA initiative was gradually rolled out, for example with a manager conference, a town hall for all staff and workshops for all teams and departments. The last Pulse Check was carried out in late 2023/early 2024 and provided a baseline for the values of foresight, empathy and a sense of responsibility. From 2025 onwards a Culture Check will be conducted among staff each year to re-investigate the attitude to the values of foresight, empathy and a sense of responsibility. Performing surveys such as the Pulse Check and Culture Check each year is set out in the Sustainability Programme of BayernLB Bank.

In 2023 DKB launched its Group-wide efficiency programme Fit4Growth. The goal of the transformation programme set to run until the end of 2025 is to sustainably optimise DKB’s operating model, create a basis for further growth and secure its profitability for the long term.

As part of the efficiency programme launched across the Bank, major steps were taken to simplify and speed up the loan application process for corporate customers. A key element of this is the Credit Unit due to be set up in 2025, which will enable the loan application process for corporate customers to be optimised and speeded up. The new unit will bring together staff from credit risk management, portfolio management and the regions to significantly improve process efficiency and customer focus.

The new Business Retail region was also set up, which from 2025 will focus on strengthening, standardising and harmonising the commercial retail business. The aim is to optimise customer service and better leverage market potential. This region will see structural adjustment in the next few months to drive ahead digitalisation and automation.

In financial year 2024 the consulting costs incurred chiefly under the programme and the additions to provisions for personnel-related measures led to gains or losses on restructuring and transformation of €29.9 million (FY 2023: €66.0 million).

Human resources management therefore helps reduce risks pursuant to Section 289c para. 3 nos. 3 and 4 HGB in the area of employee-related matters primarily by introducing measures to improve work/life balance, to further equality, and to promote the health, skills and professional and personal development of the employees. At the same time it is responsible for structuring the salary, bonus and pension systems.

Another risk is that the remuneration system might encourage inappropriate risk conduct in certain circumstances. To manage this particular risk, the BayernLB (Bank/Group) Remuneration Strategy and Guidelines specify in detail the requirements under the Remuneration Regulation for Institutions (Institutsvergütungsverordnung) stipulating appropriate remuneration and defining them for BayernLB. BayernLB and DKB provide detailed information on this matter in their respective remuneration reports (at DKB as part of the disclosure report). During the course of the year, at both DKB and BayernLB the relevant documentation demonstrating the suitability of the remuneration system is presented to a compensation committee that meets on several occasions.

The requirements of the Code of Conduct and the works and staff councils in many organisational units and levels are just some of the systems in place to counter the risk of employees’ fundamental human rights such as the right of assembly being infringed. Other risks arise from the national specifics of employment law. These are specifically monitored by the instruments mentioned above.

Compliance management system

Compliance with rules, regulations and standards is standard practice for BayernLB and taken very seriously. In order to stay up to date with the constantly evolving requirements and any changes in the risk situation, BayernLB continuously reviews its risk and compliance management system. The Compliance Division has the key tasks of preventing, monitoring and penalising breaches of the rules and promoting a uniform understanding of values and integrity. The goal of the compliance management system is to safeguard and ensure the reliability of BayernLB Group's⁹⁶ market presence, which is based on compliance with statutory and regulatory requirements, and to protect it against illegal activities. Besides fighting money laundering, the financing of terrorism and financial crime, its remit also includes combating corruption, bribery and other criminal acts. It regularly reports to the Board of Management and the Audit Committee of the Supervisory Board on the relevant issues by means of the annual Compliance report. The Compliance function is considered to be a trustworthy and fair point of contact, both inside and outside of the Bank. A whistleblowing system has also been instituted.

Group companies and foreign branches each have their own compliance units. The Compliance function for the Amsterdam sales office is carried out from Munich.

Code of Conduct

BayernLB and its employees regard acting lawfully, ethically and responsibly as an elementary and indispensable part of their personal, corporate and social responsibilities.

BayernLB's Code of Conduct is a key component of its compliance culture. It serves as a set of standards for day-to-day activities and lists the most important legal and social requirements, e.g. in relation to inside knowledge, competition law, intellectual property protection, data protection, confidentiality and information security, responsibility for employees, individual rights and protection from discrimination, transparent (internal and external) communication, managing conflicts of interest, sustainability and ethics, social responsibility and a risk and compliance culture. The rules formulated in the Code of Conduct are important minimum standards in the BayernLB Group. They apply to internal relationships and to dealing with all stakeholder groups relevant for BayernLB. All BayernLB's business areas, all employees and the members of the Board of Management and Supervisory Board must observe the Code of Conduct. New members of staff are given the Code of Conduct when they take up their position. It is also published on BayernLB's website and serves as a template for the codes of conduct of the Group units. These in turn apply to their employees and their boards of management, senior management and supervisory boards.

Managing conflicts of interest

For managing conflicts of interest (that are not regulated under the German Securities Trading Act (WpHG)), a Group guideline is in place specifically for this purpose and is implemented in each of the relevant Group companies with their own rules and regulations. At BayernLB Bank, an internal instruction "Managing conflicts of interest (that are not regulated under the German Securities Trading Act (WpHG))" governs identifying and handling conflicts of interest and measures to avoid them where possible. To appropriately deal with (potential) conflicts of interest, a multi-stage procedure is followed that may ultimately mean the Bank not conducting particular transactions or business.

⁹⁶ The main subsidiaries in the compliance scope of consolidation, apart from BayernLB Bank, are DKB, Real I.S. and BayernInvest.

An administration office has been set up in BayernLB Bank to identify and manage conflicts of interest (that are not regulated under the German Securities Trading Act (WpHG)). It investigates and evaluates conflicts of interest and decides, together with the units concerned, on necessary measures and any consequences. The office also documents key issues that can cause a conflict of interest in a conflicts of interest catalogue. A conflict of interest arises when there is a risk that the capacity for professional judgement or action could be compromised by one or more interests.

BayernLB's Corporate Governance Principles and the Statutes of Bayerische Landesbank also provide for the abstention of Board of Management members in respect of decisions affecting them or related parties.

Furthermore, at BayernLB Bank all secondary activities must be approved in writing by the employer based on specific assessment criteria.

In accordance with the "Guidelines for personal transactions" which are embedded in all relevant Group units, employees may not, for example, buy or sell securities they deal with professionally, in line with the prohibitions and rules contained therein. Furthermore, employees' personal transactions may not be in conflict with the interests of customers or the Bank. In addition to requirements under criminal and tax law that must be observed, the internal instruction of BayernLB Bank "Regulations on accepting and granting benefits (particularly gifts and invitations)" provides employees with a code of conduct and support for dealing with the acceptance and granting of gifts and invitations (see also "Combating corruption and bribery").

In 2024 BayernLB Bank started a review and revision of the existing rules on accepting and granting benefits (especially gifts and invitations). The updated rules are scheduled for implementation in 2025, along with a workflow tool to provide technical support for the process. The rules will then be rolled out to relevant Group companies.

Combating corruption and bribery

One of the key objectives of BayernLB's compliance management system is combating corruption, bribery and other criminal offences at all locations and Group companies. Compliance with the relevant standards ensures legal or regulatory sanctions and loss of reputation can be avoided. At the BayernLB Group, various measures related to this issue have been implemented.

For example, the written organisational rules enshrine the principle that the Group may not enter into any business relationship with persons who have, for example, been legally convicted of corruption or with companies managed by such persons.

The "Regulations on accepting and granting benefits (particularly gifts and invitations)" of BayernLB Bank make it clear that any gifts, invitations or benefits which could limit the personal independence of the recipient or raise doubts among the public about the integrity of BayernLB or the recipient are not permitted. Donations and sponsorships are also subject to clear rules and must be strictly separated from each other. Appropriate measures are set out in the rules for pricing and new lending.

Mandatory, regular training courses for all employees (in accordance with the risk-oriented cycle) deal with the relevant regulations and conduct in the fight against corruption. Examples are used to illustrate how to recognise corruption and conduct/events that are out of the ordinary. The options available under the existing whistleblowing system are also discussed.

New employees and temporary staff are also subjected to an intensive screening process, including submission of a police clearance certificate. All employees are examined annually for unethical conduct and breach of duty as part of the development and performance dialogue (see the section above on human resources development and policy).

The Group-wide review and monitoring of all compliance risks is carried out by the respective compliance units. Based on regular risk analyses, these draw up appropriate precautionary measures to combat money laundering, the financing of terrorism and financial crime, and report on their effectiveness and any events on an ad hoc basis and annually to the Audit Committee of BayernLB's Supervisory Board.

All in all, so far as the aspect "corruption and bribery" is concerned, no risks were identified in the business activities of the BayernLB Group that are notifiable under Section 289c para. 3 nos. 3 and 4 HGB. During the reporting period no violations of the law relating to corruption at or by BayernLB were identified by the courts.

MaRisk compliance risk identification

Pursuant to MaRisk, the MaRisk compliance function is responsible for identifying and analysing material legal rules and requirements (standards) pertaining to risk where a breach would put the institution's assets in jeopardy. BayernLB defines compliance risk as follows:

Definition of compliance risk within the BayernLB Group

"Pursuant to AT 4.4.2 MaRisk, Compliance includes the risk that the Bank will incur losses as a result of noncompliance with applicable legal rules and regulations (standards). This does not include breaches of contractual arrangements or internal rules. Legal risk, tax law risk and conduct risk do not fall under compliance risk."

The BayernLB MaRisk compliance function regularly conducts a materiality test when new rules are brought in, or on an ad hoc basis (e.g. if the auditor reports a large number of findings), and this is reviewed and coordinated with the relevant specialist units. The materiality of these standards is based on whether non-compliance with them could put BayernLB's assets at risk. In the annual compliance report, the MaRisk compliance function goes into more detail about the respective appropriateness and effectiveness.

To identify risks (pursuant to Section 289 c para. 3 nos. 3 and 4 HGB) both to BayernLB itself and to "third parties" such as the environment, employees or other persons, the materiality analysis by Group Compliance and the annual risk inventory by Reputational Risk Management mentioned above are therefore used as a basis for the NFR. To classify the size of the loss for "third parties", the Bank developed its own criteria, which take into account the special intention of HGB that the company reflect the extent to which it creates potential risks on non-financial aspects (pursuant to Section 289c para. 2 HGB). These aspects include the number of people affected and the reversibility of potential losses.

Overarching control mechanisms

Besides the usual control mechanisms for financial institutions (Supervisory Board, Board of Management decisions based on the dual-control principle, etc.), BayernLB as a public-sector institution is subject to the legal supervision of the Bavarian Ministry of Finance and Regional Identity (supervisory authority). The supervisory authority has extensive rights to information and regularly participates in General Meetings and Supervisory Board meetings. It can lay down all necessary regulations to ensure that BayernLB's business operations meet the laws, articles of incorporation and other statutory requirements.

By law, BayernLB is subject to ad hoc auditing by the Bavarian High Court of Auditors. Potential audits might cover, in particular, compliance with the regulations and principles governing business management, i.e. amongst other things whether management has acted economically and frugally.

Disclosures pursuant to Article 8 of the EU Taxonomy Regulation as at 31 December 2024

Preliminary note

As part of the EU action plan for a sustainable financial system, the European Commission has laid out a classification system for assessing environmentally sustainable economic activities in the form of the EU taxonomy. The Delegated Regulation (EU) 2020/852 (EU Taxonomy Regulation) sets the framework for the EU taxonomy. The classification criteria to identify environmentally sustainable economic activities are described in greater detail in the Delegated Regulation on climate taxonomy (Delegated Regulation (EU) 2021/2139). In this, the classification of environmentally sustainable economic activities is largely based on the statistical classification of economic activities in the EU (NACE; Statistical Classification of Economic Activities in the European Community).

Article 8 of the EU Taxonomy Regulation sets out the reporting obligations and affects undertakings which fall under the Non-Financial Reporting Directive (NFRD) (Directive 2014/95/EU). This means that these companies must address the manner and extent to which their activities are consistent with economic activities that can be classified as ecologically sustainable in their non-financial reporting disclosures. If certain criteria are cumulatively met, financial and non-financial undertakings must disclose non-financial information as part of non-financial reporting in accordance with Articles 19a and 29a of Directive 2013/34/EU. BayernLB meets the requirements of the NFRD and is therefore subject to reporting obligations under the EU Taxonomy Regulation.

The Corporate Sustainability Reporting Directive (CSRD) seeks to make sustainability reporting consistent in the EU and is supposed to have replaced the NFRD. It contains major changes to Articles 19a and 29a of Directive 2013/34/EU. Compared with the NFRD Directive in force until the end of 2023, its scope has been substantially expanded. Because Germany has not yet transposed the CSRD into national law, there is currently a divergence between the legal requirements at EU level. Hence the terms “counterparty subject to the CSRD” and “counterparty subject to the NFRD” were treated as synonymous as at 31 December 2024, to allow for differences in national transposition in EU Member States.

While there was relief for banks in EU taxonomy reporting in financial years 2021 and 2022, full reporting in accordance with Article 8 of the EU Taxonomy Regulation is required for accounts dated 31 December 2023 or thereafter. The content and presentation of the quantitative and qualitative information to be disclosed from 31 December 2023 under EU taxonomy reporting are specified by the Delegated Act (Delegated Regulation (EU) 2021/2178 of the Commission). In addition, all changes to Delegated Regulation (EU) 2021/2178 resulting from Delegated Regulations published by the European Commission in the meantime must be taken into account. As from the reporting date of 31 December 2023, this impacted in particular reporting obligations under the “Nuclear/Fossil Gas” Delegated Regulation (Delegated Regulation (EU) 2022/1214), the “Environmental Objectives 1 and 2 Including Provisions on the Existence of Significant Harm to Other Environmental Objectives” Delegated Regulation (Delegated Regulation (EU) 2023/2485), and the “Environmental Objectives 3 to 6” Delegated Regulation (Delegated Regulation (EU) 2023/2486). The questions of interpretation published by the EU in the third Commission Notice on the EU Taxonomy (EU Taxonomy FAQs) in November 2024 were implemented by the BayernLB Group as at 31 December 2024. The further questions of interpretation on the implementation of the EU Taxonomy Regulation (FAQs) announced in draft form by the EU in November 2024 and published in the Official Journal in March 2025 were analysed but could not be implemented as at 31 December 2024 due to the short notice. They will be taken into account in full as at 31 December 2025.

The taxonomy-eligible economic activities for the six environmental objectives currently laid out in the EU Taxonomy Regulation (CCM – climate change mitigation, CCA – climate change adaptation, WTR – water and marine resources, CE – circular economy, PPC – pollution and BIO – biodiversity and ecosystems) are defined in several delegated regulations. These will be updated regularly as new developments and technical advances are reviewed.

Economic activities are taxonomy-eligible if they can be attributed to a taxonomy-eligible economic activity as described in the delegated regulations, regardless of whether the activity meets all the technical assessment criteria for the economic activity concerned set out in the respective delegated regulation. As a general rule: If a company generates revenue or engages in capital expenditure (CapEx) which is related to one of the economic activities described in the delegated regulations, this activity is considered taxonomy-eligible for disclosure purposes. By contrast, if an activity cannot be attributed to one of the economic activities described in the delegated regulations, it cannot be considered taxonomy-eligible. Taxonomy-eligible economic activities form the population of all activities that may potentially meet the technical assessment criteria.

Economic activities are taxonomy-aligned if they can be attributed to a taxonomy-eligible economic activity as described in the delegated regulations and furthermore meet all the technical screening criteria for the economic activity concerned set out in the respective delegated regulation. This means that the economic activity has to be instrumental in achieving one or more environmental objectives and must not do any significant harm in accordance with the relevant criteria set (DNSH criteria), thus avoiding considerably compromising other environmental objectives. For exposures to counterparties subject to the CSRD, the counterparty must continue to demonstrate compliance with minimum safeguards as a prerequisite for the exposures to be recognised as taxonomy-aligned. These are procedures carried out by undertakings that perform an economic activity, to ensure that they comply with certain international guidelines and principles in relation to corporate social responsibility and human rights. The information on taxonomy eligibility and alignment is allocated proportionately to the six associated environmental objectives.

Reporting obligations under Article 8 of the Taxonomy Regulation are based on the supervisory scope of consolidation of the BayernLB Group. This comprises BayernLB and its branches and BayernLabo, as well as DKB, BayernInvest and Real I.S.

Sustainability within the definition of the EU taxonomy is defined predominantly via the green asset ratio (GAR) as the core key performance indicator (KPI). The GAR is calculated by dividing all taxonomy-aligned transactions by the total of all balance sheet assets that are not explicitly excluded from the GAR calculation. When calculating the GAR the following must be observed: The accounting figures calculated are based on the ECB regulations on reporting of supervisory financial information (FinRep). The population must consider all assets in accordance with IFRS accounting as per FinRep (€269,098 million; FY 2023: €274,485 million). When calculating the GAR, the numerator includes loans and advances, debt securities and equity instruments in the banking book to counterparties subject to the CSRD and to households and local governments. By contrast the denominator incorporates all loans and advances, debt instruments and equity instruments of the banking book to counterparties not subject to the CSRD and derivatives not held for trading, short-term interbank loans, cash and cash equivalents and other asset categories. Loans and advances to central governments and supranational issuers and to central banks, as well as financial assets that fall under the “Financial assets held for trading” IFRS accounting category are not to be included in the GAR calculation, i.e. they are excluded from the numerator and the denominator. In addition, financial guarantees of €7,926 million (FY 2023: €6,826 million) and assets under management of €89,123 million (FY 2023: €109,024 million) are taken into account separately for certain disclosures. The individual reporting templates generally require gross carrying amounts broken down by financial undertakings, non-financial undertakings, households and local (and regional) governments.

As at 31 December 2024, the BayernLB Group reported a total GAR by turnover of 0.53% (FY 2023: 0.12%) and a GAR for CapEx of 0.70% (FY 2023: 0.32%). Of the €269,098 million in total assets as per FinRep (FY 2023: €274,485 million), 0.41% (FY 2023: 0.08%) by turnover is taxonomy-aligned. The slight improvement in the ratios relates to, among other things, households (see the statements on taxonomy alignment among households, especially as regards energy certificates), but they still do not reflect the efforts the BayernLB Group is actually making in terms

of issuing sustainable loans. There are two main causes for this discrepancy. One major reason for the low attribution to taxonomy-aligned transactions is the very extensive data required to demonstrate taxonomy alignment, which is mostly not available at all or fails to meet sufficient quality standards, as will be discussed in more detail later in this report. Another is that the BayernLB Group has a large portfolio of products to finance renewable energy, which is not included in the calculation of the taxonomy ratio because most of the business partners are not subject to the CSRD. For exposures to undertakings, it is crucial to check whether they are subject to the CSRD when applying the EU taxonomy criteria. In other words, transactions with financial and non-financial undertakings may only be rated as taxonomy-eligible and taxonomy-aligned if the counterparty is subject to the CSRD within the definition of Art. 19a of Directive 2013/34/EU and Art. 29a of Directive 2014/95/EU. As a rule, several size criteria have to be met for this to happen. In particular, it has to be a large undertaking with its head office in the EU, it must be the subject of public interest and have an average number of employees over the year of at least 500. If it is part of a group in which the parent company is subject to the CSRD, an undertaking can claim exemption from its CSRD obligations provided the parent company produces a relevant report. In this case, the parent undertaking's KPIs must be used for the counterparty which is not subject to the CSRD.

The volume of financial and non-financial undertakings subject to the CSRD identified had a gross carrying amount of €29,101 million (FY 2023: €23,917 million) and constituted only approximately 17% (FY 2023: 16%) of the entire volume of the BayernLB Group's transactions with financial undertakings and non-financial undertakings of around €169,987 million (FY 2023: €151,384 million). This CSRD classification as at 31 December 2024 was carried out for customers in the BayernLB Group's portfolio and the taxonomy-relevant information was researched from publicly accessible sources of the companies in question, including drawing on external data providers.

To determine whether an undertaking is subject to the CSRD, as a first step the BayernLB Group always considers the above criteria in relation to the direct counterparty. As a consequence of the third Commission Notice on the EU Taxonomy (EU Taxonomy FAQs) in November 2024, in cases where the direct counterparty is not subject to the CSRD but is a subsidiary of one that is, the BayernLB Group bases its sustainability reporting on the parent company. This consideration of the hierarchy of the group required since 2024 in reviewing whether an undertaking is subject to the CSRD stipulates that where undertakings do not themselves meet the criteria for being obliged to report under the CSRD, the highest parent undertaking in the hierarchy of the group is analysed as regards the CSRD requirements. If this is subject to reporting obligations under the CSRD, the sustainability metrics (KPIs) of the parent are taken for the exposure to the subsidiary not obliged to report under the CSRD.

Even for exposures to special purpose vehicles (SPVs), which generally do not meet the criteria for being obliged to report under the CSRD, that obligation must be checked by considering the superordinate company and sponsor. In some cases, however, it is only possible to a limited extent on a case-by-case basis to check the CSRD-disclosure obligation of the parent company or sponsor because of a lack of data. This consideration of SPVs did not materially increase taxonomy eligibility or alignment.

Financing with use of proceeds unknown in the BayernLB Group was weighted with the KPIs published by the company concerned and researched (KPI – turnover and KPI – CapEx). Financing with use of proceeds known is present in the BayernLB Group where a specific purpose of the financing is contractually agreed. If there is no clear use of proceeds, these exposures are treated as use of proceeds unknown. The BayernLB Group provides financing with use of proceeds known to counterparties subject to the CSRD in the form of corporate and real estate finance in particular. BayernLB uses a tool developed by the Association of German Public Banks (VÖB) to verify and check taxonomy alignment for individual financing with use of proceeds known (VÖB TAXO TOOL). Verifying taxonomy alignment for financing with use of proceeds known with counterparties subject to the CSRD still poses a challenge, as many undertakings cannot provide some or any of the information required to check the “do no significant harm” criteria. This also applies to financial undertakings, as these have only been fully subject to the CSRD

since 31 December 2023. In the case of individual financing with use of proceeds known in real estate, taxonomy alignment is attributed in particular to the environmental objective of CCM, as it makes a substantial contribution to mitigating the consequences of climate change. Financing to counterparties subject to the CSRD currently only makes up a very small proportion of DKB's credit portfolio. Financing with use of proceeds known is analysed and evaluated using an internally developed evaluation methodology according to the EU Taxonomy Regulation. This takes into account the DKB business model with its focus on selected economic activities and the related specific processes and data.

The BayernLB Group finances sustainable projects. However, many of the counterparties are not subject to the CSRD, as they are property companies/project companies which have no CSRD reporting obligations. This means that the exposures cannot be classified as taxonomy-aligned despite them having a known, sustainable use of proceeds, as the condition of being subject to the CSRD is not met. The consideration mentioned above of the parent company in the group hierarchy when examining whether a counterparty is subject to the CSRD also resulted in no material improvements. This is also the case, for example, in the financing of renewable energy projects.

The households portfolio currently only makes a marginal contribution to the GAR calculation, although the BayernLB Group recognised financing with households as the counterparty at a gross carrying amount of €29,579 million as at 31 December 2024 (FY 2023: €26,125 million). It should be noted here that the criterion of whether the counterparty is subject to the CSRD does not have to be checked for households. These exposures to households are part of the population of transactions to be included in the taxonomy test, without the need to check whether they are subject to the CSRD. For the sake of completeness, loans for modernising buildings (€186 million; FY 2023: €334 million) and auto loans (€195 million; FY 2023: €108 million) must be noted here. The exposure to households mainly consisted of loans secured by residential property (€21,626 million; FY 2023: €19,385 million). In the BayernLB Group, most of these exposures are at DKB and BayernLabo. To assess the taxonomy alignment of its residential real estate credit portfolio, DKB and BayernLabo are dependent on energy certificates being submitted and processed.

In order to obtain the large number of energy certificates required for the taxonomy test, a dedicated team was set up at DKB to initially process the energy certificates for existing business and then ensure the mandatory conditions are met for new business in future. The mechanisms required to process these energy certificates automatically have now been implemented and are now being included in the reporting for the first time. To further increase the existing data base, options were utilised to source qualified energy efficiency data from external service providers, where these satisfy the requirements for issuing an energy certificate, in addition to the energy certificates received in physical form. However, under the EU taxonomy rules only properties in energy efficiency classes A and A+ (built before 2021) or that have a primary energy requirement at least 10% below the threshold for an extremely low energy building (built after 2020) can be reported as taxonomy-aligned. For all properties built after 2020, as an aid DKB currently still uses the conservative approach of only classifying properties as taxonomy-aligned if they are in energy efficiency class A+. Compliance with the "minimum safeguards" is not assessed for lending to households.

As a development bank for social housing in Bavaria, BayernLabo is subject to special conditions as regards GAR. Since it is the implementing body of the Free State of Bavaria for social housing, BayernLabo is not able to actively focus on influencing subsidised loans for residential property as a management metric. Data to prove sustainability was not recorded in the past because there was no need to do so. At present this is making it difficult to subsequently request energy certificates, especially compared with commercial banks with regular advisory contact with customers. As such, for 2023 only taxonomy-eligible exposure could be reported. However, over the course of 2024 various efforts were made to collect energy certificates when writing new business in close collaboration with the Bavarian State Ministry of the Interior, for Building and Transport. Since the fourth quarter of 2024,

energy certificates are now requested when subsidising property. To further improve the data base, a detailed review was conducted in the fourth quarter of 2024 into the possibility of obtaining qualified energy certificate data from external service providers. Further improvements in the next disclosure of taxonomy data are expected as a result – depending on the energy quality of the properties in the portfolio. The contribution of the households portfolio for the eligible asset ratio (EAR) remains a significant 8.98% (FY 2023: 8.25%). The EAR is calculated by dividing the share of taxonomy-eligible exposures by total GAR assets. The high contribution to the EAR exposure to households stems from the fact that to be classed as taxonomy-eligible it is sufficient to identify the economic activity and be able to attribute it to an environmental objective, and this is generally the case for households. However, for the reasons mentioned above it is currently only possible to a limited extent to prove whether an exposure is taxonomy-aligned.

The financial guarantees reported (€7,926 million; FY 2023: €6,826 million) mainly came from BayernLB. Thanks to the better data base, classification as taxonomy-eligible (turnover: €1,119 million; CapEx: €1,055 million) and taxonomy-aligned (turnover: €483 million, CapEx: €519 million) was also possible for the first time as at 31 December 2024. It is important to note that financial guarantees are not taken into account when calculating either EAR or GAR.

Assets under management in the BayernLB Group, which amounted to €89,123 million (FY 2023: €109,024 million), were managed almost exclusively by subsidiaries BayernInvest and Real I.S. The funds under management were not subject to the CSRD as at 31 December 2024. Where an undertaking does not itself meet the criteria for being subject to the CSRD, the parent undertaking must be considered, and if this is subject to the CSRD, the sustainability metrics (KPIs) of the parent are taken for the exposure to the subsidiary not obliged to report under the CSRD.

BayernInvest reviewed its portfolio for the first time in reporting year 2024 to see to what extent it is taxonomy-eligible and taxonomy-aligned. A “look-through” approach was possible for €22.3 billion of investments.

Based on information from external service providers, it was possible to examine around €17.5 billion of these to see if they are taxonomy-eligible and taxonomy-aligned. As a consequence, €5.1 billion could be shown as taxonomy-eligible by turnover and €6.3 billion by CapEx, and €1.8 billion by turnover and €2.8 billion by CapEx as taxonomy-aligned.

Real I.S. also conducted a review in reporting year 2024 of the extent to which it satisfies the EU taxonomy rules, especially for real estate fund investments, applying a best-efforts approach. As at the reporting date, Real I.S. reported €0.7 billion of turnover in relation to real estate that is taxonomy-eligible and €0.4 billion that is taxonomy-aligned. In 2025 Real I.S. is aiming to review further real estate investments as to whether they potentially meet the EU taxonomy requirements, provided that the requisite technical documentation is available and the local energy efficiency standards are comparable to those with EU relevance.

The BayernLB Group therefore reported for the first time a GAR in respect of assets under management by turnover of 2.47% and a GAR for CapEx of 3.17%. It is important to note that assets under management are not taken into account when calculating either EAR or GAR.

The BayernLB Group has also published all the templates for the extended taxonomy reporting of economic activities in relation to nuclear power and fossil gas since 31 December 2023. In this area the BayernLB Group reported a low total exposure of €29 million (FY 2023: €18 million) in relation to fossil gas (turnover: €0.5 million; CapEx: €28 million). The BayernLB Group has no material exposure in the economic activity of nuclear energy.

In the BayernLB Group, the implementation of the EU Taxonomy Regulation is interpreted primarily in regulatory terms. The individual units of the BayernLB Group have each drawn up their own sustainability strategy. These strategies are regularly reviewed and refined as events demand.

Additional details on specific templates

The flow information in the following templates shows new business, i.e. exposures recognised in the balance sheet for the first time during the reporting period, with no allowance for any type of reductions such as amortisation, repayments, sales, impairments, etc. Because of their ongoing drawdown and nature, only a few product groups, especially revolving credit facilities such as current accounts and working capital loans, use the delta between the gross carrying amount in the reporting period and that of the previous year when showing new business.

The following special feature applies to the reporting forms for the EU Taxonomy Regulation (but not the reporting form on nuclear/fossil gas): if a business partner has not performed an unambiguous allocation to the environmental objectives when disclosing its KPIs, they are allocated to the most relevant environmental objective at the counterparty in question. This procedure has no noticeable impact on the metrics for the BayernLB Group.

In the presentation and calculation of Template 3 “GAR KPI Stock” by turnover and capital expenditures (CapEx), the GAR for the individual counterparties is calculated by dividing the respective disclosures on taxonomy-alignment (numerator) by the overall sum of Total GAR assets (denominator).

In Template 4 “GAR KPI Flow” by turnover and CapEx, the GAR for the individual counterparties is calculated by dividing the respective disclosures on taxonomy-alignment (numerator) by the overall sum of new transactions Total GAR assets (denominator).

Since the term “Total applicable KPI” is not currently sufficiently defined in the Nuclear/Fossil Gas Delegated Regulation or the Disclosures Delegated Regulation, the requirements of Template 2 “Taxonomy-aligned economic activities (denominator)” were implemented as follows: Based on the name of Template 2 “Taxonomy-aligned economic activities (denominator)”, the term in row 8 of the template, “Total applicable KPI”, must include exposures that are taxonomy-aligned in both the numerator and denominator. As a result, the term also incorporates exposures that are excluded from the numerator for the GAR calculation, e.g. because they are not subject to the CSRD, and can only be included in the denominator. Since there is no requirement to split the gross carrying amounts of exposures only disclosed in the denominator of the GAR among the various environmental objectives, the gross carrying amount calculated in Template 1 “Total GAR assets” is used for the total (CCM+CCA) as well as separately for CCM and CCA. As a result, the amount and the percentages for (CCM+CCA) as well as for CCM and CCA are identical.

As required, all the templates of the EU Taxonomy Regulation, including Nuclear/Fossil Gas, are disclosed below.

EU taxonomy templates

Template 0 – Summary of KPIs to be disclosed by credit institutions under Article 8 Taxonomy Regulation

		Total environmentally sustainable assets	KPI ⁴	KPI ⁵	% coverage (over total assets) ³	% of assets excluded from the numerator of the GAR (Article 7 (2) and (3) and Section 1.1.2. of Annex V)	% of assets excluded from the denominator of the GAR (Article 7 (1)) and Section 1.2.4 of Annex V)
Main KPI	Green asset ratio (GAR) stock	1,101,769,268.34	0.53%	0.70%	0.41%	77.12%	23.12%

		Total environmentally sustainable activities	KPI	KPI	% coverage (over total assets)	% of assets excluded from the numerator of the GAR (Article 7 (2) and (3) and Section 1.1.2. of Annex V)	% of assets excluded from the denominator of the GAR (Article 7 (1)) and Section 1.2.4 of Annex V)
Additional KPIs	GAR (flow)	185,666,116.57	0.55%	0.69%	0.55%	63.85%	–
	Trading book ¹						
	Financial guarantees	483,043,794.45	6.09%	6.55%			
	Assets under management	2,202,793,386.98	2.47%	3.17%			
	Fees and commissions income ²						

¹ For credit institutions that do not meet the conditions of Article 94(1) of the CRR or the conditions set out in Article 325a(1) of the CRR.

² Fees and commissions income from services other than lending and AuM.

Institutions shall disclose forwardlooking information for these KPIs, including information in terms of targets, together with relevant explanations on the methodology applied.

³ % of assets covered by the KPI over banks' total assets.

⁴ Based on the Turnover KPI of the counterparty.

⁵ Based on the CapEx KPI of the counterparty, except for lending activities where for general lending Turnover KPI is used.

Note 1: Across the reporting templates: cells shaded in black should not be reported.

Note 1: Fees and Commissions (sheet 6) and Trading Book (sheet 7) KPIs shall only apply starting in 2026. SMEs' inclusion in these KPI will only apply subject to a positive result of an impact assessment.

Template 1.1 – Assets for the calculation of GAR – Turnover-based

	a	b	c	d	e	f	g	h	i	j
	Disclosure reference date T									
	Total [gross] carrying amount	Climate change mitigation (CCM)					Climate change adaptation (CCA)			
		of which towards taxonomy relevant sectors (taxonomy-eligible)					of which towards taxonomy relevant sectors (taxonomy-eligible)			
		of which environmentally sustainable (taxonomy-aligned)					of which environmentally sustainable (taxonomy- aligned)			
		of which use of proceeds	of which transi- tional	of which enabling			of which use of proceeds	of which enablin g		
€ million										
GAR - Covered assets in both numerator and denominator										
1 Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	61,583	30,332	1,101	623	55	189	5	–	–	–
2 Financial undertakings	19,013	4,875	155	–	3	23	–	–	–	–
3 Credit institutions	18,161	4,413	149	–	3	23	–	–	–	–
4 Loans and advances	13,652	2,806	103	–	–	22	–	–	–	–
5 Debt securities, including UoP	4,494	1,604	46	–	3	1	–	–	–	–
6 Equity instruments	15	3	–	–	–	–	–	–	–	–
7 Other financial corporations	852	462	6	–	–	1	–	–	–	–
8 of which investment firms	116	6	–	–	–	–	–	–	–	–
9 Loans and advances	94	6	–	–	–	–	–	–	–	–
10 Debt securities, including UoP	–	–	–	–	–	–	–	–	–	–
11 Equity instruments	22	–	–	–	–	–	–	–	–	–
12 of which management companies	–	–	–	–	–	–	–	–	–	–
13 Loans and advances	–	–	–	–	–	–	–	–	–	–
14 Debt securities, including UoP	–	–	–	–	–	–	–	–	–	–
15 Equity instruments	–	–	–	–	–	–	–	–	–	–
16 of which insurance undertakings	44	1	1	–	–	–	–	–	–	–
17 Loans and advances	44	1	1	–	–	–	–	–	–	–
18 Debt securities, including UoP	–	–	–	–	–	–	–	–	–	–
19 Equity instruments	–	–	–	–	–	–	–	–	–	–
20 Non-financial undertakings	10,088	5,196	518	194	52	158	5	–	–	–
21 Loans and advances	9,936	5,118	500	194	52	141	5	–	–	–
22 Debt securities, including UoP	151	79	17	–	–	17	–	–	–	–
23 Equity instruments	–	–	–	–	–	–	–	–	–	–
24 Households	29,579	18,579	429	429	–	8	–	–	–	–
25 of which loans collateralised by residential immovable property	21,626	18,199	421	421	–	–	–	–	–	–
26 of which building renovation loans	186	186	8	8	–	8	–	–	–	–
27 of which motor vehicle loans	195	195	–	–	–	–	–	–	–	–
28 Local governments financing	2,902	1,682	–	–	–	–	–	–	–	–
29 Housing financing	564	546	–	–	–	–	–	–	–	–
30 Other local government financing	2,338	1,136	–	–	–	–	–	–	–	–
31 Collateral obtained by taking possession: residential and commercial immovable properties	–	–	–	–	–	–	–	–	–	–
32 Assets excluded from the numerator for GAR calculation (covered in the denominator)	145,292	–	–	–	–	–	–	–	–	–

Template 1.2 – Assets for the calculation of GAR – Turnover-based

		a	b	c	d	e	f	g	h	i	j
		Disclosure reference date T									
		Total [gross] carrying amount	Climate change mitigation (CCM)					Climate change adaptation (CCA)			
			of which towards taxonomy relevant sectors (taxonomy-eligible)					of which towards taxonomy relevant sectors (taxonomy-eligible)			
			of which environmentally sustainable (taxonomy-aligned)					of which environmentally sustainable (taxonomy- aligned)			
				of which use of proceeds	of which transi- tional	of which enabling			of which use of proceeds	of which enabling	
€ million											
33	Financial and Non-financial undertakings	140,886									
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations	129,136									
35	Loans and advances	126,444									
36	of which loans collateralised by commercial immovable property	32,399									
37	of which building renovation loans	5,349									
38	Debt securities	2,206									
39	Equity instruments	486									
40	Non-EU country counterparties not subject to NFRD disclosure obligations	11,750									
41	Loans and advances	10,430									
42	Debt securities	1,265									
43	Equity instruments	54									
44	Derivatives	131									
45	On demand interbank loans	1,769									
46	Cash and cash-related assets	48									
47	Other categories of assets (e.g. goodwill, commodities etc.)	2,458									
48	Total GAR assets	206,875	30,332	1,101	623	55	189	5	–	–	–
49	Assets not covered for GAR calculation	62,223									
50	Central governments and supranational issuers	18,080									
51	Central banks exposure	30,762									
52	Trading book	13,381									
53	Total assets	269,098	30,332	1,101	623	55	189	5	–	–	–
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations											
54	Financial guarantees	7,926	1,094	482		17	128	14	1		–
55	Assets under management	89,123	4,879	2,119		176	1,049	386	84		37
56	Of which debt securities	39,764	3,235	1,303		152	782	317	66		35
57	Of which equity instruments	22,269	927	388		24	267	69	17		2

Template 1.3 – Assets for the calculation of GAR – Turnover-based

		k	l	m	n	o	p	q	r
		Disclosure reference date T							
		Water and marine resources (WTR)				Circular economy (CE)			
		of which towards taxonomy relevant sectors (taxonomy-eligible)				of which towards taxonomy relevant sectors (taxonomy-eligible)			
		of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
				of which use of proceeds	of which enabling			of which use of proceeds	of which enabling
€ million									
GAR - Covered assets in both numerator and denominator									
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	9				77			
2	Financial undertakings	–				–			
3	Credit institutions	–				–			
4	Loans and advances								
5	Debt securities, including UoP								
6	Equity instruments								
7	Other financial corporations								
8	of which investment firms	–				–			
9	Loans and advances								
10	Debt securities, including UoP								
11	Equity instruments								
12	of which management companies	–				–			
13	Loans and advances								
14	Debt securities, including UoP								
15	Equity instruments								
16	of which insurance undertakings	–				–			
17	Loans and advances								
18	Debt securities, including UoP								
19	Equity instruments								
20	Non-financial undertakings	9				77			
21	Loans and advances	9				47			
22	Debt securities, including UoP					29			
23	Equity instruments								
24	Households								
25	of which loans collateralised by residential immovable property								
26	of which building renovation loans								
27	of which motor vehicle loans								
28	Local governments financing	–				–			
29	Housing financing								
30	Other local government financing								
31	Collateral obtained by taking possession: residential and commercial immovable properties								
32	Assets excluded from the numerator for GAR calculation (covered in the denominator)	–				–			

Template 1.4 – Assets for the calculation of GAR – Turnover-based

	k	l	m	n	o	p	q	r
	Disclosure reference date T							
	Water and marine resources (WTR)				Circular economy (CE)			
	of which towards taxonomy relevant sectors (taxonomy-eligible)				of which towards taxonomy relevant sectors (taxonomy-eligible)			
	of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
			of which use of proceeds	of which enabling			of which use of proceeds	of which enabling
€ million								
33 Financial and non-financial undertakings								
34 SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations								
35 Loans and advances								
36 of which loans collateralised by commercial immovable property								
37 of which building renovation loans								
38 Debt securities, including UoP								
39 Equity instruments								
40 Non-EU country counterparties not subject to NFRD disclosure obligations								
41 Loans and advances								
42 Debt securities, including UoP								
43 Equity instruments								
44 Derivatives								
45 On demand interbank loans								
46 Cash and cash-related assets								
47 Other categories of assets (e.g. goodwill, commodities etc.)								
48 Total GAR assets	9				77			
49 Assets not covered for GAR calculation								
50 Central governments and supranational issuers								
51 Central banks exposure								
52 Trading book								
53 Total assets	9				77			
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations								
54 Financial guarantees	0				10			
55 Assets under management	40				276			
56 Of which debt securities	37				132			
57 Of which equity instruments	4				144			

Template 1.5 – Assets for the calculation of GAR – Turnover-based

	s	t	u	v	w	x	z	aa
	Disclosure reference date T							
	Pollution (PPC)				Biodiversity and ecosystems (BIO)			
	of which towards taxonomy relevant sectors (taxonomy-eligible)				of which towards taxonomy relevant sectors (taxonomy-eligible)			
	of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
	of which use of proceeds		of which enabling		of which use of proceeds		of which enabling	
€ million								
GAR - Covered assets in both numerator and denominator								
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	13				–			
2 Financial undertakings	–				–			
3 Credit institutions	–				–			
4 Loans and advances								
5 Debt securities, including UoP								
6 Equity instruments								
7 Other financial corporations								
8 of which investment firms	–				–			
9 Loans and advances								
10 Debt securities, including UoP								
11 Equity instruments								
12 of which management companies	–				–			
13 Loans and advances								
14 Debt securities, including UoP								
15 Equity instruments								
16 of which insurance undertakings	–				–			
17 Loans and advances								
18 Debt securities, including UoP								
19 Equity instruments								
20 Non-financial undertakings	13				–			
21 Loans and advances	13				–			
22 Debt securities, including UoP	1							
23 Equity instruments								
24 Households								
25 of which loans collateralised by residential immovable property								
26 of which building renovation loans								
27 of which motor vehicle loans								
28 Local governments financing	–				–			
29 Housing financing								
30 Other local government financing								
31 Collateral obtained by taking possession: residential and commercial immovable properties								
Assets excluded from the numerator for GAR calculation (covered in the denominator)	–				–			

Template 1.6 – Assets for the calculation of GAR – Turnover-based

	s	t	u	v	w	x	z	aa
	Disclosure reference date T							
	Pollution (PPC)				Biodiversity and ecosystems (BIO)			
	of which towards taxonomy relevant sectors (taxonomy-eligible)				of which towards taxonomy relevant sectors (taxonomy-eligible)			
	of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
			of which use of proceeds	of which enabling			of which use of proceeds	of which enabling
€ million								
33 Financial and non-financial undertakings								
34 SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations								
35 Loans and advances								
36 of which loans collateralised by commercial immovable property								
37 of which building renovation loans								
38 Debt securities, including UoP								
39 Equity instruments								
40 Non-EU country counterparties not subject to NFRD disclosure obligations								
41 Loans and advances								
42 Debt securities, including UoP								
43 Equity instruments								
44 Derivatives								
45 On demand interbank loans								
46 Cash and cash-related assets								
47 Other categories of assets (e.g. goodwill, commodities etc.)								
48 Total GAR assets	13				–			
49 Assets not covered for GAR calculation								
50 Central governments and supranational issuers								
51 Central banks exposure								
52 Trading book								
53 Total assets	13				–			
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations								
54 Financial guarantees	–							
55 Assets under management	239				33			
56 Of which debt securities	130				5			
57 Of which equity instruments	110				28			

Template 1.7 – Assets for the calculation of GAR – Turnover-based

	ab	ac	ad	ae	af
	Disclosure reference date T				
	TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
	of which towards taxonomy relevant sectors (taxonomy-eligible)				
	of which environmentally sustainable (taxonomy-aligned)				
			of which use of proceeds	of which transi- tional	of which enabling
€ million					
GAR - Covered assets in both numerator and denominator					
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	30,436	1,102	623	55	190
2 Financial undertakings	4,875	155	–	3	23
3 Credit institutions	4,413	149	–	3	23
4 Loans and advances	2,806	103	–	–	22
5 Debt securities, including UoP	1,604	46	–	3	1
6 Equity instruments	3	–		–	–
7 Other financial corporations	462	6	–	–	1
8 of which investment firms	6	–	–	–	–
9 Loans and advances	6	–	–	–	–
10 Debt securities, including UoP	–	–	–	–	–
11 Equity instruments	–	–		–	–
12 of which management companies	–	–	–	–	–
13 Loans and advances	–	–	–	–	–
14 Debt securities, including UoP	–	–	–	–	–
15 Equity instruments	–	–		–	–
16 of which insurance undertakings	1	1	–	–	–
17 Loans and advances	1	1	–	–	–
18 Debt securities, including UoP	–	–	–	–	–
19 Equity instruments	–	–		–	–
20 Non-financial undertakings	5,300	518	194	52	158
21 Loans and advances	5,191	500	194	52	141
22 Debt securities, including UoP	109	17	–	–	17
23 Equity instruments	–	–		–	–
24 Households	18,579	429	429	–	8
25 of which loans collateralised by residential immovable property	18,199	421	421	–	–
26 of which building renovation loans	186	8	8	–	8
27 of which motor vehicle loans	195	–	–	–	–
28 Local governments financing	1,682	–	–	–	–
29 Housing financing	546	–	–	–	–
30 Other local government financing	1,136	–	–	–	–
31 Collateral obtained by taking possession: residential and commercial immovable properties	–	–	–	–	–
32 Assets excluded from the numerator for GAR calculation (covered in the denominator)	–	–	–	–	–

Template 1.8 – Assets for the calculation of GAR – Turnover-based

		ab	ac	ad	ae	af
		Disclosure reference date T				
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
		of which towards taxonomy relevant sectors (taxonomy-eligible)				
		of which environmentally sustainable (taxonomy-aligned)				
				of which use of proceeds	of which transi- tional	of which enabling
€ million						
33	Financial and non-financial undertakings					
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations					
35	Loans and advances					
36	of which loans collateralised by commercial immovable property					
37	of which building renovation loans					
38	Debt securities, including UoP					
39	Equity instruments					
40	Non-EU country counterparties not subject to NFRD disclosure obligations					
41	Loans and advances					
42	Debt securities, including UoP					
43	Equity instruments					
44	Derivatives					
45	On demand interbank loans					
46	Cash and cash-related assets					
47	Other categories of assets (e.g. goodwill, commodities etc.)					
48	Total GAR assets	30,436	1,102	623	55	190
49	Assets not covered for GAR calculation					
50	Central governments and supranational issuers					
51	Central banks exposure					
52	Trading book					
53	Total assets	30,436	1,102	623	55	190
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations						
54	Financial guarantees	1,119	483	–	17	129
55	Assets under management	5,853	2,203	–	176	1,086
56	Of which debt securities	3,854	1,369	–	152	817
57	Of which equity instruments	1,281	406	–	24	270

Template 1.9 – Assets for the calculation of GAR – Turnover-based

	ag	ah	ai	aj	ak	al	am	an	ao	ap
	Disclosure reference date T-1									
	Total [gross] carrying amount	Climate change mitigation (CCM)					Climate change adaptation (CCA)			
		of which towards taxonomy relevant sectors (taxonomy-eligible)					of which towards taxonomy relevant sectors (taxonomy-eligible)			
		of which environmentally sustainable (taxonomy-aligned)					of which environmentally sustainable (taxonomy- aligned)			
		of which use of proceeds		of which transi- tional	of which enabling		of which use of proceeds		of which enabling	
€ million										
GAR - Covered assets in both numerator and denominator										
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	69,144	20,006	233	32	–	–	–	–	–	–
2 Financial undertakings	18,450	377	–	–	–	–	–	–	–	–
3 Credit institutions	18,278	377	–	–	–	–	–	–	–	–
4 Loans and advances	14,556	1								
5 Debt securities, including UoP	3,711	376								
6 Equity instruments	12									
7 Other financial corporations	172	–								
8 of which investment firms	17	–	–	–	–	–	–	–	–	–
9 Loans and advances										
10 Debt securities, including UoP										
11 Equity instruments	17									
12 of which management companies	–	–	–	–	–	–	–	–	–	–
13 Loans and advances										
14 Debt securities, including UoP										
15 Equity instruments										
16 of which insurance undertakings	82	–	–	–	–	–	–	–	–	–
17 Loans and advances	77	–								
18 Debt securities, including UoP	5									
19 Equity instruments										
20 Non-financial undertakings	5,467	669	233	32	–	–	–	–	–	–
21 Loans and advances	5,432	669	233	32			–	–		
22 Debt securities, including UoP	35									
23 Equity instruments										
24 Households	26,125	16,580								
25 of which loans collateralised by residential immovable property	19,385	16,138								
26 of which building renovation loans	334	334								
27 of which motor vehicle loans	108	108								
28 Local governments financing	19,101	2,380	–	–	–	–	–	–	–	–
29 Housing financing	1,512	1,064								
30 Other local government financing	17,589	1,316								
Collateral obtained by taking possession: residential and commercial immovable properties										
31										
Assets excluded from the numerator for GAR calculation (covered in the denominator)	131,609	–	–	–	–	–	–	–	–	–
32										

Template 1.10 – Assets for the calculation of GAR – Turnover-based

		ag	ah	ai	aj	ak	al	am	an	ao	ap
		Disclosure reference date T-1									
	Total [gross] carrying amount	Climate change mitigation (CCM) of which towards taxonomy relevant sectors (taxonomy-eligible)					Climate change adaptation (CCA) of which towards taxonomy relevant sectors (taxonomy-eligible)				
		of which environmentally sustainable (taxonomy-aligned)			of which environmentally sustainable (taxonomy-aligned)			of which environmentally sustainable (taxonomy-aligned)			
		of which use of proceeds	of which transi- tional	of which enabling	of which use of proceeds	of which transi- tional	of which enabling	of which use of proceeds	of which transi- tional	of which enabling	
€ million											
33	Financial and non-financial undertakings	127,467									
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations	114,841									
35	Loans and advances	111,931									
36	of which loans collateralised by commercial immovable property	33,426									
37	of which building renovation loans	5,370									
38	Debt securities, including UoP	2,602									
39	Equity instruments	307									
40	Non-EU country counterparties not subject to NFRD disclosure obligations	12,626									
41	Loans and advances	10,756									
42	Debt securities, including UoP	1,819									
43	Equity instruments	51									
44	Derivatives	168									
45	On demand interbank loans	2,338									
46	Cash and cash-related assets	34									
47	Other categories of assets (e.g. goodwill, commodities etc.)	1,601									
48	Total GAR assets	200,753	20,006	233	32	–	–	–	–	–	–
49	Assets not covered for GAR calculation	73,733									
50	Central governments and supranational issuers	15,795									
51	Central banks exposure	45,676									
52	Trading book	12,261									
53	Total assets	274,485	20,006	233	32	–	–	–	–	–	–
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations											
54	Financial guarantees	6,826									
55	Assets under management	109,024									
56	Of which debt securities	96,618									
57	Of which equity instruments	1,591									

Template 1.11 – Assets for the calculation of GAR – Turnover-based

	aq	ar	as	at	au	av	aw	ax
	Disclosure reference date T-1							
	Water and marine resources (WTR)				Circular economy (CE)			
	of which towards taxonomy relevant sectors (taxonomy-eligible)				of which towards taxonomy relevant sectors (taxonomy-eligible)			
	of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
	of which use of proceeds		of which enabling		of which use of proceeds		of which enabling	
€ million								
GAR - Covered assets in both numerator and denominator								
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	–				–			
2 Financial undertakings	–				–			
3 Credit institutions	–				–			
4 Loans and advances								
5 Debt securities, including UoP								
6 Equity instruments								
7 Other financial corporations								
8 of which investment firms	–				–			
9 Loans and advances								
10 Debt securities, including UoP								
11 Equity instruments								
12 of which management companies	–				–			
13 Loans and advances								
14 Debt securities, including UoP								
15 Equity instruments								
16 of which insurance undertakings	–				–			
17 Loans and advances								
18 Debt securities, including UoP								
19 Equity instruments								
20 Non-financial undertakings	–				–			
21 Loans and advances								
22 Debt securities, including UoP								
23 Equity instruments								
24 Households								
25 of which loans collateralised by residential immovable property								
26 of which building renovation loans								
27 of which motor vehicle loans								
28 Local governments financing	–				–			
29 Housing financing								
30 Other local government financing								
31 Collateral obtained by taking possession: residential and commercial immovable properties								
32 Assets excluded from the numerator for GAR calculation (covered in the denominator)	–				–			

Template 1.12 – Assets for the calculation of GAR – Turnover-based

		aq	ar	as	at	au	av	aw	ax
		Disclosure reference date T-1							
		Water and marine resources (WTR)				Circular economy (CE)			
		of which towards taxonomy relevant sectors (taxonomy-eligible)				of which towards taxonomy relevant sectors (taxonomy-eligible)			
		of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
				of which use of proceeds	of which enabling			of which use of proceeds	of which enabling
€ million									
33	Financial and Non-financial undertakings								
	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations								
34									
35	Loans and advances								
	of which loans collateralised by commercial immovable property								
36									
37	of which building renovation loans								
38	Debt securities, including UoP								
39	Equity instruments								
	Non-EU country counterparties not subject to NFRD disclosure obligations								
40									
41	Loans and advances								
42	Debt securities, including UoP								
43	Equity instruments								
44	Derivatives								
45	On demand interbank loans								
46	Cash and cash-related assets								
47	Other categories of assets (e.g. goodwill, commodities etc.)								
48	Total GAR assets	–				–			
49	Assets not covered for GAR calculation								
50	Central governments and supranational issuers								
51	Central banks exposure								
52	Trading book								
53	Total assets	–				–			
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations									
54	Financial guarantees								
55	Assets under management								
56	Of which debt securities								
57	Of which equity instruments								

Template 1.13 – Assets for the calculation of GAR – Turnover-based

	ay	az	ba	bb	bc	bd	be	bf
	Disclosure reference date T-1							
	Pollution (PPC)				Biodiversity and ecosystems (BIO)			
	of which towards taxonomy relevant sectors (taxonomy-eligible)				of which towards taxonomy relevant sectors (taxonomy-eligible)			
	of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
	of which use of proceeds		of which enabling		of which use of proceeds		of which enabling	
€ million								
GAR - Covered assets in both numerator and denominator								
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	–				–			
2 Financial undertakings	–				–			
3 Credit institutions	–				–			
4 Loans and advances								
5 Debt securities, including UoP								
6 Equity instruments								
7 Other financial corporations								
8 of which investment firms	–				–			
9 Loans and advances								
10 Debt securities, including UoP								
11 Equity instruments								
12 of which management companies	–				–			
13 Loans and advances								
14 Debt securities, including UoP								
15 Equity instruments								
16 of which insurance undertakings	–				–			
17 Loans and advances								
18 Debt securities, including UoP								
19 Equity instruments								
20 Non-financial undertakings	–				–			
21 Loans and advances								
22 Debt securities, including UoP								
23 Equity instruments								
24 Households								
25 of which loans collateralised by residential immovable property								
26 of which building renovation loans								
27 of which motor vehicle loans								
28 Local governments financing	–				–			
29 Housing financing								
30 Other local government financing								
31 Collateral obtained by taking possession: residential and commercial immovable properties								
32 Assets excluded from the numerator for GAR calculation (covered in the denominator)	–				–			

Template 1.14 – Assets for the calculation of GAR – Turnover-based

		ay	az	ba	bb	bc	bd	be	bf
		Disclosure reference date T-1							
		Pollution (PPC)				Biodiversity and ecosystems (BIO)			
		of which towards taxonomy relevant sectors (taxonomy-eligible)				of which towards taxonomy relevant sectors (taxonomy-eligible)			
		of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
				of which use of proceeds	of which enabling			of which use of proceeds	of which enabling
€ million									
33	Financial and Non-financial undertakings								
	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations								
34									
35	Loans and advances								
	of which loans collateralised by commercial immovable property								
36									
37	of which building renovation loans								
38	Debt securities, including UoP								
39	Equity instruments								
	Non-EU country counterparties not subject to NFRD disclosure obligations								
40									
41	Loans and advances								
42	Debt securities, including UoP								
43	Equity instruments								
44	Derivatives								
45	On demand interbank loans								
46	Cash and cash-related assets								
47	Other categories of assets (e.g. Goodwill, commodities etc.)								
48	Total GAR assets	–				–			
49	Assets not covered for GAR calculation								
50	Central governments and Supranational issuers								
51	Central banks exposure								
52	Trading book								
53	Total assets	–				–			
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations									
54	Financial guarantees								
55	Assets under management								
56	Of which debt securities								
57	Of which equity instruments								

Template 1.15 – Assets for the calculation of GAR – Turnover-based

	bg	bh	bi	bj	bk
	Disclosure reference date T-1				
	TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
	of which towards taxonomy relevant sectors (taxonomy-eligible)				
	of which environmentally sustainable (taxonomy-aligned)				
			of which use of proceeds	of which transitional	of which enabling
€ million					
GAR - Covered assets in both numerator and denominator					
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	20,006	233	32	–	–
2 Financial undertakings	377	–	–	–	–
3 Credit institutions	377	–	–	–	–
4 Loans and advances	1	–	–	–	–
5 Debt securities, including UoP	376	–	–	–	–
6 Equity instruments	–	–		–	–
7 Other financial corporations	–	–	–	–	–
8 of which investment firms	–	–	–	–	–
9 Loans and advances	–	–	–	–	–
10 Debt securities, including UoP	–	–	–	–	–
11 Equity instruments	–	–		–	–
12 of which management companies	–	–	–	–	–
13 Loans and advances	–	–	–	–	–
14 Debt securities, including UoP	–	–	–	–	–
15 Equity instruments	–	–		–	–
16 of which insurance undertakings	–	–	–	–	–
17 Loans and advances	–	–	–	–	–
18 Debt securities, including UoP	–	–	–	–	–
19 Equity instruments	–	–		–	–
20 Non-financial undertakings	669	233	32	–	–
21 Loans and advances	669	233	32	–	–
22 Debt securities, including UoP	–	–	–	–	–
23 Equity instruments	–	–		–	–
24 Households	16,580	–	–	–	–
25 of which loans collateralised by residential immovable property	16,138	–	–	–	–
26 of which building renovation loans	334	–	–	–	–
27 of which motor vehicle loans	108	–	–	–	–
28 Local governments financing	2,380	–	–	–	–
29 Housing financing	1,064	–	–	–	–
30 Other local government financing	1,316	–	–	–	–
31 Collateral obtained by taking possession: residential and commercial immovable properties	–	–	–	–	–
32 Assets excluded from the numerator for GAR calculation (covered in the denominator)	–	–	–	–	–

Template 1.16 – Assets for the calculation of GAR – Turnover-based

		bg	bh	bi	bj	bk
		Disclosure reference date T-1				
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
		of which towards taxonomy relevant sectors (taxonomy-eligible)				
		of which environmentally sustainable (taxonomy-aligned)				
				of which use of proceeds	of which transitional	of which enabling
€ million						
33	Financial and Non-financial undertakings					
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations					
35	Loans and advances					
36	of which loans collateralised by commercial immovable property					
37	of which building renovation loans					
38	Debt securities, including UoP					
39	Equity instruments					
40	Non-EU country counterparties not subject to NFRD disclosure obligations					
41	Loans and advances					
42	Debt securities, including UoP					
43	Equity instruments					
44	Derivatives					
45	On demand interbank loans					
46	Cash and cash-related assets					
47	Other categories of assets (e.g. Goodwill, commodities etc.)					
48	Total GAR assets	20,006	233	32	–	–
49	Assets not covered for GAR calculation					
50	Central governments and Supranational issuers					
51	Central banks exposure					
52	Trading book					
53	Total assets	20,006	233	32	–	–
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations						
54	Financial guarantees	–	–	–	–	–
55	Assets under management	–	–	–	–	–
56	Of which debt securities	–	–	–	–	–
57	Of which equity instruments	–	–	–	–	–

- 1 This template shall include information for loans and advances, debt securities and equity instruments in the banking book, towards financial corporates, non-financial corporates (NFC), including SMEs, households (including residential real estate, house renovation loans and motor vehicle loans only) and local governments/municipalities (house financing).
- 2 The following accounting categories of financial assets should be considered: Financial assets at amortised cost, financial asset at fair value through other comprehensive income, investments in subsidiaries, joint ventures and associates, financial assets designated at fair value through profit or loss and non-trading financial assets mandatorily at fair value through profit or loss, and real estate collateralised by credit institutions by taking possession in exchange of cancellation of debts.
- 3 Banks with non-EU subsidiary should provide this information separately for exposures towards non-EU counterparties. For non-EU exposures, while there are additional challenges in terms of absence of common disclosure requirements and methodology, as the EU taxonomy and the NFRD apply only at EU level, given the relevance of these exposures for those credit institutions with non-EU subsidiaries, these institutions should disclose a separate GAR for non-EU exposures, on a best effort basis, in the form of estimates and ranges, using proxies, and explaining the assumptions, caveats and limitations.
- 4 For motor vehicle loans, institutions shall only include those exposures generated after the date of application of the disclosure.

Template 1.1 – Assets for the calculation of GAR – CapEx-based

	a	b	c	d	e	f	g	h	i	j
	Disclosure reference date T									
	Total [gross] carrying amount	Climate change mitigation (CCM) of which towards taxonomy relevant sectors (taxonomy-eligible)					Climate change adaptation (CCA) of which towards taxonomy relevant sectors (taxonomy-eligible)			
		of which environmentally sustainable (taxonomy-aligned)			of which environmentally sustainable (taxonomy-aligned)					
		of which use of proceeds	of which transi- tional	of which enabling					of which use of proceeds	of which enabling
€ million										
GAR - Covered assets in both numerator and denominator										
1 Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	61,583	30,881	1,455	623	125	342	9	–	–	–
2 Financial undertakings	19,013	4,790	119	–	3	37	–	–	–	–
3 Credit institutions	18,161	4,348	111	–	3	36	–	–	–	–
4 Loans and advances	13,652	2,752	62	–	–	34	–	–	–	–
5 Debt securities, including UoP	4,494	1,592	49	–	3	2	–	–	–	–
6 Equity instruments	15	3	–	–	–	–	–	–	–	–
7 Other financial corporations	852	442	7	–	–	1	–	–	–	–
8 of which investment firms	116	3	–	–	–	–	–	–	–	–
9 Loans and advances	94	3	–	–	–	–	–	–	–	–
10 Debt securities, including UoP	–	–	–	–	–	–	–	–	–	–
11 Equity instruments	22	–	–	–	–	–	–	–	–	–
12 of which management companies	–	–	–	–	–	–	–	–	–	–
13 Loans and advances	–	–	–	–	–	–	–	–	–	–
14 Debt securities, including UoP	–	–	–	–	–	–	–	–	–	–
15 Equity instruments	–	–	–	–	–	–	–	–	–	–
16 of which insurance undertakings	44	1	1	–	–	–	–	–	–	–
17 Loans and advances	44	1	1	–	–	–	–	–	–	–
18 Debt securities, including UoP	–	–	–	–	–	–	–	–	–	–
19 Equity instruments	–	–	–	–	–	–	–	–	–	–
20 Non-financial undertakings	10,088	5,830	907	194	121	297	8	–	–	–
21 Loans and advances	9,936	5,740	893	194	120	290	8	–	–	–
22 Debt securities, including UoP	151	90	15	–	1	7	–	–	–	–
23 Equity instruments	–	–	–	–	–	–	–	–	–	–
24 Households	29,579	18,579	429	429		8				
25 of which loans collateralised by residential immovable property	21,626	18,199	421	421						
26 of which building renovation loans	186	186	8	8		8				
27 of which motor vehicle loans	195	195	–	–		–				
28 Local governments financing	2,902	1,682	–	–	–	–	–	–	–	–
29 Housing financing	564	546	–	–	–	–	–	–	–	–
30 Other local government financing	2,338	1,136	–	–	–	–	–	–	–	–
31 Collateral obtained by taking possession: residential and commercial immovable properties										
Assets excluded from the numerator for GAR calculation (covered in the denominator)	145,292	–	–	–	–	–	–	–	–	–

Template 1.2 – Assets for the calculation of GAR – CapEx-based

		a	b	c	d	e	f	g	h	i	j
		Disclosure reference date T									
	Total [gross] carrying amount	Climate change mitigation (CCM) of which towards taxonomy relevant sectors (taxonomy-eligible)					Climate change adaptation (CCA) of which towards taxonomy relevant sectors (taxonomy-eligible)				
		of which environmentally sustainable (taxonomy-aligned)			of which environmentally sustainable (taxonomy-aligned)			of which environmentally sustainable (taxonomy-aligned)			
		of which use of proceeds	of which transitional	of which enabling	of which use of proceeds	of which transitional	of which enabling	of which use of proceeds	of which transitional	of which enabling	
€ million											
33	Financial and Non-financial undertakings	140,886									
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations	129,136									
35	Loans and advances	126,444									
36	of which loans collateralised by commercial immovable property	32,399									
37	of which building renovation loans	5,349									
38	Debt securities	2,206									
39	Equity instruments	486									
40	Non-EU country counterparties not subject to NFRD disclosure obligations	11,750									
41	Loans and advances	10,430									
42	Debt securities	1,265									
43	Equity instruments	54									
44	Derivatives	131									
45	On demand interbank loans	1,769									
46	Cash and cash-related assets	48									
47	Other categories of assets (e.g. Goodwill, commodities etc.)	2,458									
48	Total GAR assets	206,875	30,881	1,455	623	125	342	9	–	–	–
49	Assets not covered for GAR calculation	62,223									
50	Central governments and Supranational issuers	18,080									
51	Central banks exposure	30,762									
52	Trading book	13,381									
53	Total assets	269,098	30,881	1,455	623	125	342	9	–	–	–
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations											
54	Financial guarantees	7,926	907	399		4	96	141	121		20
55	Assets under management	89,123	5,498	2,684		203	1,496	330	140		42
56	Of which debt securities	39,764	4,053	2,056		161	1,148	217	111		36
57	Of which equity instruments	22,269	1,445	628		43	348	113	28		5

Template 1.3 – Assets for the calculation of GAR – CapEx-based

	k	l	m	n	o	p	q	r
	Disclosure reference date T							
	Water and marine resources (WTR)				Circular economy (CE)			
	of which towards taxonomy relevant sectors (taxonomy-eligible)				of which towards taxonomy relevant sectors (taxonomy-eligible)			
	of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
	of which use of proceeds		of which enabling		of which use of proceeds		of which enabling	
€ million								
GAR - Covered assets in both numerator and denominator								
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	13				56			
2 Financial undertakings	–				–			
3 Credit institutions	–				–			
4 Loans and advances								
5 Debt securities, including UoP								
6 Equity instruments								
7 Other financial corporations								
8 of which investment firms	–				–			
9 Loans and advances								
10 Debt securities, including UoP								
11 Equity instruments								
12 of which management companies	–				–			
13 Loans and advances								
14 Debt securities, including UoP								
15 Equity instruments								
16 of which insurance undertakings	–				–			
17 Loans and advances								
18 Debt securities, including UoP								
19 Equity instruments								
20 Non-financial undertakings	13				56			
21 Loans and advances	13				33			
22 Debt securities, including UoP					23			
23 Equity instruments								
24 Households								
25 of which loans collateralised by residential immovable property								
26 of which building renovation loans								
27 of which motor vehicle loans								
28 Local governments financing	–				–			
29 Housing financing								
30 Other local government financing								
31 Collateral obtained by taking possession: residential and commercial immovable properties								
32 Assets excluded from the numerator for GAR calculation (covered in the denominator)	–				–			

Template 1.4 – Assets for the calculation of GAR – CapEx-based

		k	l	m	n	o	p	q	r
		Disclosure reference date T							
		Water and marine resources (WTR)				Circular economy (CE)			
		of which towards taxonomy relevant sectors (taxonomy-eligible)				of which towards taxonomy relevant sectors (taxonomy-eligible)			
		of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
			of which use of proceeds	of which enabling			of which use of proceeds	of which enabling	
€ million									
33	Financial and Non-financial undertakings								
	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations								
34									
35	Loans and advances								
	of which loans collateralised by commercial immovable property								
36									
37	of which building renovation loans								
38	Debt securities, including UoP								
39	Equity instruments								
	Non-EU country counterparties not subject to NFRD disclosure obligations								
40									
41	Loans and advances								
42	Debt securities, including UoP								
43	Equity instruments								
44	Derivatives								
45	On demand interbank loans								
46	Cash and cash-related assets								
47	Other categories of assets (e.g. Goodwill, commodities etc.)								
48	Total GAR assets	13				56			
49	Assets not covered for GAR calculation								
50	Central governments and Supranational issuers								
51	Central banks exposure								
52	Trading book								
53	Total assets	13				56			
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations									
54	Financial guarantees					7			
55	Assets under management	74				209			
56	Of which debt securities	69				100			
57	Of which equity instruments	6				109			

Template 1.5 – Assets for the calculation of GAR – CapEx-based

	s	t	u	v	w	x	z	aa
	Disclosure reference date T							
	Pollution (PPC)				Biodiversity and ecosystems (BIO)			
	of which towards taxonomy relevant sectors (taxonomy-eligible)				of which towards taxonomy relevant sectors (taxonomy-eligible)			
	of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
	of which use of proceeds		of which enabling		of which use of proceeds		of which enabling	
€ million								
GAR - Covered assets in both numerator and denominator								
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	26				–			
2 Financial undertakings	–				–			
3 Credit institutions	–				–			
4 Loans and advances								
5 Debt securities, including UoP								
6 Equity instruments								
7 Other financial corporations								
8 of which investment firms	–				–			
9 Loans and advances								
10 Debt securities, including UoP								
11 Equity instruments								
12 of which management companies	–				–			
13 Loans and advances								
14 Debt securities, including UoP								
15 Equity instruments								
16 of which insurance undertakings	–				–			
17 Loans and advances								
18 Debt securities, including UoP								
19 Equity instruments								
20 Non-financial undertakings	26				–			
21 Loans and advances	26							
22 Debt securities, including UoP								
23 Equity instruments								
24 Households								
25 of which loans collateralised by residential immovable property								
26 of which building renovation loans								
27 of which motor vehicle loans								
28 Local governments financing	–				–			
29 Housing financing								
30 Other local government financing								
31 Collateral obtained by taking possession: residential and commercial immovable properties								
Assets excluded from the numerator for GAR calculation (covered in the denominator)	–				–			

Template 1.6 – Assets for the calculation of GAR – CapEx-based

	s	t	u	v	w	x	z	aa
	Disclosure reference date T							
	Pollution (PPC)				Biodiversity and ecosystems (BIO)			
	of which towards taxonomy relevant sectors (taxonomy-eligible)				of which towards taxonomy relevant sectors (taxonomy-eligible)			
	of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
			of which use of proceeds	of which enabling			of which use of proceeds	of which enabling
€ million								
33 Financial and Non-financial undertakings								
34 SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations								
35 Loans and advances								
36 of which loans collateralised by commercial immovable property								
37 of which building renovation loans								
38 Debt securities, including UoP								
39 Equity instruments								
40 Non-EU country counterparties not subject to NFRD disclosure obligations								
41 Loans and advances								
42 Debt securities, including UoP								
43 Equity instruments								
44 Derivatives								
45 On demand interbank loans								
46 Cash and cash-related assets								
47 Other categories of assets (e.g. Goodwill, commodities etc.)								
48 Total GAR assets	26				–			
49 Assets not covered for GAR calculation								
50 Central governments and Supranational issuers								
51 Central banks exposure								
52 Trading book								
53 Total assets	26				–			
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations								
54 Financial guarantees	–							
55 Assets under management	175				16			
56 Of which debt securities	71				10			
57 Of which equity instruments	104				6			

Template 1.7 – Assets for the calculation of GAR – CapEx-based

	ab	ac	ad	ae	af
	Disclosure reference date T				
	TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
	of which towards taxonomy relevant sectors (taxonomy-eligible)				
	of which environmentally sustainable (taxonomy-aligned)				
			of which use of proceeds	of which transi- tional	of which enabling
€ million					
GAR - Covered assets in both numerator and denominator					
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	30,984	1,455	623	125	342
2 Financial undertakings	4,790	119	–	3	37
3 Credit institutions	4,348	112	–	3	36
4 Loans and advances	2,752	62	–	–	34
5 Debt securities, including UoP	1,592	49	–	3	2
6 Equity instruments	3	–		–	–
7 Other financial corporations	442	7	–	–	1
8 of which investment firms	3	–	–	–	–
9 Loans and advances	3	–	–	–	–
10 Debt securities, including UoP	–	–	–	–	–
11 Equity instruments	–	–		–	–
12 of which management companies	–	–	–	–	–
13 Loans and advances	–	–	–	–	–
14 Debt securities, including UoP	–	–	–	–	–
15 Equity instruments	–	–		–	–
16 of which insurance undertakings	1	1	–	–	–
17 Loans and advances	1	1	–	–	–
18 Debt securities, including UoP	–	–	–	–	–
19 Equity instruments	–	–		–	–
20 Non-financial undertakings	5,932	908	194	121	297
21 Loans and advances	5,820	893	194	120	290
22 Debt securities, including UoP	113	15	–	1	7
23 Equity instruments	–	–		–	–
24 Households	18,579	429	429	–	8
25 of which loans collateralised by residential immovable property	18,199	421	421	–	–
26 of which building renovation loans	186	8	8	–	8
27 of which motor vehicle loans	195	–	–	–	–
28 Local governments financing	1,682	–	–	–	–
29 Housing financing	546	–	–	–	–
30 Other local government financing	1,136	–	–	–	–
31 Collateral obtained by taking possession: residential and commercial immovable properties	–	–	–	–	–
32 Assets excluded from the numerator for GAR calculation (covered in the denominator)	–	–	–	–	–

Template 1.8 – Assets for the calculation of GAR – CapEx-based

		ab	ac	ad	ae	af
		Disclosure reference date T				
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
		of which towards taxonomy relevant sectors (taxonomy-eligible)				
		of which environmentally sustainable (taxonomy-aligned)				
				of which use of proceeds	of which transi- tional	of which enabling
€ million						
33	Financial and Non-financial undertakings					
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations					
35	Loans and advances					
36	of which loans collateralised by commercial immovable property					
37	of which building renovation loans					
38	Debt securities, including UoP					
39	Equity instruments					
40	Non-EU country counterparties not subject to NFRD disclosure obligations					
41	Loans and advances					
42	Debt securities, including UoP					
43	Equity instruments					
44	Derivatives					
45	On demand interbank loans					
46	Cash and cash-related assets					
47	Other categories of assets (e.g. Goodwill, commodities etc.)					
48	Total GAR assets	30,984	1,455	623	125	342
49	Assets not covered for GAR calculation					
50	Central governments and Supranational issuers					
51	Central banks exposure					
52	Trading book					
53	Total assets	30,984	1,455	623	125	342
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations						
54	Financial guarantees	1,055	519	–	4	116
55	Assets under management	6,302	2,823	–	203	1,538
56	Of which debt securities	4,520	2,167	–	161	1,185
57	Of which equity instruments	1,782	656	–	43	353

Template 1.9 – Assets for the calculation of GAR – CapEx-based

	ag	ah	ai	aj	ak	al	am	an	ao	ap	
	Disclosure reference date T-1										
	Total [gross] carrying amount	Climate change mitigation (CCM)					Climate change adaptation (CCA)				
		of which towards taxonomy relevant sectors (taxonomy-eligible)					of which towards taxonomy relevant sectors (taxonomy-eligible)				
		of which environmentally sustainable (taxonomy-aligned)					of which environmentally sustainable (taxonomy- aligned)				
					of which use of proceeds	of which transi- tional	of which enabling			of which use of proceeds	of which enabling
€ million											
GAR - Covered assets in both numerator and denominator											
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	69,144	20,438	647	32	–	–	–	–	–	–
2	Financial undertakings	18,450	377	–	–	–	–	–	–	–	–
3	Credit institutions	18,278	377	–	–	–	–	–	–	–	–
4	Loans and advances	14,556	1								
5	Debt securities, including UoP	3,711	376								
6	Equity instruments	12									
7	Other financial corporations	172									
8	of which investment firms	17	–	–	–	–	–	–	–	–	–
9	Loans and advances										
10	Debt securities, including UoP										
11	Equity instruments	17									
12	of which management companies	–	–	–	–	–	–	–	–	–	–
13	Loans and advances										
14	Debt securities, including UoP										
15	Equity instruments										
16	of which insurance undertakings	82	–	–	–	–	–	–	–	–	–
17	Loans and advances	77									
18	Debt securities, including UoP	5									
19	Equity instruments										
20	Non-financial undertakings	5,467	1,101	647	32	–	–	–	–	–	–
21	Loans and advances	5,432	1,101	647	32			–	–		
22	Debt securities, including UoP	35									
23	Equity instruments										
24	Households	26,125	16,580								
25	of which loans collateralised by residential immovable property	19,385	16,138								
26	of which building renovation loans	334	334								
27	of which motor vehicle loans	108	108								
28	Local governments financing	19,101	2,380	–	–	–	–	–	–	–	–
29	Housing financing	1,512	1,064								
30	Other local government financing	17,589	1,316								
31	Collateral obtained by taking possession: residential and commercial immovable properties										
32	Assets excluded from the numerator for GAR calculation (covered in the denominator)	131,609	–	–	–	–	–	–	–	–	–

Template 1.10 – Assets for the calculation of GAR – CapEx-based

		ag	ah	ai	aj	ak	al	am	an	ao	ap
		Disclosure reference date T-1									
	Total [gross] carrying amount	Climate change mitigation (CCM) of which towards taxonomy relevant sectors (taxonomy-eligible)					Climate change adaptation (CCA) of which towards taxonomy relevant sectors (taxonomy-eligible)				
		of which environmentally sustainable (taxonomy-aligned)			of which environmentally sustainable (taxonomy-aligned)			of which environmentally sustainable (taxonomy-aligned)			
		of which use of proceeds	of which transi- tional	of which enabling	of which use of proceeds	of which transi- tional	of which enabling	of which use of proceeds	of which transi- tional	of which enabling	
€ million											
33	Financial and Non-financial undertakings	127,467									
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations	114,841									
35	Loans and advances	111,931									
36	of which loans collateralised by commercial immovable property	33,426									
37	of which building renovation loans	5,370									
38	Debt securities, including UoP	2,602									
39	Equity instruments	307									
40	Non-EU country counterparties not subject to NFRD disclosure obligations	12,626									
41	Loans and advances	10,756									
42	Debt securities, including UoP	1,819									
43	Equity instruments	51									
44	Derivatives	168									
45	On demand interbank loans	2,338									
46	Cash and cash-related assets	34									
47	Other categories of assets (e.g. Goodwill, commodities etc.)	1,601									
48	Total GAR assets	200,753	20,438	647	32	–	–	–	–	–	–
49	Assets not covered for GAR calculation	73,733									
50	Central governments and Supranational issuers	15,795									
51	Central banks exposure	45,676									
52	Trading book	12,261									
53	Total assets	274,485	20,438	647	32	–	–	–	–	–	–
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations											
54	Financial guarantees	6,826									
55	Assets under management	109,024									
56	Of which debt securities	96,618									
57	Of which equity instruments	1,591									

Template 1.11 – Assets for the calculation of GAR – CapEx-based

	aq	ar	as	at	au	av	aw	ax
	Disclosure reference date T-1							
	Water and marine resources (WTR)				Circular economy (CE)			
	of which towards taxonomy relevant sectors (taxonomy-eligible)				of which towards taxonomy relevant sectors (taxonomy-eligible)			
	of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
	of which use of proceeds		of which enabling		of which use of proceeds		of which enabling	
€ million								
GAR - Covered assets in both numerator and denominator								
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	–				–			
2 Financial undertakings	–				–			
3 Credit institutions	–				–			
4 Loans and advances								
5 Debt securities, including UoP								
6 Equity instruments								
7 Other financial corporations								
8 of which investment firms	–				–			
9 Loans and advances								
10 Debt securities, including UoP								
11 Equity instruments								
12 of which management companies	–				–			
13 Loans and advances								
14 Debt securities, including UoP								
15 Equity instruments								
16 of which insurance undertakings	–				–			
17 Loans and advances								
18 Debt securities, including UoP								
19 Equity instruments								
20 Non-financial undertakings	–				–			
21 Loans and advances								
22 Debt securities, including UoP								
23 Equity instruments								
24 Households								
25 of which loans collateralised by residential immovable property								
26 of which building renovation loans								
27 of which motor vehicle loans								
28 Local governments financing	–				–			
29 Housing financing								
30 Other local government financing								
31 Collateral obtained by taking possession: residential and commercial immovable properties								
32 Assets excluded from the numerator for GAR calculation (covered in the denominator)	–				–			

Template 1.12 – Assets for the calculation of GAR – CapEx-based

		aq	ar	as	at	au	av	aw	ax
		Disclosure reference date T-1							
		Water and marine resources (WTR)				Circular economy (CE)			
		of which towards taxonomy relevant sectors (taxonomy-eligible)				of which towards taxonomy relevant sectors (taxonomy-eligible)			
		of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
				of which use of proceeds	of which enabling			of which use of proceeds	of which enabling
€ million									
33	Financial and Non-financial undertakings								
	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations								
34									
35	Loans and advances								
	of which loans collateralised by commercial immovable property								
36									
37	of which building renovation loans								
38	Debt securities, including UoP								
39	Equity instruments								
	Non-EU country counterparties not subject to NFRD disclosure obligations								
40									
41	Loans and advances								
42	Debt securities, including UoP								
43	Equity instruments								
44	Derivatives								
45	On demand interbank loans								
46	Cash and cash-related assets								
47	Other categories of assets (e.g. Goodwill, commodities etc.)								
48	Total GAR assets	–				–			
49	Assets not covered for GAR calculation								
50	Central governments and Supranational issuers								
51	Central banks exposure								
52	Trading book								
53	Total assets	–				–			
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations									
54	Financial guarantees								
55	Assets under management								
56	Of which debt securities								
57	Of which equity instruments								

Template 1.13 – Assets for the calculation of GAR – CapEx-based

	ay	az	ba	bb	bc	bd	be	bf
	Disclosure reference date T-1							
	Pollution (PPC)				Biodiversity and ecosystems (BIO)			
	of which towards taxonomy relevant sectors (taxonomy-eligible)				of which towards taxonomy relevant sectors (taxonomy-eligible)			
	of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
	of which use of proceeds		of which enabling		of which use of proceeds		of which enabling	
€ million								
GAR - Covered assets in both numerator and denominator								
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	–				–			
2 Financial undertakings	–				–			
3 Credit institutions	–				–			
4 Loans and advances								
5 Debt securities, including UoP								
6 Equity instruments								
7 Other financial corporations								
8 of which investment firms	–				–			
9 Loans and advances								
10 Debt securities, including UoP								
11 Equity instruments								
12 of which management companies	–				–			
13 Loans and advances								
14 Debt securities, including UoP								
15 Equity instruments								
16 of which insurance undertakings	–				–			
17 Loans and advances								
18 Debt securities, including UoP								
19 Equity instruments								
20 Non-financial undertakings	–				–			
21 Loans and advances								
22 Debt securities, including UoP								
23 Equity instruments								
24 Households								
25 of which loans collateralised by residential immovable property								
26 of which building renovation loans								
27 of which motor vehicle loans								
28 Local governments financing	–				–			
29 Housing financing								
30 Other local government financing								
31 Collateral obtained by taking possession: residential and commercial immovable properties								
32 Assets excluded from the numerator for GAR calculation (covered in the denominator)	–				–			

Template 1.14 – Assets for the calculation of GAR – CapEx-based

		ay	az	ba	bb	bc	bd	be	bf
		Disclosure reference date T-1							
		Pollution (PPC)				Biodiversity and ecosystems (BIO)			
		of which towards taxonomy relevant sectors (taxonomy-eligible)				of which towards taxonomy relevant sectors (taxonomy-eligible)			
		of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
				of which use of proceeds	of which enabling			of which use of proceeds	of which enabling
€ million									
33	Financial and Non-financial undertakings								
	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations								
34									
35	Loans and advances								
	of which loans collateralised by commercial immovable property								
36									
37	of which building renovation loans								
38	Debt securities, including UoP								
39	Equity instruments								
	Non-EU country counterparties not subject to NFRD disclosure obligations								
40									
41	Loans and advances								
42	Debt securities, including UoP								
43	Equity instruments								
44	Derivatives								
45	On demand interbank loans								
46	Cash and cash-related assets								
47	Other categories of assets (e.g. Goodwill, commodities etc.)								
48	Total GAR assets	–				–			
49	Assets not covered for GAR calculation								
50	Central governments and Supranational issuers								
51	Central banks exposure								
52	Trading book								
53	Total assets	–				–			
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations									
54	Financial guarantees								
55	Assets under management								
56	Of which debt securities								
57	Of which equity instruments								

Template 1.15 – Assets for the calculation of GAR – CapEx-based

	bg	bh	bi	bj	Bk
	Disclosure reference date T-1				
	TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
	of which towards taxonomy relevant sectors (taxonomy-eligible)				
	of which environmentally sustainable (taxonomy-aligned)				
			of which use of proceeds	of which transitional	of which enabling
€ million					
GAR - Covered assets in both numerator and denominator					
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	648	648	32	–	–
2 Financial undertakings	–	–	–	–	–
3 Credit institutions	–	–	–	–	–
4 Loans and advances	–	–	–	–	–
5 Debt securities, including UoP	–	–	–	–	–
6 Equity instruments	–	–		–	–
7 Other financial corporations	–	–	–	–	–
8 of which investment firms	–	–	–	–	–
9 Loans and advances	–	–	–	–	–
10 Debt securities, including UoP	–	–	–	–	–
11 Equity instruments	–	–		–	–
12 of which management companies	–	–	–	–	–
13 Loans and advances	–	–	–	–	–
14 Debt securities, including UoP	–	–	–	–	–
15 Equity instruments	–	–		–	–
16 of which insurance undertakings	–	–	–	–	–
17 Loans and advances	–	–	–	–	–
18 Debt securities, including UoP	–	–	–	–	–
19 Equity instruments	–	–		–	–
20 Non-financial undertakings	648	648	32	–	–
21 Loans and advances	648	648	32	–	–
22 Debt securities, including UoP	–	–	–	–	–
23 Equity instruments	–	–		–	–
24 Households	–	–	–	–	–
25 of which loans collateralised by residential immovable property	–	–	–	–	–
26 of which building renovation loans	–	–	–	–	–
27 of which motor vehicle loans	–	–	–	–	–
28 Local governments financing	–	–	–	–	–
29 Housing financing	–	–	–	–	–
30 Other local government financing	–	–	–	–	–
31 Collateral obtained by taking possession: residential and commercial immovable properties	–	–	–	–	–
32 Assets excluded from the numerator for GAR calculation (covered in the denominator)	–	–	–	–	–

Template 1.16 – Assets for the calculation of GAR – CapEx-based

		bg	bh	bi	bj	bk
		Disclosure reference date T-1				
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
		of which towards taxonomy relevant sectors (taxonomy-eligible)				
		of which environmentally sustainable (taxonomy-aligned)				
				of which use of proceeds	of which transitional	of which enabling
€ million						
33	Financial and Non-financial undertakings					
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations					
35	Loans and advances					
36	of which loans collateralised by commercial immovable property					
37	of which building renovation loans					
38	Debt securities, including UoP					
39	Equity instruments					
40	Non-EU country counterparties not subject to NFRD disclosure obligations					
41	Loans and advances					
42	Debt securities, including UoP					
43	Equity instruments					
44	Derivatives					
45	On demand interbank loans					
46	Cash and cash-related assets					
47	Other categories of assets (e.g. Goodwill, commodities etc.)					
48	Total GAR assets	648	648	32	–	–
49	Assets not covered for GAR calculation					
50	Central governments and Supranational issuers					
51	Central banks exposure					
52	Trading book					
53	Total assets	20,438	648	32	–	–
Off-balance sheet exposures – Corporates subject to NFRD disclosure obligations						
54	Financial guarantees	–	–	–	–	–
55	Assets under management	–	–	–	–	–
56	Of which debt securities	–	–	–	–	–
57	Of which equity instruments	–	–	–	–	–

- 1 This template shall include information for loans and advances, debt securities and equity instruments in the banking book, towards financial corporates, non-financial corporates (NFC), including SMEs, households (including residential real estate, house renovation loans and motor vehicle loans only) and local governments/municipalities (house financing).
- 2 The following accounting categories of financial assets should be considered: Financial assets at amortised cost, financial asset at fair value through other comprehensive income, investments in subsidiaries, joint ventures and associates, financial assets designated at fair value through profit or loss and non-trading financial assets mandatorily at fair value through profit or loss, and real estate collateralised by credit institutions by taking possession in exchange of cancellation of debts.
- 3 Banks with non-EU subsidiary should provide this information separately for exposures towards non-EU counterparties. For non-EU exposures, while there are additional challenges in terms of absence of common disclosure requirements and methodology, as the EU taxonomy and the NFRD apply only at EU level, given the relevance of these exposures for those credit institutions with non-EU subsidiaries, these institutions should disclose a separate GAR for non-EU exposures, on a best effort basis, in the form of estimates and ranges, using proxies, and explaining the assumptions, caveats and limitations.
- 4 For motor vehicle loans, institutions shall only include those exposures generated after the date of application of the disclosure.

Template 2.1 – GAR sector information – Turnover-based

	Breakdown by sector - NACE 4 digits level (code and label)	a	b	c	d	e	f	g	h
		Climate change mitigation (CCM)				Climate change adaptation (CCA)			
		Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)		Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)	
		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
		€ million	of which environ- mentally sustainable (CCA)	€ million	of which environ- mentally sustainable (CCA)	€ million	of which environ- mentally sustainable (CCA)	€ million	of which environ- mentally sustainable (CCA)
1	B - Mining and Quarrying	14	2						
	B.06 - Extraction of crude petroleum and natural gas								
2	B.06.2 - Extraction of natural gas	14	2						
3	B.06.20 - Extraction of natural gas	14	2						
4	C - Manufacturing	325	144			–			
5	C.10 - Manufacture of food products	–	–						
6	C.10.8 - Manufacture of other food products	–	–						
7	C.10.81 - Manufacture of sugar	–	–						
8	C.20 - Manufacture of chemicals and chemical products	72	1						
9	C.20.5 - Manufacture of other chemical products	72	1						
10	C.20.59 - Manufacture of other chemical products n.e.c.	72	1						
11	C.23 - Manufacture of other non-metallic mineral products	39	30						
12	C.23.3 - Manufacture of clay building materials	31	30						
13	C.23.32 - Manufacture of bricks, tiles and construction products, in baked clay	31	30						
14	C.23.5 - Manufacture of cement, lime and plaster	8	–						
15	C.23.51 - Manufacture of cement	8	–						
16	C.24 - Manufacture of basic metals	46	46						
17	C.24.4 - Manufacture of basic precious and other non-ferrous metals	46	46						
18	C.24.42 - Aluminium production	46	46						
19	C.24.45 - Other non-ferrous metal production	–	–						
20	C.26 - Manufacture of computer, electronic and optical products								
21	C.26.7 - Manufacture of optical instruments and photographic equipment								
22	C.26.70 Manufacture of optical instruments and photographic equipment								
23	C.27 - Manufacture of electrical equipment	39	18						
24	C.27.1 - Manufacture of electric motors, generators, transformers and electricity distribution and control apparatus								
25	C.27.12 - Manufacture of electricity distribution and control apparatus								
26	C.27.9 - Manufacture of other electrical equipment	39	18						
27	C.27.90 - Manufacture of other electrical equipment	39	18						
28	C.28 - Manufacture of machinery and equipment n.e.c.	9	4						
29	C.28.9 - Manufacture of other special-purpose machinery	9	4						
30	C.28.95 - Manufacture of machinery for paper and paperboard production	4	3						
31	C.28.99 - Manufacture of other special-purpose machinery n.e.c.	5	1						
32	C.29 - Manufacture of motor vehicles, trailers and semi-trailers	79	26			–			
33	C.29.1 - Manufacture of motor vehicles	49	6			–			
34	C.29.10 - Manufacture of motor vehicles	49	6			–			
35									

	Breakdown by sector - NACE 4 digits level (code and label)	a	b	c	d	e	f	g	h
		Climate change mitigation (CCM)		Climate change adaptation (CCA)		Climate change adaptation (CCA)		Climate change adaptation (CCA)	
		Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)		Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)	
		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
		of which environ- mentally sustainable (CCA)		of which environ- mentally sustainable (CCA)		of which environ- mentally sustainable (CCA)		of which environ- mentally sustainable (CCA)	
		€ million	€ million	€ million	€ million	€ million	€ million	€ million	€ million
36	C.29.3 - Manufacture of parts and accessories for motor vehicles	30	19						
37	C.29.32 - Manufacture of other parts and accessories for motor vehicles	30	19						
38	C.30 - Manufacture of other transport equipment	41	19						
39	C.30.2 - Manufacture of railway locomotives and rolling stock	19	19						
40	C.30.20 - Manufacture of railway locomotives and rolling stock	19	19						
41	C.30.3 - Manufacture of air and spacecraft and related machinery	22							
42	C.30.30 - Manufacture of air and spacecraft and related machinery	22							
43	C.32 - Other manufacturing								
44	C.32.5 - Manufacture of medical and dental instruments and supplies								
45	C.32.50 - Manufacture of medical and dental instruments and supplies								
46	D - Electricity, Gas, Steam and Air Conditioning supply	937	90			–	–		
47	D. 35 - Electricity, gas, steam and air conditioning supply	937	90			–	–		
48	D.35.1 - Electric power generation, transmission and distribution	927	81			–	–		
49	D.35.11 - Production of electricity	867	49						
50	D.35.12 - Transmission of electricity	–	–						
51	D.35.13 - Distribution of electricity	58	30			–	–		
52	D.35.14 - Trade of electricity	2	2						
53	D.35.2 - Manufacture of gas; distribution of gaseous fuels through mains	9	8			–	–		
54	D.35.21 - Manufacture of gas	–	–						
55	D.35.22 - Distribution of gaseous fuels through mains	1	1			–	–		
56	D.35.23 - Trade of gas through mains	7	7						
57	D.35.3 - Steam and air conditioning supply	1	1						
58	D.35.30 - Steam and air conditioning supply	1	1						
59	F- Construction	31	13			1			
60	F.41 - Construction of buildings	30	13			1			
61	F.41.1 - Development of building projects	15							
62	F.41.10 - Development of building projects	15							
63	F.41.2 - Construction of residential and non- residential buildings	15	13			1			
64	F.41.20 - Construction of residential and non- residential buildings	15	13			1			
65	F.42 - Civil engineering	1				–			
66	F.42.9 - Construction of other civil engineering projects	1				–			
67	F.42.99 - Construction of other civil engineering projects n.e.c.	1				–			
68	G - Wholesale and retail trade; repair of motor vehicles and motorcycles	7							
69	G.46 - Wholesale trade, except of motor vehicles and motorcycles	7							
70	G.46.4 - Wholesale of household goods	7							
71	G.46.49 - Wholesale of other household goods	7							

Breakdown by sector - NACE 4 digits level (code and label)	a	b	c	d	e	f	g	h
	Climate change mitigation (CCM)				Climate change adaptation (CCA)			
	Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)		Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)	
	[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
	of which environ- mentally sustainable (CCA)		of which environ- mentally sustainable (CCA)		of which environ- mentally sustainable (CCA)		of which environ- mentally sustainable (CCA)	
	€ million		€ million		€ million		€ million	
72 G.46.5 - Wholesale of information and communication equipment								
73 G.46.52 - Wholesale of electronic and telecommunications equipment and parts								
74 H - Transport and storage	314	17						
H.49 - Land transport and transport via pipelines	100							
75 H.49.3 - Other passenger land transport	24							
76 H.49.39 - Other passenger land transport n.e.c.	24							
77 H.49.5 - Transport via pipeline	76							
78 H.49.50 - Transport via pipeline	76							
79 H.52 - Warehousing and support activities for transportation	214	17						
80 H.52.2 - Support activities for transportation	214	17						
81 H.52.22 - Service activities incidental to water transportation	5	4						
82 H.52.23 - Service activities incidental to air transportation	209	13						
83 J - Information and communication	1	–						
84 J.61 - Telecommunications	1	–						
85 J.61.3 - Satellite telecommunications activities	–	–						
86 J.61.30 - Satellite telecommunications activities	–	–						
87 J.61.9 - Other telecommunications activities	1							
88 J.61.90 - Other telecommunications activities	1							
89 K - Financial and insurance activities	89	–						
90 K.64 - Financial and insurance activities	49	–						
91 K.64.1 - Monetary intermediation	49	–						
92 K.64.19 - Other monetary intermediation	49	–						
93 K.66 - Activities auxiliary to financial services and insurance activities	39							
94 K.66.1 - Activities auxiliary to financial services, except insurance and pension funding	39							
95 K.66.19 - Other activities auxiliary to financial services, except insurance and pension funding	39							
96 L - Real estate activities	3,415	241						
97 L.68 - Real estate activities	3,415	241						
98 L.68.1 - Buying and selling of own real estate	63							
99 L.68.10 - Buying and selling of own real estate	63							
100 L.68.2 - Rental and operating of own or leased real estate	1,560	47						
101 L.68.20 - Rental and operating of own or leased real estate	1,560	47						
102								

	Breakdown by sector - NACE 4 digits level (code and label)	a	b	c	d	e	f	g	h
		Climate change mitigation (CCM)		Climate change adaptation (CCA)		Climate change mitigation (CCM)		Climate change adaptation (CCA)	
		Non-Financial corporates (subject to NFRD)	SMEs and other NFC (not subject to NFRD)	Non-Financial corporates (subject to NFRD)	SMEs and other NFC (not subject to NFRD)	Non-Financial corporates (subject to NFRD)	SMEs and other NFC (not subject to NFRD)	Non-Financial corporates (subject to NFRD)	SMEs and other NFC (not subject to NFRD)
		[Gross] carrying amount	[Gross] carrying amount	[Gross] carrying amount	[Gross] carrying amount	[Gross] carrying amount	[Gross] carrying amount	[Gross] carrying amount	[Gross] carrying amount
		of which environ- mentally sustainable (CCA)	of which environ- mentally sustainable (CCA)	of which environ- mentally sustainable (CCA)	of which environ- mentally sustainable (CCA)	of which environ- mentally sustainable (CCA)	of which environ- mentally sustainable (CCA)	of which environ- mentally sustainable (CCA)	of which environ- mentally sustainable (CCA)
		€ million	€ million	€ million	€ million	€ million	€ million	€ million	€ million
103	L.68.3 - Real estate activities on a fee or contract basis	1,791	194						
104	L.68.32 - Management of real estate on a fee or contract basis	1,791	194						
105	M - Professional, scientific and technical activities	60	11			4	–		
106	M.70 - Activities of head offices; management consultancy activities	60	11			4	–		
107	M.70.1 - Activities of head offices	59	10			4	–		
108	M.70.10 - Activities of head offices	59	10			4	–		
109	M.70.2 - Management consultancy activities	1	1			–	–		
110	M.70.22 - Business and other management consultancy activities	1	1			–	–		
111	M.71 - Architectural and engineering activities; technical testing and analysis								
112	M.71.2 - Technical testing and analysis								
113	M.71.20 - Technical testing and analysis								
114	N - Administrative and support service activities	30							
115	N.77 - Rental and leasing activities	30							
116	N.77.3 - Rental and leasing of other machinery, equipment and tangible goods	30							
117	N.77.39 - Rental and leasing of other machinery, equipment and tangible goods n.e.c.	30							

Template 2.2 – GAR sector information – Turnover-based

	Breakdown by sector - NACE 4 digits level (code and label)	i	j	k	l	m	n	o	p
		Water and marine resources (WTR)				Circular economy (CE)			
		Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)		Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)	
		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
		of which environ- mentally sustainable (WTR)		of which environ- mentally sustainable (WTR)		of which environ- mentally sustainable (CE)		of which environ- mentally sustainable (CE)	
		€ million		€ million		€ million		€ million	
1	B - Mining and Quarrying								
	B.06 - Extraction of crude petroleum and natural gas								
2	B.06.2 - Extraction of natural gas								
3	B.06.20 - Extraction of natural gas								
4	C - Manufacturing					71			
5	C.10 - Manufacture of food products								
6	C.10.8 - Manufacture of other food products								
7	C.10.81 - Manufacture of sugar								
8	C.20 - Manufacture of chemicals and chemical products								
9	C.20.5 - Manufacture of other chemical products								
10	C.20.59 - Manufacture of other chemical products n.e.c.								
11	C.23 - Manufacture of other non-metallic mineral products								
12	C.23.3 - Manufacture of clay building materials					–			
13	C.23.32 - Manufacture of bricks, tiles and construction products, in baked clay								
14	C.23.5 - Manufacture of cement, lime and plaster								
15	C.23.51 - Manufacture of cement					–			
16	C.24 - Manufacture of basic metals								
17	C.24.4 - Manufacture of basic precious and other non-ferrous metals								
18	C.24.42 - Aluminium production								
19	C.24.45 - Other non-ferrous metal production								
20	C.26 - Manufacture of computer, electronic and optical products					4			
21	C.26.7 - Manufacture of optical instruments and photographic equipment					4			
22	C.26.70 Manufacture of optical instruments and photographic equipment					4			
23	C.27 - Manufacture of electrical equipment					57			
24	C.27.1 - Manufacture of electric motors, generators, transformers and electricity distribution and control apparatus					27			
25	C.27.12 - Manufacture of electricity distribution and control apparatus					27			
26	C.27.9 - Manufacture of other electrical equipment					30			
27	C.27.90 - Manufacture of other electrical equipment					30			
28	C.28 - Manufacture of machinery and equipment n.e.c.					1			
29	C.28.9 - Manufacture of other special-purpose machinery					1			
30	C.28.95 - Manufacture of machinery for paper and paperboard production					1			
31	C.28.99 - Manufacture of other special-purpose machinery n.e.c.					–			
32	C.29 - Manufacture of motor vehicles, trailers and semi-trailers					2			
33	C.29.1 - Manufacture of motor vehicles					–			
34									

	Breakdown by sector - NACE 4 digits level (code and label)	i	j	k	l	m	n	o	p
		Water and marine resources (WTR)				Circular economy (CE)			
		Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)		Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)	
		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
		€ million	of which environ- mentally sustainable (WTR)	€ million	of which environ- mentally sustainable (WTR)	€ million	of which environ- mentally sustainable (CE)	€ million	of which environ- mentally sustainable (CE)
35	C.29.10 - Manufacture of motor vehicles					–			
36	C.29.3 - Manufacture of parts and accessories for motor vehicles					2			
37	C.29.32 - Manufacture of other parts and accessories for motor vehicles					2			
38	C.30 - Manufacture of other transport equipment								
39	C.30.2 - Manufacture of railway locomotives and rolling stock								
40	C.30.20 - Manufacture of railway locomotives and rolling stock								
41	C.30.3 - Manufacture of air and spacecraft and related machinery								
42	C.30.30 - Manufacture of air and spacecraft and related machinery								
43	C.32 - Other manufacturing					8			
44	C.32.5 - Manufacture of medical and dental instruments and supplies					8			
45	C.32.50 - Manufacture of medical and dental instruments and supplies					8			
46	D - Electricity, Gas, Steam and Air Conditioning supply	8	1			2	1		
47	D. 35 - Electricity, gas, steam and air conditioning supply	8	1			2	1		
48	D.35.1 - Electric power generation, transmission and distribution	8	–			2	1		
49	D.35.11 - Production of electricity	–	–			–	–		
50	D.35.12 - Transmission of electricity					–			
51	D.35.13 - Distribution of electricity	8	–			2	1		
52	D.35.14 - Trade of electricity	–	–			–	–		
53	D.35.2 - Manufacture of gas; distribution of gaseous fuels through mains	1	–			–	–		
54	D.35.21 - Manufacture of gas								
55	D.35.22 - Distribution of gaseous fuels through mains	1	–			–	–		
56	D.35.23 - Trade of gas through mains								
57	D.35.3 - Steam and air conditioning supply	–	–						
58	D.35.30 - Steam and air conditioning supply	–	–						
59	F- Construction	–				–			
60	F.41 - Construction of buildings	–				–			
61	F.41.1 - Development of building projects								
62	F.41.10 - Development of building projects								
63	F.41.2 - Construction of residential and non- residential buildings	–				–			
64	F.41.20 - Construction of residential and non- residential buildings	–				–			
65	F.42 - Civil engineering	–				–			
66	F.42.9 - Construction of other civil engineering projects	–				–			
67	F.42.99 - Construction of other civil engineering projects n.e.c.	–				–			
68	G - Wholesale and retail trade; repair of motor vehicles and motorcycles					–			
69	G.46 - Wholesale trade, except of motor vehicles and motorcycles					–			
70	G.46.4 - Wholesale of household goods								

	Breakdown by sector - NACE 4 digits level (code and label)	i	j	k	l	m	n	o	p
		Water and marine resources (WTR)				Circular economy (CE)			
		Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)		Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)	
		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
		of which environ- mentally sustainable (WTR)		of which environ- mentally sustainable (WTR)		of which environ- mentally sustainable (CE)		of which environ- mentally sustainable (CE)	
		€ million		€ million		€ million		€ million	
71	G.46.49 - Wholesale of other household goods								
72	G.46.5 - Wholesale of information and communication equipment					–			
73	G.46.52 - Wholesale of electronic and telecommunications equipment and parts					–			
74	H - Transport and storage								
75	H.49 - Land transport and transport via pipelines								
76	H.49.3 - Other passenger land transport								
77	H.49.39 - Other passenger land transport n.e.c.								
78	H.49.5 - Transport via pipeline								
79	H.49.50 - Transport via pipeline								
80	H.52 - Warehousing and support activities for transportation								
81	H.52.2 - Support activities for transportation								
82	H.52.22 - Service activities incidental to water transportation								
83	H.52.23 - Service activities incidental to air transportation								
84	J - Information and communication					2			
85	J.61 - Telecommunications					2			
86	J.61.3 - Satellite telecommunications activities					–			
87	J.61.30 - Satellite telecommunications activities					–			
88	J.61.9 - Other telecommunications activities					2			
89	J.61.90 - Other telecommunications activities					2			
90	K - Financial and insurance activities								
91	K.64 - Financial and insurance activities								
92	K.64.1 - Monetary intermediation								
93	K.64.19 - Other monetary intermediation								
94	K.66 - Activities auxiliary to financial services and insurance activities								
95	K.66.1 - Activities auxiliary to financial services, except insurance and pension funding								
96	K.66.19 - Other activities auxiliary to financial services, except insurance and pension funding								
97	L - Real estate activities								
98	L.68 - Real estate activities								
99	L.68.1 - Buying and selling of own real estate								
100	L.68.10 - Buying and selling of own real estate								
101	L.68.2 - Rental and operating of own or leased real estate								
102	L.68.20 - Rental and operating of own or leased real estate								
103	L.68.3 - Real estate activities on a fee or contract basis								
104	L.68.32 - Management of real estate on a fee or contract basis								
105	M - Professional, scientific and technical activities	–				2			
106	M.70 - Activities of head offices; management consultancy activities	–				2			
107	M.70.1 - Activities of head offices					2			

		i	j	k	l	m	n	o	p
		Water and marine resources (WTR)				Circular economy (CE)			
		Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)		Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)	
		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
		of which environ- mentally sustainable (WTR)		of which environ- mentally sustainable (WTR)		of which environ- mentally sustainable (CE)		of which environ- mentally sustainable (CE)	
Breakdown by sector - NACE 4 digits level (code and label)		€ million		€ million		€ million		€ million	
108	M.70.10 - Activities of head offices					2			
109	M.70.2 - Management consultancy activities	–				–			
110	M.70.22 - Business and other management consultancy activities	–				–			
111	M.71 - Architectural and engineering activities; technical testing and analysis								
112	M.71.2 - Technical testing and analysis								
113	M.71.20 - Technical testing and analysis								
114	N - Administrative and support service activities								
115	N.77 - Rental and leasing activities								
116	N.77.3 - Rental and leasing of other machinery, equipment and tangible goods								
117	N.77.39 - Rental and leasing of other machinery, equipment and tangible goods n.e.c.								

Template 2.3 – GAR sector information – Turnover-based

	Breakdown by sector - NACE 4 digits level (code and label)	q	r	s	t	u	v	w	x
		Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
		Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)		Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)	
		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
		of which environ- mentally sustainable (PPC)		of which environ- mentally sustainable (PPC)		of which environ- mentally sustainable (BIO)		of which environ- mentally sustainable (BIO)	
		€ million		€ million		€ million		€ million	
1	B - Mining and Quarrying								
	B.06 - Extraction of crude petroleum and natural gas								
2	B.06.2 - Extraction of natural gas								
3	B.06.20 - Extraction of natural gas								
4	C - Manufacturing	2							
5	C.10 - Manufacture of food products								
6	C.10.8 - Manufacture of other food products								
7	C.10.81 - Manufacture of sugar								
8	C.20 - Manufacture of chemicals and chemical products	2							
9	C.20.5 - Manufacture of other chemical products	2							
10	C.20.59 - Manufacture of other chemical products n.e.c.	2							
11	C.23 - Manufacture of other non-metallic mineral products								
12	C.23.3 - Manufacture of clay building materials								
13	C.23.32 - Manufacture of bricks, tiles and construction products, in baked clay								
14	C.23.5 - Manufacture of cement, lime and plaster								
15	C.23.51 - Manufacture of cement								
16	C.24 - Manufacture of basic metals								
17	C.24.4 - Manufacture of basic precious and other non-ferrous metals								
18	C.24.42 - Aluminium production								
19	C.24.45 - Other non-ferrous metal production								
20	C.26 - Manufacture of computer, electronic and optical products								
21	C.26.7 - Manufacture of optical instruments and photographic equipment								
22	C.26.70 Manufacture of optical instruments and photographic equipment								
23	C.27 - Manufacture of electrical equipment	1							
24	C.27.1 - Manufacture of electric motors, generators, transformers and electricity distribution and control apparatus								
25	C.27.12 - Manufacture of electricity distribution and control apparatus								
26	C.27.9 - Manufacture of other electrical equipment	1							
27	C.27.90 - Manufacture of other electrical equipment	1							
28	C.28 - Manufacture of machinery and equipment n.e.c.								
29	C.28.9 - Manufacture of other special-purpose machinery								
30	C.28.95 - Manufacture of machinery for paper and paperboard production								
31	C.28.99 - Manufacture of other special-purpose machinery n.e.c.								
32	C.29 - Manufacture of motor vehicles, trailers and semi-trailers								
33	C.29.1 - Manufacture of motor vehicles								
34									

	Breakdown by sector - NACE 4 digits level (code and label)	q	r	s	t	u	v	w	x
		Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
		Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)		Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)	
		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
		of which environ- mentally sustainable (PPC)		of which environ- mentally sustainable (PPC)		of which environ- mentally sustainable (BIO)		of which environ- mentally sustainable (BIO)	
		€ million		€ million		€ million		€ million	
35	C.29.10 - Manufacture of motor vehicles								
36	C.29.3 - Manufacture of parts and accessories for motor vehicles								
37	C.29.32 - Manufacture of other parts and accessories for motor vehicles								
38	C.30 - Manufacture of other transport equipment								
39	C.30.2 - Manufacture of railway locomotives and rolling stock								
40	C.30.20 - Manufacture of railway locomotives and rolling stock								
41	C.30.3 - Manufacture of air and spacecraft and related machinery								
42	C.30.30 - Manufacture of air and spacecraft and related machinery								
43	C.32 - Other manufacturing								
44	C.32.5 - Manufacture of medical and dental instruments and supplies								
45	C.32.50 - Manufacture of medical and dental instruments and supplies								
46	D - Electricity, Gas, Steam and Air Conditioning supply	3	1						
47	D. 35 - Electricity, gas, steam and air conditioning supply	3	1						
48	D.35.1 - Electric power generation, transmission and distribution	3	1						
49	D.35.11 - Production of electricity	–	–						
50	D.35.12 - Transmission of electricity								
51	D.35.13 - Distribution of electricity	3	1						
52	D.35.14 - Trade of electricity	–	–						
53	D.35.2 - Manufacture of gas; distribution of gaseous fuels through mains	–	–						
54	D.35.21 - Manufacture of gas								
55	D.35.22 - Distribution of gaseous fuels through mains	–	–						
56	D.35.23 - Trade of gas through mains								
57	D.35.3 - Steam and air conditioning supply								
58	D.35.30 - Steam and air conditioning supply								
59	F- Construction	–							
60	F.41 - Construction of buildings								
61	F.41.1 - Development of building projects								
62	F.41.10 - Development of building projects								
63	F.41.2 - Construction of residential and non- residential buildings								
64	F.41.20 - Construction of residential and non- residential buildings								
65	F.42 - Civil engineering	–							
66	F.42.9 - Construction of other civil engineering projects	–							
67	F.42.99 - Construction of other civil engineering projects n.e.c.	–							
68	G - Wholesale and retail trade; repair of motor vehicles and motorcycles								
69	G.46 - Wholesale trade, except of motor vehicles and motorcycles								
70	G.46.4 - Wholesale of household goods								

	Breakdown by sector - NACE 4 digits level (code and label)	q	r	s	t	u	v	w	x
		Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
		Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)		Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)	
		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
		of which environ- mentally sustainable (PPC)		of which environ- mentally sustainable (PPC)		of which environ- mentally sustainable (BIO)		of which environ- mentally sustainable (BIO)	
		€ million		€ million		€ million		€ million	
71	G.46.49 - Wholesale of other household goods								
72	G.46.5 - Wholesale of information and communication equipment								
73	G.46.52 - Wholesale of electronic and telecommunications equipment and parts								
74	H - Transport and storage								
75	H.49 - Land transport and transport via pipelines								
76	H.49.3 - Other passenger land transport								
77	H.49.39 - Other passenger land transport n.e.c.								
78	H.49.5 - Transport via pipeline								
79	H.49.50 - Transport via pipeline								
80	H.52 - Warehousing and support activities for transportation								
81	H.52.2 - Support activities for transportation								
82	H.52.22 - Service activities incidental to water transportation								
83	H.52.23 - Service activities incidental to air transportation								
84	J - Information and communication								
85	J.61 - Telecommunications								
86	J.61.3 - Satellite telecommunications activities								
87	J.61.30 - Satellite telecommunications activities								
88	J.61.9 - Other telecommunications activities								
89	J.61.90 - Other telecommunications activities								
90	K - Financial and insurance activities								
91	K.64 - Financial and insurance activities								
92	K.64.1 - Monetary intermediation								
93	K.64.19 - Other monetary intermediation								
94	K.66 - Activities auxiliary to financial services and insurance activities								
95	K.66.1 - Activities auxiliary to financial services, except insurance and pension funding								
96	K.66.19 - Other activities auxiliary to financial services, except insurance and pension funding								
97	L - Real estate activities								
98	L.68 - Real estate activities								
99	L.68.1 - Buying and selling of own real estate								
100	L.68.10 - Buying and selling of own real estate								
101	L.68.2 - Rental and operating of own or leased real estate								
102	L.68.20 - Rental and operating of own or leased real estate								
103	L.68.3 - Real estate activities on a fee or contract basis								
104	L.68.32 - Management of real estate on a fee or contract basis								
105	M - Professional, scientific and technical activities	8				–			
106	M.70 - Activities of head offices; management consultancy activities	4				–			
107	M.70.1 - Activities of head offices	4							

		q	r	s	t	u	v	w	x
		Pollution (PPC)				Biodiversity and Ecosystems (BIO)			
		Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)		Non-Financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)	
		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
		of which environ- mentally sustainable (PPC)		of which environ- mentally sustainable (PPC)		of which environ- mentally sustainable (BIO)		of which environ- mentally sustainable (BIO)	
Breakdown by sector - NACE 4 digits level (code and label)		€ million		€ million		€ million		€ million	
108	M.70.10 - Activities of head offices	4							
109	M.70.2 - Management consultancy activities					–			
110	M.70.22 - Business and other management consultancy activities					–			
111	M.71 - Architectural and engineering activities; technical testing and analysis	4							
112	M.71.2 - Technical testing and analysis	4							
113	M.71.20 - Technical testing and analysis	4							
114	N - Administrative and support service activities								
115	N.77 - Rental and leasing activities								
116	N.77.3 - Rental and leasing of other machinery, equipment and tangible goods								
117	N.77.39 - Rental and leasing of other machinery, equipment and tangible goods n.e.c.								

Template 2.4 – GAR sector information – Turnover-based

		y	z	aa	ab
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)			
		Non-financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)	
		[Gross] carrying amount		[Gross] carrying amount	
Breakdown by sector - NACE 4 digits level (code and label)		€ million	of which environmentally sustainable (CCM + CCA + WTR + CE + PPC + BIO)	€ million	of which environmentally sustainable (CCM + CCA + WTR + CE + PPC + BIO)
1	B - Mining and Quarrying	14	2		
	B.06 - Extraction of crude petroleum and natural gas				
2	B.06.2 - Extraction of natural gas	14	2		
3	B.06.2 - Extraction of natural gas	14	2		
4	B.06.20 - Extraction of natural gas	14	2		
5	C - Manufacturing	398	144		
6	C.10 - Manufacture of food products	–	–		
7	C.10.8 - Manufacture of other food products	–	–		
8	C.10.81 - Manufacture of sugar	–	–		
	C.20 - Manufacture of chemicals and chemical products				
9	C.20.5 - Manufacture of other chemical products	74	1		
10	C.20.59 - Manufacture of other chemical products n.e.c.	74	1		
11	C.23 - Manufacture of other non-metallic mineral products				
12	C.23.3 - Manufacture of clay building materials	39	30		
13	C.23.32 - Manufacture of bricks, tiles and construction products, in baked clay	31	30		
14	C.23.5 - Manufacture of cement, lime and plaster				
15	C.23.51 - Manufacture of cement	8	–		
16	C.23.51 - Manufacture of cement	8	–		
17	C.24 - Manufacture of basic metals	46	46		
	C.24.4 - Manufacture of basic precious and other non-ferrous metals				
18	C.24.42 - Aluminium production	46	46		
19	C.24.45 - Other non-ferrous metal production	46	46		
20	C.24.45 - Other non-ferrous metal production	–	–		
	C.26 - Manufacture of computer, electronic and optical products				
21	C.26.7 - Manufacture of optical instruments and photographic equipment	4	–		
22	C.26.70 Manufacture of optical instruments and photographic equipment	4	–		
23	C.26.70 Manufacture of optical instruments and photographic equipment	4	–		
24	C.27 - Manufacture of electrical equipment	96	18		
	C.27.1 - Manufacture of electric motors, generators, transformers and electricity distribution and control apparatus				
25	C.27.12 - Manufacture of electricity distribution and control apparatus	27	–		
26	C.27.12 - Manufacture of electricity distribution and control apparatus	27	–		
	C.27.9 - Manufacture of other electrical equipment				
27	C.27.90 - Manufacture of other electrical equipment	69	18		
28	C.27.90 - Manufacture of other electrical equipment	69	18		
	C.28 - Manufacture of machinery and equipment n.e.c.				
29	C.28.9 - Manufacture of other special-purpose machinery	9	4		
30	C.28.95 - Manufacture of machinery for paper and paperboard production	9	4		
31	C.28.99 - Manufacture of other special-purpose machinery n.e.c.	5	3		
32	C.29 - Manufacture of motor vehicles, trailers and semi-trailers	5	1		
33	C.29.1 - Manufacture of motor vehicles	80	26		
34	C.29.1 - Manufacture of motor vehicles	49	6		
35	C.29.10 - Manufacture of motor vehicles	49	6		
	C.29.3 - Manufacture of parts and accessories for motor vehicles				
36	C.29.3 - Manufacture of parts and accessories for motor vehicles	32	19		

		y	z	aa	ab
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)			
		Non-financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)	
		[Gross] carrying amount		[Gross] carrying amount	
Breakdown by sector - NACE 4 digits level (code and label)		€ million	of which environmentally sustainable (CCM + CCA + WTR + CE + PPC + BIO)	€ million	of which environmentally sustainable (CCM + CCA + WTR + CE + PPC + BIO)
37	C.29.32 - Manufacture of other parts and accessories for motor vehicles	32	19		
38	C.30 - Manufacture of other transport equipment	41	19		
39	C.30.2 - Manufacture of railway locomotives and rolling stock	19	19		
40	C.30.20 - Manufacture of railway locomotives and rolling stock	19	19		
41	C.30.3 - Manufacture of air and spacecraft and related machinery	22	–		
42	C.30.30 - Manufacture of air and spacecraft and related machinery	22	–		
43	C.32 - Other manufacturing	8	–		
44	C.32.5 - Manufacture of medical and dental instruments and supplies	8	–		
45	C.32.50 - Manufacture of medical and dental instruments and supplies	8	–		
46	D - Electricity, Gas, Steam and Air Conditioning supply	950	93		
47	D.35 - Electricity, gas, steam and air conditioning supply	950	93		
48	D.35.1 - Electric power generation, transmission and distribution	940	84		
49	D.35.11 - Production of electricity	867	49		
50	D.35.12 - Transmission of electricity	–	–		
51	D.35.13 - Distribution of electricity	70	32		
52	D.35.14 - Trade of electricity	2	2		
53	D.35.2 - Manufacture of gas; distribution of gaseous fuels through mains	10	8		
54	D.35.21 - Manufacture of gas	–	–		
55	D.35.22 - Distribution of gaseous fuels through mains	2	1		
56	D.35.23 - Trade of gas through mains	7	7		
57	D.35.3 - Steam and air conditioning supply	1	1		
58	D.35.30 - Steam and air conditioning supply	1	1		
59	F - Construction	32	13		
60	F.41 - Construction of buildings	30	13		
61	F.41.1 - Development of building projects	15	–		
62	F.41.10 - Development of building projects	15	–		
63	F.41.2 - Construction of residential and non-residential buildings	16	13		
64	F.41.20 - Construction of residential and non-residential buildings	16	13		
65	F.42 - Civil engineering	2	–		
66	F.42.9 - Construction of other civil engineering projects	2	–		
67	F.42.99 - Construction of other civil engineering projects n.e.c.	2	–		
68	G - Wholesale and retail trade; repair of motor vehicles and motorcycles	7	–		
69	G.46 - Wholesale trade, except of motor vehicles and motorcycles	7	–		
70	G.46.4 - Wholesale of household goods	7	–		
71	G.46.49 - Wholesale of other household goods	7	–		
72	G.46.5 - Wholesale of information and communication equipment	–	–		
73	G.46.52 - Wholesale of electronic and telecommunications equipment and parts	–	–		
74	H - Transport and storage	314	17		

Breakdown by sector - NACE 4 digits level (code and label)	y	z	aa	ab
	TOTAL (CCM + CCA + WTR + CE + PPC + BIO)			
	Non-financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)	
	[Gross] carrying amount	of which environmentally sustainable (CCM + CCA + WTR + CE + PPC + BIO)	[Gross] carrying amount	of which environmentally sustainable (CCM + CCA + WTR + CE + PPC + BIO)
	€ million		€ million	
75 H.49 - Land transport and transport via pipelines	100	–		
76 H.49.3 - Other passenger land transport	24	–		
77 H.49.39 - Other passenger land transport n.e.c.	24	–		
78 H.49.5 - Transport via pipeline	76	–		
79 H.49.50 - Transport via pipeline	76	–		
80 H.52 - Warehousing and support activities for transportation	214	17		
81 H.52.2 - Support activities for transportation	214	17		
82 H.52.22 - Service activities incidental to water transportation	5	4		
83 H.52.23 - Service activities incidental to air transportation	209	13		
84 J - Information and communication	3	–		
85 J.61 - Telecommunications	3	–		
86 J.61.3 - Satellite telecommunications activities	–	–		
87 J.61.30 - Satellite telecommunications activities	–	–		
88 J.61.9 - Other telecommunications activities	3	–		
89 J.61.90 - Other telecommunications activities	3	–		
90 K - Financial and insurance activities	89	–		
91 K.64 - Financial and insurance activities	49	–		
92 K.64.1 - Monetary intermediation	49	–		
93 K.64.19 - Other monetary intermediation	49	–		
94 K.66 - Activities auxiliary to financial services and insurance activities	39	–		
95 K.66.1 - Activities auxiliary to financial services, except insurance and pension funding	39	–		
96 K.66.19 - Other activities auxiliary to financial services, except insurance and pension funding	39	–		
97 L - Real estate activities	3,415	241		
98 L.68 - Real estate activities	3,415	241		
99 L.68.1 - Buying and selling of own real estate	63	–		
100 L.68.10 - Buying and selling of own real estate	63	–		
101 L.68.2 - Rental and operating of own or leased real estate	1,560	47		
102 L.68.20 - Rental and operating of own or leased real estate	1,560	47		
103 L.68.3 - Real estate activities on a fee or contract basis	1,791	194		
104 L.68.32 - Management of real estate on a fee or contract basis	1,791	194		
105 M - Professional, scientific and technical activities	74	11		
106 M.70 - Activities of head offices; management consultancy activities	70	11		
107 M.70.1 - Activities of head offices	69	10		

		y	z	aa	ab
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)			
		Non-financial corporates (subject to NFRD)		SMEs and other NFC (not subject to NFRD)	
		[Gross] carrying amount	of which environmentally sustainable (CCM + CCA + WTR + CE + PPC + BIO)	[Gross] carrying amount	of which environmentally sustainable (CCM + CCA + WTR + CE + PPC + BIO)
Breakdown by sector - NACE 4 digits level (code and label)		€ million		€ million	
108 M.70.10 - Activities of head offices		69	10		
109 M.70.2 - Management consultancy activities		2	1		
M.70.22 - Business and other management consultancy activities					
110		2	1		
M.71 - Architectural and engineering activities; technical testing and analysis					
111		4	–		
112 M.71.2 - Technical testing and analysis		4	–		
113 M.71.20 - Technical testing and analysis		4	–		
N - Administrative and support service activities					
114		30	–		
115 N.77 - Rental and leasing activities		30	–		
N.77.3 - Rental and leasing of other machinery, equipment and tangible goods					
116		30	–		
N.77.39 - Rental and leasing of other machinery, equipment and tangible goods					
117 n.e.c.		30	–		

1 Credit institutions shall disclose in this template information on exposures in the banking book towards those sectors covered by the Taxonomy (NACE sectors 4 levels of detail), using the relevant NACE Codes on the basis of the principal activity of the counterparty.

2 The counterparty NACE sector allocation shall be based exclusively on the nature of the immediate counterparty. The classification of the exposures incurred jointly by more than one obligor shall be done on the basis of the characteristics of the obligor that was the most relevant, or determinant, for the institution to grant the exposure. The distribution of jointly incurred exposures by NACE codes shall be driven by the characteristics of the more relevant or determinant obligor. Institutions shall disclose information by NACE codes with the level of disaggregation required in the template.

Template 3.1 – GAR KPI stock – Turnover-based

	a	b	c	d	e	f	g	h	i
	Disclosure reference date T								
	Climate change mitigation (CCM)					Climate change adaptation (CCA)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
		of which use of proceeds	of which transitional	of which enabling			of which use of proceeds	of which enabling	
% (compared to total covered assets in the denominator)									
GAR - Covered assets in both numerator and denominator									
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	14.66%	0.53%	0.30%	0.03%	0.09%	–	–	–	–
2 Financial undertakings	2.36%	0.07%	–	–	0.01%	–	–	–	–
3 Credit institutions	2.13%	0.07%	–	–	0.01%	–	–	–	–
4 Loans and advances	1.36%	0.05%	–	–	0.01%	–	–	–	–
5 Debt securities, including UoP	0.78%	0.02%	–	–	–	–	–	–	–
6 Equity instruments	–	–							
7 Other financial corporations	0.22%	–	–	–	–	–	–	–	–
8 of which investment firms	–	–	–	–	–	–	–	–	–
9 Loans and advances	–	–							
10 Debt securities, including UoP									
11 Equity instruments									
12 of which management companies	–	–	–	–	–	–	–	–	–
13 Loans and advances									
14 Debt securities, including UoP									
15 Equity instruments									
16 of which insurance undertakings	–	–	–	–	–	–	–	–	–
17 Loans and advances	–	–				–	–		
18 Debt securities, including UoP									
19 Equity instruments									
20 Non-financial undertakings	2.51%	0.25%	0.09%	0.02%	0.08%	–	–	–	–
21 Loans and advances	2.47%	0.24%	0.09%	0.02%	0.07%	–	–	–	–
22 Debt securities, including UoP	0.04%	0.01%			0.01%				
23 Equity instruments									
24 Households	8.98%	0.21%	0.21%		–				
25 of which loans collateralised by residential immovable property	8.80%	0.20%	0.20%						
26 of which building renovation loans	0.09%	–	–		–				
27 of which motor vehicle loans	0.09%								
28 Local governments financing	0.81%	–	–	–	–	–	–	–	–
29 Housing financing	0.26%								
30 Other local government financing	0.55%								
31 Collateral obtained by taking possession: residential and commercial immovable properties									
32 Total GAR assets	14.66%	0.53%	0.30%	0.03%	0.09%	–	–	–	–

Template 3.2 – GAR KPI stock – Turnover-based

	j	k	l	m	n	o	p	q
	Disclosure reference date T							
	Water and marine resources (WTR)				Circular economy (CE)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
	of which use of proceeds				of which use of proceeds			
	of which enabling				of which enabling			
% (compared to total covered assets in the denominator)								
GAR - Covered assets in both numerator and denominator								
1 Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	–				0.04%			
2 Financial undertakings	–				–			
3 Credit institutions	–				–			
4 Loans and advances								
5 Debt securities, including UoP								
6 Equity instruments								
7 Other financial corporations								
8 of which investment firms	–				–			
9 Loans and advances								
10 Debt securities, including UoP								
11 Equity instruments								
12 of which management companies	–				–			
13 Loans and advances								
14 Debt securities, including UoP								
15 Equity instruments								
16 of which insurance undertakings	–				–			
17 Loans and advances								
18 Debt securities, including UoP								
19 Equity instruments								
20 Non-financial undertakings	–				0.04%			
21 Loans and advances	–				0.02%			
22 Debt securities, including UoP					0.01%			
23 Equity instruments								
24 Households								
25 of which loans collateralised by residential immovable property								
26 of which building renovation loans								
27 of which motor vehicle loans								
28 Local governments financing	–				–			
29 Housing financing								
30 Other local government financing								
31 Collateral obtained by taking possession: residential and commercial immovable properties								
32 Total GAR assets	–				0.04%			

Template 3.3 – GAR KPI stock – Turnover-based

	r	s	t	u	v	w	x	z
	Disclosure reference date T							
	Pollution (PPC)				Biodiversity and ecosystems (BIO)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
	of which use of proceeds				of which use of proceeds			
	of which enabling				of which enabling			
% (compared to total covered assets in the denominator)								
GAR - Covered assets in both numerator and denominator								
1 Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	0.01%				–			
2 Financial undertakings	–				–			
3 Credit institutions	–				–			
4 Loans and advances								
5 Debt securities, including UoP								
6 Equity instruments								
7 Other financial corporations								
8 of which investment firms	–				–			
9 Loans and advances								
10 Debt securities, including UoP								
11 Equity instruments								
12 of which management companies	–				–			
13 Loans and advances								
14 Debt securities, including UoP								
15 Equity instruments								
16 of which insurance undertakings	–				–			
17 Loans and advances								
18 Debt securities, including UoP								
19 Equity instruments								
20 Non-financial undertakings	0.01%				–			
21 Loans and advances	0.01%				–			
22 Debt securities, including UoP	–							
23 Equity instruments								
24 Households								
25 of which loans collateralised by residential immovable property								
26 of which building renovation loans								
27 of which motor vehicle loans								
28 Local governments financing	–				–			
29 Housing financing								
30 Other local government financing								
31 Collateral obtained by taking possession: residential and commercial immovable properties								
32 Total GAR assets	0.01%				–			

Template 3.4 – GAR KPI stock – Turnover-based

	aa	ab	ac	ad	ae	af
	Disclosure reference date T					
	TOTAL (CCM + CCA + WTR + CE + PPC + BIO)					
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)					Proportion of total assets covered - T
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)					
			of which use of proceeds	of which transitional activities	of which enabling	
% (compared to total covered assets in the denominator)						
GAR - Covered assets in both numerator and denominator						
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	14.71%	0.53%	0.30%	0.03%	0.09%	22.88%
2 Financial undertakings	2.36%	0.07%	–	–	0.01%	7.07%
3 Credit institutions	2.13%	0.07%	–	–	0.01%	6.75%
4 Loans and advances	1.36%	0.05%	–	–	0.01%	5.07%
5 Debt securities, including UoP	0.78%	0.02%	–	–	–	1.67%
6 Equity instruments	–	–	–	–	–	0.01%
7 Other financial corporations	0.22%	–	–	–	–	0.32%
8 of which investment firms	–	–	–	–	–	0.04%
9 Loans and advances	–	–	–	–	–	0.04%
10 Debt securities, including UoP	–	–	–	–	–	–
11 Equity instruments	–	–	–	–	–	0.01%
12 of which management companies	–	–	–	–	–	–
13 Loans and advances	–	–	–	–	–	–
14 Debt securities, including UoP	–	–	–	–	–	–
15 Equity instruments	–	–	–	–	–	–
16 of which insurance undertakings	–	–	–	–	–	0.02%
17 Loans and advances	–	–	–	–	–	0.02%
18 Debt securities, including UoP	–	–	–	–	–	–
19 Equity instruments	–	–	–	–	–	–
20 Non-financial undertakings	2.56%	0.25%	0.09%	0.02%	0.08%	3.75%
21 Loans and advances	2.51%	0.24%	0.09%	0.02%	0.07%	3.69%
22 Debt securities, including UoP	0.05%	0.01%	–	–	0.01%	0.06%
23 Equity instruments	–	–	–	–	–	–
24 Households	8.98%	0.21%	0.21%	–	–	10.99%
25 of which loans collateralised by residential immovable property	8.80%	0.20%	0.20%	–	–	8.04%
26 of which building renovation loans	0.09%	–	–	–	–	0.07%
27 of which motor vehicle loans	–	–	–	–	–	–
28 Local governments financing	0.81%	–	–	–	–	1.08%
29 Housing financing	0.26%	–	–	–	–	0.21%
30 Other local government financing	0.55%	–	–	–	–	0.87%
31 Collateral obtained by taking possession: residential and commercial immovable properties	–	–	–	–	–	–
32 Total GAR assets	14.71%	0.53%	0.30%	0.03%	0.09%	76.88%

Template 3.5 – GAR KPI stock – Turnover-based

	ag	ah	ai	aj	ak	al	am	an	ao
	Disclosure reference date T-1								
	Climate change mitigation (CCM)					Climate change adaptation (CCA)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
			of which use of proceeds	of which transitional	of which enabling			of which special-ised lending ⁵	of which enabling
% (compared to total covered assets in the denominator)									
GAR - Covered assets in both numerator and denominator									
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	9.97%	0.12%	0.02%	–	–	–	–	–	–
2 Financial undertakings	0.19%	–	–	–	–	–	–	–	–
3 Credit institutions	0.19%	–	–	–	–	–	–	–	–
4 Loans and advances	–								
5 Debt securities, including UoP	0.19%								
6 Equity instruments									
7 Other financial corporations	–								
8 of which investment firms	–	–	–	–	–	–	–	–	–
9 Loans and advances									
10 Debt securities, including UoP									
11 Equity instruments									
12 of which management companies	–	–	–	–	–	–	–	–	–
13 Loans and advances									
14 Debt securities, including UoP									
15 Equity instruments									
16 of which insurance undertakings	–	–	–	–	–	–	–	–	–
17 Loans and advances	–								
18 Debt securities, including UoP									
19 Equity instruments									
20 Non-financial undertakings	0.33%	0.12%	0.02%	–	–	–	–	–	–
21 Loans and advances	0.33%	0.12%	0.02%			–	–		
22 Debt securities, including UoP									
23 Equity instruments									
24 Households	8.26%								
25 of which loans collateralised by residential immovable property	8.04%								
26 of which building renovation loans	0.17%								
27 of which motor vehicle loans									
28 Local governments financing	1.19%	–	–	–	–	–	–	–	–
29 Housing financing	0.53%								
30 Other local government financing	0.66%								
31 Collateral obtained by taking possession: residential and commercial immovable properties									
32 Total GAR assets	–	–	–	–	–	–	–	–	–

Template 3.6 – GAR KPI stock – Turnover-based

	ap	aq	ar	as	at	au	av	Aw
	Disclosure reference date T-1							
	Water and marine resources (WTR)				Circular economy (CE)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
	of which use of proceeds		of which enabling		of which use of proceeds		of which enabling	
% (compared to total covered assets in the denominator)								
GAR - Covered assets in both numerator and denominator								
1 Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	–				–			
2 Financial undertakings	–				–			
3 Credit institutions	–				–			
4 Loans and advances								
5 Debt securities, including UoP								
6 Equity instruments								
7 Other financial corporations								
8 of which investment firms	–				–			
9 Loans and advances								
10 Debt securities, including UoP								
11 Equity instruments								
12 of which management companies	–				–			
13 Loans and advances								
14 Debt securities, including UoP								
15 Equity instruments								
16 of which insurance undertakings	–				–			
17 Loans and advances								
18 Debt securities, including UoP								
19 Equity instruments								
20 Non-financial undertakings	–				–			
21 Loans and advances								
22 Debt securities, including UoP								
23 Equity instruments								
24 Households								
25 of which loans collateralised by residential immovable property								
26 of which building renovation loans								
27 of which motor vehicle loans								
28 Local governments financing	–				–			
29 Housing financing								
30 Other local government financing								
31 Collateral obtained by taking possession: residential and commercial immovable properties								
32 Total GAR assets	–				–			

Template 3.7 – GAR KPI stock – Turnover-based

	ax	ay	az	ba	bb	bc	bd	be
	Disclosure reference date T-1							
	Pollution (PPC)				Biodiversity and ecosystems (BIO)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
	of which use of proceeds				of which use of proceeds			
	of which enabling				of which enabling			
% (compared to total covered assets in the denominator)								
GAR - Covered assets in both numerator and denominator								
1 Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	–				–			
2 Financial undertakings	–				–			
3 Credit institutions	–				–			
4 Loans and advances								
5 Debt securities, including UoP								
6 Equity instruments								
7 Other financial corporations								
8 of which investment firms	–				–			
9 Loans and advances								
10 Debt securities, including UoP								
11 Equity instruments								
12 of which management companies	–				–			
13 Loans and advances								
14 Debt securities, including UoP								
15 Equity instruments								
16 of which insurance undertakings	–				–			
17 Loans and advances								
18 Debt securities, including UoP								
19 Equity instruments								
20 Non-financial undertakings	–				–			
21 Loans and advances								
22 Debt securities, including UoP								
23 Equity instruments								
24 Households								
25 of which loans collateralised by residential immovable property								
26 of which building renovation loans								
27 of which motor vehicle loans								
28 Local governments financing	–				–			
29 Housing financing								
30 Other local government financing								
31 Collateral obtained by taking possession: residential and commercial immovable properties								
32 Total GAR assets	–				–			

Template 3.8 – GAR KPI stock – Turnover-based

	bf	bg	bh	bi	bj	bk
	Disclosure reference date T-1					
	TOTAL (CCM + CCA + WTR + CE + PPC + BIO)					
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)					Proportion of total assets covered - T-1
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)					
			of which use of proceeds	of which transitional activities	of which enabling	
% (compared to total covered assets in the denominator)						
GAR - Covered assets in both numerator and denominator						
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	9.97%	0.12%	0.02%	–	–	–
2 Financial undertakings	0.19%	–	–	–	–	–
3 Credit institutions	0.19%	–	–	–	–	–
4 Loans and advances	–	–	–	–	–	–
5 Debt securities, including UoP	0.19%	–	–	–	–	–
6 Equity instruments	–	–		–	–	–
7 Other financial corporations	–	–	–	–	–	–
8 of which investment firms	–	–	–	–	–	–
9 Loans and advances	–	–	–	–	–	–
10 Debt securities, including UoP	–	–	–	–	–	–
11 Equity instruments	–	–		–	–	–
12 of which management companies	–	–	–	–	–	–
13 Loans and advances	–	–	–	–	–	–
14 Debt securities, including UoP	–	–	–	–	–	–
15 Equity instruments	–	–		–	–	–
16 of which insurance undertakings	–	–	–	–	–	–
17 Loans and advances	–	–	–	–	–	–
18 Debt securities, including UoP	–	–	–	–	–	–
19 Equity instruments	–	–		–	–	–
20 Non-financial undertakings	0.33%	0.12%	0.02%	–	–	–
21 Loans and advances	0.33%	0.12%	0.02%	–	–	–
22 Debt securities, including UoP	–	–	–	–	–	–
23 Equity instruments	–	–		–	–	–
24 Households	8.26%	–	–	–	–	–
25 of which loans collateralised by residential immovable property	8.04%	–	–	–	–	–
26 of which building renovation loans	0.17%	–	–	–	–	–
27 of which motor vehicle loans	0.05%	–	–	–	–	–
28 Local governments financing	1.19%	–	–	–	–	–
29 Housing financing	0.53%	–	–	–	–	–
30 Other local government financing	0.66%	–	–	–	–	–
31 Collateral obtained by taking possession: residential and commercial immovable properties	–	–	–	–	–	–
32 Total GAR assets	–	–	–	–	–	–

- 1 Institutions shall disclose in this template the GAR KPIs on stock of loans calculated based on the data disclosed in template 1, on covered assets, and by applying the formulas proposed in this template.
- 2 Information on the GAR (green asset ratio of "eligible" activities) shall be accompanied with information on the proportion of total assets covered by the GAR.
- 3 Credit institutions can, in addition to the information included in this template, show the proportion of assets funding taxonomy relevant sectors that are environmentally sustainable (taxonomy-aligned). This information would enrich the information on the KPI on environmentally sustainable assets compared to total covered assets.
- 4 Credit institutions shall duplicate this template for revenue-based and CapEx based disclosures.
- 5 At BayernLB, the term "specialised lending" is interpreted analogously to "use of proceeds".

Template 3.1 – GAR KPI stock – CapEx-based

	a	b	c	d	e	f	g	h	i
	Disclosure reference date T								
	Climate change mitigation (CCM)					Climate change adaptation (CCA)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
		of which use of proceeds	of which transitional	of which enabling			of which use of proceeds	of which enabling	
% (compared to total covered assets in the denominator)									
GAR - Covered assets in both numerator and denominator									
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	14.93%	0.70%	0.30%	0.06%	0.17%	–	–	–	–
2 Financial undertakings	2.32%	0.06%	–	–	0.02%	–	–	–	–
3 Credit institutions	2.10%	0.05%	–	–	0.02%	–	–	–	–
4 Loans and advances	1.33%	0.03%	–	–	0.02%	–	–	–	–
5 Debt securities, including UoP	0.77%	0.02%	–	–	–	–	–	–	–
6 Equity instruments	–	–							
7 Other financial corporations	0.21%	–	–	–	–	–	–	–	–
8 of which investment firms	–	–	–	–	–	–	–	–	–
9 Loans and advances	–	–	–	–	–	–	–	–	–
10 Debt securities, including UoP	–	–	–	–	–	–	–	–	–
11 Equity instruments	–	–							
12 of which management companies	–	–	–	–	–	–	–	–	–
13 Loans and advances	–	–	–	–	–	–	–	–	–
14 Debt securities, including UoP	–	–	–	–	–	–	–	–	–
15 Equity instruments	–	–							
16 of which insurance undertakings	–	–	–	–	–	–	–	–	–
17 Loans and advances	–	–	–	–	–	–	–	–	–
18 Debt securities, including UoP	–	–	–	–	–	–	–	–	–
19 Equity instruments	–	–							
20 Non-financial undertakings	2.82%	0.44%	0.09%	0.06%	0.14%	–	–	–	–
21 Loans and advances	2.77%	0.43%	0.09%	0.06%	0.14%	–	–	–	–
22 Debt securities, including UoP	0.04%	0.01%	–	–	–	–	–	–	–
23 Equity instruments	–	–							
24 Households	8.98%	0.21%	0.21%	–	–	–	–	–	–
25 of which loans collateralised by residential immovable property	8.80%	0.20%	0.20%	–	–	–	–	–	–
26 of which building renovation loans	0.09%	–	–	–	–	–	–	–	–
27 of which motor vehicle loans	0.09%	–	–	–	–	–	–	–	–
28 Local governments financing	0.81%	–	–	–	–	–	–	–	–
29 Housing financing	0.26%	–	–	–	–	–	–	–	–
30 Other local government financing	0.55%	–	–	–	–	–	–	–	–
31 Collateral obtained by taking possession: residential and commercial immovable properties									
32 Total GAR assets	14.93%	0.70%	0.30%	0.06%	0.17%	–	–	–	–

Template 3.2 – GAR KPI stock – CapEx-based

	j	k	l	m	n	o	p	q
	Disclosure reference date T							
	Water and marine resources (WTR)				Circular economy (CE)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
	of which use of proceeds				of which use of proceeds			
	of which enabling				of which enabling			
% (compared to total covered assets in the denominator)								
GAR - Covered assets in both numerator and denominator								
1 Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	0.01%				0.03%			
2 Financial undertakings	–				–			
3 Credit institutions	–				–			
4 Loans and advances								
5 Debt securities, including UoP								
6 Equity instruments								
7 Other financial corporations								
8 of which investment firms	–				–			
9 Loans and advances								
10 Debt securities, including UoP								
11 Equity instruments								
12 of which management companies	–				–			
13 Loans and advances								
14 Debt securities, including UoP								
15 Equity instruments								
16 of which insurance undertakings	–				–			
17 Loans and advances								
18 Debt securities, including UoP								
19 Equity instruments								
20 Non-financial undertakings	0.01%				0.03%			
21 Loans and advances	0.01%				0.02%			
22 Debt securities, including UoP					0.01%			
23 Equity instruments								
24 Households								
25 of which loans collateralised by residential immovable property								
26 of which building renovation loans								
27 of which motor vehicle loans								
28 Local governments financing	–				–			
29 Housing financing								
30 Other local government financing								
31 Collateral obtained by taking possession: residential and commercial immovable properties								
32 Total GAR assets	0.01%				0.03%			

Template 3.3 – GAR KPI stock – CapEx-based

		r	s	t	u	v	w	x	z
		Disclosure reference date T							
		Pollution (PPC)				Biodiversity and ecosystems (BIO)			
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
			of which use of proceeds	of which enabling			of which use of proceeds	of which enabling	
	% (compared to total covered assets in the denominator)								
	GAR - Covered assets in both numerator and denominator								
1	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	0.01%				–			
2	Financial undertakings	–				–			
3	Credit institutions	–				–			
4	Loans and advances								
5	Debt securities, including UoP								
6	Equity instruments								
7	Other financial corporations								
8	of which investment firms	–				–			
9	Loans and advances								
10	Debt securities, including UoP								
11	Equity instruments								
12	of which management companies	–				–			
13	Loans and advances								
14	Debt securities, including UoP								
15	Equity instruments								
16	of which insurance undertakings	–				–			
17	Loans and advances								
18	Debt securities, including UoP								
19	Equity instruments								
20	Non-financial undertakings	0.01%				–			
21	Loans and advances	0.01%							
22	Debt securities, including UoP								
23	Equity instruments								
24	Households								
25	of which loans collateralised by residential immovable property								
26	of which building renovation loans								
27	of which motor vehicle loans								
28	Local governments financing	–				–			
29	Housing financing								
30	Other local government financing								
31	Collateral obtained by taking possession: residential and commercial immovable properties								
32	Total GAR assets	0.01%				–			

Template 3.4 – GAR KPI stock – CapEx-based

	aa	ab	ac	ad	ae	af
	Disclosure reference date T					
	TOTAL (CCM + CCA + WTR + CE + PPC + BIO)					
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)					Proportion of total assets covered - T
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)					
			of which use of proceeds	of which transitional activities	of which enabling	
% (compared to total covered assets in the denominator)						
GAR - Covered assets in both numerator and denominator						
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	14.98%	0.70%	0.30%	0.06%	0.17%	22.88%
2 Financial undertakings	2.32%	0.06%	–	–	0.02%	7.07%
3 Credit institutions	2.10%	0.05%	–	–	0.02%	6.75%
4 Loans and advances	1.33%	0.03%	–	–	0.02%	5.07%
5 Debt securities, including UoP	0.77%	0.02%	–	–	–	1.67%
6 Equity instruments	–	–	–	–	–	0.01%
7 Other financial corporations	0.21%	–	–	–	–	0.32%
8 of which investment firms	–	–	–	–	–	0.04%
9 Loans and advances	–	–	–	–	–	0.04%
10 Debt securities, including UoP	–	–	–	–	–	–
11 Equity instruments	–	–	–	–	–	0.01%
12 of which management companies	–	–	–	–	–	–
13 Loans and advances	–	–	–	–	–	–
14 Debt securities, including UoP	–	–	–	–	–	–
15 Equity instruments	–	–	–	–	–	–
16 of which insurance undertakings	–	–	–	–	–	0.02%
17 Loans and advances	–	–	–	–	–	0.02%
18 Debt securities, including UoP	–	–	–	–	–	–
19 Equity instruments	–	–	–	–	–	–
20 Non-financial undertakings	2.87%	0.44%	0.09%	0.06%	0.14%	3.75%
21 Loans and advances	2.81%	0.43%	0.09%	0.06%	0.14%	3.69%
22 Debt securities, including UoP	0.05%	0.01%	–	–	–	0.06%
23 Equity instruments	–	–	–	–	–	–
24 Households	8.98%	0.21%	0.21%	–	–	10.99%
25 of which loans collateralised by residential immovable property	8.80%	0.20%	0.20%	–	–	8.04%
26 of which building renovation loans	0.09%	–	–	–	–	0.07%
27 of which motor vehicle loans	–	–	–	–	–	–
28 Local governments financing	0.81%	–	–	–	–	1.08%
29 Housing financing	0.26%	–	–	–	–	0.21%
30 Other local government financing	0.55%	–	–	–	–	0.87%
31 Collateral obtained by taking possession: residential and commercial immovable properties	–	–	–	–	–	–
32 Total GAR assets	14.98%	0.70%	0.30%	0.06%	0.17%	76.88%

Template 3.5 – GAR KPI stock – CapEx-based

	ag	ah	ai	aj	ak	al	am	an	ao
	Disclosure reference date T-1								
	Climate change mitigation (CCM)					Climate change adaptation (CCA)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
			of which use of proceeds	of which transitional	of which enabling			of which special-ised lending ⁵	of which enabling
% (compared to total covered assets in the denominator)									
GAR - Covered assets in both numerator and denominator									
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	10.18%	0.32%	0.02%	–	–	–	–	–	–
2 Financial undertakings	0.19%	–	–	–	–	–	–	–	–
3 Credit institutions	0.19%	–	–	–	–	–	–	–	–
4 Loans and advances	–								
5 Debt securities, including UoP	0.19%								
6 Equity instruments									
7 Other financial corporations									
8 of which investment firms	–	–	–	–	–	–	–	–	–
9 Loans and advances									
10 Debt securities, including UoP									
11 Equity instruments									
12 of which management companies	–	–	–	–	–	–	–	–	–
13 Loans and advances									
14 Debt securities, including UoP									
15 Equity instruments									
16 of which insurance undertakings	–	–	–	–	–	–	–	–	–
17 Loans and advances									
18 Debt securities, including UoP									
19 Equity instruments									
20 Non-financial undertakings	0.55%	0.32%	0.02%	–	–	–	–	–	–
21 Loans and advances	0.55%	0.32%	0.02%			–	–		
22 Debt securities, including UoP									
23 Equity instruments									
24 Households	8.26%								
25 of which loans collateralised by residential immovable property	8.04%								
26 of which building renovation loans	0.17%								
27 of which motor vehicle loans									
28 Local governments financing	1.19%	–	–	–	–	–	–	–	–
29 Housing financing	0.53%								
30 Other local government financing	0.66%								
31 Collateral obtained by taking possession: residential and commercial immovable properties									
32 Total GAR assets	–	–	–	–	–	–	–	–	–

Template 3.6 – GAR KPI stock – CapEx-based

	ap	aq	ar	as	at	au	av	aw
	Disclosure reference date T-1							
	Water and marine resources (WTR)				Circular economy (CE)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
	of which use of proceeds		of which enabling		of which use of proceeds		of which enabling	
% (compared to total covered assets in the denominator)								
GAR - Covered assets in both numerator and denominator								
1 Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	–				–			
2 Financial undertakings	–				–			
3 Credit institutions	–				–			
4 Loans and advances								
5 Debt securities, including UoP								
6 Equity instruments								
7 Other financial corporations								
8 of which investment firms	–				–			
9 Loans and advances								
10 Debt securities, including UoP								
11 Equity instruments								
12 of which management companies	–				–			
13 Loans and advances								
14 Debt securities, including UoP								
15 Equity instruments								
16 of which insurance undertakings	–				–			
17 Loans and advances								
18 Debt securities, including UoP								
19 Equity instruments								
20 Non-financial undertakings	–				–			
21 Loans and advances								
22 Debt securities, including UoP								
23 Equity instruments								
24 Households								
25 of which loans collateralised by residential immovable property								
26 of which building renovation loans								
27 of which motor vehicle loans								
28 Local governments financing	–				–			
29 Housing financing								
30 Other local government financing								
31 Collateral obtained by taking possession: residential and commercial immovable properties								
32 Total GAR assets	–				–			

Template 3.7 – GAR KPI stock – CapEx-based

	ax	ay	az	ba	bb	bc	bd	be
	Disclosure reference date T-1							
	Pollution (PPC)				Biodiversity and ecosystems (BIO)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
	of which use of proceeds				of which use of proceeds			
	of which enabling				of which enabling			
% (compared to total covered assets in the denominator)								
GAR - Covered assets in both numerator and denominator								
1 Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	–				–			
2 Financial undertakings	–				–			
3 Credit institutions	–				–			
4 Loans and advances								
5 Debt securities, including UoP								
6 Equity instruments								
7 Other financial corporations								
8 of which investment firms	–				–			
9 Loans and advances								
10 Debt securities, including UoP								
11 Equity instruments								
12 of which management companies	–				–			
13 Loans and advances								
14 Debt securities, including UoP								
15 Equity instruments								
16 of which insurance undertakings	–				–			
17 Loans and advances								
18 Debt securities, including UoP								
19 Equity instruments								
20 Non-financial undertakings	–				–			
21 Loans and advances								
22 Debt securities, including UoP								
23 Equity instruments								
24 Households								
25 of which loans collateralised by residential immovable property								
26 of which building renovation loans								
27 of which motor vehicle loans								
28 Local governments financing	–				–			
29 Housing financing								
30 Other local government financing								
31 Collateral obtained by taking possession: residential and commercial immovable properties								
32 Total GAR assets	–				–			

Template 3.8 – GAR KPI stock – CapEx-based

	bf	bg	bh	bi	bj	bk
	Disclosure reference date T-1					
	TOTAL (CCM + CCA + WTR + CE + PPC + BIO)					
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)					Proportion of total assets covered - T-1
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)					
			of which use of proceeds	of which transitional activities	of which enabling	
% (compared to total covered assets in the denominator)						
GAR - Covered assets in both numerator and denominator						
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	0.32%	0.32%	0.02%	–	–	–
2 Financial undertakings	–	–	–	–	–	–
3 Credit institutions	–	–	–	–	–	–
4 Loans and advances	–	–	–	–	–	–
5 Debt securities, including UoP	–	–	–	–	–	–
6 Equity instruments	–	–		–	–	–
7 Other financial corporations	–	–	–	–	–	–
8 of which investment firms	–	–	–	–	–	–
9 Loans and advances	–	–	–	–	–	–
10 Debt securities, including UoP	–	–	–	–	–	–
11 Equity instruments	–	–		–	–	–
12 of which management companies	–	–	–	–	–	–
13 Loans and advances	–	–	–	–	–	–
14 Debt securities, including UoP	–	–	–	–	–	–
15 Equity instruments	–	–		–	–	–
16 of which insurance undertakings	–	–	–	–	–	–
17 Loans and advances	–	–	–	–	–	–
18 Debt securities, including UoP	–	–	–	–	–	–
19 Equity instruments	–	–		–	–	–
20 Non-financial undertakings	0.32%	0.32%	0.02%	–	–	–
21 Loans and advances	0.32%	0.32%	0.02%	–	–	–
22 Debt securities, including UoP	–	–	–	–	–	–
23 Equity instruments	–	–		–	–	–
24 Households	–	–	–	–	–	–
25 of which loans collateralised by residential immovable property	–	–	–	–	–	–
26 of which building renovation loans	–	–	–	–	–	–
27 of which motor vehicle loans	–	–	–	–	–	–
28 Local governments financing	–	–	–	–	–	–
29 Housing financing	–	–	–	–	–	–
30 Other local government financing	–	–	–	–	–	–
31 Collateral obtained by taking possession: residential and commercial immovable properties	–	–	–	–	–	–
32 Total GAR assets	–	–	–	–	–	–

- 1 Institutions shall disclose in this template the GAR KPIs on stock of loans calculated based on the data disclosed in template 1, on covered assets, and by applying the formulae proposed in this template.
- 2 Information on the GAR (green asset ratio of "eligible" activities) shall be accompanied with information on the proportion of total assets covered by the GAR.
- 3 Credit institutions can, in addition to the information included in this template, show the proportion of assets funding taxonomy relevant sectors that are environmentally sustainable (taxonomy-aligned). This information would enrich the information on the KPI on environmentally sustainable assets compared to total covered assets.
- 4 Credit institutions shall duplicate this template for revenue-based and CapEx based disclosures.
- 5 At BayernLB, the term "specialised lending" is interpreted analogously to "use of proceeds".

Template 4.1 – GAR KPI flow – Turnover-based

	a	b	c	d	e	f	g	h	i
	Disclosure reference date T								
	Climate change mitigation (CCM)					Climate change adaptation (CCA)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
		of which use of proceeds	of which transitional	of which enabling			of which use of proceeds	of which enabling	
% (compared to flow of total eligible assets)									
GAR - Covered assets in both numerator and denominator									
1 Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	13.57%	0.55%	0.38%	0.01%	0.10%	–	–	–	–
2 Financial undertakings	2.71%	0.04%	–	–	–	–	–	–	–
3 Credit institutions	2.62%	0.04%	–	–	–	–	–	–	–
4 Loans and advances	1.17%	0.02%	–	–	–	–	–	–	–
5 Debt securities, including UoP	1.45%	0.02%	–	–	–	–	–	–	–
6 Equity instruments									
7 Other financial corporations	0.09%	–	–	–	–	–	–	–	–
8 of which investment firms	–	–	–	–	–	–	–	–	–
9 Loans and advances									
10 Debt securities, including UoP									
11 Equity instruments									
12 of which management companies	–	–	–	–	–	–	–	–	–
13 Loans and advances									
14 Debt securities, including UoP									
15 Equity instruments									
16 of which insurance undertakings	–	–	–	–	–	–	–	–	–
17 Loans and advances									
18 Debt securities, including UoP									
19 Equity instruments									
20 Non-financial undertakings	2.19%	0.50%	0.37%	–	0.09%	–	–	–	–
21 Loans and advances	2.04%	0.45%	0.37%	–	0.04%	–	–	–	–
22 Debt securities, including UoP	0.15%	0.05%	–	–	0.05%	–	–	–	–
23 Equity instruments									
24 Households	8.43%	0.01%	0.01%	–	0.01%	–	–	–	–
of which loans collateralised by residential immovable property	7.80%	–	–	–	–	–	–	–	–
26 of which building renovation loans	0.08%	0.01%	0.01%	–	0.01%	–	–	–	–
27 of which motor vehicle loans	0.54%	–	–	–	–	–	–	–	–
28 Local governments financing	0.24%	–	–	–	–	–	–	–	–
29 Housing financing	0.24%	–	–	–	–	–	–	–	–
30 Other local government financing	–	–	–	–	–	–	–	–	–
Collateral obtained by taking possession: residential and commercial immovable properties									
31									
32 Total GAR assets	13.57%	0.55%	0.38%	0.01%	0.10%	–	–	–	–

Template 4.2 – GAR KPI flow – Turnover-based

	j	k	l	m	n	o	p	q
	Disclosure reference date T							
	Water and marine resources (WTR)				Circular economy (CE)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
		of which use of proceeds	of which enabling			of which use of proceeds	of which enabling	
% (compared to flow of total eligible assets)								
GAR - Covered assets in both numerator and denominator								
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	–				0.10%			
2 Financial undertakings	–				–			
3 Credit institutions	–				–			
4 Loans and advances								
5 Debt securities, including UoP								
6 Equity instruments								
7 Other financial corporations								
8 of which investment firms	–				–			
9 Loans and advances								
10 Debt securities, including UoP								
11 Equity instruments								
12 of which management companies	–				–			
13 Loans and advances								
14 Debt securities, including UoP								
15 Equity instruments								
16 of which insurance undertakings	–				–			
17 Loans and advances								
18 Debt securities, including UoP								
19 Equity instruments								
20 Non-financial undertakings	–				0.10%			
21 Loans and advances	–				0.01%			
22 Debt securities, including UoP					0.09%			
23 Equity instruments								
24 Households								
25 of which loans collateralised by residential immovable property								
26 of which building renovation loans								
27 of which motor vehicle loans								
28 Local governments financing	–				–			
29 Housing financing								
30 Other local government financing								
Collateral obtained by taking possession: residential and commercial immovable properties								
31								
32 Total GAR assets	–				0.10%			

Template 4.3 – GAR KPI flow – Turnover-based

	r	s	t	u	v	w	x	z
	Disclosure reference date T							
	Pollution (PPC)				Biodiversity and ecosystems (BIO)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
			of which use of proceeds	of which enabling			of which use of proceeds	of which enabling
% (compared to flow of total eligible assets)								
GAR - Covered assets in both numerator and denominator								
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	0.01%				–			
2 Financial undertakings	–				–			
3 Credit institutions	–				–			
4 Loans and advances								
5 Debt securities, including UoP								
6 Equity instruments								
7 Other financial corporations								
8 of which investment firms	–				–			
9 Loans and advances								
10 Debt securities, including UoP								
11 Equity instruments								
12 of which management companies	–				–			
13 Loans and advances								
14 Debt securities, including UoP								
15 Equity instruments								
16 of which insurance undertakings	–				–			
17 Loans and advances								
18 Debt securities, including UoP								
19 Equity instruments								
20 Non-financial undertakings	0.01%				–			
21 Loans and advances	–				–			
22 Debt securities, including UoP	–							
23 Equity instruments								
24 Households								
25 of which loans collateralised by residential immovable property								
26 of which building renovation loans								
27 of which motor vehicle loans								
28 Local governments financing	–				–			
29 Housing financing								
30 Other local government financing								
Collateral obtained by taking possession: residential and commercial immovable properties								
31								
32 Total GAR assets	0.01%				–			

Template 4.4 – GAR KPI flow – Turnover-based

		aa	ab	ac	ad	ae	af
		Disclosure reference date T					
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)					
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)					Proportion of total new assets covered
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)					
				of which use of proceeds	of which transitional	of which enabling	
	% (compared to flow of total eligible assets)						
	GAR - Covered assets in both numerator and denominator						
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	13.67%	0.55%	0.38%	0.01%	0.10%	36.15%
2	Financial undertakings	2.71%	0.04%	–	–	–	7.56%
3	Credit institutions	2.62%	0.04%	–	–	–	7.18%
4	Loans and advances	1.17%	0.02%	–	–	–	4.28%
5	Debt securities, including UoP	1.45%	0.02%	–	–	–	2.90%
6	Equity instruments	–	–		–	–	
7	Other financial corporations	0.09%	–	–	–	–	0.37%
8	of which investment firms	–	–	–	–	–	–
9	Loans and advances	–	–	–	–	–	
10	Debt securities, including UoP	–	–	–	–	–	
11	Equity instruments	–	–		–	–	
12	of which management companies	–	–	–	–	–	–
13	Loans and advances	–	–	–	–	–	
14	Debt securities, including UoP	–	–	–	–	–	
15	Equity instruments	–	–		–	–	
16	of which insurance undertakings	–	–	–	–	–	–
17	Loans and advances	–	–	–	–	–	–
18	Debt securities, including UoP	–	–	–	–	–	
19	Equity instruments	–	–		–	–	
20	Non-financial undertakings	2.30%	0.50%	0.37%	–	0.09%	8.73%
21	Loans and advances	2.06%	0.45%	0.37%	–	0.04%	8.41%
22	Debt securities, including UoP	0.23%	0.05%	–	–	0.05%	0.33%
23	Equity instruments	–	–		–	–	
24	Households	8.43%	0.01%	0.01%	–	0.01%	18.32%
25	of which loans collateralised by residential immovable property	7.80%	–	–	–	–	7.80%
26	of which building renovation loans	0.08%	0.01%	0.01%	–	0.01%	0.08%
27	of which motor vehicle loans	0.54%	–	–	–	–	0.54%
28	Local governments financing	0.24%	–	–	–	–	1.54%
29	Housing financing	0.24%	–	–	–	–	0.37%
30	Other local government financing	–	–	–	–	–	1.17%
31	Collateral obtained by taking possession: residential and commercial immovable properties	–	–	–	–	–	
32	Total GAR assets	13.67%	0.55%	0.38%	0.01%	0.10%	100.00%

- 1 Institutions shall disclose in this template the GAR KPIs on flow of loans calculated (new loans on a net basis) based on the data disclosed in template 1, on covered assets, and by applying the formulas proposed in this template.
- 2 Credit institutions shall duplicate this template for revenue-based and CapEx-based disclosures.

Template 4.1 – GAR KPI flow – CapEx-based

	a	b	c	d	e	f	g	h	i
	Disclosure reference date T								
	Climate change mitigation (CCM)					Climate change adaptation (CCA)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
		of which use of proceeds	of which transitional	of which enabling			of which use of proceeds	of which enabling	
% (compared to flow of total eligible assets)									
GAR - Covered assets in both numerator and denominator									
1 Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	13.16%	0.69%	0.38%	0.04%	0.09%	–	–	–	–
2 Financial undertakings	2.05%	0.03%	–	–	–	–	–	–	–
3 Credit institutions	1.96%	0.03%	–	–	–	–	–	–	–
4 Loans and advances	1.16%	0.01%	–	–	–	–	–	–	–
5 Debt securities, including UoP	0.80%	0.02%	–	–	–	–	–	–	–
6 Equity instruments	–	–	–	–	–	–	–	–	–
7 Other financial corporations	0.09%	–	–	–	–	–	–	–	–
8 of which investment firms	–	–	–	–	–	–	–	–	–
9 Loans and advances	–	–	–	–	–	–	–	–	–
10 Debt securities, including UoP	–	–	–	–	–	–	–	–	–
11 Equity instruments	–	–	–	–	–	–	–	–	–
12 of which management companies	–	–	–	–	–	–	–	–	–
13 Loans and advances	–	–	–	–	–	–	–	–	–
14 Debt securities, including UoP	–	–	–	–	–	–	–	–	–
15 Equity instruments	–	–	–	–	–	–	–	–	–
16 of which insurance undertakings	–	–	–	–	–	–	–	–	–
17 Loans and advances	–	–	–	–	–	–	–	–	–
18 Debt securities, including UoP	–	–	–	–	–	–	–	–	–
19 Equity instruments	–	–	–	–	–	–	–	–	–
20 Non-financial undertakings	2.45%	0.65%	0.37%	0.04%	0.08%	–	–	–	–
21 Loans and advances	2.27%	0.60%	0.37%	0.04%	0.06%	–	–	–	–
22 Debt securities, including UoP	0.18%	0.04%	–	–	0.02%	–	–	–	–
23 Equity instruments	–	–	–	–	–	–	–	–	–
24 Households	8.43%	0.01%	0.01%	–	0.01%	–	–	–	–
of which loans collateralised by residential immovable property	7.80%	–	–	–	–	–	–	–	–
26 of which building renovation loans	0.08%	0.01%	0.01%	–	0.01%	–	–	–	–
27 of which motor vehicle loans	0.54%	–	–	–	–	–	–	–	–
28 Local governments financing	0.24%	–	–	–	–	–	–	–	–
29 Housing financing	0.24%	–	–	–	–	–	–	–	–
30 Other local government financing	–	–	–	–	–	–	–	–	–
Collateral obtained by taking possession: residential and commercial immovable properties									
31									
32 Total GAR assets	13.16%	0.69%	0.38%	0.04%	0.09%	–	–	–	–

Template 4.2 – GAR KPI flow – CapEx-based

	j	k	l	m	n	o	p	q
	Disclosure reference date T							
	Water and marine resources (WTR)				Circular economy (CE)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
		of which use of proceeds	of which enabling			of which use of proceeds	of which enabling	
% (compared to flow of total eligible assets)								
GAR - Covered assets in both numerator and denominator								
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	–				0.08%			
2 Financial undertakings	–				–			
3 Credit institutions	–				–			
4 Loans and advances								
5 Debt securities, including UoP								
6 Equity instruments								
7 Other financial corporations								
8 of which investment firms	–				–			
9 Loans and advances								
10 Debt securities, including UoP								
11 Equity instruments								
12 of which management companies	–				–			
13 Loans and advances								
14 Debt securities, including UoP								
15 Equity instruments								
16 of which insurance undertakings	–				–			
17 Loans and advances								
18 Debt securities, including UoP								
19 Equity instruments								
20 Non-financial undertakings	–				0.08%			
21 Loans and advances	–				0.01%			
22 Debt securities, including UoP					0.07%			
23 Equity instruments								
24 Households								
25 of which loans collateralised by residential immovable property								
26 of which building renovation loans								
27 of which motor vehicle loans								
28 Local governments financing	–				–			
29 Housing financing								
30 Other local government financing								
Collateral obtained by taking possession: residential and commercial immovable properties								
31								
32 Total GAR assets	–				0.08%			

Template 4.3 – GAR KPI flow – CapEx-based

	r	s	t	u	v	w	x	z
	Disclosure reference date T							
	Pollution (PPC)				Biodiversity and ecosystems (BIO)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
			of which use of proceeds	of which enabling			of which use of proceeds	of which enabling
% (compared to flow of total eligible assets)								
GAR - Covered assets in both numerator and denominator								
1 Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	0.01%				–			
2 Financial undertakings	–				–			
3 Credit institutions	–				–			
4 Loans and advances								
5 Debt securities, including UoP								
6 Equity instruments								
7 Other financial corporations								
8 of which investment firms	–				–			
9 Loans and advances								
10 Debt securities, including UoP								
11 Equity instruments								
12 of which management companies	–				–			
13 Loans and advances								
14 Debt securities, including UoP								
15 Equity instruments								
16 of which insurance undertakings	–				–			
17 Loans and advances								
18 Debt securities, including UoP								
19 Equity instruments								
20 Non-financial undertakings	0.01%				–			
21 Loans and advances	0.01%							
22 Debt securities, including UoP								
23 Equity instruments								
24 Households								
25 of which loans collateralised by residential immovable property								
26 of which building renovation loans								
27 of which motor vehicle loans								
28 Local governments financing	–				–			
29 Housing financing								
30 Other local government financing								
Collateral obtained by taking possession: residential and commercial immovable properties								
31								
32 Total GAR assets	0.01%				–			

Template 4.4 – GAR KPI flow – CapEx-based

		aa	ab	ac	ad	ae	af
		Disclosure reference date T					
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)					
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)					Proportion of total new assets covered
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)					
	% (compared to flow of total eligible assets)			of which use of roceeds	of which transitional	of which enabling	
	GAR - Covered assets in both numerator and denominator						
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	13.25%	0.69%	0.38%	0.04%	0.09%	36.15%
2	Financial undertakings	2.05%	0.03%	–	–	–	7.56%
3	Credit institutions	1.96%	0.03%	–	–	–	7.18%
4	Loans and advances	1.16%	0.01%	–	–	–	4.28%
5	Debt securities, including UoP	0.80%	0.02%	–	–	–	2.90%
6	Equity instruments	–	–		–	–	
7	Other financial corporations	0.09%	–	–	–	–	0.37%
8	of which investment firms	–	–	–	–	–	–
9	Loans and advances	–	–	–	–	–	
10	Debt securities, including UoP	–	–	–	–	–	
11	Equity instruments	–	–		–	–	
12	of which management companies	–	–	–	–	–	–
13	Loans and advances	–	–	–	–	–	
14	Debt securities, including UoP	–	–	–	–	–	
15	Equity instruments	–	–		–	–	
16	of which insurance undertakings	–	–	–	–	–	–
17	Loans and advances	–	–	–	–	–	–
18	Debt securities, including UoP	–	–	–	–	–	
19	Equity instruments	–	–		–	–	
20	Non-financial undertakings	2.54%	0.65%	0.37%	0.04%	0.08%	8.73%
21	Loans and advances	2.30%	0.60%	0.37%	0.04%	0.06%	8.41%
22	Debt securities, including UoP	0.25%	0.04%	–	–	0.02%	0.33%
23	Equity instruments	–	–		–	–	
24	Households	8.43%	0.01%	0.01%	–	0.01%	18.32%
	of which loans collateralised by residential immovable property	7.80%	–	–	–	–	7.80%
26	of which building renovation loans	0.08%	0.01%	0.01%	–	0.01%	0.08%
27	of which motor vehicle loans	0.54%	–	–	–	–	0.54%
28	Local governments financing	0.24%	–	–	–	–	1.54%
29	Housing financing	0.24%	–	–	–	–	0.37%
30	Other local government financing	–	–	–	–	–	1.17%
31	Collateral obtained by taking possession: residential and commercial immovable properties	–	–	–	–	–	
32	Total GAR assets	13.25%	0.69%	0.38%	0.04%	0.09%	100.00%

- 1 Institutions shall disclose in this template the GAR KPIs on flow of loans calculated (new loans on a net basis) based on the data disclosed in template 1, on covered assets, and by applying the formulas proposed in this template.
- 2 Credit institutions shall duplicate this template for revenue-based and CapEx-based disclosures.

Template 5.1 – KPI off-balance sheet exposures – Turnover-based stock

		a	b	c	d	e	f	g	h	i
		Disclosure reference date T								
		Climate change mitigation (CCM)					Climate change adaptation (CCA)			
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
	% (compared to total eligible off-balance sheet assets)		of which use of proceeds	of which transitional	of which enabling			of which use of proceeds	of which enabling	
1	Financial guarantees (FinGuar KPI)	13.80%	6.08%	0.22%	1.62%	0.18%	0.01%			–
2	Assets under management (AuM KPI)	5.47%	2.38%	0.20%	1.18%	0.43%	0.09%			0.04%

Template 5.2 – KPI off-balance sheet exposures – Turnover-based stock

		j	k	l	m	n	o	p	q
		Disclosure reference date T							
		Water and marine resources (WTR)				Circular economy (CE)			
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
	% (compared to total eligible off-balance sheet assets)		of which use of proceeds	of which enabling			of which use of proceeds	of which enabling	
1	Financial guarantees (FinGuar KPI)	–			0.13%				
2	Assets under management (AuM KPI)	0.04%			0.31%				

Template 5.3 – KPI off-balance sheet exposures – Turnover-based stock

		r	s	t	u	v	w	x	z
		Disclosure reference date T							
		Pollution (PPC)				Biodiversity and ecosystems (BIO)			
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
	% (compared to total eligible off-balance sheet assets)		of which use of proceeds	of which enabling			of which use of proceeds	of which enabling	
1	Financial guarantees (FinGuar KPI)	–							
2	Assets under management (AuM KPI)	0.27%			0.04%				

Template 5.4 – KPI off-balance sheet exposures – Turnover-based stock

	aa	ab	ac	ad	ae
	Disclosure reference date T				
	TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				
			of which use of proceeds	of which transitional	of which enabling
% (compared to total eligible off-balance sheet assets)					
1 Financial guarantees (FinGuar KPI)	14.12%	6.09%	–	0.22%	1.62%
2 Assets under management (AuM KPI)	6.57%	2.47%	–	0.20%	1.22%

1 Institutions shall disclose in this template the KPIs for off-balance-sheet exposures (financial guarantees and AuM) calculated based on the date disclosed in template 1, on covered assets, and by applying the formulas proposed in this template.

2 Institutions shall duplicate this template to disclose stock and flow KPIs for off-balance-sheet exposures.

Template 5.1 – KPI off-balance sheet exposures – CapEx-based stock

	a	b	c	d	e	f	g	h	i
	Disclosure reference date T								
	Climate change mitigation (CCM)					Climate change adaptation (CCA)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
		of which use of proceeds	of which transitional	of which enabling			of which use of proceeds	of which enabling	
% (compared to total eligible off-balance sheet assets)									
1 Financial guarantees (FinGuar KPI)	11.45%	5.03%	0.05%	1.21%	1.77%	1.52%			0.25%
2 Assets under management (AuM KPI)	6.17%	3.01%	0.23%	1.68%	0.37%	0.16%			0.05%

Template 5.2 – KPI off-balance sheet exposures – CapEx-based stock

	j	k	l	m	n	o	p	q
	Disclosure reference date T							
	Water and marine resources (WTR)				Circular economy (CE)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
		of which use of proceeds	of which enabling			of which use of proceeds	of which enabling	
% (compared to total eligible off-balance sheet assets)								
1 Financial guarantees (FinGuar KPI)					0.09%			
2 Assets under management (AuM KPI)	0.08%				0.23%			

Template 5.3 – KPI off-balance sheet exposures – CapEx-based stock

	r	s	t	u	v	w	x	z
	Disclosure reference date T							
	Pollution (PPC)				Biodiversity and ecosystems (BIO)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
% (compared to total eligible off-balance sheet assets)			of which use of proceeds	of which enabling			of which use of proceeds	of which enabling
1 Financial guarantees (FinGuar KPI)	–							
2 Assets under management (AuM KPI)	0.20%				0.02%			

Template 5.4 – KPI off-balance sheet exposures – CapEx-based stock

	aa	ab	ac	ad	ae
	Disclosure reference date T				
	TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				
% (compared to total eligible off-balance sheet assets)			of which use of proceeds	of which transitional	of which enabling
1 Financial guarantees (FinGuar KPI)		13.31%	6.55%	–	1.46%
2 Assets under management (AuM KPI)		7.07%	3.17%	–	1.73%

1 Institutions shall disclose in this template the KPIs for off-balance-sheet exposures (financial guarantees and AuM) calculated based on the date disclosed in template 1, on covered assets, and by applying the formulas proposed in this template.

2 Institutions shall duplicate this template to disclose stock and flow KPIs for off-balance-sheet exposures.

Template 5.1 – KPI off-balance sheet exposures – Turnover-based flow

	a	b	c	d	e	f	g	h	i
	Disclosure reference date T								
	Climate change mitigation (CCM)					Climate change adaptation (CCA)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
% (compared to total eligible off-balance sheet assets)			of which use of proceeds	of which transitional	of which enabling			of which use of proceeds	of which enabling
1 Financial guarantees (FinGuar KPI)	6.59%	0.54%		0.01%	0.15%	0.08%	–		–
2 Assets under management (AuM KPI)									

Template 5.2 – KPI off-balance sheet exposures – Turnover-based flow

		j	k	l	m	n	o	p	q
		Disclosure reference date T							
		Water and marine resources (WTR)				Circular economy (CE)			
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
	% (compared to total eligible off-balance sheet assets)		of which use of proceeds	of which enabling			of which use of proceeds	of which enabling	
1	Financial guarantees (FinGuar KPI)	0.01%				0.09%			
2	Assets under management (AuM KPI)								

Template 5.3 – KPI off-balance sheet exposures – Turnover-based flow

		r	s	t	u	v	w	x	z
		Disclosure reference date T							
		Pollution (PPC)				Biodiversity and ecosystems (BIO)			
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
	% (compared to total eligible off-balance sheet assets)		of which use of proceeds	of which enabling			of which use of proceeds	of which enabling	
1	Financial guarantees (FinGuar KPI)	0.01%							
2	Assets under management (AuM KPI)								

Template 5.4 – KPI off-balance sheet exposures – Turnover-based flow

		aa	ab	ac	ad	ae
		Disclosure reference date T				
		TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				
	% (compared to total eligible off-balance sheet assets)		of which use of proceeds	of which transitional	of which enabling	
1	Financial guarantees (FinGuar KPI)	6.79%	0.54%	–	0.01%	0.15%
2	Assets under management (AuM KPI)	–	–	–	–	–

1 Institutions shall disclose in this template the KPIs for off-balance-sheet exposures (financial guarantees and AuM) calculated based on the date disclosed in template 1, on covered assets, and by applying the formulas proposed in this template.

2 Institutions shall duplicate this template to disclose stock and flow KPIs for off-balance-sheet exposures.

Template 5.1 – KPI off-balance sheet exposures – CapEx-based flow

		a	b	c	d	e	f	g	h	i
		Disclosure reference date T								
		Climate change mitigation (CCM)				Climate change adaptation (CCA)				
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				
	% (compared to total eligible off-balance sheet assets)		of which use of proceeds	of which transitional	of which enabling			of which use of proceeds	of which enabling	
1	Financial guarantees (FinGuar KPI)	6.35%	0.80%		0.04%	0.20%	0.11%	0.02%		
2	Assets under management (AuM KPI)									

Template 5.2 – KPI off-balance sheet exposures – CapEx-based flow

		j	k	l	m	n	o	p	q
		Disclosure reference date T							
		Water and marine resources (WTR)				Circular economy (CE)			
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
	% (compared to total eligible off-balance sheet assets)		of which use of proceeds	of which enabling			of which use of proceeds	of which enabling	
1	Financial guarantees (FinGuar KPI)				0.05%				
2	Assets under management (AuM KPI)								

Template 5.3 – KPI off-balance sheet exposures – CapEx-based flow

		r	s	t	u	v	w	x	z
		Disclosure reference date T							
		Pollution (PPC)				Biodiversity and ecosystems (BIO)			
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)			
		Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)			
	% (compared to total eligible off-balance sheet assets)		of which use of proceeds	of which enabling			of which use of proceeds	of which enabling	
1	Financial guarantees (FinGuar KPI)	–							
2	Assets under management (AuM KPI)								

Template 5.4 – KPI off-balance sheet exposures – CapEx-based flow

	aa	ab	ac	ad	ae
	Disclosure reference date T				
	TOTAL (CCM + CCA + WTR + CE + PPC + BIO)				
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-eligible)				
	Proportion of total covered assets funding taxonomy relevant sectors (taxonomy-aligned)				
	of which use of proceeds				
	of which transitional				
	of which enabling				
% (compared to total eligible off-balance sheet assets)					
1 Financial guarantees (FinGuar KPI)	6.50%	0.82%	–	0.04%	0.20%
2 Assets under management (AuM KPI)	–	–	–	–	–

1 Institutions shall disclose in this template the KPIs for off-balance-sheet exposures (financial guarantees and AuM) calculated based on the date disclosed in template 1, on covered assets, and by applying the formulas proposed in this template.

2 Institutions shall duplicate this template to disclose stock and flow KPIs for off-balance-sheet exposures.

Environmental templates

Template 1 – Nuclear and fossil gas-related activities

Row	Nuclear energy related activities	
1	The undertaking carries out, funds or has exposures to research, development, demonstration and deployment of innovative electricity generation facilities that produce energy from nuclear processes with minimal waste from the fuel cycle.	No
2	The undertaking carries out, funds or has exposures to construction and safe operation of new nuclear installations to produce electricity or process heat, including for the purposes of district heating or industrial processes such as hydrogen production, as well as their safety upgrades, using best available technologies.	Yes
3	The undertaking carries out, funds or has exposures to safe operation of existing nuclear installations that produce electricity or process heat, including for the purposes of district heating or industrial processes such as hydrogen production from nuclear energy, as well as their safety upgrades.	Yes
	Fossil gas related activities	
4	The undertaking carries out, funds or has exposures to construction or operation of electricity generation facilities that produce electricity using fossil gaseous fuels.	Yes
5	The undertaking carries out, funds or has exposures to construction, refurbishment, and operation of combined heat/cool and power generation facilities using fossil gaseous fuels.	Yes
6	The undertaking carries out, funds or has exposures to construction, refurbishment and operation of heat generation facilities that produce heat/cool using fossil gaseous fuels.	Yes

Template 2 – Taxonomy-aligned economic activities (denominator) – Turnover-based

Row	Economic activities	Stock					
		Amount and proportion (the information is to be presented in monetary amounts and as percentages)					
		CCM + CCA		Climate change mitigation (CCM)		Climate change adaptation (CCA)	
		Amount	%	Amount	%	Amount	%
1	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
2	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
3	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
4	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
5	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
6	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
7	Amount and proportion of other taxonomy-aligned economic activities not referred to in rows 1 to 6 above in the denominator of the applicable KPI	1,101	0.53%	1,101	0.53%	–	–
8	Total applicable KPI	206,875	100.00%	206,875	100.00%	206,875	100.00%

Row	Economic activities	Flow					
		Amount and proportion (the information is to be presented in monetary amounts and as percentages)					
		CCM + CCA		Climate change mitigation (CCM)		Climate change adaptation (CCA)	
		Amount	%	Amount	%	Amount	%
1	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
2	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
3	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
4	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
5	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
6	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
7	Amount and proportion of other taxonomy-aligned economic activities not referred to in rows 1 to 6 above in the denominator of the applicable KPI	185	0.55%	185	0.55%	–	–
8	Total applicable KPI	33,544	100.00%	33,544	100.00%	33,544	100.00%

Template 2 – Taxonomy-aligned economic activities (denominator) – CapEx-based

Row	Economic activities	Stock					
		Amount and proportion (the information is to be presented in monetary amounts and as percentages)					
		CCM + CCA		Climate change mitigation (CCM)		Climate change adaptation (CCA)	
		Amount	%	Amount	%	Amount	%
1	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
2	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
3	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
4	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	18	0.01%	18	0.01%		
5	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	8	–	8	–		
6	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	3	–	3	–		
7	Amount and proportion of other taxonomy-aligned economic activities not referred to in rows 1 to 6 above in the denominator of the applicable KPI	1,427	0.69%	1,426	0.69%	–	–
8	Total applicable KPI	206,875	100.00%	206,875	100.00%	206,875	100.00%

Row	Economic activities	Flow					
		Amount and proportion (the information is to be presented in monetary amounts and as percentages)					
		CCM + CCA		Climate change mitigation (CCM)		Climate change adaptation (CCA)	
		Amount	%	Amount	%	Amount	%
1	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
2	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
3	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
4	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	1	–	1	–		
5	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
6	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	1	–	1	–		
7	Amount and proportion of other taxonomy-aligned economic activities not referred to in rows 1 to 6 above in the denominator of the applicable KPI	230	0.69%	230	0.69%		
8	Total applicable KPI	33,544	100.00%	33,544	100.00%	33,544	100.00%

Template 3 – Taxonomy-aligned economic activities (numerator) – Turnover-based

Row	Economic activities	Stock					
		Amount and proportion (the information is to be presented in monetary amounts and as percentages)					
		CCM + CCA		Climate change mitigation (CCM)		Climate change adaptation (CCA)	
		Amount	%	Amount	%	Amount	%
1	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI						
2	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI						
3	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI	–	0.02%	–	0.02%		
4	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI						
5	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI	–	0.03%	–	0.03%		
6	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI	–	0.02%	–	0.02%		
7	Amount and proportion of other taxonomy-aligned economic activities not referred to in rows 1 to 6 above in the numerator of the applicable KPI	1,101	99.94%	1,101	99.94%	–	100.00%
8	Total amount and proportion of taxonomy-aligned economic activities in the numerator of the applicable KPI	1,102	100.00%	1,101	100.00%	–	100.00%

Row	Economic activities	Flow					
		Amount and proportion (the information is to be presented in monetary amounts and as percentages)					
		CCM + CCA		Climate change mitigation (CCM)		Climate change adaptation (CCA)	
		Amount	%	Amount	%	Amount	%
1	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI						
2	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI						
3	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI	–	0.02%	–	0.02%		
4	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI						
5	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI	–	0.07%	–	0.07%		
6	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI	–	0.03%	–	0.03%		
7	Amount and proportion of other taxonomy-aligned economic activities not referred to in rows 1 to 6 above in the numerator of the applicable KPI	185	99.89%	185	99.89%	–	100.00%
8	Total amount and proportion of taxonomy-aligned economic activities in the numerator of the applicable KPI	186	100.00%	186	100.00%	–	100.00%

Template 3 – Taxonomy-aligned economic activities (numerator) – CapEx-based

Row	Economic activities	Stock					
		Amount and proportion (the information is to be presented in monetary amounts and as percentages)					
		CCM + CCA		Climate change mitigation (CCM)		Climate change adaptation (CCA)	
		Amount	%	Amount	%	Amount	%
1	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI						
2	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI	–	–	–	–		
3	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI	–	0.02%	–	0.02%		
4	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI	18	1.22%	18	1.22%		
5	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI	8	0.53%	8	0.53%		
6	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI	3	0.19%	3	0.19%		
7	Amount and proportion of other taxonomy-aligned economic activities not referred to in rows 1 to 6 above in the numerator of the applicable KPI	1,427	98.04%	1,426	98.04%	–	100.00%
8	Total amount and proportion of taxonomy-aligned economic activities in the numerator of the applicable KPI	1,455	100.00%	1,455	100.00%	–	100.00%

Row	Economic activities	Flow					
		Amount and proportion (the information is to be presented in monetary amounts and as percentages)					
		CCM + CCA		Climate change mitigation (CCM)		Climate change adaptation (CCA)	
		Amount	%	Amount	%	Amount	%
1	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI						
2	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI	–	–	–	–		
3	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI	–	–	–	–		
4	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI	1	0.07%	1	0.07%		
5	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI	–	0.03%	–	0.03%		
6	Amount and proportion of taxonomy- aligned economic activity referred to in Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the numerator of the applicable KPI	1	0.06%	1	0.06%		
7	Amount and proportion of other taxonomy-aligned economic activities not referred to in rows 1 to 6 above in the numerator of the applicable KPI	230	15.79%	230	15.80%		
8	Total amount and proportion of taxonomy-aligned economic activities in the numerator of the applicable KPI	232	15.96%	232	15.96%		

Template 4 – Taxonomy-eligible but not taxonomy-aligned economic activities – Turnover-based

Row	Economic activities	Stock					
		Amount and proportion (the information is to be presented in monetary amounts and as percentages)					
		CCM + CCA		Climate change mitigation (CCM)		Climate change adaptation (CCA)	
		Amount	%	Amount	%	Amount	%
1	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
2	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
3	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
4	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
5	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	10	0.03%	10	0.03%		
6	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
7	Amount and proportion of other taxonomy-eligible but not taxonomy-aligned economic activities not referred to in rows 1 to 6 above in the denominator of the applicable KPI	29,225	99.97%	29,221	99.97%	5	100.00%
8	Total amount and proportion of taxonomy eligible but not taxonomy-aligned economic activities in the denominator of the applicable KPI	29,235	100.00%	29,231	100.00%	5	100.00%

Row	Economic activities	Flow					
		Amount and proportion (the information is to be presented in monetary amounts and as percentages)					
		CCM + CCA		Climate change mitigation (CCM)		Climate change adaptation (CCA)	
		Amount	%	Amount	%	Amount	%
1	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
2	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
3	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
4	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
5	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	0.01%	–	0.01%		
6	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
7	Amount and proportion of other taxonomy-eligible but not taxonomy-aligned economic activities not referred to in rows 1 to 6 above in the denominator of the applicable KPI	4,365	99.99%	4,364	99.99%	1	100.00%
8	Total amount and proportion of taxonomy eligible but not taxonomy-aligned economic activities in the denominator of the applicable KPI	4,365	100.00%	4,365	100.00%	1	100.00%

Template 4 – Taxonomy-eligible but not taxonomy-aligned economic activities – CapEx-based)

Row	Economic activities	Stock					
		Amount and proportion (the information is to be presented in monetary amounts and as percentages)					
		CCM + CCA		Climate change mitigation (CCM)		Climate change adaptation (CCA)	
		Amount	%	Amount	%	Amount	%
1	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
2	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
3	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
4	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
5	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	2	0.01%	2	0.01%	–	–
6	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
7	Amount and proportion of other taxonomy-eligible but not taxonomy-aligned economic activities not referred to in rows 1 to 6 above in the denominator of the applicable KPI	29,432	99.99%	29,423	99.99%	8	100.00%
8	Total amount and proportion of taxonomy eligible but not taxonomy-aligned economic activities in the denominator of the applicable KPI	29,434	100.00%	29,426	100.00%	8	100.00%

Row	Economic activities	Flow					
		Amount and proportion (the information is to be presented in monetary amounts and as percentages)					
		CCM + CCA		Climate change mitigation (CCM)		Climate change adaptation (CCA)	
		Amount	%	Amount	%	Amount	%
1	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
2	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
3	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
4	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
5	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–	–	–		
6	Amount and proportion of taxonomy- eligible but not taxonomy-aligned economic activity referred to in Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI						
7	Amount and proportion of other taxonomy-eligible but not taxonomy-aligned economic activities not referred to in rows 1 to 6 above in the denominator of the applicable KPI	4,184	100.00%	4,183	100.00%	–	100.00%
8	Total amount and proportion of taxonomy eligible but not taxonomy-aligned economic activities in the denominator of the applicable KPI	4,184	100.00%	4,184	100.00%	–	100.00%

Template 5 – Taxonomy non-eligible economic activities – Turnover-based

Row	Economic activities	Stock	
		Amount	Percentage
1	Amount and proportion of economic activity referred to in row 1 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
2	Amount and proportion of economic activity referred to in row 2 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
3	Amount and proportion of economic activity referred to in row 3 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	1	–
4	Amount and proportion of economic activity referred to in row 4 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
5	Amount and proportion of economic activity referred to in row 5 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
6	Amount and proportion of economic activity referred to in row 6 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
7	Amount and proportion of other taxonomy-non-eligible economic activities not referred to in rows 1 to 6 above in the denominator of the applicable KPI	176,439	100.00%
8	Total amount and proportion of taxonomy-non-eligible economic activities in the denominator of the applicable KPI'	176,439	100.00%

Row	Economic activities	Flow	
		Amount	Percentage
1	Amount and proportion of economic activity referred to in row 1 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
2	Amount and proportion of economic activity referred to in row 2 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
3	Amount and proportion of economic activity referred to in row 3 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
4	Amount and proportion of economic activity referred to in row 4 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
5	Amount and proportion of economic activity referred to in row 5 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
6	Amount and proportion of economic activity referred to in row 6 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
7	Amount and proportion of other taxonomy-non-eligible economic activities not referred to in rows 1 to 6 above in the denominator of the applicable KPI	28,958	100.00%
8	Total amount and proportion of taxonomy-non-eligible economic activities in the denominator of the applicable KPI'	28,958	100.00%

Template 5 – Taxonomy non-eligible economic activities – CapEx-based

Row	Economic activities	Stock	
		Amount	Percentage
1	Amount and proportion of economic activity referred to in row 1 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
2	Amount and proportion of economic activity referred to in row 2 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
3	Amount and proportion of economic activity referred to in row 3 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI	–	–
4	Amount and proportion of economic activity referred to in row 4 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
5	Amount and proportion of economic activity referred to in row 5 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
6	Amount and proportion of economic activity referred to in row 6 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
7	Amount and proportion of other taxonomy-non-eligible economic activities not referred to in rows 1 to 6 above in the denominator of the applicable KPI	175,892	100.00%
8	Total amount and proportion of taxonomy-non-eligible economic activities in the denominator of the applicable KPI'	175,892	100.00%

Row	Economic activities	Flow	
		Amount	Percentage
1	Amount and proportion of economic activity referred to in row 1 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.26 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
2	Amount and proportion of economic activity referred to in row 2 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.27 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
3	Amount and proportion of economic activity referred to in row 3 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.28 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
4	Amount and proportion of economic activity referred to in row 4 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.29 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
5	Amount and proportion of economic activity referred to in row 5 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.30 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
6	Amount and proportion of economic activity referred to in row 6 of Template 1 that is taxonomy-non-eligible in accordance with Section 4.31 of Annexes I and II to Delegated Regulation 2021/2139 in the denominator of the applicable KPI		
7	Amount and proportion of other taxonomy-non-eligible economic activities not referred to in rows 1 to 6 above in the denominator of the applicable KPI	29,099	100.00%
8	Total amount and proportion of taxonomy-non-eligible economic activities in the denominator of the applicable KPI'	29,099	100.00%

ASSURANCE REPORT OF THE INDEPENDENT GERMAN PUBLIC AUDITOR ON A LIMITED ASSURANCE ENGAGEMENT IN RELATION TO A COMBINED SEPARATE NON-FINANCIAL REPORT

To Bayerische Landesbank, Anstalt des öffentlichen Rechts, Munich

Assurance Conclusion

We have conducted a limited assurance engagement on the combined separate non-financial report of Bayerische Landesbank, Anstalt des öffentlichen Rechts, Munich, (hereinafter the “Company”) to comply with §§ [Articles] 289b to 289e HGB [Handelsgesetzbuch: German Commercial Code] and §§ 315b to 315c HGB including the disclosures contained in this combined separate non-financial report to fulfil the requirements of Article 8 of Regulation (EU) 2020/852 (hereinafter the “Combined Non-Financial Reporting”) for the financial year from 1 January to 31 December 2024.

Not subject to our assurance engagement were the external sources of documentation or expert opinions mentioned in the Combined Non-Financial Reporting, which are marked as unassured.

Based on the procedures performed and the evidence obtained, nothing has come to our attention that causes us to believe that the accompanying Combined Non-Financial Reporting for the financial year from 1 January to 31 December 2024 is not prepared, in all material respects, in accordance with § 315c in conjunction with §§ 289c to 289e HGB and the requirements of Article 8 of Regulation (EU) 2020/852 as well as with the supplementary criteria presented by the executive directors of the Company.

We do not express an assurance conclusion on the external sources of documentation or expert opinions mentioned in the Combined Non-Financial Reporting, which are marked as unassured.

Basis for the Assurance Conclusion

We conducted our limited assurance engagement in accordance with the International Standard on Assurance Engagements (ISAE) 3000 (Revised): Assurance Engagements Other Than Audits or Reviews of Historical Financial Information, issued by the International Auditing and Assurance Standards Board (IAASB).

The procedures in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. Consequently, the level of assurance obtained is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

Our responsibilities under ISAE 3000 (Revised) are further described in the “German Public Auditor's Responsibilities for the Assurance Engagement on the Combined Non-Financial Reporting” section.

We are independent of the Company in accordance with the requirements of European law and German commercial and professional law, and we have fulfilled our other German professional responsibilities in accordance with these requirements. Our audit firm has complied with the quality management system requirements of the IDW Standard on Quality Management: Requirements for Quality Management in the Audit Firm (IDW QMS 1

(09.2022)) issued by the Institut der Wirtschaftsprüfer (Institute of Public Auditors in Germany; IDW). We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our assurance conclusion.

Responsibility of the Executive Directors and the Supervisory Board for the Combined Non-Financial Reporting

The executive directors are responsible for the preparation of the Combined Non-Financial Reporting in accordance with the relevant German legal and European regulations as well as with the supplementary criteria presented by the executive directors of the Company. They are also responsible for the design, implementation and maintenance of such internal controls that they have considered necessary to enable the preparation of a Combined Non-Financial Reporting in accordance with these regulations that is free from material misstatement, whether due to fraud (i.e., manipulation of the Combined Non-Financial Reporting) or error.

This responsibility of the executive directors includes selecting and applying appropriate reporting policies for preparing the Combined Non-Financial Reporting, as well as making assumptions and estimates and ascertaining forward-looking information for individual sustainability-related disclosures.

The supervisory board is responsible for overseeing the process for the preparation of the Combined Non-Financial Reporting.

Inherent Limitations in the Preparation of the Combined Non-Financial Reporting

The relevant German statutory legal and European regulations contain wording and terms that are still subject to considerable interpretation uncertainties and for which no authoritative, comprehensive interpretations have yet been published. As such wording and terms may be interpreted differently by regulators or courts, the legal conformity of measurements or evaluations of sustainability matters based on these interpretations is uncertain.

These inherent limitations also affect the assurance engagement on the Combined Non-Financial Reporting.

German Public Auditor's Responsibilities for the Assurance Engagement on the Combined Non-Financial Reporting

Our objective is to express a limited assurance conclusion, based on the assurance engagement we have conducted, on whether any matters have come to our attention that cause us to believe that the Combined Non-Financial Reporting has not been prepared, in all material respects, in accordance with the relevant German legal and European regulations as well as with the supplementary criteria presented by the executive directors of the Company, and to issue an assurance report that includes our assurance conclusion on the Combined Non-Financial Reporting.

As part of a limited assurance engagement in accordance with ISAE 3000 (Revised), we exercise professional judgment and maintain professional skepticism. We also:

- obtain an understanding of the process to prepare the Combined Non-Financial Reporting.
- identify disclosures where a material misstatement due to fraud or error is likely to arise, design and perform procedures to address these disclosures and obtain limited assurance to support the assurance conclusion. The risk of not detecting a material misstatement resulting from fraud is higher than the risk of not detecting a material misstatement resulting from error, as fraud may involve collusion, forgery, intentional omissions, misleading representations, or the override of internal controls.
- consider the forward-looking information, including the appropriateness of the underlying assumptions. There is a substantial unavoidable risk that future events will differ materially from the forward-looking information.

Summary of the Procedures Performed by the German Public Auditor

A limited assurance engagement involves the performance of procedures to obtain evidence about the sustainability information. The nature, timing and extent of the selected procedures are subject to our professional judgement.

In conducting our limited assurance engagement, we have, amongst other things:

- evaluated the suitability of the criteria as a whole presented by the executive directors in the Combined Non-Financial Reporting.
- inquired of the executive directors and relevant employees involved in the preparation of the Combined Non-Financial Reporting about the preparation process, and about the internal controls relating to this process.
- evaluated the reporting policies used by the executive directors to prepare the Combined Non-Financial Reporting.
- evaluated the reasonableness of the estimates and the related disclosures provided by the executive directors.
- performed analytical procedures and made inquiries in relation to selected information in the Combined Non-Financial Reporting.
- considered the presentation of the information in the Combined Non-Financial Reporting.
- considered the process for identifying taxonomy-eligible and taxonomy-aligned economic activities and the corresponding disclosures in the Combined Non-Financial Reporting.

Restriction of Use

We draw attention to the fact that the assurance engagement was conducted for the Company's purposes and that the report is intended solely to inform the Company about the result of the assurance engagement. Accordingly, the report is not intended to be used by third parties for making (financial) decisions based on it. Our responsibility is solely towards the Company. We do not accept any responsibility, duty of care or liability towards third parties.

Munich, 26 March 2025

PricewaterhouseCoopers GmbH
Wirtschaftsprüfungsgesellschaft

Axel Menge
Wirtschaftsprüfer
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The translation of the annual financial statements, comprising the consolidated balance sheet, the consolidated income statement and the notes to the consolidated financial statements, together with the combined management report and the report by the Supervisory Board of Bayerische Landesbank as well as the auditor's report is for convenience only; the German versions prevail.

